Can Fin Homes Ltd. (CANFINHOME)

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Corporate Relationship Department
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Mumbai - 400 001
NSE Symbol: CANFINHOME BSE Scrip Code: 511196
Dear Sirs,
Sub: Transcript of Analyst/Investor Conference Call held on July 22, 2022
Ref.: Our letter CFHRO SE CS LODR 137/2022 dated July 22, 2022
In continuation to our above referred letter, please find attached the Transcript of Analyst/
Investor conference call/earnings call held on July 22, 2022, Friday.
The aforesaid Transcript is also made available in the Company's website i.e.,
https://www.canfinhomes.com/announcements.aspx
This intimation is submitted pursuant to Regulation 30 of the SEBI (Listing Obligations and
Disclosure Requirements) Regulations, 2015.
Kindly take the same on the record.
Thanking you,
Yours faithfully,
For Can Fin Homes Ltd.,
Veena G Kamath
DGM & Company Secretary
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"CanFin Homes Limited Q1 FY23 Earnings Conference
Call"

July 22, 2022

MANAGEMENT : MR. GIRISH KOUSGI – MD & CEO, CANFIN HOMES

LIMITED
MR. AMITABH CHATTERJEE - DEPUTY MANAGING
DIRECTOR , CANFIN HOMES LIMITED
MS. SHAMILA - BUSINESS HEAD, CANFIN HOMES
LIMITED
MR. PRASHANTH JOISHY - CFO, CANFIN HOMES
LIMITED
MODERATOR : MR. NIDESH JAIN – INVESTEC CAPITAL SERVICES

Moderator: Ladies and gentlemen, good day and welcome to the CanFin Homes Limited Q1 FY23 Earnings Conference Call hosted by Investec Capital Services . As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to as k questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded. I now like to hand the conf erence over to Mr. Nidesh Jain from Investec . Thank you and over to you, sir.
Nidesh Jain : Thank you Bikram. Good afternoon everyone. Welcome to the Q1 FY23 Earnings Conference Call of CanFin Homes Limited. To discuss the financial performance of CanFin Homes and to address your queries, we have with us today Mr. Girish Kousgi - MD and CEO, CanFin Homes; Mr. Amitabh Chatterjee - Deputy Managing Director; Ms. Shamila - Business Head and Mr. Prashant h Joishy - CFO of CanFin Homes Limited.
I would now like to hand over the call to Mr. Girish Kousgi for his opening comments. Over to you, sir.
Girish Kousgi : Good afternoon, welcome to the earnings call. I will not get into numbers in details since you would have gone through the numbers. I will quickly give you a brief, then we can open the floor for Q&A. It was a good quarter. Quarter 1 was really good for us, so approval stood at Rs. 1,750 crores which is up by 111% on a Y -o-Y, disbursement at Rs. 1,721 crores up by about 93%; book from Rs. 22,221 crores it went up to Rs. 27,538 crores which was an all time high of 24% in last 21 quarters. There was a good growth in NII at 38%, PBT at 50, PAT at 50. We were able to maintain GNPA at almost same levels. It is 0.64 last quarter and this quarter it is 0.65. On the net NPA, it is 0.3. ROA, ROE, in all the parameters there has been improvement.
In terms of NIM, last quarter was 4.07, this quarter it is 3.6. The NIM basically has 3 comp onents, one is the interest income, second is other income and third is income on the investment. So, last quarter NIM what we saw was a different operation because we made lot of investments in the last part of the year and therefore if you discount that I think NIM would have been some 3.8%. So, against that we are at 3.6 %. This ha d an impact to a certain extent on disbursements and other income. Spread is at 2.66%, so we have improved over last quarter. Cost to income is 15.84, again I think as a guidanc e we will be in and around 18 -19% on a yearly basis. Profit margin has improved to about 27%. PCR I think there is marginal improvement 54% and credit cost is almost 0 for this quarter.
In terms of yield, portfolio it is 8.46% and incremental yield was 8.2 1. Cost of funds, portfolio was 5.8 and incremental was 5.67. Cost went up, cost is going up since last few months because even repo has gone up twice. We increased rates last year, so that benefits we are seeing now and therefore we see improvement in yie ld which has led to good profitability in this quarter. I think last quarter we discussed about audit and all . Based on the board's direction, we have done audit in all the branches, all the 200 branches, we have done audit. There were observations and

most of the observations are now rectified and we identified small irregularities totaling to amount Rs. 2.43 crores which is fully provided. So, that inspection was done by our internal team to certain extent and statutory auditors. So, we had various statut ory auditors appointed . So, together, they covered all the branches. It was concluded last month and the impact of that additionally it is about Rs. 2.43 crores and it is fully provided. So, last quarter what we had provided were 3.93. Out of that Rs. 1.4 crores is closed , that loan is closed.

So, that book has
now come down to about close to 2.5, incremental is 2.43.
So, I would now request to start the Q&A.
Moderator: Thank you very much , sir. Ladies and gentlemen, we will now begin the question -and-answer session. We have the first que stion from the line of Shreepal with Equirus . Please go ahead.
Shreepal : Congratulations on good set of numbers. You highlighted about the audit that was run internally,

but there was also an audit which was conducted by Canara Bank which you highlighted during the last quarter, so are there any observation from there? And also what is the nature of irregularities t hat you have found in your internal audit?
Girish Kousgi: Basically, Canara Bank audit was, last time we had covered that in the results, so after that we got all the branches audited based on the board's direction which was done by internal team 25% and 75% by audit firm. Basically, these are multiple audit forms. We had engaged them to do the audit. Now, last quarter we covered based on the Canara Bank audit, we had identified the irregularity to the extent of Rs. 3.93 crores which was provided in quarter 4 and out of that close to Rs. 1.4 crores loan is closed. Now, the outstanding is about 2.5 and in this audit, after auditing all the 200 branches irregularity is Rs. 2.43 crores. So, this is the outcome of the inspection or audit in all the 200 branches.
Shreepal: So, what would be the nature of these irregularities, like if you could throw some?
Girish Kousgi: Irregularity, this is basically financial documents forged or something like tha t, basically these are forged .
Shreepal: So, with respect to the rates on the yield sides, so does that rate that we would have offered to our customers during say, January 2021 to March 2021, now that would have got repriced during this Jan to March 2022, right, so what would have been the repricing now for these customers that would have disbursed loans for?
Girish Kousgi: Now, this reset happens once in a year. So, depending on when the loan is availed , the reset happens. So, all the loans which we had given last year, after 12 months, it will get reset.
Shreepal: And the reset like increase would have been like by how many percentage of basis points?
Girish Kousgi: I told you now the yield is about 8.46, incrementally it is 8.21.

Shreepal: And then one last question on the credit cost side, so whil e our yearly guidance is for 40 basis points and like we had created buffers during last quarter and which we have reversed during this quarter, so just wanted to understand like are we still sticking to the 40 basis point credit cost guidance or would we be revisiting it now?
Girish Kousgi: No, I think we were referring to two different data points. So, if you are talking about credit cost for the year, there is no change, it will be about 0.2 to 0.24 in that band only. So, if you take overall it comes to 0.4. I think that was the, because we were talking about two different things in the last concall, so if we have to talk about credit cost during the year which is basically charged to P&L , it will be in the range of 0.22 to 0.23 and also you asked about t he kind of irregularity, I think there are two parts, one is with respect to financial documents and second, there could be some deficiency in properties which I am talking about Rs. 2.43 crores .
Shreepal: Sorry sir, what did you say, properties?
Girish Ko usgi: No, this Rs. 2.43 crores, irregularity which means basically fraud , so the deficiency would be with respect to either property or with respect to financial documents.
Moderator: Thank you. We have the next question from the line of Ankush Agarwal wit h Surge Capital. Please go ahead.
Ankush Agarwal : Congrats on good set of numbers, again on the orders, just seeking some clarification, what you said was in the last qu

arter, the Canara Bank audit resulted in what we call the 4 crores frauds that we re discovered and the same was provided last quarter and this quarter based on our internal audit that we did across all the branches, we again found about 2.5 crores of frauds, that is what we meant, right?
Girish Kousgi: It is not only internal, it is part ly internal and partly we had engaged audit firms, external audit firms to do it. So, it is 25% our own audit team and 75% we had engaged external auditors.
Ankush Agarwal : And this additional fraud relates to branches that are not the same, right, it belo ngs to the other branches that was covered in the last what that was discovered, right?
Girish Kousgi: This audit covered all the branches, which include the earlier branches.
Ankush Agarwal : But the additional fraud of 2.4 crores discovered in different branches, right, it is not the same branches?
Girish Kousgi: Earlier we had one branch, so there was some incremental cases and we had two other branches also.
Ankush Agarwal : Sir, any kind of communication that we have made to say NH B or Canara Bank and h ave we got any kind of response from that on the finance of this audit?

Girish Kousgi: I think whenever we detect the fraud, we have to report to the regulator that we have done.
Ankush Agarwal : So, at the moment status quo, nothing communicated from the r egulators?
Girish Kousgi: It is status quo because you would appreciate , the fraud is part of normal business risk, right and

now we have covered all the branches, entire 200 branches.
Ankush Agarwal : And we would have taken obviously the steps sensitively to curtai l this, right?
Girish Kousgi: Yes, absolutely.
Moderator: Thank you. We have the next question from the line of Subranshu Mishra with UBS. Please go ahead.
Subranshu Mishra : Couple of questions, sir, on the outstanding book, can you s plit the book into CAT -A, CAT -B, and CAT -C to the customer and what is the respective FOIRs for each one of them and the average income that we take for each one of them and same on the incremental book which is of the disbursements? And my third question would be on the concentration of the book sir, what portion of the book's capacity is based out of Bangalore and what is the portion of the book is based out of Karnataka?
Girish Kousgi: In terms of profile, we focus on CAT B customers and w ithin that 50% would be government, 50% would be private. In terms of income, average income would be anywhere between 38,000 to 40,000 per month. That is the income cracked and in terms of concentration I think we are well diversified and Bangalore, in fa ct Bangalore is major portion in Karnataka, I think Bangalore contributes to about 2 1% and if you take Karnataka it will be around 22% .
Subranshu Mishra : And FOIR of each of these categories, sir?
Girish Kousgi: Again, regarding?
Subranshu Mishra : FOIR while originating?
Girish Kousgi: That will be common across. FOIR also depends on the income level, so basically I think the entire indust ry operates on lower the income, lower the FOIR; higher the income, straightly higher the FOIR. We had a set of FOIR metrics, so based on that we fix the FOIR. It starts from 40% for us.
Moderator: Thank you. We have next question from the line of Onkar Ghugardare from Shree Investments. Please go ahead.
Onkar Ghugardare : My question was regarding the AUM disbursal and t he growth metrics, what would be your guidance for the full year in terms of all the?

Girish Kousgi: It will be around 18%.
Onkar Ghugardare : 18%, right?
Girish Kousgi: Yes.
Onkar Ghugardare : And what kind of deals you are looking at?
Girish Kousgi: We have been saying this at spread of 2.4 and NIM of 3 would be the threshold what would maintain. Today, the NIM is 3.6, so for n

ext few quarters, it will be hovering around 3.5 -3.6. I think on a steady state, long term I think we would protect 2.4 and 3.
Onkar Ghugardare : 2.4?
Girish Kousgi: Spread of 2.4 and NIM of 3, this is the threshold.
Onkar Ghugardare : And any capital -based planning you are right?
Girish Kousgi: Yes, we are fund raised capital this year, so it will be part of the enabled amount which is about Rs. 1,000 crores. We will be raising some portion of the Rs. 1,000 crores.
Onkar Ghugardare : So, this will be a tier 2 capital or what?
Girish Kousgi: That we will have to see, it will be tier 1 only, so we will take a call at the appropriate time, but it will be tier 1.
Onkar Ghugardare : And in case of NPAs , what are you targeting?
Girish Kousgi: We don't see significant change in NPA levels. We are at 0.65 now, so may be 10 bps here and there, but we don't see anything beyond that . I am talking about this year.
Moderator: Thank you. We have next question from the line of Anuja Jaikar with Dalal & Broacha. Please go ahead.
Anuja Jaikar : See, I just want to understand because of these irregularities what was the cause of this, was it people or the systems, what is the main reason behind it?
Girish Kousgi: So, it is actually combination since the amount is very less, considering the total book and fraud is part of business risks, so in some places it was people, but it is not system. I n some cases, it is people, in some cases, it is channel partners. So, it is a combination of both.
Anuja Jaikar : How do we ensure that such things will not happen in the future?

Girish Kousgi: See ma'am , I don't think so today any financial institution wo uld guarantee that no frauds will happen.
Anuja Jaikar : In there an efforts to ensure that such things may not happen?
Girish Kousgi: Whenever such things happens we identify and we do RCA and then we try to correct whatever

has to be corrected, but however, you must appreciate that since last so many years, every year or the other, there is some kind of fraud which happens or may not. We should see it what is the percentage of that in proportion to the book a nd what is frequency of that. So, our systems are robust en ough to prevent fraud.
Anuja Jaikar : And also just want to understand how are you seeing the deman d for the housing loans in the raising interest rate scenario, assume that even if you increase the rate you feel that no demand can CanFin further or how it will be?
Girish Kousgi: I just covered that through, I told we will be able to grow at about 18%, so that is taking into account, interest rate increase, all possible economic factors which might i mpact fully. We feel that around 18% should be decent in that growth.
Anuja Jaikar : And on the asset side, what is the loan that are fixed price ones and floating price ones?
Girish Kousgi: On the asset side, all the loans are floating only.
Anuja Jaikar : And the repricing happens once in a year?
Girish Kousgi: Repricing happens once in a year.
Anuja Jaikar : When do you do that?
Girish Kousgi: It is on the annual basis .
Anuja Jaikar : Yes, that happens in the beginning of the year , middle of the year, just want to understand?
Girish Kousgi: No, uniquely after 12 months.
Moderator: Thank you. We have next question from the line of Pooja Ahuja with Monarch Networth. Please go ahead.
Pooja Ahuja: Sir, firstly wanted to understand that on the disbursement while you have guided for an 18% growth, just wanted to understand the trajectory while on a year -on-year basis , of course , we have seen a strong growth, but we have seen a sequential decline in this quarters, so do we expect to go back to the disbursement level that we saw in Q4?

Girish Kousgi: I had told for the whole year, generally quarter 1 will be muted comp

ared to quart er 4, so this is the industry trend. So, I have told around 18% taking into account the whole year.
Pooja Ahuja: And what was the BT out during the quarter, just wanted to understand has that been normalized right now, I mean what is the competitive intens ity like with banks?
Girish Kousgi: It normalized I think about 4 -5 quarters back only, so it is around Rs. 100 crores for the quarter.
Moderator: Thank you. We have next question from the line of Ratik Gupta with Guardian Asset Management. Please go ahead .
Ratik Gupta: Sir, I was trying to reconcile the cost of borrowing for the bank, basically th e funding basket, what I can see is the average approximate borrowing based on the annual report is approximately 6.5 to 6.6%, but the cost of borrowing that we are reporting is 5.8, so can you give a light on how is this actually be reconciled ?
Girish Kousgi: On portfolio , the cost of b orrowing is 5.8, so if you look at the mix , today we have 54% is bank, 22 is from NHB, NCD 11%, CP 11% and Deposits 2, so I don't know from where you got this 6.5, if you could please help me, we can check and come back to you.
Ratik Gupta: Actually, I hav e taken the cost of borrowing based on your 2021 annual report with average cost of borrowing for each individual basket and based on that I have arrived at it. Anyway, I can take this offline. Sir, my second question is, where is the minimum cost of borro wing that you see at foresee level? I mean is it from the bank or is it from the NHB that you are assuming going forward?
Girish Kousgi: As of now it is NHB.
Ratik Gupta: So, NHB will have the lowest cost of borrowing from you?
Girish Kousgi: NHB, then ban k, then NCD.
Ratik Gupta: And what will be the approximate rate for the bank?
Girish Kousgi: See, now it will be easier, it depends 6.1 to 6.2.
Moderator: Thank you. We have next question from the line of Souresh Pal, an Investor. Please go ahead.
Souresh Pal: I have two questions, my first question is, may I know what is the status of the restructured book as of now and whether any loans from that book has slipped into NPA? And my question would be whatever guidance you have given, what are the things that you think it can prevent us from achieving that kind of growth rate? These are my questions.

Girish Kousgi: Restructured book was about Rs. 709 crores , so now out of that Rs. 45 crores book has come down by Rs. 45 crores, so these are basically loan closu res, either from own source or the switch to other institutions. So, today, it is 709 minus 45 . That is the outstanding book from the initial level. As of now, no account is NPA from restructured book.

Souresh Pal: And sir, m y second question was, what are the things that can prevent you from achieving 18% growth guidance that you have given?
Girish Kousgi: If you look at the performance since last 5 -6 quarters, I think you are seeing the growth in all the parameter s. Market is quite robust. Real estate ind ustry ha s revived and it is reviving. Interest rate of course there has been increase , I think last two changes were on the higher side and one more time I think rates might go up. We have factored all these things, but I think what we should talk about is demand. Demand is very robust. Since demand is so robust, I know that there will be some impact because of increase in cost and also because of increase in cost of construction, so I know that construction cost has increased and cost of funds will go up. In spite of that I feel that achieving about 18% growth shouldn't be a problem given the architecture what CanFin has in terms of sourcing underwriting and servicing the customers.
Moderator: Thank you. We have next question from the line of Krishnendu Sah a with Quantum AMC. Please go ahead.
Krishnendu Saha: Just on the lever side, we are on 8 x, so how much

debt we will go ahead to the lever part? And second is that we repriced our assets once a year, so right now what portion of the book is going the external bench mark and what is the benchmark, so like I suppose it should get repriced, I was under understanding as it gets reprice d every 3 months, so what is the benchmark and how many branches do we expect to expand in the coming years , because ou r productivity is increas ing at the rate of 7% per branch, so what do you see out there?
Girish Kousgi: Our RAC rate now is 8.25%, our DER is now 7.84 and as per the regulatory I think up to 12 times it is allowed that is the borrowing limit. In terms of branches, we will reach about 210, I would say.
Krishnendu Saha: By the end of the year.
Girish Kousgi: By end of this year, yes.
Krishnendu Saha: And you said the lever is going to be 12 x at the max you are looking at, is that right?
Girish Kousgi: 12x is the maximum permitted by the regulator , I said.
Krishnendu Saha: And how much are we looking at?

Girish Kousgi: Times are comfortable where renting is comfortable with around 80 share price, so depending upon situation , we plan to think about the capit al raising. You are referring to the capital raising and referring itself. That is what we have been planned.
Krishnendu Saha: And what portion of the book is excellent benchmark, what is the benchmark you can tell me?
Girish Kousgi: You are referring to t he borrowing?
Krishnendu Saha: No, on the asset side?
Girish Kousgi: Our advances? Everything is in a way linked to PLR on the asset side .
Moderator: Thank you. We have next question from the line of Franklin Moraes with Equentis Wealth Advisory. Please go ahead.
Franklin Moraes : Sir, just in case, in terms of the fraud, what were the total number of branches that were impacted by this?
Girish Kousgi: 4.
Franklin Moraes : 4 branches, so initially it was one branch, right, so on subsequent ?
Girish Kousgi: Yes, initially it was one branch, correct .
Franklin Moraes : But at that time the quantum was also about Rs. 4 crores?
Girish Kousgi: Rs. 3.93 crores, correct.
Franklin Moraes : So, now also our outstanding quantum still remains at Rs. 3.93 crores which has come down now to Rs. 2.43 crores.
Girish Kousgi: If I have to club both the quarters, last quarter, now the outstanding is about 2.5 and now it is 2.43, so both put together less than Rs. 5 crores.
Franklin Moraes : Sir, are all these borrowers standard as of now?
Girish Kousgi: No, in one branch, all the accounts are standard. In the other branches, it is different buckets if I may. In terms of DPD they are standard, but since we have declared as fraud, so we have force marked as NPA, so any account we declare as fraud will be force marked as NPA which means technically all the accounts are now NPA in spite of customers paying on some of the accounts.
Franklin Moraes : Sir, also Canara Bank had deployed some perso nnel, I believe in risk and audit team, so are those person nel still being deployed?

Girish Kousgi: I think I have clarified this in the last concall only. I think it is a regular normal process, so whenever they deploy it is for a 3 -year period. So, that is on.
Franklin Moraes : And s ir, last ques tion, in terms of your salaried share, that has been on the raise, I believe you

want to kind of try and reduce that share, but so far that number is a bit sticky at about 74%, so could you throw some light in terms of what is the trajectory that we are lo oking?
Girish Kousgi: We are looking at 70:30. It used to be 70:30 and when COVID started, this 30 came down to 12 and the 70 increased to 88 and when things started improving, from 88 it has now come back to 74 and CNP is 26, I think in another few quarte rs it will come back to original 70:30 mix

.
Moderator : Thank you. We have next question from the line of Subrat Dwibedy with SBI Life. Please go ahead.
Subrat Dwibedy : Sir, on the restructured book, just wanted to understand how much was the moratorium given and by when are the loan payments resuming on this accounts is the first question? Second, just wanted to know the Stage -2 numbers?
Girish Kousgi: Actually, we have in different buckets, so it is a combination of morat and then step up EMI, in some cases full EMI , so we had a combination of that . So, the initial amount was about Rs. 709 crores, now Rs. 45 crores is closed. Now, most of the accounts have not fallen due. So, it will start falling due may be after two quarters or so. Having said that, we had initially anticipated 7% of the book would flow to NPA . That is if it is a book of Rs. 700 crores. We were anticipating Rs. 50 crores to flow as NPA, but I think now we are moderating that number to about 5% which means Rs. 35 crores, so initially this number was Rs. 49 crores and now we are anticipating Rs. 35 crores that is for the simple reason most of the account, even though restructured, customers have started paying back. So, in terms of percentage, it is close to abo ut 17% to 18% of the customers. They have already started paying even though EMIs were not due and therefore this percentage of 7 is moderated to 5% which means Rs. 700 crores into 5% is about roughly Rs. 35 crores which might slip into NPA over a period o f time, let us say next 5 to 7 quarters. Having said that, we also have a large NPA pool which we are working on , on the recovery front, so if you see the net impact, I don’t think so our NPA level would drastically change, today it is 0.65, may be it migh t go by another 10 -12%.
Subrat Dwibedy : And the Stage -2 number, sir?
Girish Kousgi: 471 is the Stage -2 number.
Moderator: Thank you. We have next question from the line of Rohan Advant with Multi -Act. Please go ahead.

Rohan Advant: Sir, in one of your earlier answers, you mentioned that on credit cost, you expect what will hit the P&L is 0.22 to 0.24%, but overall, it will be 0.4%, so can you explain what are these two different numbers that you are talking about to clarify?
Girish K ousgi: No, as far as the way we mean, you and I, both of us track is charge to P&L that will be in the range of 0.2 to 0.24.
Rohan Advant : And sir, 0.4 is what number then?
Girish Kousgi: That is reporting to the regulator. That is overall, total on the portfolio, so incidentally that comes to 0.4.
Moderator : Thank you. We have next question from the line of Harshvardhan Agrawal with IDFC AMC. Please go ahead.
Harshvardhan Agrawal : Sir, can you please help me with the total borrowing number on our balance sheet?
Girish Kousgi: Our borrowing is 25,408.
Harshvardhan Agrawal: And sir, another question is, what is our incremental yield on the loans that we have underwriting now?
Girish Kousgi: Incrementally , it is 8.21.
Harshvardhan Agrawal: Sir, just wanted t o understand like if I were to look at your website, there is a period where we have given the yield and on that thing the yield starts from 8.75, so I am just confused as to why our incremental yields are at 8.2?
Girish Kousgi: Because we will have offers also, so if you see the weighted average, it comes to 8.21.
Harshvardhan Agrawal: And again this 8.2 incremental yields or incremental borrowing cost are at 5.8?
Girish Kousgi: Incremental borrowing cost is 5.67, 5.8 is portfolio, incremental is 5.67.
Moderator: Thank you. We have next question from the line of Aswin Balasubramanian with HSBC AMC. Please go ahead.
Aswin Balasubramanian: Just wanted to understand on the borrowing side, how frequently is the rate reset and what is the amount of borrowings which is linked to the external benchmarks?
Girish Kousgi: In terms of freque

ncy, I think whenever there is a change in repo , I think it is aligned with that. So, the rate reset follows change in repo. In terms of external and here I will tell you.

Prashanth Joishy: Total book is around 21% is linked to repo and 22% is linked to the T-Bill and 7% is linked to the NCLR, whereas NHB borrowings have a separate yardstick which is their internal rating, so it is a mixed bucket of borrowing.
Aswin Balasubr amanian: In terms of the borrowing cost, then because you mentioned the incremental borrowing cost is about 5.67, so that doesn't seem to have gone up much because the repo rate has moved up by 90 basis poin ts in the past couple of months, so just trying to understand ?
Girish Kousgi: This also would have a cost on CP , so this is weighted average incremental cost of bank, NHB, NCD, CP and deposits.
Aswin Balasubramanian: But even on the overall book it is 5.6, right?
Girish Kousgi: Overall book is 5.8.
Pras hanth Joishy: Portfolio is 5.8 and incremental is 5.67.
Aswin Balasubramanian: Yes, that 5.8 has moved from 5.5, so in the coming quarter that would reprice further higher by, how much of the repo rate goes up by?
Prashanth Joishy: Yes, it is just a mix to the asset because repo rate , T-Bill link ed is there, so it cannot go parallelly that much hike. We have to see how the repo rate changes like this take place.
Moderator: Thank you. We have next question from the line of Gaurav Jani with Prabhudas Lilladh er. Please go ahead.
Gaurav Jani : Sir, firstly, last quarter, you have quantified the treasury income impact on the NII, correct me if I am wrong at about Rs. 16 crores, so what would be this quarter?
Prashanth Joishy: Just carry on with this call, I will just refer and come back to you.
Gaurav Jani: And if you could also help me out with the total inves tment income recognized in FY22, that would be helpful?
Prashanth Joishy: Sure.
Gaurav Jani: Sir, secondly, we saw in terms of disbursal this quarter, while it could be of course seasonal, but the bid seems to be sharper, sir that is one part of the question, so how would you sort of look at that?
Girish Kousgi: In terms of amount, Rs. 16 crores this year that is this quarter is ab out Rs. 22 crores. Referring to the disbursement generally quarter 1 will be muted in terms of disbursement and generally NPAs would go up and it will n ormalize in subsequent quarters.

Gaurav Jani: Because 18% considering the 36% dip on the Q -o-Q basis seems a bit steep, so just want ed your thoughts on that?
Girish Kousgi: Because this is a regular phenomen on for the entire industry, not just for CanFin , so generally if you look at quarter 1 because what will happen is after Q4, quarter 1 will be slightly muted and then they pick up from quarter 2 onwards.
Gaurav Jani: What I was also trying to understand that have we sort of reduced our aggression also more to focus on quality customers or nothing has rather changed much?
Girish Kousgi: No, across, whether it is depending on early pa rt of the year or quarter 2, quarter 3, quarter 4 , I think quality of customers that is very, I think that is paramount and we have enough filters to source while sourcing underwriting, so quality of customers is something that we always take care. So, quantum of business doesn't determine on the quality necessarily.
Gaurav Jani: Sir, you mentioned the figures for the investment income, so Rs. 22 crores is for the quarter 1?
Girish Kousgi: Yes, it is at the start of the year, yes correct.
Gaurav Jani: And w hat would be for the entire year, FY22?
Girish Kousgi: On this basis, if we calculate because these are all, most of the investments are in government securities, so on this basis only it can be calculated.
Gaurav Jani: No, correct, I was trying to get at the annu

al report number of investment income for FY22 , so if you could help me with that it will be great, but sir, coming to again the credit flow side of the disbursal side , I wanted to understand that probably we have sort of managed down our guidance and earlier we were guiding at about 20 -25% and right now we were guiding to 18, so any sort of reason for change or how could you look at that?
Girish Kousgi: No, as of now, if we are talking about disbursement growth, I think 18% is very much possible, we have seen in the past few quarters that demand is quite robust and 18% is something which we can achieve. I know this is taking into account the increase in the cost and also increase in construction cost because these two would have some kind of impact on growth.
Gaurav Jani: Sir, coming to asset quality, the restructured that declined by Rs. 4 5 crores, that was during the quarter, right?
Girish Kousgi: No, this is not quarter, this is from the opening balance.
Gaurav Jani: So, what I am trying to understand is , between how many quarters this Rs. 45 crores occur?

Girish Kousgi: This will be restructure; I think last 3 quarters I would say because once the restruc turing window was closed.
Prashanth Joishy : That is started from actually for the month of December 21 to June 22, 7 months period, it is Rs. 45.49 crores.
Gaurav Jani : Sir, the fraud total amount that you mentioned of Rs. 5 crores, how much of that is provided?
Girish Kousgi: Entire amount is provided, full amount, 100%.
Gaurav Jani: Sir, la st two question from my end, you mentioned that some other branches also saw this phenomenon of fraud coming through, whether from the same locality or those of that across India?
Girish Kousgi: It is different region altogether.
Gaurav Jani: Because I thi nk the first one cropped up from Rajasthan, but so were they from the same state or?
Girish Kousgi: No, the other things cropped up from Tamil Nadu and Andhra and the mode is totally different. So, these are from different regions.
Gaurav Jani: Sir, l astly, you mentioned that Canara Bank personnel are deployed every 3 years, my question is when was the last time they are deployed?
Girish Kousgi: No, it is not every 3 years of deploy, whenever the deployment happened, it is for a period of 3 years gener ally.
Gaurav Jani: No, that I understood, what I was trying to ask is when were they last deployed in CanFin ?
Girish Kousgi: I will tell you, it used to happen in the past frequently. After that at a senior level there were people being deployed such as MD level or may be on the DMD level. Now, DMD level is continuing and we also have now some people in various departments as we have seen in the last quarter.
Gaurav Jani: No, just I was trying to understand whether that earlier whenever the deployment used to happen was that in the regular course of business or are there particular reasons for that?
Girish Kousgi: This deputation is to happen before, it is happening now also, it will happen in future also.
Prashanth Joishy: It is a regular course of work.
Moderator: Thank you. We have next question from the line of Ritika with Ocean Dial. Please go ahead.

Ritika: Firstly, sir, if I could just request again share the incremental yield and cost numbers?
Girish Kousgi: Incremental yield is 8.21, incremental cost is 5.67.
Ritika: 8.21 and 5.67 and the reported number for this particular quarter?
Girish Kousgi: That is on the book, yield is 8.46 and cost is 5.8.
Ritika : And sir, how to may be reconcile these two numbers?
Girish Kousgi: No, incremental is for the quarter and book is entire book.
Ritika: I mean both are actually lower than the blended, so is there something if I am not getting correct?
Girish Kousgi: No ma'am, one is on the book and one is increm

ental, see for example, one is the entire portfolio, let us say .
Ritika: What was the incremental yield last quarter?
Prashanth Joishy : You are referring to the March one ma'am?
Ritika: Yes, sir.
Girish Kousgi: Yield is 8.07. Last q uarter incremental yield was 8.07 and this quarter it is 8.21.
Ritika: And sir, if you don't mind again, just explaining again the 40-basis point and the 20 and the 24 basis point?
Girish Kousgi: No, 40 basis point that is different, that is to report to the regulator. The way you calculate credit cost is charge to P&L every year, correct?
Ritika: Right.
Girish Kousgi: So, that will be between 0.2 to 0.24.
Ritika: So, sir, what additional goes to the regulators ?
Girish Kousgi: That is overall .
Prashanth Joishy: Portfolio ma'am. That is on portfolio.
Girish Kousgi: That is portfolio. What we hold total provisioning in the books of account.

Moderator: Thank you. We have next question from the line of Dhruvish with Mirabilis Investments. Please go ahead.
Dhruvish: I have 3 questions. Firstly, wanted to understand the unutilize d buffer which we have right now and when do you expect it to run down?

Girish Kousgi: We are holding liquidity close to Rs. 3,000 crores, so it will take it up for next 6 months approximately.
Dhruvish: I am referring to the unutilized COVID buffer which was I think some Rs. 29 -Rs. 30 odd crores?
Girish Kousgi: We don't have any COVID buffer, we have withdrawn entire amount.
Dhruvish: So, the Rs. 3.7 crores which got utilized and it is the total buffer, right?
Girish Kousgi: Which Rs. 3.7 crores?
Dhruvish: Which got utilized in this current quarter?
Girish Kousgi: No, COVID provisioning we had withdrawn long back.
Dhruvish: So, this 3.7 came from where, utilization?
Girish Kousgi: We had additional provisioning and general category, not under COVID.
Dhruvish: And secondly, like wanted to understand that when the yields go out, do we increase the tenure of the borrower or the installment goes up?
Girish Kousgi: We will see, depending on the residual age of the customer, we increase the tenure or if cus tomer inten ds to increase the EMI, we increase the EMI, so basically we go by whatever customers chooses.
Dhruvish: And the BT out of Rs. 100 crores which you mentioned, so like anyone in the banks or NBFCs which took those amounts and secondly what was the reason for that, so was it some topups we couldn't give or some aggressive pricing by them, so that is the questio n?
Girish Kousgi: Normally, we have a bank institution list which is more than 20, so it has spread wide across and reasons are both, one in terms of incremental exposure, additional exposure and rates.
Dhruvish: So, can you name some banks or NBFCs which took it over?
Girish Kousgi: To name the bank it will be right because almost all the banks would take over, the private, the PSU, HFCs, large HFCs, midsized HFC, so NBFCs.

Dhruvish : So, largely this came because of aggressive pricing by them or because of top-up which we couldn't give like which was the bigger reason for the (Inaudible) 49.54 . I know the number is normalized, but still trying to understand why is it happening?
Girish Kousgi: So, I think if we compare both, I think it will be skewed towards pricing and this is a regular phenomenon.
Dhruvish: And my last question is on the branch expansion, so like I think in Q3 which is some 6 months back, we had mentioned some 12 to 15 branch expansion which we expected in FY23, now we are down to 10 branch es a year and if we look at the last two-year branch expansion, we have done just two branches, so like why is this like stagnant ? And secondly, if you look at the leve l of the growth in last two years, whatever happened was due to the operational efficiency, so lik

e
our business done per branch was some Rs. 100 odd crores which is now up to 147 odd crores, so what is the cap of this, like this can't go above 160, 170, so what are your thoughts on that and like why is the branch like expansion stagnant?
Girish Kousgi: It is more of a strategy and also because of COVID we couldn't really expand but having said that our current set of branches would be able to grow the book right up to Rs. 40,000 crores. Having said that by this year end, we would reach about 210 branches.
Dhruvish: So, do you have a number in mind where you think that the caping of branch efficiency, so like business done for our branch can't go about Rs. 20 0 crores which is at Rs. 147 crore right now because if we do the math like if I take the same branch efficiency of Rs. 147 crores and add up the 10 branches, still 18% growth seems quite unlikely, so trying to understand how much headroom more we have wit h respect to branch efficienc y like business done per branch, like if you can say a number?
Girish Kousgi: Basically, it is function of two things . For a minute, I am just leaving the branch expansion. Out of existing branches, it is function of two things, one is potential in the catchment and number two adding manpower. So, by doing these two things, with the existing set of branches, we can grow up to Rs. 40,000 crores. Having said that we also have plan, every year we will open several branches and by this yearend will be at 210.
Dhruvish: Last question, so wanted to understand how different is the cost in setting up of satellite ce nter and affordab le housing loan center vis -a-vis branch and operational metrics for the same?
Girish Kousgi: I think the cost difference is very less, so I think the category and tagging is more to do with the location and potential, not with respect to cost. There is a m uch difference in cost . That is what I mean.
Dhruvish: So, if we look at the satellite center and affordable house loan center business done per branch, what would that be like, Rs. 40 -Rs. 50 odd crores or may be more ?

Girish Kousgi: When we open branch, we are opening the regular branch, we are not opening any satellite center because satellite center only in terms of the office space it will be less in number, manpower debtor would be less, it will be tagged to the nearest branch. So, since we see opportunity in every pocket, now we are opening only branches in all the pocket and over a period of time even the satellite centers will be converted as branches.
Dhruvish: And the 10 branches which you mentioned which you plan to open this year that would be in the locations like, can you name the states or the locations broadly?
Girish Kousgi: For example, it will be Karnataka, then Andhra Pradesh, Tamil Nadu, Maharashtra, Rajasthan, so across.
Moderator: Thank you. We have next question f rom the line of Mudita Nahar with Abakkus AMC. Please go ahead.
Mudita Nahar: Most of the questions are answered, just one thing I wanted to ask, sir, on the overall portfolio, how much percentage would we have repriced this quarter, sir, loan book?
Girish Kousgi: Every quarter, I will put it this way, so whatever business we do this year for example, roughly about 20 -21% would be repriced in the quarter.
Moderator: Thank you. We have next question from the line of Sanket Chheda with B&K Securities. Please go ahead.
Sanket Chheda: I had two questions, one was that we said reset on asset side is yearly, but it wou ld depend on the origination of loan and basis which every quarter there will be certain loans which will be for the repricing, right?
Girish Kousgi : Not every quarter, every year.
Sanket Chheda: And the second question is, sir, on restructuring, now we have about Rs. 650 crores of restructuring left, Rs. 660 crores, so on that we would be having 10% provisions which is

like
60-70 crores and we say th at we expect Rs. 35 -Rs. 40 crores to slip eminently . so on that even if it falls to end there, you need to provide 25% of it. That means 10, 11, 12 crores would suffice , so that will release up to say Rs. 50 crores even if on conservative basis, if you wan t to put higher PCR on the NPA, then also may be Rs. 40 crores of amount it would release, now whether you want to t ake it as a writeback or not but is that understanding correct that we may have Rs. 40 crores available as we are into Q4, which we will then decide that whether to have a writeback or keep it on the books?
Girish Kousgi: We will have writeback from the restructured provisioning pool. Your calculation is, here and there it is right because we foresee Rs. 35 to Rs. 40 crores, so I think to t hat extent whatever is the balance that pool will be available for writing it back.

Moderator: Thank you. We have next question from the line of Nischint Chawathe with Kotak Securities. Please go ahead.
Nischint Chawathe: Just want to understand when your borrowings from NHB are around 22%, what are the terms of these borrowings, are these fixed rate or are these floating rate and under which scheme?
Girish Kousgi: So, it is actually a mixed, it is a blend of both, but the overall cost would still be much cheaper when compared to banks and NCD, so it is mixed because partly it will be fixed for 3 years and then it will be floating, so it is like that, but overall blended rate would be much lower. As of now, it is around 5.4-5.45 which is the lowest.
Nischint Chawathe: And any large block of this which is probably getting redeemed or repriced this year?
Girish Kousgi: No, this is a long -term tenure, 10 to 15 years, so it w ill not bunch up in one particular quarter or so.
Nischint Chawathe: So, 10 to 15 years, but probably getting recharged every 3 years, so nothing kind of come soon and changes that significantly?
Girish Kousgi: The reprice happens whenever there is change in repo. Whenever the rate goes up, repricing happens, outside the fixed rate bracket.
Nischint Chawathe: Your cost of funding of around 5.8, if you could kind of just give some sense in terms of where do you see it ready by the end of the year?
Girish Kou sgi: I am sure, actually you can estimate it, I think rates will go up, so I am not sure to what extent, I think in next 8 to 9 months' time , there will be at least one increase, may be 35 to 40 bps .
Nischint Chawathe: Sure, which would affect the book, sure, just two data points, if you could share the absolute number of amount of stage 3 and Stage -2 loans? Actually, you shared the number, but I missed out, sir?
Girish Kousgi: I think in the meanwhile, let me just clari fy on the other point which Sanket asked, so while I clarified on the restructured provisioning pool, we also have NPA pool, so from that we are expecting about Rs. 40 to Rs. 45 crores of recovery.
Prashanth Joishy: The stage 3, as we told it is the NPA fi gures only will be stage 3, that is around Rs. 180 crores and Stage -2 there is a SMA -2 as I informed it is Rs. 471 crores.
Nischint Chawathe: Just one last point is that are you kind of contemplating doing co -lending with Canara Bank or

any other bank?

Girish Kousgi: If I am not wrong, I think there is regulatory restriction to work on co -lending with the parent bank, but I think as a concept outside of what we discuss now, I think we don't inten d to get into co-lending model.
Nischint Chawathe: Any specific reason, I am just trying to understand the thought process?
Girish Kousgi: Yes, I will tell you. Basically, my understanding is that co -lending is either to get networking benefit or the pricing benefit, so today in terms of cost leadership I thin k we are one of the lowest in the industry

and as a company we want to grow our book and therefore at this point in time, we feel that we have advantage on both the side, therefore we want to leverage these two parameters and grow our book.
Nischint Chawat he: Sure, then if I c an squeeze a last one, any plans on capital issuance?
Girish Kousgi: Capital, we do have plans here, this year we will raise some part of capital out of Rs. 1,000 crores.
Moderator: Thank you. We have next question from the line of Abhijit Tibrewal with Motilal Oswal Financial Services. Please go ahead.
Abhijit Tibrewal: Sir, please excuse me if any of my questions sounds repetition, I joined in a little late, so firstly, this 18% growth that you are guiding for, you are guiding for 18% growth in disbursements or your loan book?
Girish Kousgi: Loan book.
Abhijit Tibrewal: Sir, secondly, during the opening remarks, you suggested that during this audit process where you audited 200 of your branches, there were certain observations and those observations have now been rectified, so while you did touch upon what were the observations and like you said, it was either deficiency in financial documents or property, but just wanted to understand what are those rectifications that you have don e with regards to these observations ?
Girish Kousgi: No, financial I think what you mentioned now is for the fraud cases, which is irregular cases, not the other observation. The Rs. 2.43 crores that was the observation for that.
Abhijit Tibrewal: Sir, whe n you said observations, you are not ta lking about fraudulent accounts?
Girish Kousgi: No, when I say irregularity that is fraud, when I say observations, these are observation, for example, let us say a BM is supposed to visit the customer and submit a re port and in that report , let us say , signature is missing, that is an observation and I am giving you an example so observation is different, irregularity is different. Irregularity is equal to fraud . Observation is equal to some kind of document incompleteness.

Abhijit Tibrewal: And secondly, what is the total quantum of provisions that you are holding on your balance sheet now, understandably you have already reported the standard asset provisions and the NPA provisions in the presentation, inste ad of third component of OTR provisions as well ?
Girish Kousgi: I will tell you, so standard asset is Rs. 101 crores, NPA is about Rs. 98 crores, then for restructuring both framework one and two we hold about 67.67, so totally we are holding about Rs. 267 crores.
Abhijit Tibrewal: Sir, lastly, there was a provision write -back that you did on yo ur sta ndard loan s in this quarter and why I ask this, I mean last quarter itself you had taken about I think Rs. 15 crores of additional provisions on your standard loans , so what is the kind of change in this quarter, is it just because that the audit has now been completed you are relatively more reassured is why we were taking this provision write -backs on standard loans?
Girish Kousgi: Basically, we realize that we will have a bit of cushion on the restructured provisioning pool, so that we are not withdrawing, so that we will leave it to accumulate and we will have enough provisioning buffer, just in case we need in future and therefore this was withdrawn.
Abhiji t Tibrewal: Can you please explain this a little better, sir, why was there was provisions that were withdrawn and standard loans ?
Girish Kousgi: What I meant was on the restructured pool provisioning, we will have enough buffer which we will get created i n future quarter -on-quarter , so that we will not write back, we will leave it to accumulate which can take care of any requirement in future, but for that every month we would provide based on NPA; a, in terms of new additions, b, in terms of bucket moveme nt and for standard assets.
Abhijit Tibrewal: Congrat

ulations on the good quarter and all the very best, sir.
Girish Kousgi: Thank you.

Moderator: Thank you. We have next question from the line of Naishi Shah with A cko Global. Please go ahead.
Naishi Shah: I have a set of 2 -3 questions, the first one is what is the average loan tenure of the outstanding loans in your book?
Girish Kousgi: I think loan on book average is about 8 .5 years.
Naishi Shah: And sir, we know that we largely do the affordable segment when it comes to the lending and we know that NHB tends to refinance these loans and there has been a marginal reduction on a Y-on-Y basis when it comes to NHB financing, there has also been an improvement when it

comes to CP, the percentage of CP in our f unding mix from 19% to 11%, so what levels are we targeting for CP and even with NHB what level would we be comfortable with?
Girish Kousgi: So, on CP, we are okay around 15% plus minus 1%. Exposure from NHB I think we are open depending on the available p ool and appetite for us to borrow and for NHB to lend, so that is something we will keep it open. We are pretty comfortable because the source of finance for us is really agnosti c whether it is from bank or NHB as long as cost fit into the structure. So, as of now, NHB is very cheap and therefore we are agnostic and we will be happy if the share goes up.
Naishi Shah: Sir, please correct me if I am wrong, but the loan tenure that we take from NHB is 10 to 15 years, right?
Girish Kousgi: Yes.
Naishi Shah: And what would be the case for banks, what is the loan tenure?
Girish Kousgi: Largely 10 years, otherwise between 7 and 10.
Naishi Shah: And sir, we made a profit of Rs. 22 crores on our investment book , if I am not wrong , this quarter?
Girish Kousgi: Not pro fit, income.
Naishi Shah: Income, so this is all realized plus unrealized , right?
Prashanth Joishy : Yes, this is what the investment we had made. We have made for the LCR purpose, we have invested for SLR purpose and supportive for the purpose of OD we had invested. Totally, around Rs. 1,500 crores of investment is there on book and the interest out of that investment is ….
Moderator: Thank you. We have next question from the line of Anil, an Investor. Please go ahead.
Anil: Sir, just one basic ques tion, you run a housing loan portf olio and even your parent Canara Bank has very active housing loan there, so what is the difference, is there a clear demarcation, what kind of book or what kind of customers you would look at vis -a-vis your parent and has parent anytime communicated how they want to take both the entities forward or is there any plan in future it can be clubbed and run by one entity?
Girish Kousgi: Two entities are different entities and they had their own customer base and customer segmen t and the way we have , let us say Canara Bank we also have SBI, ICICI, HDFC, Kotak and stuff like that. So, as of now, there is no discussion or arrangement. So, both the companies would independently try and build the mortgage book.

Anil: Ticket size wise there is no demarcation, I mean can there be a case whereby both of you can cater to the similar customer base?
Girish Kousgi: There is absolutely no arrangement at all, so we can do Re. 1 cror e, they can do Rs. 10 lakhs; we can do Rs. 10 lakhs, they can do Rs. 2 crores. So, we don’t have any sourcing or any demarcation in terms of either sourcing or lead generation or whatever. So, these are two different entities, Canara Bank is our parent, yes, but as far as demarcation or arrangement.
Anil: Secondly sir, while this audit and investigation was going on, has it hampered your normal business routine, may be because of that your approvals and disbursement got delayed somewhat or turnaround time must have gone up, anything of that sort?
Giris h Kousgi:

Yes, I will tell you, every year we do audit and this time it was advised by board, the board had instructed, therefore, we had conducted audit of all the 200 branches. Having said that every quarter 1, there will be some dip in disbursement numbers and there will be increase in NPA numbers. This we are seeing for last many years, probably decades. So, I don’t think these t wo will have to be linked because as an organization I think everything is important. For us, liquidity is important, asset quality is important, at the same time audit is important, disbursement is important, growing book is important. So, as a company, I think company should focus on multiple things and quarter 1 happened to be such quarter where we have to focus on multiple things and we have managed.
Anil: And sir, last thing, this annual reseting that you do of interest rates, is that a normal industry

practice or in terms of frequency of rate changes could be slightly different from the industry, how is it like?
Girish Kousgi: Basically, it is passing on the interest rate. I think basically when the interest rate scenario is either up or down, I think same thing gets passed on . That is all.
Moderator: Thank you. We have next question from the line of Gaurav Jani with Prabhudas Lilladher. Please go ahead.
Gaurav Jani: Just one question, sir, you mentioned about 20% of the loan book sought of reprices , right per year, what would that number be on the borrowing side, just simplifying?
Girish Kousgi: No, on the borrowing side, I think the change would typically happen whenever there is a change in a repo. So, what I told was basically we have 12 months in a year and whatever I book , let us say, in the month of April will come for reset in next April and therefore I have taken approximately about 7 to 8% every month. So, quarter 1 being slightly low, I just took a number of 20% , otherwise it has to be 25 each quarter, so it start with 20 and then move to 22, 23 and then 26 and the balance in quarter 4.

Gaurav Jani : Sir, to put in the other way, calculating the EBLR linked portfolio comes to about 50%, right, so that 50% does it reset from day 1 or not?
Prashanth Joishy : You are referring to the borrowing or?
Gaurav Jani: Borrowing.
Prashanth Joishy : Our borrowings are linked to three different, one is the repo linked, T-Bill linked and MCLR linked. This is the major consisting of around 50% will be on that part. NHB has their own yardstick as I told earlier. CP and NCD market borrowing which cost 25% have the fixed rate. So, it varies depending upon the tenure and the change in the repo and T-Bill.
Girish Kousgi: So, basically, MCLR, repo linked and the NHB directly indirectly is linked to repo change.
Gaurav Jani: Correct, sir, my question is whenever the repo changes, the next day all of these reset or not?
Prashanth Joishy : No, there would be reset on the quarterly basis.
Girish Kousgi: That will be on a quarterly basis, so the lag time could be 15 days, 20 days, one month, depend ing on when the repo increases.
Moderator: Thank you. Ladies and gentlemen, that was the last question. I would now like to hand the conference back to the management for closing remarks. Over to you, sir.
Girish Kousgi: Thank you very much to all the investors who have stayed with us for a long time and we had a good quarter, so we look forward the rest of the year to be as fruitful as quarter 1. Than k you so much.
Moderator: Thank you very much, sir. Ladies and gentlemen, on behalf of Investec Capital Services, that concludes this conference call. Thank you for joining us and you may now disconnect your lines.

Call: Oct 2022

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CFHRO SE CS LODR 199/2022
October 22, 2022
ONLINE SUBMISSION

BSE Limited
Corporate Relationship Department
25th Floor, P J Towers
Dalal Street, Fort,
Mumbai – 400 001

BSE Scrip Code: 511196

Dear Sirs,

Sub: Transcript of Analyst/Investor Earnings Call for Q2FY23 Financial Results
Ref.: Our letter CFHRO SE CS LODR 194/2022 dated October 18 , 2022

In continuation to our above referred letter, please find attached the Transcript of Analyst/ Investor conference call /earnings call held on October 18 , 2022, Tuesday .

The aforesaid Transcript is also made available in the Company's website i.e., https://www.canfinhomes.com/analyst -meet.aspx

This intimation is submitted pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

Kindly take the same on the record.

Thanking you,

Yours faithfull y,
For Can Fin Homes Ltd.,

Veena G Kamath
DGM & Company Secretary

Encl: As above.

"Can Fin Homes L imited
Q2 FY 23 Earnings Conference Call "
October 18, 2022

MANAGEMENT : MR. GIRISH KOUSGI – MANAGING DIRECTOR & CHIEF
EXECUTIVE OFFICER – CAN FIN HOMES LIMITED
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DIRECTOR – CAN FIN HOMES LIMITED
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MODERATOR : MR. NIDHESH JAIN – INVESTEC CAPITAL SERVICES

Moderator: Ladies and gentlemen, good day, and welcome to the Can Fin Homes Limited Q2 FY '23 Earnings Conference Call hosted by Investec Capital Services. As a reminder, all participant lines will b e in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator, by pressing star then 0 on your touchtone phones. Please note that this conference is being recorded. I now hand the conference over to Nidhesh from Investec Capital Services. Thank you, and over to you.

Nidhesh Jain: Thank you, Mike. Good afternoon, everyone. Welcome to the Q2 FY '23 Earnings Call of Can Fin Homes Limited to discuss the financial performance of Can Fin Homes and to address your queries, we have with us today ; Mr. Girish Kousgi, MD and CEO of Can Fin Homes ; Mr. Amitabh Chatterjee, Deputy Managing Director; Ms. Shamila, Business Head; and Mr. Prashanth Joishy, CFO of Can Fin Homes Limited.

I would now like to hand over the call to Mr. Kousgi for his opening comments. Over to you, sir.

Girish Kousgi: Good afternoon to all the investors and welcome to the earnings call. It's been a fruitful quarte r, a very good quarter. I must say because we've done well in almost all the key parameters. If you look at book, we have grown by 22%. And if I have to talk about disbursement, even sequentially, we have grown by about 2%. If I have to compare on a Y -o-Y basis, it is a marginal growth. That's only because last year, quarter 1, there was COVID, and therefore we couldn't disburse much. So there was a spillover effect. And last year, quarter 2, we did very well. We did about INR 2,208 crores and this quarter, we have done INR 2,245 crores.

So if I have to compare Y -o-Y quarter, I think there has been a marginal increase. And if I have to talk about revenue on a quarterly Y -o-Y, we have grown at 40% and half yearly 38%, operating profit, 33%. And if I have to c ompare H1 -on-H1, 37%. There is a growth of PAT by 15% if I have to compare to half yearly 31% over last year.

So, NIM has been pretty stable at about 3.55%. There has been a 5 bps drop in NIM and spread is 2.51 %, dropped from 2.66 %. So I had indicated earl ier on a steady state, we'll be able to maintain 3% and 2.4% even though we are at 3.55% NIM and 2.51 % spread, we will be able to maintain 3.5% and 2.5% for next few quarters. But in the long run, I think it is some ways settle down around 3% NIM and 2.4% of spread.

I think in last few quarters, there has been increase in the cost . And especially for last quarter, the cost went up from 5.8% to 6.04% . So there has been increase in cost by about 24 bps. And last quarter, the yield was 8.46% which improved to 8.55%. Incremental yield is about 9.02 % and incremental cost of 6.48 %.

Our portfolio yield, as I mentioned, is about 8.55 %. And if we have to look at asset quality, it improved. Last quarter was 0.65 %, this quarter is 0.62 %. Net NPA on a like -for-like basi s, apple -

to-apple comparison , last quarter was 0.3 %. This is under IRAC, and under IRAC this quarter, it is 0.28 %.

What has happened is that we have moved to ECL model. We have migrated to ECL model. And therefore, there has been a rearrangement within the total provision between NPA and standard. So , we have withdrawn INR 21 crores from NPA, and that is now sitting in standard provisioning.

So total standard provisioning is about INR 33.5 crores . Out of INR 33.5 crores, INR 21 crores is something which has moved from NPA. And that is why you will see net NPA increase from 0.3% to 0.35 %. So 0.3 % what you're referring to last quarter is IRAC, equal comparison now is 0.28%. Under ECL, it is 0.35 %. And therefore, we see that the net NPA has gone up and

the
PCR has come down. It's only an internal adjustment because of migration.
If you have to look at total slippage, it is INR 1 crore , net slippage because we have I think, INR 12 crores [inaudible 00:05:02] and we have recovered INR 13 crores. And therefore, you will see there with asset quality and the slippages being pretty okay. In ter ms of credit cost, it is 0.04%. Demand is pretty good. We are seeing this across all geographies, all segments. We are seeing this amongst all the products.
In terms of salaried and self -employed, we see salaried to be driving a better growth compared to self -employed non -professional. Self -employed non -professional has improved , it's improving every quarter , but I think another quarter or two, I think it will be back to 30% incrementally. Otherwise, you see good momentum across in spite of interest rate hike and also in spite of cost of construction going up , there has been on an average in some markets, 10% to 12% increase in the property prices especially , on the apartment side .
And construction, the cost has gone up by 6% to 7%. In spite of this increase, we are seeing the robust growth. This is no big brief on what happened in quarter 2. We'll be happy to engage because I'm sure there'll be a lot of questions because we have m oved from IRAC to ECL, there will be a lot of questions. So I'll be happy to take any questions.
Moderator: Thank you very much. We will now begin the question -and-answer -session. Anyone who wishes to ask a question, may press star and one on your touchton e telephone. If you wish to remove yourself from the question queue, you may press star and two. Participants are requested use handsets while asking your questions. Ladies and gentlemen, we’ll wait for a moment while the question queue assembles. We have the first question from the line of Dhaval from DSP. Please go ahead.
Dhaval Gada: Hi, sir. Thanks for the opportunity. I had three questions. First one is relating to the borrowings. So, in the last six quarters, we've sort of seen commercial paper share in the borrowing mix come down from 18%, 19% to about 8%. Incrementally, what is your thought process on the overall

borrowing mix? And specifically for CPs, if you could give some perspective? So that's question number one.
The second question is relating to spreads. So , we've seen some moderation in spreads this quarter. Just if you could give , I know you've given a medium -term guidance of spread , but just directionally, would you expect next couple of quarters to be more similar -- in the similar zone as we've seen in the second quarter or there is further pressure likely some perspective on that would be useful ?
And the last question is relating to the provisioning change. Could you provide the stock of standard asset provisioning and any other provision ing be it restructuring provision, et c. So some perspective on the entire provision be it, t hat would be the third question. Also the restructured book number ?
Girish Kousgi: On the borrowing mix, we don't see too much of a change from the current mix in the near term. Yes, CP rates are going, because the overall rates are going up and which is also -- we can see a higher rate on [LGD 0:08:47]. So we are se eing increase in rate across be it term loans from banks, be it bonds or CP. So what we will do is this is very, very dynamic. So we are agnostic in terms of the source beyond regulatory requirement and therefore we'll be very, very watchful because our endeavor is to keep the cost of funds low.
So to that extent, we will be very conscious about getting the right mix at the right cost. Having said that, I think we will not be able to see too much of a change in the next couple of quarters. So borrowing mix will be almost , for example, today, we have from bank 54% as a mix. So the 54% maybe can b

ecome to 52%, but it will not become 45%. So there'll be a small change here and there, there is not much of a change in the mix.
In terms of margin, yes . We did increase rates in last 1 year. One thing is very sure. We have given guidance for long term that is 3% NIM and 2.4% spread. So that definitely we will protect . How we will do ? Depending on the cost of funds. We will try to increase the yield, so that we get the right margin and pr ofitability. But having said that, in the near term, I think it will be somewhere around 3.5% and 2.5%, this would continue for the next couple of quarters. But in the long run, it will be about 3%, 2.4%. This is more to do because of our profile . As a Can Fin, we are completely into retail, affordable low ticket. So we are not into high value , we are not

into non -home s, we are not into build a funding in order to corporate funding.
And therefore, the ability of the portfolio to generate higher yield is lim ited to that extent. And therefore, we want to moderate in the long term our NIM at 3% and spread at 2.4% with respect to provisioning . Joishy will give you the details.
Prashanth Joishy: Yes. Regarding the NPA provisioning, in fact, I'm getting a lot of c alls, so I thought to give a detailed explanation. The provisioning requirement to be maintained as per the RBI or NHB direction is, IRAC norms or resale model, whichever was higher. Since last quarter, it was the

IRAC norms, which was higher. Because of t he ECL model, the standard asset attacks the provisioning at a higher rate compared to the IRAC norms on account of PD, LGD and non - recovery percentage.
In June, the provisioning what we disclosed is INR 97.85 crores for NPA, INR 10.17 crores for standard credit put together, it is INR 199.02 crores. This is the provisioning held in the books as of June 30, 2022. Now , when we do that calculation, we do the calculation as per the ECL model also. The ECL model provisioning at that time was to somewhere around INR 184 crores. The gap was to the extent of around INR 15 crores.
During this quarter, we have disbursed INR 2,245 crores. The full amount is a standard asset, which requires the provisioning at the rate of standard asset provisioning as per the ECL mode l. So on account of increased disbursement, the ECL model provisioning stood at INR 208.86 crores, whereas the IRAC provisioning stood at INR 204.83 crores.
Now the scenario has changed . ECL model has become more and IRAC has come down. So , company has to hold the provisioning whichever is higher. So , we have to migrate to the ECL model. On account of that, the provision required for NPA as per the ECL model comes to INR 77.53 crores, which was INR 97.85 crores in June. So that means the provision has been come down by INR 20.31 crores. Whereas as for the standard asset provisioning, which is required to be maintained comes to INR 131.33 crores against what we had INR 101.17 crores. That means there is a difference of INR 30.16 crores which we have to provid e.
Further for undisbursed write -off credit, we do have to provide as per the ECL model, which comes to INR 3.38 crores. So on account of this, during the quarter, there was a withdrawal of provisioning on NPA to the extent of INR 20.31 crores and creation of additional provisioning in respect of standard asset to the extent of INR 33.5 crores .
So with this, the total provision held in the books, will be INR 131.33 crores for the standard assets. INR 77.53 crores is for the NPA. Put together is INR 208.86 crores, apart from them, restructure for provision, we are holding in the books to the extent of INR 67 crores. So total provision in the books as on date stood at INR 279.94 crores. This is the total provisioning movement because we are gettin g benefited because I thought this is the right opportunity to explain everything in detail

. So most of the repetitive calls can be cleared it out. Thank you.
Dhaval Gada: And the stock of standard restructured book?
Prashanth Joishy: Dhaval, this have bee n disclosed in the SEBI result, it is INR 704.85 crores. It is there in the SEBI results, second page note s, point number six.
Girish Kousgi: Also Joishy, please share the original amount of INR 709 crores. What is that outstanding today because this will be with the interest accrual. No, the original amount outstanding [inaudible 00:14:21] ?

Prashanth Joishy: Yes, it was INR 694 crores, is that right?
Girish Kousgi: Now it is how much?
Prashanth Joishy: INR 708.95 crores, out of which [inaudible 0:14:33] .
Moderator: This is the operator. Can you hear us on the call, the management?
Girish Kousgi: So from the initial restructured book, close to about INR 62 crores have been closed. Now the INR 704.85 c rores includes interest accrual. So which means out of th e original book, INR 60 crores worth of loans are closed already.
Dhaval Gada: So the outstanding is sir, INR 645 crores approximately?
Girish Kousgi: From the original amount because what happened in restructured accounts, there'll be interest accrual, ri ght? So this INR 704.85 crores includes interest accrual. But the cause of this is -- that is INR 709 crores minus INR 62 crores that is the actual cost.
Dhaval Gada: Understood, sir. Thank you. All the best.
Girish Kousgi: So it's about INR 647 crores, ou tstanding is INR 647 crores with interest it is INR 705 crores.

Moderator: Thank you. We have the next question from the line of Harsh Shah from L&T Mutual Fund.
Harsh Shah: Yes. Thank you for the opportunity. Sir, just a couple of questions. One, you ment ioned the long - term NIM guidance of around 3%. Just two questions on that. Currently, we are at 3.55% , and for this year, we are guiding for 3.5%. First, what are the levers to maintain that NIM? And once we come down to 3% on an average plus -minus 10 basi s points. What are the levers that we will have at that time to maintain our ROI 2% , because our credit cost is also lower. Our total cost as a percentage of asset is also not inched -up significantly. So at 3% NIM , will we be able to do 2% ROI?
Girish Kousgi: See, our guidance on margin in the long run is about 3% and not in the near future. For the simple reason, I think once we grow on a larger base, showing growth to be difficult. But still, we want to maintain that growth level. And therefore, there , it will be a trade -off between growth and margins. So margin the threshold would be 3% and 2.4%, right.
Now having said that, we would also figure out revenues where we can try and increase our NIM, but we do want to tell that at this point in time, because it's very, very dynamic. I'm not getting into the ratios. All I'm saying is that our growth in terms of di sbursement and book will be 18% to 20%. In terms of margins, it will be 3% and 2.4% , in the near term, 3.5% and 2.5%. So whether we'll be able to maintain ROI of 2%, I think all those things, I will leave it to the investors. We can also work on that, but at this point in time, we are confident of -- see, because

for us, margin is more a function of what is the profitable that we need to maintain , and it depends on the cost.
So depending on the cost of funds, we would moderate the yield. So today, we are at a particular yield because that is the decision point. And if you have to improve yield on portfolio A, B on incrementally also that we can try and do. So it is something which is in our control. It's only a decision point from when we want to trigger that action.
So, just to cut short the answer, if you have to maintain profitability and the return ratios, we can always moderate the yield and ens ure that w

e show a higher profit, we show higher margins. it's an action point. When we reach that time, then we will trigger the action.
Harsh Shah: So when you say moderate yi eld, what do you mean by that?
Girish Kousgi: Moderate yield is increase or dec rease in yield for example...
Harsh Shah: Is the flexibility you are saying?
Girish Kousgi: Exactly, yes. So for example, today, we are at yield of, let's say, 8.55% now. And let's say, over the next few quarters, if you have to increase yield to show bett er margins. So we will also try and build the book at a higher rate and also on the portfolio, depending on the increase in the overall interest rate in the market.
Harsh Shah: So sir , that change in yield, does that require you to lend to a new set of bor rowers? I mean on you're not -- that does not classify under your current set of borrowers? Or is it the existing borrowers, where you will incre ase the rate? Or is it a mix?
Girish Kousgi: Yes. Whatever we have discussed now on what we'll be discussing in this call will be based on no change in profile or the segment. There is no change in policy, no change in product, no change in profile, no change in segment, no change at all. The only change is going to be today, we are 100% retail what we're discussin g now going forward will be 99.5% retail and 0.5% would be builder funding. So that we are experimenting now with very small ticket size. So that's why the small change of builder funding up to 0.5% over a period of next 3 years, there will be no change in strategy whatsoever.
Harsh Shah: Understood, sir. And just a second question to the rest of the team also where are we in terms of hiring the new CEO? Are we at a preliminary stage , have you shortlisted , are we at an advanced stage ? When are we?
Girish Kousgi: See, we have already given the task to the headhunting agency. And we are in the process there. Short listing has begun. So we expect introduce to take this shortly, depending upon which candidate is selected. We expect that whoever is selected wil l be given some time. By that

estimate, we estimate that around maybe new MD and CEO will be able to join at the end of this quarter.
Harsh Shah: Okay. So before the end of the calendar year?
Girish Kousgi: Yes.
Moderator: Thank you. We have the next question from the line of Punit Mittal from Global Core Capital

HK Limited.
Punit Mittal: Just one question. When one observation and if you c ould comment s on it . When the news of the resignation of the MD came out, the stock price starte d falling way before the official announcement came out on the exchanges. So naturally, this information was passed on externally before the material news was published on the exchanges. Has the company looked into it of why that happened and who is respon sible for that? Or has the company not observe d any such thing?
Girish Kousgi: See, as far as we are aware, we have maintained complete confidentiality till sustain we reported to the exchanges, right? So I think as far as we know from the company, managem ent side, I think there has been no laps on managing this entire resignation process.
Moderator: Thank you. We have the next question from the line of Shreepal Doshi from Equirus.
Shreepal Doshi: Hi, sir. And c ongrats for the strong growth that can be delivered during the quarter. Sir, just one clarification. On the outstanding restructured , standard restructuring book, you said that is INR 647 crores, on which we are carrying a provision of INR 67 crores?
Giris h Kousgi: Yes.
Shreepal Doshi: Is that right?
Girish Kousgi: Yes.
Shreepal Doshi: And sir with respect to the ECL norms, like going forward, would we be disclosing the Stage 1, 2, 3 and the coverage on the same or if you could share curre ntly, it would be very helpful?
Girish Kousgi: The disclosure will be as fo

r the RBI guidance, what we are required to do. So the same format is maintained.
Shreepal Doshi: And then on the yield side, have you taken any rate hike during the quarte r? Any changes on the rack rate?
Prashanth Joishy: In quarter 2, we haven't increased because we had increased in quarter 1.

Shreepal Doshi: And so going ahead, like are we planning to increase in the next quarter ?
Prashanth Joishy: This quarter, we are planning to.
Shreepal Doshi: It woul d be by how many basis points?
Prashanth Joishy: That we have not decided because last quarter, I think just before quarter 2 could begin, we had discussed in our internal meetings and we declared that we should not immediately increase because we a re pretty comfortable on the yield spread and the overall margin and therefore, we didn't increase the rates. So this quarter, we plan to increase and it will be marginal because even now we are pretty comfortable on the margin.
Shreepal Doshi: Sir, one last question . It is with respect to the Chief Risk Officer. So I think there was a filing wherein Mr. Udhaya Kumar was designated as interim CRO . So because I think it was a superannuation of Mr. Narendra I suppose. So are we in the process of finding a replacem ent for that position as well?
Girish Kousgi: Yes. We are in the process of hiring CRO. A nd that process is already on. And we have shortlisted a few candidates, and we have to see when, who is going to join.
Shreepal Doshi: Okay. Is there any upda te that, that is there for the CFO position?
Girish Kousgi: This is the same thing for CFO also. Same holds true for the CFO also.
Moderator: Thank you. We have the next question from the line of Ratik Gupta from Guardian Asset Management.
Ratik Gupta: So I wanted to understand the relation between the average business for the brands and the employees. What I see is there has been a decrease in your average business per brands for this quarter as against the previous quarter, while there has been an increa se in the average business per employee. And also, we are seeing a decrease in the employee expense for this quarter in a significant as compared to the pre vious one. So can you give a lime light on that?
Prashanth Joishy: Regarding the employee expenses la st quarter was INR 22 crores, this quarter it is INR 17.83 crores, mainly on the account of actual valuation that is as per accounting standard 15, where we have to make the provision , if the valuation of the investments are less than the committed. Now as we're aware that recent valuation has gone up this quarter, so the provisioning, what is required has been come down.
Last quarter that is Q1, we made a provision to the extent of around INR 4.5 crores [inaudible 0:26:11] considering PL encashment, sick leave and gratuity expenses. That is why it has gone to positive growth, but for which it was hanging around INR 16.8 crores. This year, it is INR 17.8 crores with the additional provision of INR 0.51 crore or INR 51 lakhs, what is mandated

for reassessment , but for which, it is INR 16.87 crores. Employee costs almost remain the same as such .
Girish Kousgi: In terms of income , average business per employee last quarter was 30.87, and now it is 31. This is a marginal increase.
Ratik Gupta: Yes. But there has been also a decrease in the average business per branch. So I mean, what we can...
Girish Kousgi: We opened four new branches. So there is no difference in the branch count as well. But for four.
Ratik Gupta: And my second question is on the borrowing going forward , are we looking to increase our deposits or how is it? And if you can give me interest wise on what is the average interest rate that you're carrying for market borrowing and the CP deposit?
Girish Kousgi: See, in terms of d

eposit, of course, definitely, we are keen on increasing our deposit base, but that also depends on what is the additional cost burden we are willing to take in our cost structure, because as of now, the cost of raising deposit is much higher th an many other sources. So having said this, our long-term strategy would be to try and increase the deposit base. Near term, it depends on how well it will fit into a cost structure.
Ratik Gupta: And can you give me the average interest rate you're carryin g for market borrowing and the CP?
Prashanth Joishy: Market borrowing is below 5% as of now. And the deposit cost is higher than the average borrowing cost of the company.
Moderator: We have the next question from the line of Rishab Dugar from CD Equisearc h.
Rishab Dugar : Sir I want to understand what is your competitive advantage in lending compared to banks and other housing finance companies?
Prashanth Joishy: So today, if you look at market, market is quite large. There are a set of institutions which are building book at 8%, even less than 8% and some at 9%, some at 11%, some at over 14%, 15%, okay? Now if you see there'll be slight difference in the profile. And there'll be a slight difference in the nature of property, and there will be a slight diff erence in the geography in which they operate. So we are in between. We are not as competitive as banks by design in terms of pricing. And also, we are very competitive compared to the next set of institutions which are using -- which are building book at a higher yield. So this market gives scope for institutions to operate at different yields depending on the risk appetite of each institution.
So if you have to -- so for example, we will have overlap in terms of business with PSU banks, with private banks , with HFCs with NBFCs. At the same time, we'll also have -- within HFC,

there are different categories of HFCs, broadly categorizing based on the yield at which they build the portfolio. So we are in between , so we have that advantage of moderating if we want to grow our book.
Now we can be a little competitive on pricing and slightly better our profile and growth. At the same time, if you want to balance and increase our margins and profitability, assuming we have enough and more growth coming in, then w e can probably try and build book at the higher portfolio. So just to answer your question in short, I think market is quite robust. It's huge. And therefore, there is opportunity for all types of institutions to build book at different yield levels. So we are, as of now, somewhere in between.
Rishab Dugar : So you talked about that there is opportunity for all yield levels, but I just want to understand that how much do you think these things matter when money per se is a commodity and whoever lends competi tively gets the business?
Girish Kousgi: It is, it actually depends on the risk appetite. So for example today , banks , they have cost of funds advantage and therefore, they go to CAT A builders, CAT A corporates. We don't have cost of fund advantage compar ed to banks. We have an advantage compared to all the HFCs and NBFCs, rather we are the best in the market as of now.
So, but we can't really compete with big banks on cost. And therefore, our segment is CAT B builders, CAT C builders, CAT B corporates, C AT C corporates. If you look at a set of other institutions, they're focused on probably CAT C builders, CAT D builders. So, there are different segmentations. So depending on the risk appetite and how well they underwrite and manage the portfolio, they ca n figure out in which segment they need to operate .
Moderator: Thank you. We have the next question from the line of Ankit Shah from White Equity.
Ankit Shah: Sir, just one question. What is the collection efficiency in re structured, which become due?
Girish Kousgi: See i

n restructured as I mentioned now, the outstanding is about INR 647 crores from the original pause of INR 709 crores. In restructured book, about 21% of customers are paying in advance.

Now out of the cases, what has fallen due, not eve n a single case is in DPD .
Moderator: We have the next question from the line of Mahek Talati from Yellow Jersey Investment Advisors .
Mahek Talati : First of all, congratulations on a good set of numbers. Hello?
Girish Kousgi: Yes, please go ahead. Thank you so much. I think a small correction. Out of the entire restructured pool, INR 1 crore is in NPA now. And initially, we had anticipated that 7% of the restructured book that is approximately INR 700 crores. So 7% would come to INR 49 crores.

So IN R 49 crores would slip NPA and after a couple of quarters looking at the performance, we moderated that to 5% , that is about INR 35 crores.
Now the outstanding is INR 650 crores. So we expect in future , 5% of INR 650 crores to move into NPA , that is about INR 32 crores approximately. We have close to INR 49 crores, which we plan to recover from the existing NPA pool. So on a net basis, I think our G NP will be still -- it will be around 0.6 to 0.65. Yes, please go ahead.
Mahek Talati : Sir first of all like, are there any plans for the Canara Bank to exit from our company or do they plan to stay with us for the long term?
Girish Kousgi: As of now, I think bank doesn't have any plan to exit from the company. I think last earnings call, Canara Bank has clarified, they don't want to have any plans to exit from the company.
Mahek Talati : And sir, how do we look at the growth from here in terms of net disbursement going forward? And comparing ourselves to other companies like how do we play pauses in the ma rket in terms of the growth journey from here on? Do we plan to have any strategy to capture the market share as such in the affordable housing segment itself?
Girish Kousgi: No. See, we don't chase market share. We have a plan, we have a vision and we try to execut e to reach there. As of now, our plan is to grow at 18%, 20% for the next three to four years' time. And I think that is well in place looking at the demand and the way we generate source, underwrite and manage the portfolio. So we are right up t here.
So we generally don't focus on market share, but we focus on we need to double in the next four years. And therefore, what should be the growth rate. And therefore, what should be the internal enablement that we need to be ready with to try and achi eve that growth rate. So, growth story is very much there. We will grow . Our focus is on growth. We will grow. At the same time, maintain profitability, keeping the risk fabric unaltered, which means GNPA will be very much under control, of course, with hi gh liquidity.
Mahek Talati : And sir you mentioned that you are trying your hands with the builder finance with a small ticket size, of course. If this works fine, like in what time journey , like how much time will you be able to comment if this worked in f avor or not? And if it works fine, does the company plan to increase the exposure in this particular direction as well?
Girish Kousgi: So actually, we raised our funding to builders two years back. So it's not that we are new to the segment. We wait, of co urse, that was a few years back. And this might take another, let's say, 12 to 18 months' time to have some reasonable exposure, not in terms of percentage , because we don't see never intend to cross 0.5% of the portfolio at least in next three years' time. So in the next 12 to 18 months' time, we might have a very small book.

I think then we will be able to comment, but we don't want to lose out this opportunity. Having said that, we know it's very risky. So we will

start very, very small. And this is more of a pilot, I could say. And I think once we are successful in pilot, then we will gradually probably try and increase, but definitely not more than 0.5% in next three years at a portfolio level.
Mahek Talati : And sir like from this quarter's results, we see the interest cost has gone up further in absolute terms, of course, is primarily because we have not passed on the cost to the user -- to the customers?
Girish Kousgi: Partly, yes. You're right.
Mahek Talati : Okay. And what will be the oth er reason for that?
Girish Kousgi: There has been increase in cost by 24 bps , from 5.8 to 6.04. Now if you look at the yield, I think yield has gone up only by I think, 7 or 8 bps.
Moderator: We have the next question from the line of Sakshi Goenka from So hum Asset Manager .
Sakshi Goenka: Congrats for the good quarter and thank you for the opportunity. Sir, just two sets of questions. First, if you could tell us what is the rack rate? And secondly, I just wanted to understand the cost of funds you mentione d that you're implementing cost of fund is currently at about 6.48%,

6.5%. sir, if we look at all sorts of borrowing avenues, the 1 -year CP or even bank MCLR, they are much -much higher than your incremental cost of funding. Just wanted to understand, is your bank borrowing fixed in the sense it's not linked to MCLR , because how are you managing such low incremental cost of funds?
Girish Kousgi: Thanks for the question. I think we've been a leader in managing cost for many, many years. You're right, our ra ck rate is 8.75%. And depending on the product, depending on so many other parameters, the rate could be more because our incremental yield is 9.02%. Our rack is 8.75%, the incremental yield is 9.02%, incremental cost is 6.48%. At a portfolio level , our yield is 8.55% and cost is 6.04%, which has increased now by 20 points compared to last quarter.
Now I think , I must at least thank my team for managing costs very effectively. So we are a very efficient team, and they've been managing this. Having said thi s, the way we manage cost is that we don't use CP for funding purpose. We use CP as a cost effective -- not tool , but to keep the cost lower because we feel that generally, CP rates would be a little lower than other source of borrowing. And therefore, we have that arbitrate, which we can try and encash.
Suppose if CP rates goes up, then we will not avail any CP. So, we are agnostic in terms of source as long as we took the right cost and if it fits into a structure, then we would try and go and this is beyond the regulatory norms. So for example, for all the incremental borrowing, 25% has to come in by way of NCD. So that's irrespective of cost, we'll go and raise. The time the

issue to keep the cost low. Otherwise, we are agnostic with respect to the reso urce. And that is where we're able to manage our cost better.
Sakshi Goenka: Sir, is the bank borrowing linked to MCLR?
Girish Kousgi: See in fact, almost all barring some of the borrowings from NHB, which is fixed, some are fixed for some period and then, of course, it's floating. Other is, by and large, all the borrowings are linked to variable. In some way there, it could be repo -linked, it could be T -Bill linked, right? I think in some form or the other, almost all the loans are variable. But for the le nding, what we get from NHB. So there, we have some portion of fixed.
Moderator: We have the next question from the line of Punit Bahlani from Nomura.
Punit Bahlani: Yes. Just one data keeping question from my side. Can you share the number of like the amount of write -offs for this quarter and for the entire H1 '23?
Girish Kousgi: This quarter is 0, last quarter is 0 , last one year is 0. We have not written -off anything at all, las t one year is 0. In fact, the

last two years, just a minute, so it's 0. Last two years, it' s 0. In fact, we've not written -off at all.
Moderator: We have the next question from the line of Anusha Raheja from Dalal & Broacha.
Anusha Raheja: Thanks for takin g my question. Just one question from high end. Why you're looking for replacement at the top team, like you said, there will be a replacement for CRO, CFO, and MD and CEO . MD and CEO, we understand he got a better opportunity, but why at the CRO and CFO l evel?
Girish Kousgi: See Board has decided since company is going to hire some professionals from the market. So in line with that, it has been decided that CFO and CRO has to be hired from the market .
Anusha Raheja: Apar t from that, any other reason?
Girish Kousgi: No, no, there is absolutely no other reason. All the existing CRO and CFO are the employees of the company since long, and they will remain with the company.
Moderator: Thank you. We have the next question from the line of Shreepal Doshi from Equirus.
Shreepal Doshi: Sir thank you for giving me the opportunity once again. So the question was on yields. So if I look at the calculated yields and the difference between calculated yields and the reported yields is significant. So the calculated yie ld comes out to be at close to 9.3% versus your reported yield of 8.6%. S ir, I just wanted to understand what explains this significant difference here , like what all things does come in the base when you calculate it ? So, I just wanted to understand it, s ir.

Girish Kousgi: No, calculated yield, see incremental yield is 9.02% as we told earlier in the con call. The book yield is at 8.55%. So what you told is correct, 9.02% is correct yield, but it is only for the quarter means , that means such that disburse ment what we've done is 9.02%. And overall is 8.55%.
There is a book yield.
Shreepal Doshi: Sir in the book, you only take the advances or like right?
Girish Kousgi: It consists of all advance, housing loans, non -housing loans, yield on our investments and all put together. It is the average yield of each and every loan.

Shreepal Doshi: And sir what would be the impact of the investment yield on our overall yield if you could just give some color for this quarter at least?
Girish Kousgi: Yes. Investment yield will be now almost at par with slightly higher than our incremental average cost.
Moderator: We have the next question from the line of Dhruvish Pujara from Mirabilis Invest ment .
Dhruvish Pujara: Yes. Thanks for the opportunity. So, I have two questions. First is on the 4 branches which we expanded in the current quarter. So , three out of the four come from Telangana. So wanted to understand like the thought process there. So , like is the market dynamics different there at less than competit ion or what is driving that?
And secondly, what is our Telangana geography AUM mix. And also you can state the top three states AUM mix? So that's the first question. And second, you already touched upon this, but I'm trying to reiterate and understand it better. So in the annual report, you have disclosed the bank -wise borrowing, there we have shown the exposure versus the rate.
So if you do a weighted average of that and if you compare that with the respective bank's MCLR, it is at least 100 to 120 basi s points lower. So trying to understand what is making the banks lend us at 100 to 120 basis points lower? And what will make them to continue doing this?
So, yes, those are the two questions . Thanks.
Girish Kousgi: So if we look at the entire country, wha t is working for Can Fin well , is the southern region. So within South, if you see, I think initial days, Karnataka was doing really well . Now along with Karnataka, Telangana is doing very well, which is basically Hyderabad , and few districts, right?
And therefore, of

course, even TN -1, I mean inter -TN is doing well. AP also is doing well. But within five states in South, Kerala is very, very, very small for us.
From the rest four states, I think top two states are Karnataka and Telangana and therefore, we had plan to open more branches in Telangana and Karnataka. So , we have opened two branches in Karnataka that is Bangalore and three in Hyderabad, okay. So, our focus would be on the

states which can give us more value , in terms of business proposition, and therefore, we had chosen this. This is the first question I think you asked.
And see today, I think we feel that for any finance company, be it HFC or NBFC, the starting point is the asset quality, which is NPA. So if a c ompany is able to manage the portfolio well because we do business based out of -- basically, it's a leverage business. So , the entire business works on borrowed fund.
And therefore, the company has to be very -very clear in terms of managing the portfolio well.
Since we are the lowest in the industry, I think a lot of banks draw that comfort, and they lend us at AAA rate rather sometime, we get the best rate. So I think, fortunately, this has been continuing in a very -very long time. And we feel that as lo ng as we're able to show growth, maintain profitability and keep the portfolio well, keep asset quality stable, I think , we will enjoy this recognition from all the banks to be lent at a lower rate.
Dhruvish Pujara: So sir, one question here. So can you al so state the percentage of AUM coming from Karnataka and Telangana individually?
Girish Kousgi: So Karnataka and Telangana would be close to about 42% to 43%.
Dhruvish Pujara: And out of this 30% would be coming from Karnataka, right?
Girish Kousgi: No, no, no. See for example, Karnataka and Telangana would be almost same.
Dhruvish Pujara: So over time, I think the Karnataka exposure as a percentage of total AUM would have come down because earlier , I think, there was some ...
Girish Kousgi: Yes, even though absolute numbers it has gone up , as a share, it has come down . Because other states are now contributing.
Dhruvish Pujara: And last question. So is there any change in the guidance , which we have given on the 10 to 15 branch expansion for the FY ’23 breakup? I mean this quarter 4...
Girish Kousgi: On an annual basis, I think around 12 to 15 branches is the plan. So there is no change in that guidance.
Dhruvish Pujara: And the branches, which we will open in this year, I mean, in what time frame do we expect them to do a disbursement per branch, what we have right now? So would it take maybe a year or two?
Girish Kousgi: For us on an average, a brand would take about eight to nine months to breakeven.
Dhruvish Pujara: And what time would it take to do the disbursement per branch?

Girish Kousgi: Month one.
Moderator: Thank you. We have the next question from the line of Jigar Jani from Edelweiss.
Jigar Jani: Thank you for taking my question. A couple of questions from my end. The first one is on the restructured book , so can you let me know how much could be still in moratorium and how much would ? And when would it most of the book come out of moratorium? That is the first question. And the second is on credit cost, what would be your guidance for the full year now because I presume the provisions that you have taken in this quarter are largely to , because of the increased standard asset provisioning, if I'm not wrong because we have not had any incremental tax we possess through this quarter?
Girish K ousgi: So credit cost guidance for the full year would be in the range of 0.12 to 0.14. For the maximum cap I'm talking about. In fact, for this quarter it is 0.04.
Prashanth Joishy : Yes. Regarding t he restructure

d books , we have given , answered your quest ion?
Jigar Jani: So restructured book is in moratorium. Is it the entire book as of now?
Prashanth Joishy: Yes. See, we have disclosed that in the SEBI results in note five, the outstanding restructured book as on date , after the Can Fin accounting is INR 794.5 crores. And they are coming out of the restructuring in sales planner from December, January, February and March quarter. And by the end of the financial year all the loan accounts will be out of the restructured book.
Moderator: Thank you. We have t he next question from the line of Aahan Tulshan from Trivantage Capital Ltd. Please go ahead.
Aahan Tulshan: Thank you for taking my question. I just had one question. If you could speak a little more about the demand trends that you have been notifying wh ether across customer , different customer segments and different geographies , if you could talk about that a little bit? Thank you.
Girish Kousgi: Yes. So we are seeing demand from almost all geographies, but we are little -- we're a little slow on Kerala and a little slow on the Delhi NCR region. But for this, we are seeing demand coming from all the other geographies. So in terms of segment, it is very good and affordable . It is very good in non -affordable also .
The affordable is slightly higher than non -affordable and because of the increase in construction costs ; in the premium segment, we see slightly less demand maybe by 5% or so. Otherwise, I think, by and large, demand is good across geography, across segment, across products. In terms of profile, s elf-employed till slightly less demand vis -a-vis compared to salaried. This is for Can Fin. So we feel that in another 1 or 2 quarters, we will again get back to incremental mix of 70 is salaried and 30 is self -employed.

Moderator: We have the next questio n from the line of Umang Shah from Kotak Mahindra AMC.
Umang Shah: Thanks for the opportunity. Sir, t wo questions that I have. One is on the provisioning front. So how should we look at it going forward? I mean, do we follow the ECL model or depending on the balance sheet structure, we'll keep on providing as per IRAC or keep switching between IRAC and ECL?
Girish Kousgi: Yes, I think it's a very good question. I think structurally, even though technically, it says IRAC or ECL whichever is higher, but if you see the structure ; ECL is always going to be higher compared to IRAC. And therefore, going forward, the provisioning would be based on ECL model.
Umang Shah: And basically, the credit cost guidance that you have spoken about takes this into consideration?
Girish Kousgi: Yes. Exactly.
Umang Shah: Perfect. Sir, second question is on how should we look at the equity raise that we had anticipated earlier ? So about INR 1,000 crores is what we were looking at. Any changes in terms of time lines or plans or are we still intend to kind of close it by the end of this fiscal?
Girish Kousgi: Yes. We are planning to raise capital. This could be now probably before March. So having said that, it may not be the full amount. It may part of the enabling total content , because as of now, our DR is less than eight. And capital adequacy is very comfortable. So , basically, if we raise, it's going to be growth capital. So we have planned. So , but we have not decided on the timing and the quantum. Of course, we've b een saying this for a long time. That's only because we are ready , we are ready to raise capital . As and when we feel the need, we will raise capital. But it may not be near future, but we are ready in terms of raising capital. And therefore, each time we take enabling effort and be ready.
Moderator: Thank you. We have the next question from the line of Gaurav Jani from Prabhudas Lilladher .
Gaurav Jani: Congrats on a good quarter. A couple of book

-keeping questions, please. One is, sir, what was the inve stment income for the quarter?
Girish Kousgi: Yes. Sure. Second question?

Gaurav Jani: Yes. So I would want the investment income for Q1 and Q2, that is the first half put together also. Secondly, the tax rate this quarter was higher , so what will be the reason for that?
Girish Kousgi: So actually, no, no. In fact, the tax , there's no change in the tax rate. See, we had withdrawn INR 21 crores from NPA, right? So on that there was additional tax. And therefore, if you calculat e the tot al amount of tax , and it comes to INR 30 crores. Actually, there is no change in the tax

rate only because we withdrew from NPA and now it is sitting in standard . I think that additional thing is adding on to the total tax component.
Prashanth Joishy: And the interest from investment income, what we held for SLR, LCR is INR 41.52 crores , as of after ending 30 th September, t he same was INR 19.12 crores as of June.
Gaurav Jani: This helps, sir. Secondly, more of a structural question. So , if you look at the c ost of funds trajectory, the pass -through was pretty quick in terms of the rise, right? Now , I'm sure systemic rates would stabilize at a point in time. So , would that mean that the following quarter or the ended quarter, this cost of funds rise would imme diately get divested and probably we are looking at a better margin directly ?
Girish Kousgi: No, this quarter, I think given the interest rate scenario in the market, I think the rates could slightly go up , so we're also prepared for that. And we'll also i ncrease our yields. Just in case if it stabilizes, then we might still increase it , but by a small portion, small amount.
Gaurav Jani: So, I meant stabilization in terms of, say, about two, three quarters down the line ?
Girish Kousgi: Yes, definitely . We don't expect interest rate increase by a large extent in the next few quarters , so in that sense, it will get stabilized even our yield will get fixed.
Gaurav Jani: Sure. Last question sir, more on the management side ; so one is, when is the CEO, CFO, CRO tenure ending? And how would , if that is the case, would it impact the intensity of the business?
Prashanth Joishy: I think our present MD is demitting office on 20th of this month , and I think it will be -- business will be as usual , because the team remains and guidance remains for the same. And we'll do as we have been doing well. And so we are confident that the present momentum will be continued.
Gaurav Jani: Sure. So in the interim, someone else would -- maybe internal CEO something or how would that come through because I think you mentioned that by the year -end as well the new person could join so?
Girish Kousgi: Till such time new person join . Board has given me, I am the MD of the company to run the assets of the company.
Gaurav Jani: Sure. And sir, when is the CFO and CRO tenure ending?
Girish Kousgi: So, CFO and CRO are the present , they don't have any definite tenure. They are the permanent employees of the company . Till new CFO, CRO join ; they will be functioning as CFO and CRO.
Moderator: Thank you. We have the next question from the line of Bhuvnesh Garg from Investec Capital .
Bhuvnesh Garg: Thank you for the opportunity. I just want to know your growth stage two numbers for the quarter and provisions against it?

Girish Kousgi: Can you plea se, repeat again?
Bhuvnesh Garg: The growth stage two number for the quarter and the p rovisions against growth stage two ?
Girish Kousgi: You want to know the Stage two accounts. Stage two loans are around INR 1,050 crores , and provision held against the Stage two loans is around INR 60 crores.
Bhuvnesh Garg: Okay. This INR 1,050 crores includes a restructured book a

s well, right?
Girish Kousgi: No, restructured book separately INR 704 crores , put together, if you take into consideration ; it was INR 1,750 crores against which we hold the provision of INR 60 crores.
Moderator: Thank you. We have the next question from the line of Chirag Sureka from UTI Mutual Fund.
Chirag Sureka: Thank you for the opportunity, sir. Can you thr ow some light on the existing funding lines and the liquidity policy that we follow ? And have we seen any cost impact in the incremental funds that we are raising from banks and capital market?
Girish Kousgi: Yes. We generally maintain seven to eight month s of liquidity , this used to be higher earlier, but we thought that is too much. And therefore, since we have better planning and better milestone in terms of business as well as fundraising. And therefore, we maintain seven to eight months of liquidity. Yes, we have seen an increase in cost. And sometimes , it's very dynamic , so we see increase in cost between various sources of funds. So this will continue for the next few quarters as well, may not be drastically, but to a certain extent, the cost would g o up. So , our liquidity is in the range of seven to eight months.
Chirag Sureka: And in absolute amount, what could be the sort of bank lines that we would be having currently

unutilized bank lines, I mean?
Prashanth Joishy: Unutilized bank lines, what we are currently having to the extent of around INR 3,860 crores.
Chirag Sureka: And this will be included NHB funding as well?
Prashanth Joishy: NHB funding is yet to be sanctioned for the company . That will be around INR 2,500 crores. That is in the pipelin e. We have a couple of loan sanctions , which are in the final stage. If we take that will be around INR 5,000 crores, and this is already documented unavailed, amount is INR 3,860 crores. If you see the NHB and other banks , which have been in the ir final s tage, consider that will be totally going to come around INR 8,800 crores , that is around 6 to 7 months of our commitment line.
Moderator: Thank you. We have the next question from the line of Varun Basrur from Julius Baer Wealth Advisors .

Varun Basrur: Yes, good afternoon, sir. Thanks for taking my question. Just two questions. One is, what percentage of the advances is from self-construction property , and in this case, what is the loan to value? And the second question is, how much of the loans that we have are sourced from the parent company?
Girish Kousgi: Okay. The self -construction would be about -- self-construction also includes plot purchase and construction , so this is about 30%. And business from parent bank, we don't have any formal arrangement with the parent , so we do market sourcing.
Varun Basrur: All right. And market sourcing, how much is from DSA s and h ow much is from our own branches?
Girish Kousgi: So DSA is about 79% and the rest is from branch. So when we say DSA, it's only origination and the entire process is managed by the branch, bu t in terms of mix, 79% is DSA and the rest is from branch.
Varun Basrur: Sorry, in self-construction, what's LTV ?
Girish Kousgi: LTV will be , so if it is self -construction ; that is without including the composite, LTV is about 65%.
Moderator: Thank you. That was the last question. I would now like to hand it over to the management for closing comments.
Girish Kousgi: From Can Fin side, we thank all the investors for standing with us since all this long year. And we expect the same patronage will continue in the future also. Thank you. And I thank all the investors are supporting Can Fin and supporting me in this entire journey of three years. I think with all your support, Ca n Fin has put up very good show in the last three years.
Every single quarter, I think it has been a milestone quarter for us. In spite of

COVID , wave one,
wave two and wave three; then we had moratorium, we had restructuring , we had difficult times , I think, in all the times, I think all of you have supported Can Fin and me. I thank you all and look forward to engage with you very shortly. Thank you.
Moderator: Thank you. On behalf of Investec Capital Services, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Jan 2023

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January 24, 2023
ONLINE SUBMISSION

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Dear Sirs,

Sub: Transcript of Analyst/Investor Earnings Call for Q3FY23 Financial Results
Ref.: Our letter CFHRO SE CS LODR 22/2023 dated January 20, 2023

In continuation to our above referred letter, please find attached the Transcript of Analyst/ Investor conference call /earnings call held on January 20, 2023, Friday .

The aforesaid Transcript is also made available in the Company's website i.e., https://www.canfinhomes.com/analyst -meet.aspx

This intimation is submitted pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

Kindly take the same on the record.

Thanking you,

Yours faithfully,
For Can Fin Homes Ltd.,

Veena G Kamath
DGM & Company Secretary

Encl: As above.

"Can Fin Homes L imited
Q3 FY '23 Earnings Conference Call"
January 20, 202 3

MANAGEMENT : MR. AMITABH CHATTERJEE – DEPUTY MANAGING DIRECTOR – CAN FIN HOMES LIMITED
MS. SHAMILA – GENERAL MANAGER – CAN FIN HOMES

LIMITED
MR. APURAV AGARWAL – CHIEF FINANCIAL OFFICER – CAN FIN HOMES LIMITED
MR. PRASHANTH JOISHY - EX- CHIEF FINANCIAL OFFICER – CAN FIN HOMES LIMITED

MODERATOR : MR. NIDHESH JAIN – INVESTEC CAPITAL SERVICES

Moderator: Ladies and gentlemen, good day, and welcome to Can Fin Homes Limited Q3 FY '23 Earnings Conference Call hosted by Investec Capital Services. As a reminder all participant lines will be in the listen -only mode and there will be an opportunity for you to ask question after the presentation concludes. Should you need assistance during this conference call, please signal by pressing star then zero on your touchtone phone. Please note that this conf erence is being recorded.
I now hand the conference over to Mr. Nidhesh Jain from Investec. Thank you, and over to you, Mr. Jain.
Nidhesh Jain: Thank you, Neerav. Good afternoon, everyone. Welcome to the Q3 FY '23 Earnings Conference Call of Can Fin Homes Limited to discuss the financial performance of Can Fin Homes and to address your queries, we have with us Mr. Amitabh Chatterjee, Deputy Managing Director; Ms. Shamila ma'am, General Manager; and Mr. Ap urav Agarwal, CFO of Can Fin Homes Limited.
I would n ow like to hand over the call to Mr. Amitabh Chatterjee for his opening comments. Over to you, sir.
Amitabh Chatterjee: Good afternoon, all dear investors, and welcome to this Q3 earnings call. And to start with, our company Can Fin Homes has completed 35 years of existence. And during this year, we have reached a milestone figure of INR 30,115 crores. We have crossed the INR 30,000 crores figure, registering a nine -month growth of 20% Y -o-Y and our disbursement growth in these nine months from INR 5,500 cr ores to INR 6,410 crores, registering a 15% Y -o-Y growth. And our income has risen by around 38.65% from INR 1,427 crores to INR 1,978 crores.
Our operating profit has also shown an increase from INR 487 crores to INR 644 crores with a 32.13% growth. And o ur PAT from INR 348 crores has become INR 455 crores, registering a 30% growth. Gross NPA has been well contained . We are now around 0.60% gross NPA and net NPA is around 0.30%. So , our asset quality has remained stable.
So with this, I request the investors to ask any questions they have.
Moderator: The first question is from the line of Abhijit Tibrewal from Motilal Oswal.
Abhijit Tibrewal: I had two questions. The first one on, how are you looking at the demand environment right now? Y -o-Y disbursements were largely flat in the third quarter. So is there some sluggishness in demand, which has started coming in because of the high mortgage rates? Or would you say that 3Q was more of an aberration and you can again expect buoyancy to be restored from the fourth quarter onwards? So that is my first question, sir.
Amitabh Chatterjee: Just to answer your question, the demand is intact despite the rise in prices or rise in the cost of the building. And going forward, I think that desire to have an ownership of house in the affordable segment is quite good. And demand will be remaining intact in the coming quarters.

Coming to Q3, I think we have disbursed more than September. It is registering around 9% growth. And as far as book is concerned, 4.4% growth is there. And I think whatever we projected, 18% to 20% Y -o-Y, both in terms of disbursement and book growth, we are maintaining that trend.
Abhijit Tibrewal: Sir, the second question that I had was on the liabilities sid e. Just trying to understand, I mean, may be two subparts to this question, what was the total borrowings number as on December?
Amitabh Chatterjee: Total borrowings were INR 27,800 crores.
Abhijit Tibrewal: So sir, on the liabilities side, I wanted to und erstand that, I mean, how much did you borrow from NHB during the quarter? And are there any current undrawn sanctions from NHB, which maybe you're looking to draw down in the fourth quarter? And sir, what we have seen that during the quarter, you have bor rowed, I think, more extensively in the for

m of NCDs, commercial papers, basically from the debt market. You've also drawn down from NHB during the quarter?

So wanted to understand, I mean are these loans, NCDs and CPs kind of coming effectively, I mean, l ower priced versus bank term loans and which is why you are moving there? Or is the idea that given that 25% of the incremental borrowings during the quarter has to happen through debt market instruments, which is why you are maybe kind of borrowing throug h that instrument in the first nine months of the year. And then maybe in the fourth quarter, where we'll see more borrowings from the bank?

And sir, related question again here is that if I look at the margins, given that you have an annual reset on the l oans that you have given, homes loans that you have given to the customers, is there a reason to believe that margin compression will continue for one or two quarters depending on the trajectory that repo rate will take. And then from there on, we can expe ct some improvement in margins or some stability in margins?

Apurav Agarwal: To answer your first NHB question, I think we have borrowed around INR 900 crores during this quarter. We have got a sanction of around INR 1,500 crores from NHB. Out of that, INR 900 crores we have borrowed. And it currently constitutes around 23% of the total borrowings as of now, total outstanding from NHB is around 23% of the borrowings, that is one point.

And why we raised NCD, because we find that during the end of the year, there is a lot of demand for NCDs from the market. So that time, we are getting high rates. So we thought it, let us span it out throughout -- over the year. As a prudent decision, we have taken this, which was later borrowed throughout the year to get NCD at cheaper rate. And commercial paper is -- we are at what we were 1 year ago, I think commercial paper has not come down.

It is mostly a cost management tool. And whatever commercial paper we have borrowed, it is backed by bank borrowings on the way in limits. So we feel that at that date, commercial papers are ruling low than what bank has to offer. So we decided to go for the commercial paper. When they mature, if we find, it is prudent to use bank borrowings to liquidate that, we'll liquidate it.

Abhijit Tibrewal: And sir, on the margins?

Amitabh Chatterjee: Margins, see now around 72% of -- we have raised the rate of interest twice in this nine -month period. And 72% of our book is yet to be repriced, and it is going to happen in the next three to six months' time. So, I think we have already bottomed out as far as margin is concerned. Now what we foresee that going forward, our NIM and spread should increase because a major portion of the book will be repriced at higher rate.

Abhijit Tibrewal: What -- sir, I mean, by how much have we increased our lending rate in these nine months since repo rate hikes have started?

Amitabh Chatterjee: We have increased it at 145 basis points.

Abhijit Tibrewal: 145 bps already, great sir. And just one last question. L ast quarter, you had guided for about, I think 12 to 14 basis points of credit cost, given that we have already seen the first nine months of the year. Is there a reason to believe that credit costs this year could be actually lower than that 12 to 14 basi s points that you had guided?

Amitabh Chatterjee: See, our incremental credit cost during this year was 0.06%. And going forward, our credit cost will remain in that range only, our incremental credit cost, because our book is -- our asset quality is going to be stable in the coming quarters.

Moderator: Next question is from the line of Dhaval from DSP.

Dhaval: Sir, first question, just to sort of complete the point on margins. So you talked about that the spreads should have bottomed out. I just wanted to understand this repricing, what's the reason for the dela

y? Like, why do customers take -- like the reset rate takes time for these customers. You said that it will take another 3 to 6 months, so just to understand that part. And do you intend to take fur ther price hike or this is basically the peak level where you are at this point of time?

Amitabh Chatterjee: See, our -- we are following a method of annual reset. So all our loan books at the date of their disbursement, they get reset in the same date in the next year. So that's why I told it will take around three to six months to get the major portion of the books reset at a higher rate of interest. But our borrowings get reset at T+2 days some borrowing, some borrowings get reset at quarterly intervals. So this is the reason for the margin compression.

And as far as rate of interest, peaking of rate of interest is concerned, I think now that inflation

is almost controlled, and growth is the -- now government is thinking about growth, so we do
not foresee a major jump in hike in rate of interest in the coming future.
Dhaval: Understood. And sir, just to sort of complete the point on rate of interest. So if I look at from the lows that you had in 4Q '22, the cost of funds were 5.56% at that point of time. T oday, they are about 6.63%, so there is a 107 basis point increase till December. How much more increase do you see from the current level, let's say, in the next 6 months based on the current rate environment? Any colour around that? Just trying to think the 135 bps, would it be adequate enough to offset the impact eventually?
Amitabh Chatterjee: So I think we can expect another 20 bps increase in the coming days, max to max around 20 bps increase. And at every 15 days, we have an ALCO meeting within our c ompany, and we review what is the position. And if required to get the required marginal spread, we may go for another hike in the rate of interest.
Dhaval: So that's very clear. Sir, the other question is on the loan side. So you said that you maintain th e 18% to 20% disbursement guidance that we gave in the previous quarter. Just in terms of the ask, so right now, we are about 15 -odd percent disbursement growth for the first nine months. I mean, in terms of ask rate, that would translate to about like clo se to 24 -odd percent growth in the fourth quarter on a Q -o-Q basis and in absolute terms about INR 3,350 -odd crores. So just -- I mean, I just wanted to get your thoughts around it. I mean, what is the kind of growth do you expect for the full year on disb ursement?
Amitabh Chatterjee: See, generally fourth quarter is better than third quarter and third quarter is better than second quarter. It is a trend which is followed over the years. So Q4 also, we are expecting a good growth in numbers. On the conserva tive side, we are maintaining a 20%, but we may end up in a higher growth.
Dhaval: Did you mean on the loan side?
Amitabh Chatterjee: Yes. Book side as well as disbursement side.
Dhaval: Sir, just one last data keeping question, relating to provisions. C ould you give the stock of specific plus general plus restructured provision? Last quarter, that number was close to INR 280 crores. Where are we currently?
Amitabh Chatterjee: No, restructured provision, again, RBI restructuring, in second phase, we are a round INR 67 crores, we are holding as an additional provision as per regulatory norms. Other than that, we are holding around INR 221 crores on a total book.
Moderator: Next question is from the line of Shreepal Doshi from Equirus Securities. Shreepal, we are unable to hear you. May I request you to unmute your line please.

Shreepal Doshi: Sir, just wanted to understand what are the current card rates that we are offering to our customers?
Amitabh Chatterjee: Card rate currently what we are offering is 9.6 %

, and new customers onboarded, we are offering 25 bps concession.
Shreepal Doshi: And sir, so 20 basis points, so we would be giving them loans at 9.4%?
Amitabh Chatterjee: Yes, that is to the prime customers.
Shreepal Doshi: Prime customers, okay. And the higher range would be?
Amitabh Chatterjee: It depends upon the risk rating. And on an average, we find it should be around 10%.
Shreepal Doshi: Sir, just one other question was on this yield calculation side. So when we calculate it on the basis of ave rage AUM, or average gross loans, and the reported yields that the company gives, there's a constant difference which is increasing. So just want to understand the calculated yield side of the things that you guys work out with?
Amitabh Chatterjee: Joishy ji, could you answer this?
Prashanth Joishy: Yes. Shreepal ji, the interest calculation yield is on the basis of each loan what is its earning and the interest earned on the each loan for nine months. So because the rate of interest will depend upon each l oan, it depends upon the credit scoring, risk factors and all these things, even though the bank rate was 7.6% or anything, the end up rate will be a bit higher as of now. So that is why the yield what we are calculating on the straight line method and on the loan -wise method differs with a gap of around 15 to 20 bps.
Shreepal Doshi: So you are doing it on advances, gross advances or net advances, like...
Prashanth Joishy: Gross advances only. This is what we are earning on the loan amount what we have gra nted.
Shreepal Doshi: And sir, with respect to NIM, during the quarter, we did a decent job there. So what is it that we work with respect to liquidity? We brought that down in the balance sheet or what is that we did differently that we were able to manag e the NIMs so well, while the spreads have come down below 2.4%, which we've been guiding that will we be able to defend?
Prashanth Joishy: See, the NIM is totally dependent upon the borrowing costs and the lending cost, as I explained earlier. With that rate being firming up, 6.25% is the repo rate now and another 25 bps also hike

towards the end, the lending may end up at 6.5%. Factoring this and taking into consideration the overall revision what we have done and the annual reset of the existing book an d the incremental lending what we proposed in Q4, put together is going to give an anticipated NIM, which is higher than the present one. So virtually, we are at the bottom of the reverse bell curve. Whatever is going to happen going forward will be an upw ard trajectory only.

Shreepal Doshi: Sir, one last question was with respect to the provisions. So if we look at the provision coverage ratio on Stage 3, it has been quite volatile over the last say, 2, 3 quarters. Like earlier it was 53%, then it came dow n to 43%, then again, this quarter it is up to 50%. So what is the thought process there? What is it that we're trying to maintain here?

Prashanth Joishy: Actually, we migrated from the IRAC to the Ind -AS concept as per the regulatory guidelines from Q2 on wards. So going forward, we have to maintain the provisioning as per the Ind -AS or ECL model, whereas the standard assets also requires the provisioning at the rate of delinquency of SMA -0, 1 and 2. So because of that reason, in the IRAC, you may have to m ake the provision at 0.25% plus 0.40%, whereas if you factor that into percentage, the provision requirement may come up to actually 0.78% to 0.98% and 1.10%.

Because of that reason, the provisioning even for standard assets, ensuring that the NPA will not move, the provision coverage ratio will be going up because of the ECL model. That is why what you are seeing the volatile, it has come down and it is going up now. And going forward, any incremental lending, which is of standard nature, demands more prov isioning and

provision
coverage ratio also will improve going forward.

Shreepal Doshi: But your credit cost guidance remains intact as what you've guided, right, irrespective of these changes?

Prashanth Joishy: Absolutely.

Moderator: Next question is fro m the line of Ankush Agrawal from Surge Capital.

Ankush Agrawal: So my first question was on the 72% of the book that you said is yet to be repriced, what is the delta on the yield that you can expect on this book?

Prashanth Joishy: See, the main thing is what the reset is going to take place on an annual basis. That means that these loans are holding the rates what it was granted to them at the time of lending. If I say January lending of last year, the bank rate was somewhere around 8.25% and discounted r ate what is given to the class A lenders, borrower, is around 7.75%. Now this loan is getting to reset to the card rate, which is going to be 9.60%.

So that means there is going to be an impact to the positive side in the yield by nearly 2%. This is the de lta impact and the revision that will happen. That's why 72% is going to get repriced over a period of Q4, next Q1 and Q2. So this is presently 1.9%; going further, it will come down because June, we have revised, so that means Q1, the impact will be somew here around 1.5%, and when we come to the Q2, it will be around 0.75%.

Ankush Agrawal: So it is like it will decrease from 2% to about 0.75% quarterly. And in a down trending interest rate environment, this reset would again follow the annual one, right, i t won't accelerate?

Prashanth Joishy: Sorry, I think you were not clear.

Ankush Agrawal: So like in a downward interest rate environment, I believe we would be on the gaining part of it because same thing will happen that the annual reset would happen, an d we would be having a higher yield loan because it would be again a 1 year lag by the time that the yield gets repriced to a lower level.

Amitabh Chatterjee: That is exactly what we have told. When there is a downward revision in rate of interest, we stand to benefit immediately on that.

Ankush Agrawal: And sir, is there a possibility that in the case of any situation, like if you want to reprice the book in between, is there any understanding with the clients that in a situation like that, we can do it?

Amitabh Chatterjee: That clause is always there in the agreement. But we seldom use it because we do not want to lose our good customers.

Ankush Agrawal: But we do have an option there?

Amitabh Chatterjee: Yes. We are having that option.

Ankush Agrawal: And lastly, sir, on the capital raise, any time line or any thoughts like if you're looking to do it because I think we are approaching that 8x debt to equity that we have always kind of maintained as a hurdle. And if you say that you can do at 20%, so prob ably Q1, we would be needing some capital. So any thoughts on that?

Amitabh Chatterjee: See, every year, th e position is reviewed by the Board with regard to capital position and the projected profitability and other things. We are already having enabling clause. We may raise the capital in coming 2 to 3 quarters, if required.
Ankush Agrawal: Nothing has been decided as of now?
Amitabh Chatterjee: No, no. As of now, nothing has been decided.
Moderator: Next question is from the line of Shweta Daptardar from Elara Capital.
Shweta Daptardar: Couple of questions. Sir, you mentioned that as against the 20 bps spike, which you're anticipating in cost of funds, you would see somewhat asset repricing going forward? But at the same time, given that your card rate currently stands at 9.6%, so how much incrementally you see you have that leeway to increase this rate ahead?
Amitabh Chatterjee: See, down there, increasing rate of interest, we decide certain factors, what the competition is offering to our customer s and what is th

e targeted NIM and spread we hope we give to the investors as a reference point. All these things are taken into consideration. Book growth is there, AUM is there, everything. Then we can also raise the rate of interest at any point of time . So may be we may increase another 25 bps to 30 bps, if required so.

Shweta Daptardar: Okay. So against this backdrop, and you also mentioned in the previous question, that your disbursement run rate of Q4 is always better than Q3, but the momentum defini tely has come down. So any slowdown or sluggishness in disbursements will be observed because of the higher rates that we'll come to see going forward?
Amitabh Chatterjee: No. See, while it depends upon the affordability factor, whether higher -- whether c ustomers are ready to take that higher rate or not. Now the property prices are shooting up. Rental incomes are also going up. And what is the surplus income that customers will be -- the income levels are going on. And depending upon the surplus level ava ilable to the customer, I think they can take another 25 bps to 50 bps hike.
Shweta Daptardar: Sir, one last question. Is there anything on the audit front that is going on internally or from the regulator front? Any observations or anything that is pendin g? Also internally, have you changed your audit policy or some reviews which have -- wherein the frequency has increased now? Anything on that front, if you can give some color?
Amitabh Chatterjee: See, our audit policy is drafted in line with the RBI audi t policy. Apart from that, internally, we are auditing our branches once in a quarter for AHLC’s and other branches, big branches . For top 20 branches we have introduced a system of concurrent audit. So if anything is noted, the corrective measures can be taken at an earliest date. So , these all changes we have brought in. And apart from that, we are also imparting trainings and other inputs to our staff who are working in the field to be more vigilant and to have more due diligence. And as regards to the r egulatory audit, I think we have not heard anything so far. We have not been intimated. And we feel as such at present, there is no trigger to have such audit.
Moderator: Next question is from the line of Sarvesh Gupta from Maximal Capital.
Sarvesh Gupta: Sir, one question is on your disbursement rate. So obviously, if you look at it Y -o-Y or even sequentially, while there is some growth, but Y -o-Y, it's been flat. So what are the trends that you are seeing amongst your customer base, given that in the las t 9 months, 10 months, we have seen almost a 200 basis point increase? So if you can throw some light on how your customers are taking this interest rate hike and how it starts affecting their purchase decision and financing decision?
Amitabh Chatterjee: See, customers so far, have not reacted adversely to the whatever hike of rate interest we have passed on. Our BT are under the controllable level, and people have accepted this rate of interest hike. And we do not foresee that any slowdown in disbursement or retaining the book is a concern with the current rate of interest.
Sarvesh Gupta: And the 78% of your book, it is yet to be repriced. So what is this annual reset date, number one? And what can be the reaction once your customer get this sort of a oneti me hike of almost 2-odd percent, so what is the expected sort of reaction from the customers given this because

they would want to sort of shift to other lenders for getting better rates or something like that when they see such a steep hike in one go?
Amitabh Chatterjee: See, first of all, that 72% of our book is yet to be repriced. That is one thing. And if they think of going to new banks or some banks, there also they will face a similar rate of interest because whatever

bank they go, they will be getti ng that lending at the current rate. So it is not a problem.
I think we have been able to control our BT, balance transfer. And we do not foresee as a challenge to our disbursement as well as book growth.
Moderator: Next question is on the line of Dhaval from DSP Mutual Fund.
Dhaval: Just a couple of follow -ups. One is on the new MD and CEO appointment. Any time line around it? I mean, could you just update on that, that would be very useful.
Amitabh Chatterjee: See, the person who has been selected is exp ected to join in this financial year. So no date has been so far finalized.
Dhaval Gada: Okay. And sir, the other question is relating to the restructured book. So I understand bulk of the restructured book was supposed to come out of moratorium in the las t few months. Could you just update us on the behavior of the restructured book? How many percentage are paying regular, or some more data around that would be useful. And lastly, the data keeping question on gross Stage 2 asset. What's the number as of De cember 31st, and the provisioning on Stage 2 assets?
Amitabh Chatterjee: See. As far as the restructured book is concerned, that repayment has not yet started. It is going to start in a staggered manner. But since we have formed a team and that is followin g up of the restructured accounts, so though the repayments have not started, but in 30% of those accounts, we have started receiving the repayments.
And in some, accounts are getting closed also. So going forward, I think we will be handling this restruct ured book in an efficient manner. And against that, we are holding around INR 67 crores provision.
Prashanth Joishy: Regarding the Stage 2 accounts, the amount is the same as INR 1,000 crores. It remained same in Q1, Q2 and Q3. And we had more in last quarter also, restructured accounts have moved to Stage 2. So with INR 700 crores of restructured accounts put together, INR 1,700 crores is there in Stage 2 against which the provision held in the books is around INR 48 crores.
Dhaval Gada: Sorry, what is the provision number you said? Sorry, I missed that.
Amitabh Chatterjee: Provision is INR 48 crores. This is excluding the provision what we held under RBI direction of INR 57 crores.

Dhaval Gada: So just to be clear, on the INR 1,000 crore, you ha ve INR 48 crores. On the INR 700 crores, you have INR 67 crores.
Amitabh Chatterjee: Yes, correct.
Moderator: Next question is from Shreepal Doshi from Equirus Securities.
Shreepal Doshi: Sir, actually, my questions have been answered. It was with respect to the new CEO, which you just answered. So thank you.
Moderator: Next question is from Shubhranshu Mishra from PhillipCapital.
Shubhranshu Mishra: Just wanted to know the number of loan accounts that we have underwritten in this quarter versus 2Q? That' s the first question, sir. The second question is, is there a plan in place , will the parent be selling off certain amount of stake in Can Fin Homes? If yes, what's the plan or what has been the Board's discussion around it?
And the third question is, wha t would be the top 50 branches amounting to the total of book, sir? What proportion of book is coming from the top 50 branches?
Amitabh Chatterjee: See, as regard the new sanctions, what you asked, we had new approvals of around close to INR 2,600 crores d uring this quarter.
Shubhranshu Mishra: No, sir, not the amount, sir. I'm asking about the loan contract sir, volume -- the number of loan contracts?
Amitabh Chatterjee: He wants sanction numbers, total sanction amount. It is around INR 2,400 crores.
Shubh ranshu Mishra: Sir, I am asking for the number of loan accounts. This is the value, sir. How many loan accounts have we disbursed, sir?
Amitabh Chatterjee: Around 12,000.
Shubhranshu Mishra: And what was this number last qua

rter, sir?
Amitabh Chatterjee: It was around 10,500 you can say.
Shubhranshu Mishra: And the rest of the two questions that I asked, sir, the stake sale by parent and top 50 branches as a proportion of your AUM, sir?
Amitabh Chatterjee: I think at present, there is no talks about stake s ale by the parent. There is no discussion in it. And I think Canara Bank is making adequate profit and they have got good capital adequacy. So what we feel from our end at Can Fin, there is no reason for a stake sale at present. And as regard to this top 5 0 branches, it will be somewhere around 40% of the total outstanding.

Shubhranshu Mishra: Of the total book, sir?
Amitabh Chatterjee: Total book.
Shubhranshu Mishra: And the same proportion of disbursements, sir, top 50 would accrue to how much percent of the disbursement, sir?
Amitabh Chatterjee: Top 50, I think it will be to the extent of that only.
Shubhranshu Mishra: 40% of disbursement well, sir?
Amitabh Chatterjee: Yes. Around -- not 40%, around 35%, you can tell.
Moderator: Next question is from the line of Jigar Jani from Nuvama Wealth.
Jigar Jani: So firstly, on your guidance, would you be maintaining similar guidance of 18% to 20% loan growth for FY '24? And on NIM as well, we generally are guiding about 3%, maybe you said about 2.4% spreads in th e past. Do you think in FY '24, once you have majority of the reset done, we will be coming back to at least 2.4% or above spreads for FY '24 as you told? That is my first question.
The second question I have is, in your presentation, if you look at the Sl ide 12. On September '22, cost of funds is about 6.19%. But if you look at the pie chart wherein you are giving the borrowing mix at the bottom, the cost of funds for September '22 is 5.57%. So, could you just highlight why there is a difference there? And thirdly, I think we have reduced the number of branches by about five branches when compared to Q -on-Q. So any update on that, why there has been a reduction in branch count?
Amitabh Chatterjee: So branches, we have opened five branches during this financial year. And we are going to open around five to seven branches every year. And as regards the projections for the next financial year, this NIM and spread, our guidance will be around 3.5% NIM and 2.4% spread.
Jigar Jani: And sir, on growth?
Amita bh Chatterjee: Growth, it will be around 20%, book growth.
Jigar Jani: Right, sir. And on the cost of funds difference?
Prashanth Joishy: Yes. Cost of funds, what is mentioned in the funding basket is 5.57% is YTD, whereas 6.19% what has been shown is inc remental for the quarter.
Jigar Jani: And sir, one more query. Just structurally, what we have seen is your incremental housing loan ticket size that you mentioned in your PPT, that has been going up from Q1 to Q3. So Q1, it was INR 21 lakhs and now it is INR 24 lakhs. So is it that we are structurally targeting more higher

ticket sizes or it is just a factor of prices going up and essentially your loan amount effectively going up? What is the LTV increase? What is driving that increase?
Amitabh Chatterjee: It is a combination of both because that all those big branches, we are headed by experienced and senior level persons. We are encouraging them to give a higher ticket size loan. And in Tier 2, Tier 3 cities, we are focusing on more on affordable sector.
Jigar Jani: But there is no LTV increases associated with this?
Amitabh Chatterjee: No. LTV is the same. We have not changed our any policy with regard to LTV. It is same as it was before.
Moderator: Next question is from the line of Ashwini Agarwal from Edelweiss Mutual Fund.
Ashwini Agarwal: Just some question on BT out and BT in. If we see in the last one year, the interest rates have increased by roughly

190 basis points. And in last three to four months, the increase has been roughly 85 basis points. In the last three months increase, the banks have only passed on roughly 20, 25 basis points. The home loans, which were up late 8.2%, 8.3% has gone up to 8.5%. They have not gone up to 9.3% or somewhat. So for your customers, when the rates increased by 2%, do you think that they will not move out because the banks are currently giving loan at 8.5%?
Amitabh Chatterjee: Correct. See, whatever that has been in the public domain about rate of interest, it is for the prime customers. But when a customer reach es any financial institution, rate terms are believed to be based on his risk rating and his income levels and various other risk factors, and every bank and every financial institution have their own risk -rating metrics.
So though it appears at 2%, but I think that is not going to harm us in any way. And so far, we have not faced anything. And our BT in and out is, we have controlled it to about INR 100 crores per quarter. Two years back, it was INR 300 crores when our rate of interest was much higher. So we have taken a conscious decision to lower our rate of interest during last 2 to 3 years. And now we have controlled that BT out.
Ashwini Agarwal: So it is quite possible that you may not pass the entire 200 basis point hike to the customers and to retain them, the hike may be lower. You will decide that at that point of time, right?
Amitabh Chatterjee: See, as regard to passing of interest rate, it depends on two things, what is the rate prevailing at that point of time and how the risk rating of customer s are moved during that one year. So if a customer has moved from a higher bucket to lower risk rate bucket, his rate of interest will

automatically come down. Similarly, if a low risk customer has moved out to a high risk or
medium risk bucket, then the r ate of interest will go up.
Ashwini Agarwal: Okay. So it is not an automatic reset. It happens with -- after a discussion between the two parties, right?

Amitabh Chatterjee: No, no. It is an automatic reset. Before reset, we send the message to the custome r.
Ashwini Agarwal: And sir, what is the expected NIM next year, as you said? I didn't get that number exactly.
Amitabh Chatterjee: So expected NIM next year will be around 3.5%.
Ashwini Agarwal: Okay. 3.5%, that's a good number. And similarly, when we com e to the new CEO, it has -- there has been quite a lot of delay in hiring the new CEO. So what are the chances that the current
person would join in and there would be no hiccups later on?
Amitabh Chatterjee: I cannot comment on this. See, this is a proces s and it is a listed entity. We have to follow certain norms. We have to find a suitable person to head this institution as there are many stakeholders.
So I think that has taken time. And a person who selected, he or she needs some time because
he must be working somewhere, some period is there. So taking into account, I think it is not a
delay. It is a usual thing which happens.
Moderator: Next question is from the line of Jegadees Sharma, individual investor.
Jegadees Sharma: Sir, what is the borrowing cost which you just mentioned?
Amitabh Chatterjee: Sir, our borrowing cost is now 6.63%.
Jegadees Sharma: 6.6%?
Amitabh Chatterjee: 6.63%.
Jegadees Sharma: Okay, 6 -3, okay, okay. So total borrowing, sir?
Amitabh Chatterjee: 6.25%.
Jegadees Sharma: 6.25%. Okay. In terms of amount, sir?
Amitabh Chatterjee: Pardon?
Jegadees Sharma: Like total amount, like what is the total amount?
Amitabh Chatterjee: Total amount borrowed is INR 27,800 crores.
Jegadees Sharma: INR 27,800 crores, okay.
Moderator: Next question is from the line of Mahek Talati from Yellow Jersey Investment.
Mahek Talati: My question was regarding how much of our book is currently fr

om Bangalore or Karnataka?
Amitabh Chatterjee: From Karnataka, if you say, it will be around 20% to 22%.

Mahek Talati: And from Bengaluru ?
Amitabh Chatterjee: Bengaluru , it will be around, say, 17%.
Mahek Talati: So, which are the other markets which we are currently focusing on where we see good growth
in terms of disbursement except for this Bangalore mark et?
Amitabh Chatterjee: See, Telangana is there. Then also we are getting a good business from Tamil Nadu also. Then we want to increase our business in Maharashtra, Rajasthan and Gujarat, these three states.
Mahek Talati: So how many new branches are we p lanning to open in these new markets of Maharashtra,
Gujarat and Rajasthan in order to increase our focus there?
Amitabh Chatterjee: See, in coming year, we are going to open may be around two to three branches in these three states. And as of now, we are having branches in all the major centers in these states.
Mahek Talati: So what is any target to reach, like how many percent of we want -- we are targeting from new
markets of Maharashtra, Rajasthan and Gujarat? Any target, which we have shared?
Amitabh C hatterjee: See, we want to increase outstanding in Maharashtra, Rajasthan and Gujarat to around 30% in the coming year.
Mahek Talati: And sir, just might be a repeated question. How much rate hikes have we taken in this quarter?
Amitabh Chatterjee: This qu arter means last quarter or this current quarter?
Mahek Talati: This -- last quarter, in Q3.
Amitabh Chatterjee: Q3, we have taken a 50 basis point increase. And this quarter, we have increased around 35 basis points.
Moderator: Next question is from Ankush Agrawal from Surge Capital.
Ankush Agrawal: Sir, firstly, when you say that selected CEO is expected to join by the end of financial year, so
do you think that the person is already selected and the proceedings are already complete and is
yet to ann ounce?
Amitabh Chatterjee: Pardon, I think, you are not clear, I think some...
Ankush Agrawal: What I mean , that you said that the selected person would be joining by the end of financial year.

So, do you mean that the person has already been selected and you're just waiting for him to join?
Amitabh Chatterjee: Yes, yes. The person has been already selected and we are waiting for him to join.
Ankush Agrawal: And would it be possible for you to share some more details about the person?

Amitabh Chatterjee: See, he is from the industry and he's an experienced person.
Ankush Agrawal: Secondly, sir, just a clarification on the branch count. So the third quarter slide shows that we have 187 branches. Is it a misprint or like we have closed branches?
Amitabh Chatt erjee: No. We have not closed any of our branches. We are now having satellite offices and branches put together, we are around 205 now.
Ankush Agrawal: 192 plus 12 -- 13 satellite branches.
Amitabh Chatterjee: 13 satellite.
Ankush Agrawal: So, there's a misprint in the presentation of this call.
Amitabh Chatterjee: Thank you. We will get it corrected.
Moderator: Next question is from the line of Gaurav Jani from Prabhudas Lilladher.
Gaurav Jani: Firstly, if you could just quantify the investment income or the treasury income in Q3?
Amitabh Chatterjee: Sir, you were not clear, sir. Can you repeat that?
Gaurav Jani: What I was asking is, can you quantify the investment or the treasury income in Q3, please?
Amitabh Chatterjee: Sir, we will get it. Meanwhile , we can take another question.
Gaurav Jani: Sir, just to follow -up also on that, so on a 9 -month basis, we reported a margin of 3.46% versus 3.44% in the last 9 months. So if you could strip off the treasury income and then please lay out the margins. So that's on the treasury.
Secondly, you mentioned that about

28% of the loan book has already been repriced with 72% remaining. What would this number be on the borrowing side as to what proportion of borrowings have already been repriced?
Amitabh Chatterjee : Borrowings...
Prashanth Joishy: The borrowings are linked to 3 factors: one is T -bill linked; second is repo rate; third is MCLR; whereas T -bill stretch is around 4%, which is getting reset as and when the T -bill rate is changed. And most of the borrowin gs are linked to the three -month T -bill, so it is getting reset at the end of every anniversary quarter. Whereas repo rate also, we have gone with the anniversary concept, that means as and when repo changes, it will not change the rate. But on the anniver sary quarter, it will get changed. That means there also we have a leverage of some time to get calculated and adjust.

And MCLR also is on the quarterly MCLR basis. It will get changed only at the end of the quarter. That means virtually, the borrowing boo k is getting repriced at the end of anniversary quarter. And we will be knowing the applicable rate of interest while we can , so that we can do the back calculation, assessing the impact on the NIM and spread and reverse the lending activity as such.
So as to what is explained, I want to just add some more things. During this financial year, 2.25% is the increase in the borrowing cost. And because of the lag effect as well as this anniversary reset, we have passed on this load to our customer to the extent of 1.6% only during this financial year, 135 -- 1.35 bps we have passed on.
That means, if we compare to the other banks, their lending rate as of 31st of March to 31st of December, what the hike has taken place, and what is our lending rate from 31st of M arch to 31st of December, there is a huge gap.
So this is only a clarification given to the earlier questions also that whether you have an ability to increase further, to take care of your NIM as well, yes, there is a scope because we are still -- increme ntally, we are there when the increase has been taken place. The banks have increased on a phased manner month -on-month, but we have not done like that, right? So that is why we have a scope to see that. NIM and spread is not compromised this quarter as we ll as coming years. I hope I answered what you want?
Gaurav Jani: Yes, I appreciate your input, sir. What I was only trying to ask is of the INR 27,800 crores of borrowings, what proportion has already been repriced?
Amitabh Chatterjee: That is 28%. 72% is borrowing.
Prashanth Joishy: Overall borrowing book is linked to T -bill, MCLR as well as the repo , but for the NHB , if you want to see exactly, NHB INR 6,500 crores is there which has a separate rate. CP & NCD’s of

INR 6,000 crores are issued at a fixed rate of interest. So out of INR 27,000 crores, INR 12,000 crores is out, the remaining INR 15,000 crores has already got repriced.
Gaurav Jani: Really helpful. Just a slightly different way of asking you in terms of margin guidance versus the 20% AUM growt h for FY '24, what is the likely NII growth that we would look at?
Prashanth Joishy: NII growth what happens is, what we have told, the NIM and spread is maintained at the guidance of 2.4% and around 3 -ish. Keeping that as the base, we are doing the rework ing. On the same lines, what you can see on NIM, the same will be continued. When NIM is derived, the book loan is derived, you can to the reversal calculation and divide what will be the NII. So our calculation is on the basis of guidance, 2.4% of spread and around 3 -ish. That is 3 plus is going to be NIM.
Gaurav Jani: Sir, no, what I was just trying to understand that, sir, whether the NII growth would be more than 20% or not?

Prashanth Joishy: It will be, by default.
Gaurav Jani: Please if y

ou could giv e me the data points I had asked you?
Prashanth Joishy: Your earlier question regarding the treasury income. The investments are held for the purpose of SLR as well as the LCR purpose. And the LCR purpose, we have invested to the extent of around INR 1,200 crores, which was earlier lesser than that one. So current year, for the nine months, the interest earned on investment, what we call as the treasury is around INR 79 crores. The same period last year, it was around INR 13 crores.
Moderator: Next questio n is from the line of Jyoti Khatri from Arihant Capital.
Jyoti Khatri: I just missed on your credit cost guidance for the next fiscal. What's the number that you put up?
Amitabh Chatterjee: Credit cost is around 0.06%. And going forward, it will be around the same range.
Jyoti Khatri: And sorry for being repetitive, again. On the margin side, given all the inputs that you have given so far, don't you think that margins of 3.5% and spread of 2.4% is still very conservative. You can out beat that by a very bi g margin or that's not the case?
Amitabh Chatterjee: Just to add to what we said, our book is almost totally retail. So rate of interest is a very sensitive matter as we deal with the retail customers. And we have to see what the other banks and other HFCs are offering. So based on this, we have given a guidance of 3.5% in the near future.
Jyoti Khatri: And what outstanding provisions that you're holding total provision of INR 1,000 crores restructured book, that is INR 67 crores plus INR 48 crores?
Amitabh Chatterjee: Restructured book is only INR 701 crores, ma'am. Provision is -- restructure book is to the extent of 10%. RBI guidance is clear. We have to hold 10% of the restructured book as a provision, which is over and above the provisioning what we are holding in the book, in the normal course, either as per IRAC or ECL. So that is what we have told. We have INR 67 crores of additional provisioning, which is as per the RBI guidelines.
And as per the ECL, these loan accounts are classified as Stage 2, ev en though they are Stage 1. And against this one, we are holding a provision of INR 48 crores. So restructured, Stage 2 is having INR 48 crores; Stage 1 is also having the provision. Put together, the provision held in the books of the company as on date s tands at INR 290 crores.
Moderator: Next question is from Rohan from Multi -Act.

Rohan: Sir, my question was on the annual reset that comes up. Is the default reset option, a tenure increase or an EMI increase?

Amitabh Chatterjee: It is a combination of both. Wherever possible, we give for a tenure increase. And wherever the scope is not there as per our guidelines, we give for an EMI increase. And it is automatic.
Rohan: Sir, but based on -- I mean, the scope being there or not being there, the 72% of th e book, which is going to come up for annual reset, a large part of it, there would be scope for tenure increase or not?
Amitabh Chatterjee: Going by the previous experience, yes, last quarter, there will be a tenure increase.
Rohan: Sir, and in terms of d isbursements in Q4 to have the 20% Y -o-Y run rate being maintained, we'll require like a INR 3,000 crore plus disbursement. So you are seeing that kind of pipeline, sir?
Amitabh Chatterjee: Yes, sir. We are targeting on those lines also, and we are working towards that one.
Moderator: Next question is from the line of Rahul Maheshwary from Ambit Asset Management.
Rahul Maheshwary: I just had two questions. One, can you give what is the kind of rejection rate that is taking place. And looking at, as you ment ioned that you want to enter into new geographies and go into

Rajasthan and Maharashtra, I just wondered why, as a strategy, we are just restricted with four to five branches opening.
Does it mean that there is a very much higher scope in terms o

f the bran ches in terms of the loan per branch and the employee per branch? And if that is not the case, what is the maturity limit where you expect that per branch loan disbursement can go to? Because the rest of the peers when we look at even the large banks or th e NBFCs, the kind of branch expansion is phenomenally higher. Why we are just stick with our five to six branches?
Amitabh Chatterjee: See, we have got around 13 satellite offices, which we are planning to upgrade it to be a full fledged branch because tho se were opened some 5, 6 years ago. Now we see that the link branch to which they are linked, they are able to source from their own side. So these branches we'll be upgrading into full -fledged branches.
Apart from that, we are targeting around 5 to 7 bran ches every year.
And second thing, we are going for an IT overhaul where we find we leverage technology to bring in more customers. So that is one thing. And also as regard that Maharashtra and other states, we feel that the branches which they are there, they are in the major cities, where we will be increasing our efforts to increase the business there.
Rahul Maheshwary: So just to ask, current INR 147 crores per branch, the business, which has been doing, how much more lever per branch can go up to?
Amit abh Chatterjee: See, in the near future, we are thinking of increasing it to INR 160 crores. So apart from that, in coming days, we see around INR 200 crores per branch.

Rahul Maheshwary: And this is why you are not very much aggressive of opening the branches because there is still a lot of juice left from the existing branches? Or there is some other reason?
Amitabh Chatterjee: See, we have done the ABC analysis of all our branches. We still feel that around 25% of our branches, they are underperformi ng. We want to upgrade those branches and make efforts so that these branches also contribute optimally to the loan book growth and disbursement.
Rahul Maheshwary: And in terms of underperforming, what is the benchmark that you are keeping, 25% branches which are underperforming?
Amitabh Chatterjee: These under -processing branches, we are giving around 40% growth, both in disbursement and book growth.
Rahul Maheshwary: And first question, on the rejection rate, what is the rejection rate currently?
Amitabh Chatterjee: Rejection rate is around close to 11%.
Rahul Maheshwary: Sir, this 11% is the moment it has been sanctioned till the disbursement or it's at the point of sourcing, this 11% rejection rate?
Amitabh Chatterjee: At the point of sourcing only. At t he point of sourcing where due diligence and other income and other things are being checked. At that point of time, it is getting rejected.
Rahul Maheshwary: But as per industry's benchmark, your rejection rate is quite low. I mean any particular reason, sir?
Amitabh Chatterjee: See, generally, prima facie, when you do some checks, that itself we can come to know whether it is doable or not doable. That is at the time of PD itself, we see that whether this customer can be further progressed upon.
Rahul Maheshwary: And sir, you also talked about that you would be doing IT investments, etcetera. So have we -- have any systems on the early warning signals being established? And due to that, you can do a back tested, etcetera, mechanism?
Amitabh Chatterjee: See, we have got certain OTMS reports generated and based on that, we see any early warning signals are there or not. But since the present IT setup is more than 10 years old, so we thought to migrate it to new IT sector, where that book growth can also be taken carry forward.
Rahul Maheshwary: Sir, how much of the spending would be, IT spending, for the next two years?
Amitabh Chatterjee: So it is around seven years project. It will be close to around INR 200 crores.
Rahul Maheshwary: And this will be s

pre ad across seven years, you're saying?
Amitabh Chatterjee: Yes.

Rahul Maheshwary: And this, once the IT spending has been done of INR 200 crores, how much loan book capability on overall basis it can handle up to?
Amitabh Chatterjee: We have -- it will be h andling around INR 1 lakh crores of business. And it can be further scaled

up to 2 lakh crores of business.
Moderator: Next question is from the line of Shubhranshu Mishra from PhillipCapital.
Shubhranshu Mishra: Just wanted to understand the average dura tion of the liabilities, if you can mention that?
Prashanth Joishy: The borrowings what we borrow from the banks will range from 5 to 10 years, and the average tenures is somewhere around 78 months.
Shubhranshu Mishra: And what was this last quarter, sir?
Prashanth Joishy: What was...?
Shubhranshu Mishra: What was the same number -- average duration of liabilities last quarter, sir?
Prashanth Joishy: The tenure of the borrowings is fixed at the time of documentation only because the sanction letter will contain the tenure. And on the basis of that only, it is matched with the tenure position.
And it has been accordingly which has been borrowed. See the NHB borro wings are ranging from 10 to 15 years, bank borrowings for the long term are around 8 to 10 years whereas some short -term borrowings are ranging from 5 to 8 years.
It is the total mix. The average tenure when we call for is around 78 months fixed count. It is on the same line as that of last quarter or before last quarter also it was somewhere in the same range, that is six to seven years is average tenure that is going to come.
Shubhranshu Mishra: Sure, sir. But I was asking about the duration sir, not the tenure. I get the point on tenure, sir. Duration is something different. Maybe I can take it offline. That's fine.
Moderator: The next question is from the line of Bhaskar Basu from Jefferies India.
Bhaskar Basu: I just had one question, I think it's a r epetition. Just wanted a clarification around the repricing of the liabilities. It was not really clear. When you say MCLR -- sorry, the repo reset and the T - bill, could you just explain that once again?
Amitabh Chatterjee: See, certain borrowing, we have got different arrangements with different banks. MCLR, some banks reset the MCLR on the date of their changing the MCLR. Some banks, they do at the end of the quarter and some treasury linked borrowings, they reset at T+2 days. So, it is a mix of all.
But as you see, you can find out during a quarter, whatever change of rate of interest is there, it gets repriced.
Bhaskar Basu: So I mean it's more or less done in the same quarter itself?

Amitabh Chatterjee: Yes.
Bhaskar Basu: Most of them are short cycle resets.
Amitabh Chatterjee: Yes. By the end of the quarter, everything gets repriced.
Bhaskar Basu: So ballpark speaking, like given that your cost of fund has gone up by about 100 bps, if I look at between 4Q to 3Q and given that 51% of your book is basically bank borrowing, is it a reasonable assumption that 200 bps roughly give and take of the lending rate -- of the interest rate hike has got factored in?
Prashanth Joishy: Yes. Because 23% is of NHB borrowing is there of the total book, which is com ing at a contractual rate . NHB rate is some what couple of bps, 200 points below the market rate. And then the CP & NCD is there, which is around INR 6,000 crores, which is at a fixed rate of interest. That is around 24%.
So virtually, nearly 47% is almost at a lower rate or a fixed rate. So the only thing is only it is getting repriced and then it is getting repriced every quarter as and when the repo rate changes.
So that means it is not reset with Q1, Q2, Q3 and an ongoing basis.
Bhaskar Basu: So incremen tally, just to take

this to -- so basically, the asset side is yet to kind of reflect the reset -- the hikes which you have taken?
Prashanth Joishy: Yes. The full impact of the recent what is going to happen is not going to appear in the asset side over a period of remaining nine months, whereas the other side has already got impacted.
Moderator: I now hand the conference over to the management for closing comments.
Amitabh Chatterjee: I request our GM madam to offer closing comments.
Shamila: So I hope we have clarified all the questions, I mean answered all the questions. So , as you just said, we're looking for a very good quarter, the JFM quarter, and we've already given our guidance range. So, we are very confident that we will be able to live up to the expectations of one and all. Thank you.
Moderator: Thank you very much. On behalf of Investec Capital Services, that concludes this conference.
Thank you for joining us. You may now disconnect your lines. Thank you.
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Call: May 2023

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CFHRO SE CS LODR 99/2023
May 03, 2023
ONLINE SUBMISSION

BSE Limited
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25th Floor, P J Towers
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Mumbai – 400 001

BSE Scrip Code: 511196

Dear Sirs,

Sub: Transcript of Earnings Call for Q 4FY23 Financial Results
Ref.: Our letter CFHRO SE CS LODR 91/2023 dated April 27, 2023

In continuation to our above referred letter, please find attached the Transcript of Analyst/ Investor conference call /earnings call held on April 27, 2023, Thursday .

The aforesaid Transcript is also made available in the Company's website i.e., https://www.canfin homes.com/analyst -meet.aspx

This intimation is submitted pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

Kindly take the same on the record.

Thanking you,

Yours faithfully,
For Can Fin Homes Ltd.,

Veena G Kamath
DGM & Company Secretary

Encl: As above.

"Can Fin Homes Limited
Q4 FY202 3 Earnings Conference Call "

April 27 , 2023

ANALYST : MR. NIDESH JAIN– INVESTEC CAPITAL SERVICES

MANAGEMENT : MR. SURESH S IYER– MANAGING DIRECTOR & CHIEF EXECUTIVE OFFICER – CAN FIN HOMES LIMITED
MR. AMITABH CHATTERJEE – DEPUTY MANAGING DIRECTOR – CAN FIN HOMES LIMITED
MR. APURAV AGRAWAL – CHIEF FINANCIAL OFFICER – CAN FIN HOMES LIMITED
MS. SHAMI LA – BUSINESS HEAD – CAN FIN HOMES LIMITED

 Moderator: Ladies and gentlemen, good day and welcome to Can Fin Homes Q4 FY2023 Earnings Conference Call hosted by I nvestec Capital Services . As a reminder all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistan ce during the conference call please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Nidhesh Jain from Invest ec Capital Services . Thank you and o ver to you Sir!

Nidhesh Jain : Thank you Aman . Good afternoon, everyone. W elcome to the Q4 FY2023 earnings call of Can Fin Homes Limited . To discuss the financial performance of Can Fin Homes and to address your queries we have with us Mr. Suresh Iyer, MD & CEO ; Mr. Amitabh Chatterjee, Deputy Managing Director ; Mr. Apu rav Agrawal, CFO ; Ms. S hamila, Business Head of Can Fin Homes Limited. I would now like to hand over the call to Mr. Iyer for his open ing comments . Over to you Sir!

Suresh Iyer : Good afternoon and than k you Nidhesh and thank you everyone for joining this call on the Q4 results of Can Fin. Just to give brief highligh ts of the fourth Q4 performance and resul ts that was declared yesterday. So, the company has had a good disbursement growth of 8% for the entire year and a portfolio growth of 18%. The NPA has come down from 0.64% to 0.55% gross and net NPA has also come down to 0.26, so on the collections and recovery front the performance has been good. We have been able to bring down the NPA. The provisions we have had taken a conservative view and therefore the provision coverage ratio has a lso improved over the last year, which I believe would give a good comfort to all the people. On the NIM front and the spread front as you all know the rates hav e been going up and therefore in the earlier quarters on the liability side the entire interest going up because of the impact of the increase in rates whereas on the asset side we had gradual increase which was happening because of the reset at diff erent points in time and the entire impact of this rate hike on the asset side has not yet experienced in the books and in the coming two quarters also we expect the impact of this rate hike because of the interest reset tenure and therefore the interest s pread will slightly start improving going forward which you would have seen has already happened in the Q4 as well because a sizeable chunk of about 10000 Crores has witnessed the impact of a rate hike in this quarter so that is about it in ter ms of the pe rformance. The cost -to-income ratio is also down from 18.32 to 16.93 and I will leave to all of you for questions. Thank you.

Moderator : Thank you very much . We will now begin the question -and-answer session . The first question is from the line of Devansh Nigotia from SIMPL . Please go ahead .

 Devansh Nigotia : Yes, Sir thanks for the opportunity. Asset liability statement that we share every three months or six months or there for April to June quarter there is 3500 Crores mismatch so just wanted to gain clar ity on that?

Suresh Iyer : We are carrying sanctions and unavailed limits from the bank which takes care of a short - term liquidity manageme

nt.

Devansh Nigotia : How much is the limit?

Suresh Iyer : The limit is roughly around 4600 right now.

Devansh Nigotia : So basically, the April to June bucket mismatch will be taken care of unavailed sanction limits with the bank ?

Suresh Iyer : Yes.

Devansh Nigotia : We were looking to raise capital so any update on that, are we still evaluating or any thought process if you can share?
Suresh Iyer : As of now there is no immediate step for the raising of capital, as and when the need arises, we will be looking at it.
Devansh Nigotia : So, eight time s leverage is what you are comfortable with ?
Suresh Iy er: Yes, about eight times I think even with the rating agencies I feel there is no iss ue with gearing of about eight, i n fact the gearing has slightly come down in the last one year now it is below 8 actually.
Devansh Nigotia : The salaried customer mix we share d 50% are government salar ied so what prevents them for taking a BT towards ba nk because they can save 1.5% over there so what prevents them from going to the banks if you can just share is there an entry barrier ?
Suresh Iyer : The fact that they have come to us is also because of the service and dedicated team because we have a single product company so obviously the 100% focus is on giving customer service . Second thing is we have a network where the branch manager s themselves are directly dealing wi th the customer s so there is an association of the customer s with our staff as well and actually for up to 1% and all the actual impact on the EMI on an ongoing basis is not much so the kind of service that we are getting and the comfort of coming to us an d

 having a loan sanctioned in a quick time and the local service that is available for that they are ready to pay a little bit of a premium which converted into EMI terms does not become much. So, if you can see the prepay ment rates are not at all worrying in fact it is quite of a steady state there is no such worry on the prepayment rates either.
Devansh Nigotia : Undrawn limits that we have with the bank s what is the interest rate that we pay on ?
Company Speaker : So, these are basically lin ked to certain b enchmar ks that would be decid ed at the time that we draw them so basically it would be decided on the time of the disbursement drawdown.
Suresh Iyer : In case you are asking us whether we have to pay any charges for holding onto th ese undisbursed portion s no there are no such charges. It is only a sanction limit where the meter will start once we draw the funds.
Devansh Nigotia : I am confused that if the repayment that will happen will be more than the disbursement s a little more in this April to June bucket for 3.5 so we are fulfilling the banks but there is some interest that we will be paying on that so that is what my question ?
Suresh Iyer : I will just explain. So we have a monthly collection which is approximately a little around 500 to 550 Crores so in the one quarter itself we will be collecting in terms of the EMI and in terms of whatever collection s that come from the customer s is the trend that we have observed including the prepayment s comes to around 500 Crores a month which is 1500 Crores in the q uarter that plus if you look at the undrawn limits that we are having so we are quite comfortable in terms of the liability or this thing which is coming due for payment and one more thing that we are not taking into accounting that SLA statement that is a s per norms so we should not take the available CP limit which is available that anytime we can draw fr om market and to meet our funds. As per guidelines it is not used for taking as an inflow of fund for the computation of SLA statement.
Devansh Nigotia : Thanks a lot. I will come back in the queue.
Moderator : Thank you. The next question is from the line of Gaurav Kochar from Mirae Asset . Please

go ahead.
Gaurav Kochar : Hi thanks for taking my question. Good afternoon gentlemen and congrats on the quarter. Sir you made a standard asset provisioning of 25 Crores in this quarter can you explain the reaso n for creating this, is this for strengthening the restructured provisions or in general some strengthening of stage 2 provisions ?

 Suresh Iyer : As I mentioned in the beginning itself that we are just strengthening and ta king a conservative and strengthening a further improvement in the provision coverage ratio and it is in the ECL model whatever is there that we have taken so beyond that there is a slight addition that is being carried just to improve on a conservative basis the PCR.
Gaurav Kochar : So, what would be the total quantum of provisions that we are carrying on balance sheet as on March 31, 2023?
Suresh Iyer : 312.
Gaurav Kochar : What was it last qu arter if that number is handy ?
Suresh Iyer : 290.
Gaurav Kochar : Alright and this would be across buckets stage 1, 2 and 3 understood thanks for that. The second question is with respect to the jump in the yield that 8.87 went to 9.87 during the quarter and earlier in the call you mentioned that there is some bit of repricing which is still

pending and which will happ en over the next couple of quarter s so just wanted to
understand in this context and also the cost of funding inching up to 7.5 where should
ideally the NIM settle in FY2024. This quarter it was at 3.37 so incrementally given that
spread has improved and spread will continue to improve can we expect this to move
towards 3.5, 3.6 mark over the next few quarters ?
Suresh Iyer : So just to explain in the last quarter out of the entire book of about 30000 Crores we had
about approximately close to some 10000 Crores which came for a reset and where the
interest rate was hiked at the time of reset that has what has helped us in improving the NIM
and yield on the book. Additional to that in fact the rate impact on the new customers also
we have been charging at the higher rate post the rate hike, so the new customers have all
been coming at a higher rate, so both these factors have resulted in the yield imp roving from
eight point something to 9.8 plus that is point number one. In terms of the second part of
your question as to what is the quantum of the portfolio which is yet to experience a rate
hike we still have about 18000 Crores which is yet to receive part or full of the rate hike that
has to be passed on. This will come over the next two quarters that is in the April to June
quarter another 5500 Crores of book is likely to come up for a little bit of rate hike and in
the quarter subsequent to that that is in the July to September quarter another about 7500
Crores plus is likely to come for a reset so both these things will help us in further
improving the yields and right now it is about 3.45 so yes we can expect around 3.5 or
thereabouts or a little be tter also probably going forward. The other side you said about the
 cost of 7.51 so almost the entire liability side we have already experienced the ra te hike on
the liability side so from going forward unless there is some negative impact or something
the rates is remaining stab le as they are as of the moment, further increase on the cost side is
not very likely.
Gaurav Kochar : Alright, so the yield repricing would continue in the next two quarters whereas on the cost
side large part of it is already behin d us is that a fair sort of statement ?
Suresh Iyer : Not a fair part almost 50% of the rate hike on the asset side has been passed on, another
50% is likely to come up so around 3.5% kind of a NIM is something we can look at which
is 3.45 a few 5 to 7 BPS i mprovement in the NIM can be expected.
Gaurav Kochar : Sure. Sir mathematically that number looks high

er because if let us say half of your book is
going to be repriced let us say even by 100 basis point s that would take the yields up by 50
to 75 basis poin ts and at the same time on the cost side if it is largely done or maybe another
10 to 15 basis point s comes up I think you are talking about 30 basis points of incremental
margins over and above 337 you report ed so mathematically this looks like a 360, 370 kind
of a number but you are saying it will be more or less in the range of 3.5 ?
Suresh Iyer : Yes, so it is not entire 100 BPS kind of increase that we are looking at because last year we
increased our rates on three occasions so part of the portfolio has already experienced the
full three cycles completely o r the three rate hikes has been passed on. In some two rate s
rate revision s are yet to be passed on and in some only one is yet to be passed on so that
way on the entire remaining 50% the entire 1% plu s is not likely to pass on there ha s been
two parts some of it will experience about 85 BPS the others will experience about 35 BPS
that is the kind of breakup.
Gaurav Kochar : Sure and just lastly on AUM growth whilst overall AUM growth remain ed healthy at 18%
the disbursement was slightly soft about 25 odd billion so going forward now that you have
taken over next year what would be the disbursement target maybe let us say overall yearly
disbursement target and in th at context what kind of AUM growth are w e looking at from a
medium term maybe two, three years ?
Suresh Iyer : As I again explained in the beginning that the rate hike that has happened or other I would
like to say the rate hike that has happened has slightly impacted the demand as you would
also have seen from the commentaries from other rating agencies as well as from banks that
these rate hikes have impacted the EMI and therefore there is a rethink by some customers
and resulting in slight impact o n the demand even ICRA for that matter had represented
 about 13% kind of a growth on all. Having said that now with the rates being stable we can
look at some improvement in the demand and from supply side also post the CLSS is being
getting over there was a slight shortage or reduction in the supp ly which also should come
back in the market so once that happens in the coming year probably in the second half
definitely we can expect the demand to be really picking up, s o on a portfolio basis we are
confident that about 18 to 20% kind of a growth in the loan book should be possible.
Gaurav Kochar : Sure, g reat Sir and just related question to this. If I look at our average ticket size around 25

lakhs maybe at Gruh the ticket sizes were slightly lower maybe more affordable sort of a segment in Gruh finance is there a possibility of maybe the share of the lower ticket loans incrementally increasing or moving towards the 10 to 15 lakh category or the shares of 10 to 15 lakh category increasing over the next two to three years is there a possibility of that ?
Suresh Iyer : As of the moment if you look at the branch network there is a difference in the branch network that Gruh was having and the branch network that here at Can Fin is there. Today here we are having a maximum presence in the metro and urban town s and the business is coming from the towns as well as from the periphery areas whereas Gruh had a very large portion of branches which a re in the deeper pockets. So obviously the deeper pocket the property cost s themselves are a little on the lower side w hereas here if you look at the urban towns and the metro the property cost itself is on the higher side like you would not get a property even in the periphery of B engalu ru or Pune or places like that at a cost of less than 35, 40 lakhs so that being the d ifference if that mix has to change then deeper penetration will have to come which will be from bra nch expansion so that

cannot happen very quickly
or overnight so as of the moment the focus will remain in the sw eet spot which is around 20 to 25 lakhs.
Gaurav Kochar : Sure. Perfect. Great Sir. Thanks a lot and all the best.
Moderator : Thank you. The next question is from the line of Ankush Agrawal from Surge Capital. Please go ahead.
Ankush Agrawal : Hi Sir. Thank you for taking my question. Firstly Suresh S ir now that you have joined Can Fin so I wanted to know what would be your key priorities and focus for next coming year s like in terms of say branch expansion or adding new product portfolios or in terms of what kind of construct do you look at Can Fin in terms of spread if you can highlight that ?
Suresh Iyer : In terms of the first part of your question regards expansion yes in the last three years because of this COVID and all there was a pause in terms of the branch expansion which

we would be looking at . In terms of the presence geographically we are having a very wide spread presence across the country so within those existing areas of operations definitely there are opportunities in large upcoming towns and big cities where we can look at so we will be looking at it but it is on a gradual basis where we will be looking about 10 to 15 branches a year that will be something on a very manageable basis that we can look at and that is what we will be looking at. In terms of the business mix there is a very h ealthy mix as of the moment of 70% of salaried and incrementally also and S ENP of about 30%. It is a very comfortable mix as of the moment which we would like to continue and the focus will continue to be on growing the business from the reta il segment.
Ankush Agrawal : In terms of kind of ROA, ROE and leverage that you target ?
Suresh Iyer : So, the ROA is right now inching up and it is already 2.17 ROA and so I think that is a very comfortable kind of ROA that we are looking at. The ROE is also now about 17 it has just crossed 17 so I think in terms of this it is a very healthy ROE, ROA.
Ankush Agrawal : For the loan book we have guided that you are confident on 18 to 20% growth for FY2024 but in terms of disbursement do you believe that there would be disburs ement growth to accompany this loan book growth ?
Suresh Iyer : Yes, so about 20% growth in the loan book will be able to help us achieve or maintain this 20% loan book growth as well.
Ankush Agrawal : But at 20% disbursement growth I believe the loan book gr owth will be much higher right ?
Suresh Iyer : No, it would not be very high because you also have to look at the prepayments and the amortization that happens. So if you look at our 20% growth going forward you are talking about somewhere in the range of ab out 10500 odd kind of Crores and from that if you look at the prepayments and all there would be prepayments and amortization happening so net about 6 to 7000 Crores is the growth that will happen in the book which will be about 20%.
Ankush Agrawal : Thank you. That is all Sir.
Moderator : Thank you. The next question is from the line of Dhaval from DSP. Please go ahead.
Dhaval : Just on the distribution side so you highlighted that about 10 to 15 branches that you are looking to add just from a medium term pe rspective I think currently the business is largely sourced from the DSA network how do you see the sourcing mix and the branch expansion

journey would it change or by and large you will move in the current template any thoughts around sourcing and distrib ution network ?
Suresh Iyer : In terms of the present thing the DSA channel is a very strong sourcing channel for us and that will continue but yes there is a lot of opportunities in tap ping the existing customer base and getting business from our existing w alk-in customers and doing some digital

marketing as well so we wil

l be exploring that so that probably could slightly increase the
composition from the direct business also but the DSA business will continue to constitute a
sizeable portion of our sourcin g.
Dhaval : Understood and in terms of geographic concentration historically Karnataka, Tamil Nadu
used to be a big part over a period of time while they are still significant today the share has
been coming down over the last few years just if you take a t hree-year view how do you
think about geographic concentration and within that sort of opportunities in Tier-2, Tier-3
any thoughts around that would be useful ?
Suresh Iyer : So our present composition of the book is that about close to 65% plus of the book is
coming from the southern states and the remaining from the rest of the country, so
obviously though the base is lower the growth can still be on the higher side but t his can
inch up somewhere in the range of about 60:40.
Dhaval : Got it and just last co uple of things in terms of gaps any gaps that you see either on the
technology side or any other HR side or any gaps that you believe that needs to be filled in
the next three, six, nine month period any thoughts around that ?
Suresh Iyer : There is no major thing something to be worried about actually. The normal thing that is
there that would always be there. I do not see any kind of a challenge in that sense, t he team
is quite stable, well experienced , the processes are very much in place, the audit and th e
audit pillars are very much in place, compliance and regulation. There are all these aspects
when you look at it; it is a very kind of robust machine which is already in place so nothing
which I would say is an area of concern.
Dhaval : Got it and last qu estion is on the hiring of CRO and the CFO where are we in that?
Suresh Iyer : They are already on board.
Dhaval : Great and C RO?
 Suresh Iyer : We do have a gentlemen who is presently looking at it but yes, we will be looking at
somebody going forward because we still have people retiring and senior people on board
so we will be looking at something.
Dhaval : Great. Wish you all the very best. Thank you.
Moderator : Thank you. The next question is from the line of Rajeev from YES Securities. Please go
ahead.
Rajeev: This is Rajeev. Thanks for taking my question. Sir the first question is on the BT out
quantum in this quarter what was it and what was it in the last quarter and also if you can
tell us what are the movement s in stage 2 assets on sequential basis ?
Company Speaker : The BT out per quarter is roughly in the range of 100 Crores.
Rajeev : In a quarter ?
Company Speaker : Yes, in a quarter, full quarter.
Rajeev : An upward of same number last quarter will be ?
Suresh Iyer : We have not see n any change in the pres sure coming for balance transfer whatever is the
regular course of business that is happening that is what we have been experiencing.
Rajeev : Correct but what I see is that the absolute portfolio rundown in the quarter is lower than the
preceding quarter w hat would explain that Sir ?
Suresh Iyer : So we also had a CLSS claim that was received, i n this quarter total about 272 Crores is the
CLSS that also was there during the year so that is also one of the reason s why this is on the
higher side and as you know the CLS S credit that is received has to straight go to the
principle.
Rajeev : Sir on cost of funds you are expecting that the cost of funds may n ot increase significantly
from h ere-on but I was looking at your marginal cost of funds for the quarter it is 7.5 and
your stock cost of fund is 6.3 so if the marginal rate is so higher than the existing overall
rate then it has to go up materially ?
 Suresh Iyer : On the yield also now we have seen about 8.99 % and going forward we have these two
tranches

of totaling up to about 18000 Crores which is due for reset in the coming two
quarters plus the incremental business is also happening with an average yield of about
9.8% plus so that way if you look at the math the spread will continue to be maintained at a
present rate of 2.65.
Company Speaker : One more thing this quarter we have raised N CD to the tune of 1000 Crores at a rate of 8.45
as a mandatory requirement so I think that has led to a slight increase in marginal cost of
funds.

Rajeev : Got it and Sir what are yo ur thoughts on tapping the assessed income segment so while you spoke about the ticket size remaining where it is the composition of salaried and self - employed remaining where it is but from a customer profile perspective in formal income are we thinking o n those lines or would we be thinking on those lines sometimes in the future ?
Suresh Iyer : As of now we are comfortable with the present 70:30 kind of a mix and right now we look at it as we go forward but as of the moment, we are quite comfortable with th e 70:30 mix.
Rajeev : Sure, my one question on stage two assets I was requiring those details.
Company Speaker : So, stage 2 assets have not moved much .
Rajeev : Thank you. Best of luck.
Moderator : Thank you. The next question is from the line of Onkar Ghugardare from Shree Investment s. Please go ahead.
Onkar Ghugardare : Just wanted to know at the beginning of the presentation you have stated that journey has just started 35 years and counting and it is just the beginning why do you say like that, just wanted to know ?
Suresh Iyer : It is a very big market and we are still a small player so there is a huge scope for growth and it is a very long runway so basically that is what we look at it. That is why we are very positive about this.
Onkar Ghugardare : Yes, but in terms of growth rate if you talk about that it has been average other players are growing at a much faster rate and with kind of similar NPA ?
 Suresh Iyer : What I am trying to say is that it is not from the point of view of our growth or immediate growth or in that kind of a spurt in growth or anything but from th e point of view that at 35 years also we are young because we still have a long way to build the organization and that we also have a long runway in terms of the housing market in India so from that potential we have from 31000 Crores to about a lakh of Crores is still something which is very much in the not so far away dream for us.
Onkar Ghugardare : Yes, but as far as the addressable market is concerned it is for each and every player in the housing finance company ?
Sure sh Iyer : We also are very positive about; others also share the same view that is about it.
Onkar Ghugardare : Earlier you used to give certain targets for like next year or two years you stopped giving that any particular reason for that ?
Suresh Iyer : We j ust shared. I think there was an earlier question as to what is the long book growth so we did mention about the loan book growth in the range of 18 to 20% that is what we will do.
Onkar Ghugardare : Bur earl ier it was given in your presentation you have ju st removed that I was asking about that.
Suresh Iyer : There is nothing of that sort but I think this has been the standard thing we have been talking about 18 to 20 is kind of what we have been saying for the last few years. The story will remain the same 18 to 20 we are quite comfortable it is a healthy growth rate at the same time it is a very manageable growth rate so that is what we will look at.
Onkar Ghugardare : As far as the debt to equity you were saying eight times leverage you are comfortable with you just said it is 7.97% you said that whenever it is required is there any particular level in your mind that at this point we will do it at certain gearing we will do it ?
Suresh Iyer : See as of the momen

t looking at the growth trend if you look at it, the internal accruals and healthy profit ratio that we are having the internal accruals should also be able to give us a good amount of scope for growth plus if you look at the requirement or the regulatory limit it is 12 times of the network you can borro w so there is still a good runway that we are having.
Onkar Ghugardare : Correct but you have not gone beyond this like for many years now right ?
 Suresh Iyer : I think Sir if you look at maybe 2018 -2019 that time our debt equity was more it was close to 9 an d 10 so from that it has now been reduced to 8 so 8 is comfortable for us and our bankers are quite comfortable at giving at a cheaper rat e at this leverage ratio.
Onkar Ghugardare : So, in the near term there is nothing in the offering you are saying right ?
Suresh Iyer : We have got enabling clause in AGM about raising of capital, i f we find that good growth opportunities are the re then we may review our position and if required there is always an enabling clause we can raise a capital.
Onkar Ghugardare : As far as the current situation is concerned how is the situation ?
Suresh Iyer : I think maybe in coming two to three quarters we do not feel any need as such and with the profits which are being plowed back we should be able to take through for the year also.

Onkar Ghugardare : Just one question o n the demand side any pressure you are seeing on the housing demand side?
Suresh Iyer : As we said in the beginning yes because of the rate there was a little bit of slowdown which we expect will change as the rates are now remaining flat and will hopefully start going down also so that should also push the demand.
Onkar Ghugardare : Your personal opinion on the rate cut which you would be expecting say next two to three years, particularly your opinion not the company's opinion ?
Suresh Iyer : I can talk about wishful thinking but I guess qualified opinion can only be given by the RBI otherwise it can only be wishful thinking.
Onkar Ghugardare : Correc t. Thank you.
Moderator : Thank you. The next question is from the line of Pooja Ahuja from Monarch Networth . Please go ahead.
Pooja Ahuja : Thanks for the opportunity. Sir since you have mentioned in this quarter you have taken higher standard asset provisioning and increase the PCR so for the next two, three years could you guid e in terms of credit cost what sort of numbers are we building in ?

Suresh Iyer : It is not because of that we are expecting any higher credit cost that we have made this provision. As we said that we are quite comfortable with the collections and the recove ry position is quite comfortable. Just this thing of being on the conservative side and to improve the PCR ratio we have actually had this additional provision otherwise we are quite comfortable so we do not expect to see any spike or any increase in the c redit cost going forward also.
Pooja Ahuja : 10 to 15 BPS is that a sustainable level of credit cost we can expect ?
Suresh Iyer : I think credit cost should hover around maybe 5 BPS or maybe maximum 7 BPS.
Pooja Ahuja : Thank you and secondly on the borrowing mix you have seen that the CP share has gone down just wanted your perspective on how do we see this mix going forward ?
Company Speaker : So, CP is used a s cost leverage tool and as you experience with the markets capital markets are not so favorable in the closing quarters of the year, so we analyze whatever is the best possible solution be it from the banks side o r from the capital market accordingly we choose the source of funding.
Pooja Ahuja : Alright. That is it from my end. Thank you .
Moderator : Thank you. The next question is from the line of Jigar Jani from B&K Securities . Please go ahead.
Jigar Jani : Thanks for taking my qu

estions. Couple of questions. So, I am just looking at your slide on slide #12 we have seen an increasing spre ad on a sequential basis but our NIM s have compressed on sequential basis so any one -offs there in the NIM figure ?
Suresh Iyer : What was the last part of it is there any?
Jigar Jani : Any one -offs because we have seen net interest margin you reported net in terest margin dropped from 3.47 to 3.37 despite spreads increasing by 2.24 to 2.36 ?
Suresh Iyer : Yes, so there is just a timing difference in this quarter but on the longer term basis if you look at the coming quarter there will be likely improvement in th e spread and NIM s because as I explained earlier we are expecting on the asset side rates to be slightly adjusted as an impact of the reset happens.

Jigar Jani : So when you say 7.51 is the cost in this slide that is the cost for the entire quarter or is it the exit cost that you are giving us because there is another slide on slide #16 where you are giving the quarter four cost to be slightly lower so just wanted to reconcile which is the quarterly cost ?
Company Speaker: Yes, what happens is in this slide w e give the incremental cost of borrowing for the specific quarter and in next slide we give the total cost of funds for the next quarter .
Jigar Jani : Understood and right now what would be the incremental cost of borrowing would it be similar?
Company Spea ker: I think it will be on the lower side than the last quarter because last quarter we had to raise NCD as per the regulations of SEBI which was on the higher side and the composition of the N CD was also on higher side to comply with the regulations. This quarter incremental cost of borrowing should be lesser than the last quarter.
Jigar Jani : May be any figure you could guide to 10, 20, 50 BPS how much would be lower ?
Company Speaker: It is difficult. I think it is generally first quarter the disbursement generally does not happen as it happened in the fourth quarter , this depends on what will be our requirement of funds. At that point of time we will see what will be our incremental co st of borrowing for this quarter, maybe if CP is prevailing at low er rate and come down and our ALM support s

raising of CP we may raise C P also that could be at much lower rate than the bank borrowing.
Jigar Jani : Understood and Sir what is the outstanding restructured book and has some part of restructured book started payin g and how has been the performance there in terms of collection efficiency and numbers basically bounce rates if you could guide something ?
Suresh Iyer : So, the total restructured book is around 695 Cro res. It has just in fact effective February started co ming out of it so it is actually too early to give a prediction or kind of this thing as to how it will behave so the efforts we have already initiated and the customers are also will come back and start paying so that is the kind of thing. It is not a ver y large book that is there and we expect that the repayments also will start. I guess the next quarter will be a better time to really give you a picture as we will be in a position to give you a picture as to what is the trend of the repayment.
 Jigar Jani : Sure, and S ir last question is on the cost -to-income ratio any guidance can it hover around 16 to 17% level ?
Suresh Iyer : We are already at a tag below 17% and we can expect it in the same range of about 16 to 18% kind of range that it will operate.
Jigar Jani : Thank you so much for answering my questions and best of luck.
Moderator : Thank you. The next question is from the line of Abhijit Tibrewal from Motilal Oswal . Please go ahead.
Abhijit Tibrewal : Yes, thank you for taking my questions. Firstly I just wanted to understand has there been some change in the way we classify

bank borrowing s and NHB borrowings the reason I asked is if I look at the funding mix and the borrowing mix that we give please correct me if I am wrong but numbers for March 202 2 has been restated, some reclassification between banks and NHBs just looking at your Q4 presentation of FY2022 and Q4 presentation of FY2023?
Suresh Iyer : Abhijit actually what has happened from the year 2021 – 2022 as per SEBI LODR we have to raise NC Ds to the 25% of the incremental borrowings. In future you can find that NC D finding a place of 25% in the borrowing mix in the coming future because in incremental borrowing whatever this is also the NC D in that case our bank borrowings may come down that i s one thing that is what we envisage in the future and our CPs have decreased because as told because we find that bank borrowings are cheaper than the CP borrowings so if again if we find that bank borrowing are costly and CP it is a low cost our CP may i ncrease so that is the major change which has happened and likely to happen.
Abhijit Tibrewal : Understood Sir. Sir basically the way we used to kind of classify basically and the way we used to report our borrowing mix has not really changed right?
Suresh Iyer: It has not changed there is no change.
Abhijit Tibrewal : Sir secondly you did touch upon the demand outlook and the fact that most other many institutions have also acknowledged that there was some at least sentimental impact in demand on mortgages c ustomers were delaying their purchases , but s ome expectations of stability in interest rates you are expecting this demand to recover in the second half of this fiscal year is that the right way to kind of look at it?
 Suresh Iyer : You are right so if the r ates remain steady and/or if they come down then the demand, I think will be back in market should see an improvement.
Abhijit Tibrewal : Got it that is specifically why I asked basically what I was trying to understand is during an interest rate upcycle th e fact that as a franchise we do annual reset on interest rate on a rolling basis there are always merit in I would say customers sticking around with us but now that interest rates are stabilizing and then there are expectations that whenever in the next six months, nine months, whatever the interest rates start coming down the fact that their interest rates will be reset on an annual basis while banks will be very prompt in passing on any repo rate cuts is there a risk that customers might want to move on or take balance transfers to other lending institutions given that you have seen such cycles what is it that you would typically do in the interest rate down cycle? How do you kind of retain those customers?
Suresh Iyer : See first of all this kind of a 200-bps rate hike in a very short period is kind of unprecedented . Normally any rate hike or reduction happens in a more gradual manner and so therefore this kind of a very high difference between the prevailing rates for new customers and existing customers is not usually there so if the rates start going down in a gradual manner the difference between the current and the existing rates for the customer and for the new customer would not affect much and the rese t will not be much of a

problem; however, as re gards to what we normally do for such kind of things we have an internal rating system and we look at the customer and based on the rating of the customer which is on multiple parameters and gets reset every year we will try to retain the customers who are really good and we will look at that. That is an option that w e can always think of and look at to retain the best customer but normally as I said it is normally not so much of an issue if it is a gradual kind of reduction over a period of time.

Abhijit T ibrewal : Sir just maybe adding on to that hypothetically speaking given that there has been

a very sharp I would say maybe 10 to 11 months very sharp increase of 250 basis points increase in repo rates for whatever reasons again hypothetically speaking if there is let us say a 50 basis points kind of a rate cut an y time this fiscal year so what you are suggesting is while we will continue to have annual resets just like we have contractually but there is still that room to retain that customer who kind of c omes to us and say that listen I am getting 50 bps and 75 bps lower from another bank so that flexibility still remains with us is what I understand right?

Suresh Iyer : The flexibility is there but as I also said that a small difference in the rate would n ot be too very difficult to convince because in terms of the customer the EMI that matters and the

 EMI general ly does not change i t is EMI remaining constant the general impact is given in the balance tenure so customers generally do not react so much to t hese kind of things and floating interest rate or variable rate thing has been prevalent for more than close to 20 years now so the customers are also aware of how it operates.

Abhijit Tibrewal : Last question from my side you have already kind of suggested that we have increased the provisioning cover on standard loans consecutively so that point is well received but on two things that I wanted to understand here given that more often than not when we do not take basically provisions during a particular qua rter we kind of defended by saying that lot of this moves in line with the LGDs, PDs and what is the requirement of ECL and then obviously there are quarters where we conservatively take provisions to shor e up the provisioning coverage ratio , basically are we now kind of comfortable with these kind of provisioning cover or new thing that there could be quarters going forward where we could see that conservatively we might choose to build onto that provisioning cover?

Suresh Iyer : You mean to say would there be a position of adding to this kind of cover or you are saying would there will be withdrawal just seeking clarity?

Abhijit Tibrewal : What I mean is going forward will there still be a case of adding on to this provisioning to further increase the provis ioning cover?

Suresh Iyer : We would d efinitely like to have a strong; definitely add to the strength of the balance sheet so a little provisioning would definitely be something we would look at opportune times.

Abhijit Tibrewal : Great Sir. I think this is very useful and Sir Congratulations on assuming the role of the CEO a t Can Fin Homes .

Moderator : Thank you. Our next question is from the line of Pavan Kumar from RatnaTraya Capital . Please go ahead.

Pavan Kumar: Sir can you give us the recovery numbers fo r this quarter and last quarter and secondly in the stage two portion of restructure d book where we were not being paid any EMI so what is the size of that portion?

Suresh Iyer : Sorry.

Pavan Kumar: What is the restructured portion of the book ?

 Suresh Iyer : The restructured book about Rs.695 Crores in fact has just started coming out of it I think mostly from February so the major chunk of it is yet to come out of the restructuring so it is too early a time to actually talk or give you a picture on the perfo rmance of the restructured accounts. Probably as I said earlier the next quarter would be a time when we would be able to give you a clearer picture on how the accounts are moving.

Pavan Kumar: But can you give us roughly what percentage of these accounts would we be paying right now any EMIs?

Suresh Iyer : So we have almost in terms of the collection about 78% of the dues for the borrowers coming out of moratorium have already paid and are regular have started servicing the payments those who have come out of it which is actually is a

very small number.

Pavan Kumar: What would be the recovery number for this quarter and last quarter Sir and for the year if you could share?

Suresh Iyer : You mean roll forward and roll back.

Pavan Kumar: Yes.
Suresh Iyer : We have abou t Rs. 54 Crores has been the roll forward and about Rs. 52 Crores is the roll back during the current year.
Company Speaker: Just to clarify see we have recovered around Rs.16 Crores of NPA and slippage was to the tune of Rs.8. 62 Crores that is in Q4.
Pavan Kumar: This is in Q4 and the Rs.53 Crores and Rs.48 Crores was for the entire year as well?
Suresh Iyer : I will just total.
Company Speaker: In fact our recoveries are more than the slippages.
Pavan Kumar: What would be your pool of recoveries Sir because I am assuming the recoveries being slippages is not a normal condition right or is it?
Suresh Iyer : Normal condition and whatever NPA is there we have identified around close to Rs.70 Crores of NPA which we are targeting to r ecover depending upon the avail ability of
 purchases for the properties so these we are targeting. Let us see what happens because I think these are the targeted numbers for this year.
Pavan Kumar: Going forward as an earlier participant also asked is the p rovisioning going to be bulky in Q4 as the case right now or would it be spread evenly over from here on?
Suresh Iyer : We would definitely be maintaining this kind of a PCR ratio and let us see whatever is required if a good opportunity comes around we wou ld also like to add to this.
Pavan Kumar: Fine. Thank you.
Moderator : Thank you. The next question is from the line of Shreepal Doshi from Equirus . Please go ahead.
Shreepal Doshi: Good evening and thank you for giving me the opportunity. My questio n was w ith respect to the superannuation of our employees who have been part of the organization for quite some time so what is the though t process to fill in that senior management positions over the next two years?
Suresh Iyer : So we have a very stable team not only at the top but across the various b ranches so we have a lot of people even in the second level and a good amount of succession planning that is happening where we have enough people who can be groomed and can be brought up to the level as and when th ere are vacancies in the senior teams so that is not an issue because across the branches we have enough number of people who have been stable for a long time in the organization.
Shreepal Doshi: But Sir we will be open to say hiring from the open market a s well or the though t process would be to groom and upscale?
Suresh Iyer : If at all there is opening and we require from outside we will be open to it.
Shreepal Doshi: Got it Sir. Thank you so much Sir.
Moderator : Thank you. The next question is from the l ine of Nilesh Jethani from BOI MF . Please go ahead.
Nilesh Jethani: Thanks for the opportunity. Most of my questions have been answered. I had one question. Historically pre -COVID our spreads when we compare d to the banks, etc., was typically
 1.5% with reg ards to the interest rates what we charge and during COVID we brought it down to 0.75% the spread between what we as Can Fin charge and what banks typically charge but now with most of the COVID, etc., behind us and the state of economy is largely coming b ack to normalcy just wanted to understand what outlook do we carry with regards to charging clients on interest rates versu s what banks are charging today? T hank you .
Suresh Iyer : We will be operating in a very competitive scenario wherever it is possible but at the same time maintaining a hea lthy spread and NIMs so a 2.5% ki nd of a spread and a 3.5% kind of a NIM is something we will be looking at and within that ambit we will be kind of pricing our loans that is how

it will operate.
Nilesh Jethani: Got it and to achieve that number how far are we with regards to yields the incremental yield what we can charge to the clients?
Suresh Iyer : So right now we are almost about anywhere between 50 to 100 bps compared to the market a little on the higher side compa red to the best in the market but looking to our kind of segment that we are operating considering the kind of service and everything that we are able to offer we are able to manage this kind of a difference in interest rate.
Nilesh Jethani: Got it. Thank you so much.
Moderator : Thank you. The next question is from the line of Gaurav Jani from Prabhudas Lilladher . Please go ahead.
Gaurav Jani: Thank you and congrats on a good quarter. Just a few questions one is can you quantify the total investment for thi s whole year ?

Company Speaker: So, the total investment income for the year is Rs.109 Crores.
Gaurav Jani: Understood and we would right now be at a LCR of 60%?
Company Speaker: Much more than that.
Gaurav Jani: Can you quantify that please?
Suresh Iyer : We are in the range of about 100% so the requirement is for 60% but we are maintaining close to 100% on an average this thing.

 Gaurav Jani: So, the point is no further drag basically in the margin which is the LCR?
Suresh Iyer : No. You are talking about the increase from 60% to 70%. We are already in a very comfortable position so we will not be required to add to this portfolio going forward.
Gaurav Jani: Understood. Secondly Sir the tax rate for the quarter was lower while you have created contingent provi sions so probably there were not also any write-offs Sir why is the tax rate low?
Company Speaker: The tax rate is based on certain assumptions and at each year end we analyze the actual amount of deduction or exemption that we are eligible to so that is b eing audited last quarter of the year and also we are able to generate the exact amount of provisions that we can ta ke an allowance from the income tax. Accordingly in this current quarter with that income tax computation could be a rrived at and accordingly a little provision was reinstated or actualized to the overall number.
Suresh Iyer : If you look at it close to 90% plus of the book is purely long term housing so in fact on the entire book practically you can say we are getting the benefit o f 3618 so the 20 % if you look at corporate tax r ate of 25% effectively the tax rate should be 20 considering that almost 100% of our book is eligible for the 36 (1) (viii) benefit of long term housing so that is the calculation which determines the ac tual tax rate.
Gaurav Jani: Sustainable basis 25 to 26 should be looked at as the tax rate?
Suresh Iyer : As I said looking to the 36 (1) (viii) benefit almost our entire book is eligible for long term housing benefits of 36 (1) (viii) so going by that considering a 25% tax rate our actual tax rate effective tax rate should be lower so you can say somewhere in the range of about 22% or something can be looked at.
Gaurav Jani: Because historically Sir it was a bit higher so just wanted to reconfi rm on that?
Suresh Iyer : No, you are right, so these 36 (1) (viii) benefits is something which comes at a very large rate, so we have just computed it and that has been what we have taken close r to the actual based on our experience.
Gaurav Jani: Understood. Just a clarification Sir furthering your point on the provision bid from here on just to reconfirm you would like to maintain a sort of a 50% to 53% from here on?

 Suresh Iyer : We would like to maintain a healthy PCR that is correct. That is why we have also increased it from the previous 54% to 62% so we are kind of just strengthening the balance sheet .
Gaurav Jani: Understood last question Sir just a data ke

eping one i f you could just quantify the total slippages and the recoveries upgrades for the full year?
Suresh Iyer : Roll forward is Rs.54 Crores during the year and roll back or the ones which came out of NPA because of full recovery from those accounts and regularization of the accounts is about Rs.52 Crores.
Gaurav Jani: Understood. Thanks, and all the best.
Moderator : Thank you. The next question is from the line of Darshan Shah from Multi -Act. Please go ahead.
Darshan Shah: Thanks fo r the opportunity. I just have two questions. O ne is, is there any exceptional item or one -off in fees and commission income for the quarter and what would be the collection efficiency of the restructured book in the month of March and April?
Suresh Iyer : What is the second part of the question?
Darshan Shah: Collection efficiency in the restructured book in the month of March and April?
Suresh Iyer : To answer your first part of the question about any charges so if you recollect we had this COVID period where we were not lev ying a lot of charges which as per the Supreme Court ruling we were not l evying a lot of charges whic h were regular as per the fees and charge structure of the company so now that the COVID is beyond us we have those kind of charges which are there a re being levied to the customer like whatever for delayed payment and things like that and so that is one of the reasons and as for the second portion a dd to this I still say it is too early to predict the kind of a recovery ratio or collection efficiency from the restructured book because a very small component has come out of restructuring ; however, on whatever it is here about 78 % is the portfolio which is now servicing out of

small portfolio that has come out of restructuring.
Darshan Shah: What is the proportion of the portfolio which is still not out of moratorium ?
 Suresh Iyer : So, we stil l have about 75 % is yet to come out and whatever has come out has come out only in February and March mostly in March .
Darshan Shah: So, by when will this 75 % come out of the moratorium ?
Suresh Iyer : So, this Rs.695 Crores will be out of restructuring by the end of November 2023.
Darshan Shah: So, on the fees and commission income so is this a new normal now in terms of the quarterly run rate ?
Suresh Iyer : Annually you can say this will be the kind of a new norm this kind of a piece.
Darshan Shah: Thanks. T hat is it from m y side .
Moderator : Thank you. The next question is from the line of Jaskirath from IIFL. Please go ahead.
Jaskirath: Congratulations Sir for the good set of numbers so one of my questions has already been answered about the expansion of branches so the next question is that how much time does it take for you guys to open a branch in a new city and how much time does the branch gets to its break -even point ?
Suresh Iyer : There are three parts to it one is we already have satellite centers wher e we have an experienced staff, w e already have a customer base and once we upgrade the staff there will be almost minimal or nil break -even time because we already have a customer base which is servicing. T wo if it is on the geographies where we are alrea dy operating and near to the existing centers from where we are operating again it will again be very short period of about one -and-a-half years and if it is absolutely new geography then in that case it would probably cross about two years in time.
Jaskir ath: In the coming one or two years what would be your trajectory of the geographical expansion like will it be more focus ed on North or it will continue towards the South area only?
Suresh Iyer : No it will be balanced because right now also we have about 65% of the book in the South but we still have a good penetration and presence in the other rest of the country as well so it will all be almost m

ixed you can say but overall in terms of the overall book as I mentioned earlier we would like to move from a 65% plus in the South to close to 60 % in the South and 40% in the near future is what we are targeting 60 % to 40 %.
 Jaskirath: Thank you.
Moderator : Thank you. The next question is from the line of Sanket from DAM Capital . Please go ahead.
Sanket: Sir congr ats on a healthy set of numbers. Just one thing on credit cost you told earlier that it would be 5 to 7 bps going ahead is that right , was it an annual guidance or a quarterly one?
Suresh Iyer : Going forward it is not that it is a new normal but as of now that is the kind of total credit cost that is being experienced and I guess that would be maxed about 10 b ps is what we can look at .
Sanket: For the full year, is it?
Suresh Iyer : Yes.
Sanket: That was the only question.
Moderator : Thank you. The next ques tion is from the line of Palak Shah from Prabhudas Lilladher . Please go ahead. Since there is no response from the line we will move to the next question that is from the line of Nischint Chawathe from Kotak. Please go ahead.
Nischint Chawathe : Thanks for the opportunity. Of your total borrowings of I think around 54 % odd are linked are bank loans are these loans linked to MCLR or are they linked to external benchmark rates ?
Company Speaker: So, it is a mix of all so broadly if I say 43% of my bank borr owing is linked to repo and other rates like MCLR or some specially agreed rates with the banks so broadly like half of it is linked to repo .
Nischint Chawathe : Sure, got it and on the asset side I believe you r weighted average has kind of gone up almost 50 to 55 basis points over the last four quarters is that the rate hike that is passed on to your customers or have you kind of increased rates higher ?
Suresh Iyer : So there has been rate hike in three tranches which we did last year which amounts to about Rs.10000 Crores of the book which is about one third of the book has already experienced the rate hike s and then the remaining portfolio of about Rs.18000 Crores is yet to experience either two or one rate hike d epending on the time when the reset clause happens

 so that is one part of it and secondly yield has also gone up because the incremental book that is the entire incremental lending that has happened has also happen ed at a higher rate of interest. Today incremental yield in the current the last quarter is around 9.87 these are the two reasons why the yield has gone up .

Nischint Chawathe : In terms of resets your book will reset like once in six months or how does it work ?

Suresh Iyer : It is annual.

Nischint Chawathe : So, you mean the rate to your cus tomers are reset once in a year?

Suresh Iyer : Once a year ye s.

Nischint Chawathe : If you could put a number in terms of over the last four quarters cumulatively how much have you raised for your customers?

Suresh Iyer: How much have we.

Nischint Chawathe : For the existing customers?

Suresh Iyer : We have raised 135 b ps in three branches of 50, 50 and another last is 35 so the last one as I said is Rs.1200 0 Crores which has experience d the full 135 bps rate hike then there is a chunk which has experienced one of it already because they were booked after or th ey have already come for reset p ost the first year tranch they are yet to happen for two t ranches and then another jump which is yet to experience the third tranch.

Nischint Chawathe : The third tranch was done in the Q3 or Q4?

Suresh Iyer : The third tranch was done in the Q3 you are right in November.

Nischint Chawathe : Thank you very much and all the best.

Moderator : Thank you. The next question is from the line o f Amit Ganatra from Invesco AMC . Please go ahead.

Amit Ganatra: Good evening, Sir. I joined

the call late so I do not know whether this question was asked but I heard you are talking about 18 % to 20 % kind of loan growth now if your disbursement growth this year is only 8% and sanction growth is only 5% for the full year do not you

 think you need at least 14 % to 15% kind of a disbursement growth on a sustainable basis to achieve this 18% to 20% kind of lo an growth ?

Suresh Iyer : Yes so we did mention that we would be looking around close to 20 % growth in the disbursements to achieve or maintain this 18 % to 20 % loan growth so currently we have done close to Rs.9000 Crores disbursement so with a 20 % growth we will be somewhere around Rs.10800 Crores and th en considering the repayment and the amortization and prepayments in BT house the net growth would be around Rs.6000 Crores to Rs.7000 Crores which would become a 20 % growth on the loan book so we will require about 20% growth in the disbursements .

Amit Ga natra: This 20 % growth that you are talking about will it be more consistent across quarters or it will be back ended ?

Suresh Iyer : So normally the industry is talking about is works in the 45 % to 55 % or 40 % to 60 % depending close to 45 % in the first half and 55 % business in the second half that is how it normally operates .

Amit Ganatra: Have you done any specific changes to the way you do business to achieve this kind of a growth because 20% is quite high as compared to what you achieved this year right ?

Suresh Iyer : Yes considering what has happened in the current year yes but as I mentioned earlier if the rates are stable and if the rates are coming down even better then the demand also which is there because there is a quite a bit of latent demand but be cause of the light reduction in supply post closure of the CLSS and this rate hike there is a kind of a postponement of decision by the customer so I guess that should kind of change once the rate stabilizes .

Amit Ganatra: Thank you.

Moderator : Thank you. The next question is from the line of Dhaval from DSP Investment Managers . Please go ahead. Since the line is on hold we move to the next question that is from the line of Ankush Agrawal from Surge Capital . Please go ahead.

Ankush Agrawal: Thank you for th e opportunity again so can you highlight the incremental cost of funds for different sources of bor rowings like banks, NHBs?

Suresh Iyer : So, it is like cumulative gain it has increased by 97 b ps but exact quantum like by the nature of borrowing.

 Ankush Ag rawal: I am not saying by nature of borrowing the quantum but the incremental cost of funds the bank is like 6 % to 7% and 8% and CP is at 5% like incremental cost of funds ?

Suresh Iyer : Yes o n the NH B book we can say that as of the moment they are going somewhere in the range of because we also have a sizable chunk of funds coming from the affordable low cost housing kind of a project refinanc e scheme so that is somewhere around about 6% kind of a range and CP of course will vary depending on the timing and everything that we look at it. NCD the last we borrowed was at a higher cost but again that will all depend on the rates in the marke t because these are all market driven and if the rates are coming down as we just responded about 43 % or close to half of it is linked to repo so that should also start coming down .

Ankush Agrawal: But in terms of the year so say the cheapest source would be NH B I am assuming right from that sense ?

Suresh Iyer : NHB yes. NH B is quite low cost for us.

Ankush Agrawal: After NHB second cheapest cost of fund would be say a bank borrowing and the last highest cost of borrowing source should be NC Ds in the normal scenario ?

Suresh Iyer : Keeping aside the CP s which are obviously short term in nature around the long-term funds you are r ig

ht NHB followed by banks and then NCDs.

Ankush Agrawal: Right so now with this rule of incremental bor rowing for 25 % should come from NCD s so that would structurally increase the cost of funds for us right because now we are at about 17% to 18% share from NCD s which would eventually next to say 25 %?

Suresh Iyer : Correct that is what we said that that was the reason why in Q4 also our incremental cost was slightly on the highe r side because we did raise at a higher rate the NCD s which was a regul atory requirement 25 % of the long -term b orrowing has to be from market sourcing.

Ankush Agrawal: So, this would be applicable across the industry for all housing financial ?

Company Speaker: This requirement is specific to the large corporate borrowers as p er the SEBI so those who have got listed s ecurities are having a long term borrowings of more than Rs.100 Crores; there is an eligibility or applicability which is quantified as a large corporate borrower to which this regulation applies .

 Ankus h Agrawal: Got it. That was helpful. Thank you .

Moderator : Thank you. The next question is from the line of Sneha Ganatra from Star Union . Please go ahead.

Sneha Ganatra: Sir is there any talk going on with the rating agency?

Suresh Iyer : They should now a nytime come for an annual review that is it otherwise nothing. A ny particular reason you are asking this question ?

Sneha Ganatra: Any scope for the rating upgrade that is the only question I wanted to ask?

Suresh Iyer : Yes obviously we will be pushing them to look at the fresh financials bu t any such thing they obviously would require the fresh financials otherwise they would not be able to look at it so now that we have the annual results ready we will be definitely talking with them and anyway it is time that they will also b e approaching us for the review.

Sneha Ganatra: Got it. All the best Sir.

Moderator : Thank you. The next question is from the line of Ritika from Ocean Dial . Please go ahead.

Ritika: Sir just on that 25% incremental borrowing on the long-term basis which we have to do as per the SEBI regulation where does it settle at as a percentage of the overall liability ?

Company Speaker: Right now, if I see the total NCD stands at roughly 17% of the total borrowing as of now .

Suresh Iyer : Whatever is the incremental borrowing 25 % has to be raised to NCDs so right now whatever that old bank borrowings they are slowly replaced by the NCD so it will finally settle at 25 %.

Ritika: So, the stock also eventually should be 25 % is just the clarificatio n I wanted ?

Suresh Iyer : Yes, close to 25 % because we have a very small component of short -term borrowings .

Ritika: Right and obviously there was this regulation we obviously have also been hearing the SEBI Chairman being a little more stricter on this bec ause I think this particular norm was there but not being met so what are the penalties there if one does not meet this and when it is like that you necessarily have to meet this by now ?

 Suresh Iyer : No generally we have to raise in the same year further i t can be extended to next year at least but what we are doing we are doing in the same year.

Ritika: Obviously this 25 % it has to be reached only like and it reaches mathematically , it is not that it is in the next two to three years you necessarily have t o be 25 % so I was trying to just understand that?

Suresh Iyer : So, whatever borrowing we raise now there is sli ght change whatever borrowing we raised this year long-term borrowing incremental long-term borrowing 25 % has to be raised through NCDs it can be extended to next two years that is one plus two .

Ritika: Understood. Thank you. That is it from my side.

Suresh Iyer : This is only talking about the incremental borrowings so if

you have the borrowing s prior to
the implementation or prior to thi s particular circular coming those borrowings will not
apply so only when this come for a reprising or when we have to replace them with fresh
borrowing then on that component we will have to maintain 25 %.
Ritika: Sir could you please repeat that please ?
Suresh Iyer : So, prior to the circular coming in place whatever were the borrowing s which are still
continuing they will not obviously come for replacement in the coming year .
Ritika: So, this is only for the increment and not the stock ing what you are trying to say ?
Suresh Iyer : If our book is Rs.30000 Crores and entire Rs.30000 Crores does not come for a reprising or
a part of it will come this year on that 25 % will have to be there so over a period all the
entire borrowing book will come for repayment and replacement at that time this particular
norm will have to be implemented so this could run over the next three to five or seven
years also because there are long -term borrowings from NHB refinance and everything
which were already there which are long te rm in nature of up to seven years .
Company Speaker: Also, Ritika just to add because we have been very con servative for these statutory
compliances so although SEBI allowed it for us within a block of three years to be managed
but on a conservativ e we have been doing it year -on-year. W e have not been taking it to the
next year also , although it is available to us .

Ritika: Yes so that is why I asked because I do not know how to put it but it is because it is a fixed
rate and currently the r ate cycle where we were if we could have postponed it next year I
think that is the kind of question I wanted to understand that if choice B was allowed to be
pushed next year assuming that maybe rates might have been a little better so I understand
you are saying you are being conservative and you want to comply the very same year .
Suresh Iyer : So next year is uncertain Madam so what we fe el that if it is supporting what margin we
foresee then we will raise so that is why we have raised.
Company Speaker: Secondly NCD s also if you look at it what we have been raising are for a tenure of about 39
months so because of that in fact even if that happens it will be over a period of the next
three years and a quarter it will come for fresh replacement. A t that tim e if the rates are
coming down they can always be replaced at that time so it is not a very long term kind of
NCD s that we are raising .
Moderator : Thank you. Ladies and gentlemen that would be our last question for today. I now hand the
conference over to Mr. Suresh Iyer, MD & CEO for closing comments. Thank you and over
to you Sir !
Suresh Iyer: Thank you everyone. It was a great pleasure interacting with all of you and appreciate that
you have all taken so much time to discuss the results with us. We are o pen to any
discussion. Thank you so much. Thank you for joining us today.
Moderator : Thank you very much. Ladies and gentlemen on behalf of Investec Capital Services that
concludes this conference. T hank you all for joining us. Y ou may now disconnect your
lines .

Call: Aug 2023

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CFHRO SE CS LODR 193/2023
July 26, 2023
ONLINE SUBMISSION

BSE Limited
Corporate Relationship Department
25th Floor, P J Towers
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Mumbai – 400 001

BSE Scrip Code: 511196

Dear Sirs,

Sub: Transcript of Earnings Call for Q 1FY24 Financial Results .
Ref.: Our letter CFHRO SE CS LODR 189/2023 dated July 20, 2023 .

In continuation to our above referred letter, please find attached the Transcript of Analyst/ Investor conference call /earnings call held on , July 20, 2023, Thursday .

The aforesaid Transcript is also made available in the Company's website i.e., https://www.canfinhomes.com/pdf/Investec -CanFin -Jul20-2023.pdf

This intimation is submitted pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

Kindly take the same on the record.

Thanking you,

Yours faithfully,
For Can Fin Homes Ltd.,

Veena G Kamath
DGM & Company Secretary

Encl: As above.

"Can Fin Homes L imited
Q1 FY '24 Earnings Conference Call"
July 20, 202 3

MANAGEMENT : MR. SURESH IYER – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER
MR. AJAY KUMAR SINGH – DEPUTY MANAGING DIRECTOR
MR. APURAV AGARWAL – CHIEF FINANCIAL OFFICER

MR. B. M. SUDHAKAR – BUSINESS HEAD
MR. PRASHANT H JOSHI – DEPUTY GENERAL
MANAGER
CAN FIN HOMES LIMITED

MODERATOR : MR. NIDHESH JAIN – INVESTEC CAPITAL SERVICES

Moderator: Ladies and gentlemen, good day, and welcome to the Can Fin Homes Q1 FY '24 Earnings Conference Call hosted by Investec Capital Services. As a reminder, all participant lines will be in the listen only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference, please signal an operator by pressing star and then zero on a touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Nidhesh Jain from Investec Capital. Thank you, and over to you, sir.
Nidhesh Jain: Thank you Dorwin . Good afternoon, everyone. Wel come to the Q1 FY '24 Earnings Conference Call of Can Fin Homes Limited. To discuss the financial performance of Can Fin Homes and to address your queries, we have with us Mr. Suresh Iyer, MD and CEO; Mr. Ajay Kumar Singh , Deputy MD; Mr. Apurav Agarwal, CF O; Mr. B. M. Sudhakar, Business Head; and Mr. Parashant Joshi, D GM from Can Fin Homes Limited.
I would now like to hand over the call to Mr. Iyer for his opening comments. Over to you, sir.
Suresh Iyer: Good afternoon, everyone, and thank you for joining the conference call today. I'll just give a brief of the highlights, a couple of points before we can open for the question -and-answer session. In terms of the disbursement and sanctions and disbursement, we have seen a good growth. In fact, it's been a li ttle higher than what it was project ed for it was done last year. We've had a 14% growth in disbursements, which has resulted in an 18% Y -o-Y growth in the AUM. This is very much in line with the guidance that was given about 18% to 20% growth in AUM that we had projected. We had last time had a discussion in the last quarter that about the lag defect of the rate hikes on the asset side, which because of it, there was a slight upside available in terms of the NIM and spread.
So which is part of it has alrea dy been experienced during this quarter as a result of which there is sequentially, there is an improvement in spread by 16 basis points and NIM by 11 bps. The NPA also on the -- has slightly been on the higher side. There is an increase in the NPA by abou t INR30 crores, of which around INR18 crores is on account of the restructured book, which has come out.
We have about INR250 crores of restructured book, which had come out in the months of February and March wherein more than 3 months have relapsed. And out of that INR250 crores book, we have about INR18.5 crores book, which is about 8.67%, which is lower than the 10% that we were anticipating. However, it is there. The remaining INR12 crores increase in NPAs on account of the seasonal effect normally the Q1, there is a little bit of an increase.
During the quarter, we have also in terms of the financial accounts, we have not reversed the INR17 crores management overlay that we had carried in the last quarter of last year. Although the part of the restruct ured book has come out of the portfolio, we have not reversed that thing. And wherever and additionally, even in respect of the INR200 crores restructured book which has come out and wherein the NPA has also been witnessed.

We are still carrying the entire INR67 crores plus of provisioning that was done at the time of the restructuring as per the guidelines. So these are some of the brief points about the performance of the quarter. I think now we can open for queries.
Moderator : Thank you very much. We wil l now begin the question -and-answer session. The first question is from the line of Mahruk Adajania from Nuvama.
Mahruk Adajania: Hello, sir, congratulations. Sir, my first question is on margin. So obviously, like you had guided, margins have done very we ll. But what's the outlook from here on? Also the cost of funds

that
you show in the presentation, seemed to have declined quarter -on-quarter. So what's the outlook on cost. First of all, why did it decline quarter -on-quarter from 7.5% to 7.3% and what's t he

outlook from here on?
Suresh Iyer: Thank you, Mahruk. So as we had indicated in the last year, in the last fourth quarter of last year, that there was a 25 bps upside that was available while entire amount may not come into the books, but about 5 to 10 bps could have come into the books is what we had estimated. But we have as of now out of the INR18,000 crores, still about INR5,500 crores has already experienced that rate hike that we were talking about, which has already been passed on in the Q1 and be cause of this, we are seeing this, in fact, most of these cases were the ones where 85 bps impact was to be passed on. And so we have already seen that. Going forward, we still have another INR12,500 crores of book. But here, there is only 1 -- on the othe r component there is going to be one rate hike of 25 bps , which is to be passed on.
From net -net, we might still have the -- because of this INR12,500 crores, you might still have on the entire book or somewhere in the range about 3 to 5 bps, it could probably go further from here. That is in terms of the portfolio that has yet to experience the rate hike. The second point was at the cost of funds. So in the last quarter of last year, you would be aware that we had raised very high -cost NCDs at 8.35% be cause of which the cost was high.
During the year, obviously, it has been spread out over the quarter. Plus in terms of some of the banks, we've also experienced some reduction in the rate of interest. That is these are the 2 main reasons plus the CP that we had raised in between during the quarter for a short period, that has also helped us.
Net-net, if you see, the increase in the loan book has been to the tune of about INR1,000 crores, whereas in terms of the borrowing, we have not added much to the borrowing . It's just, it's been much lower than that. We have tried to utilize as much as results and our available funds are available from internal accruals. So these are the 2 reasons why on the cost side, we have been able to bring down or it's a little lower a nd whatever little I said on the asset side.
Mahruk Adajania: Got it. But from here on costs will stabilize or they'll move up?
Suresh Iyer: They will not be unlikely to move up because the rates at which we are still getting and we are still negotiating with bank for a slight improvement. Of course, we can't comment on how much of it will actually materialize, but we are trying to negotiate with the banks. And the rates have softened in terms of what we are doing. Like, for example, even the NCDs, what we are getting

in the market is at a lower rate. This is how they [inaudible 0:07:31]. So going forward, we don't expect the rates to be on a very high side on the cost side.
Mahruk Adajania: And banks are willing to negotiate on repo rate or MCLR?
Suresh Iye r: Majority of our bank borrowings are willing to repo rate. So while the repo rate has not changed, what we are trying to talk to the banks is that if we can work on the spreads over the repo rate at which they are lending to us.
Mahruk Adajania: Got it. Got it. That's clear, sir. Sir, and what will be the -- so you will keep -- as you had mentioned earlier, the salary to non -salary mix would remain constant from here on? Or how does it...
Suresh Iyer: Well, there is no attempt actually changed it in any w ay. So if at all it happens , it will be by automatically whatever because of the selection of customers. But there is no attempt on a direction to make a change in that. We are comfortable with the present breakup.
Mahruk Adajania: Got it. But there is no cap on either, right? As in that depending on customer selection, either can g

row that way?
Suresh Iyer: That is correct. But the comfort of our present customer base is mainly towards salaried. So that tells me that even the walk -in customers, have more publi city, everything that comes in as well as our channel with sources is also very comfortable with that segment. So it is likely to continue.
Mahruk Adajania: And sir, what's the progress on builder tie -up?
Suresh Iyer: We have targeted that. We have not yet started getting the results, but we have made quite a bit of items to start the APF. A lot of files in the branches are in the pipeline where the legal processing and taking everything is done, the benefits should start coming from the second quarter onwa rds. Because by the time we rolled out the policy for APF approvals and all those things, it was already half the quarter was gone. So the efforts branches have been putting, but we have not yet seen any results as yet.
Moderator : We have the next question from the line of Dhaval from DSP.
Dhaval: Congrats on good performance. I just had a couple of questions. First is on the restructured portfolio. If you could just give an update what is the standard restructured book at the end of the quarter. And I think if I heard it right, you said INR18.5 cro res was the slippage from the restructured book into NPA and so if that is correct, what is the view on the rest of the portfolio? So that's the first question.
Suresh Iyer: Yes. Thanks, Dhaval. So the portfolio, as I clarified, we have totally about INR475 crores

portfolio out of the total INR691 crores, which has come out of restructuring. However, there is some portfolio which has come out in April and May and June which have not even completed 3 months.
So that is not, I think, correct to consider that portfolio. So based on the portfolio of February and March, which has come out of restructuring and where more than 3 months have elapsed,

and where an account has moved into NPA wherever 3 months has not r elapsed. That portfolio is INR250 crores.
Out of that INR250 crores, 19.5% has become NPA, which is 8.67%. We had indicated in the last quarter that it could be up to 10%, there could be some slippage in the restructured book. So it has been lower than tha t. Going forward, obviously, the lessons from this are already there. So we are working on them. Going forward, at least we expect that this number could be lower also, but we would still like to retain the 10% limit on the conservative side.
Dhaval: Got i t. And in terms of provisioning requirement through the year, I mean you still hold on to the credit cost guidance given at the end of last year or any thoughts of making additional buffer provision? I mean I'm saying the entire FY '24.
Suresh Iyer: See, a ctually, while giving the guidance and projections, we had already indicated that the NPA we will be considering for the working would be 0.7%, and we don't expect that to go beyond that. As regards to provisioning, you already know that we had made a provision, management overlay of about INR17 crores in Q4 of last year which we have entirely carried in this year as a management overlay without drawing up from that provisioning for the NPA, which has come out of the restructured book. So wh atever has moved into NPA from the restructured book, we have made additional provision as per the ECL guideline.
So that INR17 crores space, plus whatever addition has come, we have been able to provide from the current year profit. So that's how we have not drawn from the original provisions. So technically, we have the additional provision of INR17 crores, which was the management overlay. We also have this entire INR67.69 crores, which was done at the time of restructuring. So although INR250 crores book has come out of restructuring and part of it has moved into NPA. We have made the additional provisioning for that ad

ditional INR19.5 crores, but the
INR67.69 crores stays intact.
Dhaval: Very clear. Just last question is on the distribution. So the new branch expansion, what's the broad timeline like for the new branch addition for FY '24? If you could give some perspective on that please?
Suresh Iyer: Sure. We had indicated 15 branches is what we have planned for the year. Out of that, we have done, car ried out the survey and everything for 12 and 3 are yet to be visited and verified . Out of the 12, 4 are in an advanced stage where we have negotiated, identified the property, negotiated the rent and interior work.
So during this quarter, w e should be able to open four, four out of the 15, the remaining eight probably could be in the next quarter because we are yet to finalize the rent and everything, and then the interior work will take a little while. So probably eight more could be in the Q3. And the last three could be in the Q4.
Moderator : The next question is from the line of Aravind R from Sundaram Alternates.
Aravind R: I mean like the repricing has happened this quarter also, but the yields quarter -on-quarter has n't actually moved up. Any reason, like what is like where it didn't happen? And I wanted to

understand a little more on like the bank borrowings. Is it only predominantly Canara Bank borrowings? Or like is it a borrowing from multiple banks?
Suresh Iyer: Yes. Thanks, Aravind. So the first point regarding this, why the yield has not gone up. So one of the things is that we, our incremental lending rates are also at a lower rate. So obviously, we have a repricing and the incremental rates also, we give attra ctive risk to the customers to get the business which is in line with this. So that's why while some of it has been some incremental yield has come because of the repricing, some of it has been offset by the incremental business which has been done.
The se cond point which I'd like to make is that the INR30 crores additional NPA, which has come, okay? That has also had an impact in terms of the non -recognition of income. So that has also pulled out some of the income. So had that NPA remained static, that in come would have been higher, and this would have, therefore, reflected in the higher NIM.

So these are the two reasons why the NIM -- I mean, sorry, the yield is not getting reflected entirely. Your second question was regarding the bank's exposure and whe ther the entire is from Canara Bank, No. In fact, the Canara Bank has a very small percentage of the total bank borrowings that we have. The total exposure of Canara for what is already given in the related party transaction details. So it's not a very large amount. In fact, the major two borrowers, major 2 banks from which we borrow are SBI and HDFC, which are almost 5 to 6x higher than what we borrow from Canara.

Moderator : The next question is from the line of Sumit Ra thi from Centrum PMS.

Sumit Rathi: One, I wanted to ask on the industry level, how are we seeing the growth going forward basis, like given a lot of competition is coming up and looking towards housing finance and affordable housing asset?

Suresh Iyer: The competition, obviously, it's constant. It has always been there and the face of the competition sometimes changes. But in terms of the market, if you ask, we are witnessing a little bit of uptick in the supply. On the supply side, at least in the medium to high level property ticket sizes. That is in the 2 BHK, 3 BHK and 4 BHK kind of properties. We are seeing s ome project launches coming in.

So that's a good sign. And we are quite confident now that the demand is also there. The rates remaining static or remaining constant stable. The people have also come back and buying decisions are happening today in the market. So that's also good. And a couple of States are also looking at stamp duty and everythin

g. So that should also push up something in terms of the demand.

Sumit Rathi: Okay. So you feel enough levers for the demand is there for.

Suresh Iyer: Yes. We are confident that the demand will continue.

Sumit Rathi: I joined the call a few minutes late. So probably you would have answered it already, but I just wanted to check, what was the reason for the sequential drop in disbursement and a new approval of. Is there any slowdown? Or is it just a quarterly phenomenon?

Suresh Iyer: No, no, no. Actually, Q4 or rather the second half of the year is always seasonally normally 55% of the bus iness happens in the second half. First half is a little subdued and April month particularly is always like that. It's an industry -wide phenomenon. And I think that's the only reason. There's no other reason for that. But compared to the previous year, Ju ne, you would see that there's a 14% growth in terms of the disbursement and 18% in terms of sanctions.

Moderator : The next question is from the line of Umang Shah from Kotak Mutual Fund.

Umang Shah: Yes, sure. Sorry. So I'll just repeat. On the provisioni ng front, I just wanted to understand. So let's say, we are carrying roughly about 25 basis points of provision gross management overlay and restructured loans. Now let's say, these restructured loans basically either combined to standard or NPLs through t he course of the year, then basically, how should we treat this 25 basis points of provision?

Do we intend to carry it as the provision over and above the provisions that we have? And the second is on our Stage 3 provisions, right? I mean although during t he COVID period, we had kind of increased the Stage 3 provisions but it still remains significantly higher compared to what we used to have during the pre COVID period. So on a steady -state basis, how should we look at this whole provisioning dynamics?

Suresh Iyer: See, post this Ind AS , actually, we are supposed to carry the provision as per the ECL guidelines only. And there is only one small scope wherein as a management overlay, we can carry something more than the ECL. As compared to the Ind AS , where in we could have carr ied extra provisions. So we are already carrying as per the Ind AS provision. And as a management overlay, we ignore until this is possible. So technically speaking, once the entire book of restructured book comes out at NPA there should not be any reason to carry the management overlay.

However, we will -- we would like to -- if possible, we would like to be a little conservative going forward, we'll see how it can be done and if there is some justification and auditors also will have to be conservative. But as a demand because of the restructured book, we are able to carry management overlay. But otherwise, it has to be as per the ECL. Although, I mean, also as a management, we would like to carry a little more.

Umang Shah: Understood . And if you could just help me, what is the outstanding restructure book now after INR475 crores you mentioned it has already come out of restructuring, right?

Suresh Iyer: Yes. So we have INR216.62 crores yet to come out of restructuring in the [inaudible 0:21:26] INR475 crores has come out of restructuring, INR216 is yet to come out.

Umang Shah: Okay. And that will come out of restructuring in the second quarter or post that?

Suresh Iyer: No, we have up to November, i.e. August, September, October and N ovember, we have some portfolio coming out. Although a majority of it actually comes out in August, almost 50% of it comes out in August.
Umang Shah: Understood. My second question is on liabilities. So once again, this quarter, we have seen a little bit u ptick in our CP borrowings. Just want to understand what's the product of the thought process ? Now I understand that in t

he past, we have run much higher lower tenure CP borrowing book and which had come down by the previous quarter.
But as a management st rategy, I mean, do we intend to kind of play tactically as far as this liability book is concerned? Or we would like to cap the proportion of CPs at a particular level?
Apurav Agarwal: Hi. This is Apurav. So how we look at CP is as a cost leverage tool, no t as a liquidity tool. So whenever there is a market opportunity wherein we can borrow from the market at a lower rate and not compromising on the ALM, then at that moment of time, we'll try to win CPs to leverage our cost. So CP as a cost management tool is just the thing. So if we look at the number of March, it was INR1,350 crores, and in June, it was INR2,000 crores. So this is always back up against unsanctioned -- sorry, on a well sanction limit from the bank.
Suresh Iyer: But in principle, if you are saying whether we are looking at CP to increase the CP percentage, actually, no. In fact, this year, we have not even increased the limit which the Board has approved for the borrowing from CP. So the overall limit, which has already got the approval the year before, that continues. We have not gone for any enhancement that they are seeing. And it's only an opportunity where we have drawn a little from the CP, but not as a borrowing requirements.
Umang Shah: Understood. And just one last question is on opex . So 15 new branches will come in over the course of the year. And I believe in the past, you have also alluded to making some investments towards upgrading our technology systems, so on and so forth. So should we assume that the cost-to-income ratio where we are currently will see an uptick in the coming quarters?
Suresh Iyer: Absolutely. We have been mentioning that this year we can expect somewhere last year, we were 16.93% or something. We can expect somewhere in the higher 17% or closer to 18% co st-to-income ratio, we can expect although with the staggering of the branch expansion and the IT expenses, probably we don't know where we'll end, but you can expect it to be somewhere in the 17.5% to 18%.
Moderator : The next question is from the line of Shreepal Doshi from Equirus.
Shreepal Doshi: My question was pertaining to the repricing. So by when would the entire book get repriced?
Suresh Iyer: The entire book would actually would come up for repricing up to December 2023. We have every month portfo lio because we had last done it in the month of November 2022. So that will, the last book would come up in December where the one trial will be passed on.
Shreepal Doshi: Got it. And given that you said that there is not a material increase in cost that w e are anticipating. So if that is stable, then what is the sense on margin expansion? You said 3 to 5 basis points, but if it is still December, then what, how much can it still increase?

Suresh Iyer: No. So we have factored in the timing aspect also. That is why we said up to 3 to 5 bps on the upside that we are having. And I guess, the 2.5% spread and 3.5 NIMs is what would we can continue and maintain.
Shreepal Doshi: Okay. Got it. Sir, there was just one doubt pertaining to the yields and margin numbers . So there's Slide number 10, which gives us a comparison, and then there is Slide 13, which again gives us comparison. So what is the difference between the two in the NIMs in the yield and cost of funds?
Suresh Iyer: So is that Slide 10 and Slide number?
Shreepal Doshi: 13.
Suresh Iyer: No. In fact, Slide number 13 is more of a for five -- over five quarters. And for the quarter, specific quarter, at the end of each quarter for the quarter. The incremental cost and this thing is Slide number 13 and as at the end for the quarter it's just a subset of it. We are going for 5 quarters in Slide number 13, and this is only for a quarter -- 2 quarter

s and quarter -on-quarter
that we have given in the other two slides.
Shreepal Doshi: But the numbers are different. So for example, for June quarter, for March '23, we have given 9.87% as a yield. But if you look at in Slide 13, it is 8.99%. So therefore, the disconnect.
Suresh Iyer: I think I just haven't checked, I think that is -- yes, I think that is one.

Shreepal Doshi: Okay. Okay. Got it, sir. And sir, the last part was like with respect to IT infra upgradation, what is the cost that we are anticipating that we will incur for the same? Because even in the annual report, there's been a lot of emphasis on upgrading the entire infra and also having 10% coming to digital channels. So what is the opex that we are anticipating?
Suresh Iyer: See, the Board has approved a budget of INR250 crores, and it includes INR60 crores for capex and the remaining INR180 crores, INR190 crores for opex . Spread over 7 years because this project that we are -- the RFP talks about a 7 -year project for this. Now the present position of the project is that we have already -- we have received 2 bids from 2 SIs and the evaluation process is go ing on.
Now part of the resource is also one of the -- that is a manpower resource that they are going to provide that the SI is going to provide is a critical function, which is also going to be part of the pricing. So once the SI is finalized, then we'll know an exact picture as to how many resources they are likely to bring and accordingly to the price.
But it may not be a very large difference. To cut the budgeting, INR60 crores is the capex , which will be INR30 crores and INR30 crores in over this year and the year and the next year. And

the opex will not start in this year because it will start from the year thereafter, after the 1 year once the 1 -year AMC start kicks in.

Shreepal Doshi: Got it, sir. Got it. Sir, just one las t question pertaining to the asset quality. So as you said, that only INR216 crores is now left for coming out of the restructuring bucket. But I wanted to understand what is the 30 to 90 bucket in percentage term for 1Q and versus what it was in 4Q FY '23 ?
Suresh Iyer: You're talking about the which bucket, sorry.
Shreepal Doshi: 30 to 90 bucket.
Suresh Iyer: 30 to 90 bucket. Just I'll come back to you. We'll just do the math and come back to you. Just give us 5 minutes. Sorry, just to comment. You are talking about the restructured book or the entire book.
Shreepal Doshi: Entire book.
Suresh Iyer: The entire book, just a second. On the entire book, our Stage 1 is around INR30,300 crores . Stage 2, which is SMA -1 and SMA -2 is around INR1,260 crores and in fact, the restructured book -- entire restructured book of INR672 crores, we have considered in the -- excluding the INR19.5 crores NPA is entirely considered under Stage 2. So INR1,260 crores plus INR672 crores is considered under Stage 2 for the purpose of ECL calculation and the NPA or Stage 3 is INR205 crores.
Shreepal Doshi: Got it, sir, got it. And for 4Q, I'll take it from the annual reports.
Moderator : The next question is from the line of Devansh Nigotia from SIMPL.
Devansh Nigotia: Sir, over the last 2, 3 years, you see that the DSA dependence will go significantly high. I think 30%, 35% to 70% here. So I mean, so the management change, how you're looking at it? And incrementally, where do you want the DSA dependence should settle?
Suresh Iyer: Well, you are right. In fact, it is more than 70%, as you mentioned, it is actually closer to 80% is the DSA dependence of the last year. And we would like to -- while we would obviously continue with the DSA as a channel because it's a very important channe l for sourcing but we have also initiated efforts to source direct business for which one of the earlier questions is also there as regards to developers for APF projects

.
So we at least anticipate in the next 2 to 3 years to bring down this 80% to around 60 %. So the balance should come from direct business, which is the APF plus as well as customer walk -ins. And once this IT project is implemented, we'll also be able to push for the digital sourcing, which also will start contributing once the project is imp lemented.
Devansh Nigotia: And what prevents this DSAs [inaudible 0:31:35] to a customer, not to the bank, but to us considering that the ratio is also as a salary build. So how does that happen?

Suresh Iyer: Well, the DSAs have first of all, they are also -- their comfort also comes as to how much they are able to understand and give a commitment to the customer and how much the service we are able to give. So one of the important factors is that because the D SAs have been with us for a

very long time, they are also very comfortable with the kind of policy and the sanctioning and
everything and what loans we are able to give.
So they're also able to kind of communicate to the customer as to whether it is possi ble or not.
So that is one of the critical things that we are able to do, whereas sometimes other lenders may
not be able to give that kind of comfort or they may not be able to honor the kind of commitment
the DSAs give.
Devansh Nigotia: But I mean it's s lightly interest -- highly interested in it. I mean, customer satisfaction or some
soft points if you can elaborate on with which maybe other banks cannot be given probably
they'll provide lower interest rates. So I'm still not...
Suresh Iyer: Rate of inte rest is an important factor, but service , TAT and, of course, the ability to honor the
commitment because we have decentralized sanctioning power. So our branch managers are able
to commit and sanction the loans. That is one of the things. Unlike other many other players who
have centralized setup and a verticalized approach where sanctioning is -- so the people who are
sourcing the loans are not having any see on what is the amount, the quantum, the rate of interest,
the terms of sanction and everything, th ey're not able to commit or able to communicate to the
customer. So that comfort is one of the major factors we believe because of which the comfort
is there for DSA to bring the loan swap.
Devansh Nigotia: And in terms of branch expansion, are there any l ocation strategy that you have or with the
regions that you are targeting?
Suresh Iyer: Out of 15 branches, we plan to open 4 in the South, 9 in the West plus North put together and 2
in the East.
Devansh Nigotia: Sir, I meant more in terms of are they in the center of the city or outskirts or maybe Tier 2, Tier
3 towns.
Suresh Iyer: No. We have quite a bit of urban towns, which have come up, which are doing well and where
we feel we can have a good presence. So we don't have any presence. None of these 15 branches
are actually in the metro towns or in the large or the mini metros. All these 15 centres that we
are looking at are the upcoming towns. Most of them are urban towns only.
Devansh Nigotia: Okay. Just last question. The NCD that you have raised of INR4,500 crores, what is the interest
rate on that.
Suresh Iyer: We've not raised -- you're talking about the -- we have taken an approval in the AGM from the
shareholders to raise additional. We have not raised anything during the year. This is just our
provision to raise but as and when the requirement comes, we will be raising it. And this is more
to meet the regulatory requirement that 25% of the long -term borrowing has to come by way of
market borrowings. So to meet that, we have taken the a pproval from the shareholders. This
quarter, we have not raised any NCDs.

Devansh Nigotia: Okay. And currently, we are seeing market rates below 8% for NCDs.
Suresh Iyer: Cor

rect. For the tenure that we are seeing, we are getting costs at below 8%.
Moderator : The next question is from the line of Onkar Ghugardare from Shr ee Investments.
Onkar Ghugardare : Just a small question on the finance cost, which has increased significantly. Any particular
reason on that front?
Apurav Agarwal: So finance costs quarter -on-quarter has not increased much.
Onkar Ghugardare : I'm talking about year -on-year.
Apurav Agarwal: Yes, year -on-year, it could increase because the underlying repo rate market everything is 200
up like 250 basis points repo rate increase on which major bank borrowings are based on. And
also, like capital markets from last year, still like right now are a little pricier consider the repo
rate increase.
Suresh Iyer: If you recollect, most of the entire repo rate increase started from post June 2022. So that's where
this whole thing is impacted.
Onkar Ghugardare : So what would be the likely scenario in the upcoming quarters for the finance cost?
Suresh Iyer: See, in terms of the cost, overall cost, it is kind of going to remain stable because we may
obviously though we will be trying to bring down the rates, borrowing costs from the banks and
everything. But you can see that it will remain stable because now there are no further increases
expected. At least, I mean, we hope that there are no further ra te hikes.
Onkar Ghugardare : Okay. As of now, you see that it would remain stable at this point.
Suresh Iyer: Kind of. Because in this quarter, of course, there has been no rate hike or anything. So therefore,
whatever has been experienced is the opening co st which was there on 31st of March and almost
on the entire liability side, we had experienced a rate hike impact in the last year itself.
Onkar Ghugardare : And as far as the year -end, say, next 2, 3 years goes, you stay with your guidance of 18% to 20%
disbursement and AUM growth, right?
Suresh Iyer: We are quite hopeful that the markets will stay up like this and demand will continue, and we

see a long runway for this for the housing finance industry. So definitely, we are hopeful that we should be able to maintain that kind of a growth unless there is something very, very untoward which we hope not.

Onkar Ghugardare : Okay. Another small thing is on the fundraising, which you had -- you wanted to do. Any timeline on that front? Equity fund pricing.

Suresh Iyer: No, it is, again, more of an enabling provision. As of now, we have ROA of around 2.1% in fact, 2.19%. So even assuming 2% and a gearing of around 8x, we should be about 18% kind of a growth should be manageable from internal accruals. Of course, if the rate picks up and there's

a good opportunity, then we will look at it. So as of now, we have not got any timeline , but it's more of an enabling provision.

Onkar Ghugardare : So you are comfortable with the gearing of around 8%, right?

Suresh Iyer: Kind of, yes. Right now, up to 8%, I think I believe there is not much of an issue. We should be comfortable.

Moderator : The next question is from the line of Ratik Gupta from Guardian Asset Management.

Ratik Gupta: The PCR ratio seems to be declining for this quarter. So what sort of future PCR we looking at?

Suresh Iyer: Thank you. This may see, as I explained earlier to one of the other queries also, that the requirement for provisioning is purely be as per the ECL guidelines now. So whatever provision of the PCR of 56% that we have shown is purely based on the provision maintained as per the ECL guidelines. However, it does not include the INR17 crores management overlay that we are carrying and the additional INR67 crores that we are carrying for the restr uctured book. So if we include that, definitely, it will be higher.

And as indicated earlier also during this con call, that if possible, and if the auditors are also comfortab

le, we as management would definitely like to carry a little higher than the ECL provisions.

Ratik Gupta: And sir, previously, we used to receive an outlook of what the loan book growth can be in the coming -- for this year and for like next year. So what sort of growth are you looking right now?

Suresh Iyer: We have indicated that we 'll be looking at around 18% to 20% AUM growth is what we are projecting.

Ratik Gupta: Okay. And based on disbursement, I am I right to say that 3% of the book gets closed every quarter?

Suresh Iyer: That is right. You're right, 3% per quarter, you said, r ight?

Ratik Gupta: Yes.

Suresh Iyer: Yes. That is fine. That is correct.

Moderator : The next question is from the line of Prakriti Banka from HSBC Mutual Fund.

Prakriti Banka: Just two questions and I joined a little late. So I missed it in case you spoke about it earlier. So the yield improvement in this quarter has been much more than what we have spoken off of how about part of our bookings going to get repriced by 5 bps. So we might have about 14 bps. So what is the yield trajectory from here? And the second question is on the average ticket size. The incremental tickets that you mentioned in home loans is INR22 lakhs. Is that correct?

Suresh Iyer: Yes, that is correct. So first poin t on answering to your first question...

Prakriti Banka: On yield.

Suresh Iyer: On your first question, the yield that we are talking about, we have got a sequential growth of 16 bps in spread and 11 bps in NIM. We had, if you recollect, indicated that the restructured book is going to come out INR18,000 crores was there at the beginning of the book, which was yet to experience the part of the rate hike of which we have already experienced it in about INR5,500 crores approximately of about 85 bps.

That is the reason why this has gone up. And this has also been supported by the fact that when we began the year, we had expected the cost to remain stable. But on the cost side also, we have been able to slightly negotiate with a couple of banks and have been ab le to bring down the borrowing cost.

Going forward, we still have about INR12,500 crores of book, which is yet to experience some of it but large part of it is yet to experience a lower spread of 35 bps only. So overall, we expect another about 3 to 5 bps, which is possible going from here where we could see the benefit coming from the rate hike, which is yet to be passed on.

Prakriti Banka: Okay. Got it. And so on my calculated number, I'm getting a yield increase of almost of over 30

bps, but on your numb ers, it's not that bad, right? You're still at about 15, 16 bps only in this quarter?
Suresh Iyer: I'm sorry, I didn't get you. 30 bps of what?
Prakriti Banka: No. So the quarter -on-quarter basis expansion in yield, would you come up to what quantum?
Sures h Iyer: No, the yield is around 9.8% is what is the yield on the portfolio. I think that also we answered earlier. That 9.87%, which was there. There are 2 reasons why that is not getting reflected in the yield going up. One is because while the yield has come on the INR5,500 crores of book, we've also been on incremental lending, we've also had some offers and the incremental lending rate is also on specially on the lower side. That is part one.
And part two, which is that we are increasing the NPA of abou t INR30 crores. And therefore, there is a nonrecognition of income on that additional INR30 crores, which is also one of the reasons why the yield has slightly been pulled down. And coming to your answer, sorry, we missed out on that INR22 lakhs, you are c orrect.
The average ticket price for the quarter in home loans is INR22 lakhs as compared to INR24 lakhs of last year but that is more because some large value things were stopped in the city of Bangalore and all because the -- and Karnataka because o

f the change in the sub registrar offices and digitization that was going on in some of the l ocations.
So some high -value loans, we have had impacted in the disbursement also. So another INR80 crores to INR100 crores of disbursement also has probably been impac ted because the sub registrar offices were not taking the LSR and all those things are getting impacted.
Prakriti Banka: Okay. Otherwise, the idea of moving, increasing your average ticket size that continues to stay.

Suresh Iyer: That continues. But again , as I think you might have missed this answer also, we did mention in the beginning that this APF that we are talking about in the builder tie -ups that was incidentally the first question that where we said that we have that we intend to target, we have s tarted the efforts. But by the time we rolled out the policy and everything, it was almost half the quarter gone. So the impact is yet to be witness. Once that comes in, is when we will start seeing the business coming from the APF and the projects and the INR25 crores to INR1 crores kind of a segment.
Moderator : The next question is from the line of Harshvardhan Agrawal from Bandhan Asset Management.
Harshvardhan Agrawal : Just wanted to understand the Stage 2 numbers that you mentioned. Because if I were to look at some transcripts of previous years, we were hovering at around INR1,000 crores, maybe INR1,100 crores of Stage 2 number. And the numbers that you mentioned now i s at somewhere around INR1,900 crores. So there's a sharp increase in stage numbers in the last 1 year. So how should one look at it? Is there some [inaudible 0:45:46] spreads that we're looking at?
Suresh Iyer: No, no, I'll just clarify. Our Stage 2 numbe rs are around INR1,260 crores only. I said that additionally, the entire restructured book, we are considering under Stage 2, although they are under Stage 1 or regular or they have not even come out of the restructuring. We have taken the entire thing and making a higher provision. For the ECL purpose, the entire restructured book has been pulled along with the Stage 2 assets for the purpose of provisioning, not that they are in Stage 2.
Harshvardhan Agrawal : I agree, sir. But even in the previous con call , obviously, you had the same policy. So just earlier when you were the INR1,000 crores a rough number, that included the restructuring book. And even today, including the restructuring book, it's around INR2,000 crores. So I just wanted to understand.
Suresh Iyer: I'll just clarify even in the month of March, what Stage 2 we had, that is SMA -1 and SMA -2 was almost in the same line. In fact, there is a little INR100 crores, which is an increase. So probably, the INR1,100 crores that we're talking about migh t be the same because we have, overall, our delinquent portfolio has come down by about 150 bps, INR150 crores but Stage 1, Stage 2 has slightly increased by INR100 crores, which is what is coming up at INR1,100 crores to INR1,200 crores.
Moderator : The next question is from the line of Shweta Daptardar from Elara Capital.
Shweta Daptardar: Congratulations on good set of numbers. A couple of questions. The first one being, I just wanted to understand the math behind setting aside the seasonality on the di sbursement, repayments have remained steady quarter -on-quarter in light of 18% growth, how do you see this mark panning out going ahead?
Suresh Iyer: Sorry, can you just can you just repeat it because you're slightly...
Shweta Daptardar: So repayments have remained steady on a substantial basis. Disbursements you said there was slightly due to seasonality, there was quite sluggishness you're guiding 18% growth. So how do

you see the math panning out in terms of repayments versus disburseme nts in order to provide
that 18% plus kind of gr

owth ahead?
Suresh Iyer: Well, if the disbursement -- you are right, the disbursement, which is about 14% should pick up in the coming quarters. So with that, we should be able to probably, we are now at the 18%, it could slightly go up. But again, as we move forward, the pressure on the prepayments could also come up. So I think it is fair to keep the targeted 18% to 20% only because in this quarter, we have not actually seen any pressure on prepayments.
Hope fully, that remains. This might pick up. But normally, in the second half, the prepayment pressure also starts coming in, when the competition also starts offering very attractive rates and special schemes for BT and all those kind of things.
Shweta Daptar dar: And secondly, you mentioned you're comfortable at 8x kind of leverage. But then if I just extrapolate going by a risk -weighted asset number sitting from annual report is it that it becomes a moment capital raising in FY '25?
Suresh Iyer: Well, as I sa id, 8x is gearing and 2% ROA, 18% is there. But if you consistently keep doing it, probably we may require, yes. Normally, the thing only comes in the Q1 when -- but once the AGM happens and the accounts are approved, then in that case, normally, the borro wing does go up. So that time, it's normally not much of an issue thereafter.
Shweta Daptardar: Sir, just 2 bookkeeping sort of questions one is, if you could provide the quantum of borrowings for the quarter gone by. And also, what is the RAK or RAK rate?
Suresh Iyer: Sorry, what was the second question? First was the borrowing, second is...
Shweta Daptardar: What is the interest rate, RAK rate?
Apurav Agarwal: So during the quarter, we have experienced a loan book growth of roughly INR950 crores. And we h ave like on the bank borrowing side, we have experienced a net incremental borrowing of around INR700 crores.
Suresh Iyer: And our lending rates start from 9.6% onwards.
Moderator : The next question is from the line of Shubhranshu Mishra from PhilipCapital.
Shubhranshu Mishra: Two questions. The first one is if we can decompose the growth guidance that we are giving, 18% to 20% would have some ticket size inflation rent, which would be around 4%, 5%, some amount of efficiency in net branches will be maturing. So what is the pure growth number pure new business number in that 18% to 20% growth that we're guiding for.
That's the first. Second is, how do we split our opex into cost of collections and cost of acquisitions. And if we can further split the cost of a cquisitions in our South territory, which is our home territory and non -South territory where we want to expand our book.
Suresh Iyer: The first question, Shubhranshu, I'll just answer your first question. The calculation of 18% to 20% is based on a 20% gr owth in the disbursement last year, we had done about INR9,000

crores. So around INR10,500 crores or thereabout should get us considering the present repayment ratios and all should be somewhere around INR6,500 crores of net accretion to the book. That wil l be around 18% to 20%. So that's the basic math. Now to the question as to where this 20% of growth will come from.
So we have a branch expansion, about 15 branches planned for the year. That should bring us, but that should not be a very large number bec ause we have it staggered over the period. And the first the branches don't contribute very large numbers but the majority of it should come one from the increase in ticket size because of the normal inflationary increase that happened in the cost of const ruction and all which should be around 3% to 4%.
And additionally, we are looking at an increase in terms of the ticket size, which should also help us in bringing this because we are targeting this approved project APF and that should help us slightly inc rease our ticket size once we move into the INR25 crores

to INR1 crores segment,
which is predominantly the segment where this APF happens. So this is the main reason.
Shubhranshu Mishra: Right. So frankly 18% to 20%, roughly, do you think 7% to 8% should come out of ticket size impact, right?
Suresh Iyer: Kind of, yes.
Shubhranshu Mishra: And what would come out of branch efficiency.
Suresh Iyer: Obviously, we expect another 10% of all branches to do definitely more than what they're doing. So at least 10% to 15% in branches is what we have increased for the budget for them. And the 5% should come from the ticket size and from the branch expansion.

Shubhranshu Mishra: Okay. And the opex part that I had asked.
Suresh Iyer: I see the major. We have 80% of the -- answer to the second part of your cost part of it as to what is the acquisition cost. So we have 80% of the loans being sourced through the DSA channel where we are paying a grade structure and about 0.43 it is what is the payout, which is effective pa yout that is going on to the DSA channel on that 80% of the loans which are being sourced to the DSA channel.
That's the only other acquisition costs because we don't have any other channel we will turn much into this. But a little bit of business developm ent expenses could come this year, but because of this APF penetration that we are looking at.
Shubhranshu Mishra: Right. And cost of collection?
Suresh Iyer: Cost of collection, actually, there is no additional cost of collection except for whatever because it's our own staff that is doing the collections also. We don't have a dedicated separate team or anything which is doing it. So in terms of that, I wouldn't say there is much of it. And I think that I can attribute separately to it.
Shubhranshu Mishra: Right, right. And if I could just squeeze in one data keeping question. What is the total borrowing number of this quarter?

Apurav Agarwal: INR29,700.
Moderator : We have the next question from the line of Pavan Kumar from RatnaTraya.
Pavan Kumar: What could be the BT out for the quarter? And what should be the normalized BT out ratio for the year?
Suresh Iyer: The BT out during the quarter is not a very high number. Our normal prepayments is about INR100 to between INR100 crores, INR125 crores per m onth. That's about INR400 crores, I think, max, we would have -- not even that much about INR350 crores is what we would have had a prepayment of which BT out would probably about INR100 crores, INR125 crores, not more than that.
Pavan Kumar: INR100 crores , INR125 crores per month.
Suresh Iyer: For the quarter.
Pavan Kumar: For the quarter Okay. And sir, another thing on the restructured book, which has come out of INR470-odd crores that you are talking about, so how do we actually define that they have com e out in the sense, is it like the payment due has already started and are there any furthermore GNPAs expected from the same INR470 crores pool going forward? Because my understanding is there would be maybe I mean how many have actually paid 1 or more instalments .
Suresh Iyer: So how we consider them there to be out of restructuring is that whenever the restructuring was given, there was a fixed tenure for which the restru cturing was given. And once that we had comes out, the EMI demand or rather demand starts that is when we say there is a lot of restructuring, okay? And as of now, while INR475 crores has come out of restructuring, as I had earlier mentioned about INR250 crores is the portfolio wherein more than 3 EMIs have become due. And from that, if you look at it, only about INR19.5 crores has turned into NPA. So the balance portfolio is where at least customers are paying something.
That's the thing. And now to the remaining part, whether there wi ll be some more NP As that could come out of INR475 crores yes, because INR475 crores minus INR250, around INR225 c

rores are such cases where even 3 EMIs have not become due. So some of the customers, if they don't continue to pay and then they could move i nto NPA, plus there is a INR216 crores of portfolio, which is yet to come out of restructuring. Overall, we have earlier given a guidance that up to 10% could go into default, wherein we may have to carry a provision. Although the INR250 crores, this is only 19.5 crores , which is 8.67%.
Pavan Kumar: Okay. But this INR250 crores since they have not paid their 3 EMIs. I mean, then it should technically be a GNPA.
Suresh Iyer: We have classified INR19.5 crores as a gross NPA. And for the rest of the book out o f 250, there have been cases where people have paid out of it. So there have been, say, people absolutely regular and to the SMA -1, or 2 or SMA -0.

Pavan Kumar: Okay. And apart from this INR250 crores out of the INR470 crores, you are saying they are paying very regularly.
Suresh Iyer: There are cases which are paying also I didn't say all of them are paying. As I said, INR475 crores has come out of a restructured book, of which INR250 crores is where more than 3 EMIIs

are due and 19. 5 crores has become NPA.
No, no. The NPA is not INR250 crores. I'm sure portfolio which has crossed 3 or more EMIs are due but only 19.5% is such where the customers have not paid 3 EMIs and other full NPA. The remaining ones have paid the EMIs. Part of it or full.
Pavan Kumar: Okay. But if 3 EMIs are crossed, then it is 90 days plus 2, right?
Suresh Iyer: Yes, that's what -- so they have been more than NPA. That's why INR19.5 crores is such where they have not paid. So if they have paid, say, one out of the two MIs they would be in SMA -0. If they have paid two out of three , then also there have been SMA -0. So that's how the classification I'm saying only INR19.5 crores are there, they're more than 90 days EMI, more than three or more EMIs have not been received, and that is the portfolio which is classified as NPA out of the INR250 crores. The remaining INR231 crores is that where they are paying.
Apurav Agarwal: If you're taking it that. So INR250 crores worth is the portfolio who has become regular out of the restructured book. It is not that they are not paying.
Moderator : We have the next question from the line of Anusha Raheja from Dalal & Broacha .
Anusha Raheja: So what will be your full year credit cost guidance ?
Suresh Iyer: No credit cost, we are talking about 10 bps only. We have so far not seen anything. We may have to carry some provision for the NPA, but in terms of absolute write -off and credit cost in that sense where we will not be able to recover, that will be not more than 10 bps.
Anusha Raheja: Is it possible that the total hit on the P&L will be closer to around 10 bps, that will include on the restructured provisioning as well, right?
Suresh Iyer: No, no. You're talking about credit cost in the time of losses or you're talking about NPA provisio n also.
Anusha Raheja: NPA provisioning.
Suresh Iyer: We are saying 0.7% up to 0.7% could be the portfolio, which could be under NPA. Consider including the portfolio, which will come out of the restructuring. So 0.7% is the portfolio which will be NPA the actual provisioning of that would be 0.46% is the ECL guidelines that we are doing 0.5% you can say. So that would be the provisioning that we will have to carry on that book. And but the actual credit cost in terms of the write -offs in terms of the amoun t, we will not be able to recover from the customer, it will not be more than 10 bps.
Anusha Raheja: Okay. Okay. And I just actually move down to your builder loan strategy, if you can just elaborate a little bit more on that?

Suresh Iyer: So this we are doing with a view to improve our direct sourcing, we would like t

o. We have identified APF that is the project file concept for tie -up with builders for sourcing of direct business. There, we have already initiated efforts and we have already marketing wit h the builders for approaching the project. Thus far, we have not received any approvals because we have started it only in the last 1.5 months or 2. So we are expecting that to happen. And once that happened, mainly, we are targeting the segment of 2 BHK, 3 BHK properties in the geographies that we operate in smaller projects, not the very, very large projects because the smaller projects are easier to handle.
But basically, this will be the category B and category C developers. So with the cat B, cat C of developers, you would like to tie up for the project sizes where the unit costs are in the INR25 lakh to INR1 crores segment. And in that, we would like to tie up with them for and give the legal clearances so that we can do direct sourcing of busine ss from there.
Anusha Raheja: Okay. And what is the average ticket size of the home loans currently?
Suresh Iyer: For home loans, it is INR22 lakhs in this quarter and INR8 lakhs for the NHL.
Anusha Raheja: Okay. And incrementally, you're saying that closer to around 5% of growth in the AUM can come from increase in the ticket size, that will -- this 22 can become 25 odd right I mean.
Suresh Iyer: We are projecting it to slightly be in the INR25 lakh to INR27 lakh range.
Anusha Raheja: INR27 lakhs to INR28 lakhs.
Suresh Iyer: INR25 lakh to INR27 lakh range because we are right now at INR22 lakh. It has to interrupt last year also, we are around INR24 lakh. So actually, once we start doing this APF project, we expect an average ticket size of around INR40 lakhs in the -- from the APF projects because they -- as I said, they would be the INR25 lakh to INR1 crores segment.
So an average ticket price around INR40 lakhs is what we can expect from there. This would help even if we get 10% business from this se gment in the year, we should be able to increase it from the present INR20 lakhs to INR24 lakhs to around INR27 lakhs.
Anusha Raheja: Okay. But then upwards of INR30 lakhs, if you will see, I think even banks are quite active in that segment, right? So whe n you say that you will be having 18% to 20% sort of growth over a longer period of time and incremental, some part of the growth is also coming from the higher ticket size. So how do we see that? Because that will also call for shrinking the margins as we ll,

right?
Suresh Iyer: There could be some impact on margin. But basically, as I said, we are looking at the Cat B, Cat C developers and the smaller projects where the project size is. So there, we should be able to at least make some inroads and get some business.
Anusha Raheja: Okay. And what could be -- how can we look at this as build sourcing sort of loans over the next -- over the period of next, say, 1 or 2 years what could be its share in the total on the loan book pie?

Suresh Iyer: With APF that we are talking about, we expect going forward to contribute somewhere around 20% of the business. Because right now, as we mentioned, 80% of the business is sold through DSA. So we expect that to come down to around 60% in the next 2 to 3 years and we woul d like to bring about the APF would contribute about 20%. Our direct business, another 10% and about 10% could come from the digital sourcing that we would be able to start once our systems are in place.
Anusha Raheja: And how much could be the benefit in this which is versus how much you pay out to DSA currently?
Suresh Iyer: See, we are paying out up to 0.43, that is 43 bps to the for the DSAs for business sources by them. So that obviously will if we get the direct business, that will be a saving which we can use to pass on the customers in terms of this thing.
Anusha Raheja: So I mean yo

u broadly, we can expect the return ratios in terms of ROA and ROE to maintain at the current levels despite the fact that there will be increase in the ticket size. So th at's a fair assumption.
Suresh Iyer: That is a fair assumption, 2.1% ROA and around 17% to 18% ROE.
Moderator : We will take that as a last question for today. I would now like to hand the conference over to Mr. Suresh Iyer for closing comments. Over to you , sir.
Suresh Iyer: Yes. Thank you. Thank you. I would like to thank all of you for taking your time out for this Q&A session and for this presentation. If there are any queries, you can always most welcome to reach out to us but I hope we have answered al l the queries. And if there is anything missed, you can please get in touch with us.
Moderator : On behalf of Investec Capital Services, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Oct 2023

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CFHRO SE CS LODR 293/2023
October 21, 2023
ONLINE SUBMISSION

National Stock Exchange of India Ltd.,
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex,
Bandra (E)
Mumbai – 400 051

NSE Symbol: CANFINHOME
BSE Limited
Corporate Relationship Department
25th Floor, P J Towers
Dalal Street, Fort,
Mumbai – 400 001

BSE Scrip Code: 511196

Dear Sirs,

Sub: Transcript of Earnings Call for Q 2FY24 Financial Results.
Ref.: Our letter CFHRO SE CS LODR 288/2023 dated October 18, 2023 .

In continuation to our above referred letter, please find attached the Transcript of Analyst/ Investor conference call /earnings call held on , October 18, 2023 .

The aforesaid Transcript is also made available in the Company's website i.e., https://www.canfinhomes.com/pdf/Investec -CanFinHomes -18Oct -2023.pdf

This intimation is submitted pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

Kindly take the same on the record.

Thanking you,

Yours faithfully,
For Can Fin Homes Ltd.,

Nilesh Jain
DGM & Company Secretary

Encl: As above.

Nilesh
JainDigitally signed by
Nilesh Jain
Date: 2023.10.21
14:38:50 +05'30'

“Can Fin Homes L imited
Q2 FY '24 Earnings Conference Call ”
October 18, 202 3

MANAGEMENT : MR. SURESH S. IYER – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER – CAN FIN HOMES LIMITED
MR. AJAY KUMAR SINGH – DEPUTY MANAGING DIRECTOR – CAN FIN HOMES LIMITED
MR. APURAV AGARWAL– CHIEF FINANCIAL OFFICER – CAN FIN HOMES LIMITED
MR. B. M. SUDHAKAR – BUSINESS HEAD – CAN FIN HOMES LIMITED
MR. PRASHANTH JOISHY – DEPUTY GENERAL MANAGER – CAN FIN HOMES LIMITED

MODERATOR : MR. NIDHESH JAIN – INVESTEC CAPITAL SERVICES

Moderator: Good afternoon, ladies and gentlemen, and good day, and welcome to the Can Fin Homes Q2 FY '24 Earnings Call, hosted by Investec Capital Services. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Shoul d you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Nidhesh Jain. Thank you, and over to you, sir.

Nidhesh Jain : Thank you, Anzo. Good afternoon, everyone. Welcome to the Q2 FY '24 Ea rnings Call of Can Fin Homes Limited to discuss the financial performance of Can Fin Homes Limited, and to address your queries, we have with us Mr. Suresh S Iyer, MD and CEO, Mr. Ajay Kumar Singh, DMD; Mr. Apurav Agarwal, CFO; Business Head; Mr. Prashanth Joishy , DGM of Can Fin Homes Limited.

I would now like to hand over the call to Mr. Suresh Iyer for his opening comments. Over to you, sir.

Suresh Iyer: Yes. Good afternoon, everyone, and thank you for joining us for this Earnings Call . I welcome all of y ou to the second quarter presentation of - the business performance of Can Fin Homes. Just to give you a brief about the quarterly performance. I'll just take you through a couple of points before we open for questions. The presentation that we have prepared has already been uploaded. I'm sure all of you would have gone through it.

But just to recap a couple of important points. First is on the disbursement front, we have had a sequential growth in terms of disbursement, but in terms of comparison wit h the first quarter with the second quarter performance of last year, we've had a slight dip. And I guess we had already indicated post our Ambala incident that as a fraud had occurred in the month of July that sentiment is a little low, and it might have felt a little bit of disbursement because we are introducing a lot of steps and controls in the processes to strengthen the process and bring in a lot of internal controls. So that was one thing. But sequentially, the disbursements have grown compared to the Q1 of the current year.

The other thing is that in terms of the disbursements, we had indicated that Can Fin would be looking at slight increase in the ticket size and looking at segments with builder tie -ups. So from that angle, the business, the per formance has been a little positive. We have started getting a good result and the inquiry and logins have been quite positive. So in terms of disbursements, while the Q2 has been a little slow compared to what we would have expected.
But going forward, we are quite positive that disbursements will pick up, and we should be able to cover up for some of the shortfall of the Q2 performance. In terms of the collections and recovery, the non -restructured book continues to have a very healthy GNPA and it is in l ine with what has been there in the March as well as in the June results. The gross NPA, which was 0.55 has only marginally increased to 0.57, which is more of a seasonal impact as regards to the non - restructured book.

However, in terms of the restructured book, the NPA has been there. And as compared to what was initially expected that about 10% of the book would move into NPA from the restructured book. We have about a slightly higher of 14%, which has moved into the NPA in terms of the restructured book. So to cope up with this, the management has also made a slightly higher management overlay in terms of the provisioning.
So an additional INR17.28 crores management overlay has been made during the quarter. And as a result of this, the overall PCR has sli ghtly improved, because from the INR17 crores to

management overlay, which is already made in the March of last year, there is an additional INR17.28 crores management overlay totalling to INR 34.28 crores. So this has helped in improving the PCR, includin g the management overlay to about 63%.
Overall, as you -- the important thing that happened in the last quarter was the event at Ambala wherein the fraud was there. Post the event, the initial disclosure was made to the stock exchanges regarding the event that has happened and the amount of INR38.53 crores was reported. Subsequently, the management has conducted an extensive study of this entire thing, not only at Ambala branch but across all the branches. And it is confirmed once again that it is purely a one-off incident in one of the branches at Ambala and it is not found in any of the other branches.
The final amount also in respect of this fraud has been crystallized at INR 39.67 crores net amount, and for that, the management has made a 100% provision in the current quarter. So that is there. So because of this, the total provision, which has been made during the current quarter tune up to INR 72 crores, which is inclusive of the INR 39.67 crores for the Ambala incident and the INR 17.28 management over lay that has been done over and above the regular provisions that are required as per the ECL.
In terms of the spread and the NIMs, there has been an improvement in both the spread and NIM during the quarter, mainly because of the portfolio which has exper ienced the last rate hike, which was passed on. So at the beginning of the quarter, there was INR 12,500 crores approximate portfolio where one rate hike was yet to be passed on.
During the second quarter of the year, around INR5,700 crores of book has gone through this or experienced this rate hike, which leaves another INR6,000 -odd crores wherein this rate hike is yet to be passed on.
So totally, we have the spread because of this rate hike, the spread has improved and so also has the NIM. So NIM as at the end of the second quarter stands at 3.62%. Going forward, in terms of disbursement, we are confident that the logins and inquiries have been good, so we would be able to catch up a little bit in terms of the shortfall of the s econd quarter. And compared to the target, we would at least be crossing INR10,000 crores in terms of disbursement during the entire year.
The loan book growth because of this shortfall in disbursement during the second quarter has slightly come down to 16 %, but we are hopeful that we should be able to pick up in the second half, which normally is also the better half in terms of the disbursements for the housing industry.

To push that disbursement, we also start for this festive season announced a small sc heme for our new customers at a slightly lower rate of interest also. So we are hopeful that business should pick up, and we will be able to improve the disbursements. And we continue to maintain the guidance of spread of 2.5% for the entire year and 3.5% for the year in terms of NIM for the entire year.

So that's in a nutshell performance for the quarter, and the detailed presentation is already shared and put up on the website as well as on the stock exchanges.
So I guess we can now open for questions. Thank you.
Moderator: Thank you very much, sir. The first question is from the line of Manuj Oberoi from Yes Securities. Please go ahead.
Moderator: Mr. Oberoi, Mr. Manoj Oberoi . As the current participant is not answering, we will move on to the next que stion. That is from the line of Shreepal Doshi from Equirus.
Shreepal Doshi : Congrats on good set of numbers, and I wanted to appreciate for the detailed presentation. Sir, the first question was pertaining to the yield. So while as you explained that the repricing has benefited us on the wheel side and incrementally the INR6,000 crores of portfolio,

which will
get repriced for 35 basis point of rate hike, the last one that you had taken. So is there anything additional other than that, that is benefiting u s on the yield side? What -- I also wanted to understand our incremental lending rate that we have.
Suresh Iyer: See, the two points that you have mentioned, one is the rate hike that was passed on. Obviously, in the first quarter, we didn't get much of a benefit of the rate hike because whatever was passed on at the beginning of the year, we had about INR 18,000 crores. And at the end of the first quarter, we had INR12,500 crores. So about INR5,500 crores, which came for a reset during the first quarter of the year where it was for a part of the quarter only. So we didn't get the full impact.
But in the second quarter, that entire INR5,500 crores, we've got the 100% benefit. For the entire 3 months, we've got the benefit. That is the main reason. Same way going forward also the portfolio, which has come for a reset in the second quarter, we have only got part of the benefit as it has come to our books because it would have -- some of it would have come in the month of July, some in the month of August and s ome in the month of December.
So on that, the entire 3 months, next quarter, we will get. So that is the main reason. And the second reason is the incremental lending rate obviously has slightly gone up because Q1, Q2, normally, the discounts that are offe red for the festive season are generally pulled out. So same in our case also, we had done that, but that was also there for the first quarter. So that wouldn't make much of an impact in Q2, but -- so the main reason has only been the rate hike that has been passed down where we have got the full impact of INR5,500 crores during this current quarter.
Second question, as regards to the lending rate, so our lending rates, we have -- I think we have not made any change in the lending rate during the quarter, e xcept for higher ticket size because

we were to enter into the APF segment. For the higher ticket size of loans, about INR35 lakhs, where the credit score is above particular cutoff, we have offered a slight discount in the lending rate, and we have lowere d our card rate for those kind of customers. So that is now below 9%, whereas for the rest of the customers, it does start from 9.6%.
Shreepal Doshi : Okay. Okay. Sir, just second question was on the GNPA front. So we've seen an increase in our numbers, whi le I understand some of it would be from the event that happened during the last quarter, and in some of it would be from the slippages from the restructured book, as you highlighted. But I suppose there is still a part portion of our restructured book, wh ich will be coming out of moratorium? Because you had highlighted that in August, a majority of it will come out. And by November, all of it will be out. So how do you see the GNPA moving from here on? And was there any other big slippage during the quarte r?
Suresh Iyer: Yes. First of all, there is no impact in the GNPA because of the Ambala fraud because first of all, it is not an asset -related fraud. So there is no bearing. It was pu rely,, money which was siphoned off, and there was no asset to back it u p. it's not an asset -related fraud. That is not part of the INR33,359 crores that is reflected in the asset book .
So this entire thing, if you look at the Page 30 of our presentation, you will see that the major reason for the rise in the gross NPA is bec ause of the restructured book, where we've had a INR64 crores portfolio turning into NPA. Now this INR64.18 crores, which has become an NPA from the restructured book is out of the INR450 crores of restructured book, which has come out of restructuring up to June.
So basically, we had a total book of INR685 crores, where in restructuring was offered out of which INR460 cror

es has already come out of restructuring up to June 2023. And out of that,
INR64 crores has moved into NPA, which is about 14% . And we still have out of this thing about INR210 crores of book, which is yet to now come out of the restructuring in the coming month that is in the Q2 of the current year as well as the month of October and November. So

out of this INR210 crores, if you look at the same percentage, there could be some increase in the coming quarters in terms of the gross NPA.
But having said that, I would also like to say that during the last quarter, we also had some recoveries from the regular accounts. So the entire impact wi ll not be present in the coming quarters. But that should probably be the last of the NPA because in terms of the restructured book, the gross NPA levels have almost been the same at 0.55 has just marginally increased to 0.57, which is also a seasonal impa ct. So that also by March should come down back to the, I guess, 0.55 or something.
Shreepal Doshi : Got it sir, got it.
Moderator: The next question is from the line of Manuj Oberoi from Yes Securities.
Rajiv Mehta : So the first question is on business and disbursement. So sir, are all the operational changes complete as we speak? And would the branches take some time to attune to them? So anything on that if you can highlight?

Suresh Iyer: Sure. So we have mentioned in Page 33 of our presentation, the action taken, wherein most of the changes that we had indicated that is centralized disbursement as well as centralized reconciliation and strengthening of the credit sanctioning, which is the credit risk monitoring department, CRM, and a few other smaller things. But mainly these three have already been implemented.
So the centralized disbursement we have been doing from -- 3rd of October, actually, and it has been going quite well. There is n o kind of issue or anything that is being faced.
In terms of the centralized reconciliation also, it is completely something which doesn't affect the branch operation. So that is also not going to have any impact. Same also the case for CRM.
So the impact in terms of the business would not be as much. It is only that while we were doing this, we were implementing this. There was a lot of changes in the systems and clarifications and trainings and all that had to be done, which had an impact in terms of the business.
So that having been done, and this process is being implemented -- at least in the respect of these cases it will not impact much. However, we do have a couple of other things which are planned, which is given on Page 34 of our presentation. But I guess it would not have much of an impact going forward because those are the smaller things which will not have an impact in terms of the TAT or in terms of the servicing of the customers and the branches.
Going forward, I guess, it should not impact mu ch in terms of the disbursement because all the trainings and everything that was required was mainly for the central disbursement, which has already been completed.
Rajiv Mehta : And sir, any spike in branch attrition in recent months?
Suresh Iyer: Sorry, branch?
Rajiv Mehta : Attrition in recent months.
Suresh Iyer: No, no. We have not seen any attrition. I mean, it's a regular course that is there not much and there is no any difference in terms of attrition.
Rajiv Mehta : Okay. Sir, the second question is on cost of funds. The cost of fund was flat Q -on-Q. And so if you can spell out the sequential movement in borrowing rates from banks and NCDs, just to understand why the cost was flat on Q -o-Q basis.
Suresh Iyer: See, mainly, if I were to tell you that it 's not that it's all the aspects of the borrowings have remained flat. So there have been a couple of MCLR -linked bank term loans, which wherein we've had a small increase. However, on the other sid

e, there have been the commercial paper that we borrowed, I mean, that we raised were at a slightly lower rate.
So overall, if you look at it, the impact has been kind of set up within each other. So while th ere was some about a couple of MCLRs, so since the repo rate loans that have been raised, which is the ma jority of the bank borrowings that we have, there since -- there is no change in the external benchmark that is a repo rate. Hence, there is no change in those loans. But a couple of our bank

borrowings are linked to MCLR or T -Bill. So there, it's a fluctu ation linked to the MCLR or the T-Bill. And that has been offset by the CP.
Same way if you look at it, the last year, we had raised NCDs that are at a higher rate because we had raised it in the month of February where the rates have kind of started going up already.
This year, the rate that we are getting are a little on the lower side, although we have not raised any single rupee from the NCD route this year.

So I guess, in terms of the cost, there could be a couple of other MCLR rate loans, which are there, which if the MCLR go up and could go up. So otherwise, we don't see much of an impact. And if you look at it, our borrowing from NHB has come down during the year because we have already exhausted all our NHB -sanctioned limits in the month of December 2022 itself. And for the current year, we are yet to receive the fresh sanctions from NHB, which normally comes in the month of October, November. Last year, also, it had come in October only. So once that comes, whatever little increase there is there, p robably we can offset from a raise, when we raise the NHB refinance because that is one of the cheapest borrowing avenues for us as of the moment.

Rajiv Mehta : Yes. Got it sir.

Moderator: The next question is from the line of Nishant from MLP .

Nishant: Yes, yes. So yes, my question was around like growth and possible balance transfers out. So we've taken -- like we passed on a lot of like yield hikes on to customers like we've had like a very smart and sharp kind of NIM expansion on this. How should I th ink about growth? Like do you fear this starts to impact prepayment rates and people be out like festive season, people typically have like those processing fee waivers or stamp duty waivers or all that kind of stuff. So how are you thinking about that? Is there a potential for the yields to be kind of negotiated down by customers to kind of preserve growth? And secondly, just if you could talk about, like, say, from a 3 -year perspective, what kind of growth ambitions do you have?

Suresh Iyer: Sure. First q uestion, Nishant, is about your -- is the prepayment risk or the -- whether there has been any spike. So actually speaking, compared to the first quarter and the second quarter, the actual -- absolute value of prepayments plus amortization during the quart er has been higher by about INR100 crores, which is not a very large amount. Although it is there, it is witness about INR100 crores. Some of it, obviously, is also because the base itself has gone up over the quarters. But there has been a slight increase in this thing.

Now going forward, with the festive season coming, as you rightly pointed out, a lot of players would be coming in with very good offers for -- at lower rates and all those things. But we have also, as I mentioned earlier, also slightly off ered a good rate for some of the customers. And if required, we will also look at offering a good rate to retain good customers. So that will obviously be the thing. And that's why in the beginning itself, while our present NIM is around 3.62% and our spre ad is also higher at 2.6%. But still, as I mentioned that we would be comfortable with the 2.5% and 3.5% number for the entire year because if required, we will not hesitate to offer a good rate to retain good customers.

Nishant: Sure. Understood. And coul d you talk about growth as well? And you also alluded to like higher...

Suresh Iyer: I don't -- what is the outlook for the next 3 years or something. So current year plus in the short term, if I have to mention, I would say, as I mentioned earlier, that t he whatever shortfall is there in the second quarter, we would probably look at offsetting some of it in the Q3 and Q4 and we have a good, announced spread and margin, and we've had a pleasant surprise in terms of the spread and NIMs. So we would not hedge -- we are now a little more comfortable in offering a good rate to push growth. And that is what has been our indication from the beginning that if we have that buffer, we will definitely use it to push growth.

So we will try to do that and cover up for s ome of the shortfall of the Q2 performance in the Q3 and Q4. Having said that, for the next 3 years, if you look at it, our growth targets would be somewhere around 20% disbursement growth year -on-year. That would be the kind of target that we would be com fortable with.

Moderator: The next question is from the line of Ankush Agrawal from Surge Capital.

Ankush Agrawal : Highly appreciate improved disclosure on the presentation. Just clarification from the restructured numbers. So you said INR460 crores came o ut as of June '23 and INR210 crores is more pending.

Suresh Iyer: Yes, I'll just explain -- so we have about INR680 crores of book, which is -- where in the restructuring has been there. INR450 crores had come out of restructuring in -- up to the month of June, okay? And during the month of July, August, September also, we've had INR216 crores, which has come out of restructuring. However, for the purpose of calculating the NPA, we have taken that portfolio with a one quarter lag, because if the portfolio has come out in the month of August, then even otherwise, even if the customer has not paid a single amount, it will not be classified as an NPA in the month of September.

So for the purpose of clarity and for the purpose of having a fair representation, we have taken the base or the portfolio, which has come out of restructuring up to June and the NPA as on September. That's why NPA of INR64.18 crores on INR460 crores. But if you ask me reall y how much portfolio has come out of restructuring, then it is INR613.66 crores.

Ankush Agrawal : So technically entire portfolio has come out is just that the 90 -day DPD for this INR210 crores or INR216 crores pending, right?
Suresh Iyer: No, INR63.20 cror es is yet to come out of restructuring, which is in the month of October and November. And together, this yes, INR676 crores minus INR460 crores , that is about INR216 crores is what is not yet closed -- has not crossed the 90 days. So it's likely to have s ome impact in the NPA going forward.
Moderator: The next question is from the line of Rohan Advant from Pratt Capital.
Rohan Advant : So my first question is that on the restructured book, we had a provision of INR68 crores. And now in this quarter, we've d one a management overlay of INR17 crores. So we have to say, an

INR85 crores provision. Are you confident that this provision would be sufficient for all expected slippages from the restructured book going forward as well?
Suresh Iyer: In fact, I would say that this is -- would be more than sufficient. I'll tell you why, one, because we, of course, have that INR68 crores , which was the mandatory provision required when the accounts were given or offered are restructuring, 10% of the book . So that's why the INR68 crores originally is already available with us.
Over and above that, whatever INR64 crores portfolio has moved into NPA, we have already provided the -- under the normal ECL guidelines. So whatever provision is required as per

the
ECL, which is for the Stage 3 assets, that has already been computed and provided in the normal ECL calculation. Over and above that, we have the INR17 crores provided in the -- as a management overlay in March, plus the INR17.28 crores provided in this q uarter. So that is another INR34.28 crores.
And additionally, as a very prudent measure, the entire non NPA book of restructured pool that is another INR613 crores, which you have seen in our Page 27 of presentation is being considered as Stage 2, even if they are in Stage 1 or Stage 2 or if they have not even come out of restructuring. So even in that count, we have provided on the higher side, considering them at Stage 2, even if they are in Stage 1 or they are in a regular category.
So there has been pru dence in terms of provisioning for restructured book on all -- on multiple three or four accounts. So going forward, from the restructured book, we don't expect or foresee any kind of additional requirement that may come.
But as I said, the final thing wil l emerge in the month of March because the final last -- of this thing is also expected to come out in the month of November. So in Q4, is when they will cross 90 days. So by March, the complete picture will be available, and post that, we can take a call on how much to maintain and how much of this management overlay is available to us.
But having said that if you look at our Page 29 of our presentation, we would like -- our ECL provision requirement itself is only 44%. So the PCR is less. So as a conserva tive management, we would definitely prefer to have a slightly better PCR. So to that extent, whatever possible, we may continue even if it is not going to affect as a restructuring, but we may still continue because it's -- we would like to have a slightl y better PCR.
Rohan Advant : Got it. Sir, and my second question is that in your opening remarks, you said that for this year, you are targeting disbursement of INR10,000 crores. In the first half, we've done INR4,000 crores. So that leaves us with a run ra te of INR3,000 crores per quarter for the second half. Are you seeing that kind of traction for a few quarters now, we seem to be around that INR2,000 crores and have unable to really step up that.
Also I understood from your presentation is that you are t rying to diversify your sourcing away from DSAs. So would that have some additional growth pressure. So your confidence on the INR10,000 crores disbursement and the traction you are seeing, if you could share there, it will be useful..

Suresh Iyer: Sure, c ertainly. See, when we say that we want to slightly reduce the reliance on DSA, it is not that we want to reduce the absolute amount or sourcing from the DSA, having it was practically a single sourcing channel, which is available to the company. So we are just trying to kind of spread and have an additional sourcing channel, which is through this builder tie -ups than APF and through this digital sourcing, okay?
So whatever was coming from the DSA pool will continue. We will still have to -- if you -- that also you will see that in terms of the numbers also, we have not seen much of a reduction or a change in terms of the sourcing from the DSA channel. That is also part of our presentation. So

what we will do is this APF sourcing and as well as the digital t hat we are looking at, we will
only add to the kind of sourcing that we are looking to have.
Rohan Advant : And are you seeing traction for the INR3,000 crores in terms of the pipeline, the inquiries?
Suresh Iyer: Yes, we are having a good increase. In fact , this APF that we had started somewhere in the
month of July -- and July and all, we are getting a good response. And what has happened is our
absolute business from that INR25 lakh to INR50 lakh and above INR50 lakh segment has
started moving up. Though it's not a very lar

ge number to talk about, but it is the number that
started to show. And we are hopeful that this will also help us because not only will the business
come from that segment and the APF channe l but that whatever business we get will also be
with a slightly higher ticket size because that INR25 lakh to INR50 lakh and INR50 lakh plus
will be higher than the current average ticket size that we are having of INR22 lakhs per HL and
INR8 lakhs for NHL.
Moderator: The next question is from the line of Onkar Ghugardare from Shree Investments. Please go
ahead.
Onkar Ghugardare : Yes. My question was regarding the INR46 crores NPAs, which you talked about. I mean, can
we see this kind of run rate also goi ng forward? Or are you seeing -- do you think they will be
moderating in the upcoming quarters?
Suresh Iyer: I mean INR46 crores, I didn't get. I guess you're talking about the portfolio of restructured, which
is INR64 crores, right.
Onkar Ghugardare : Yes, yes.
Suresh Iyer: So INR64 crores, as I said, is mainly because of the restructured pool of INR450 crores, which
has INR460 crores, which has already come out of restructuring. So that's about almost 65% of
the restructured book has already come out of it . The balance is only INR210 crores. So going
forward, it will definitely not be as high. And even, as I said, even if you consider the same
percentage, which is 14%, then the numbers will be less than half of what we have already seen
already. So INR64 cr ores, maybe another INR30 crores is what we can see, but not beyond that.
Onkar Ghugardare : Okay. Another question is on the growth fund. You mentioned around 20% growth we are
targeting for the next 3 years, what kind of AUM growth we can look forward in that and around
the margin -- NIM margin also?

Suresh Iyer: See, we would be comfortable with our spread and NIM of 2.5% and 3.5%, respectively. And
in terms of the AUM growth, if we do about 20% disbursement growth, considering the present
level of prepay ments, amortization and everything, we should be around 18% kind of growth in
terms of AUM growth for the next 2 to 3 years.
Onkar Ghugardare : Okay. And this NIM percent and yield you mentioned for the upcoming quarters? Or this is for
the long term, you are maintaining this 2.5% and 3.5%?
Suresh Iyer: In the long term, we would be comfortable with about 2.5% spread. I think as the thing a 2.5%
spread is something which is comfortable to work with, considering that net -net, after all our
expenses, after al l our cost and credit cost and our opex and everything, we'll still be able to
maintain a 2% plus kind of ROA.
Onkar Ghugardare : Okay. And what kind of gearing you will be comfortable at?
Suresh Iyer: Currently, our gearing is below 8% -- 8x, and we would be comfortable and we would not want
to go beyond 8x.
Onkar Ghugardare : So that leaves you for capital, right?
Suresh Iyer: 8x gearing to ROA would be about 18% growth from internal accruals. Yes.
Onkar Ghugardare : Okay. So any plans to tap the capital ma rkets for this upcoming growth you're talking.
Suresh Iyer: No, no, up to 18%, if it is there, we will be able to meet from the internal approvals. Yes, if it is
a good year, if the growth picks up, if some new scheme is announced by the government or any
testing which pushes the demand then definitely, we will have to look at capital if it goes beyond
18%. Presently, as you know, the rating agencies ICRA and CRISIL have mentioned about 13
to -- 14% to 16% expected growth rate for the industry in the curren t year.
So tomorrow, I mean, if overall, there is a good kind of incentives provided or something and
some new scheme launch, then in that case, it is possible that growth rates might pick up, in
which case, we may have to look at something because gearing beyond 8 would not be prudent
or would not be very comfortable even from t

he rating agencies or anything.
Moderator: The next question is from the line of Shweta Daptardar from Elara Capital.
Shweta Daptardar : Congrats on a good set of numbers. Sir, my qu estion again pertains to the growth numbers. So
two apprehensions that I have. One is the actions which we have taken on the operating systems
front, wherein we have mentioned that the disbursements have been centralized. So now that the

disbursement or th e decision -making authority has been product removed at the bank level? Does it impact the incremental growth? Point number one.

And point number two, so you just mentioned that the INR6,000 crores odd kind of run rate is very much plausible on disbursements in second half given the maintenance of current repayment rate, but if I look at the scenario where in Bt cases have been slightly on the higher side and given that you're almost dou bling the disbursement from the current odd levels. And if I assume current repayment scenario, then the growth is sort of -- the final AUM growth is sort

of not -- and conjecture, which I'm getting is it's not getting closer to 18% plus. So could you just clarify the math?

Suresh Iyer: Yes, sure. So first is regarding whether the growth of INR6,000 crores would be possible or not. See disbursement of INR6,000 in the 2 quarters. If you look at it in the previous year also, we have touched somewhere around INR2,500 crores in terms of the disbursement in a particular quarter. And we would have probably touched somewhere closer, in this current quarter also had this additional impact not happened.

So now coming to the impact of the centralization of disbursemen t, actually, it is not that the power or the disbursements have been completely withdrawn from the branches. The branches only scheduled the disbursement. The branches are only assessing the cases and sanctioning is also decentralized as it was done in the past.

The only thing is because the check -signing powers are also decentralized and we wanted to withdraw that and add an additional control point, that is why we have just added another maker - checker concept at the head office, wherein certain documents are verified and use confirmation and everything is taken.

So basically, what we have done is on a day, there is a cutoff of 12:00, wherein the branches have to feed in all the disbursements like they have normally been doing. There is an additional check -in which happens at the head office post which the disbursement requests are sent to the bank, Canara Bank and DDs are collected in the evening around 4 and 5 p.m.

So instead of having a full day available where any time they could do a disbursement, it is only a matter of planning where the branches have to ensure that by 12:00, they are able to schedule the disbursement. If it doesn't happen, then it will happen in the next day. So it's not going to add to any kind of an operational issue or increase in T AT, which will affect the business, okay?

So one is as regards to the business of INR6,000 crores, we have done INR2,500 crores, so a little bit of push to make it INR3,000 crores would not be too far -fetched I feel.

Second thing is, we have also planned s ome additional branches for this year. We have already opened 3 branches in the second quarter, and we are already in the pipeline another 9 branches where we are at a stage of negotiation for the property or recruitment is spending and all. So that also w ill help to the -- in terms of the -- adding to the growth.

And the third point is the ticket size, as I had mentioned earlier, that this slight increase in the 25 to 50 and 50 plus segment that we are seeing, that will help us in improving the ticket size also. So that is the three points which are there. And of course, with the buffer that we are having in terms of the rate hike, which will help us in the spread, we hav

e an opportunity to offer good rates to get the market, that's another thing why the gr owth should happen.

Now the other point that you mentioned about prepayments. So as I mentioned earlier, between the first quarter and the second quarter, the absolute increase in the prepayment and amortization only to the tune of INR100 crores, which is about INR30 crores a month, which is not a very large amount considering that we have 200 branches, 208 branches to be precise. So it's not that there's a very large run on the -- in terms of disbursement or any major kind of a thing. During

the entire qua rter, Q2 compared to Q1, there is an increase in terms of prepayment to the extent of INR100 crores put together, 3 months. So I hope I've answered all the points.

Moderator: The next question is from the line of Pavan Kumar from RatnaTraya Capital.

Pavan Kumar : Sir, can we -- for the INR450 crores, which has already come out of the restructuring before June. Are you confident that this INR64 crores of GNPA in balance? Or do we think anything further might come out of that book itself?

Suresh Iyer: I don't think that is -- I mean in the normal course; some slippages here and there would happen. But again, there would be a total -- some payments also coming, recovery is also happening. So I don't think there is much of an impact -- too much of a higher impact that is likely. We are confident we should be able to do it. Recovery efforts are there. We are also pushing further adding, maybe we will add some more staff and all because we had anticipated about 10. It is slightly higher than that. So we are adding r esources on the recovery front and also I am quite confident we should not see any major spike in that.

Pavan Kumar : Okay. So basically, INR64 crores from INR450 crores and additionally, if anything comes from INR210 crores that has come out of the book, right?

Suresh Iyer: That will come out of the book, yes.

Pavan Kumar : Okay. And what do you expect once this restructuring book is done and over there what should be the normalized credit cost going forward?

Suresh Iyer: See, the credit cost in terms of ECL provisioning and all that's a different issue that is a normal thing. We have a Stage 3 provisioning of 0.42, that's in the normal course will continue. Credit cost in terms of actual write -off or anything of that sort, I don't -- I think 10 bps is more than enough because traditionally, it has never been beyond that. It is, in fact, not even 7 bps actually. So I think 10 bps in terms of the credit cost for write -offs and all those things put together would be -- should be good enough.

Pavan Kumar : Okay. And one last thing, sir. When I saw your presentation, if I'm right, there is a decrease in standard asset provisioning, putting those to INR7 crores. What would that actually mean?

Suresh Iyer: See, actually, in the begi nning of the year, whatever we had in terms of our Stage 1 assets, we've had a lot of -- the absolute value of 0 to 30 bucket has actually come down, okay? And with more of a portfolio now moving into regular payments and all, in fact, in the ECL model, th is percentage itself is the 5 -year analysis that has been done on the actual track because the ECL works on a pure scientific model where 5 -year rep ayment analysis is carried out.
And then the probability of default, and this is evaluated. So based on tha t, the portfolio is reflecting that. So the main effort was we tried to also pull down in terms of the overall amount, which was in SMA -0, SMA -1, and SMA -2, so that has also brought in results. Our overall portfolio which is in the SMA -0, 1 and 2 has come down, where net of the amount which has moved into NPA.

Moderator: The next question is from the line of Nischint Chawathe from Kotak Institutional Equ

ities.

Nischint Chawathe : Just one or two clarifications. You will still have around INR280-odd crores of loans which come out of restructuring or which have probably come out of restructuring, but we don't know if they are standard or NPAs. And I think against that, what you mentioned is that you have around INR34.28 crores of overlay and around INR68 crores of provisions on restructured loans.

Suresh Iyer: Correct.

Nischint Chawathe : My reading is also -- all this around INR100-odd crores is available for this INR300-odd crores of loans, which we'll have to see whether -- how much of it can turn back.

Suresh Iyer: Yes. But again, it is -- while it is for the restructured book, as I had also mentioned, it is also because our PCR is only 44% in terms of stage -- it's 44% in case of Stage 3 assets, okay? So part of it, we would like to also retain our -- we woul d also like to -- we also would like to maintain to have a slightly better PCR. So it is not that it is the entire additional management overlay or whatever is being carried is because of -- in the restructured book only. Some of it is also because of -- we would like to slightly have a better PCR.

Nischint Chawathe : But in that sense, is it fair to say that if the slippage rate from restructured book is similar for the balance INR300-odd crores, then you may not require another management overlay. I think is that a fair assumption?

Suresh Iyer: That is a fair assumption. In fact, by March you would have a complete fair picture. And we would probably have some excess, which we can write back. But as I said, we may not because we would like to still maintain a healthy PCR. But in terms of the portfolio, the way we are looking at it, yes, this available management overlay should be more than good enough to handle the excess -- additional provisioning under ECL.

Nischint Chawathe : And just one clarification. I k now you started off with this that disbursements were a little weak this quarter. I didn't quite follow the reason for this.

Suresh Iyer: See, we had this incident in the month of July, where this fraud had happened . So obviously, after that, we tightened a lot of things even in terms of the sentiment there was a little bit of impact. And we have tightened certain processes and additional checking, and we had this entire exercise, which was carried out to ascertain whether the same thing is happening in any other branches. So there was an additional reconciliation, additional visits carried out. And then we had the centralized disbursement.
So we also had an extensive round of training, which is conducted across for all the branches. So all those things hav e been additional things which have impacted our -- the business. Basically, it is just that there were too many other diversions as well. So that is the main reason.

That is, I would say, the main cause for this.
Nischint Chawathe : I think 2, 3 quarters b ack, you have called out some sort of a weakness in higher tickets. So would you sort of say that from a demand point of view, things are sort of -- there's no issue at

all and things are back on track or would you still say that there may be some focus or there is a little bit of weakness?
Suresh Iyer: I mean I didn't get your question. You were saying in the higher ticket size, what is the point?
Nischint Chawathe : My question essentially is on the demand side; do you see weakness in any pockets at this point of time?
Suresh Iyer: See, not in the segment, as I mentioned earlier, this INR25 lakh to INR50 lakh and above INR50 lakh, we are actually seeing increase or improvement in terms of the business as well. An d this particular ticket size, we are not seeing any kind of a slowdown or anything. Yes, to some extent, affordable might be a little slow because post CLS withdrawal, there could be something. But in the INR2

5 lakh plus basically, I would say, not even INR25 lakh plus basically the 2 BHK and 3 BHK and that kind of a segment, which is the midsize and definitely, there is a good demand. So that is -- I mean, I don't think there is any flatness in that particular segment. Not at least what -- not in any of t he markets that we are operating in.
Moderator: The next question is from the line of Anusha from Dalal & Broacha.
Anusha: I just want to understand what is average ticket size currently?
Suresh Iyer: For the Q1 as well as Q2, our average ticket size for H L was around INR22 lakhs and for NHL was around INR8 lakhs.
Anusha: Okay. And for the entire book, if we have to take?
Suresh Iyer: For the entire book, we'll have to work out. I'll probably come back or we'll put it somewhere. But right now, it is -- we w ill take that.
Anusha: Sir, I just wanted to understand, incrementally, you said that in average ticket size, if you're looking at INR25 lakhs to INR50 lakh bucket and INR50 lakhs plus. So going forward, say, over the next 2 years, how do we see this high ticket size segment share in the overall loan book ?. Because I also want to understand with the related competition in the high ticket size is higher from the banks and other NBFCs. So how you would like to grow in this at INR22 lakhs, which you -- the tickets that you had and plus on the higher -end side. So what is the share that you might look at it in the next 2 years' time?
Suresh Iyer: See, we have indicated that while I don't have the kind of breakup of how much of it would go into the kind of more than INR50 lakhs segment, but definitely, we are looking at the ticket size moving up to the present INR22 lakhs in the HL segment to around INR27 lakhs to INR30 lakhs in the next 3 years or something. So this would mainly come because we would be pushing for the business in the INR25 lakh plus segment also.
Now competition, obviously, is there and -- when we were in this lower segment, there was also a segment that now the bigger players are also open to come to the lower segment. So that way, everybody -- the competition is always going to be there. So we'll have to find our space within that INR25 lakh plus segment as well.

And with this APF, what happens is that it's not only a matter of a loan amount, which matters. It's also a matter of segment. It is also matter of the customer profile. It also is a function of the local presence that we may be having in certain pockets. So all those will contribute. So it is not that we need to have a very sizable chunk of the market to be able to do it.
Looking to o ur size, I know even if you get a small 2% to 5% kind of customers in the bigger ticket size, INR25 lakh plus in projects that we are approving, we should be able to get a good sizable amount of business from that, because we had -- like we have started th is APF, we are looking at about 350 to 400 projects to be approved during the year. Now if 350 to 400 projects are there and we are able to get 2% to 5% of the business from those projects also. I think that should also add up to quite a bit of the busines s.
Anusha: Okay. And sir, on the margin side, if I just look for the Q1 margins, they were around 3.5% plus, Q2, it was 3.8%. And you said that going forward in H2, there's INR6,500 crores worth of what could we get repriced with 35 basis points the rate h ike that you had done.
So in my opinion, I think the trajectory should be, I think, definitely should be much higher than the blended for the FY '24 should be much more higher than 3.5%. Then the guidance is actually much lower than you have been putting i t out. So that is purely because the deals on this

incremental basis are lower, that is precise even that you are aiming for lower margins.
Suresh Iyer: As I mentioned earlier also that yes, there is a buffer available. And in

this quarter itself, we are
pleasant -- it's been a good healthy growth in the NIMs and spread. So definitely, as indicated earlier, we would -- this will give us a lot more comfort to offer better rates to attract customers in the INR25 lakh plus segment.
So we would be -- that's why we would be open to kind of compromise on the spread up to 3.5% -- sorry, NIMs up to 3.5%, so that we can get some growth. That's why we continue to have a 3.5% kind of guidance in terms of NIM.
Anusha: Okay. And I missed out your credit cost guidance tha t you mentioned. So what was that number for the FY '24?
Suresh Iyer: 14 bps for the credit cost -- I mean not the ECL provision, but in terms of the credit cost, absolute losses and all those things, not more than 10 bps.
Anusha: Okay. So this will be -- so on a normalized basis, that's a run rate that we should look at?
Suresh Iyer: Correct. That is right.
Anusha: Okay. And just one last thing on the opex side. I think you had said that you will be opening closer to around 15 -odd branches. And I think the 9 more are yet to open. So do we assume that opex cost and the NIM should be higher in the second half?
Suresh Iyer: To some extent, yes. They would be higher. You are right, there would be slightly higher although this would not be the main reason. But a long with this, there will be a little bit of additional staffing that we have projected, which will be joining. We also have this IT

transformation, which will also have a little bit of a cost. So the small IT interventions and all those things that we ar e doing. So all those would have a cumulative impact. And yes, we had indicated that by the end of the year, we can probably look at somewhere in the range of about 18% cost -to-income ratio.
Anusha: Okay. Sir, last thing on putting all these things togethe r, how do you see ROE for the current fiscal?
Suresh Iyer: This quarter, of course, because of this exceptional item of provisioning for this Ambala incident, but other than that, we are confident ROA of 2% should be -- we should be able to maintain an ROA of 2%. In fact, we have given that by excluding that event, our ROA has -- would have been 2.21% in this quarter, excluding this demand. But because of this onetime event, it is 2.01%. Otherwise, if this onetime provisioning had not happened, it would hav e been 2.21%.
Moderator: The next question is from the line of Bhuvnesh Garg from Investec Capital.
Bhuvnesh Garg : Sir, I have a question regarding the RBI guidelines on change in EMI or increasing the tenure, the guidelines, which were issued in August. I just want to understand the impact of like how we used to do it earlier and what has changed after the guideline. Yes, that's my question.
Suresh Iyer: Okay. Now actually, there are two guidelines which the RBI has come out with. The one that you mentione d about the variable rate and the customers giving -- having an option or a particular number of times, they can move from a fixed to floating or floating to fixed, okay? That is one particular guideline. That may not have too much of an impact because it is more of a transparency and giving a customer an option.
And we are already having an option that customers can -- we are already having a reset clause where every time the rate changes, there is -- the card rate and the card rate, the customers at the time of the reset are put back into the card rate depending on the kind of credit scoring or the credit band in which they are falling.
So that is already being there. So the customers don't even have to ask for it. So in terms of that, we may not have muc h of an impact except that we don't have a fixed rate loan, which you may have to offer. But looking to the trend of the customers, there is not much of a demand for a fixed rate loan. Most of the customers are comfortable and the last a

bout since 2003 to 2023,
there have been 20 years that customers are now completely used to fluctuations, there has been upward movements as well as downward movements. And so customers may not have so much of a request for fixed rate loans.
And this particular request or th is guideline has also come mainly because for the first time in the history of so many years, that has been such a sharp rise in the interest rates in the market in such a short period of time. So the -- we don't expect that it will have much of an impact.
However, since you raised the point of RBI guidelines, there is another guideline by the -- from the RBI for all lending institutions, including banks, wherein the penal interest rate, you'll have to -- you cannot compound and they cannot be in the nature of a percentage. It has to be for us on an absolute value, and it cannot be compounded. That is something which will have a larger

impact for all the players, but that will be something which will impact everybody. So I think
that is what we'll have to se e. But that is not yet implemented, but we still have time.
Bhuvnesh Garg : Okay. So would you be able to quantify that, how much that impact of penal interest would be there?
Suresh Iyer: No, not right now, but we have evaluated. We don't have too many ins tances that actually it is going in the nature of penal interest. Mostly, it is the nature of the penal charges, but yes, compounding impact. We'll have to see how much of it is there and how to handle it. But the way the systems will have to be changed an d everything, we'll have to see whether that deadline given by the RBI is maintained or there is some possibility -- there is some extension which happens. But as of the moment, we have not quantified it.
Bhuvnesh Garg : Okay. Okay. And sir, if you can provide the breakup of customer base in terms of how many of your customers haven't seen any change in EMI, also have only seen increase in tenure over -- since the rates have been increasing and say, how much percentage of customers have seen, say, 10% in crease?
Suresh Iyer: I don't have it right now, but I can -- we can probably look at it and provide it. I don't have the data available.
Bhuvnesh Garg : Okay. And is there any change in the customer behaviour post RBI guidelines that whether the customers are actively asking for increasing the EMI or increasing the tenure? Is there any change in customer behaviour ?
Suresh Iyer: See, by default, we are offer or as per the loan agreement, it is a change in tenur e because for the customer, it is kind of an inconvenience if they have to keep on changing the EMIs, they will not have an idea as to how much to provide for in their cash flows. So that is something which is generally accepted in the market. And only in the event where the tenure crosses that limit of 30 years or 70 age cap that we have or if this results in a negative amortization, that is when we go for an EMI change. The number of customers who opt for a change in EMI is not a very large number. I woul dn't say it is even in the lower single digits.
Moderator: Thank you. The nex t question is from the line of Dipanshu Suman from Vriddhi Capital. Please go ahead.
Dipanshu Suman : Congratulations on good numbers. So I just wanted to understand on the cost -to-income ratio. So right now, we are at 16.25%. So for coming, say -- coming 2, 3 years with -- after initiatives on branch opening as well as on the digital side, how do we try to model this?
Suresh Iyer: See, branch expansion, we have planned for just 15 , 20 branches every year. And most of our branch -- instead all our branches are on opex model where we just have a lease, rentals and registration and all those things. So it's not a very large cost, but that will not be a major impact. However, we have a n IT transformation, which is planned that will hav

e an impact in the coming
years, at least for the next 2 years.

We feel this could be slightly elevated and go up to about 18%, 18.5%, in the coming 2 years. But beyond that, as the size increases, the boo k size increases, this would probably get absorbed and again start coming down. But in the next 2 years, that is the current and the next year, probably this could be slightly elevated because of the IT transformation more than anything else.
Dipanshu Suma n: Got it, sir. So most of the other points already you have clarified, but just wanted to understand from you, what are the reverse of what we have on the ROA side. So right now, as you said, we are at 2.2% for this quarter, excluding the exceptional . So how do we try to see that we can be at 2.2%, 2.3% over a longer period of time, say, for example, 3 years kind of?
Suresh Iyer: See, I would love to have a ROA of 2.2%, 2.3%. But as the size increases, as we also are moving into the slightly higher ticket size loans, I think we'll have to be a little more -- we'll have to understand that this probably could stay, rather come down rather than go up to 2.3% and 2.4%. So I mean, if you have to factor it into your projections, I would say figure of 2% in the lo nger run would be a little more appropriate rather than looking for an increase in the ROA rather of 2.3% or 2.4% from the curre nt level.
That will be a little more realistic, I would say, rather than going for a higher because ROA because as we are more in the ticket size, we have to be a little more competitive, and we may have to offer some better rates, which will impact our spreads, which will impact our -- some offers, special offers and all those things will have to be offered. So that would do it, but we

would be more comfortable with about 2%, and we would like to maintain at 2% and not go below that.

Dipanshu Suman : Okay. So -- got it, sir, but do we have something in mind from the product segment basis? Say, for example, builder side or are they on the loan against property side and the product mix, which we can -- which can help us to be at a 2.1%, 2.2% kind of?

Suresh Iyer: See, we do have certain options in the sense that we have a very low percentage of business in the LAP segment. We don't of fer these products like LRD or we don't have the structured loans or things like that. And we don't practically have minimal or nil, I would say, loans in the commercial segment, okay? So those options are always available, along with the construction finance also which is offered by many other players.

So I mean, if at all, there is a conducive environment and we are in a position, we may look at it at a later date, but not as of the moment. I think we are comfortable with the pure home loan segment, self -construction or purchase cases. And even within that, we have a good healthy mix of salaried to the self-employed of 72% to 28%. So I think if we are able to operate in the same segment, we would like to maintain it as far as possible. But yes, there are a few levers available, which we are not looking at as of the moment.

Dipanshu Suman : Okay, sir. So right now, you have already been for almost say, 6 months. So any -- opportunity or say, low hanging fruits, which you see in which can help us out in the sh orter term from the growth perspective, any other low hanging fruit, what you would have observed or any of the

key observation which is bothering you? So both -- on both sides -- one on the opportunity side and one on the concern side. So any key concerns what you feel?

Suresh Iyer: Well, I can't -- I've articulated this quite often. But just for the sake, I'll just mention, see, one of the opportunities is -- on the IT front, we have embarked on an IT transformation and that has been actually long overdue . So once th

at happens, that's going to help in our -- in terms of additional obviously a latest state -of-the-art kind of a technology platform will help us in better analytics, will help us in better CRM and all those things. So that will definitely be a positive, which we can look forward to. We have already embarked on the IT transformation project.

The second, of course, was that it was a single sourcing channel on which we were dependent upon and we have tried to diversify that and add a couple of more channels, which is the APF as well as the digital onboarding and digital sourcing. So this is another positive, I would say.

In terms of the negatives, of course, it's clear that if we have to move to the slightly higher ticket size, we will have to compr omise and will be open to a little in terms of our spread and NIMs. So that is the main force.

We already had -- in the beginning, when I -- when I joined it, obviously, there was this concern about this restructured pool where a majority of it has already come out. So I think by March, that particular part of our -- that small grey area would also be very clear by the end of this financial year. So that also was one of the areas of concern, which now we are a little more clear as to where it is happening, and we are taking corrective steps on that as well.

Moderator: The next question is from the line of Gaurav Jani from Prabhudas Lilladher.

Gaurav Jani : Couple of bookkeeping questions first. Can you quantify the investment income in Q2 and Q1, I think it was...

Suresh Iyer: Sorry, can you just repeat it -- what is that?

Gaurav Jani : Can you quantify the investment income, please, for Q2 and Q1?

Suresh Iyer: Investment income you're asking about?

Gaurav Jani : That's correct, sir.

Management: The investment income for this quarter is INR31 crores . And for last quarter also, it was the same number, INR31 crores.

Gaurav Jani : Okay. Sir, secondly, I wanted to clarify on the entire movement of the provisions and the PCR. So what I understand is this quarter, abo ut INR64 crores has slipped from the restructured to the NPA, right?

Suresh Iyer: Not in this quarter. But yes, we have had -- we started off with INR174 crores as of March. And today, we are at INR254 crores. So...

Management: Broadly 26 and 54, 80 .

Sures h Iyer: Yes. In this quarter. Yes. You're right. INR64 crores in this quarter and 20, something in that previous quarter. You're right, correct.

Gaurav Jani : So which means, sir, where I'm coming from this NPA provisions are about INR16-odd crores, I belie ve those are COVID write -offs, right? I mean because last quarter, there was again a restructured slippage to NPA of about INR17 crores. I believe that is completely written off this quarter . That is a PCR has come off, sir.
Suresh Iyer: No, no, there is no write -off. It is the NPA portfolio, the efforts for recovery continue. It is not a write -off. They are NPAs. So they are accounts the payment is not coming, but the asset is there. The customer is there. And so the recovery efforts will continue, and th e provisioning will also continue as per the requirement of the ECL model, whatever is required, we'll be continuing with. And normally, if once an account goes into an NPA, we -- as per the ECL model, we have considered or our past record shows that the r epayment happens in 5 years.
So there is a 5 -year period in which the account comes to a closure. Either it gets regularized or just think some of them will remain in an NPA for a longer duration and all. So earlier also, if you look at IGAAP requirements, it was 15, 25, 40 and 100, wherein it was going up to beyond 5 years also. So that was the thing.
But in the case of ECL, when the consideration is purely based on the statistical data, so our track record shows that on an average, it doesn't go beyond 5 years and the

account gets closed
or either which way, maybe with a little bit of a onetime settlement or a small waivers or something or with a full recovery, so that's the kind of thing.
So these accounts of 18 -point -something, which became an NPA from t he restructured put in Q1, they are part of that INR64 crores, which are an NPA as on the end of the second quarter. And they will be -- they have been considered in the Stage 3 assets for the purpose of our ECL calculation.
Gaurav Jani : Sure. Sir, basical ly, the last 2 quarters, we've seen a decline in PCR. So what you're alluding to is that's basic -- that's largely because of the slippage from the restructure to the NPA and that initially would obviously entail lower provisioning.
Suresh Iyer: Correct, c orrect. That is true. That is true.
Gaurav Jani : Understood. Understood. Sir, lastly, in terms of, again, hopping on this point of disbursal for the second half, right? So what I understand is most of the processes would have been implemented by September end?
Suresh Iyer: Yes. If you see the presentation, yes, most of it in terms of the centralized disbursement, lead sourcing, pilot projects, reconciliation, CRM, all those things, yes, we have implemented by the end of -- by September, yes. Most of them ha ve -- are operational from 1st October or something like that, yes.
Gaurav Jani : Correct, which means that October would be a normal month, right?

Suresh Iyer: Yes, we should look at October as a normal month, except that it has too many holidays. But other than that, yes, it will be a normal month where Diwali and Dussehra falls -- Dussehra.
Gaurav Jani : Correct. So till date sir, could you quantify the amount of disbursals that you would have done? Or what sort of number are we looking at in terms of Octo ber?
Suresh Iyer: So as we said, we are looking at a INR10,000 crores disbursement by the end of the year. So we should be doing about INR3,000 crores and that is what we are pushing for in this quarter.
Gaurav Jani : Sir your targets were about INR1,000 per month, so which is what I was getting at.
Suresh Iyer: Yes, yes. So that's the kind of a thing. We have given our targets accordingly only, and we are pushing for that.
Moderator: So the next question is from Akshat Hariya from Multi Act PMS.
Darshan S hah: This is Darshan Shah from Multi -Act. I just have one question. Can you please share BT -out number for the Q1 and Q2 of this year?
Suresh Iyer: See, we have a total amount of portfolio, which is inclusive of the amortization, I can probably separate it and give it to you. But in Q1, the total amount of amortization plus prepayment put together was INR105 -- sorry, no, no.
Management: Q1 was INR1,025 crores. And this quarter, it is INR1,165 crores.
Moderator: The next question is from the line of Aravind R from Sundaram Alternates.
Aravind R : So I would like to understand, so this APF loans, would it be like only residential, like individual home loans or like will it also include the commercial loans? That is my first question ..
And sir, since the higher ticket sizes in APF loans is much higher, like above INR25 lakhs, it could even be in the range of INR30 lakhs, INR40 lakhs, even INR50 lakhs? Couldn't -- can it not up the growth potential for the company itself like from 18% to even 20%, 21%, something like that.
And another question I would like to understand, I mean, kind of another query I would have is the interest rate sensitivity, let's say, like if there is a 100 bps rate cut in next year, like how can it show up in the yi elds or the cost of funding?

Suresh Iyer: Yes. So first of all, your thought about this APF, whether it also is commercial. No, we are only doing residential loans presently in the APF project. So if it is a kind of a loan with a shops plus houses, we woul d be targeting the houses or the flats

in the particular scheme for our APF
projects that is one, because as I said, we have a minimal to almost nil kind of a portfolio in the commercial segment as of the moment. So that's what is the first point.
The seco nd point is as regards to the disbursement of the APF, yes, we are also expecting the average ticket sales to be in the range of INR35 lakhs to INR40 lakhs for the loans that we give in the APF segment. So that is one of the key factors why we are confident that we should be

able to achieve this kind of 18%, 20% growth in loan, 18% loan book growth and achieve about INR1,000 crores in the disbursemen ts.
And third, as regards to your stress testing the interest rate sensitivity calculations, we have 3 levels of testing that we do for our -- in our stress testing. And we have a scenario where even up to 1%, if there is a hike or a change in the interest rates, we do factor in and consider as to what would be the impact in terms of our interest rate sensitivity, we do factor in and whether we are adequately capitalized and whether we are -- how much it would impact in terms of the profit is being monitore d.
And we are even monitoring the kind of limits that the Board has set the limits for what kind of variation is acceptable and what will be the breach limit. So we are not reaching the -- I mean we will not be crossing this, breaching those limits that ha ve been laid down by the Board, even with a 1% variation in the interest rate, either way.
Aravind R : So you are seeing like there won't be much impact on the spreads or margins because of the...
Suresh Iyer: No, I'm not saying there would not be an impact . I'm saying that we do have this stress testing mechanism wherein we are doing 3 levels of mild, medium and high kind of 3 levels of stress testing done. One of factors is wherein in case of the interest rate sensitivity, we do consider up to a 1% high or a drop in interest rates, either which way, depending on the -- how much fixed rate and variable rate you have on the asset and liability side, it could go either way.
The Board has set the limit in terms of how much of variation in terms of the profit is acceptable. So there could be some impact or negative impact also in case of the interest rates, but they are within the limits that have been said. So we are quite comfortable within that. And these obviously are conservative limits, which have been set by the Board.
Aravind R : Okay, sir. Just one thing on APF, like so that ticket size is higher, and we are entering more and more into the banks and territory of customer segments, what kind of things would we be like a little more relaxed in terms of selec ting the customers, I would try to understand in comparison to the banks?
Suresh Iyer: Well, the segment of APF that we are targeting, we have -- first of all, we are trying to work with the CAT B and CAT C developers, because obviously, CAT A developers w ould mean they would be very, very competitive. They would have much more attractive options available to them. So matching them would be a huge compromise from -- for us also. So in terms of that, we are looking at a CAT B, CAT C kind of developers where the project sizes are kindly slightly smaller, right -- not more than 100, 150 units in a particular project.
And we are also aware that we will not be able to look at the very high end of the segment that is 4BHK or very, very luxurious kind of apartments and things like that. So we are more concentrating in terms of our APF, in terms of our 2 BHK and 3 BHK segment, which normally would be in the range of about INR25 lakhs to about INR1 crores . That is a segment that we are operating in. So I mean, if it h as to be a property of INR2 crores flat, which over each crossing INR2 crores, probably we may not be touching those kind of properties for our APF segment.

Moderator: The next question is from the line of Abhijit Tibrewal from Motilal Oswal.
Abhijit Tibre wal: I think you have answered most of the questions that I'm about to ask but asking them again just for better understanding. Sir, I mean, lot many people today asked what led to slightly muted disbursements. You explained it by saying that somewhere tow ards the end of July, we came across frauds in the Ambala branch. But sir, when we kind of look at or when we kind of speak to your peer set, there is a definite acknowledgment of a demand slowdown that you also talked about in slightly lower ticket sizes, I would say, INR15 lakhs to INR25 lakhs, probably an

outcome of the withdrawal of the CLSS subsidy.
So for you, in particular, disbursements slightly lower than maybe even your expectations, most predominantly because of the distraction, which was there b ecause of frauds which were subsequent process, fixing, employee training, branch trainings? Or would you attribute it to weaker demand? And so my related question here, is the demand genuinely weak or is it that a particular bank or an NBFC is wholly agg ressive in mortgages and which is kind of leading to weaker demand environment for the other players?
Suresh Iyer: See, in terms of the first question, is it because of this the incident and the repercussions that we had, I would say, it was because of that only because -- in spite of all these things also, we have seen an increase in our business in the INR25 lakhs to INR50 lakhs and above INR50 lakhs segment in Q2 compared to Q1.
And in terms of our project launches, in terms of our -- the kind of demand, particularly in that segment, we are definitely seeing that it is continuing. There is no slowdown in that segment .
But you rightly pointed out in the smaller segment, which I also earlier mentioned that post CLSS' withdrawal, there could be some kind of a little pressure in the smaller ticket size or affordable segment because supply has always been an issue. But for the CLSS, which was a very good incentive for people to enter that segment ..
So that is definitely there. But in the segment where we are having a ticket size of INR22 lakhs, and we are looking at the APF where we are targeting INR25 lakhs to INR1 crores kind of projects. So there, definitely, the demand is continuing, and we don't see too much of a slackness, okay?
Second, as regards players whether somebody is becoming too aggressive. No, I think overall, everybody is trying to operate in their own comfo rt zones and areas and is trying to be as aggressive within the limits that are possible. So there is no single player who is becoming any great competition or anything of that sort.
But having said that, I would probably say that, yes, some of the players have slightly come down in terms of the ticket sizes, like probably we -- I mean the competition phase of the competition has almost remained the same, except probably a couple of NBFCs have entered the market, that's about it.
Abhijit Tibrewal : Sir, the second question that I had was on NIMs, again, you've commented extensively on that, that to spur growth, we are okay compromising margins and spread as long as they remain above your guidance of 2.5% spreads and 3.5% margins. But sir, the way I look at it the third quarter

you have a couple of levers, like you said, almost INR6,500 crores kind of got repriced in the second quarter. The full benefit of that you will get in the third quarter another INR6,000 crores will probably get repriced in the third qua rter. The full benefit of that you will get in the fourth quarter.
But having said that, like you said, in the festive period, you are offering loans below 9% for new customers, for the existing customers it's 9.6%. At the same time, because you will be working under APF d

eveloper tie -ups to spur growth in higher ticket sizes, quite naturally, you need to be aggressive because you will be competing with banks in those ticket sizes. But net -net, is it right to conclude that from here on, versus what you repo rted in Q2, we should see margins moderate and which we also aid your disbursements. Like you said, you're targeting almost INR3,000 crores each in 3Q and 4Q.
Suresh Iyer: No. You're reading is right that we do have certain levers and we do have certain ar eas like absolutely rightly pointed out that this rate hike is yet to have the full impact. And so there would be -- on a steady -state basis, if we had not changed gears or if we had not changed the segment, probably we would have seen an uptick in the spr ead and margin, but we would like to enter the new segment, and this is a good time where we can use this buffer to offset that thing and enter the new market. So we will -- going forward, you can see that probably 2 points might either remain and/or might come down. But we would not want to go below 2.5% in terms of spread.
Abhijit Tibrewal : Got it, sir. And last question is, I mean, this quarter, the effective tax rate was lower at I think, 20%. What was the reason for the lower effective tax rate?
Suresh Iyer: See, our tax rate in Q1 was around 22%. But this time, because of this impact of this Ambala provision that we have taken, there's a deferred tax asset also which is to the tune of about INR10 crores -- INR13 crores. So because of that, the effectiv e tax rate for this quarter is a little lower.
But otherwise, if you had to kind of project it into your figures, probably you could continue it as a 22% because this is a onetime impact for this quarter.
Abhijit Tibrewal : Got it, sir. So for the full year , it still remains at 22%, is it?
Suresh Iyer: 22% net of this INR13 crores, which we have to continue in terms of the deferred tax in this year.

Moderator: The next question is from the line of Jigar Jani from B&K Securities.
Jigar Jani : So just a couple of them. One, on the APF side, any particular targets you have probably out of the INR6,000 crores, how much disbursements you're targeting this year in the second half on the APF side? And for next year, especially the one that this is li kely to be a one major growth lever that is likely coming out of say INR12,000-odd crores of disbursements that we are targeting next year. How much are we kind of internally targeting from the APF segment, that's one.
And secondly, on the opex front, on t he IT infrastructure, I think we have guided INR460 crores of opex , the IT systems over were spread over 2 years. I just want to understand how much you have spent in the first half? And how much is pending to be taken in FY '24? Hello?

Suresh Iyer: Yes, s orry. The first -- on your APF question, we don't have a specific amount we target for the current year. As I mentioned earlier, however, we have kind of said that our target that we should try for about 350 or to 400 kind of projects to be approved during the current year. Now obviously, this project approvals happen at a very nascent stage when the kind of project is just getting launched.
So actual disbursement and all for these projects also will come at a lag. That's why for the current year, we will g et some benefit, but we have not quantified it. Having said that, going forward, we have said that now 20% of our business should come from this segment of APF. Currently, we have 80% plus coming only through the DSA channel. And we would like to in the 2 - to 3-year kind of a horizon, we would like to see it come down to about 60%, 20% coming from the -- from our APF segment, some 10% coming from a digital sourcing and channel and whatever remaining 10% would be from our walk -ins and existing customers comi ng for repeat loans and things like that.

Jigar Jani : And on the opex ? On the opex for IT...
Suresh Iyer: Hello?
Jigar Jani : On the opex for IT infrastructure.
Suresh Iyer: Yes, I'm in that point. See, on the opex , we have not actually spent anything in the current year, except for -- because we have still not finalized the vendor. The vendor we have mentioned in our presentation also is likely to be the system integrator is likely to be finalized in this particular month, in October, we are expecting Oct ober or by mid -November. So the expenses have not been -- have not come into the -- so far in this current year. But once the SI is implemented, then the expenses will start. That's why while we have projected that it could go up to around 18%, 18.5%. As o f now, it is still only 16.25% in terms of the cost -to-income ratio.
Jigar Jani : Okay. So probably in the second half is what we are seeing some impact.
Moderator: Ladies and gentlemen, that was the last question for the day. I would now like to hand the conference over to the management for closing comments. Over to you, sir.
Suresh Iyer: Yes. Thank you, Nidhesh. Thank you to all the participants for taking out the time and for all the questions. I hope we've been able to answer all the questions. And if a t all, there are any queries that are left out, you are -- you are most welcome to get in touch with us. Thank you once again for taking the time and for hearing us out. Thank you.
Moderator: Thank you so much. On behalf of Investec Capital Services, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Jan 2024

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CFHRO SE CS LODR 27/2024
January 27, 2024
ONLINE SUBMISSION

National Stock Exchange of India L imited
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex,
Bandra (E)
Mumbai – 400 051

NSE Symbol: CANFINHOME
BSE Limited
Corporate Relationship Department
25th Floor, P J Towers
Dalal Street, Fort,
Mumbai – 400 001

BSE Scrip Code: 511196

Dear Sirs,

Sub: Transcript of Earnings Call for Q 3 FY24 Financial Results.
Ref.: Our letter CFHRO SE CS LODR 24/2024 dated January 23, 2024.

In continuation to our above referred letter, please find attached the Transcript of Analyst/ Investor conference call /earnings call held on , January 23, 2024.

The aforesaid Transcript is also made available in the Company's website i.e., https://www.canfinhomes.com/pdf/CanfinHomes -Jan23 -2024-Transcript.pdf

This intimation is submitted pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

Kindly take the same on the record.

Thanking you ,

Yours faithfully,
For Can Fin Homes Ltd.,

Nilesh Jain
DGM & Company Secretary

Encl: As above.

"Can Fin Homes Limited
Q3 FY202 4 Earnings Conference Call "

January 23, 2024

ANALYST : MR. NIDESH JAIN – INVESTEC CAPITAL SERVICES

MANAGEMENT : MR. SURESH IYER – MANAGING DIRECTOR & CHIEF
EXECUTIVE OFFICER – CAN FIN HOMES LIMITED
MR. AJAY KUMAR SINGH – DEPUTY MANAGING
DIRECTOR - CAN FIN HOMES LIMITED
MR. APURAV AGRAWAL – CHIEF FINANCIAL OFFICER -
CAN FIN HOMES LIMITED
MR. B. M. SUDHAKAR - BUSINESS HEAD - CAN FIN
HOMES LIMITED
MR. PRASHANTH JOISHY - CAN FIN HOMES LIMITED
 Moderator: Ladies and gentlemen, good day and welcome to Can Fin Homes Q3 FY2024 Earnings Conference Call hosted by I nvestec Capital Services . As a reminder all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions af ter the presentation concludes. Should you need assistance during the conference call please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Nidh esh Jain from Invest ec Capital Services . Thank you and over to you Sir!

Nidhesh Jain : Thank you Shashni . Good afternoon everyone. W elcome to Q3 FY202 4 earnings conference call for Can Fin Homes Limited . To discuss the financial performance of Can Fin Homes and to address your queries , we have with us Mr. Suresh Iyer, MD & CEO ; Mr. Ajay Kumar Singh, DMD, Mr. Apurav Agrawal, CFO, Mr. B M Sudhakar , Business Head and Mr. Prashanth Joishy of Can Fin Homes Limited. I would now like to hand over the call to Mr. Suresh Iyer for his open ing comments . Over to you Sir!

Suresh Iyer : Thank you Nidhesh and good afternoon to all of you and thank you for taking time out to join the investor call. To start with I will just give a brief couple of points or few points on this quarter performance and then we can go for question and answers. As you all know, the third quarter has been in terms of the business parameters of disbursement and recovery, there has been a lit tle bit of setback, but that was not kind of guidance or whic h was not expected. In terms of the disbursement as you all know in the last quarter we had indicated that we have some process changes and some tightening of process that we have been initiated namely the centralization of disbursement and centralization of the reconciliation besides a couple of other things. Because of this, disbursement particularly in the month of October has been a little subdued and part of it was in terms of our disbursement, but in December, we are back to our old numbers of Rs.700 Crores in terms of our run rate per month disbursement. So in Q 4, we expect that with the last quarter push also, we should be around Rs.2500 Crores to or little about that also. We should get us in the range of 13% to 14% kind of AUM growth by the end of the year.

In terms of the recovery performance, we had again guided that we have about Rs.670 Crores of restructured book of which about 450 had come out by the end of June and consequent NPA up to September has already reported of Rs.68 Crores last quart er and we had indicated that the balance portfolio also would be coming out of restructuring in this quarter and as a result some part which is to the tune of about Rs.30 Crores would be there. We had indicated that we are also carrying the management over ly of about Rs.34 Crores, so addition al provisioning in that regard may not be required per se and that should be able to meet us and the results have also been on the same line that we have not crossed Rs.30 Crores in terms of additional provisioning; how ever, as a prudent m easure we have not gone for reversal of the management overlay and we have continue d with the same. As a result the provisioning n

umber in the third quarter has been high , but in terms of the total NPA and the restructured book, this is coming to a little below 15% of the total book which is around Rs.9 8 Crores which is in line with the 15% guidance in terms of the total restructured book of Rs.670 Crores.

In terms of recovery, going forward, the entire pain from the restructured book i s almost now experienced by us. So going forward we do not expect further pain in terms of the restructured book. In terms of the non -restructured book, our NPAs are well within our norms and it is around 0.62% which is not very different from the 0.55 % and this is more seasonal and by March that also we expect to come down. So, in Q4 going forward, we expect some Rs.20 Crores to Rs.30 Crores reduction in the absolute recovery figure that is a gross NPA numbers, which should therefore help us reach the numb er of about 0.75 % to 0.80% gross NPA numbers by the end of the year.

Third point as regard the yield and cost, we had rating upgrade from ICRA for our borrowing program and now we are rated AAA, earlier we were AA+, so that has helped us in terms of some borrowing and going forward also we expect that will help us a little bit in our borrowing particularly our NCD and in this current quarter, we had therefore not a very high increase in our cost of borrowing and as compared to that increase in terms of the yield on the loan book , thanks to the Rs.6700 Crores of opening book were one rate reset was yet to be passed on, the yield has improved and therefore the spread as well as the NIM s have also improved in this current quarter. Going forward at the end of t he fourth quarter, we expect that we will be able to sustain spread of about 2.6 % and NIM of around 3.7% to 3.8% so that is the kind of time, because in terms of the cost, we do not expect much of increase, because some of it is aided by our rating upgrade and second is that we are also hopeful that we might be able to get NHB refinance which is our cheapest source of borrowing.

In terms of the strategy or the directional movement that we had indicated we are looking at going forward. A couple of points on that, one is that the DSA sourcing which we are upwards of 80%, close to 85% in Q1 , we had guided that we want to bring it down in the end of about two, three years, we would like to bring it to 60 -40 breakup. In this end of the current quarter has come t o below 80%, it is about 79% , so from 85% to 82% in the third quarter, we have brought it down to 79%. The second in terms of branch expansion, we have opened five offices during this quarter and all the five offices are in the north and

 western part of th e country. It is also in line with the indication we had given that we would like to strength our operation and thereby bring down our total dependence in the southern geography . Consequent to this, our disbursement in our southern geography of five states has come down from 74% to 72% in the third quarter , so that also in terms of the direction as indicated earlier and the last point is the ticket size also we have seen an improvement in our ticket size of loans more than 20 lakhs to 30 lakhs and more than 30 lakh segment, which is also there as one of the slides in our presentation . So these are some of the critical points in terms of our performance for the third quarter and as indicated going forward we expect to have a disbursement of Rs.2500 Crores in Q4 as we have already reached Rs.700 Crores run rate per month. So that would help us our AUM growth of 13% to 14% and once again summarizing, our NPA we expect to be down to 0.75% to 0.80 % at the end of the fourth quarter and spread a NIMs at around 2.6% and 3. 6%, 3.8% that is a kind of thing. The last point in terms of cost to income ratio , we had guided that our cost to income ratio could go to around 18% in year beca

use of our investment in our IT transformation project, but the IT transformation proje ct because of the number of bidders and some of the queries that has come has slightly been delayed. So as a result some of the expenses that we had anticipated may not happen in the current year, so the cost to income ratio might end around 16% not origin al 18% or 18.5%. However, going forward for the next year we continue our guidance it will be around 18%, 18.5% as the entire cost will happen in the IT transformation project . So these are some of the key points in terms of our performance and what we exp ect going forward in the Q4. I thank you once again for joining us in this earnings call and we will be open for questions. Thank you.

Moderator : Thank you very much. We will now begin the question and answer session. We have a first question from Harish K apoor from Al chemy Capital. Please go ahead.

Harish Kapoor : First of all just for the data perspective around next year , you did mention the spread index

and this year at 13%, 14% is the growth, but when you are looking out to next year, the rate cuts that are kind of expected and you have reset which is done on a yearly basis , that is the kind of resetting. There is a risk of BT out next year right, so how do you optimize between margins and growth yearly you said that to have and also keeping BT rate as you are looking at yearly reset, so how you are approaching this?
Suresh Iyer : Thank you Harish. In terms of this reset clause, we had again one of the points raised a couple of quarters back as well and we had indicated that our current reset will all end in the month of December, so from January we will look at a reset change in our policy as regards reset. So, in line with that in the last month we have got our board approval for change in
 our policy to reset into quarterly reset, so this will help us in our A LM position as well as in terms of managing our BT outs because we will be able to pass on going forward also the rates to the customers when the rates start going down in the market, so that is one point. How it will work is that for the new customer s, all of them effective January 1, 2024 are on a quarterly reset basis and for all existing customers, we have given an option to reset to a quarterly reset , we have already informed all our customers and those who opt for it will also move to a quarterly reset basis and as you rightly said going forward, the rates come down I am sure customers will be more than happy to shift to a quarterly reset basis, so that I guess answers your questions.
Harish Kapoor : Second thing, I just want to understand on the d isbursement side. You did mention some ground reconciliation and disbursement, but if we look at your business today, 80% largely is coming from DSA which is obviously coming to your team and filtering out the cases, but then that should be easier to get i n from the DSA and central ization of disbursement , so where is the gap and where are you finding this to go more ahead?
Suresh Iyer : No, as you are saying what is the process issue, so it is just a shift, the branches earlier we re having complete power to or authority to disburse the loans, cheques were also be prepared at the branches and dual signatories were there at the branches . It is just the process change where we have now added another layer at the head office where the disbursements which are scheduled will be verified and documentation will be once again checked and before instructions are given to the banks who issue the DDs, so all disbursements up to 2 o'clock which are scheduled in the system, the DDs will be generated and delivered at the bra nches on the same day by 5, 5:30 and for cases, which are received after 2 o'clock, the DDs will be re ceived in the next day , so if that is what you are trying to understand that is the pro

cess, so now it is almost streamlined and all the branches are alre ady into that system. There are no issues in that.
Harish Kapoor : Just last thing is considering where the reset that you have had on a quarterly basis now, do you believe in the near term, is there any implication if the customers come and reset and do you believe you will be able to hold on to your 2.6% spread and margin for next year, do you believe that is reset lower for next year . For next year, you also have elevated opex, so in terms of delivery and holding on to this metrics were also reset that yo u are talking, do you believe the same metrics you will be able to deliver or we should believe that it will be a little more and that is how we should think about it.
Suresh Iyer : No. In terms of the reset obviously it will be passed on as we experienced reduction in our cost of borrowing , because we have our card rates, which are there for new customers and
 so obviously that will be aligned only as and when we experience our benefit in a cost of borrowing and the new customers who come for reset also effe ctively get the card rate in that line, so therefore it will not be a effect where we will have to pass on to the customer before we actually experience it on our borrowing side. So in that sense the spread will be maintained. However, as in one of the ear lier points we had mentioned that we are looking at a slight increase in our ticket size and moving up in terms of the ticket size ladder , so that may have a little bit of impact in terms of the competitive pricing that we will have to offer to the new cus tomers in the higher ticket size segment, so that is why while we are having 2.66% spread today, we said by 2.6% by the end of the year and may be 2.5% plus in a year or so later in FY2026 .
Harish Kapoor : Thanks for answering my question. Good luck to you.
Moderator : Thank you. The next question is from the line of Shubhranshu Mishra from PhillipCapital .
Shubhranshu Mishra : Wish you a very Happy New Year. Two or three questions. The first one is why have we seen lower opex in this particular quarter versus the last quarter and you did guide for the cost to income but then what would be the average quarterly opex that you can expect in FY2025 that is on the opex ? Second would be, on the disbursements, what is the number of

loans that we do on a monthly basis. The third part is you did mention about builder connects and getting the higher ticket sizes, but then these would be more affluent customers and there is a possibility that it can lead to faster rundown of your book, because there would be more affluent and they would have higher prepayment capacity , so these are my three questions. Thanks.

Suresh Iyer : Thanks Shubhranshu and Happy New Year to you and to everyone also. In terms of the opex your first question, in the second quarter we had a couple of one -off, one -time cost that we had mainly in terms of the incentive to the staff and annual incentive that we payout in the second quarter that was one of the things and some of the one off cost which we had for the process changes, this payment that we had to make so that is why we had roughly about Rs.52 Crores o r something in the second quarter which has come down to around Rs.49 Crores in this quarter, so that is the only reason why it is compared to in Q2, it has come down. Going forward, we can expect on a quarterly basis it should be somewhere around Rs.52 Crores to Rs.53 Crores in the next year would be the opex in absolute value. Second, in terms of number of new customers, which we add in every month, it is roughly n the range of about 4000 to 4200 tha t would be the range of new customers we add every month and the third is as we move up the ticket size ladder whether there is a profile change in the customer resulting in a higher prepayments , it is possible

as you are rightly pointed

out, if the higher ticker size segment there is a propensity to prepay or have shorter tenures or higher income which can be prepaid is always there, but it is something, these are also customers who keep on coming for other add -on loans and we have constant requirement of funds for various purposes, so these kind of customers can also opt for additional loans and it can be always managed in that manner. So it may not affect the prepayment rate in a fixed way.

Shubhranshu Mishra : Understood and if I can just squeeze in one l ast question. If we have to split the open in terms of cost of acquisition, cost of collections and business as usual, what would be the ballpark percentage?

Suresh Iyer : I will just give you in two minutes, maybe we can move to the next question, I will c ome back and answer this, you want to breakup into cost of acquisition, recovery and…

Shubhranshu Mishra : And business as usual opex.

Suresh Iyer : I guess we do not have a separate cost monitoring in terms of the recovery cost, because it is all part of th e regular thing, but acquisition cost or what we payout to the DSA certainly I will be able to share. We can probably move to the next question I will come back on this.

Shubhranshu Mishra : Thanks.

Moderator : Thank you. Next question is from the line of Anusha Raheja from Dalal & Broacha . Please go ahead.

Anusha Raheja : I just want to understand the disbursement number that have come for this quarter. If you can just provide us the breakup, how much growth has come in less than 25 lakh buckets and more than 25 lakh average ticket size?

Suresh Iyer : I think we have a slide on our presentation on this asset , I will just give you a slide number. We have not broken up 25 or 25 I think it is 10, 20, 30 and 30 plus that is the breakup we have given . I will just gi ve you the slide number. So it has already given how much of business is come from this particular segment. For the year it is in slide #23.

Anusha Raheja : Okay.

Suresh Iyer : The disbursement up to 10 lakh is around 13 .17%, last year which has come down to 12.87 %, 25% is in the 10 lakh to 20 lakh segment, 20 lakh to 30 lakh is around 26% and more than 30 lakh is around 36% in current year.

Anusha Raheja : Okay and in terms of if I look at your AUM growth and the loan book growth relative to the peers which I would say in the growth is slightly on a lower end, so how can we expect number to be over the next two year time, so I want to understand why is it at the lower end as compared to the peers? Is it because of the competition or how do you sense it?

Suresh Iyer: First of all in the beginning of the year, we did well and we had a good 1 8% growth , but in Q2, we had an unfortunate event of fraud at Am bala branch one of our branches and because of that which has impacted our business because we had to undergo l ot of process changes, strengthening of the systems and all, so as a result the growth has come down, but this year whatever we have lost in terms of our business expectation, business disbursement that we were expecting, we would h ave to cover up a little bit in the coming year and going forward roughly we would like to have about 20% odd growth on the consistent bases, so CAGR of 20% what we would like at because we would like to have a doubling of the book in about four years. So next year we can expect like as I said we are at around 700 Crores run rate in the present scenario, so about 3000 Crores disbursement on a quarterly basis, on an average is what we would expect, so anywhere around close to 12000 Crores is what we would target in the next year.

Anusha Raheja : Okay, on the margin side, you said that will be close to around 3.6, 3.7 and if I just look at large part of incremental growth i

s coming on the higher ticket size segment where the competition intensity is high and plus where other players a re also there banks as well, so how do you sense that because if I just look at it there is also sequential decline in your portfolio yields, because of this factor, do not you think for the margins will remain under pressure for the next fiscal as well?

Suresh Iyer : In the current quarter where we have seen about 35% of the business coming in 30 lakh plus segment also. Our yield on the books has been 9.91%, so if you look at it that also give us a spread of 2.6% , so incrementally also we would not be comfo rtable, working or operating at a spread below 2.5% , so that is the thing, therefore the spread gain 2.5% and NIM also around 3.5% plus going forward also, we should be able to maintain that, because this quarter also it was 9.91% for the third quarter alone, standalone basis and cost of borrowing is around 7.5% that is why gives a 2.6% spread even on the incremental lending in the third quarter.

 Anusha Raheja : And last thing on the bran ch expansion side, just to defocus from the southern region, 72% loan b ook is coming from the southern states , so any strategy there to have a pan India presents and having relatively more branch expansion in non-sought geographies over a period of time?

Suresh Iyer : Definitely, in fact we have already indicated, we have give n in this quarter the five branches that we have opened have been in the north and in the western region of the country and going forward also we will have a more tilt toward the north and the western region of the country particularly Gujarat and Maharash tra where have a lesser penetration and we have not got presence much in Punjab, Haryana and all those places, so these are the states where we are looking at expansion and that definitely will help us slightly tilt the sourcing towards more of a 60-40 whi ch we are targeting in the next three years.

Anusha Raheja : Thanks a lot.

Moderator : Thank you. The next question is from the line of D haval from DSP. Please go ahead.

Dhaval : Thanks for the opportunity. I just had couple of questions. First is on growth, I just wanted to probe a little bit more in terms of exit for Q3, what is the kind of run rate growth that you ended with like Y-o-Y or in absolute terms and this Rs.3000 Crores a quarter, how do you get that confidence, if you could share us a little bit of more detail around ability to generate this on an ongoing basis and on a consistent basis, so that is the first question that I had.

Suresh Iyer : In terms of the disbursement, we have already given the breakup of the disbursement and the run rate quarte r wise for the last 11 quarters that is one of the thing that you will find in slide #19. However, as I have already explained that in this current quarter we have had a bit of a dip in terms of disbursement, but what gives us the confident that we will be able to do 3000 Crores quarter in the next year is that one we have already back to our Rs.700 Crores run rate in December, so that is already one of the things even if you extrapolate that with a little bit of push in Q4 we should be Rs.2500 Crores plus and second thing is we are tying up with our CRM and which is not mentioned actually in the presentation, but we are also tying with the CRM and lead sourcing from digital channels which we are working in the current quarter, so that is one of the thing wh ich we are looking at good amount of growth coming or business coming from the digital channel as well, on boarding from digital lead that we are getting plus these branches which we are opening, because we have already opened three in the second quarter, five in the third quarter and we have another six or seven lined up in the last quarter. As these branches also stabilize, there will be some business coming from

this also plus the third point is positive that the push for slightly

 higher ticket size busi ness is reflecting in number s, because right now in this current year if you see 20 lakh to 30 lakh segment has grown from 25% to 26% and 30 plus has grown from 34% close to 36%, so there is almost 3% increase in the plus 20 lakh segment which is what will also give us a little bit of push in terms of the business. So these are the three points which we have in mind and on which we are working right now. Hope that answers your question on this 3000 Crores .

Dhaval : Yes, this gives perspective, just one point on this 700 Crores that you did in December, what was the same number in December 2022 like Y -o-Y what kind of growth we were clocking in December?

Suresh Iyer : Last year of course it was a different push and there was of course different thing, last year Q4 was Rs.2500 Crores that was almost Rs.800 Crores per month was run rate last year, so we are back to the Rs.700 Crores already and even if you are going back to last year's number as we said because last year was already Rs.800 Crores.

Dhaval : Understo od and full normalization in your view starts from Q1 onwards this close to Rs.2800 Crores start of next year and then sort of move to Rs.3000 Crores plus by Q4 of FY2025, so full normalization happens from Q1 next year or it could take some more time in your view?

Suresh Iyer : No, it will definitely start happening, because as I said all the three points, one is, in terms of the ticket size we have already started seeing, 15 branches will also start performing and some of them have already started the disb ursement s and in terms of the third point, this digital channels that we are doing, also will get implemented in this current quarter itself, so that also should get some results in the first quarter of next year, so we should definitely be able to maintai n Rs.800 Crores plus Rs.900 Crores, Rs.1000 Crores in the first quarter and then average it out to around Rs.3000 Crores every quarter in the next financial year.

Dhaval : Understood and just one last thing on growth is, this loss of growth that we saw in F Y2024, do you see a potential sometime in FY2025 to make up with slightly higher year-on-year growth directionally you started FY2024 with 18% to 20% CAGR in three to four years time given that this year we will end up probably to 12%, 13% Y-o-Y, do you se e catch up happening in FY2025 or if it happens , it happens in FY2026 -27?

Suresh Iyer : In terms of the disbursement definitely there will be some catch up happening in the next year because from Rs.9000 Crores close to Rs.8700 Crores, Rs.9000 Crores that w e will end up this yea r, Rs.12000 Crores next year will definitely be a very good growth, but

 obviously the disbursement growth reflecting in terms of AUM growth is spread over a couple of years as we look at it, so next year also we can look at a 15% plus and then consistently around 17%, 18% plus on a regular basis.

Dhaval : Got it, very clear. Lastly on credit cost, you explained the flow through from the restructured bucket and the conservatism that you have built in the provision as well, just given tha t bulk of this flow through has sort of been behind us as I understand last part of that was in November or so, may be something in Q4, but largely I am sure you have a view of how thing are shaping up there? Should we expect from next quarter normalize d credit cost somewhere in that low double digit or high single digit credit cost number or do you think it will take few more quarters before you go back to those normalized credit cost?

Suresh Iyer : This last October, November also we had a very small portf olio of restructured book mostly the major chunk of it almost 90% plus has already came out of the restructuring by S

eptember itself, so whatever impact it had to happen in terms of the NPA has already been experienced, so Q4 also as I had indicated in the opening remarks also that we do not expect any further pain from this, because it will be small book only which has come out in October and November. In fact in the Q4, we are expecting about Rs.20 Crores to Rs.30 Crores of a gross NPA coming down in abso lute value, so from 309, we would look at somewhere around Rs.280 Crores is what we can look at by the end of the Q4 in terms of absolute gross NPA and thereafter since there will be no additional pains and the non - restructured book has already been experi enced, this is not having much of movement and it is a very stable book which has no spikes , so we should be able to come back to that credit cost results as before.

Dhaval : Understood and there is a possibility of write back also in Q4 given that there wi ll be a reduction in gross NPAs that is possibility…

Suresh Iyer : Yes, in terms of the requirement of as per ECL model, yes, there could be a definite possibility if the NPA has come down. Now, how much we choose to do, it is up to the board as to whether we will continue and take the conservative call of having the management overlay as we have done in this quarter also. Because Rs.34 Crores what we kept in Q2 for the balance restructured pool to come out and consequent provisioning, but we have not revers ed it in this quarter, so again we will take a call, but at least in terms of the ECL requirement of provisioning, it will probably not be required as we are expecting as per our numbers in terms of our NPA reduction in gross amount.

Dhaval : Very clear Sur esh. Thanks and all the very best.

 Moderator : Thank you. The next question is from the line of Umang Shah from Kotak Mutual Fund . Please go ahead.
Umang Shah : Good evening. Thanks for taking my question. Just an extension to what Dhaval was asking. So from credit cost perspective, how should we look at the provisions which are sitting under management to overlay and restructured loans on the balance sheet given that almost all the loans are out of the restructured pool now, is there any view that the manage ment has in terms of either retaining or utilizing these provisions over the course of next one to two years?
Suresh Iyer : In terms of the 10% provision that was required for the restructured book as per the COVID restructured guideline, which was original ly Rs.68 Crores that has come down to around Rs.60 Crores, Rs.58.87 Crores in this quarter mainly because of the loans which have been completely closed since there is no asset obviously that we have not carried, but yes, there is some portfolio where more than 25% of the principle amount has been reduced and where 50% of that could have been reversed, but we have not taken that call to reverse it, so that also is a little bit of a buffer that has been carried in terms of provisioning. Going forward as I sa id in terms of the current fourth quarter, we may not require additional provisioning in terms of the ECL guidelines, but again in terms of the PCR we may look to have some numbers where we would prefer to have some kind of buffer in terms of the PCR, so t o that extent we will carry, so that would be more clear in the Q4 and the board will probably take a call at that point in time , but in terms of the ECL requirement, it may not be required in Q4 that is all I can say right now. I guess board will take a c all, but looking to the conservative approach that we have taken in the first three quarters for this year, we may still carry a little bit of provisioning definitely to have a stronger PCR.
Umang Shah : You mean to say carry a little bit of provision over and above whatever the ECL requirement is?
Suresh Iyer : Absolutely, that is in the form of management overlay.
Umang Shah : Understo

od, alright, perfect. Thank you so much and good luck.
Moderator : Thank you. The next question is from the line of Jigar Jani from B&K Securities. Please go ahead.

 Jigar Jani : Thanks for taking my question. Like you guided on opex it was about Rs.52 Crores to Rs.53 Crores quarterly next year. Would this be inclusive of the IT transportation cost or IT transformation cost of what Rs.30 Crores odd which we are expecting?
Suresh Iyer : IT transformation cost will be an extra to this, because this is pure opex that will be there.
Jigar Jani : And that will be close to Rs.30 Crores for next year?
Suresh Iyer : Sorry, how much you said?
Jigar Jani : That would be close to Rs.30 Crores for the full year, next year, IT transformation cost?
Suresh Iyer : No, actually it will be an additional Rs.15 Crores is what we are looking at because we are already having some opex because on our existing t hing, so the incremental would be around Rs.15 Crores to Rs.20 Crores.
Jigar Jani : On credit cost, next year we would go back to that 10 -bps guidance of credit cost overall if everything goes as per what we are guiding?
Suresh Iyer : In terms of our NPA whe re we are having it, it is roughly in the range of 0.7 % is what we would be looking at by the end of next year, this year it will be 0.75 % so that way in terms of that the actual credit cost would not be very high.
Jigar Jani : Right, just one technical que stion on the number, slide #14, we had seen the yield on loan portfolio and your cost, both yield going down, cost going up marginally, but your margins are increasing sequentially when you compare on a three month basis, so what is driving that margin inc rease?
Suresh Iyer : In the beginning of this quarter, we had Rs.6700 Crores of book where one 35 -bps rate high was yet to be passed on, so that is why the yield on the overall book or the closing book has increased in the current quarter; however, the incr emental yield is slightly lower at 9.91 because the current disbursement that we have done as we have explained earlier also with a slight change in the mix of the ticket size, that is slightly lower rates, so that is what will be the incremental yield abo ut 9.91 going forward. So that from the current 10.01, would slightly moderate to by about 5, 6 -bps or something like that.
Jigar Jani : But your spread is coming down, but your rate are going up, from 3.8 to 3.9 on an incremental basis?

 Suresh Iyer : Our sp read on the entire book obviously has improved from 2.6 to 2.66 and in fact we had also mentioned that because we have that buffer with us that is what is giving us the comfort to offer us more competitive rate and slightly move up and we will be able to o ffset it because that rates by the increase in the overall yield that we are expecting, so that we had also indicated, that was the conscious call that we have a buffer, because we will be able to offer in competitive rates and able to get some business in the slightly higher ticket size segment.

Jigar Jani : Thank you so much for answering my questions and best of luck.

Moderator : Thank you. The next question is from the line of Pavan Kumar from RP Capital. Please go ahead.

Pavan Kumar : First of all on the DSA side, the number of DSA has come down so I would like to understand what is the strategy going forward and number two, of the Rs.650 Crores of restructuring book that has come out, my understanding is this book, after coming out the book would be aroun d six months old, so do you b elieve that the entire pool of G NPA that might have come out from this particular pool are already there in the system?

Suresh Iyer : First point about your DSA, we have definitely reviewed our DSA portfolio and basically it is mostly in non -performing DSAs or those who are not contributin

g much have been removed and of course also we had some delinquency in the pool, so where SMAs are high, we have had cut off and we have a little leaner, but mostly it is in terms of DSA is who are not very performing, so we are mostly seeking to people who are at least having some minimal level of business who are giving and it is not that it is a permanent business, permanent reduction that is going to be there. We will also be adding people, b ut on a regular basis we will be churning and removing those who are not performing, because there are lot of other activities also for the DSA, so no point carrying the DSA who are not performing so that is the first part of your question. Second in terms of the restructured you are asking whether the entire pool has been with us for more than six months post coming off the restructuring, not exactly but we had a small portfolio as I said up to 90% of our book has already come out up to September and three months or more than that has already been experienced and the performance of the pool is well known to us. There is a small portfolio which has come out in October and November, one or two months is what we have experienced in terms of the repayment; howe ver, overall we had anticipated that even the portfolio which has come out much earlier general tendency is that about 15% of the pool goes into NPA and out of the Rs.670 Crores therefore about Rs.100 Crores should have gone into NPA of which already Rs.93 Crores is there. We do not expect much to

 happen. In fact November was the last month where we experienced a fresh flow from the restructured pool into default and into NPA, but in December actually our NPA is absolute value slightly came down that indica tes whatever even if some small book does come into NPA, we are able to cover it up with more recoveries and higher recoveries than the amount which actually flows forward. So the flow back has been higher than the flow forward and that we experienced in t he month of December itself for the first time after this started coming out. First time in the month of December, we saw the NPA numbers in absolute number coming down.

Pavan Kumar : Okay and one final comment on growth rates for FY2025, what would be your understanding?

Suresh Iyer : AUM growth you would definitely expect to look out about 15% plus and in terms of the disbursement since of course we will be back to around Rs.3000 Crores a quarter that will be on a higher side, because this year it will be a lmost about 30% in terms of the disbursement growth compared to the current year, because this current year has been a little on the lower side, so averaging it out for the standard basis, it should be around Rs.12000 Crores for the next year.

Pavan Kumar : That is disbursement?

Suresh Iyer : Yes, in terms of the disbursement, it will be on the higher side, but in terms of the AUM growth around 15% plus.

Pavan Kumar : Thank you sir.

Moderator : Thank you. The next question is from the line of Mohit Jain from Ta ra Capital Partners. Please go ahead.

Mohit Jain : You said that we are expecting disbursement growth, disbursement number of Rs.2500 Crores for Q4 and assuming the rundown rate of 3.6% which you have said in slide , so we will have approximately Rs.1000 Cro res of repayment coming into the books, so net -net we will have Rs.1300 Crores of AUM increase which will be around 12% increase for the entire year. So my question is what can we think that you will be doing if you take it to the 14%?

Suresh Iyer : Rs.2500 Crores is the broad number frankly I understand we will have to do Rs.2800 Crores to do a 13% growth, so we are working on in fact the little higher number only, but for the number sake I have sa id Rs.2500 Crores, but clearly you are absolutely right, we will require Rs.28

00 Crores of a disbursement in Q4 to maintain a 13% growth.
Mohit Jain : Sir, just one question on the restructuring portfolio. In Q2, we had almost like Rs.600 Crores of portfolio which was out of restructuring and the incremental, increa sing NPAs on the restructuring portfolio in the current quarter is Rs.32 Crores, so if I am looking as a n incremental amount flowing to the NPAs on the restructuring pool, it is coming to 20%. So, is it correct say that it is not just the incremental pool, but also the old pools some of which has flown from the current performing to non -performing in the current quarter?
Suresh Iyer : In terms of the portfolio, we had about Rs.450 Crores which had come out by the end of Q2, by June, which we had Rs.68 Crores of an NPA and by the end of December that is we have had almost up to September, we had another Rs.200 Crores which has come out against growth in NPA has been to the tune of about 93 it has reached, so 93 minus 68 would be roughly in the same range of ab out 15%, it would not be higher than that. So to answer your question as to why in a n absolute value, there is also a growth in a loan book in our non -restructured book and there is some NPA also coming from the non -restructured book which reflects in the total NPA pool, so that is why the number looks a little higher not entirely attributable to the restructured book. In terms of the restructured book, it is Rs.98 Crores at the end of the current quarter and in terms of the second quarter, it was Rs.64 Cro res.
Mohit Jain : And going forward we are not expecting any further pain from this portfolio?
Suresh Iyer : Not really, even if something is there, we also expect a flow back, so that we should definitely offset, we do not expect any further pain coming fr om the restructured book.
Mohit Jain : Thanks for the answers.
Moderator : Thank you. The next question is from the line of Sonal Minhas from Prescient Cap Investment Advisors. Please go ahead.
Sonal Minhas : Thanks for taking my question. My first question i s with regard to you speeding up the pace of disbursement and you are talking about moving in a digital channel. Two things on this. First of all, what gives you the confidence of saying that the lead generated or the quality of the lead generated with TRL , will be a good quality, so maybe if you can share some understanding behind that and secondly, any changes you see in the market given that the

 competitive intensity in the sector is growing up. So what gives you the confidence that overall you can grow that is the first question.
Suresh Iyer : In terms of the digital, the enquiry would be obviously through the digital channel, but in terms of the appraisal it would be absolutely within the norms that are being followed for any other customer that we would be on boarding. So, we have also the slide, we have mentioned the entire process how it flows through where we have the KYC verification, so basically everything right from the on boarding of the customer, right up to the sanction and disbursement, all th e process will be the same. So, effectively at most it could have a different ratio of conversion may be it could be 2.5 instead of normal 3% that market experiences that could be a different thing depending on our lending norms, but obviously it will be e ntirely as per our policies only and processes that we follow, so there would not be any compromise in terms of the sourcing that we do from the digital channel, so that is the first point. Second as regard the disbursement and competitive environment, obv iously competition is there and Q4 normally there are lots of offers by most players, so nothing very different in this quarter. In fact we do not see the same kind of intensity or the same kind of very lucrative offers as yet in the market, but this is so mething which has been there in the i

ndustry as a normal feature that Q3, Q4 normally there are offers in the markets, so that is fine, nothing very special. As regards the competitors who normally are there in the market with whom we face competition I wo uld say it is the same names that are there, it would be LIC, it coul d be P &B, HFL and it w ould be Bajaj off late.
Sonal Minhas : Got it Sir and I am assuming going forward, the mix remains the same in terms of salaried and self-employed is that how it is l argely on the view or the mix is out of probably which you see a little for the next year or two?
Suresh Iyer : No, it is around 72% salaried and 28%, SENP, we would like to probably not go below 70% for salaried segment.
Sonal Minhas : I understand.
Suresh Iyer: Not a major change and no specific attempt to change it or anything. If it happens on a

normal on ground kind of thing it will happen, but again as I said it will be 70 -30 at most, that will be comfortable not below that.

Sonal Minhas : Okay. Second q uestion, in terms of the IT infrastructure and the digital system I think you mentioned that there is a lag essentially , just from an understanding perspective where we are in terms of current systems. You are let us say the next 10, 15 people who are in

designation wise, mine one to you, are there systems was basically throw out paying on dashboard and say that there is a stress building up in certain geographies, certain branch, there is a mismatch in terms of disbursement, collection or any other risk pa rameters per se, do you have dashboards as we speak right now and you are -1 where you know what are we actually do just trying to get a sense of your current IT infrastructure at the senior level .

Suresh Iyer : In terms of the IT infrastructure, one is of course we are looking at a complete over haul of our system, because our existing system is almost 12 years old and we have been using the same system, but we do have a strong, we do have alert s and we have increased the number of alerts and monitoring and everything post this event also, so there are regular OTMS report, which are been generated by the risk and being monitored by them. We also have proper audit plan which is in place which also covered, every branch is covered at least twice during the year . We have also started this quarterly cluster level, because we have clusters where group of 8 to 20 branches depending on the size and location, we form clusters, so we at cluster level also we are doing a cluster monitoring where there are almost 18 para meters for each cluster which have been reviewed every quarter. So that also throws up a lot of data in terms of whether there is any pressure building up in any particular area or any particular area amongst those 18 points parameters where some of the ar eas are lagging behind or some of the clusters are lagging behind, so that quarterly monitoring in terms of this also is coming from the system, so that way we have a monitoring system and we are also upgrading our existing system not to mention that the n ew system whenever it comes, it will come, but even in existing system we are confidently monitoring an upgrading, so that is not an issue.

Sonal Minhas : Thank you a lot Sir. That is it from my side.

Moderator : Thank you. The next question is from the line of Abhijit Tibrewal from Motilal Oswal. Please go ahead.

Abhijit Tibrewal : Good evening everyone. Suresh Sir, I had a question. Somewhere during this call you had guided for Rs.12000 Crores of disbursement next year and 20% kind of CAGAR , so just trying t o understand that subsequently while you were answering other participants in the call, did you say that loan growth of 15% or rather still trying to say that we are looking at a 20% loan CAGAR so that the loan book doubles in the next four years?

Suresh I yer: Good observation , the point is what I w

as saying was that the loan book even though next year we are looking at about Rs.12000 Crores disbursement and we will have higher growth rate in the next year in terms of the disbursement. In terms of AUM, ther e is a little lag that

always comes , so 30% disbursement in growth will not reflect in the 30% growth in AUM, it is not a straight equation, so there will be a little lag and next year, because this year has been a little lower, there would be an impact in the next year, but in terms of the longer term story of about three to four years, yes we would be looking at a CAGR of about 20% in terms of our AUM growth. So next year could be a little less, although we will be doing a little higher growth rate in ter ms of our incremental disbursements.

Abhijit Tibrewal : Essentially next year, the growth could be lower than 20%, but over next three to four years, CAGR basis you are looking at 20%?

Suresh Iyer : Absolutely.

Abhijit Tibrewal : Thank you for the answer. One last question that I wanted to understand, the kind of margins that we are operating at today we are almost historically high margins that we as a franchise have operated at, in addition to the things that you talked about which will act as levers for growth, digital lead sourcing, newer branches almost 15 branches planned in 2024 higher ticket size contributing to growth. Do not you think you should also may be start looking at margin as a lever to spur growth, because at the end of it today we are operat ing at somewhere around 2.1% kind ROES even if we are talking about some moderation in margins from here, it is only next year where you are going to see some higher cost to income ratios. So rather than operate at these kinds of margins, is there merit in looking at margin as a lever to spur growth?

Suresh Iyer : Definitely that is what we have initiated because in a n incremental yield if you see in lowers and book yield that clearly reflects that we have looked at slightly moving up in terms of the ticket size ladder where we will have to be a little competitive, so couple of bps of impact in terms of the spread could be there, but that will help us in getting the growth in terms of higher ticket size loans and may be penetrating segments also, so that is e xactly what we are looking at that even if a 2.66 % is not what we have been guiding in terms of spread or 3.92 % in terms of the NIM, we have been guiding in terms of 2.5% for spread and 3.5% for NIM in the longer term basis and the obvious reason is that w e are looking at having slightly more attractive offer or more competitive pricing in terms of our loans to attract slight ly higher ticket size customers also.

Abhijit Tibrewal : Got it and just one last thing, sorry for this, just one last thing I wanted t o understand now that you have two AAA, CARE credit rating giving your AAA credit rating, will you now be looking at more debt market issuances going forward and will that benefit your cost of borrowings?

 Suresh Iyer : In the real sense, yes, it should brin g us some benefit in terms of our cost of borrowing, but in the present scenario where the NCDs are going in the three year NCDs at a rate of around 8.3, 8.4. Our bank borrowing is still at a lower rate than that, so while the rates probably would be about 10-bps lower going forward from what we were doing on a similar state basis about two months back when our rating was AA +, but still today our bank borrowings are at a lower rate than the NCDs mainly because of the liquidity position. But going forward th eoretically speaking yes, liquidity eases yes, we should be able to have a lower rate of our NCDs and we may at that time have a better rate on our NCD borrowing as compared to bank borrowing that is possible.

Abhijit Tibrewal : This is very useful. Thank y o

u so much and wish you and your team the very best.

Moderator: Thank you. The next question is from the line of Anusha Raheja from Dalal & Broacha. Please go ahead.

Anusha Raheja : Thanks for taking my question. If I just look at your disbursement in growt h number for the first nine months of FY20 24 that is closer to around 6400 and if I add this to your loan book of previous nine months that is still coming to around 20% plus, but your loan growth current is 13% odd, so what I understand either the BT out get prepayments or that rundown is more on the book and I guess one of the reasons that AUM growth is not coming, so am I right?

Suresh Iyer : There is a rundown, but if you can just look at slide #19 of our presentation.

Anusha Raheja : Rundown is closer to around 2600 odd, so what you are adding also near to around one quarter growth is, the rundown is closer to around one quarter growth?

Suresh Iyer : No, that is obviously, because this quarter, the disbursement has been slightly on the lower side, but if y ou look at page #19 of our presentation, the prepayment or amortization plus prepayment as a percentage of the opening book has been quite stable for the last 11 quarters in fact we have probably in the current three quarters of this year, we probably have had lower amortization plus prepayment ratio compared to the previous years. Yes, to that extent your observation is correct that the prepayments and amortization has been almost equal to or may be 40% of our disbursements, but that is also because in thi s quarter, we have done a little lower disbursement which is the main reason. Otherwise , if in terms of a normal run rate if you were to look about Rs.3000 Crores or even Rs.2700 Crores on a regular basis , our incremental addition to the books should be mu ch higher, it should have been almost Rs.1500 Crores.

 Anusha Raheja : Broadly, how do we assume this rundown either in terms of BT out paid or prepayments in the next fiscal. You said that AUM growth could be closer to around 20%, disbursement growth of aro und Rs.3000 Crores odd for the quarter, but how do we what the assumption that you make, on the prepayments and BT out greater rundown that will happen next fiscal?

Suresh Iyer : No, I guess the same slide # 19 should give you an idea that it normally ranges between 3.5% to around 4 %, so that would be the range, that we can at worst -case scenario you can expect a 4% rundown, but basically it is the on -ground, the effort will always be and attempt will always be to ensure that we retain our good customers and that is an ongoing activity which is there for everyone, it is a normal regular activity.

Anusha Raheja : More so I believe that given that we are heading for a declining interest rate scenario in the next fiscal and the banks they declined MCLR, the compet itive edge will decline since, the banks will also be offering the lower interest rates, so in that scenario the BT out could be on a higher end?

Suresh Iyer : I think we had answered it earlier also that we have also moved to a quarterly reset, so on a

quarterly basis and the quarterly anniversary basis, the customers will get a benefit of the
lower interest rate as we also keep reducing as our borrowing cost comes, our card rates
also will keep reducing and we will pass on those rates to our customers. Wit h that kind of
fairness to the customer, I gue ss BT out will not be impacted as much.
Anusha Raheja : Thanks.
Moderator : Thank you. The last question is from Raghav Garg from Ambit Capital. Please go ahead.
Raghav Garg : Thanks for the opportunity Sir. I jus t had a couple of questions. If I look at the branch
activity for FY2023 and I think we have discussed this with you, we were disbursing
somewhere around 205 in a year, I think with the new developer tie -up that we are targeting
eventually, we are targetin g

some 10%, 15% efficiency improvement, is that correct? So
our disbursement run rate per branch would go to some 220 to 230, is that understanding
correct?
Suresh Iyer : Normally also yes, if it is 200 today, it should go up a little bit that productivity,
improvement is always there and with some IT interventions also happening, yes, there is a
possibility to slightly improve on the productivity of the branches, so yes, you are right.
 Raghav Garg : Sir, did I also hear you correctly when you said that you w ould try to bring down the DSA
proportion to 60% and 40% contribution would be direct sourcing?
Suresh Iyer : Yes, what I meant to was that basically we are going to push for higher direct sourcing and
more from to the digital channel, so while the DSA woul d probably continue at the same
level, our sourcing from a direct and from a digital channel should increase at a higher rate
that is what we are trying to do, so that eventually the percentage come down.
Raghav Garg : Understood Sir, in that 200 that we di d for FY2023, 80% was DSA right so about 150, 160
was coming from DSA and the rest 40%, 50% from direct sourcing, now if we were to
target that incremental productivity that we are planning to unlock, if we plan to go to 220,
230, that would imply a seriou s improvement in our direct sourcing productivity or the
productivity of the in -house.
Suresh Iyer : Correct.
Raghav Garg : Employees o r branch staff, what brings you the confidence that can go to 40% to near 100%
of 70%, 80% over the next two, three years?
Suresh Iyer : We have a lot of possibilities in terms of digital tie -ups where we can source enquiries and
as I had mentioned earlier also we are looking at a tie -up with this CRM and all those things
where we can have processing of these enquiries and conv ersion at a much better rate, so
this is basically what we are looking at so that this will help us increase the number of
doable leads to the branches could be increased at a much higher level. So, if we can
outsource enquiries and conversion could improv e that would bring in a lot of more doable
enquiries that is the strategy that we are looking at, basically the branch would be use d more
for the strength which is a credit appraisal and thereby we could be able to maintain our
quality and the sourcing cou ld be through this CRM module and through this channels that
we are looking at.
Raghav Garg : Understood and Sir, just last question, I also understand that in the developer channel are
yields would be lower given the higher ticket sizes and the higher comp etition, but what
kind of commission payouts would we be doing if anything at all to the developers and
ultimately would this be an RoA accretive business for us?
Suresh Iyer : In terms of the DSA channel, our normal payouts are anywhere between 0.3 to 0.65 and for
us this comes out to around 0.43 whereas in terms of the developers depending on the
quality of the developer, they expect anywhere between 0.10 to 0.25, so that is about 15 -bps
 of a saving, initial payout will definitely can be saved if we are lo oking at a good quality
developer.
Raghav Garg : But what would be the yield or how much would yields be lower in the developer source
loans?
Suresh Iyer : Right now, irrespective of the developer loan or the non -developer loan, we are offering a
rate of aro und 8.95 for a customer more than 700 CIBIL score category where the ticket
size is 20 lakhs plus and it is not that for the developer generated model, we are offering
something more attractive than what we would have offered to a normal customer, so as a
strategy itself we are offering a rate which is around 65 -bps higher than what SBI or an
HDFC would be offering in the market.
Raghav Garg : Thanks a lot Sir. That is all from my side.
Suresh Iyer : J

ust a second. I think there was one question on opex regar ding how much is the cost of acquisition I will just answer that. Out of Rs.49 Crores, Rs.50 Crores that is the opex in a quarter, the average payout to the DSA would be around, somewhere in region of Rs.6 Crores to Rs.6.5 Crores, the rest of it is the reg ular business expense and part of it is the recovery expense. I think there was one question raised earlier which I said I will respond to later, so about Rs.6 Crores to Rs.6.5 Crores is the payout to the DSA currently in a quarter. I guess that is it from our side, any more questions or was this the last question?

Moderator : This was the last question. I would now like to hand the conference over to management for closing comments.

Suresh Iyer : First of all, thank you to all of you for taking the time out and I hope all the questions have been answered, but in any case if there are any more questions feel free to get in touch with us and once again thank you for joining this conference.

Moderator : On behalf of Investec Capital Services that concludes this c onference. Thank you for joining us and you may now disconnect your lines.

Call: May 2024

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CFHRO SE CS LODR 112/2024
May 06, 2024
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BSE Limited
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25th Floor, P J Towers
Dalal Street, Fort,
Mumbai – 400 001

BSE Scrip Code: 511196

Dear Sirs,

Sub: Transcript of Earnings Call for Q 4 FY24 Financial Results.
Ref.: Our letter CFHRO SE CS LODR 111/2024 dated April 30, 2024.

In continuation to our above referred letter, please find attached the Transcript of Analyst/ Investor conference call /earnings call held on , April 30, 2024.

The aforesaid Transcript is also made available in the Company's website i.e., https://www.canfinhomes.com/pdf/Investec -CanFinHome -30Apr -2024.pdf

This intimation is submitted pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Re gulations, 2015.

Kindly take the same on the record.

Thanking you,

Yours faithfully,
For Can Fin Homes Ltd.,

Nilesh Jain
DGM & Company Secretary

Encl: As above.

"Can Fin Homes L imited

Q4 FY '24 Earnings Conference Call"
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MODERATOR : MR. NIDESH JAIN – INVESTEC CAPITAL SERVICES

Moderator: Ladies and gentlemen, good day, and welcome to Can Fin Homes Q4 FY '24 Earnings Conference Call hosted by Investec Capital Services. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing s tar then zero on your touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Uday Pai from Investec Capital Services. Thank you, and over to you, sir.

Uday Pai : Thank you. Good afternoon, everyone. Welc ome to the Q4 FY '24 Earnings Conference Call of Can Fin Limited to discuss the financial performance of Can Fin Homes. And to address your queries, we have with us Mr. Suresh Iyer, MD and CEO; Mr. Vikram S aha, Deputy MD; Shri Prakash, Deputy General Manag er; Shri Prashant h Joishy, Deputy General Manager ; and S hri Apur av Agarwal, CFO. I would now like to hand over the call to Mr. Suresh Iyer for his opening comments. Over to you, sir. .

Suresh Iyer: Good afternoon, everyone, and welcome to this earnings call for Q4 performance of Can Fin Homes Limited. As you all know, we declared our results yesterday. And the Q4 results, the main highlight is that in terms of disbursement, wherein we had seen a fall in Q2 and Q3. In Q4, we have been able to pull back and that growth in disbursements compared to Q3 has been up by 23%, and we have been able to clock INR2,300 crores plus disbursement. That's almost an average of INR 750 crore s plus run rate per month whi le it is lower than what it was for the previous year, but we have still come back in terms of disbursement.

And it gives us the confidence that going forward, we should be able to now focus on business and push the AUM and disbursements and AUM. The seco nd highlight of the performance is that in terms of our recovery compared to the performance of Q3, we have the gross NPA in absolute value as well as in percentage terms has come down compared to the 0.9% gross NPA as at the end of Q3. We have ended the Q 4 at 0.82% and in terms of the non -restructured portfolio, our gross NPA percentage stands at 0.55 %, which is the same as what it was in the previous year. And whatever therefore, the increase in the NPA that is there is mainly on account of the restructur ed book.

Even in terms of the restructured book, we would like to highlight that the gross NPA has reduced compared to the Q3 level. And at the end of Q3, the gross NPA in the restructured book was INR96 crores, which has come down to INR92 crores. And th erefore, in absolute value, it gives us confidence that there is no further slippage expected other than the normal course that would be there in terms of the restructured book also. And it's now been 5 months since the entire book has come out of restruct uring because the last pool also came out in November 2023. So therefore, it gives us confidence that no further slippage is expected even in the restructured book. However, we have continued to carry the management overlay of INR34 crores, which we had cr eated in March '23, INR17 crores in March '23 and INR17 crores in September '23.

So that management overlay is continuing. Additionally, of course, we have also carried the provision of INR58 crores in respect of the COVID restructuring guidelines where w e are required to carry 10% of the portfolio, which was offered restructuring. However, in that, we have -- there is a INR1 crore reduction in the provisioning in the COVID portfolio because of the portfolio, which has been closed or has been prepaid by th e customer during the period . So in respect of those accounts, we have withdrawn the provision, which is including INR1 cror

e.

Other than that, in terms of the profitability, the company has had -- been able to maintain a healthy spread of 2.67% compared t o 2.66% as the end of Q3.

During the entire year, we've had a continuous improvement in the spread as well as the NIM because of the portfolio which came out where the repricing was impacted during the year. So the entire portfolio, which have got reprice d after January and thereafter from January, we have also moved to a quarterly reset. So going forward, whenever there is an increase or decrease in the borrowing cost, the same will be passed on to the customer. So therefore, that will bring in a more str onger ALM position. In terms of the financial ratio, there has been an improvement in almost all the ratios, even on terms of our debt equity ratio. It has improved further from the previous year.

So this is broadly the highlight of the performance. If I have to just mention to you a couple of the ratios in terms of the ROA, it stands at 2.28%. In terms of the ROE, it is 17.28%. The spread, as I mentioned earlier, is 2.67%. And the debt equity ratio is 7.34%, down from 7.97%. So these are broadly the highl ights of the performance of the year. Going forward, in terms of the -- where we -- how we look at the coming year, FY '25, we would like to push on disbursements since we have already covered in terms of the various attempts that we have made and efforts that we have made in terms of strengthening the process in terms of the policies and processes.

So a lot of it we have already achieved, which is also made available in the presentation. So going forward, we would like to push on disbursements, and we are targeting around 15% growth in terms of the AUM for FY '25. Thank you. Over to you.

Moderator: Yes, sir. Should we begin the Q&A session? .

Suresh Iyer: I think anything else we can take up in the Q&A session.

Moderator: Thank you very much. The first question is from the line of Mahrukh Adajania from Nuvama. Please go ahead.

Mahrukh Adajania: So I have a few questions first. So basically, my question was on yield and cost. Your yields have remained pretty steady. And so has your cost of fun ds? How do you see it going ahead?

And also, if you could talk us through competitive intensity in your segment of borrowers and who are the 2 to 3 most aggressive competitors if you could throw any color on that? That's my first question. .

Suresh Iyer: See, in terms of the yield and cost, actually, our cost has gone up from 7.3 5% to 7.4% during the quarter because obviously, in Q4, there was a liquidity was also tight. And therefore, the funds that we have raised in Q4 have obviously come at a slightly hi gher rate. But at the same time, it has been offset by the increase in the yield. So on actually both that we have seen 5 basis

points and 6 basis points increase. That's why our spread overall has remained the same as around 2.6 slightly moved to 2.67.

Going forward, in terms of the spread, obviously, we will have a -- that could be a rate reduction in this financial year, which we are hoping so if that comes also, but it does not have much of an impact because we are also going to pass on the rate to our customers. And if you recall it, in January, had informed that we have moved from an annual reset to a quarterly reset, so in terms of the reselling for our -- on the asset side, also, it will happen on a quarterly basis. So that is in terms of the yield and cost. However, if you were to ask for our guidance, you would probably say that in terms of the spread, we would look at about 2.5% and 3.5% NIM is what we would be targeting.

Now second question or second part of your question regarding the competitive landscape. Well, in our scope, that is in the INR20 to INR75 lakh segment, where almost 50% to 60% of our business is happening, in that segment, of

course, there are -- the competitors are there, but the

main ones I would say are LIC, LIC Hous ing, PNB Housing and Baja Housing. These are the 3 main ones. Of course, banks are always there. But the main ones who from -- which I can say is from the point of view that our loans, if you have to receive from who are the competitors, who are picking up our loans, then it would be the se 3. So this is what it is.

As far as our competitiveness in this segment is concerned, we are also offering attractive rate from 8.95% for customers who are in the 700 -plus CIBIL score segment. So in that segment, therefo re, we are quite competitive. So getting this thing, it would not be that -- it will be difficult or anybody's pricing, undercutting or anything of that sort. Of course, there are different players at different levels. And I think at this level also, we'll be able to get a very good quality of customers in the areas that we are operating in.

Mahrukh Adajania: Your competitors in the 700 -plus segment, are they lending at 8.95 or lower?

Suresh Iyer: Well, actually, there are different segments. I mean, differ ent, different players, like all the banks are also operating in this segment. And nowadays, in fact, there are other players, smaller players who are charging at a high rate also who are also having a very good customer scores in their portfolio.

So basic ally, it is not only the rate of interest or CIBIL: score it matters. The CIBIL score overall, we have observed that in the industry has been moving up because people or customers have become a little more -- they have become a little more understanding an d aware of their importance of CIBIL scores. So that is one thing because the scores are going up. And two, in terms of the competition, as I said, there are other players who are charging much higher than us also who have more than 50% of the portfolio wi th INR700 -plus crores.

Moderator: The next question is from the line of Aditi Loharuka from CD Equisearch Pvt. Ltd. Please go ahead.

Aditi Loharuka: Sir, my question to you is like, what sort of specialization do you think CanFin possesses, which enables u s to compete effectively with other companies in the housing market segment?

Suresh Iyer: See, if you were to ask what is our USP, one is of course, we are a very experienced staff It's a 36-year-old company. The stability of staff is also very good. So wh en it comes to explaining to the customers or understanding the exact need of the customers, I think our staff is that way well equipped and well experienced.

Second thing I would say is that, we also have one more aspect that we have decentralized sanctio ning. Of course, we do have a review and checking mechanism where all the loan sanctioned at the branches are checked by the credit review monitoring department. But at least the local sanctioning is there. So the branch manager at the branch at the local location is able to give a fair idea to the customer as to whether the loan is possible or not and to how much roughly the loan eligibility works out. So this gives, you know, immediate comfort to the customer, which I believe is also one of our very stron g USPs.

Moderator: The next question is from the line of Abhijit Tibrewal from Motilal Oswal. Please go ahead.

Abhijit Tibrewal: So thank you and good afternoon to you all, so just wanted to understand that this has indeed been a good quarter. But if I loo k at the disbursements that we've been doing quarterly, very clearly, right, I mean, there is still a YoY growth that we see. So just trying to understand are there products, customers that we were doing maybe one year back that we are not doing now, right , is something I wanted to understand? That is there room for further acceleration in the disbursement momentum? Or, I mean, have we stopped doing certain product segments, which led to much stronger disbursement momentum in the last fiscal year?

And so ju st a related question, I mean, is it then kind of safe to assume now that whatever challenges we had seen after the Ambala fraud, none of those things, none of the process level changes, none of the system technology changes that we were doing are now impa cting the business momentum?

Suresh Iyer: First thing on the disbursement side. See, we -- I wouldn't say that there are anything that we have any products or any things that we have withdrawn from the market, except that a couple of years back, we had a v ery small portfolio of construction panels, which we are not doing. So we are not purely focusing on retail.

The only other thing that I would see is that in terms of the processes and in terms of some of the policy -- small policy changes, we have tried to strengthen and streamline the processes and strengthen the policy matters. Just one case in point is like earlier, our CIBIL score floor rate was – floor score was 600, which is now up to 650.

So this is more in the view of strengthening the quality of the portfolio. So that is, I think, the only kind of small changes we have done. Otherwise, we are not actually missing out on any market. Generally, but if you ask me, yes, our focus on the LAP portfolio or in terms of our top of loans or BT in as a stra tegy is something which we have not aggressively explored. So in terms of that, there is always a scope that if we can -- we can look at these two things to slightly get a little more aggressive and push for disbursement.

However, the disbursement, whatev er the slowdown that we have seen in the second and third quarter is more because of the process changes that we have introduced. And there, I would definitely say that we are much more comfortable and confident that now we are in a much better position to monitor and stream and look at the quality of the portfolio resourced. So that way, we have strengthened the processes, and we are quite confident now.

The second thing is as to whether it will impact our business going forward, I would say not much beca use, as I said, we had done it in the beginning of the second or the third quarter. So those kind of changes have now kind of become part of the system, and now everybody is used to it. Like the centralized disbursement when it was introduced in Q3 -- beginning of Q3. At that time, it did impact in the month of October in a big way. But now it is the streamlined the entire process that stream and considerably.

So going forward, this may not have much of an impact. However, I would say that we are still continuing with our process of improvement. One of the things, of course, would be IT, which is there. We have introduced some IT -related modifications and improvements in our process. And those things are kind of on a continuing basis. So those things will co ntinue.

Abhijit Tibrewal: So then maybe because you spoke of IT investments on a continuing basis. This quarter, there was a little elevated other opex that you report. So I mean, are there any one -offs there? Or have we kind of front -loaded some of the investments that we talked about in the past? Because I remember in the recent past, you have been guiding at slightly higher opex trajectory whether we look at cost to income or fixed assets?

Suresh Iyer: And then that is correct. In fact, we have, in thi s quarter, had about additional INR5 crores expenses approximately because of the IT intervention of it, some of it is because of upgradation it is an ongoing basis, so about INR3 crores on a quarter kind of will get ahead on an ongoing basis because we ha ve this aberration of our software, which we embarked upon.

The second thing is the INR2 -odd crores we have spent on some of the changes, and we are more in the nature of a onetime cost, which will not b

e repeated. So that's the kind of thing.

However, this is only part of the improvement, as I mentioned, that the IT changes is an ongoing kind of a thing. And therefore, this is just part of the total overall expenditures that we were anticipating and which has not happened entirely in this financial year .

That's why you would say that we had in the beginning, indicated that probably our cost income ratio go up to about 18%, but it has not gone up that much because some of the cases have kind of been postponed or gone a little further.

Abhijit Tibrewal: So sir, I mean then for FY '25, that guidance of cost income ratio of 18% then stays?

Suresh Iyer: Yes, yes. You can say that because some of the costs will still as we start investing further and we introduced further IT changes. Some of the costs will furt her happen. So we will continue with the 18% guidance for cost -to-income ratio in FY '25.

Abhijit Tibrewal: And sir, moving the interest of time, just one last question that I had was -- I mean, the asset quality has been behaving well, looks like and what you said in your opening remarks, the pain from the restructured pool is now comfortably behind.

So I mean, have you had some conversations with the regulator or the auditor in terms of how long we want to hold this management overlay of INR34 crores or f or that matter the standard provisions in the COVID portfolio that you are holding today?

Suresh Iyer: Okay, two parts to it. One is this management overlay of INR34 crores, I -- that is not a regulatory requirement or anything. It is more from the managem ent's point of view, and we have taken the conservative step. And if you would recollect, at the end of Q2, we had said that we are making this additional INR17 crores , which we would like to make for the likely provisions that could come in the balanced r estructured book. And it came in all those similar lines only, but then we have decided to not to write back and continue a conservative approach and continue with the management overlay.

So that is as regards the management overlay, it's just a conservat ive approach, which you would like to continue. The second part about your COVID restructuring provisioning, that is a statutory requirement. And as long as the portfolio continues, we'll have to do it subject to, I mean, the portfolio remaining above 80%. So in the sense that if the restructured pool or a particular individual loan was given, say, INR10 lakh was restructured.

Then if it comes below INR8 lakhs , then we can withdraw 50% of that particular provision. So that is something which is more guided by the regulatory requirement. Having said that, we have not withdrawn the cases -- the provision, and we have not reduced it to 50% for those cases

where it has gone below 80%. We have continued to grow the entire 100%.
But only for those cases where th e loans have been closed, we have withdrawn the provision from that original INR68 crores, which in Q3, we withdrew INR10 crores because of the closed loans. And in Q4, we have further reduced by another INR1 crore because of some more closures that have h appened in Q4.
Moderator: The next question is from the line of Rajiv Mehta from Yes Securities.
Rajiv Mehta: Congratulations on strong result. Two questions. Sir, firstly, what is the disbursement target and VP outrate assumed in your AUM forecast of 15% for FY '25?
Suresh Iyer: See, in terms of the disbursement, we think about INR11,000 crores kind of a disbursement or thereabout should help us achieve a 15% growth in AUM and current year, if you see, we have about INR4,000 crores to INR4,800 crores, whic h is about INR400 crores which is a monthly BT out plus amortization plus part payments. So the loan closures happen because of 3 parts. So all 3 put together is about INR400 crores on an average per month. So going forward, w

e think
-- we believe that loo king to the slight increase in the book. Next year, it should be around INR450 crores per month. So that would be the kind of average run rate of BT out plus prepayment plus lower amortization.
Rajiv Mehta: How should we look at this 15% growth guidance? I s it just for FY '25 because we're still adjusting to the new processes and that we are going to have some take system changes in FY '25 as well as we are developing the new housing channel? And then FY going into FY '26, would our aspirations of growth ch ange?

Suresh Iyer: See, if you look at our disbursement target of about INR10,500 crores, INR11,000 crores also, if I have to look at it, be INR10,500 crores would be about 30% growth in disbursement from the current year, okay? But generally, the AUM on t he outstanding portfolio, there is always a lag impact, and it always grows at a slightly gradual pace. So even with the 30% growth in disbursement from the current year, we will be able to achieve about 15% growth in AUM. But as we sustain the disbursemen t growth in the -- in the following years also, this 15% will go up to 18% and 20%.
Rajiv Mehta: Got it. And just one clarification. Does our reported NIM include fee income as well? .
Suresh Iyer: Yes, it does. NIM includes other incomes .
Moderator: The next question is from the line of Devansh Nigotia from Safe Enterprise.
Devansh Nigotia: Sir, can you -- I mean, elaborate a bit more on from the time you joined our acquisition advances growth of 20%, which we have kind of moderated to 15%.so is it because of the changes in the IT system and you know, the [inaudibl] incident why we moderated in terms of growth or I mean, can you share the perspective over here?
Suresh Iyer: Well, in the first quarter yes, thank you, Devansh the first quarter, actuall y, we did see a good, healthy growth in the last year. But in July, we had this incident because of which we had to undertake a bit of strengthening of the processes and streamlining and a lot of fresh, you know processes or controls are also introduced. W e centralized the disbursement, we centralize the reconciliation. We also introduced a credit review monitoring department, which reviews as a double check on all the loans. And we also introduced some other checks in terms of IT processes and all. So basi cally, this slowdown or our pullback happened mainly because of our change processes and the strengthening that we did.
And I think that was most necessary at that time also because we need to have the confidence you know such instance does not happen aga in. So basically, it was because of that. In terms of the market, if I understand it is where you are coming from. In terms of the market, I don't think that is a slowdown or there is anything where we need to be worried about, except that probably in the affordable segment, I personally believe that would -- there is a little bit of a slowdown. But of course, we decided to move a little out of it or rather move a little in the higher segment. So basically, in the INR20 lakh to INR75 lakh segment because we believe that probably in the sub INR20 lakh segment, there could be probably some slowdown or some issues in terms of the supply since the CLSS has been withdrawn.
So having other lines in the segment that we are talking about 20 lakhs to 75 lakhs, there is a very robust growth, and we believe this will continue for a few more years, looking to the number of launches, project launches across cities that we are witnessing.
Devansh Nigotia: What would change, – what would give us the confidence to change th e trajectory of advancing those from 15% to let's say, 18%, 20%, what's -- what are the things you're looking for internally in the company that you want -- that will help to incur the disbursement significantly from here on? .

Suresh Iyer: See, first of a ll, we have already undertaken some changes in the IT. And I believe that is going to be one major thing which will determine the kind of growth that we will be able to deliver.
And we have already undertaken some -- of the changes in terms of the IT proce sses, IT systems.
And this is, as I said earlier also is something which will continue for one more year or maybe 1.5 years also.
And that is what will give us some strength in terms of we will be able to do a better digital onboarding. We'll be able to h ave some more processes, which can be end of done digitally like we introduced this time the verification of PAN , verification of Aadhaar and all those things.
So all those kind of things, we're also bringing some productivity improvement. So basically, i t is IT -- is a major thing which we believe can help us further bring in the growth. That is one thing, not to mention that even without that, looking to the market, we are confident that we should even in the current year, have a much better disbursement performance.
Moderator: The next question is from the line of Raghav Garg from Ambit Capital. .
Raghav Garg: Sir, sometime back, I think a couple of quarters ago, you had highlighted because of the developer channel that you were exploring and that you ha d gotten into your branch efficiency would improve by 10%, 15%. Where are we on that? And how long will it take you to achieve that 10%, 15% efficiency improvement on a per branch basis because I believe that is one lever or one low -hanging fruit for you t o possibly deliver a better AUM growth over the next couple of years?
Suresh Iyer: No, you're right, Raghav, in fact, we have mentioned about this APF, which we are targeting and which we are looking at. So we have initiated that. But frankly speaking, it is still not given us the traction that we were looking for. It has been a little slow development on that side. And this year, we are definitely looking at pushing that very aggressively. Last year, we could not get much out of it. Although you know some of our interactions with the builders, some of our visits and all has helped us in getting some bit of inquiries and leads and conversions because of which if you see our 30 lakh plus segment, particularly, we have seen a good growth in terms of the disbur sement incremental disbursement. However, from our point of view, we are not very satisfied with what we have achieved over there. Still a lot can be done over there.
Raghav Garg: And if you were to highlight what are the challenges that you are facing? O r what is it that -- what are the reasons why you're not able to do it? .
Suresh Iyer: Well, actually, there are two things I would say. One, mainly is that it was more of a DSA -driven channel that we were having. So first is, we had to also get the voice on the ground to do the marketing, plus to have a builder dials. In fact, we -- I would say we were probably not completely ready with the kind of offering that we need to give to the developers because what existing players like the larger banks are offer ing to developers for these kind of tie -ups that kind of an offering, we were not ready with. So we are working on that.
And once we are ready only, I think we will be able to get that kind of a thing in terms of how we are able to offer a quicker process for the developers, having people on ground on the project

sites and everything. So that kind of a little more feet on street. So these are the kind of things where we couldn't achieve, I believe, the reasons why we couldn't achieve that particular aspect .
Raghav Garg: Sure. And sir, your INR10,500 crores, INR11,000 crores of disbursement next year, what sort of a ticket size increase are you building in for that?
Suresh Iyer: Yes, this year, we have actually -- ou

r housing loan ticket size has improved from 22 lakh average to about 25 lakhs. And next year, probably we can still look at up to 27 lakhs, we can look at it.
Raghav Garg: Understood. And sir, just one last question from my side. I know you explained it to one of the previous participants on th e opex. But sorry, I missed it, what is it that led to this 39% growth in opex? That will be all from myself.
Suresh Iyer: See, there are two components to this increase. Of course, one is the normal, as I mentioned, that almost INR16 -odd crores for this t hing was other expenses. But the main thing was we had a couple of one -off expenses like we have this GST for which we have INR6.5 crores . We had adjustments for 2017 onwards, which came for assessment in this year. So all those things, we have kind of clo sed. So that is about INR6.5 crores roughly.
A little bit is on the IT expenses, which I explained earlier that now we have another INR3 crores increase on a quarterly basis because of the IT which will be on an ongoing basis and some INR2 crores odd, whic h is for the fixed expenses, onetime one -off expenses, which we paid for the modifications and additions in IT that we introduced during the year. And a little bit is on the

CSR where again, our obvious limits have gone up because the profits have been goi ng up. So that also we have done. So these are some of the reasons because of which mainly the -- about INR12 -odd crores mainly is because of this.
Moderator: The next question is from the line of Darshil Jhaveri from Crown Capital.
Darshil Jhaveri: Lot of my questions have already been answered. So I just wanted to know our NIM target of 3.5. Are you being a bit conservative, I think you already in Q4 have achieved around 4% NIM. So like NIM or that was the first question. And what kind of ROA are we targe ting for FY '25?
Suresh Iyer: 3.5 is what we said is something we would definitely want to work above that. Now how much about that is something we would not be able to say. Obviously, if it is possible. And if it is there, we will definitely try and work towards the higher NIM. But we would say in terms of the guidance or if you were to kind of do your projections on math, then probably you can work with 3.5. That is what I would say. As regards to ROA, I believe we will be comfortable with about 2.2 kind of an ROA for FY '25.
Darshil Jhaveri: I just wanted to know like in terms of picture, like somewhere in some affordable housing segments, you are seeing some issues. But is that even the mid -segment, are there some issues that they have been seeing industry -wide that can lead to further slowdown or inflation creeping up for some demand issues? Because supply may be launches are happening. But then on the demand side, do we see like any issues coming from that side?

Suresh Iyer: Of course, in terms of the super luxury and in the luxury segment, definitely, the demand is very, very strong. But even in this 20 to 75 lakh segment, the demand is quite decent. And in about six months' time that developers are able to mostly get out of the projects comfortab ly. So that is not much of an issue. I mean I don't see much of a problem in that because we have been getting good inquiries -- good kind of quality leads also.
Darshil Jhaveri: So congratulations on the great quarter.
Moderator: The next question is from the line of Pavan Kumar from RT Capital.
Pavan Kumar Sir, can you just give us a normalized run rate of opex apart from employees? Because this quarter, it was around INR33 crores. I understand given some estimation. But what should be their upgrade susta inable quarterly unit here on?
Suresh Iyer: See, we have got some fee and commission expenses, which are roughly in the range of annually, I would say, are in the range of INR27 crores, INR28 crores, which is going to increase in line

with the disbursement target for this year. And other than that, opex are roughly in the range of INR18 crores to INR20 crores per quarter, roughly aggregating to INR80 crores a year.
Pavan Kumar: So this would be -- this would be INR20 crores from here on, right?
Suresh Iyer: Yes. For this financial year, quarter one start.
Pavan Kumar: Okay. Got it. And on the disbursement side, sir, I mean from the next quarter onwards, can we expect the disbursement to be let's say, average around INR2,500, crores to INR3,000 crores hereon? Or still it would take time for the processes to settle?
Suresh Iyer: See, actually, in the -- if you look at it, most of the companies, if you look at the -- since the last many years, that generally, there has been a trend that about 45% of the business happens in the first half and about 55% happens in the second half. So that way you can consider that, that kind of a trend would continue for us also.
Moderator: The next question is from the line of Shubranshu Mishra from PhillipCapital.
Shubranshu Mish ra: So I think we've answered this question a bit before. So I just want to check, the average 55% increased roughly around 10% when we decompose the disbursement of which license is almost 57% would be a natural inflation which happens annually. And when we look at the number of loans, how many number of loans do we do on a quarterly basis now? And what are we thinking of doing on a quarterly run rate in '25 and '26 as well if you can spell that out? That's on the disbursement.
Second is, what are the rea sons that we are facing in terms of reducing our DSA sourcing versus own sourcing? Third is, is there a board approved set parameter that we can't do much of construction finance? Is that an impediment to have more builder tie -ups? Because my sense is that the builders would really like construction finance, which later on gets knocked off with the home loan, making camping homes a preferential lender in that particular project. So these are my three questions.

Suresh Iyer: See, first of all, we are doing a bout 3,800 to about 4,000 loans in every month. That's the kind

of number that we are having. And that comes to an average ticket size is about 22 to 25 lakhs, we would be getting somewhere in the range of about INR750 crores is what we are getting. Now in terms of what we are looking at in terms of increase in the ticket size and how much we could come from the increase in a number of cases, a 5% increase in the number of cases is what we would be targeting.
That is what will help us because as you rightly pointed out, there is an inflationary cost increase that happens plus, of course, that we are moving to a slightly higher segment from 25 lakhs to 27 lakhs is what we are targeting. So all three put together should help us in getting the desired result in terms of disbursement growth.
The second question was regarding DSA sourcing. In terms of DSA sourcing. So what we are doing is, if you recollect, we had said that last year, we had tried in about 51 branches, which are with a cutoff of some limit. We had introduced as a pilot about on e month staff we have identified for marketing. So that has helped us because this year, from the beginning where we had about almost 85% plus of business coming from DSA channel in Q1, we were able to bring it down to 80% in Q4. And that has been a kind o f a consistent reduction.
So this, we believe, has kind of helped us in getting some direct business plus incentive some of the internal contest and all that we are running is also helping us get some direct business. So we will be continuing that. And in this year, our plan is to have from 51 branches, we would like to roll out the same thing to almost all across our branches. Across all our branches, we would like to have dedicated staff of marketing from within our resou

rces, not external. We're not goi ng
to recruit additional outsource stuff but from within our teams, we want to separate people for marketing and expand this what we have done on a pilot basis. So that is how we are looking at bringing down the DSA sourcing.
And the third point as to why we are not doing I think it's the construction finance, it's more of an internal decision. One, because we are not having that kind of construction finance, unlike retail requires a different kind of skill set and analytics and all those things of the dev eloper, the project evaluation viability and all those things. We clearly believe we need to first have a dedicated team to analyse this before we can roll it out in a proper manner.
So that's why as an internal conscious decision, we are not going for con struction finance for the time being as regard whether it would hurt in our APF push, probably yes. But any which way the loan is taken by from only one lender, but there are still 4 or 5 approved lenders who are there in any project. So probably we would like to be the remaining 3 or 4.
Shubhranshu Mishra: Just one data keeping question, if I can push on. What is the concentration of Bangalore and our disbursement as well as outstanding AUM? Same for Karnataka. And if we can speak about non-South territori es for disbursement and AUM concentration.
Suresh Iyer: In terms of the region wise, I think we've already given in our slide but further breakup, if you want, in terms of the south, we have 65% in terms of the number of branches and 72% in terms of the di sbursement. Now out of that 72% also, if you look at only Karnataka specifically, then

we have about 40 branches out of 200. So about 20% of the brand field are from Karnataka. And the contribution is somewhere in the range of 27% to 28% of the business, i ncremental business is coming from Karnataka. And so also in terms of the portfolio is roughly around the same only.
Shubhranshu Mishra: What would be the concentration of Bangalore in this?
Suresh Iyer: Most of it would be Bangalore because we have very few branches outside of Bangalore. But of course, when I say Bangalore, it would also include almost 60 to 70 kilometers outskirt of Bangalore also, which actually is now because the city has also expanded so much. So I mean, probably all that would also b e considered under Bangalore. But other than Bangalore or I would say that would be a little less.
Shubhranshu Mishra: Understood. Thanks, Suresh.
Suresh Iyer: Yes, thanks, Shubhranshu.
Moderator: The next question is from the line of Mohit Jain from Tara Capital. Please go ahead.
Mohit Jain: Hello.
Moderator: Yes, sir. Please go ahead.
Mohit Jain: Yes. Hi. Good afternoon, sir. Thanks for taking my question. Sir, you just hinted about the slowdown in the affordable housing segment. So in the current year, we had almost 37% for disbursement in this tank in less than 20 lakhs threshold. So going forward, do we see that we'd be having higher disbursement in let's say, 20 to 75 buckets? And the related question is, how is our interest rate different in the two buckets? Like which are the differential rate in the two buckets? So how is that going to turn out, sir?
Suresh Iyer: So I wouldn't say that there will be a major reduction in the 20 lakhs below 20 lakhs segment, we will still be pushing for it. But as a p ercentage, it would come down because with higher

loans that we are doing, obviously, in terms of they will have a higher impact even , you know, three loans of about 35 lakhs would be equivalent to almost, you know, 10 loans of 10 lakh each. So that way, if you look at it, the percentage -wise, it might still come down. But in terms of number of cases, we would continue to do in the top 20 lakh segment also. So I guess that is what. And I think you had one question to it, right? I'm sorry
M

ohit Jain: How th e interest rate different in the interest rate differential.
Suresh Iyer: Sorry. Yes, interest rate differential. So we have about 65 to 75 difference between the below 20 and above 20 lakh segment. So about 20 lakh, we are offering our rates start from 8. 95, whereas in case of below 20 lakh, it starts from 9.6.
Mohit Jain: Thank you, sir.
Suresh Iyer: Thank you.

Moderator: Thank you. The next question is from the line of Jigar Jani from B&K Securities. Please go ahead.
Jigar Jani: Yes, hi. Thank you for ta king my question and Congratulations on a great set of numbers. Sir, on your Slide 14, when you mentioned the yield and cost of borrowing on our overall for the March quarter, you have seen a sequential decline in spreads, but your limbs are actually movin g up by 4 bps when you compared to the December quarter. So I just wanted to understand this are what incremental needs and just as a follow -up, so do we see like incremental spreads being at 2.28% overall?
Suresh Iyer: Yes. So there is a very good observa tion. Actually, the page, Slide 14 that you're talking about, where the spread is 2.28, it is only for the disbursements and the borrowings of the Q4. So obviously, in Q4 being the last quarter, there's always an aggression and there are offers which are laid out and there are also this quarter, you also know the liquidity was also a little bit tight, which normally happens also in Q4. So the borrowing costs do go up. So basically, this is a Q4 phenomena, where it is slightly squeezed.
But in spite of that , because of the benefit of the rate increase on all that we are seeing, the overall in terms of the book, at the end of the year, we have experienced a spread of 2.67 so that's what it is. So in Q4, yes, incremental business, we've had a slight squeeze in the spreads but that is more of a phenomenon of Q4. And as soon as the rates come for repricing and everything, they will again reset in Q4 on the liability side as well as on the asset side.
Jigar Jani: So this is a discount that you have given to push g rowth?
Suresh Iyer: Yes, we have given some slight discounts in Q4. And we've also had a slightly higher cost of borrowing because of the liquidity issue.
Jigar Jani: Understood, sir. And secondly, given all the noise on the regulatory front, the regulator also becoming quite stringent on procedures and processes, any highlights from the regulator or NHB or RBI post your annual audit something that you would like to highlight if you've received any changes suggested by the regulator to be done in your syste ms or processes?.
Suresh Iyer: No. In fact, our annual inspection for the year ended March '23 got over in I think January '24. And the report has also been received and we have responded to the report also. And there are no any special observations or any kind of what you call restrictions or conditions laid down in that report.
It is business as usual. Overall, however, as you have rightly said that overall the regulatory landscape is slightly becoming tighter. And -- but that applies to all the players in the industry, not anything specific to us.
Jigar Jani: I understood sir. Thank you so much for answering my question.
Moderator: Thank you. The next question is from the line of Vinod Dadlani who is an Investor. Please go ahead.

Vinod Dadlani: I have a couple of simple questions. One is, was any recovery attempt made for the fraud which had happened a couple of years back and whether anything happened, anything is likely to happen, this is one.
And second is who's conducting internal audit in t he company. Is it external sources or is it within the company?
Suresh Iyer: Yes. First point, in terms of the -- what happened 2 years back in 2022 we had an issue at one of our branche

s of Bhilwara where about 57 cases were identified where customers had
submitted for forged income papers to get a higher loan. Out of the 57 loan cases, 50 loans have already been closed means they have been fully repaid and neither the customers have moved out by making the full payment and they've closed the loans or the loans have been taken over by some of the competitors. In fact, in a couple of cases even nationalized banks have taken over the loans from us -- from that pool of 57.
So therefore that continues. And even in those certain cases it is not that the custome rs are not there. Customers are very much available. The properties are also very much there and they have a good amount of value, but because they were classified as a fraud in '22, they continue to be flagged as a fraud. That is in respect of the 2 -year old issue that happened. The issue in terms of the -- what happened in August this year, of course, there more recovery has happened. There the complaint has been filed.
The accused -- the main accused is behind bar and the -- we are trying to push it for the Enforcement Director or the CBI or the SIT will take over that matter. So that is something which is under process. As regards to your second question about audit we have our internal risk-based internal audit team which is carrying out the audit and the audit committee has laid down the guidelines for the -- carrying out the audit and all and it is the internal team which is doing the audit.
Vinod Dadlani: Yes. So it is head or risk who is head of audit, is it? Because I see in this main management team, I think somebody who is taking care of the risk management. So is it the one who takes care of the internal audit?
Suresh Iyer: Yes. Mr. Ratish who is the head of RBIA that is a risk -based internal audit.
Vinod Dadlani: Okay. So it is audit cum risk ma nagement, right?
Suresh Iyer: Risk-based internal audit that is correct. We have a separate CRO and so the risk basically is handled in terms of the overall risk and all those things is handled by risk department which is separate. Here, risk -based interna l audit is what we call it, but it is the internal audit. So basically, risk is separate and audit is separate.
Vinod Dadlani: Yes. But then there's no mention about head of internal audit. I saw in every other function?
Suresh Iyer: Definitely RBI A is int ernal audit only.

Vinod Dadlani: No, no, I agree. But who is the gentlemen who takes care of risk audit because I didn't see his name I think, his photograph in the presentation.
Suresh Iyer: Mr. Ratish, his photograph is the last one in the bottom row -- the bottom row right side. He is the head of internal audit.
Vinod Dadlani: Fair enough. Coming back to question one, maybe there is some confusion. I think I was talking about this Ambala thing which had happened. That was something which had happened. So that recovery was done or that didn't happen?
Suresh Iyer: No, I said no. So that I will just tell in the courts right now and main accused is behind bars. And the money trend and everything has been -- whatever it is the police has to establish it and th ey'll have to carry out the further work in terms of seizing the assets and everything. So that in terms of that there is no recovery. The full provision was already made in the month of in third quarter and second quarter itself in September results we ha ve already taken the full provision for the same.
Vinod Dadlani: Yes. So likely that whenever the recovery happens, it can be -- it can come as an additional income, is it?
Suresh Iyer: Yes.
Vinod Dadlani: So we can be still hopeful that there will be som e windfall kind of a thing in next few quarters?
Suresh Iyer: Yes, technically, yes. It all depends on the speed with which the police works and the judicial system works.
Vinod Dadlani: Fair

enough. I hope that you have the right people to follow up and e nsuring that whatever can be done should be done.
Suresh Iyer: Yes. Thank you.
Moderator: Thank you. The next question is from the line of Chandrasekhar Sridhar from Fidelity International. Please go ahead.
Chandrasekhar Sridhar: Hi. Good evening. I have a few questions. One, Suresh could you just help us directionally how do you see the mix between salaried and self -employed moving over a period of time. I'm just started dropping, it's moving a little more in favor of self -employe d in the recent past. So anything to read into that?
And directionally, how we want to move that. And could you just help us what's the yield differential right now on your average salaried book versus the self -employed book? And as we basically started d oing a little more larger ticket sizes, do you think that -- I mean, given that yield may be a little more competitive over there, spreads sort of become a little more

competitive that naturally the business basically does be a little more self -employed ov er a period of time to retain that 3.5% NIMs? .

Suresh Iyer: In a way you are right that, yes, the high network when we are talking about higher ticket size loans, there we are offering a competitive rate just like it has to be competitive in the market. S o that does slightly impact our spread and our yields.
And therefore, yes, a little bit of SENP that that is a self -employed, we have slightly increased, a little more so in the Q4 as compared to the previous quarter. But there is no special effort to kind of push up the SENP or the self -employed category. Although, yes, we have kind of reviewed that segment. And now with more people filing returns and everything, therefore, we are able to get that also in a better fit into our norms.
So basically that is the reason why it has been slightly increasing. However, even in the self - employed segment we are not doing the cases of upraised income or surrogate income case document. So when we are saying self -employed, we are still talking about the cases where people have been filing at least 2 years of IT returns.
We have a very small component of portfolio which is a cash -based salary or which is with a 1 - year ITR or something. It's mostly when we are talking about self -employed, we are talking about people who have filed two years IT returns. So that is one thing. But yes, that does give us about 0.5 percentage point, that is 50 bps higher yield in terms of the self -employed segment, vis-a-vis the salaried segment.
Chandrasekhar Sridhar: Got it. And directionall y, this is not -- I mean this largely 70 -30-ish should not become like 60 - 40 over a period of -- I mean like 3, 5 years, it's not directionally the way of thinking.
Suresh Iyer: No. We would still be comfortable with the 70 -30 only.
Chandrasekhar Sridhar: Right. And you did say the last time around, you eventually wanted to get DSA down to 60% at some point in time. Just curious to understand what does it just mean in terms of sourcing costs? And while you haven't added additionally in terms of manpower rig ht now at the branch level, just maybe how does it eventually help you save on costs, or do you need to start eventually at some point in time adding people on the ground?
Suresh Iyer: See, in terms of the DSA, right now, let me just say that incrementally , we are still doing -- well, in this year, we've done about 80% of sourcing through the DSA channel. However, on a portfolio basis, only 72% of our portfolio is sourced through the DSA. So that's the phenomenon of the last 3 or 4 years where the increment al sourcing from the DSA channel actually spiked and which we are trying to control and bring down. So in terms of the overall book, we are still at 72%. Having said that, we would definitely -- we stand by that, we would like

to bring it down
to 60%.
The second point is in terms of sourcing costs. See, the DSAs we have been on an average paying about anywhere ranging from 35 to 60 basis points we are paying on the loan amount at the time of disbursement. But on an average, it comes to around 43 to 44 bps is what we are paying to the DSA as commission. Now in terms of direct sourcing, yes, this will slightly reduce because what we'll be paying as whatever for incentives or staff or everything will be much lower than the 0.43% or 0.44%.

So to that extent, i t will come down. Presently, at least, we believe that we will be able to segregate from our existing team and pull out a separate team for marketing. But going forward, we'll see as to how we will be able to manage this. As of now, the idea is to manage i t from internal sources only.
Moderator: Ladies and gentlemen, the last question for today is from the line of Shweta Daptardar from Elara Capital. Please go ahead.
Shweta Daptardar: Sir, two questions. One is, what is the rejection rate for our study prop osals that are raised or sourced from DSA vis -à-vis our own internal channel? And yes, if you could first address this?
Suresh Iyer: See, I wouldn't be able to give you what is the rejection ratio from the DSA channel. However, because many of our DSAs are well trained, they have been with us for a long time. So mostly, they are aware of our internal policies and what will be accepted in our system. So there, I wouldn't be able to give you. Most of the -- what I can say is that most of the cases is sourced by the DSA, at least the old ones who have been with it for a long time would be as close to probably about 98% to 99%.
However, in terms of the incremental sourcing which our people are doing, yes, the incremental

ratio would be much higher. But again, I would not be able to give an exact number. I can only offhand say that probably it will be around -- about 25% to 30% would be the rejection ratio.
Shweta Daptardar: Noted, sir. Sir secondly, at the branch level, sir, do we have feeling on how much approv als or the targets which branch manager would have in terms of accepting a particular proposal? So is there a feeling on, say, ticket size or loan amount or anything on GNPA? And have these targets or feelings sort of undergone change as on today, wherein we are in the process of rejigging our systems and processes?
Suresh Iyer: See, there are delegation of power linked to the grade of the staff and the tenure of the staff with us. So based on that, it ranges from INR35 lakhs to about INR75 lakhs depending on the grade. That has not undergone any change in terms of our present system. We have continued to that. However, we have introduced an additional checkpoint wherein -- not a checkpoint, but an additional backup wherein we have a credit review monitoring department which reduce each and every case that is sanctioned by the branch. That happens in any time in a span of about 48 hours to about 96 hours within the -- from the time of the sanction at the branch level. It is more of a double check by the Cred it Review Monitoring Department, but it is not a bottleneck or it is not a show stopper because what the branch is sanctioned will continue. However, as a second check, if in the Credit Review Monitoring Department, what you have done is that if we are fin ding that there is some slightly higher risk that is being taken or onboarded by the branch, then we would take a call that we might either reduce or withdraw the powers of the branch manager. So that we have additionally done and that is what the CRM depa rtment has helped. So in a couple of cases during the year also, we have actually withdrawn the powers of certain branch managers.
Moderator: Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to the

management for closing comments.

Suresh Iyer: Yes, thank you. Thank you, everyone, for taking out your time and I appreciate all the queries. I hope all the queries have been answered. Of course, if there are any other further subsequent queries, you can a lways touch base with us. The presentation is there. I thank you once again on behalf of the entire Can Fin team to all the people who joined this conference. Thank you.
Moderator: Thank you. On behalf of Investec Capital Services, that concludes this conf erence. Thank you for joining us, and you may now disconnect your lines.

Call: Jul 2024

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CFHRO SE CS LODR 180/2024
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ONLINE SUBMISSION

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Bandra (E)
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NSE Symbol: CANFINHOME BSE Limited
Corporate Relationship Department
25th Floor, P J Towers
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Mumbai – 400 001

BSE Scrip Code: 511196

Dear Sir /Madam

Sub: Transcript of Q1 FY25 Earnings Conference Call
Ref.: Our letter CFHRO SE CS LODR 177/2024 dated July 22, 2024.

In continuation to our above referred letter, please find attached the Transcript of Analyst/ Investor conference call/earnings call held on, July 22, 2024.

The aforesaid Transcript is also available in the Company's website i.e., https://www.canfinhomes.com/pages/analystmeet

This intimation is submitted pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Req uirements) Regulations, 2015.

Kindly take the same on the record.

Thanking you,

Yours faithfully,
For Can Fin Homes Limited

Nilesh Jain
DGM & Company Secretary

Encl: As above.

"Can Fin Homes L imited
Q1 FY'25 Earnings Conference Call"
July 22 , 202 4

MANAGEMENT : MR. SURESH IYER – MANAGING DIRECTOR AND CHIEF
EXECUTIVE OFFICER – CAN FIN HOMES LIMITED
MR. PRAKASH SHANBHOGUE – GENERAL MANAG ER –
CAN FIN HOMES LIMITED
MR. APURAV AGARWAL – CHIEF FINANCIAL OFFICER
– CAN FIN HOMES LIMITED
MR. VIKRAM SAHA - DEPUTY MANAGING DIRECTOR –
– CAN FIN HOMES LIMITED
MR. PRASHANTH JOISHY – DEPUTY GENERAL
MANAGER – CAN FIN HOMES LIMITED

MODERATOR : MR. NIDHESH JAIN – INVESTEC CAPITAL SERVICES

Moderator: Ladies and gentlemen, good day, and welcome to Can Fin Homes Limited Q1 FY'25 Conference Call hosted by Investec Capital Services. As a reminder, all the participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need any assistance during the conference call, please signal an operator by pressing star then zero on your touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Nidhesh Jain from Investec Capital Services. Thank you, and over to you, sir.

Nidhesh Jain: Thank you, and. Good afternoon, everyone. Welcome to the Q1 FY'25 Earnings Conference Call of Can Fin Homes Limited to discuss the financial performance of Can Fin Homes Limited and to address your queries, we have with us Mr. Suresh Iyer, MD and CEO;
Mr. Vikram Saha, Deputy M anaging Director ; Mr. Apurav Agarwal, CFO; Mr. Prakash Shanbhogue , General Manager; and Mr. Prashanth Joishy , Deputy General Manager from Can Fin Homes Limited.

I would now like to hand over the call to Mr. Suresh Iyer for his opening comments. Over to you, sir.

Suresh Iyer: Good aft ernoon. Thank you, Nidhesh, and I welcome all of you to the earnings call of Can Fin Homes Limited for the first quarter results. Before we get into the questions and answers, I would just like to give a brief on the critical highlights and points on the p erformance of the first quarter.

As you all know, this quarter was an election quarter. So April and May was a little low for us where we began slow and there was a little flatness in terms of the disbursement. We are quite hopeful of picking it up in the coming month s; however, in spite of June being the second -best month in terms of disbursement in the last 15 months, still we could not cover up for the shortfall of April and May. So we ended up with a 6% negative in terms of disbursement .

However, the positive we'll take from this is that the negative growth has been coming down from 9% in Q4 of last year. and looking to the disbursement that we have had in the month of June, which, as I mentioned, is the second -best month and the only month where we've done better than June '24 is March '24.

So considering that and the way we've opened in this month of July as well, we are confident that we should be able to touch around INR2,500 crores disbursement in Q2. Another small impact that we had was in terms o f our Andhra Pradesh and Telangana where post the change in the state governments, there has been some impact in terms of the registrations in the Sub - Registrar offices. Other than these two states, in fact, across all the other states, we've had a positi ve growth compared to Q1 of last year.

Coming to the second point, which is recovery. Of course, the recovery has deteriorated a bit, but it is a little cyclical as we have seen in the previous years as well, wherein Q1, there's always a slight increase i n terms of the gross NPA. Q1 FY'24, there was an increase of INR31 crores as against this in Q1 FY'25, the increase has been to the tune of INR39 crores, which we are hopeful and confident that we should be able to bring down as the quarters pass and by en d of the year, we are still projecting and continue to hold our guidance as regards to the gross NPA to come down to below 0.8%.

In terms of the third point, which is the spread, we had -- some of the increase in spread because of the higher rate borrowing that we had in Q4 of last year, where the rates were slightly on the higher side. Compared to that, whichwas carried forward and only at the time of the replacement, we will be able to bring down by the end of the second quarter. So in about 7% of our bor rowing, which is particularly the CP

borrowing, we have had a benefit in terms of the repricing in this quarter, which will be impacted going forward of about 30 to 40 bps.

The second thing in terms of the borrowing cost, it may be noted that in FY'24 as well as in Q1 of FY'25, we have not raised any borrowing from NHB, which we hope to borrow once in the budget tomorrow, regarding some positive s in terms of the affordable housing fund. We've also had some discussions with the NHB and all, so we are quite hopeful that some announcements should come and there, we will be able to draw at that point in time, lower -cost funds from the NHB under the Affordable Housing Fund.

But having said that, Q4 of last year, we had incremental borrowing at the end - over 7.58%, which has continued in this quarter as the overall rate, and we believe that this 2.55% to 2.6% will be the new normal in terms of the spread that we are looking at.

In terms of the expenses, there has been an increase, mainly as we had witnessed in Q4 last year also where to the extent of the IT expenses we have gone for an upgradation of our existing package with the incremental cost of about INR3 crores . INR2 crores to INR3 crores is cash compared to Q1 of last year. And also, there is INR1 crore additional provision that we have made this year because of the increase in the CSR budget for this year.

So this INR1 crore , obviously, will be increased every year -- every quarter because last year, we had a total CSR budget of INR13.8 crores, which this year is INR16 crores plus. So that additional INR3.5 crores to INR4 crores, we will be spreading out over each of the quar ters. So this is the main reason for increase in the expenses.

With all these four points, we are still confident that we continue to hold the same guidance as we have given in the beginning of the year i.e. we are confident of doing our disbursement of INR10,500 crores . As we had indicated in Q2, we are targeting INR2,500 crores, which will be stepped up by INR300 crores to INR350 crores every quarter going forward. So that will help us reach the INR10,500 crores figure, and we are quite confident about that.

In terms of the GNPA, we had indicated, this is a cyclical trend, and we are confident that we should be able to continue to hold the guidance of 0.8% gross NPA by the end of the year. Credit cost, of course, this has been a little front -ended becaus e of the increase in the gross NPA absolute figure but our coverage remains the same. That is our ECL requirement continues to be.

In fact, it was 49% in Q4 last year, which is now against 47% in this quarter. So that as an absolute value of NPAs also will come down and we bring it to 0.8%. We are hopeful that by

the end of the year, the actual costs will be around 12 bps or thereabouts only in terms of the credit cost. And in terms of ROA and ROE, we continue to hold the same guidance of about 2.1% in term s of ROA and 17% in terms of our ROE. So that I guess is the gist of the performance and the guidance that we have to hold for the coming quarters as well.

I give it back to Nidhesh. Maybe we can now take questions. Thank you.

Moderator: The first question is from the line of Maharukh Adajaniya from Nuvama.

Maharukh Adajaniya : So just in terms of July, how has the disbursal trend been in July, or would it pick up after the budget? And in terms of NPLs, is there any geographic concentration where collections have been weak or it's in general at the national level only?

Suresh Iyer: Yes. Thank you, Mah arukh. See, the first point about the disbursements in July. In fact, in July itself, as I had mentioned, that July is similar to the performance in June, where we've had a good month of June. So in July also, the trend is looking positive. So in fact, if at all something comes in the budget and there's a further pick up, that will be an additional

to it. So without considering anything coming from the budget, we are targeting INR2,500 crores for Q2.

And second thing, as regards to your corrections and whether there's a geography -- whether any particular geographies affected, well, no, in fact, across the board, there has been a minor increase in every cluster, ev ery region. There has been some increase every state. So there is nothing specific to any particular state or anything. Only in terms of disbursements, as I

mentioned, that our Telangana and AP disbursements have been slightly affected and that is the only geographical color that I can give. Otherwise, in terms of recovery, there is nothing.
Maharukh Adajaniya : Okay. But the recovery would have been affected by what in the first quarter because there is always a seasonality in first quarter, but it's usuall y not this sharp?
Suresh Iyer: No, as I indicated in Q1 last year also, the increase was INR31 crores and this quarter also it is about INR39 crores. So roughly, it is in that range of about INR30 crores to INR40 crores. Even last quarter, it was there la st year, first quarter. This year also, first quarter, it has been on similar lines.
Moderator: The next question is from the line of Shreepal Doshi from Equirus.
Shreepal Doshi : The question was pertaining to the sharp increase in cost of fund and the impact on the margins, which is the same. So I mean, what led to the increase in cost of fund? And how do you see it trending for the rest of the year now?
Suresh Iyer: Coming to the cost of funds , in fact , last year itself, we had a gradual increase in the cost of funds. But since it was spread out over the quarters; therefore, this did not impact. Like, for example, if I have to just share with you, last year we began the year with a 7.32%. And incrementally, if you see our second quarter last year, incremental funds that we raised in Q2 was 7.46%, but because it was spread over 2 quarters, the 7.32% almost remained somewhat similar. Q3, again, it went up. Q4, it went up to a by 7.58%. But again because the cos t of funds, it was spread out over the 4 quarters, end of the year, it was 7.40%.

Whereas in Q1, obviously because the cost of funds that we raised particularly in CP, where we are raising today, we are getting at around 7.2%, we were raising as high as 7. 7% also. So therefore, there was also a higher cost of borrowing in Q4, which obviously will get changed or replaced only when the repricing happens or when the 90 -day period gets over. So those about 6% to 7% of our borrowing that comes from a CP, we have already repriced at around 7.2% and thereabouts. So this is mainly the main reason why it has happened.
Last year, it got evened out over the period, but 7.58% is what it is. Maybe going forward, as I said, we have repriced the CP. So in Q2, we'll get th e benefit of that 30, 40 bps for the CP component, which is about 7% of our borrowing. So effectively about 1 to 2 bps or something further can improve going forward.
Second, as I mentioned in the beginning itself, we did not raise any NHB funds last year; therefore, the borrowing was mainly from NCD and banks , where the rates were slightly higher. If we had raised the NHB fund, it would have probably come down and we would have got the benefit of the lower cost this year.
But having said that, we are hope ful that something will come up in the budget and we are hopeful we'll be able to raise something quickly in this quarter also. So that will again further help us bring down the cost. So right now this is what we expect in terms of our borrowing costs.
Shreepal Doshi : Sir, just one bit on the NHB front, so why did we not go for that raising funds to NHB? Like were we exhausted with our limits or what was the reason? And just one follow -up there. You said that you are expecting in the budget on something on the affo

rdable housing fund side, so
some color if you could give here on this front.
Suresh Iyer: Sure. See, if you see our presentation, we have put one slide on our CLSS scope. And also in that, we have mentioned that throughout the last 6 years, we rai sed about INR 3,783 crores under the Affordable Housing Fund. Under the Affordable Housing Fund, the NHB gives refinance at a very low rates for lending to some specific affordable housing segments. And we are allowed to price around 3.5% to 4% above the r ate at which they lend to us.
Now this particular fund comes through budgetary allocations from the government. And last year, the budgetary allocation was very low because of which normally the NHB would give us a ratio of 50 -50. So 50% we could raise und er the AHF, which would be coming at around 4.5% earlier. And we could also raise the remaining 50% , which would be refinanced from the NHB, at a normal rate, which would be around 8%, 8.25% and thereabouts.
So effectively, we would have got a rate benefit of about 6.5%, which is the NHB funding throughout. But last year, the budgetary allocation, which the NHB got under the AHF was not there. So therefore, the NHB was -- although we got a refinance sanction o f INR1,500 crores from NHB, we chose not to pick up that fund because there was no component of AHF in it. In fact, there was a very, very small component instead of 50 -50, it was 10 -90 or max, max, if we would have negotiated, they would made it 20 -80. So because of that, the blended cost for the refinance last year if we had raised, would have still been higher than the rate at which we are raising from banks or from CP and all.

So therefore, we chose not to pick up those funds and we let the refinance li e. So we have a refinance of INR1,500 crores, which we got sanctioned last year, but we did not pick it up. So that was the main thing. And now this year, if we get the refinance, I mean, the AHF is again NHB, again, we'll get the key funds, which will be -- which will help us give a blended cost, which will be lower than our other borrowing avenues. So that is when we will pick up the funds and we will utilize the sanction that we have. So that is the thing.

Now coming to your second question about the bud get. See, we've had some discussions with the NHB and all. I guess it's also been mentioned in the various press articles that there is a likelihood of a AHF fund again being reintroduced, so that housing finance companies can get cheaper funds. So that al location is something we can expect tomorrow, or we are hopeful that will come tomorrow some announcement. And if all the discussions that have been conducted, if they are fruitful, then we will get something in the coming budget where we can get some -- expect to get some secured funds. And once tha t comes, as I said, we will be drawing this sanction that we have of INR1,500 crores.

Moderator: The next question is from the line of Mr. Rajiv Mehta from YES Securities.

Rajiv Mehta : Sir, my question is on growth and our guidance. So when I look at the A nnual Report also, which was published in July, it is mentioning about reaching INR 41,000 crores loan book by March '25, and that is about 16%, 17% growth on last year's March base. And with this disbursement target of INR 10,500 crores, can we reach this number, or this is more of an aspirational number?

Suresh Iyer: See, we have targeted INR10,500 crores. And if you see our slide where we have given the movement of our book, on an average, in a quarter, we are getting somewhere in the range of about INR 1,250 crores somewhat kind of a repayment plus prepayment everything put together. So going by that, we are expecting somewhere in the range about INR 5,000 crores will come by way of prepayment and repayment.

So if we do about INR10,500 crores, the net ad dition to the book will be abo

ut INR 5,500 crores,

which would be just about a little less than INR 41,000. So yes, to some extent, around INR 200 crores, INR300 crores or something, we can say is what we would want to push. But otherwise, with the INR 10,500 crores, we should get a net of somewhere around INR 5,500 crores. And we were at INR 35,000 crores by March '24, so another INR 5,500 crores would be around INR40,500 crores.

Rajiv Mehta : Got it. And sir, I also see that the portfolio yield has impr oved by 5 basis points on sequential basis. So I believe that the incremental disbursement yield is lower than the portfolio yield. So something has repriced in the back book, so what is this repricing happening and can such repricing benefit still continu e on the back book in the coming quarters?

Suresh Iyer: No, it is not that way. Incremental book, what is happening is the incremental disbursements that we are doing, we are also having loans -- you would see that our growth has mainly been in the INR20 lakh to INR30 lakh and INR30 lakh plus segment, where our pricing is also a little on the finer side. So incremental disbursement yield is lower than the overall book on the overall portfolio. So that is one thing which is there, which we will be offsettin g, obviously, with some

push in the last book, where we only have about 5%. So that is where we are looking at offsetting that slightly and also with a little more increase in terms of our lending to the SENP segment, where again we are charging about 0.5% higher compared to the target segment.

So these are the two things which will slightly offset the lower yield in the overall book. And obviously, if the affordable housing thing comes, and we -- then obviously our below INR 20 lakh segments will also pick up where also the rates are slightly higher compared to what we are offering to the INR 30 lakh plus segment. So that is the major thing. There is no repricing as such left. And otherwise, we have moved to a quarterly reset strategy, whereas in every quar ter, we will be repricing the loan for every customer.

Rajiv Mehta : Okay. Just one last thing. How much of our bank lo ans are linked to repo and EBLR?

Apurav Agarwal : Yes. So it's approximately 40% of the bank borrowings

Rajiv Mehta : Sorry, Apurav, your voice was a bit low. Can you please repeat?

Apurav Agarwal : So around 40% broadly.

Rajiv Mehta : Okay. To repo?

Suresh Iyer: 40% of our borrowing is aimed to the MCLR basis.

Moderator: The next question is from the line of Aditi Loharuka from CD Research .

Suresh Iyer: Aditi, we are not able to hear you.

Aditi Loharuka : Okay. Sir, my question is that why is the company struggling to grow its loan book for salaried

class despite its inherent advantages associated with it?
Suresh Iyer: See, Aditi, last year, we had focused more on internal controls. We had a lot of process changes and all. So our disbursement rates have actually been slightly, in the whole of last year, I mean, barring that we won, we've had a negative growth, which you can see from our presenta tion Slide 20 that Q2 was negative, Q3 was also negative.
But as we are moving forward, this negative has been reducing and one of the reasons why our growth has slightly gone down from the previous rate of about 15% to 17% is because of our lower disburse ments and that is where we are now pushing for disbursements because now all the efforts that we have put for last year in terms of internal controls and all the steps that we have taken have kind of ended and all the processes have stabilized.
So going f orward, we are purely focusing on the business. And this year, our target is for INR10,500 crores, in which case, our growth will end up at around 15% on the AUM compared to Q4 of FY'24.
Aditi Loharuka : Okay. So in particular for salaried class also you'r e aiming for 15%?
Suresh Iyer: Sorry. Can

you be a little louder, please?

Aditi Loharuka : In particular, for salaried class also you are aiming for 15% growth?
Suresh Iyer: Our salaried segment is around 73% of our book. And we -- as I mentioned earlier, are looking at a slightly higher business in the self -employed segment. But having said that also, we probably would be still around 70% plus by the end of this year in salaried segment. And there also, we are not facing any issues. For the last few years, we have been able to manage this 70% -plus salaried segment focus. So that way, we don't see much of a challenge in that segment because there also, we have had quite a stable growth even in the salaried segment.
Aditi Loharuka : But the growth is around 8% from FY'23 to FY'24, we see the growth is around 9%, and in the last quarter or so year -on-year growth is around 8%. So can you just give us some guidance on that.
Suresh Iyer: Yes. So as I said earlier also because of our muted last year where we had a n egative growth in disbursement, the overall growth in the AUM, which normally lags by a little as we progress, has been coming down now. And with growth, which we are expecting to pick up because now July, June has been a good month. July also the beginnin g has been quite good and all the changes that we impacted last year has stabilized. So this year, we expect to have a very, very strong performance in terms of disbursement.
We are projecting INR 10,500 crores disbursement in this year. Q2, we are target ing INR 2,500 crores and then INR 300 crores, INR 350 crores plus every additional every quarter thereafter. So with that kind of growth, we should end around INR 10,500 crores , which will result in about INR 5,500 crores or thereabouts addition to our loa n book, which will be about 15% growth, AUM growth.
Aditi Loharuka : What measures are we talking to increase the disbursement?
Suresh Iyer: See, in terms of the disbursement, we have last year, we had started with a separate marketing team, our sales team, from our staff strength, we have carved out a separate sales team that is actually going to be focusing on direct sourcing. We already have a DSA sourcing, but that DSA sourcing was a very high percentage so about 80%. So along with that we want to streng then a second channel, which is a direct marketing or direct sourcing channel. So that is something which we have also implemented, and now we are strengthening that team.
Therefore, that is something which will add to our business. We have also started la st year digital marketing, which now this quarter, we have this -- the same team will be following up with the leads that we are getting. Our -- the initial leads and all tie -ups that we are beginning to do is also helping us. Last year, we had started on a small basis, the APF marketing also though last year, we did not get much of a success in that.
But this year, we have started the same marketing team is also doing a lot of APF project sourcing. So these are some of the steps that we have taken in term s of pushing the disbursement book. And second, another major thing is also that we had the process changes that disbursements are centralized, and reconciliation was centralized.

So all those things have stabilized and now the branches are very confident and able to face the customer and give us a proper commitment in terms of the handover of the disbursement and everything. And we have also moved from a 2 -tier structure to a 3 -tier structure. So we have

introduced a layer of zonal offices which are handl ing about maybe 1 or 2, 3 states that way, depending on the geography and the number of branches.
So that layer is also adding an extra support in terms of the disbursement, in terms of the sanctioning power because in the zonal offices, we have now posit

ioned senior people who have a higher sanctioning authority. So that way that has been one of the major reasons why we have been able to push a little bit on disbursement and the inquiries because we are able to have -- sanction higher amount from the loca l branches itself. I hope it answers your query.
Moderator: The next question is from the line of Manan Tijoriwala from ICICI Prudential AMC.
Manan Tijoriwala : I have two questions. One was, do we expect some CLSS kind of scheme as we had earlier because I think you mentioned the Affordable Housing Fund. So you think the budget expectations will be restricted to that? And as the disbursement expectation also get revised, does some scheme comes up either Affordable Housing Fund or the CLSS?
Suresh Iyer: See, CLSS is definitely also possible. We did have a discussion quite some time back on the CLSS also with the regulator as well as with the ministry. But the recent discussion subsequent to that was on the AHF. So in fact, both the discussions on both aspects , there has been quite a bit of discussion with the ministry and with the regulator. And come to think of itif you look at the way the government is at it, they announced 3 crores houses to be constructed during the year, 2 crores for rural and 1 crores in the urban, so that will bring in the supply.
The second thing would be the AHF, which we had a recent discussion. So if that comes, that would provide the funds to the lending institutions for onward lend ing to the end customers. So that -- both things are being done, it is quite logical that the government will also come with the CLSS so that there is a spur in demand also. So that would take care of the supply, the demand as well as the funding availability. So I guess, logically speaking, yes, both are possible , the CLSS as well as the AHF. The CLSS was a slightly gated conversation, which we had with the regulator. That is a more recent conversation that we had with the regulator.
Now having said that , our pr esent position of INR10,500 crores is on a regular basis without considering anything, either the AHF or the CLSS. The AHF, obviously, if it comes, will only help us in terms of our funding cost. But the CLSS will definitely give us a push in terms of the business. And if that comes, yes, there's a possibility we can do better than INR10,500 crores as well, also.
Manan Tijoriwala : Understood, sir. Fair enough. Sir, I just had a technical question. On the standard provisions, I saw that it has gone up quarte r-on-quarter. And on the restructured assets, do we expect any more slippages? And what was the number of restructured assets ? It was I think INR520 crore s at the end of March. ?
Suresh Iyer: See, in terms of the restructured book, we had originally INR670 crores, but now that figure has come down to about 5,081 loan accounts, and I'll just give you the number. So in terms of that

itself there is no specific trend or anything that we see in terms of any further pain in the restructured book. It is just savin g just like our normal book is there. So I think restructured book is not any reason for it. It's a normal cyclical reason only for the slight increase in the NPA.
Presently, our portfolio is around -- total NPA and our restructured book, which is about INR106 crores is about 18% of our book. So I guess a reverse calculation. So we have about INR580 crores of restructured portfolio is still in our books approximately. And INR106 crores, which is about 18% is the NPA in that.
Manan Tijoriwala : And any reaso ning for the standard provisioning to go up?
Suresh Iyer: No. I think if you look at the coverage, it was 49%. Now it is 47%. So as such there is no -- it's mainly -- I mean, if you look at the percentage, it is remaining the same.
Manan Tijoriwala : I'm as king on the standard provisioning not the NPA provisioning, tha

t I could make up the coverage. But I think on the standard provisioning, the number has gone up?
Suresh Iyer: Nothing major. I don't think there is anything major. Maybe it is just a calculation. It is just a calculation. So you're talking about this, this INR 172 crores, which is as per the ECL model, it is purely based on the ECL model. So there is no any single thing that we would like to -- nothing special about it.
Moderator: The next question is from the line of Shweta from Elara.
Shweta : Yes. Sir, given that we are expecting positive announcements on the budget front and considering our ticket sizes have gon e up about INR 20 lakhs, so what percentage of our portfolio on the asset side will be positively impacted?
Suresh Iyer: See, if you look at our AUM, , we have about 47% of our portfolio today is below INR20 lakhs. And in terms of incremental disbursement, close to 40% of our incremental disbursements last

year were in the below INR 20 lakh segment. And if you also see a slide on CLSS, the portfolio where the CLSS was offered, the average ticket size is about INR 16.33 lakhs.

So in fact, it is this 40% of t he book where the average ticket size is below INR 20 lakhs. I think that 40% of the book incremental portfolio is where we would expect to get an advantage. But having said that, we are also looking at opening branches this year. We have a target of 15 branches this year and we plan to open all these 15 branches in the Tier 2 towns. So those Tier 2 towns, obviously, will also have a ticket size below INR 20 lakhs or INR 25 lakhs. So there that also going forward will help us in terms of our CLSS benefit th at we can pass on to the customers.

Shweta : Noted, sir. Sir, secondly, you alluded to the fact that incrementally our focus in the recent periods has been on self -employed customer category as well as we've been pushing LAP. Now this is by design or demand because where I'm coming from is, are we seeing competitive intensities flaring up in our home turf markets and in the home loan space, which is wanting us to slightly change our portfolio mix, although Y -o-Y basis, we have not seen significant change, bu t going forward, any change in AUM and portfolio mix because of competitive intensity?

Suresh Iyer: Yes, sure. See Shweta, basically, it is not because of any competitive intensity or anything. Of course, LAP has always been a portfolio where demand has be en high, but we consciously had not offered LAP as a product for our customers. Whatever minimal limited 5% business that we have under LAP was only to existing customers in the past. So basically, what we have done is we have only slightly offered it as a separate dedicated product to our customers. That is why we are saying that this LAP might slightly go from about 5% to about 7% in a year or so.

Second, as regards the self -employed segment , see that demand today is obviously increasing because based on our appraisal standards, we have been giving self -employed we don't have a self-employed product for appraised income or for surrogate income categories, okay? So obviously, that was limiting our scope of funding to this segment.

But going forward, with G ST, with all those UPI payments and everything, the segment of self - employed, which is filing returns, and which is falling within our eligibility norms has also been increasing. So that is why slightly our self -employed segment has also been going up. And to be very frank, we still don't do products, which are under appraised income or surrogate income categories. But now the government is also targeting a dedicated product based on the UPI collections or the collections received under -- through these online channels and all and also GST.

So there is a possibility we may also look at the separate product for this particular segment because there is also a push from

the government and a more acceptability in terms of the refinance and everything. So that is something, which could happen. But as of now it's more because of a conscious call within rather than because of any competitive pressures.

Shweta : Noted, sir. Sir, I'll just squeeze in one more question related to your second point. So you have been guiding INR 30 billion of disbursements for Q2 and Q1, we clocked INR19 billion of disbursement. So I unde rstand you have been mentioning this even in your opening remarks. But is it that Q2 is going to be much stronger this year than past 2 years that we are seeing this sharp jump from INR19 billion to INR30 billion because you mentioned June was very good, much better than March and July has been picking up well. So this INR19 billion to INR30 billion sort of strong traction, what would you allude this to?

Suresh Iyer: No, I mentioned INR 2,500 crores. That is not INR3,000 crores. INR2,500 crores in Q2. And going forward, it will be around INR2,800 crores, INR2,900 crores in Q3 and INR3,200 crores or round about -- thereabout or INR3,300 crores in Q4, that is how we plan to achieve our INR10,500 crores numbers and not INR3,000 crores. So at least in Q2, we are -- from INR1,850 crores, we are moving to INR2,500 crores. And as I said that the INR1,850 crores also is a little subdued because for April and May month, whereas our June definitely gives us the confidence that INR800 crores monthly run rate is definit ely possible, looking at what happened was the number in June and what we are looking at for July as well.

Moderator: The next question is from the line of Pavan Kumar from Ratna Traya Capital.

Pavan Kumar : Suresh, can you please reiterate your growth guidance for this current year? And also, can you comment on what would be the steady -state spreads from here on?

Suresh Iyer: Sorry, can you repeat the second question, please?

Pavan Kumar : Spreads and NIMs in the steady state, what do you expect -- where do you expect them to settle down?
Suresh Iyer: Yes. See, in terms of the growth guidance, we continue to have the same growth guidance for this year that we plan we are targeting INR10,500 crores disbursement, which will give us our net addition around INR5,500 crores to the book. So around INR40,000 crores to -- between INR40,000 crores and INR41,000 crores is what we are targeting as the end portfolio number, which will give us about a 15% AUM growth.
In terms of the spread, we had given a guidance of 2.5 plus, and we continue to hold that even now, although our present number is 2.54%, and maybe 2, 3 bps can further go up from here without the NHB refinance, and with NHB refinance, it could further bring down our borrowing costs. But having said that, our guidance will still be 2.5 spread and 3.5 NIM.
Pavan Kumar : Okay. And can you also just give us an idea of why were the, I mean, GNPA is higher this particular quarter? Was there any specific reason in the system? Or I mean, what it led to -- because t hey are seeing across the board, got minor increases. So what has been the cause of this?
Suresh Iyer: As I mentioned earlier also, there is no particular reason. I mean, any particular geography or any particular trigger for this. It's more of a cyclical thing where post March pressure and all the recovery focus that we bring in was that you have to give a little breather to the customers. And therefore, this is a bit of a cyclical trend that in Q1, it goes up. Q1 FY'24, it went up by about INR31 crores, a nd this quarter, it has gone up by about INR39 crores.
And it is spread across all the geographies, there is no specific trend to it. A little bit here, a little bit there has gone up across. But one thing is that none of the cases are the cases where the re is any stress in terms of the customers or anything wherein there is some reason for an

y default. It is more of an intensified efforts in terms of recovery will definitely bring down like it has normally happened in Q2 onwards.
Pavan Kumar : Okay. And can you just give us the NHB incremental borrowing number that you wish to do in FY'25? And what's the...
Suresh Iyer: I can share what are the rates at which we are borrowing currently. Okay?
Pavan Kumar : Okay. What is the rate?
Suresh Iyer: Borrowings are long -term term loans and all, we are getting at 7.95%. And a recent one, we have just got a sanction at 8%. This is in terms of our 10 -year long -term bank borrowings that we are raising. In terms of the CP, we are now getting at a 7.2% to 7.25% , and in terms of NCD, the last raise was in the month of March, end of March, which we actually picked up on 3rd of April. That was around 8.18%, INR 900 crores.

So since then in Q1, we have not raised any NCD, we have not raised any NHB refinance, but traditionally NHB refinance, if the AHF comes, we expect the funds to come at around 6.75%, but that's, of course, subject to the approval and everything. So I wouldn't want to comment on this thing. Right now, bank borrowing 7.95% to 8%. Banks are also giv ing us the short -term lines of credit, very short term, which would be in the range of around 7.4% to 7.5%.
Moderator: The next question is from the line of Vijay Singh Gour from Sharekhan .
Vijay Singh Gour : Yes. Just could you give us some light on credit cost?
Suresh Iyer: Yes. Vijay, see, right now, since this is a onetime spurt and we believe that the NPAs will not go up fur ther from here, s o we continued -- the major portion of the provisioning that has happened has been already front -ended. So we still believe that around INR 45 crores or thereabouts will be the final or roughly thereabouts would be the final provisioning for the entire year, if the NPAs go down. So having said that , our credit cost would be in the range of about 12 bps.
Modera tor: The next question is from the line of Mohit Jain from Tara Capital.
Mohit Jain : I got disconnected the time when you're discussing about this, so I just wanted to have sir, if my understanding is correct in case of CLSS, the end consumer gets the loan at a very lower rate, and we get correspondingly the interest subsidy from the government. How is this Affordable Home scheme is going to work? Are we going to get the same kind of a differential or is it going to be different from CLSS?
Suresh Iyer: No, no. CLSS is different. See, in case of CLSS, like I mentioned, our portfolio, we have done about INR6,000 odd crores of this thing -- funding we have done under CLSS. And against that we have got total CLSS subsidy claim of about INR975 crores, okay? So wh at happens is, in case of CLSS, we give loans to our customers like a normal eligibility like a normal loan we give to a customer.
There is no difference in terms of the rate of interest or the product or anything. If the customer qualifies under the crit eria for CLSS, that is mainly in terms of the first -time homeowner separate

family unit, typical size of the unit size, the family income benchmark and all those things. If all these studies are complied, then we have to submit a claim to the nodal agency which, in our case, will be NHB.
And from there, through the government, the subsidy is released. Now suppose as per our calculation, the average ticket size of the CLSS of the loan given to a CLSS customer was INR16.33 lakhs and the average was INR2.41 la kh was the average subsidy. So if we have given INR16.33 lakhs loan to the customer, then when the subsidy of INR2.41 lakh comes, then we have to directly credit to the customer's principle and the principle of the loan comes down. So INR16.33 lakhs will come down by INR2.41 lakh and it will be somewhere in the range of about INR12-point -something lakhs.So the customer's ra

te of interest will remain the same.
Customer's everything will remain the same except that the loan will come down and the immediate b enefit will have to be that the EMI of the customer will have to come down.

So say, for example, a customer's income was INR40,000, we have given them a INR16.33 lakh loan, and his EMI was coming to say INR17,000. The moment this INR2.41 lakh is credited, his EMI will come from INR17,000 to around INR14,800 or something. That is how it works, okay? So in terms of the CLSS, there is no interest rate benefit that we get, except only the customer, he gets the benefit in terms of the sub sidy, which is translated in terms of a lower EMI and a lower loan outstanding , whereas the AHF is a little different. AHF is a funding, which is given to the lending institutions at a lower rate of interest for onward lending to customers. So under the AH F, earlier we used to get at a rate of 4.5% or 5% from the government -- from the NHB. And it was coupled with 50% AHF and 50% regular finance, so our blended cost used to be around 6.75% or 6.5% actually.
Whereas now the last discussion that we had, the g overnment will pass on some budgetary allocation to the National Housing Bank for onward lending to institutions like us where we will borrow at 6.75% and we can lend up to a rate of 11.25% with a spread of 4.5%. Earlier, the spread cap was 4% and now the spread cap has been increased and proposed to be increased to 4.5% as per the discussion that we had.
So what it does is it gives us -- first of all, an additional avenue for raising funding. And two, it is a lower cost fund for us, which is lower than t he rate at which we normally borrow from the other institutions. So these are the benefits in terms of the AHF. They are completely two different products. The CLSS first demands , the AHF provides capital funding to the lending institutions. One is for demand; the other is for providing the funds.
Mohit Jain : Understood. And sir, any rough idea you have regarding the size, which government can allocate for this AHF?
Suresh Iyer: No, I don't have anything on that. But we are hopeful that I mean, we are praying that it will be a good handsome amount. That's it, nothing beyond that. But it looks from the government side that the government is very, very keen to push the affordable housing, so we are hopeful that it should be some positive number.
Mohit Jai n: Okay. And just final to conclude. So you believe it's likely that the push from the AHF side is going to be higher as compared to the CLSS push? Or it's going to be a combination of the two, which one is more likely?
Suresh Iyer: It is preferred to be a combination of both. And as I said, for the supply, the government has done something. So from the demand is the second and the third is the availability of funds. So the CLSS and AHF can provide that gap in terms of the spur on dem and and the availability of funds. So if both come that will be an absolute cracker of a decision.
Moderator: The next question is from the line of Gaurav Jani from Prabhudas Lilladher.
Gaurav Jani : Sir, hopping a bit on the CLSS, right? So I assume last y ear, the disbursals were 0 because the scheme was not continued. We see it as INR1,901 crores for FY'23, but it was 0, right, for '24?
Suresh Iyer: Sorry, I was -- you were a little muffled. Can you be a little clearer, please?

Gaurav Jani : Yes, I'll just switch to the handset system. Sir, what I was asking you is last year, the CLSS -- FY'23, the CLSS disbursals are mentioned at INR1,901 crores in the PPT. Last year, it would be 0, right, because the scheme was not continued?
Suresh Iyer: No, it is in FY'22-'23. We have not given last year because last year, you are right, there was no -- if you see the graph the year is '22 -'23.
Gaura

v Jani : Correct. Because last year would be zero, right? Just want to clari fy that.
Suresh Iyer: Yes, last year was zero because the scheme itself was not there.
Gaurav Jani : Understood. And hence, sir, on a stock basis, right, so what will be the CLSS -linked AUM?
Suresh Iyer: CLSS, we have about 40,000 customers. I will have to check what is the outstanding balance because some of the loans would have got closed and there would be a closing -- this repayments also. And the figure that we have given is INR6,572 crores is...
Gaur av Jani : Got sanctioned. So it'll be lower than that, right?
Suresh Iyer: It will be much lower because INR974 crores was straight reduced from that the moment we got the credit and passed it on to the customer. But over and above the INR974 crores also, t here will be some prepayments. I guess, probably it would be not more than about INR5,000 crores, but I'll still come back to you with the correct figure because it's just offhand return. I'll come back to you, Gaurav.
Gaurav Jani : Okay, sure. And sir, jus t to clarify, how do we define affordable is basically ticket size below INR20 lakhs, right?
Suresh Iyer: No. Actually, there were multiple criteria for defining our eligibility under CLSS. One was the income segment was one, wherein for EWS, it was a diff erent segment. For LIG, the income was up to INR6 lakh family monthly annual family income was up to INR6 lakh was LIG. MIG, there were MIG -1 and MIG -2, which was INR6 lakh to INR12 lakh was MIG -1 and INR12 lakh to INR18 lakh was MIG -2. So one of the crite ria is family income. The second criteria was the size of the unit, which was 60 square meters. The third criteria was it was only for urban cities. So initially, about 4,041 towns were identified. Subsequently, it was increased to around 17,000 towns tota lly. And the fourth criteria, of course, it has to be the first dwelling unit of the family. So these were, I think, some of the criteria. I might have missed 1 or 2. So these are the broad criteria. This year, therefore, if you look at it, roughly, it com es to INR25 lakhs in other areas and metros, it was INR35 lakhs. That was also the limit in terms of the loan amount. So this year also, we expect that probably the limit will remain the same of INR25 lakhs.
Gaurav Jani : Okay. And sir, this INR25 lakhs and INR35 lakhs will be standard across companies? Or it will differ?
Suresh Iyer: No, it is across companies, but it is linked to the city. So if it is a metro, then the ticket size can be up to INR35 lakhs. If it is other than the metro, it is INR25 lakhs.

Gaurav Jani : Sure. Understood. This helps, sir. Just last question, sir, just to clarify, full year basis, we did about a 3.6% margin in FY'24. Assuming you said that spreads would sort of be stable from here. So safe to assume on an average basis, we are looking at 3.5% for FY '25?
Suresh Iyer: You're talking about NIM, right, NIM of 3.5%, yes. And spread of 2.5%. Our spread last year was 2. 66% ending, and this quarter, it is 2.54%, but our guidance was 2.5% plus, and we continue to hold the same. 2.5% spread for the year and 3.5% NIM for the year.
Moderator: The next question is from the line of Anusha Raheja from Dalal & Broacha.
Anusha Rah eja: Sir, on the affordable loans, what is our share as a percentage of total outstanding loan?
Suresh Iyer: Our outstanding portfolio, as I mentioned earlier, we have about 47% of our outstanding portfolio in the ticket size of below INR20 lakhs. I don't have the breakup of INR20 lakhs to INR25 lakhs. I'm giving up to INR20 lakhs. About 47% of our outstanding book. And incrementally, last year, we did about 39% of our incremental disbursementsI stand corrected. 34% of the incremental disbursements were in the below INR20 lakh segment. I stand corrected, I'm sorry. And the outstanding portfolio is 45% of the

outside book is in the below INR20 lakh
segment and 34% in terms of the incremental disbursements is in the below INR20 lakh segment.
Anusha Raheja : Okay. And sir, in terms of spreads?
Suresh Iyer: In terms of spreads? Hello? Anusha , we lost you. Can you please repeat your question ?
Anusha Raheja : And sir, in terms of the spreads, we had 2.67% in FY'24, and you're talking about 2.5% for FY'25, right? So y ou said that you will be having higher NHB drawdowns in this fiscal. So despite that we will see spreads falling down by around 10 to 20 basis points. So what will cause the fall?
Suresh Iyer: No, I'm not saying that our spreads will come down. In fact, last year also, our guidance was 2.5%, but our endeavour , obviously, is to churn our portfolio, our borrowings and also avail the best possible rates. So our endeavour is always to keep it better than guided kind of spread as well as NIM; however, as a conservative thing, we have mentioned that it will be 2.5%, but obviously, we expect it to be a little better than that.
Even as we speak in Q1, it is 2.54%, and we have already repriced some of ou r commercial paper and everything in the month of June, where we expect to get a benefit of about 30 to 40 bps on that portfolio of about INR2,200 crores of CPs. So I mean 2.5% is a conservative guidance, which we definitely will achieve, but our endeavour will be to do better than that. I'm not saying it will come down to 2.5%.

Anusha Raheja : And lastly, sir, on this housing fund, which we're anticipating tomorrow in the budget. So that will be only for the affordable or for other housing loans as well?
Suresh Iyer: This is kind of keen to push only affordable housing. So I guess in terms of the shortage also, the shortage of housing is mostly in the segment of EWS and LIG only. So therefore, I expect that the government will probably announce only for the affordable segment.

Moderator: The next question is from the line of Shubranshu Mishra from Phillip Capital.
Shubranshu Mishra : Two questions. The first one is on our sourcing. If I do a reverse calculation of our expected disbursements, which is roughly a round INR2,500 crores in second quarter and with the average ticket size, we're doing close to 10,000 loan account disbursements in a quarter, of which roughly around 80% or 8,000 is from the active DSA. So again, when I do it on a per month basis, one DSA is doing close to two loans per month.
And as per our discussions, I think there is one marketing guy in almost every plant. So ballpark each guy , each internal employee loan close to three loans per month. So this boils down to maybe 0.5 or maybe 1 loan per week, also is that supposed to increase this productivity to maybe 2 loans per week, which should itself give us a big runway for growth? That's the first question for both DSAs as well as our own employees.
The second is on CLSS. Of course, we ha ve discussed quite a bit on the CLSS, but like you rightly pointed out this, a problem will be supply itself because CLSS got knocked off some time back. And the supply itself would take some time to fructify it before we actually see the disbursements tak ing off because the developers themselves will have to align to the new CLSS scheme or whatever it is called. And then the supply will come in and then we'll see the fructification in terms of disbursements. Is that a fair assessment on both?
Suresh Iyer: Yes. I'll just answer one by one. See, in terms of the sourcing, your calculation is absolutely right that we have about rather we've also given the breakup of -- who is the top 20 DSAs or how much they are doing. So that definitely there is always long ta il kind of a thing where you have some DSAs who are top 20% doing 80% of the business and the usual trend that continues. There is a possibility to increase the number of cases sold through

the DSA and also from our
individual staff as well.
See, even oth erwise speaking, if you look at our productivity, we have about 800, 850 people on ground at the branches who are sourcing -- who are attending to customers and doing business. So on an average, about 4,000 plus loans that are done, we are having a product ivity of about 5 cases per staff half per month, which is, I would say, probably the highest in terms of the productivity among the affordable housing finance companies or midsized housing finance companies.
So in terms of productivity, there is obviously on a simple math basis, it is definitely possible, but then also we have to look at the back office, the hygiene part of it, the verifications and all those kind of things, physical property visits, customer residence verification. So there are certain iss ues because of which there is always or there is also a slight bit of constraint in terms of the manpower that we can deploy at branches. But having said that, that 5 cases per staff per month also, we are among the highest in terms of probably the highes t in terms of the productivity of staff? So but there is obviously a scope for improvement, which I do take as a point, is definitely possible.
The second, as regards the CLSS, you are bang on , that in terms of construction and mass housing, it will take time. Because the developers will have to align themselves, will have to

start launching new projects and doing it. However, having said that, today, 60% plus of our business is self -construction, wherein individuals actually do their own construction and can do it.
So that definitely can kick start even now as soon as the CLSS is announced, and people who have got plots of land or people who are buying individual plotted land and everything, can definitely start the construction and some benefit can defin itely start accruing immediately also an announcement, but you are and that a mass -based or mass scale construction activity following the CLSS announcement will take about 6 months' time to be grounded.
Shubranshu Mishra : Just one follow -up question on th e construction part. So given the fact that you agree that the construction will take some bit of time for the alignment of the developers. In that case, the fructification of disbursement for this new affordable housing fund would be really marginal to

this disbursement that we are really calling out, which is INR10,500 crores. It would be really marginal if we are only going to rely on the self -construction part of CLSS because we don't get a huge numbers in that case.
Suresh Iyer: I agree. Because this INR10,500 crores is even before we had any discussions on the CLSS or any indication from the government on the CLSS. So this INR10,500 crores disbursement number is excluding the CLSS. And even if as we discuss, it comes on a mass scale basis with a 6-months lag, probably the benefits will be more visible in the next year only. So this INR10,500 crores, we have also considered excluding the CLSS benefit. But yes, it can help a little bit.
Shubranshu Mishra : Sure. And this would also extend to the entire affordable housing industry, that the fructification of the impact on disbursements would take close to a year, right?
Suresh Iyer: Kind of. Because actually last time also, initially, when the government had started CLSS, most housing finance companies we re availing the credit or putting up for the CLSS benefit subsidy only after the full disbursement. But subsequently, the government enabled its platform to also take part disbursements. So if it's a self -construction or a stage based construction, then al so on a per disbursement, we will be able to take the benefit this year also. So it will be gradual, but yes, it can start initially also based on the stage of construction.
Moderator: The next question is from the

line of Abhijit Tibrewal from Motilal Osw al.
Abhijit Tibrewal : Sir, just 2 clarifications. One is, you spoke about a INR1,500 crores line from NHB, which we had not availed because the AHF component was much smaller. So just wanted to understand, typically, July to June is the cycle, right, for N HB?
Suresh Iyer: Correct.
Abhijit Tibrewal : So this sanction that we are speaking about, was it for last year? Or is it for this year?
Suresh Iyer: Yes, Abhijit, a very valid point. See the sanction we had already raised last year itself, but we did not avail it because last year the breakup between AHF , because there was no AHF or a very,

very, very, very miniscule AHF funding with account, which NHB had. So therefore, the ratio was not favourable , so we did not avail it, but this INR1,500 crores was for last year. This year, probably the sanction could be a little higher also because once we have notnot availed this sanction. Plus in the due course, we have also repaid some NHB, which is as per the normal repayment schedule, so the scope to in fact go for a higher sanction is also possible. But of course, this INR1,500 crores is based for the period from July '23 to June '24 sancti ons.
Abhijit Tibrewal : Got it. So essentially, sir, now we'll have to apply for a fresh line of sanction?
Suresh Iyer: We may have to apply for it. Yes, it depends. We have not actually received any indication that they have already cancelled that sanction , but in all likelihood, yes, we may have to have some paperwork for that, yes.
Abhijit Tibrewal : Got it. And sir, the second question I wanted to ask you is, I mean, given that you highlighted AP and Telangana actually impacted our disbursements. So when you look at Y -o-Y in 1Q, I mean, how much was AP and Telangana down?
Suresh Iyer: The AP and Telangana both put together were has been in fact a much, much higher impact in Telangana as compared to AP. AP was about 15% down whereas Telangana was much high er because last year, Telangana, in fact, also constituted a very high percentage of our disbursement. It was about 25% to 27% of our Q1 FY'24 disbursement was from Telangana. It was actually a very fast thing because demand last year was very, very posit ive over there. And this year, in fact, it has been affected, so it is almost 40% negative in terms of Telangana alone. In spite of all other states being positive, Telangana has been affected because of this and it has pulled down our overall performance, yes.
Abhijit Tibrewal : Got it, sir. Sir, I mean, when you kind of speak to your ground staff in AP and Telangana, are they saying that this is something that they're seeing for all the other peers as well, everyone is getting impacted in AP and Telangana?
Suresh Iyer: See, in fact, I myself, not fully convinced that it is only because of this one reason. So we will be doing a little deep dive on this aspect, to be very frank. Although it could be definitely there because there was some ambiguity and then t here has been a government change. So I definitely would like to have a deep dive before I can convincingly give you an answer. But I do believe there has been some impact because of this.
Abhijit Tibrewal : Got it, sir. And just one last follow -up question here, sir, on the same topic. I mean, having seen April, May, June, July as well. I mean, are these 2 markets picking up? Or are they where they were in the month of May and June?
Suresh Iyer: One thing, in fact, even in Telangana and Andhra Pradesh, in f act, across the board May has been better than April, June has been better than May, across the board, including Andhra Pradesh and Telangana in terms of disbursements.

Moderator: The last question for today is from the line of Jigar Jani from B&K Securiti es.

Jigar Jani : Could you share

the disbursement number for the month of June?
Suresh Iyer: In June, it was close to INR800 crores.
Jigar Jani : Okay. And sir, any further slippages you envisage from the restructured book? I know 18% of GNPA, on a restructured book of INR580 crores , do you envisage any further slippages or most of it is done now?
Suresh Iyer: It will be the normal course of some account going here and there, but we don't expect much to the restructured book to impact our NPAs much going forward also. I guess, in fact, we may not even start sharing the separate numbers going forward because now it's almost like more than 9 months have passed since the last restructured portfolio has also come out of restructuring.
So, there is hardly anything now that can further come as a surprise or anything. It has become a normal part of the pool; normal recovery is going on. So , it's just that we have disclosed.
Probably one more quarter we may show it separately. So that one full year pass es from the time it has actually closed. Otherwise, we see not much of an impact because of the restructured book.
Jigar Jani : And how much of this INR580 crores could be in Stage 2 or it is entirely classified in Stage 2, even if it is not like behavioura lly in Stage 2.
Suresh Iyer: See, whatever has moved to NPA goes into Stage 3, otherwise everything else, even if it is a regular account or SMA -0 account, it's classified as Stage 2 only for classification purposes .
Jigar Jani : Understood. And just last question...
Suresh Iyer: Stage 2 or Stage 3.
Jigar Jani : Okay. But generally, it might be a Stage 0 account or Stage 1 account basically, definitely, right?
Suresh Iyer: Even though it is a Stage 1 that is from the restructured pool, we continue to show it as a Stage 2 only in terms of provisioning.
Jigar Jani : And sir, lastly, on the cost -to-income ratio guidance. I think last quarter you were guiding for 18% for FY'25, given we have branch expansion and the IT expense that we are going to incur this year, would we still hold to that guidance for FY'25?
Suresh Iyer: Yes, we will still hold on to the 18% guidance, but it all depends on when our actual costs pick in, in terms of our second phase of our IT upgradation. Because for Phase 1 of our IT upgradation, we have approximately about INR3 crores increasing every qua rter. That has already kicked in from Q4 of last year. From January onwards, our monthly rental cost for all the enhanced version of our CBS has already gone up, and that is already factored into our Q4 of last year and Q1 of this year.
But the further jum p, which we are envisaging from when our second phase of IT upgradation happens, that's it all depends on when it happens. So if it is a little front -ended in this year in the third or fourth quarter, then it will go up. So keeping that in mind, we have gu ided for 18%. If that doesn't happen, probably it could be a little lower at around 16%, 17% also.

Moderator: Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to the management for closing comments. O ver to you, sir.
Suresh Iyer: Thank you. Thank you very much. I thank all of you for joining this earnings call for Q1 FY'25 results. And for all the detailed questions and analysis, thank you very much. In case there are any further questions, you are mos t welcome to get in touch offline as well. Thank you. And thank you to Investec also. Nidhesh, thank you.
Moderator: Sure, sir. On behalf of Investec Capital Services, that concludes this conference. Thank you for joining us, and you may now disconnect you r lines.

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Call: Oct 2024

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NSE Symbol: CANFINHOME BSE Limited
Corporate Relationship Department
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Mumbai – 400 001

BSE Scrip Code: 511196

Dear Sir /Madam

Sub: Transcript of Q2 FY25 Earnings Conference Call
Ref: 1.Our letter CFHRO SE CS LODR 262/2024 dated October 23, 2024 .
2.Regulation 30 of the SEBI (Listing Obligations and Disclosure Re quirements)
Regulations, 2015

In continuation to above referred letter, please find attached the Transcript of Q2 FY25 Earnings Conference Call held on, October 23, 2024 .

The aforesaid Transcript is also available on the websit e of the Company
https://www.canfinhomes.com/pages/analystmeet

This is for your kind information and records.

Thanking you,

Yours faithfully,
For Can Fin Homes Limited

Nilesh Jain
DGM & Company Secretary

Encl: As above.

“Can Fin Homes Limited Q2 FY-25 Earnings
Conference Call”

October 23, 2024

MANAGEMENT : MR. SURESH IYER – MANAGING DIRECTOR & CEO ,
CAN FIN HOMES LIMITED
MR. VIKRAM SAHA – DEPUTY MANAGING DIRECTOR ,
CAN FIN HOMES LIMITED
MR. APUR AV AGARWAL – CFO , CAN FIN HOMES
LIMITED
MR. PRAKASH SHANBHOGUE – GENERAL MANAGER ,
CAN FIN HOMES LIMITED
MR. PRASHANT H JOISHY – DY. GENERAL MANAGER
CAN FIN HOMES LIMITED
MODERATOR : MR. NIDHESH JAIN – INVESTEC CAPITAL SERVICES

Moderator : Ladies and gentlemen good day and welcome to Can Fin Homes Q2 FY25 Earnings Conference Call.
As a reminder all participant s' lines will be in the liste n-only mode and t here will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Nidhesh Jain from Invest ec Capital Services. Thank you and over to you sir.
Nidhesh Jain : Thank you , Seeta. Good afternoon , everyone. Welcom e to the Quarter 2 FY25 earnings conference call of Can Fin Homes Limited.
To discuss the "Financial Performance " of Can Fin Homes and to address your queries , we have with us Mr. Suresh Iyer – MD and CEO , Mr. Vikram Saha – Deputy MD, Mr. Apurav Agarwal – CFO , Mr. Prakash Shanbhogue – General Manager and Mr. Prashant h Joishy from Can Fin Homes Limited.
I would now like to hand over the call to Mr. Iyer for his "Opening Comments ". Over to you sir.
Suresh Iyer : Thank you , Nidhesh. Good afternoon to everyone and thank you for taking the time out to join the call. I would just touch upon a few important aspects regarding the performance of this quarter and then we can open it for queries.
The first thing is in terms of disbursem ent, we have had a good quarter. There's been a good satisfactory improvement in terms of the disbursement growth over Q1. In terms of compared to Q1, there's a growth of 28% and compared to Q2 of last year there's a 18% growth in the disbursements . In san ctions also we have seen a good growth.
Last quarter we had indicated that there are two particular states , that is Telangana and A ndhra Pradesh where we have had a negative growth, or the growth has not been up to the mark. So , from those two states also in this quarter we have had Andhra Pradesh which has turned around and it is in the green in this quarter. So, only Telangana , we are having a bit of a problem, and we are going a little slow because of the same issues of registration and there are some in cidents regarding demolitions and all of unauthorized properties because of which the sentiment is a little low.
Other than that , in terms of the AUM growth , we have had an improvement compared to Q1 where we ended up 9% AUM growth , we have improved it to 10%. Going forward we expect that by the end of the third quarter this AUM growth should be in between 11% to 12% and then going forward by end of fourth qua rter it should be around 13 %-14% or we will try to at least cross that.

In terms of the spreads and NIM s, we have had a very stable quarter. Our cost or yield has remained stable at 10.1 2% and in terms of our cost of borrowing as indicated in the last quar ter, we were expecting a one or two basis points improvement which we have witnessed. So, therefore , the spread has improved by 2 bps and NIM also has improved . In terms of the credit cost, of course we have had a reduction in our absolute value of NPA bec ause of which our Stage -3 provisioning has come down. There is a marginal increase in our Stage -2 provisioning. We are working on that. That is one area where we need to work or deliver in the Q3. But however , we are sticking to the same guidance in terms of 10 to 12 bps in terms of our credit cost. OPEX has been a slight increase. Mainly there is one aspect is of course a cyclical aspect where in the second quarter we announced the promotions and increments and all but over and above that in this quarter we have had a slight aspect in respect of actuarial valuation wherein because of a discounting rate we have had about 3 crores of higher cost coming in and as we had indicated in the last qu

arter also that we are stressing on the SARFAESI actions. So , becau se of that there's approximately Rs. 1 crore of expenses which have gone up because of our legal expenses for SARFAESI and all and also there is a small increase because of our communications because we have set up a marketing team. We have also activated our social media advertising and everything. So , there's been a small about 80 -90 lakhs increase because of our communication cost as well. So , these are the major highlights in terms of the performance. I t hink along with each of these aspects , I have also guided as regards what we are looking for in the coming quarters.

In terms of the spread , we don't expect any deterioration going forward also because in terms of our sanctions we still hold a good amount of sanctions which are at very competitive rates. Another aspect which has recently happened is that we have also got a sanction from NHB for a refinance sanction which will be at a cost lower than what we are borrowing from banks and NCD and everything. So, that also should help us in the third quarter and so we don't expect any deterioration in the spread and we continue to have the same guidance of (+2.5%) spread and (+3.5%) NIM . So, that's in a nutshell the performance of the quarter and the guidance f or th e next quarters.

I thank you once again and I leave it open to the floor for queries.

Moderator: Thank you so much sir. Ladies and gentlemen , we will now begin with the question -and-answer session. We have the first question from the line of Mr. Rajeev Mehta.

Rajeev Mehta: My first question is on the increase seen in SMA -0 and one particularly in Q2. So, Q1 was understandable but Q2 we have seen even higher increase in S MA-0 and 1. It also indicates collection drop at the first place. So, just wanted to understand why it happened and is it also in some way linked to , I mean were these accounts more on the side of self-employed home loan or LAP ? And if you can comment about the reve rsibility of this increase in the coming quarters.

Suresh Iyer : This increase in SMA -0 has been not much , however , SMA -0 is mainly on account of a small regulatory change where we had this tendency of customers paying some small amounts in advance and use d to be up to one EMI as advance because of the payments which were received from the customer. So , some one or two small blips like one check bounce and we have to redeposit or something of that sort. Those kind of customers would generally the amount would get covered from the advance. So , there was always that impact. But one of the recent circulars said that any excess amount has to be credited to the principal. So , to that extent that small flexibility has gone. But that is more of a cyclical thing because what we are seeing is that when the next NACH hits that whatever Rs. 50-100-200 small amounts get adjusted, and they are cleared. So, SMA -0 is not a problem. SMA -1 yes, there has been a slight increase as I indicated. In fact , what we have observed is that our S ENP we have had a slight improvement. The improvement that has come in our NPA also is a lso mainly in respect of the S ENP category where we have seen. So , there is no that kind of concern that we see in terms of a segmental issue which can affect our collections. But yes , about 102 crores approximately increase in our SMA -1 plus SMA -2 which i s what we need to work on in this quarter. So , this third quarter we will definitely be focusing on bringing this down. But we don't see a problem in this sense as I indicated because we it's more of little extra effort we will have to put it. That's fine.

Rajeev Mehta: And also , what explained that were able to hold on the portfolio yield. So , firstly if we can give out incremental lending rates in salaried home loan , self-employed home loans and L

AP on a blended basis. What is the incremental lending rate here? And is there any other factor besides the product mix which is supporting yield as well on the portfolio basis?

Suresh Iyer : See in terms of our product wise pricing and all , there has been n o change in Q2 over Q1. So , the main reason for this yield holding up is only because there’s been a slight improvement in our as we had already indicated that there's a scope for us to improve a little bit of our SENP a nd also there is a little bit of a s cope to improve on our LAP, although LAP has not been increased much , it's a very marginal thing. But our SENP, which used to be around 28% now we are having about somewhere in the range of 35% to 38% is the incremental SENP category lending that is

happen ing. So, to that extent our half a percentage extra that we used to charge for the S ENP over salaried segment that is helping us in holding up our yield.
Rajeev Mehta: Lastly if you can just tell us the mix of bank loans in terms of the benchmarking MCLR , repo and the other shorter end benchmarks , the composition of bank loans .
Suresh Iyer : Last quarter we had a 40 -40 breakup of bank term loans linked to repo and MCLR. We have had some MCLR linked loans. We have either repri ce or we have repaid and that is why now and move d to repo linked loans. So , we have about 45% of our bank term loans which are linked to repo, 35% linked to MCLR and the balance we have T-bills and all those things. So, basically only 30 that MCLR linked lo ans are now reduced from 40% to 35%.

Rajeev Mehta: Would we be allowed to use the N HB sanction in repaying the M CLR linked bank loans? I mean is that allowed, or it has to be only used for refinancing of the asset? Can we have that arbitrage in our favor when the money comes ?
Suresh Iyer : It is for incremental creation of portfolio , that has to be there for incremental portfolio that we will be assigning and creating.
Rajeev Mehta: Not on the existing MCLR loans?
Suresh Iyer : No. We will be able to use some other , that flexibility is there to use because we have another 2,000 crore s sanctions. So, that increases our sanctions on hand. So, that definitely it will help us to free up some more thing which we can use to repay the M CLR linked high-cost loans.
Moderator: We have the next question from Mr. Shreepal Doshi from Equirus .
Shreepal Doshi: My question was on pricing and margins. So , it's given the portfolio mix marginally shifting towards better yielding and also there might be some possibility of p ortfolio repri cing. So , do you believe that we can actually do a better margin this year than last year?
Suresh Iyer : In terms of the pricing going forward yes , we will have a little better yielding portfolio which will get created. So, that is there. But we will have to see how we are able to reprice. In fact , it is more likely that we will be able to benefit from the repricing of the liability side rather than from the asset side. That is more likely possible. As I just mentioned to the earlier question also , that our MCLR linked loans and some of our high cost linked, now that we have a higher sanction on hand , we will be able to maybe reprice or repay some of our high-cost borrowings and MCLR linked loans. And going forward when the rates start coming down yes that will benefit us. So , on the yield side not as much as from the liability side.
Shreepal Doshi: And the second just on this SMA -1 and 2 pool. So, as you highlighted that it is not much of a concern but because typically what we see that from 1Q and 2Q the seasonality sort of moderates and collections start to improve. But despite that this quarter has also not seen that. So , what are the aspects that you are seeing which is giving you comfort that in 3Q we will be able t o sort of recover th ese accounts.
Suresh

Iyer : As I said this slight change in this guideline where we are not able to keep an advance around that is in fact giving us a slight flexibi lity that we had , has gone. So , therefore the flowback is also if it happens, we are not able to come back. And some customers always have that seasonality or some delays they keep making and collection has to be a little more extensive for some of the seg ments and small pockets. So, those are the ones where we are having it. But we will be deploying more people, and we will be taking some more things. In fact, we have already started taking certain actions for those kind of things. So , I think it should not be. My comfort comes from the fact that from two points actually , as to why we believe that our NPA and gross NPA o ur collections will improve. One is that in terms of our restructured portfolio , our

collections have come down considerably and our NPA has also reduced, which was in Q1 at 18% of the outstanding restructured book has come down to 17 point something percent in the restructured book. So, that is one thing. The second thing is in terms of as I mentioned earlier also our collections or our reduction which has come in our portfolio that is coming more from the S ENP segment, which is generally considered to be a little more sticky. So , these are the t wo aspects why we believe that it should not have an impact. And to some extent yes , the collection efforts that we are putting will also bring in some support. So, that's basically the three reasons why I believe they are confident that this would not hav e a problem.
Moderator: We have next question from Mr. Abhijit Tibrewal from Motilal Oswal.
Abhijit Tibrewal: Just 2-3 things first. First, just trying to understand while this has been a good quarter , I'm just trying to understand how should we look at the industry in general? Why I ask this is today if you look at the small ticket size or what we call as the affordable housing segment where we are seeing growth sustained. But if on the other side we look at some of the large HFCs who are

slightly higher ticket sizes , there is indeed tightness in terms of growth. So , if you could just explain this dichotomy which is there from an industry per spective and then a related question that while for the full year FY25 you guided for 13 %-14% kind of a loan growth , how is it going to translate into disbursement momentum for the next two quarters and then will we be running for higher loan growth from n ext year onwards?

Abhijit Tibrewal: First of all , as to your first question regarding the segment that affordable housing companies are doing better, and higher ticket loan companies are having an issue. Actually , if you look at our quarterly performance , in fact that same trend which we had in the first quarter is continuing wherein our (+20) lakh segment is where we are seeing the growth. And even if you look at the simple fact that the cost of construction also today even in the smaller Tier II towns , the property values are not anywhere below 25 lakhs. So, an affordable segment it's a different segment that you have a segment of unbanked or maybe all those kinds of appraised income where formal income segment is not there and all. But in our case in fact, it is a (+20) lakh segment where we are seeing the growth. So , I don't see any issue in that and as I also mentioned in the first part itself in the opening remarks , that our growth is in fact we have witnessed across geographies except for the state of Telangana. So, even Andhra Pradesh we have seen the same trend that across the board we are seeing the growth has come from the (+20) lakh segment. Maybe it could be some other reason, and we don't see that kind of a thing. Even in terms of sanctions if you see, our growth has been very strong in the Q2 compared to Q1. That's the

reason we believe that there is a good amount of scope, and we don't expect the thing to come down. That is the first part. And in terms of your guidance that we are talking about 13% to 14%. See normally first half it's 45% and second half we witness normally 55% of the disbursements happening. That's the general trend. The second half is always better. Now if you go by that we have already done about 4 ,500 crores close to that we have done in the first half. Going by that argument another 5,500 is anyway is what it should happen even if you go by the past cyclical trend. That plus whatever extra push that we ar e making is what we believe will bring us to something more

than 10 ,000 crores by the end of the year which is what should get us the 13 %-14% kind of a growth. I hope I have answered your question, Abhijit?

Abhijit Tibrewal: Yes, sir you answered. So , when you are expecting a similar growth trajectory the next over the medium term , beyond FY25 as well ?

Suresh Iyer : Beyond ‘25 also I believe this trend should continue because we are putting in place a lot of things like one is we are broad ening the geographi cal presence. In last year also we opened branches mostly towards the north and west. This year also we are doing it. So, basically , one step we are taking is we are broad basing geographical presence. The second thing we are doing is we have opened up the segments like as I mentioned this S ENP slightly improving. We are also open to a little bit more of LAP although which is right now only about 5% and this quarter has not seen much. Plus, as I mentioned we have initiated the activities for marketing. We have also set up a small marketing team and all. So, going forward all those things should translate into better business and a more sustainable business going forward beyond FY25 also.

Abhij it Tibrewal: The second question I had was I mean again on asset quality lot of discussion has already happened on SMA -1 and SMA -2. But my question was more generic given that in the last maybe one or two quarters , there are banks there are NBFC w ho starte d talking about more of a broad - based kind of stress that we are seeing in both in retail and SME. However, having said that we are not talking about that stress in the housing segment or the m ortgage segment today. So, just trying to understand , are there any indicators which would suggest that some of the stress which is there in unsecured today can spill over to the secured segments as well like mortgages ?

Suresh Iyer : In terms of the unsecured segment obviously there has also been some regulatory tightening and that also would obviously have impacted the repayments and everything because a lot of it is more one loan len d tends to other which is exactly what the RBI pointed out . In terms of a housing loan, however, that particular tendenc y is not there. So , I believe you cannot compare the unsecured loan vis-à-vis the housing loan and particularly when you are talking about a self-occupied residential house that we are talking about , unlike the personal loans and short -term loans which are more for consumption or for investment or speculation or whatever. So , these are two completely different segments. So , housing loan should traditionally also reflect a better repayment compared to the personal loan and short -term loans. And that is preci sely what since our self-occupied residential is what we are mainly focusing on therefore that is something which is not yet reflected.

Abhijit Tibrewal: And then my last question was wh ile you've already given out your bank term loans what is the mix bet ween repo, MCLR , and T-bills. Just trying to understand , hypothetically speaking let's say if there is a 25 -basis cut in the repo rates , how will and what duration will that translate in our liabilities? In other words ,

out of 25 what proportion will refle ct in our lower cost of
borrowings and over what period and commensurately having seen so many cycles , typically is

it the case that in the initial part of a rate cut cycle margins will be under pressure and then if they will pick up as things go along ?

Suresh Iyer : As we mentioned about (+60%) of our borrowing is on the through bank term loans and about 45% of that is linked to repo. So , any reduction in repo will immediately translate in about 25% of our book on the liability side which will experience a 25-bps benefit. So , which means if 25 bps reduction is there then we will be in a position to pass on somewhere in the range of about 10 bps max down the line to our customers. And we have already moved effective January. Last January we have moved our reset cycle from annual to quarterly. So , on a quarterly basis we will also pass on. And we have in the past also been very fair and we ha ve passed on immediately without much of a lag. So , at most if at all there is something it will be for a quarter that we may be enjoying a little bit of a benefit in terms of the interest rate. As soon as the repo rate cut is announced the banks will have to immediately pass it on to us and at the next reset cycle, which is in a quarterly cycle , we will also pass it on to our customers obviously on a pro rata basis which is 10 paisa to 25 paisa kind of a thing.

Abhijit Tibrewal: Just to clarify that , when there is a 25-basis point cut depending on how it affects your cost of borrowings on a pro rata basis on a proportionate basis you will be passing it on because our home loans are not really linked to repo?

Suresh Iyer : Yes. We are not required to link it to EBLR.

Moderator: We have next question from the line of M s. Shweta from Elara.

Shweta: I just have one question. So , while you were alluding to growth targets of 12% to 14% , one what is the growth target for next year? Two how much steadiness do you see on the repayment scenario and if you could throw some color on BT out cases ?

Suresh Iyer : I think I missed your second question , not very clear . But I'll just answer , first o f all in terms of our BT out, we have a total close to 3.75% quarterly repayment which is happening which comes to somewhere around 15% for the entire year. Breaking up into our how much is part prepayment how much is amortization, and the rest is closures and BT out. Our BT out, out of that 15% is about 4% , 4% -4.5% reserves of closures and BT out, the remaining 10 %-10.5% is either part prepayments where customers continue to service the balanced portion of the loan or amortization impact which is there. An d growth , for next year I think we would continue to have about 15% to 17% is what we would aim in terms of the AUM growth.

Moderator: We have next question from Pa van Kumar from Ratna Traya Capital.

Pavan Kumar: I wanted to understand what are the new geographies that we are entering in terms of number of branche s, do we p lan to increase the number of branches and what would be the strength of our sales force team as of now and what are our internal targets , about how much of the new business can be sou rced through our own sales team?

Suresh Iyer : In terms of our branch expansion , we are planning for 15 additional branches in this financial year, and this would be mostly in the north and western geographies. In terms of a sales force, we don't have a de dicated sales force in a large sales force . We have just started a marketing team , sales team that is, and we have a very small team . We are just experimenting in the north and west mainly. So , in a couple of states, we are doing it . So, we don't have much of a sales force presently in the on-ground kind of a thing which we, however, will be buil

ding as we go
forward. So , this is a small pilot which we have done, and this has started showing some results. In the long run we expect about 20% of the business to come through this sales channel and our sourcing should come down from the present 80% to about 60%. That's the breakup. 60 -40 is our goal which we expect to achieve in the next 2 years by FY27. We expect to bring it down to 60-40.

Pavan Kumar: But are we planning to hire new people from the market for ad marketing as of now ?

Suresh Iyer : We will be either from our existing teams wherever possible wherever productivity limits are allowing us , we will take from our existing teams also. Otherwise yes , we are open to in fact slowly build our sales force through lateral hiring.

Pavan Kumar: New states. We are talking about in north India that you are entering. So , I was just curious on what are the new states .

Suresh Iyer : We a re not looking at new sta tes. We are already present in almost all the states in the west and the north. We will be expanding or going deeper in these geographies basically . Like last year we are already there , like last year we opened branches in Bikaner , Pali, then we have in Ra tlam, Ujjain. We had in Saharanpur and Meer ut and so on. So, basically , in the existing geographies

we are looking at deepening our presence and opening offices in Tier II towns.
Moderator: We have next question from Anusha Raheja from Dalal & Broacha.
Anusha Raheja: What is the incremental a verage ticket size of the loan?
Suresh Iyer : Average ticket size , we have not seen much of an increase in our ticket size. It's still recovering aroun d 25 lakhs.
Anusha Raheja: And on a blended basis what will be the average ticket size?
Suresh Iyer : That's what I said , on the blended rate it is about 25 lakhs. But we are seeing more of a rise in the 20 to 30 and 30 to (+30) segment. And yes , so it's a little in the decimal increase would be there but otherwise it is in the 20 to 30 and (+30) segment only we are seeing a growth and average ticket size is around 25 which should inch up to around 27 in a year's time or something.
Anusha Raheja: And on t he margins , if I have to sum it up , you said that there could be positive traction on the margin side that will come more from liability repricing. But in a declining interest rate scenario

we are in a competitive world. Even banks are also there in a simi lar set of loans. So , if banks bring down their rates on the home loans , is it not possible that you will also have to bring it down and so that might result in the stable margin profile ?
Suresh Iyer : There are two things to this. First is that our reliance on deposits is a very small percentage. We have a less than 1% or thereabouts in terms of our deposit reliance. So, therefore , our main cost of borrowing is impacted mainly because of the bank borrowi ngs, NHB refinance and NCDs. Whereas in terms of the banks and some of the larger players , their reliance on deposits as a source of funding is much higher . As a result of which today looking at the rates at which the deposits are being raised , definitely the incremental cost of borrowing is unlikely to kind of come down. So , the flexibility to reduce the rates , I feel it would be a little less for some of the bigger players as compared to us. And in our case anyway , if the competition is not reducing the r ates obviously we would not reduce the incremental lending rate except for the whatever rate benefit we have to pass on to our existing customers.
Anusha Raheja: Any qualitative 32.06 how much could we see a margin traction or the expansion from broad view there ?
Suresh Iyer : We our endeavor would be to repay some of our high-cost bank borrowings or things like that. But of course , I don't have a number right now readily available as to how much you'

ll because
it is obviously also a matter of how much we c an discuss with the bank because it's a long-term relationship we have. And so , it's not going to be very aggressive. But yes , our endeavor is going to be there. We will try to negotiate and if possible if banks willing , we will be able to reduce it. Other wise, we will have to also look at it. But I don't have a figure. But that is one avenue which is open to us to kind of bring down our cost of funds.
Anusha Raheja: And just one last thing. On the mix of the loans between self-employed and salaried , we ar e seeing a good traction on the self-employed segment. So , any ideal mix that you are aiming between the two?
Suresh Iyer : Yes, actually we had about 72% salaried and 28% self-employed . But incrementally it is right now around 35% or that about 35 38% is coming to self-employed . But on the overall mix , we are still closer to the same 70 -30 or thereabout s only. W e are open to go up to 65% in the salaried and 35% in the self-employed . In the near-term range and in the next 2 to 3 years we are okay up to 65 -35, on the A UM basis of course.
Anusha Raheja: So, you said that you would be opening closer to around 15 o dd branches current fiscal. So , can we expect a similar sort of trajectory over the next 2 to 3 years' timeframe that this exp ansion will continue in FY26 and '27 as well?
Suresh Iyer : Yes, we are looking at up to 300 branches by FY28. So , we will be looking at around 15 -20 branches in the next years as well.

Moderator: We have next question from Antariksha from IPru.
Antariksha: Just one small question. This is regarding this 4th October draft circular by the RBI regarding similar lending by group entities for banks where they're proposing not to do similar activities under different related group entities. Any convers ation with your parent or any discussion on comment that you would offer?
Suresh Iyer : Not yet because right now it is still at a draft stage. So , I believe all the banks have been given time till November 21st or something to give their feedback. And I b elieve there is already a thing that looking to the kind of , there is also a little bit of ambiguity in terms of which all segments it covers because it is not only going to affect housing finance companies , it's also going to affect all the personal loans or this vehicle loan companies , it's also going to affect

insurance holdings and stuff like that. So, maybe some more clarity will be definitely sought and there definitely is going to be some more discussions which may happen before we finally see someth ing coming out of it.
Moderator: We have next question from Kushan Par ikh from Morgan Stanley.
Kushan Parikh: I have two questions largely around the asset mix. So, obviously you said that we are comfortable with taking salar ied down to 65% and 35% self-employed . Do we have a similar target mix that we are looking at between housing and non-housing , essentially LAP? And just also from a data keeping perspective within LAP, could you help us with the collateral share as in how muc h would be against residential property and how much against commercial? That's my first question. Should I put in my second question as well?
Suresh Iyer : Yes, first answer this if it is okay. In terms of the projected mix for LAP, as I said for salaried , self-employed we are okay with 65 -35. For LAP r ight now we are around 5%. We would be okay going up to about 7% because eventually in terms of our excluding , after eliminating the CRE portion of the housing portfolio also , the pure housing we would like to kind of keep it up to around 70%. So , keeping that in mind we have a scope to around 2% to 3% of extra leeway that we are currently having , of which you would like to have LAP going up from 5% to 7%. So, that is one thing. And in terms

of your LAP break up, actually most of it would be housing .
Though I don't have an exact number right now, I think we are mostly doing only against LAP also, it's purely against residential only . Commercial LAP and even commercial lending itself for us is very small. So, out of 5% I don't think it will be more than 0.5% but I don't have the exact number to be right now off-hand .
Kushan Parikh: That answers my question. And if I can put across my second question to understand basically on the Telangana part. So, on the Telangana situation just wanted to understand if you started seeing an improvement in 3Q and when you target (+100) billion disbursements for the full year F25, does that include any improvement in the Telangana situation or that is irrespective of the current situation?

Suresh Iyer : In Telangana we have at least Q2 has been quite stable , although we have not had a positive growth . But last quarter we had this issue. So , after that I myself have vi sited also. So, basically, there is a little bit of discomfort among the builder segment and all because there have been some demolitions and stuff like that , obviously doesn't affect everybody. But still there is a slight cautious approach taken by the developers. So , the present what we are looking at in terms of this disburse target that we have given , we are looking at a steady state Telangana performance what is there in Q2 -Q1. So, obviously if it improves that will help us. But I don't know how long this will take because normally these kind of things are generally clarified well in advance or quite quickly by the government. But this has gone on for this is the second quarter we are experiencing this kind of a thing. So , if it improves it will definitely help us. Does that answer your question Kushan?
Kushan Parikh: Yes, that answers my question.
Moderator: We have next question from Omkar Shinde , who is an individual investor.
Omkar Shinde: I wanted to understand , you have mentioned that there is a technology upgrade that is initiated, and which will go live by next quarter. So , what is this technology change that we are doing and how is it going to he lp for the business , in what sense is this?
Suresh Iyer : We have a present L OS-LMS package which we are upgrading. That is the first phase of our technology transfer that we are doing it. So, that is something which we have already implemented in the sens e that it is already tested. The UAT has been completed. Our parallel run across branches has also been completed. So, that is going to be implemented now. Now once that happens of course , it will enable us to in fact add a lot of other third -party solutions also to it which already we have quite a few of the smaller modules , we have already implemented like we had in the last two to three quarters , we have implemented the tie up with Velocity which is for valuation. We have tied up with this solution for us , a little bit of a CRM and marketing. So , a lot of things we are already doing. So , these are the things which will be possible. So , this is the first phase of the upgrade for which some of the cost aspect has already been incorporated into our expenses because this started from January ‘24 onwards. So , in Q4 of last year plus Q1 and Q2 of this year , the impact of the cost impact which is about 3 crores per quarter increase that has alrea dy been factored in.
Omkar Shinde: So, is this like some platform based like Salesforce or O racle something like this or this is something entirely different? Is it existing and on top of it we are upgrading?
Suresh Iyer : No this is an existing one which we have been using for the last many years , almost a decade kind of a thing. On that we are upgrading because with the help of the vendor we have upgraded quite a few aspects in that solution. Even in the U

I /UX we have made a lot of changes. We have
kind of made it a little easy for the users to use and we have also enabled a lot of features like they have their own CRMs , they have their own kind of thing. So , all those things we have done it. Vendor management we have implemented , reconciliation modules w e have implemented .

Some of these things we have already implemented but these enhancements that we are doing which is now going live in this month that will allow us to add quite a few new modules as well. It is old one.
Omkar Shinde: So, what are we looking to gain from , so will this improve the productivity or how will this impact the business going forward? That is also I want to understand.
Suresh Iyer : There are two benefits basically which come from it. One is of course as I mention ed the UI / UX. So , the from the user point of view a lot of things are already incorporated. We are also from once this is implemented; we will be able to streamline a lot of things which are presently being done manually. So, that should help us in terms of productivity . Like once this is done the CRM module can be incorporated. The CERSAI module which is now being done manually can be incorporated. Of course , we have done the Karza, and we have done this Velocity and all those we have already done . But th ose are operated separately. This can also be incorporated into the same existing module. So , the flow which is there which also will become a little more seamless. This will help the users also to kind of improve. There will be an improvement in our TATs to the customers also.
Omkar Shinde: So, what is the current TAT now and how do you see it going?
Suresh Iyer : Right now , also the current TAT would be around for a salaried customer about 3 to 4 days and for the self-employed it would be a little longer maybe about 7 to 10 days. So , we are expecting from there also if it's a salary customer and a high-profile customer and everything is absolutely clear , I think the TAT should come down by another 1 or 2 days.
Omkar Shinde: And finally with respect to incrementally we are seeing our disbursement being towards more than 30 lakhs. The share is increasing. What I wanted to understand is , do we then see any benefits coming from the PMAY scheme or I will that not affect the business much because the scheme focuses more on the 25 lakhs and below segment and we are seeing more traction in the 20 lakhs above and 30 lakhs above. So, I wanted to understand that.
Suresh Iyer : The PMAY once it gets implemented and gets rolled out in a full manner , the demand for home loans also not really improved . Although this scheme has a much lower benefit compared to the previous PM AY CLSS 1.0 . The CLSS 2.0 has a slightly lower benefit, and it is spread over 5 years. So, yes, there could be some benefit which would come from it . In the past whenever customers have come , this would definitely help. The other thing is in PM AY 2.0 the government is also looking at a portal from which the customers themselves can select the vendor or the lender with whom they want to go to. So , they have to choose three to five lenders whom they want to go to, and the data of the customer will go to those here. So , in fact right now it is more of a sales driven kind of approach where we are doing (+20) segment and all which is more directionally we are trying to focus on that segment. But here there will be a lot of inbound kind of a demand which will come to us through the portal once it gets implemented. So, there yes , it can help a little bit but how soon they are able to implement it we don't know.

We will have to wait and watch. The scheme itself gets these operations from 1st of September only.
Omkar Shinde: Just two data keeping points. What is the log

in to sanction ratio and the sanction to disbursement
ratio?
Suresh Iyer : No log into sanction ratio. Once the sanction is there it is obviously linked to the Stage -of construction and to the kind of product. So, that is something which we cannot change. If the customer takes two months to go to the next Stage -of construction, then obviously the next disbursement will happen after two months only. We are talking about the log in to sanction data.
Omkar Shinde: Yes. Log into sanction , what is the ratio? What if application was of say X amount how much of it is sanctioned? I wanted to understand that.
Suresh Iyer : You are talking about the funnel. The funnel, i f you see our data also . That we have about 90% of the c ases are getting sanctioned. If you see the sanctions right now , in our presentation our sanctions have been almost 2 ,600 crores and disbursements have been 2 ,380 crores. So, that's almost like a 90 %-95% is the flow through.
Moderator: We have next questi on from Jigar Jani from B &K Securities.
Jigar Jani: Couple of questions , on the OPEX front because you said that most of the tech in vestment over

the last three quarters you have done 3 crores every quarter. Do we see any material change in the cost to income ratios going ahead? Do we expect an improvement? And I believe there was another big project wherein we were trying to kind of revamp the entire IT system also. Any update on that because I believe 6 months back, we were talking about that as well and whether that could be taken up in FY26 and correspondingly what would be our cost to income assumptions for FY26? Similarly for credit cost , this year we have seen significantly lower credit cost of 10 to 12 bps . Do we maintain the same guidance for FY26 as well on the credit cost front? These were my two questions.

Suresh Iyer : In terms of IT costs, the changes that we have made in the last two to three quarters , they have already been there. As I said the major component is the upgradation of the present package , the LOS-LMS package which is approximately about 3 crores per quarter. And that has already come in to the picture fr om January onwards. Yes , there are a lot of small packages which we are also incorporating which we are also doing it. A lot of it already comes in , it's part of the upgrade that we are already doing. So , it will not have very much impact in terms of the c ost going forward at least not the Phase 1 that we have seen. It's already been factored in. Second thing you mentioned is your question was regarding the major IT transformation project which we had done. So , we had an R FP which was floated, and we have a lready received six bids for it and we are right now under the evaluation stage. We expect to close that by end of December and award the contract to one of the SI's. Once that is done the project is estimated to take about

9 to 12 months. So , it is not I would say probably somewhere in the Q 3 of next financial year is when we will see it implemented. Obviously, I don't know the cost because til l we open the bids, we don't know what is the cost expected. But at least what we believe is that a m ajor component would be the CAPEX . The OPEX would be somewhere around 30 odd crores , 30 to 40 crores would be the actual cost which would be there. Presently we are already spending about 15 crores as OPEX in terms of the IT. So, if it goes to about 40 als o, about 20 to 25 crores is what we expect the incremental OPEX on annual basis to go up once the new IT project is implemented somewhere by end of December ‘25. So, that is the point . As regards the credit costs , well yes , traditionally looking to the kin d of portfolio the kind of NPA ratios and all that we have had where our gross NPA 's have always been below 1% and we are right now also in the same phase. So, going fo

rward also I think that should eventually work out to around 10 to 12 bps in terms of cr edit cost only.

Jigar Jani: For the project which we had mentioned last time ? The CAPEX estimate was about 60 crore s for the IT project ?

Suresh Iyer : So, initially when we had looked at the first RFP , the budget was around which we had announced into 2022 which we actually didn't go through . At that time the cost was about 60 crores would be the CAPEX and then about 25 -30 crores , 30 crores approximately for a period of 7 years would be the OPEX . That is what was the initial approval which we had taken from the board, and which was the kind of expectation there. But as I said since then 2 years have kind of relapsed. So , we are not sure as to what would be the cost. But yes, if you look at the simple IT costs have gone up. So , we are not sure whether it will be in the range of around 300 crores instead of 250 crore s or it would be around 350 crore s. So, that would be the kind of range. I don't expect it to beyond that.

Jigar Jani: So, 250 to 300 crore s should be the total cost.

Suresh Iyer : The 300 cror es or something is what I'm saying about is the OPEX plus CAPEX over a period of the next 7 years is what I'm talking about which was earlier 60 plus 30 over 6 years was somewhere around 250 crores which probably could be around 300 crores. So , if that happens probably instead of 40 crores it might be about 45 crores also.

Jigar Jani: So, largely it will be in the OPEX books, it's what I understand because it i s over 7 years, and we are expecting 30 to 40 of OPEX . So, it's mainly in the OPEX pole in which you will be doing this.

Suresh Iyer : The OPEX it would be as I said around 35 to 40 crores which is currently around 15 crores. So, that would be the impact.

Jigar Jani: And lastly just on this PMAY scheme , can you just go some color? Because I was speaking to someone, and they were saying that now probably the government is thinking of giving the subsidy directly into the customer’s account as against adjusting it from the principle of the loan.

So, have you got any profane color? Whether that is how it is going to happen or it is like how it was running in the past , it was adjusted from the principal outstanding.

Suresh Iyer : No, it will be from the principal only. That is how it is going to be. And this time we recently had because what has happened is the government has now released the draft MoU also. And the government is expecting to kind of execute this in the next month or so. So, if that happens that is what it is. But what indication during that meeting which we had was that the government will continue to make the payment to the PLIs and the PLIs will have to give an immediate transfer to the customers loan account and the e ntire amount will go towards principal which in fact the case in the previous version of CLSS also , where the entire amount had to go towards principal and cannot be adjusted towards outstandings or any overdues or anything of that sort.
Jigar Jani: And t his will be split into five parts. So , the principal rundown will be a little bit slower than what it was earlier.
Suresh Iyer : Not only will the rundown be less but this time the government has done two very positive things for the industry. One is that if the customer transfers the loan during the period of the PMAY scheme or when the payment the balance payments will not be made. So , if the customer has to avail the entire benefit of the PMAY then the customer will have to continue the loan for a period of 5 years with the same institution. So , suppose somebody has taken a PM AY benefits from me and after the end of 2 years they move the loan to some other lender then in that case they will not get the remaining 3 years benefits. The other lender also can not claim the benefit for that p

articular loan. So, that is the one benefit that has happened. And second thing is that the government has also stipulated that the loan has to be a perfectly regular service account. If the customer starts defaulting then t he balance benefit under the PM AY will not accrue to the customer. Therefore, this should also bring in a little bit of discipline in the customers as well.
Jigar Jani: This default is (+90)?
Suresh Iyer : I guess they have said default. So, we will have to see whether it is even SME accounts, or it is only NPA.
Moderator: We have next question from Pa van Kumar from Ratna Traya Capital.
Pavan Kumar: Investments on IT cost, you were saying operational cost would be around 40 crores per year out of which currently we are already incurring 15 crores. So , the incremental cost that will incur is 25 crores per year. Is that right?
Suresh Iyer : That is correct. Once it is implemented , the OPEX will go up by aroun d 25 crores in a year. So, presently our total cost i s around 200 crores for the entire year. So , if you look at our 20 -25 crores then to that extent you can imagine that slightly it will go up . So, that 1 or 2 years when they immediately start kicking in at that time the cost to income ratio slightly have a higher value. It will definitely go up . Then once obviously it will get absorbed over a period.

Pavan Kumar: And how do you expect this whole system to ben efit us in terms of , is it in terms of scaling or is it in terms of efficiency , how does this work?
Suresh Iyer : You are talking about the new IT transformation project where you are talking about ?
Pavan Kumar: Yes.
Suresh Iyer : Obviously the present pac kage as I mentioned is already about a decade old in our company and therefore there are a lot of packages and modules , additions and small things which have been substituted added and it is there. So, new package when we look at it , it will be a completel y new L OS-LMS along with all the other added OE Ms also will be there. It will have a treasury model ; it will have a DM S model. So , everything will come in the same go. So, therefore, the system itself will become a little more flexible because right now it's a lot of patchwork a lot of management and monitoring and all those things issues are there. So, once this new package comes obviously it will help because it will be a seamless kind of a thing, and all the packages will be integrated upfront and will operate over the same UI /UX for the customer.
Pavan Kumar: Any guidance you can give on what is going to the cost to income this year and full of FY25 and from FY27 onwards because then this IT project is implemented , any numbers we have done on that?
Suresh Iyer : As I said the cost goes up , it will be about 25 crores and presently our total cost is around 200. So, about if today it is 17 then it should go about 18.7.
Pavan Kumar: And fo r this year are we saying the cost to income would be around 18 bps or i s it going to be lesser because in the first half we have done better ?
Management : This was basically on account of the expenses that we have incurred during this year this quarter because of the actuarial cost of some roughly 3 odd crores and some legal expenses and marketing expenses. So , this is one time cost, and we expect that the cost to income ratio should be in the nature of 16 %-16.5% till the time the new IT system is there. Otherwise , it should be in the range of 17% to 18%
Suresh Iyer : That is when o nce it is implemented.
Moderator: We have next question from Chinmay Nema from Prescient C apital.
Chinmay Nema: Two questions from my side. Firstly , could you provide some color on the restructured book , so

how much is the Stage -1, Stag 2, Stage -3, how much is the share of LAP, housing and how much is salar ied and h ow much is self-employed ? S

ome general qualitative sense around this. And secondly a while back I think you were talking about some builder tie-ups a nd is that something that we are still working on?

Suresh Iyer : In terms of our restructured book , across the board in terms of SMA -0, SMA -1 and SMA -2 as well as in NP A, we have seen an improvement in Q2 compared to Q1 in absolute value itself and obviously translated into percentage terms as well. Now I don't have the breakup in terms of the salaried and self-employed and all. And anyway, frankly speaking I mean it's been more than almost a year since the restructured book has completely come out of restructuring. So, right now, it is as good as the regular portfolio. But yes, we do have a slide in our presentation where we have given the breakup o f the NPA. But in terms of SMA -0, 1 and 2, off-hand I don't have it. But I can tell you that across the board in terms of SMA -0, SMA -1 SMA -2 there has been an improvement in the restructured pool. As I had earlier mentioned in the first part of this con-call that we have also seen the difference or the improvement that has been witnessed in the restructured pool also is mainly in the S ENP category.

Chinmay Nema: And on the builder ti e-ups?

Suresh Iyer : On the builder ti e-ups, yes, we are still focused. We are still pushing that although we have not had a great success in that. We have started as I said we have about 30 people in the marketing sales team, and we have started , we are getting some response. Q2 we have at least started s ome builder tie -ups and as of now it's a very small number only 20 kind of tie -ups that we have had with builders which are because we started off in the second quarter only and we expect that by end of the Q 3 we should have more than 50 kind of APF ti e-ups with builders. And these are as I said only in two states that we are mainly looking at to start with as a pilot because the first attempt which we did even last year we tried to make an attempt, but it was not very successful. So, we have done a little more concentrated and a little more focused. Only as a pilot project in two states where we have now started getting some success though it's a very small number . Going forward we will now improve further and then replicate it across all the geographies.

Moderator: Thank you so much. Ladies and gentlemen , we will take this as our last question for today. I would like to now hand the conference over to management for closing comments. Please go-ahead sir.

Suresh Iyer : Thank you. First of all , a very big thank you to all of you for joining this conference. I hope we have been able to answer but even otherwise if at all there are any queries , we are most welcome to get in touch. I also thank the Nid hesh and his team for organizing this call and to Chorus for managing this entire investor call. Thank you. Thank you everyone.

Moderator: Thank you so much sir. On behalf of Invest ec Capital Services , this concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Jan 2025

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Dear Sir /Madam ,

Sub: Schedule of Analysts/Investors Meet
Ref:
1. Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.
2. Our letter no. CFHRO SE CS LODR 2 2/2025 dated 2 0/01/2025

In continuation to above referred letter, please find attached the Transcript of Q 3 FY25 Earnings Conference Call held on January 20, 2025 .

The aforesaid Transcript is also avai lable on the website of the Company www.canfinhomes.com

This is for your kind information and record.

Thanking you,

Yours faithfully,
For Can Fin Homes limited

Nilesh Jain
DGM & Company Secretary

Encl: as above

“Can Fin Homes L imited
Q3 FY '25 Earnings Conference Call”
Januar y 20, 202 5

MANAGEMENT : MR. SURESH IYER – MANAGING DIRECTOR AND CHIEF
EXECUTIVE OFFICER – CAN FIN HOMES LIMITED
MR. VIKRAM SAHA – DEPUTY -MANAGING DIRECTOR
–– CAN FIN HOMES LIMITED
MR. APURAV AGARWAL – CHIEF FINANCIAL OFFICER
– CAN FIN HOMES LIMITED
MR. PRAKASH SHANBHOGUE – GENERAL MANAG ER –
CAN FIN HOMES LIMITED
MR. PRASHANTH JOISHY – DEPUTY GENERAL
MANAGER – CAN FIN HOMES LIMITED

MODERATOR : MR. NIDHESH JAIN – INVESTEC CAPITAL SERVICES

Moderator: Ladies and gentlemen, good day, and welcome to the Can Fin Homes Q3 FY '25 Earnings Conference Call hosted by Investec Capital Services India Private Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportu nity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Nidhesh Jain from Investec Capital. Thank you, and over to you, sir.

Nidhesh Jain : Thank you, Zico. Good afternoon, everyone. Welcome to the Q3 FY '25 Earnings Conference Call of Can Fin Homes Limited. To discuss the financi al performance of Can Fin Homes and to address your queries, we have with us Mr. Suresh Iyer, MD and CEO; Mr. Vikram Saha, Deputy MD; Mr. Apurav Agarwal, CFO; Mr. Prakash Shanbhogue , General Manager; Mr. Prashanth Joishy from Can Fin Homes Limited.

I woul d now like to hand over the call to Mr. Suresh Iyer for his opening comments. Over to you, sir.

Suresh Iyer: Good afternoon, everyone. Thank you, Nidhesh, for the introduction. Welcome to this earnings call for Q3 of FY '25. Just to give a brief highlights of the performance of the quarter. In terms of disbursements, the Company had originally indicated that we would be doing somewhere in the range of about 5%, 10% higher than Q2. Unfortunately, we've had a slight setback in the state of Karnataka, particul arly where because of the e -khata issue, we had some drop in disbursements.

And about INR400 crores of business we have have had to pass on or in fact has not materialized because the registrations have not been happening. So as a result of which, on the disbu rsement front, the Company has only been able to have a very flat disbursements of INR1,879 crores as against what we had originally would have been somewhere in the range of about INR2,300 crores to INR2,400 crores.

As a result of this lower disbursement s, we've had an impact in the AUM growth also, which now stands at 9% for the 3 quarters of the year. Going forward, in terms of disbursements, the position in Karnataka slightly appears to be improving with some e -khatas getting issued. As of about 20 day s back, out of 10 lakh applications for e -khata, only about 45,000 approxima tely e -khatas have been issued.

But a very recent report also indicated that about 125,000 e -khatas have now been issued. So slowly, there seems to be some movement on the release of e-khatas. Going forward, this will be a very key monitorable for us in terms of our disbursement growth and, consequently, our AUM growth.

In terms of collections, the performance has been satisfactory. The gross NPA stands at 0.92%. There's been a slight increase in the NPA; however, SMA Stage 2 level has been almost the same. There is a minor 15 bps increase in the SMA 0, but as indicated l ast quarter also, we have

approximately about INR770 crores of portfolio wherein the outstandings are less than around 850, whi ch is the check bounce charges.

So the customers have paid their installments, but because of the charges of about 850, which we have debited in the -- this thing. As a result of this, the accounts stand in the SMA 0 level. So barring the INR770 crores, the cases where the really SMA 0 where 1 installment of more than INR1,000 is outstanding, that is in line with what was there last quarter as well. In fact , it would be lower than the last quarter number.

In terms of the provisioning as a result of this, there is an increase in the provisioning as well. However, with this matter, which we are now following up, the provisio ning in Q4 where we expect the recoveries to also improv

e, we expect that the provisioning in the Q4 will be very marginal, if at all and therefore, the credit cost for the entire year is likely to be in the guided range of about 15 bps only.

As for the A UM growth and the projections for the Q4, we expect the disbursements to be marginally in the range of what we have done in Q4 of last year and if Karnataka improves, then it could improve a little better than that as well. And therefore, as I mentioned, t he release of e - khatas in the state of Karnataka is going to be a key monitorable in terms of disbursements and AUM growth.

On the liability side, we have had some positive developments. As of the beginning of the quarter, we had about 35% of our bank bor rowings, which were linked to MCLR. But during the quarter, we have been able to shift all the loans either to repo rate or we have repaid those loans as a result of which the entire bank borrowing book that we are having is linked to either repo rate or i s linked to the T -bills.

So we don't have any bank borrowings, which is linked to the MCLR. So this has also helped us slightly in bringing down our cost of borrowing because along with the shift to the repo rate, we've also been able to slightly negotiat e the rate of interest on the term loans as well.

The second development on the liability side has been that we have also raised INR1,600 crores during the quarter from NHB, which has come at a lower rate of approximately 7.6%, which is lower than by 30 to 35 bps compared to the bank borrowing that we normally have. As a result of this, the cost of borrowing for the 9 months has come down by 2 bps.

On the other side, on the yield side, since we have been guiding that marginally, we have been looking at a little bit on the SENP product as well as on the LAP book because of that, we have also seen a slight improvement in our yield on the books, which stands at 10.14% for the 9 months ended as against 10.12% as at the end of the last quarter. So on the borrow ing side, we have been able to reduce the borrowing cost by 2 bps, whereas on the yield, we have been able to improve by 2 bps as a result of which the spread has marginally improved.

So going forward, in terms of the spread and NIM, we continue to have t he same guidance of 2.5% for spread and 3.5% for NIM. As a result of which we are hopeful that the year, we should be able to comfortably close with an ROE of 17% plus and ROA of 2.1% plus. In terms of the Opex , during the quarter, there has been no major change and whatever little has been

experienced because of the change in our IT systems in the first 3 quarters, the same has also continued in the fourth quarter of the calendar year.

Therefore , in terms of the overall cost for the year, the cost -to-income ratio has marginally come down compared to the second quarter. This fourth quarter also, there is no major cost factor, which is going to impact. So, the cost -to-income ratio may not vary much.

The only other aspect is that in terms of the IT, the Comp any has embarked on a major IT transformation project, so during the third quarter, we have concluded that RFP process, and we have been able to finalize on the bid, which is going to IBM. So going forward in the next coming 3 quarters, we'll be working wi th IBM to implement the entire IT transformation, which includes the LOS, the LMS, BMS, HRMS and all other modules, including certain aspects of infrastructure and security as well.

So this, of course, is likely as per the initial schedule to be implement ed in the third quarter of the next financial year, which is in the October to December 202 5 quarter. So a little bit of cost in the next year might slightly go up because of the capex and the opex , which will be there in the third and fourth quarter of the next financial year.

So this is in brief the broad highlights of the

performance of the Company during the third quarter. I now leave it to the audience for any queries, please. Thank you.

Moderator: Thank you very much. We will now begin t he question -and-answer session. The first question is from the line of Mahrukh Adajania with Nuvama. Please go ahead.

Mahrukh Adajania : Sir, my first question is on general growth, nothing to do with Karnataka. So a lot of lenders tell us that there's a vo lume decline. Most of the growth is being driven by value only. So does that

hold true for you as well? So that's the first part of my question on growth.
And the second part is that in terms of rate competition, obviously, private banks have stopped compe ting on rates in a big way. But is there still a lot of rate competition in housing from NBFCs, PSU banks? Or has it settled down? Where do we stand on rate competition and competitive intensity? That's my second question.
And I have a third one also , on these RBI guidelines about parent and subsidiary not doing the same kind of business. Have you had a discussion with Canara Bank? Where do you stand on that?
Suresh Iyer: Yes. Thank you, Mahrukh. I'll answer one by one. So in terms of the growth, as I ment ioned probably in an interview in the morning, that other than Karnataka and Telangana, we have had a positive growth or rather we are doing quite well in the rest of the places. In fact, North and Rajasthan, Gujarat, Tamil Nadu, all these regions are doin g well for us.
In terms of amount, we in fact, if you would have noticed that our average ticket size for the housing part has marginally come down from INR25 lakhs to INR23 lakhs, mainly because Karnataka and Telangana, we have had higher ticket sizes . So basically, in terms of the numbers, we have still been able to get the numbers. That is why only in terms of the whatever loss we've

had in Karnataka and a little bit in Telangana is what is reflecting. Otherwise, we are not seeing much of an issue in te rms of numbers.
We continue to get the same amount of inquiries, although December somehow was a little soft, we felt. But then January, again, is looking good, the first 15 days. So I mean, it probably was just some other factor. I wouldn't give way to th at.
The second, with regard to Rate of Interest as a factor . Actually, you are right, the rate of interest is not so much of a factor now. In fact, even in earlier days, it used to be more of takeover plus top-up, which was the major factor. And of course, rate of interest was always there, but it was always to another segment because it w as always the Tier 1 , metro and the very high -end customers who would be really going for it.
Otherwise, in the mid to lower end of the segment, rate was not anyway so much of a factor. It was more the speed of giving the loan, the ability to, first of al l, give a loan to that particular segment and the geographical penetration, which were parameters -- which were the main key parameters for decision -making. So the rate of competition is not so much of an issue.
The third point regarding RBI guideline, which was the 4th October draft circular . We ll, the parent bank has already given certain feedback to the RBI, and I guess all the other banks also have given feedback. So it is now up to the the RBI to come out with the guidelines or to take cognizance of or whatever decision or consider all those points, which have been suggested and then come out with it.
As of now, there is no clarity as to whether or when or how it will be implemented. So there has been no clear thing. But in the past also, we have indicated that if at all the RBI comes out with the guideline, Canara Bank will definitely have to implement it, and it has always abided by the regulation s. So whatever will be there, will happen.
It looks like there could be some extension of t ime or probably there co

uld be some exceptions
or, I mean, some changes maybe going forward, will be implemented or something like that.
Those are the kind of suggestions, which appear to have been shared by the various banks.
Mahrukh Adajania : Thank you, sir.
Moderator: Thank you. The next question is from Praveen Kumar from Acuitas Capital Advisors . Please go ahead.
Praveen Kumar : Thank you for the opportunity. I mean, I also had like two to three questions. The first one was on the NIMs that you have bee n delivering, but vis -a-vis your NIM targets were, as you keep guiding, it's closer to 3.5%, right? So while we understand that growth, there is a geographical flavor to the growth setback. But is there an opportunity to give up some of the yields and get closer to your NIM targets, but also drive growth? That was the first question.
Related question is on branch expansion. I think at the beginning of the year and during the year, you have guided to a net branch expansion of about 15 branches, whereas ther e doesn't seem to

be any addition during the year, it looks like you're still at 219 branches. So I wanted to get some clarity on that.
The third question was on your employee cost. Y -o-Y, there is a mid -teens kind of a growth in

your employee cost, wherea s the number of branches don't seem to have changed much. Now part of this could be driven by I think you have mentioned in the past that you wanted to bring down your DSA sourcing . Maybe part of it might be contributed by employees for that, but wanted to get more insights on that as well. Those are my three questions.

Suresh Iyer: Yes. Thank you, Praveen. See, your question on NIM target of 3.5% that we have been guiding, whereas we have been roughly in the range of about 3.75%. But the second thing is we have also been guiding that we would not want to compromise on our spread, which is 2.5% and we have been hovering around 2.56%. This quarter, it is 2.6%, but otherwise, it was 2.54%, 2.56%. Therefore, there is not much of a scope to compromise too much on the pricing of the products particularly.

Therefore, there is not much of this thing. Ho wever, we have tried and you would have observed that we have also opened up our LAP a little bit, which we had shared a couple of quarters back. and as a result of which our LAP portfolio, which used to be about 5% has marginally improved to about 6% now. Similarly, the second change was that we had indicated we might also be looking at slight deviation or change from our ... [inaudible 16:34]

So I don't know whether you were able to hear the first point. The first, as I said was that LAP, we have slightly improved from 5% to 6%, and that was one thing where we have tried. Second thing is SENP also, we have opened up a little bit. And from 72% salaried, now it has come down to 70%. So SENP and Professional is now constituting 30%. So that also is another are a where we have slightly tried to push the growth or we have tried to expand our product range and segment range , so that we can target a little wider customer base. So that is one.

The second question was regarding branch expansion. So yes, we have guided for 15 branches. And we had also indicated that this 15 will be net. So basically, what has happened is during the second quarter and third quarter, I mean, sorry, mainly the third quarter, we have actually also reviewed our branches. Some of the branches which are very too close to each other and are kind of cannibalizing on the customer base or things like that or in some cases where the growth is not looking very positive, we have, in fact, closed or merged 10 of the branches and have opened 10 other br anches vis -a-vis in slightly different geographies or maybe a little further away for things like that.

So basically, there have been 10 additional branches, which have come up because so that which wi

ll help us in tapping the customers in a little differ ent geographies also. So the net is not appearing to be higher. And going forward, we still have about 15 branches, which are in the pipeline. 11 of the branches are almost beyond the stage of execution and everything, interior work and things like that. S o in Q4, they will be opening up. 4 branches are at the execution stage with the landlords, so that also are in the pipeline. So 15 branches will be there.

Last year also, we had opened up the branches mainly in Q3 and Q4 only. So that is the way we have been going about. This quarter also, we will be looking at 15 branches, 10 which have been opened up. I have only replaced the other branches, but 15 net additional branches will now come up in this quarter.

The third is as regards employee cost . So yes, there has been an employee increase. The number of staff have also increased, and there is a sequential increase in the staff cost as well as the staff number. So two things: one, yes, we have strengthened some of the geographies where we had -- where the business [Inaudible -19:19] staff have also been actually used because we have strengthened our internal assurance functions also, so some of the staff have also been utilized for that. So the number is not looking in terms of the risk.

Plus we have also a lready in line with the new branches, which are going to be opened up. Some of the staff have already been recruited and are under training at some of the nearby branches for the new branches, which are also being planned. So that is the main thing. As and when the 15 branches in Q4 will get added, these staff will be moved to the new locations also. So I guess I've answered that also, Praveen.

Praveen Kumar : Thank you.

Moderator: The next question is from the line of Rajiv Mehta from YES Securities.

Rajiv Mehta : Sir, what percentage of this SMA 0 of INR260 crores would be accounts where just the check bounce charges are not paid? And related to it, have you also seen any increase in bounce rates in the recent past? And if you can also expl ain if there has been any increase, is it related to any particular product or any particular market?

Suresh Iyer: Yes. Is that it? Can I...

Rajiv Mehta : Yes, yes. I mean, I have a question. I have a few follow -ups later on.

Suresh Iyer: Sure. No, actually , as I mentioned earlier, in SMA 0, we have about INR2,590 crores, which are the portfolio, which is in SMA 0. Out of that, aggregating to INR770 crores are such cases where only the check bounce charges or some minimal charges are pending and the value o f these charges and everything is to the tune of less than 850, including the GST that we charge. So that is the thing. INR770 crores is the portfolio in respect of which the charges only are pending, which means that customers have paid the EMI, but becau se of the charges and everything, they are outstanding.

Obviously, the portioning will first be towards the outstanding charges. Therefore, it may appear as this that the principal is outstanding, and they are rightly classified as SMA 0. But then if it is basically that the customer had a check bounce, but he immediately paid back the original EMI, but not the charges. So those are the kind of cases. That is aggregating to INR770 crores out of INR2,593 crores.

Second, as regards to check bounce, actually, for the last four quarters, our check bounce ratio, that is NACH bounce ratios have remained in the same level. We've not seen , it's only a marginal

decimal kind of a thing, which would have gone up 0.93, would hav e become 0.87 or something like that, but not beyond that. So we've not done it. But I guess we will . Since you mentioned it, I think it's a good point . We'll evaluate whether there is within that also any chang

e or shift in the segment -wise analysis.

Rajiv Mehta : Sir, just two follow -ups. One is, why the approvals are also down like disbursements by 20% Q - on-Q? So did we also went slow in sourcing of loans in this quarter? I mean, disbursement got stuck because of slow registrations, but why the sourcing or the approvals were also low in the quarter?

Suresh Iyer: See, actually, in the month of October, when this issue of e -khata was new, we had about INR160 crores of cases, which were sanctioned, okay? And subsequent to that, the sanction also, we have a validity of 15 days. If the customer doesn't convert -- accept the sanction or doesn't further progress on that, we also temporarily hold the sanction or cancel the sanctions. So basically, we've had that kind of problem also. This is practically only one month equivalent of sanctions, which is thereabout. So INR150 -odd crores that is there is only less than a month old sanctions, which we are still holding as valid sanctions.

Rajiv Mehta : Just a last question on the consistent increase in portfolio yield, right? So even in this quarter, we had portfolio yield improving by 2 basis points at the overall portfolio level. So one, you explained is because of the changing product mix and the customer profile mix moving towards SENP. But there also seems to be som e back book repricing happening. So is there a portion of the existing loans, which is being repriced upwards, I mean, or something, which is supporting the yields improving for us?

Suresh Iyer: Yes. So there are major reason, of course, as I mentioned, is because of a portfolio of SENP, where we are charging 0.5 percentage point higher rate of interest. And that has also increased, as I mentioned, from 28% to 30%. Second is LAP book where, again, we are charging 0.5% higher than the linked t o the particular segment. So effectively, that has also increased from 5% to 6%. This is the major increase. But the second thing is, yes, as an annual practice, we have a reappraisal of our customer profiling. And so if that happens and the customer profi le slightly deteriorates, it could be a slight increase in the rate of interest.

Second thing is we have some portion of the book where customers go for a P+C, that is plot plus construction. If within 18 months, the customer does not initiate the construc tion, then in that case, we convert the loan and charge 2% higher by converting into a plot loan and reclassifying it as from a housing to a non -housing category. So that is another small percentage, which would have added a little bit. And yes, in some ca ses, there was an initial offer price for one year or something. And after that, we have a review to give a discount in the first year, so over the card rate. So that portfolio of some very small book would also get repriced, but that is not the major reason.

Moderator: The next question comes from the line of Shreepal Doshi with Equirus.

Shreepal Doshi : Sir, my question was on the disbursement side again. So you highlighted that there was an issue in Karnataka, but also in Hyderabad , in the Telangana state, what is the problem there?

Suresh Iyer: See, in Telangana, we have already said that ever since the new government came out in February '24, that is the new Congress government , they have reviewed some of the approvals given by the pr evious TRS government. They have also set up a department called Hydra, okay? Now this Hydra, basically, what the claim is that there have been many approvals given by the previous government on land, which was either government -owned land or on water bodi es. So some of the cases, the government also went ahead and started doing demolition of such properties, wherein customers originally had a valid approved plan given by the previous municipal corporation of the previous government during the previous government

regime. So
this actually has affected the sentiment. A lot of project launches or things have happened. We have also had customers who have canceled their loans and said that we are not going ahead with the transactions and things like that beca use the sentiment overall is getting affected. This has also affected particularly the real estate and this thing has affected the cash flow also in the state, particularly in Hyderabad and all. Of course, a month or two months back o r something, the government did say that they would now not at least demolish the properties, but they would forward such cases to a new department of environment and things like that. But at least the sentiment has still not improved.
And we're having problems with new cases coming in over there, so we've had a negative growth in Telangana. In fact, Telangana is almost 33% down in terms of disbursement. And it has been there for the entire year now starting from the Q1 itself because this thin g started somewhere in the early part of the financial year.
Shreepal Doshi : Got it. And this is to contribute like what percent of our disbursement?
Suresh Iyer: See, actually, Karnataka contributes about 34% and Telangana about 15%. So approximately between the two of them, it's about 50% of the business used to be from these two states.
Shreepal Doshi : Got it, sir and sir, just a bit on the growth side and to th e previous participant's question also on approval. So have we tightened our underwriting given the issues in the other retail products for the customers? So in terms of maybe earlier, there were deviations on FOIR or on LTV. So have we tried to look at th at aspect apart from the Karnataka and Telangana issue that we are highlighting? But are we seeing this at a sector level or at our company level?
Suresh Iyer: No, no. The Karnataka and Telangana issues are at the entire sector level on ly because I am sure other lenders also would be facing this problem. And I'm very sure they are facing this problem, at least whoever I've interacted with in the HFC forum or in other colleagues in the industry, they also share the same view about both th e states of Karnataka and Telangana.
Other than that, in terms of credit norms, we have not tightened any new norms or any tightening we have not done. It's just the same as I indicated. In fact, on the contrary, we have opened up our LAP product, which w as earlier being done only for existing customers. It was not there for new customers.
Therefore, if you would see that earlier we used to report our average ticket size for LAP as around INR8 lakhs, but this quarter, you would see that it has incre ased to INR13 lakhs. That is

because we have also started targeting new customers in the LAP product as well. So basically, we have not tightened any norms. We have, in fact, only opened up our LAP and we have also increased our focus on SENP. So there is no adverse or tightening of the norms.
Shreepal Doshi : Got it. Got it and sir, just one last part was on the SMA -0 front. So if you look at like even without this impact of you highlighted the charges for the bouncing of the EMI. So apart f rom that if you look at the trend has been increasing only in the last 4 quarters. So do you see that this trend will go down or move downwards in the 4Q?
Suresh Iyer : Well, of course, it should go down. But let me also say that SMA -0, we will definitely c ome down because this one issue also last quarter, we had indicated that this new RBI thing about not keeping an advance EMI is also hurting us. And otherwise, we used to keep and account it at the end of the month and advance is 1 EMI, we used to carry us an advance. So that was also helping us as a buffer for us, which is now not there.
But SMA -0, definitely, we will arrest and get it done. In terms of NPA, in fact, I can definitely say that in Q4

, we will see some bett er numbers and it will come down to 0.8 or anything. But
actually, if you look at the trend, 2021 onwards, in fact, it has been hovering between 0.91 and 0.8 or something. So roughly, that is the range in which our NPAs have been going.
Barring the 2 year s when the COVID restructuring was there and all the SMA -2 accounts and SMA, many of the customers were eligible for COVID restructuring and, therefore, those accounts were classified as regular. But barring those 2 years, if you look at it from that point onwards, it has always been hovering around in the range of between 0.8% to 0.91% only in terms of NPA.
So that is what it is. I don't expect that it would go down and deteriorate any further. We will put pressure, sometimes the pressure works and it com es down, particularly in Q4 and all, it does come down. But the real picture is that it is hovering around 0.9%. I think that will be a more

realistic way to look at it. We will definitely bring it down in Q4 and the year -end numbers would be clo ser to 0.8% in terms of NPA. But again, Q1, the same customers would be facing a problem because it is a proven fact now.
Mode rator : Thank you. The next question is from the line of Shweta from Elara. Please go ahead.
Shweta : I have 2 questions. So the fi rst being, admittedly, while e -khata registrations have not picked up that strongly, so for how many quarters do you see the Karnataka challenge spilling over?
Second, so while incrementally our DSA sourcing has been coming down, which stands around 72%, 7 3% odd today and given the fact that our focus is also tilting towards LAP and SENP, so what is the kind of internal sourcing or change in customer sourcing, if you could highlight there? And lastly, I'm sorry, I'm harping on the same question. So while S MA-0 has been sticky for past 2 to 3 quarters, and you're guiding 0.8% kind of GNPA for FY '24, so is this stickiness now already behind?
Suresh Iyer : Sure. Yes, thanks, Shweta. See, this e -khata issue, I would, I mean, say, as I had indicated earlier, has slightly opened up because from the last 20 -odd days, the previous report was 45,000. Now it is 125,000. So, the government also in between had announced, the Karnataka Government,

that they are looking at deploying another 300 staff and providing the necessary infrastructure so that they can speed up the release of the e -khatas, issuance of e -khatas.
So definitely, going forward, the state government is also keen to get this problem resolved and obviously, it is also affecting the revenue for the state because registration and document, this stamp duty and all is a major source also for the government. So definitely, this will -- should not take very long. As I said, I mean, if it happens quick ly for us, I mean, in Q4 also will look a little better. So that is the point.
I don't expect it to go on for very long. It is more of an operational issue, which should get resolved as things go forward. Second, as regards to internal sourcing, I would l ike to just highlight 2 points here. See, one is, the branches that we opened last year. We had about 14 branches, which again have got opened in the Q3 and Q4.
Today, if I look at 1 -year closure, almost 1 year is over on an average for these branches. So they already reached a level where they are delivering about approximately INR75 lakhs per month per branch, these new branches. So they are very much in line for reaching the breakeven point in 1.5, 2 years period that we normally mention. So that is one area, which is helping us.
Second thing, as regards to the marketing staff, we have a sales team, which is a very small team now. But now almost 3% to 3.25% of the incremental business is already coming from this channel. So that is also one positive ste p that is happening. Right now, we only have about 34 people,

and they are able to deliver about industry level productivity, and they have also been able to contribute or like in Q3, if you speak, they have about 3% to 3.25% business has come from this channel of 34 people.
So that is as regards to the internal sourcing. As regard to SMA and this, as I mentioned, while I said that Q4, we will put pressure and the customers will pay, and we will definitely try to work out something, so the GNPA would come down to 0.8%. But yes, traditionally, if you see from '21 onwards, it has been hovering in that range.
So even if a customer pays in Q4, I would probably say that the stress in the customers' cash flow is definitely there. So it might still aga in show up in the Q1 or Q2 or something. So this set of customers is roughly moving up and down. So approximately 0.9% is the actual GNPA. In a particular quarter, they could always be coming down with more pressure and all. As regards to SMA -0 that you mentioned, yes, we have identified that this is a major issue and since it's a recent development of this 1 -month EMI advance being ruled out, so we are now looking at an alternate way how we can convince the customer.
We have increased t he number of SMS that we send to the customer and all those kind of steps we are taking, whereby we should be able to bring that down. In fact, that earlier used to be somewhere in the range of about 1,800, 1,900 is the range in which SMA -0 used to be there. This last couple of months or quarters where we have slightly seen that uptick increase because of these charges, which also we will educate the customer. We will increase our follow -ups and bring it down.

Mod erator : Thank you. The ne xt question is from the line of Abhijit Tibrewal with Motilal Oswal. Please go ahead.

Abhijit Tibrewal : Sir, just 1 question. If I look at the provisioning cover for our Stage 3 loans or NPA loans, last 4 quarters, they've been coming down from almost 48. 6% to 45% now. While if I look at our standard loans cover, which is our Stage 1 and Stage 2 loans, last 4 quarters, they've been inching up from 0.45% to almost 0.56% now. So how to read this? And why is it happening?
Suresh Iyer : See, in terms of our NPA , okay, we are also now focusing on some of the old stickier loans. In fact, more than 48 months. We have kind of bucketed based on aging and the general tendency is always to focus on the incremental NPAs and then bring them down because this is a low -hanging fruit, okay? However, when it comes to the ECL calculation, that is the LGD, PD and LGD, of course, PD is of course there.
They are the default is already there. But LGD numbers will improve if we start looking at the older loans and start recovering from the older loans, which is something, which we are looking at doing. And in fact, that is one new that is something, which we are now very keenly monitoring that 48 -plus month loans also I mean, bucket -wise, even 24 to 36, 36 to quarter , year-wise, 12, 12 -month buckets, we have worked out. And we are also looking at older loans and trying to find out solutions from the older stickier loans. That's why it is in terms of the provisioning for this thing , we are able to slightly have seen some improvement.
The second part as regards the provisioning increasing for our Stage 1, Stage 2, obviously, it is because of the sudden increase in the flow from regular to SMA 0 or the flow from SMA 0 to SMA 1 that is what is also going to impact the calculation. So while the recovery is also happening, the flow is also equally there. That is where the numbers of ECL calculation will reflect those numbers.
So if only INR10 crores are recovered, and only INR10 c rores flow then the numbers will be the percentage of flow will be less. Whereas if INR20 crores flow then even if you have recovered the INR20 crores, but because the flow as a numbe

r is higher, in terms of a calculation
it will show a higher flow whic h will result in a higher provisioning. So in fact, that is also the number.
And obviously in Q4, as soon as the SMA 0 flow reduces, the maximum hit we have had is because of the SMA 0 flow and mainly because of the charges. The moment we are able to addre ss that and bring it down, this will definitely come down.
Abhijit Tibrewal : Got it, sir. And just one follow -up on that and then the next question. So sir going forward, what is that provision cover that we have on mind on Stage 3, a more stable and norma lized kind of a number? And the other thing is, I mean, earlier in the call you suggested that things are improving in Karnataka and the resolution should not take very long given that it's more of an operational issue.
Things get better during the course of this quarter. And let's say by March, April, when we get there, if things have been addressed then next year what is the run rate that we have in mind in terms of disbursements?

Suresh Iyer: Yes, sure. See, in terms of our PCR for our NPA Stage 3, it h as roughly been about 46% to 49% is where we have roughly been doing. As I said, it depends a little bit on how much stickier loans we are able to recover from and things like that. So that would be the c ase, b ut while on the ECL front, we will be pr oviding whatever it is, given an opportunity if there is a slightly good year or something, or a good quarter, we will definitely like to increase by way of a management overlay.
Because in the ECL, we will have to provide whatever comes out as per the calculation, which is a very scientifically devised calculation of 5 year performance of the accounts and everything. So in terms of this, if it is possible and if it's a good year we will definitely like to increase or marginally keep some for rainy day in terms of the management overlay.
So that is the think ing that is there. In terms of E -Khata, yes, I said it's an operational issue. And yes we would like to and the government also is working. S o it's only fingers crossed how soon it can be sorted out so that it wi ll get converted into business. But going forward next year at least we don't expect that this will go on for too long. So as I said, with our North, with our Rajasthan, Gujarat, our Tamil Nadu and everybody doing well.
Next year, definitely, we continue to have the same target of INR 12,000 crores disbursement. So that should be around 15% AUM growth that we will be looking for in FY '26.
Abhijit Tibrewal : Got it sir. This is useful. Thank you and wish you and your team the very best.
Moderator: Thank you. The next question is from Pavan Kumar from RatnaTraya Capital . Please go ahead.
Pavan Kumar: Thanks for the opportunity. I just wanted to again, SMA 0, there has been a two consecutive quarter increase of INR500 crores, so almost like what I'm trying to understand is if it is like an issue which is passing by in that sense, it seems to have persisted for two quarters. And secondly, on credit cost guidance, if I understood rig ht we are saying around 0.15 bps sorry, 15 bps. That

would almost mean no provisions for the last quarter.
So how should we understan d it a nd on a sustainable basis for the next year, what should be the kind of provision on it ?
Suresh Iyer : Sorry, I couldn't get your second question, please. I'm sorry.
Pavan Kumar : If we are saying 15 bps guidance of credit cost for this year, that would mean almost like no provisions for the last quarter. So I was just trying to get some clarity on it. And a lso I wanted to understand next year, basically, what is the sustainable credit cost and also the cost -to-income kind of guidance?
Suresh Iyer: Sure. See, in SMA 0, yes, last quarter we've had a INR500 approxi mate crores increase in the SMA 0. Prior to tha t, I think roughly

it has been around 18, that percentage has remained the same. I'll work out fo r the quarter before that also, b ut earlier also we've had the same kind of a range. So I don 't think that is … I'll come back to you on that.

As regards the credit cost, yes, you are right. In Q4 normally it is the case where the recovery in NPA also happens plus this SMA 0 also should be coming down in which case we should be able to kind of contain our credit cos t to the level of 15 bps approximately. That is correct. Going forward, since we have the similar kind of ratio of GNPA between hovering between 0.8% and 0.9% and the other provisioning also.
So I think we would continue to have the guidance of 15 bps app roximately in terms of credit cost in the next year also. As for OPE X, yes, we will have an increase. We expect an increase in the next year because we have this implementation of this IT transformation project, which is approximately between INR250 crores to INR300 crores. So that is expected to be implemente d in Q3.
So during the year of FY '26, there will be an increase in the OPEX and CAPEX for IT. And so approximately 18%, 18.5% is the cost -to-income ratio that we can target for FY '26.
Pavan Kumar : Okay. And just a clarification. So 15 bps are you saying would be the credit cost for Q4 or 15 bps is the credit cost for FY '25 as a whole? What is the guidance exactly?
Suresh Iyer: For the full year, we are talking about 15 bps.
Pavan Kumar : Okay. So that would imply almost like very minimal kind of provisio n?
Suresh Iyer: Minimal, very minimal, t hat is correct. Very minimal or nil to almost minimal kind of additional provisioning that will be required in Q4.
Pavan Kumar: Okay. Thanks Suresh. Best of luck.
Moderator: Thank you. The next question comes from Kunal Shah from Citigroup. Please go ahead.
Kunal Shah : Thanks for taking the question. S o generally when there is this entire technology transformation particularly on LMS, LOS. W e have seen for the other players a disruption in the business as well be it in terms of disbursements. So would it be fair to assume that we would also see some similar kind of disbursements a nd if you can quantify as to how long could that impact be in the next fiscal?
Suresh Iyer: You are right. On the one side, there has been generally a disruption in the business when ever there's an implementation. But obviously, we wouldn't – we don't want to project some - we are, in fact, trying our level best to s ee that there is no disruption. A lthough I am 100% sure there will be so me impact because any of the transformation, the current system that we are using is almost 12 years, the team has been using it.
So any new system UI will change, the flow will change. There will be some amount of business process reengineering t hat will also be there. Some policies also will have to be reviewed. So keeping all that in mind, yes, 100%, there will be some impact. How much of impact, I will not be able to say, but our efforts will obviously be to absolutely minimize the i mpact.
And I think closer to the date of the implementation is when we will be able to exactly say because that will give us a clearer picture. We are just embarking on the discussion as to the

flow, the customization of the product, what is the level of policy changes and this thing. So once that is there, a little more clarity will come.
So I guess somewhere in the end of Q2 or somewhere in Q2 of next financial year is when we will have a better clearer picture on this aspect actually. But that's a very correct point, Kunal. I mean that there will be some disruption. We'll have to see how we manage it and how we can minimize it.
Kunal Shah : Sure. Because that will also be skewed towards the busy season of second half, yes. So t

hat was
the general concern . Okay. And overall, in terms of cost you indicated that, yes, in terms of the cost to income, but if you can quantify in terms of how much could be the impact on OPEX in particular?

Suresh Iyer: Sure. See currently in IT we are spending INR15 cr ores in a quarter -- sorry, INR 15 crores in a month. I'm sorry INR 15 crores – INR1 crores per month INR 15 crores approximately with additional things in a year. I'm sorry INR15 crores a year. And the revised cost is coming to approximately INR30 crores to INR35 cro res is what is the opex that will come in the year because we have approximately INR30 crores, INR35 crores is the breakup. INR 60 cro res to INR75 crores is the capex and the balance of the cost is spread over 7 years. It's a 7 year RFP spread over 7 years.

So it will be around between INR30 crores to INR35 crores. So approximately INR15 crores to INR20 crores is the additional expense per year, which will accrue -- which will come because of the new project implementations.

Kunal Shah : And employee side al so, should we see any increase out there , in terms of like employees towards the technology and there also the cost can go up? Or this includes everything?

Suresh Iyer : No. Actually, the employee cost will not be as much because we, as part of the RFP, hav e already stipulated that the [SI 50:47] will have to bring in about 50 staff, including the staff from the OEMs and that cost has been factored into the RFP cost itself. And we have also stipulated that post implementation, there has to be a handholding p rocess wherein it will be maintained at that level. Thereafter, it will reduce to 30 people.

So the cost in terms of that is already factored into the RFP cost. However, yes, we will have to do some kind of strengthening of the team, but that will be abou t what we have identified. It is not a very, very large number. We already have a team of about 18 people in our IT. We already have identified a separate team of about 15 people from the business side a lso for project implementatio n.

So that is already inbuilt, currently factored into our existing staff cost also. We may have to add about 10 -odd people, which will not be a big burden in terms of cost. That is as regard to this, yes.

Kunal Shah : Sure and one clarification. You indicated in the opening remarks in terms of what was the impact of disbursements because of both Karnataka as well as Hyderabad?

Suresh Iyer : It's approximately INR 432 crores to be exact is the total cost impact, which is because of these 2 states. And roughly, Karnataka would be around INR350 crores to INR 400 crores, we would have lost because of this. We were approximately doing close to -- sorry?

Kunal Shah : This is in terms of disbursements?

Suresh Iyer : In terms of disbursement during the quarter. We were doing approximately INR275 crores to INR300 crores per month in Karnataka. That has come down t o somewhere in the range of INR150 crores.

Kunal Shah : Okay. But still when we look at it, even if I add on to this in terms of INR 430 odd crores, then also it would have been maybe lower than that of Q2, okay? So that's where the entire thing was maybe yes, if I -- so last t ime, it was like INR2,400 cror es to INR 2,380 crore s. Even if I add on to this INR 432-odd crores, then also it would have been near and there wouldn't have been any growth. So is it like maybe in the other -- some other geographies also, there is some slowdown out there?

Suresh Iyer : No, not really. In fact, as I said, there are a little ups and downs. But by and large, in fact, if you look at what they have been doing compared to Q3 of last year, Q4 of last year, there's definitely an increase. And the Diwali, there is quite a bit of holidays during the time, so that is a kind of a normal thing, which happens where if there are too many

holi days, a little bit is affected.

But we don't see much because of the other states. But these 2 states alo ne put together has been about INR 432 crores, s o it would have been around INR2,300 -odd crores something of that sort.

Kunal Shah : Got it. Perfect. Yes. Thanks and all the best.

Moderator: Thank you. The next question is from the line of Anusha Raheja from Dalal & Broacha . Please go ahead.

Anusha Raheja : One question is on the AUM side. Sir, how are you looking at the demand environment currently? Is there any slowdown in the overall demand?

Suresh Iyer : Well, Anusha, not really. As I sai d, Karnataka is obviously, we are not able to estimate. It's definitely gone down. Other states, it's been quite fairly okay. Although in terms of affordable smaller ticket size, we have obviously not seeing much of a demand. Our ticket sizes hav e been roughly marginally improving or marginally been there only.

You would see in our presentation also that our 20 lakhs to 30 lakhs and 30 lakhs plus ticket sizes is where the disbursement growth has also increased. Where as in the 0 to 10 lakhs and 10

lakhs to 20 lakhs segment, it has actually come down. So there, we are seeing some lower this thing. But otherwise, it is okay. In, mostly, the majority of the segment where we are operating, we don't see much of a problem.
Anusha Raheja : Okay. And given the fact that nearly one-third contribution of the AUM comes from Telangana, and we are seeing some demand being impacted, so what is the best estimate in terms of AUM growth for FY '26?

Suresh Iyer : No. Actually, I'll just cl arify. Our Karnataka is about INR 10,500 crores out of our entire INR37,000 cr ores and Telangana is about INR 7,000 crores. So that would come to around 20% or a little less than 20% in terms of Telangana, the composition. But yes, Telangana is alread y impac ted for the entire year.
So I think from here, even if there is a growth, there will be a growth only. We already have the worst , I can kind of say is over, you can say, because we've already completely for the entire year, been impacted in Tela ngana. So from here, that should not hurt us in the next financial year.
Anusha Raheja : Okay. So can we expect the run rate of around 13% to 14% in FY '26?
Suresh Iyer : In terms of AUM growth, yes, because as I said, we are targeting INR 12,000 crores for the year s. So look, considering o ur current rundown of about INR1,300 crores to INR 1,400 crores per quarter, roug hly, that will add to about INR 5,200 crores to INR5,500 crores rundown, whic h -- so it should add about INR 6,000 crores to the book, which will be approximately, yes, 15% o r a little better, in fact. INR38,000 -odd crores will be where we expect to end it this year.
Anusha Raheja : Okay. And secondly, on the Opex side, if I heard it correctly, you said that INR250 c rores to INR300 crores will be spent over the next 7 year s time? And per annum, I think the co st will be closer to around INR 35-odd crores. Is that correct?
Suresh Iyer : Yes. In terms of Opex , INR 35 crores so around INR60 crores to INR 75 crores is the ca pex. So the remaining is around INR220 crores to INR 230 crores, which is spread over 7 years in terms of the Opex , which will be, therefore about INR30 crores to INR 35 crores per year. And that would be the cost once it is implemented and the handholding 3 months is over from the old system, so the old system will be su nset. So that cost of about INR 15 crores that is there in the current year will almost stop.
Anusha Raheja : Okay. And sir, lastly, if you can just elaborate more on your bank bo rrowings. Is it coming to you at a higher price? Or is it tough to negotiate with them? Because if we look at the macro numbers, overall banks’ lending to NBFCs and HFCs has come down drastically in this Q3. So how you are placed in thi

s scenario?
Suresh Iyer : See, actually, for the banks, there was this RBI restriction or RBI guidance on the unsecured book. So basically, a lot of other lenders who have more exposure in unsecured, the banks actually have reduced their limits or their fresh sanctions t o those entities because of which the overall bank e xposure has slightly come down.
But on the contrary, because the limits to other institutions have kind of come down, it has opened up for us the avenues , because they have a sector -wise allocation. So , if NBFCs plus HFCs, they have an allocation and a couple of other players exit – they exit from that particular segment, then our allocation goes up.
So actually, that is what has helped us in negotiating with them in the quarter for MCLR linked to rep o rate also. And we are also getting fresh loans. Currently, I don't think there is a scope to

further bring down the cost because we are already enjoying a very, very low borrowing cost. Compared to the banks, today, we are getting a 7 -year loan around 7. 95%, 8%, 8.10%.
So I guess in terms of the rates, this would be probably the very, very attractive rates even among housing finance companies. So fresh further reduction is obviously not possible. But during the quarter, as I said, we have been able to mai ntain the older loans. In some of the cases, we have also been able to bring down where we have negotiated from MCLR to repo.
Moderator: The next question comes from the line of Siraj Khan, who is an Investor. Please go ahead.
Siraj Khan : The question was with regards to the NHB refinancing. The amount that we have drawn down of INR1,600 -odd crores, that is from the refinancing window or the affordable housing window? I just want to understand what is that coming from?
Suresh Iyer: Yes. See, actually, NHB has this thing that earlier it used to give a 1:1 sanction, where if you are drawing INR100 crores from AHF, that is the Affordable Housing Fund, then an equivalent

INR100 crores, you have to draw from the regular refinance window. So right now what we have drawn because the allocation with the NHB is less, so what they have done is they have given a ratio of 1:3. So if you are drawing INR100 crores from the AHF window, then you have to draw INR300 crores under the regular refinance window.

So, this time, INR1,600 crores we have drawn, we have got INR400 crores under the AHF window and INR1,200 crores under the regular refinance window. And the blended cost comes to around 7.6%, which is lower than the banks , because as I said, it is 7.95% to 8.10% is what we are raising from the banks. So, the blended cost of this INR1,600 crores is around 7.6% or thereabouts, which is about 30, 35 bps lower than the bank borrowing cost.

Siraj Khan : Understood. And just to fo llow up on this, do you see this ratio being changed and brought back to the 1:1 because the push for the affordable segment has to be there. The PMAY scheme also will come back client be on first o f Q4. So do you think this will improve and, therefore, th e cost of borrowings might improve?

Suresh Iyer: See, actually, last year, we had a higher ratio of 1:5, and that is why we had not drawn last year, we had a INR1,500 crores sanction from NHB that is in the last -- I'm talking about last financial year. We did not draw any fund from NHB because in a 1:5 ratio, the cost was coming to be a little higher than the blended cost was coming to be a little higher than the bank borrowing cost. It has already been reduced to 1:3 and which has helped us in this time bringing the blended cost was lower, so we have drawn the refinance.

Going forward, in fact, if the government allocates higher fund under the AHF window, then probably the NHB might look at it. But I guess it is a little unlikely because they would rather give now that the PMAY and the Interest Subsidy scheme h

as been announced, so the funding will obviously go to the direct benefici aries rather than through this.

So I guess the government allocation of funding is more likely to be under the PM AY in the Interest Subsidy scheme rather than the AHF. This is my gut feeling, but the only way it can come down is if the government allocates more under the AHF.

Siraj Khan : Understood. And just finally, on the AUM mix, as you have earlier alluded tha t you are opening up your LAP and SEMP vertical. So currently, the SE MP is standing at 29% for Q3 FY'25 and it can be seen I mean professionally set at a much smaller rate. So where do you see -- do you have a target that we will take it up to this much pe rcentage by next year? Or how do you want to take that ahead?

Suresh Iyer: See, for our Vision '28, whatever we have drawn up the strategy for up to '28, there the Board has given us a flexibility to maximum go up to 35% under SE MP plus professio nals. So salaried will be not lower than 65%. So we have now a little window of another 5%, which we will be using in the next 3 years from now. So I guess this probably in the next year, we could probably look at further bringing it down to around 68%, 32 %.

Siraj Khan : Understood. And just a final one. I wanted to know with respect to the disbursement target, did you mention that in the previous question for FY'26?

Suresh Iyer: See, yes, for disbursement, I mentioned that we will be at target. We will cont inue to hold our guidance for a target of INR12,000 crores for next financial year FY'26.

Moderator: Our last question comes from the line of Jigar Jani from B&K Securities.

Jigar Jani: Just a simple one. The IT Cap ex cost you will be taking completely in FY'26 or this will be apportioned over FY'26 and FY'27? And the INR35 crores that you're talking about every year will start from FY'27 once the Cap ex is completed. Is that understanding correct?

Apurav Agarwal : Hi Jigar, so the Cap ex would be amortized over the life, which is expected to be 6 to 7 years and the annual operational cost would be roughly around INR30 crores, INR35 crores, which we have already indicated. So accordingly, the cost -to-income ratio, we can target to close the next year by close to 18% to 19%.

Jigar Jani : Okay. Understood. And this disbursement target doesn't include any benefit from PMAY, right? You have not included anything from that?

Suresh Iyer: Not much. We have not factored much of the PMAY into this because it is just beginning. We don't know how much is the flow. September onwards, it has started, but we have not started receiving inquiries. In fact, we are still struggling with the common portal, which -- under the PMAY. So I think w e've not factored that particularly into this target.

Moderator: Ladies and gentlemen, that was the last question. I now hand the conference over to the management for closing comments.

Suresh Iyer: Yes. Thank you , Nidhesh , and thank you to everyone for jo ining this call. Apologies that we had to cut short for the shortage of paucity of time. But we are open to any queries that you may have. And so once again, many thanks for joining this call. Thank you.

Moderator: Thank you, sir. On behalf of Investec Capital Services India Private Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Apr 2025

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Dear Sir /Madam ,

Sub: Schedule of Analysts/Investors Meet
Ref:
1. Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.
2. Our letter no. CFHRO SE CS LODR 135/2025 dated 2 4/04/2025

In continuation to above referred letter, please find attached the Transcript of Q 4 FY25 Earnings Conference Call held on April 24, 2025 .

The aforesaid Transcript is also available on the website of the Company www.canfinhomes.com

This is for your kind information and record.

Thanking you,

Yours faithfully,
For Can Fin Homes limited

Nilesh Jain
DGM & Company Secretary

Encl: as above

"Can Fin Homes Limited Q4 FY25 Earnings Conference Call "

April 24 , 2025

MANAGEMENT : MR. SURESH IYER – MANAGING DIRECTOR & CEO , CAN FIN HOMES LIMITED
MR. VIKRAM SAHA – DEPUTY MANAGING DIRECTOR , CAN FIN HOMES LIMITED
MR. PRAKASH SHANBHOGUE – GENERAL MANAGER , CAN FIN HOMES LIMITED
MR. PRASHANTH JOISHY – DEPUTY GENERAL MANAGER & CHIEF FINANCIAL OFFICER , CAN FIN HOMES LIMITED
MODERATOR : MR. NIDHESH JAIN – INVESTEC CAPITAL

Moderator: Ladies and gentlemen, good day and welcome to the Can Fin Homes Limited Q4 FY25 Earnings Conference Call.
As a reminder, all participant lines will be in listen -only mode, and there'll be an opportunity for you to ask questions after the presentation concludes. Should you need assistance to the confer ence call, please signal an operator by pressing "*" and then "0" on your touchtone phone. Please note that this conference is being recorded .
I now hand the conference over to Mr. Ni dhesh Jain from Investec C apital. Thank you and over to you.
Nidhesh Jain : Thank you, Mike. Good afternoon, everyone. We welcome to the Q4 FY25 Earnings Conference Call of Can Fin Homes Limited .
To Discuss the Financial Performance of Can Fin Homes and to Address your Queries , we have with us, Mr. Suresh Iyer – M.D & CEO ; Mr. Vikram Sah a – Deputy M .D.; Mr. Prakash Shanbhogue – General Manager, Mr. Prashant h Joishy – DGM and CFO of Ca n Fin Homes Limited.
I would now like to hand over the call to Mr. Suresh Iyer for his Opening Comments . Over to you , sir.
Suresh Iyer: Thank you, Nidhesh and I welcome all of you to the Earnings Call of Q4 FY25 for Can Fin Homes.
Just to give a Brief of the Performance for the 4th Quarter and for the Year ended March 3 1, 2025.
The few points is that the small issue of e-Khata that we had experienced mainly in Q3 of this year , we have seen some improvement in the dis bursement position and some e-Khata release is also happening , as a result of which , our Karnataka disbursements in Q4 have increased by approximately Rs. 200 crores compared to Q3 of the year. So basically in the month of January and February , we could do about Rs.200 crores each , and in the month of March, we have touched Rs.300 crores. So , that's one positive point , and as a result with other zones also continuing to do well. Our growth in Q4 has been 31% compared to Q3.
Just to give a brief, our N orth Zone, West Zone and Tamil Nadu Zones have grown at 36%, 16% and 27% respectively for the entire year.
In terms of the guidance for the current year, that is FY26 :
We are very positive that we should be able to achieve a 20% growth in disbursements because the three of the zones major zones are already performing well with Karnataka also looking to come back

to the old numbers and what we had seen in H1 even Karnataka s hould be doing around 20% -plus growth , and Telangana, which was an issue for us, has also kind of reached the level from where now we have bottomed out , already in Q4 we have started seeing a small turnaround from the bottom of Rs.70 crores that we had don e in one of the months back to about Rs.100-crore s plus. So we are confident that one Telangana would be in positive this year. So in terms of the growth, we are confident about 20% growth in FY26 .
As per the performance of the recovery , during Q3, we had the increase in the SMA -0 because of the change in the regulatory guidelines which we had indicated that we would be working in explaining to the customers, educating them and more aggressive follow -ups for SMA -0. So that has been done and we are happy that to show that the number of Rs. 770 crore s which had gone up was on account of less than Rs.1,000 overdue, we have been able to collect the majority of it , and as of the end of Q4, this number of SMA -0 has come down by almost equivalent Rs. 700, Rs.750 crores , and even our NPA numbers have reduced in absolute number as well as in percentage and it is at 0.87. As indicated in the previous quarter also , we would say that 0.90 is the kind of number that we are sayin g we can kind of look forward to , it should not be any increase beyond that.
So in terms of the reduction in SMA -0 and the reduction in NPA, we have had an actual write -back

in our EC L provisions in Q4, to the exten

t of about Rs.10 crores. However, as the prudent measure ,
the management has taken a call to have a management overlay of an additional Rs.25 crores. So there was a Rs.34.28 crore s management overlay being carried , added to that, another Rs.25 crores has been done in this quarter , as a result of which our management overlay now is at around Rs. 59.28 Crores or approximately 15 to 16 , 17 bps of the overall book size. So net -net, if you exclude the management overlay, the ECL provisioning or the credit cost would be around Rs.50 crores approximat ely, which is about 13 bps which is lower than the 15 b ps that we have been guiding for throughout the year.
In terms of the other areas, in terms of the strategy that we have been talking about in terms of a shift to a little more towards S ENP category an d a little more towards the North and Western regions, the situation is that from a beginning two years back of about 89% of portfolio being housing including CRE, it has come down to 85%. So , there has been a gradual r eduction and we would like to in the next three years take it down to around 80%. That is including the CRE for housing, even the S ENP, which we had indicated was around 72% was salaried and 28% was S ENP. On the books now it stands at 70% salaried and 30% SENP . So there also the journey has b een going on and in the next three years, we would like to take it down to 65 % salaried and 35 % SENP. So that journey is also on course.
In terms of the branch expansion, there was a plan to open 15 branches during the year, which has also been opened. So the current position stands at 234 branch es. And the new branches also been

able to contribute throughout the year and they have been on course for a normal reaching the profitability in 18 to 24 months' time , which is a normal thing . In terms of the curre nt year , we plan another 15 branches in FY26 again predominantly in the north and the west and a little more few in Tamil Nadu as well. So we are looking at ending FY26 with around 249 branches .
In terms of profitability and in terms of the ratios, our guidance of 2 .5% spread 3 .5% NIM has throughout been maintained in the last year and we would continue to mainta in that kind of guidance for the current year also of a spread of 2 .5%-plus and 3 .5%-plus NIM which would therefore allow us to maintain ROE of 17 approximately and ROA of 2.1 % to 2.2 %. The positive part is that for the first time in the compan y in terms o f the PBT, we have reached the four -digit mark, which is for the first time in history , so that is one positive in terms of profitability .
So in terms of the guidance for the current year also , we would like to have a spread and NIM of 2.5%, 3.5% -plus, ROA of about 2.1 %, 2.2%, that is what it is we are looking at.
I once again welcome all of you to this and throw it open for any questions you can. Thank you.
Moderator: Thank you. We will now begin with a question -answer session. We have the first question from the line of Raj iv Mehta from YES SECURITIES . Please go ahead.
Rajiv Mehta: Sir, how are we going to ensure that SMA -1 and SMA -2 accounts doesn't flow forward? And what mechanisms are put in place for that?
Suresh Iyer: Sure. See , actually in SMA -0, basically it was more of a small change in regulation where the advance whatever was there had to be adjusted to principal, and nothing was being carried. So basically we moved over with educating the customer and being more aggressive in terms of follow up with the customer for the charges , also sending by changing the text of the pre -NACH intimation and all those kind of thi ngs which we will continue in our throughout . This is the new norm now we will be more explicit in our communication to the customer. So , that's basically what we will continue to do . Focus on SMA or we also have a probable SMA like for example fro

m 15th o nwards we start following up
with the customers whose current month EMI has not yet come , because our N ACH cycles are 5th, 10th and 15th. So those there has been a bounce, obviously it starts from the very next day the check bounce happens , and even otherw ise for the rest also we have this probable SMA -0 which we start following up from the 15th onwards throughout.
Rajiv Mehta: I am sorry ; my question was with regards to SMA -1 and SMA -2.
Suresh Iyer: Yes. So basically the SMA numbers also we have to be following up with this only . We are increasing the number of staff also in some of the branches where the numbers are little high and plus we also have increased the c all center , because as the base increases also , we need to have that pressure. So

we have also increased so that repeat calls can be made also to our existing customer s. We are also initiating and following up for skip tracing wherever the numbers are not going through for three or four calls and stuff like that. So these are some of the steps we have also increased or added to our current processes so that we can work on the SMA -1, SMA -2.
Rajiv Mehta: Okay. And sir, my question is on management overlay. So what do we see as the benefit of topping up management overlay or even holding managemen t overlay because we didn't utilize management

overlay in earl y FY 24 when we had that Ambala fraud provision. We made a fresh provision without utilizing the existing management overlay then. So how and when can this management overly be utilized for us ? And especially this question also assumes significance because you also have 49 crores worth of restructured provisions which will get rolled down or released over the coming years as these accounts are closed or transferred. So you already have some kind o f a buffer for provision coming in the future, and plus your top ping management overlay who 's utilization of how and when is not very clear. Can you just throw some light here?

Suresh Iyer: See, basically this restructured portfolio provision that we have been carrying is more of a regulatory requirement and it will be coming down as and when the portfolio gets released that gets close d. So if you see we started out with the opening restructured book of about Rs.720 crores , at that time was around 680 or something, so we started up with a 68 -point something crore s of COVID restructuring provisioning, which now as and when the portfolio has come down to around Rs.480-odd crores , this provision has also been reduced because as and when the portfolio gets cleared or closed , the account gets closed , this will come down . So over a period of the next few years as and when the portfolio goes down , this provision will completely become zero. It will be withdrawn and that you would have seen in the last year , 1.5 years, 2 years also we have been exercising that and reducing that provision . In terms of the management overlay, it is purely just a prudent kind of thing. There is no major concern or anything that has resulted in this management overlay, but it's purel y because from the old PCR concept where at least some of us are used to a net nil NP A also. In the ECL provision calculation in fact, our Stage C provisioning comes to somewhere around 45 % to 48% in that range only. Therefore it's a very low number. So fr om that point of point only we have at least thought that somewhere in the range of about 15 b ps extra if that can be carried. So that was the logic just to have some kind of 10 to 15 b ps extra. So that's the only logic and otherwise there is no reason to say that there is a major concern or anything except that during the quarter there are some fluctuations. So this gives a little more comfort that if at all some fluctuation , though like it happened in this regulatory change which happened in Q3 , if that result , but that othe

rwise is not a major reason. So you are right in a sense , there is no sense in as such carrying that provision because so far at least in the last two years, we have not actually utilized it. Even when it did go up, we made it from the current year profits we provided for the additional provisioning. So from that point of view only it is purely a buffer, it is purely a comfort and strengthening of the balance sheet and nothing more.

Rajiv Mehta: Okay, Sir, that's it. Thank you and wishing you all the best.

Suresh Iyer: Thank you.

Moderator: Thank you. We have the next question from the line of Shr eepal Doshi from Equirus. Please go ahead.

Shreepal Doshi: Hi sir, thank you for giving me the opportunity . So my first question was o n the cost of fund movement. So given the consecutive rate cuts, how do you see the cost of fund trending in FY26 and how will you pass on the rate benefit to the end customers and its implication on the margin for FY26?

Suresh Iyer: Sure. Thanks , Shreepal . See, we had a 25-bps reduction in the month of February and further another 25 bps in the month of April. So , the entire bank borrowing portfolio that we have about 55% or something . That entire portfolio is either linked to the repo rate of 80% of it and the remaining 20% is linked to the T -bill. So those 80% of the bank borrowings that we are having the benefit of the first repo rate cut was passed on to us in the last week of March when we made the interest payments , because t he reset happens on a quarterly basis linked to the interest payment frequency. So that 55% whatever impact is going to come to us is roughly going to be around 5 to 7 b ps which is going to be effective from 1st of April for us . The second benefit of the r ate cut is that the Q4 we raised the Commerc ial Paper (CP), which is about 7% of our book at approximately 7.3 % to 7.4%, whereas now the CP rates have come to below 7%. So that way in fact today in fact when we were looking at something, it was almost in a range of 6.6 %. So anywhere between 6.6 %, 6.7% is what you can consider. So there's been a good amount of reduction in the rates at which we are going to replace the CPs also. So net -net I would assume that the combined effect of both 50 to 60 bps on the 7 % CP that we carry plus the 5 to 7 bps that is coming on the entire book because of the 55% bank borrowing would translate to somewhere around 10 bps by the end of this month for us . So we will look at the next ALCO meeting, we will definitely be consideri ng whether we can pass on to the customers the 10% that we are experiencing. But it will not have an impact on our spread because we know we will be passing on to the customers only after we experience on the liability side. So , we don't expect to have it impacted on our this thing. In terms o f the lending, normally , when there is a lag in passing on to the customers, there could have been some impact in terms of the BT out. But so far we have not seen the incremental lending rates being changed by any of the HFCs or some of the private sector banks also. So it's only on the existing customers, the banks have and that also PSU banks mainly have reduced their rates for the existing customers. Bu t for the new customers, not much except for a few PSU bank s it has not changed . So in fact the slight delay in transmission to the customers also may not have so much of an impact at least till now on the BT out also.

Shreepal Doshi: That 10 basis point s benefit on the cost of fund is assuming only 25 basis point s rate cut. So since there was cumulatively 50 basis point s rate cut, is it fair to assume that the benefit will be 15 to 16 basis point s?
Suresh Iyer: Yes, it could be a little higher up to 20, 25 also. But the point is that that this April rate cut benefit will probably pass on to us by

the end of the quarter only, whereas it is the 50 bps as I said and the CP is already reflected or is already factored in. But in terms of the bank borrowin g rates only the first one has been factored in because we have had one interest repayment cycle in March . But for the April 1, the interest repayment cycle will come in June. So only post that we will experience the second rate cut benefit for us on the b ank portfolio.
Shreepal Doshi: Got it . Got it. Got it, sir. And there's no impact on margin is what you're highlighting for the full year?
Suresh Iyer: Correct, correct.
Shreepal Doshi: Got it. The second question was on the provisioning bps. So we are carrying almost 15 to 16 basis point s of this management overlay. So is it fair to sort of assume that next year we might do provisioning which would be lower in terms of the run rate or from the guidance point of view as we can also absorb some b ps from here?
Suresh Iyer: As for the provisioning , yes, it will definitely be below 15 b ps because whatever impact of the restructuring , whatev er impact of the stickiness, whatever other things have all been factored in. So what I would say is the present NPA of 0.87 is the figure which is not going to increase or is not going to see any major change. So having said that, I believe next year in fact the provisioning may not be as much and therefore we may not be required to make . So the guidance of 15 bps for the credit cost , but I guess it should be lower than that.
Shreepal Doshi: Got it. So one last question was on the tax rate front. So this quarter the tax rate was just 16% and for the full year it is closer to 20%. So could you just explain the difference her e like?
Suresh Iyer: Sure. See , basically, if you go back in time that is in October '23 post -September results, we had a review of our tax rates and the 36 (1)(viii) benefit which was not getting captured into our tax calculation was done. Therefore , our tax calculation at that point in time, which was 25% without considering the 36(1)(viii) benefit was reduced to 21%. And that was what was in line with the industry a nd everything because subsequently the 36(1)(viii) would come later post the assessment. So, when we change that calculation methodology in 2023 October, so at that time there was for the first two quarters of '23 that is June '23 and September '23 quarter , there was already a Rs.19 crores excess provision for tax, which was already provided for. Now , that time the assessment order has just been done this year in Q4, therefore, that Rs.19 crores has been reversed . So that we have actually

reduced the provis ion for taxation in the current quarter. That is why it is looking at a lower rate . Otherwise technically for the quarter the actual provision for taxation is around Rs. 242 crores. But because of this Rs. 19 crores reversal on account of the the assessmen t order getting passed, net is Rs. 220, Rs. 222 or something . Okay? In fact, this Rs. 19 crores which was also a write -back because of a previous year calculation is also what prompted us to take this management overlay otherwise it would have been unneces sarily looking at a current year profit which was actually pertaining to previous year. So that was also one of the reasons which prompted us to also use that previous year income to strengthen our balance sheet.
Shreepal Doshi: So going ahead there will not be any reversal from the t ax point of view, right?
Suresh Iyer: No. In fact, the full year of FY25, we have gone with the revised calculation only, which also has now been as part of the assessment getting closed has also been accepted and cleared . So basically now the rate would be 21% approximately, which is what is the real tax rate.
Shreepal Doshi: Got it . Got it , sir. Thank you so much, sir. That was helpful. Good luck for the next quarter.
Suresh Iyer: T

hank you.
Moderator: Thank you. We have the next question the line of Abhijit Tibrewal from Motilal Oswal. Please go ahead.
Abhijit Tibrewal : Yes. Thank you and good afternoon, sir. Sir, just trying to understand on the OPEX side. If I look at your other OPEX , slightly elevated versus what we a re used to seeing. Any one-offs there on the expens es side?
Suresh Iyer: No, nothing . In fact, only because of this provision management overlay that we have taken we have shown it as this thing. Otherwise , there is no other specific reason for this . No other expenses or one-offs have come in other than this . There is no other reason. It's all been in line with the normal for three quarters .

Abhijit Tibrewal: Management o verlay that you have created during the quarter would have got routed through the provisioning line item, right , if I am not wrong?
Management : It will come under impairment , which will form part of the cost when we divide the cost -to-income ratio.
Abhijit Tibrewal: That's not part of OPEX , right?

Management : Yes, it's not part of OPEX. Disclosure also if you see the SEBI format it comes above the line before the debt comes.
Abhijit Tibrewal: Got it. O kay, fair enough. So the other thing was I was trying to understand is while in your opening remarks you did speak about things getting better in Karnataka more e-Khata is coming in . If you could for the benefit of all of us help us understand how should we look at things evolving in the coming months, right , what is it that you are hearing from your regional managers on this probl em and what is the status today and by when are things expected to get fully normalized?
Suresh Iyer: See, in case of Karnataka, at least in the Municipal Corporation limit of Bangalore, in fact they have already sorted out this e-Khata issue. So there's b een a good trickle of e-Khata s coming out on a regular basis. Whereas in case of the UDA that is the urban development authority and the panchayat it has still not been done although the government has been working towards resolving that issue also. But ha ving said that, even this small impact of this Municipal Corporation limits getting resolved what has happened is our disbursements in Q3 had dropped to approximately Rs.150 crores per month. We were doing about Rs.275 crore s per month disbursement in Karn ataka which dropped to around Rs.150 crores for the Q3 . In Q4, things slightly started improving from January. So in January we were able to just push … and of course there was also a slight shift in strategy where we started pushing for a little more of LAP because for LAP cases we don't need a refresh registration because the customer is already having the property document. So for LAP also we slightly pushed . But having said that this change of this Municipal Corporation limit e-Khata also helps. So Janua ry and February we were able to touch Rs.200 crore s and in March of course there was a little push also plus a little more improvement in the e-Khata . So we were able to touch about Rs.300 crores . So compared to around Rs.450 crores to Rs. 475 crores or something that we have done in Karnataka in the third quarter, we have done almost Rs.200 crore s more in Karnataka alone in Q4 compared to Q3. And with this panchayat and urban development authority areas also getting resolved which we hope w ill happen in Q1 , I think definitely we should be back to Rs. 75 crores disbursement per month numbers for Karnataka very soon.
Abhijit Tibrewal: Got it, sir. This is useful . Just to understand this a little better. While you have guided for 2.5% spreads and margins of 3.5% plus , so trying to understand that till now we have not passed on any interest rate cuts to the customers and maybe we will do that in the upcoming A LCO meetings ?
Suresh Iyer: That is correct. We have not done because as I said we exp

erienced it only in the last week of March when we made the repayment. So , now the actual impact is going to come now. So we will now examine the exact benefit that we are getting and take a call in the next ALCO.
Abhijit Tibrewal: Got it. As of now, th e initial expectation is maybe at the entire liability book level, we will see a 10 basis points kind of a decline which we hope could get passed on to the customers ?

Suresh Iyer: That is correct. That is correct.
Abhijit Tibrewal: Got it. And so to that i nstance, I mean you also suggested earlier in the call that you are not seeing any additional aggression from HFCs or private banks even after there have been two rate cuts already, right?
Suresh Iyer: That is correct. We have not seen major rate cuts in the incremental lending rate from the H FCs and some of the private banks.
Abhijit Tibrewal: Got it. O kay. Thank you so much for being so patient. Lastly, this guidance that you gave earlier during the call of a 20% growth in disbursements in FY26, I mean, are there any additional things that you would be doing this year beyond expanding 15 more branches , focus on self -employed , focus on LAP that you spoke about earlier in your call, right? Because what I am trying to understand is somewhere during this year , we are also going to see that tech transformation that we have started, right? So just trying to understand I mean, how confident are we about this 20% disbursement growth this year?
Suresh Iyer: See, I will just share some numbers. Like our N orth zone last year consistently throughout the year, quarter -on-quarter we were able to have a good healthy growth of 25% -plus and ended with more than 30% growth by the end of the year. Same with Tamil Nadu also was co nsistently able to show a growth throughout the year and ended up with around 25% of growth . West zone also has had a consistent growth and throughout the year was positive and ended with around 16% growth. Karnataka was around 20% growth in H1, but becaus e of this e-Khata issue, it dropped and we could end the year with around 3% growth. So technically F Y24 we were doing about Rs. 220 crores per

month, which was the average because we did about Rs.2,650-odd crores in FY24 in Karnataka and that was working out to Rs. 220 crores . In H1 we reached about Rs. 275 crore s, which was clearly a 20% growth. But now because of this e-Khata issue, we could end with only a 3% growth. So we are back to Rs. 225 crore s average for the entire year and Karnataka has ended so mewhere in that range of about Rs. 2,700 crores for the entire year. So at Rs.275 crore s also if we are able to do Karnataka we w ould also be able to do 20% growth . And in Telangana as I mentioned in my opening remarks, base itself has gone down to a level of just about Rs.100 crores per month, which is way below what we have earlier achieved. So even from here, we have already started witnessing the turnaround. So we can expect a 15 %, 20% growth . So this would be the normal thing. Now , the second thing is last year you would recall we had started this marketing or sales department with a small team of 30 , 35-odd people. So in Q3, the team was able to contribute in the entire quarter s omewhere in the range of about Rs. 60 crores, in Q4 that has number has increased to about Rs.100 crores. That is in three months put together. So having said that it gives confidence that this team with a little more addition of staff now should be able t o start contributing a little more. Same also for the case of the branches which we have opened in FY24 they have started decent disbursement of about 75 lakhs per month

per staff plus in the year and this current year they would be doing a little more , plus the branches which we opened this year will also add a little bit. So basically these are the things w

hich will
definitely contribute . And as per the tech transformation , yes, it is expected in Q3. So , we are already working towards minimizing the impac t or… I wouldn't say there will be zero impact , but definitely we are trying to work towards minimizing the impact of that transition so that it doesn't affect our Q3 numbers also much.

Abhijit Tibrewal: Got it. T his is very, very useful. Thank you and wis h you and your team the very best.

Suresh Iyer: Thank you, Abhij it.

Moderator: Thank you. We have the next question from line of Shweta from Elara. Please go ahead.

Shweta: Thank you, Sir for the opportunity. I have a couple of questions. The first one being that you guided for restriction of NPA till 0.9% -odd l evel and for the whole of FY25, we have seen provision for NPAs around 150 , 160 -odd broader range. So , do we expect that quantum also to slide in the forthcoming year? Second is so I joined that b it late -.

Suresh S. Iyer: 150 what -?

Shweta: The provision which is held for NPAs for throughout the year , each quarter, has been somewhere in the range of 150 to 160. So , do we expect that also to come down given that we are guiding for 15 bps below cre dit cost and also GNP A we are aspiring to restrict to 0.9% -odd levels. That's the first question. Second is on the dis bursal front . I joined late. I am not sure whether you covered this. So given the fact that now you are saying like we closed March with Rs.300-odd crores per month disbursement. So which means for at the quarterly run rate level can we easily put up closer to 30 -odd billion of disburseme nts going forward and Q1 per se will start looking better than what we posted in Q4 around 24 -odd billion ? And lastly, so you mentioned that the long -term goal or couple of years down the line we'll be seeing 65 :35 mix, right, but the DSA sourcing continue s to move higher and it's around 82% and even for incremental disbursements, it's 80%. So how do you see this sourcing mix changing with that AUM mix shift? Ye s. Thank you.

Suresh Iyer: Sure. I will take one -by-one. Thanks a lot, Shweta. First, on the prov isioning side, yes, our guidance would be for about 15 b ps, but I am fairly confident it should actually end up below. In fact this year also excluding the management overlay , our credit costs have been to the tune of about 13 b ps or something only because in the first three quarters we had a cumulative provisioning of about Rs.60 crores. But in Q4 we had a write -back of Rs.10 crores. So net about Rs.50 crores is what is the provisioning which works to around 13 bps or something. So next year als o with the majority of the impact of all these restructuring, everything already built in I don't expect the NP As to go up much except for the percentage to be almost in the range bound only. So yes, it could be lower than 15 b ps,

but as a general practice we are being prudent in our guidance and we would say about 15 bps would be the guidance for provisioning though it would be definitely lower. The second thing is disbursement. We mentioned Rs.300 crores. We touched for Karnataka as a state in the month o f March. Now , obviously March is one month where for reasons unknown it's always magic in math in March. But having said that normally Q1 and Q2 are a little more subdued. So 2 ,400 that we have done, I would rather say we would target somewhere around 20% over Q1 of last year because the momentum of March normally doesn't sustain in April and May considering there are too many holidays, too many vacations and all those things , plus also post -March, always in Q1, Q2 is a little lower, it's 45 %, 55% H 1, H2 ki nd of a break up. So I would say 20% in Q1 over Q1 of last year is what I would say would be a more realistic number for disbursement. Third question was regarding DSA sourcing . Yes, we have been guiding for bringing it down to 60 :

40. I mean this year we h ave
just been able to bring it down from 82 to 80. So it's been a little slow in terms of progress compared to what we would want, but it has been a very stable set of DSAs . So there is no reason to kind of discontinue them or to pull them out or stop doin g business from them. So basically they have been solidly supporting us, but yes, our direct sourcing or sales team will also keep pushing and we will see some improvement coming from there. So , yes, gradually this number will come down and the sales team business will keep going up, but so far it's been slower progress , but we would like to see it come s down slightly.

Shweta : Sure. Thank you, sir.

Suresh Iyer: Thank you.

Moderator: Thank you. We have the next question on the line of Umang Shah from Kotak Mutual Fund. Please go ahead.

Umang Shah : Yes. Hi, good afternoon. Thanks for taking my question. Suresh, I have a couple of them both on asset quality. One is, is there any particular segment of the loan book which you are in particular worried about be it non-housing portfolio, the restructured loans, the SMA piece, is there any part of the loan book that worries you today ?

Suresh Iyer: No. In fact, we have looked at it. Restructuring book was o ne that's where we started actually doing this management overlay. But maximum guidance we had given was that 18% of the restructured book would be in NPA. So , as we end the year actually two things have happened ; one is the outstanding portfolio of the re structured pool has also come down from around Rs.720 crores at this peak to around Rs.480 crores or something now , plus the ratio also from 18% has come down to around 17%. So during one of the quarters we had said it might peak to around 18%, which it did. But now as at the end of the year, in fact it has actually come down. So in the restructured pool also, we don't see much of an issue . And during the year we have experienced … both we have been

monitoring both the salaried segment as well as the self -employed segment as well as a little bit of a geography -specific NP A also. But again, there only Telangana slightly showed more increase compared to the others , but there also in the Q4 we have not seen any major change. So in fact in Q4 that also slightly changed. So , I would believe that also is now under control and probably we have peaked out in terms of Telangana delinquencies also.

Umang Shah: Okay, okay. Suresh, that brings me to my next question . I am just trying to understand the management philoso phy on provisions , right. I mean if I look at your last decade, there have been only three instances where your credit cost has crossed even just 25 basis points. One such event was Ambala incident , the second the other two years were actually COVID years, right. So barring that your credit cost has been fairly below 20 basis points . If I look at all the other matrices, be it stage 3 provision cover, be it overall ECL on the book with or without management overlay, or with or without the provision or restru ctured loans, it feels that we are adequately covered, right? I mean so what is it that the management or the board is kind of targeting when we are talking about conservatism b ecause it appears that we are fairly provided for , I mean all through the call your commentary has been fairly upbeat about credit cost and asset quality. So just trying to understand then what's the rationale of holding the management overlay ? And a related question is that assuming we are just holding t hese provisions on the balance sheet, under what circumstances will these be utilized , right , if we don't really have intention of utilizing it, let's say in the normal course of business ?

Suresh Iyer: Yes. Thanks. I will j ust tr y to explain, Umang. Basica lly, you are right , I mean we don't see a major kind of a reason to hold the overla

y except for the fact that post in the ECL scenario, our stage 3 PCR
has always been below 50% which always we have been used to maintaining at a higher level. So that was s lightly one issue where that is we thought if we can have something like a 15 to 20 b ps extra buffer over and above our normal ECL provisions, that would help. So that was the basic one point . And second as I had mentioned earlier this year, we also had ap proximately Rs.19 crores of tax refund which was pertaining to the FY24 wherein we had in the first two quarters of FY24 provided for an extra provision for taxation which post the closure of the assessment, we have got a refund or we have got adjustment i n our tax. So basically that was one aspect also which triggered us to kind of take this view that the same Rs.19-odd crores would also help in kind of build a stronger book. But otherwise there is no reason to look at it. As for when we would want to take it back, as you rightly pointed out, the last 10 years also in gross NPA, we have never crossed 1% , in terms of our credit cost, we have not had a major setback or a major spike in any of the years barring the Ambala incident mainly. So I guess it would be a kind of a buffer, maybe we'll have to see when we can kind of take a reversal. But as of now, it's purely just the kind of comfort that we have about 15 bps extra which is there as a management overlay.

Umang Shah: Sure. And just the last one is that on stage 3, again, I mean we run a 100% secured book , in fact our

stage 3 PCR would be comparable if not better than some of our p eers, so do we have any particular stage 3 provision cover target number in mind or we are comfortable at about 45 , 50%-odd?
Suresh Iyer: No. See actually ECL provision when we look at this thing probability of default definitely works based on the performance of the account for the last five years, which is a purely actual data based analysis but the LGD which comes out is also a factor of the assumptions that we have been taking and we have been very stable in the assumption that we have been taking right from day one in what period the accou nt once moves into NP A, will come out of NP A and things like that. So I think th ese assumptions will remain and therefore this 45 % to 49% kind of coverage on stage 3 will probably continue. There is no other reason. It's purely a matter of the assumptions that we have considered for the purpose of originator LGD from the PD.
Umang Shah: Understood. And Suresh, just one last question is, I mean you kind of answered it in fair, fair amount of detail about your conviction for a 20% dis bursement growth in FY26. But assuming if at all there is any disruption in the third quarter because of this whole tech transition and assuming you have to work with just about 11 months in FY26 when it comes to loan origination, would you still be confiden t of achieving a 20% sort of a growth rate for the full year assuming e verything else remains constant ?
Suresh Iyer: Yes. So if everything else remaining constant, yes, we are confident, it should be a 20% growth in disbursements and we are targeting that , so that would be somewhere between Rs.10,000 crores, Rs.10,500 crores is what it would come out to. Yes, we are confident that unless there is a major disruption which we are trying to minimize, there should not be a major change and th at should not impac t our growth target of 20%.
Umang Shah: Alright . Perfect . Thank you so much for taking my questions. Wish you all the best.
Suresh Iyer: Thank you, Umang. Thank you.
Moderator: Thank you. We have the next question from the line of Kushan Parikh from Morgan Stanley. Please go.
Kushan Parikh : Sir, thanks for taking my question. My question is largely on the margins and the lending rates. So we spoke about passing on the cost of fund benefit as and when we experience it to the cu

stomers .
Just hypothetically wanted to understand , is this practice works in the sense , will the customers continue to remain happy with like 10 b ps kind of pass on in terms of the rates going forward as and when we see the benefit in our borrowing costs and that should be sufficient to keep the balance transfers in check or if we see any aggressive rate cut coming in the market from banks, will we also have to follow suit or do you think it is sufficient on a regular basis?

Suresh Iyer: Traditionally, HFC s have been following this practice of passing on only after they ex perience it on the liability side. And so this practice I think is a is a generally accepted practice in the market. The second thing is that in the current scenario where as I had mentioned that the current HFCs players have not reduced the rate because n one of them have experienced the benefit on their l iabilit y side , even some of the private banks have not increase d or reduce d the rates for the incremental lending for their customers. So , even if my customer wants to shift, they will not be able to get t he reduced rate because that is only for the customers who were in the books of a bank as on a particular date of the repo rate cut , whereas for the incremental rates it continues to be the same, O kay? And in fact the pressure is still there on the banks f or borrowing because the deposit rates have not come down and in fact what we have experienced is that banks have still been reluctant to pass on the repo rate cut on incremental loan. So , for example , a bank which was lending to us that prior to the rate cut cycle was lending to us at repo rate plus 150 basis points , roughly around 8%. That is now saying that even after the reduction they would be comfortable giving it at repo rate plus 170 bps basically because they are also having a pressure on the spread on the margins. So going forward also I don't expect that incremental lending rates to come down that first, although it may have some impact to the customer s. So I guess the 10 basis points will be sufficient provided others are also in the same li ne. The second point is whether there will be BT pressure. Yes, normally in such scenarios because of the lag effect, there will be some impact on BT out. But at least in March we have not experienced this and as long as the incremental lending rates do no t come down, the other players also will not be very aggressive to cut their rates.
Kushan Parikh: Understood . That was quite a detailed answer. That answers my question. Thank you.
Suresh Iyer: Thank you. Thank you, Kushan .
Moderator: Thank you. We have the next question from the line of Aditi from CD Equ isearch. Please go ahead.
Aditi : Good afternoon, sir. Sir, my first question is like why have the dividend payout ratio substantially increased this time.
Suresh Iyer: Sorry, dividend p ayout ratio -.
Aditi: Has increased substantially this time.
Suresh Iyer: So basically the general feeling was that for the retail which is about 20 %, 22% of our shareholders , at least a dividend payout ratio used to be in the range of about 8 % to 10% . So at least we thought that close to 20% dividend payout ratio would be healthy . So that's the main reason why we have

been doing it. But I guess now that we are almost at 18.9% or something as the dividend payout ratio . I think now going forward probably we will kind of limit it to this 18 % to 20% range of dividend payout ratio. But basically it just started with the thing that we should at least be having a 20% kind

of dividend payout ratio, which for us was very, very low about say three years back or some thing as low as about 7 -8% or something. So that was only justification. But going forward, as I said, we might probably retain it at around 18 % to 20% kind of a range in which we will wa

nt to have the dividend payout ratio.

Aditi: Okay. And sir, what are the challenges the compan y is facing in increasing loan book?

Suresh Iyer: Sorry, sorry. Can you repeat the question?

Aditi: What are the challenges we are facing in increasing the loan book?

Suresh Iyer: Obviously , the challenge is that we need to have a higher growth in terms of our disbursements. We are having a 16% run down in our book on an average for the entire year. So obviously if we have to do a 20%, we will have to do 35 %, 36% of our loan book which is what we will have to dis burse in the current year to have a 15% AUM growth . So basically it's clearly a function of our disbursement that will drive the AUM growth.

Aditi: Okay. A nd how will that happen like are there any macro economic challenges that you're facing?

Suresh Iyer: Yes, we have been di scussing that . Since last year in fact, we had a challenge on two fronts , two of our major markets basically , that is Karnataka and Telangana. Karnataka was more of a temporary issue whereby the registration process was changed in the state , as a result of which we have had some delays in the registration of documents sale transaction. That affected our business and the state where we were experiencing about 20% growth , had to slow down and we ended up with around just a flattish or a 3% growth in Karnataka. And it's a major market for us because that contributes about 30%, 35% of the incremental disbursements for us. The second market where we were affected was in Telan gana, where more of a sentiment issue. I would say more of a long -term thing where there would be a change in the entire growth for the state itself. But having said that there also we have kind of bottomed out and I believe from here onwards on that lower base, we will definitely have a growth from there also. So these are the two major reasons why we have had a n impact on our growth in disbursements, which has affected our AUM growth.

Aditi: Okay. And sir, like are you planning any change in funding to re duce the cost of borrowing?

Suresh Iyer: Madam, we have about 55% borrowing from our banks and the only change I would see is one is that NCDs we'll have to raise a little more because we have a requirement of 25% of incremental borrowings has to come from market which will be NCDs basically. So that now which is around 19%, will slowly inch up to 25% in the next two years and would probably remain at that. The second change which should happen is that the National Housing Bank has come out with mortgage -backed securities, fundraise program where they will be raising bonds or NCD s basically and against the

receivables of the portfolio held by lending institut ions, that is the HFCs to start with . The pilot project is being currently under process. They would be doing it . Once that process is done, I think the N HB is planning now in going forward raise more funds from the market and then give it instead of a refinance where there are limitations in terms of how much they can lend. So that would be another source which would open up for us in the current financial year. We are also looking at participating . The program is such that the NHB will raise and also be one of the participants to that. And so that will be giving us something like enhancement for us for t he institutions because they are the ones who are also doing this inspection and monitoring of the H FC. So they will be also coming in as one of the backups for this and there will be an M RR of about 10% which the institution will have to have . And as the pilot is being worked out , once that is successful , more and more HFC s will be getting involved and participating in that mortgage -backed security debenture issuance which should also increa se our borrowing avenue .

Aditi: Okay, sir. Thank you.

Suresh Iyer: Thank you.

Moderator: W

e have the next question from the line of Pavan Kumar from Ratna Traya C apital. Please go ahead.

Pavan Kumar: I wanted to understand what would be the cost -to-income n ext year because the thing is in FY25 there has been a decrease in terms of the OPEX what I see , given your IT investments, etc, what do you think will be the cost -to-income going forward maybe for the short to medium term ? And also one particular thing I noticed on your balance sheet was the amount of investments has gone up and so as the debt. So what is the reason behind that, can you just throw some light?

Suresh Iyer: Sure, sure. So first is the cost -to-income. So the cos t-to-income in fact for FY26 we don't see much of a change , it will be almost in the 17 % give and take a few basis points. I think that would be the cost-to-income ratio for the current year . Because the IT transformation costs that are going to come in, will actually kick in from F Y27 only that is April '26 only. The reason being that the project was given in the month of January. So , there is a 12 -month implementation period , followed by a three month handholding. So basically till March '26, whatever exp enses are there , will all be capitalized as the project implementation phase and therefore the actual cost which will be the depreciation as well as the annual maintenance contracts and all those things will start coming in from FY27 only. So FY26 we expec t the thing to be around 17%, but FY27 onwards, I think it would go up by about one percentage point somewhere in the range of 18% it should be , because the total cost would be around Rs.55 crores including the CAPEX and OPEX but the current Rs.15 crores that we are spending currently per year for our IT expenses, that will stop post our moving to the new CBS. So effectively the net impact will be about Rs. 40 crores for the year, which would be around 1% of the

overall this th ing. So FY27 we can expect the cost -income ratio to increase to around 18% , but for the current year we think it will be around 17 % only. The second is the investment in -

Pavan Kumar: Right, right. I was asking about the increase in debt and also the oth er side increase in invest ments .

Suresh Iyer: Yes. The investment basically is we have done about Rs.400 crores of additional investment for our LCR purpose because as our book is increasing, we need to also increase our LCR , plus the regulatory LCR requir ement move d up from 60 % to 70 % and this year it has already moved out to 80%. So from 70 % to 80%. So basically for our LCR purpose we have had a n investment during the year of about Rs.400 crores . That was the one for the investment purpose. I think you asked something about increase in expense also , right?

Pavan Kumar: I can see your debt, which is like that is deposits plus your borrowing has gone up from around Rs.33,800 crores to around Rs.38,000 crores . So I was just like what has changed in this par ticular quarter for that to have happened?

Suresh Iyer: No, if you are going by the presentation , first of all, my apologies. There is one small presentation page that I think the total borrowing is showing as Rs. 38,000 crores, right? I think that is what you're referring to. Yes, actually there is a mistake ; it is Rs.35,289 crores actually. So the increase in borrowing has been to the extent of about Rs.3,400 crores, which is similar to the kind of increase in our AUM also.

Pavan Kumar: Okay. Got it.

Sure sh Iyer: Thanks. My a pologies.

Moderator: Thank you. We have the next question line of Sah ej Mittal from 3P Investment Managers . Please go ahead.

Sahej Mittal : Hi. Good evening, team. Sir , just one clarification. So our disbursements in 4Q ex of Karnataka and Telangana is around Rs.1,450 crores. Is that number right?

Suresh Iyer: No, as I said about Rs.1,600 to Rs.1,700 crores is the disbursement other tha

n Karnataka for us in Q4. We have don e Rs. 2,455 crore s disbursement , of which about 700 -odd crores is from Karnataka. So 1,700 approximately is somewhere that number is where we have done from other than Karnataka.

Sahej Mittal: Okay. And this number for 3Q would be ?

Suresh Iyer: For in Q3 we had about 1 ,879 crores of total disbursement, of which close to 475 crores or something was from Karnataka. So roughly about 1 ,400-odd was from the rest of the states . So 1,400-odd or something has gone up to 1 ,700 in Q4?

Sahej Mittal: Got you, sir. Per fect, sir. Thanks and all the best.

Suresh Iyer: Thank you.

Moderator: Thank you. We have the next question, the line of Gaurav Jani from Prabhudas Lilladh er. Please go ahead.

Gaurav Jani : Yes. Thank you, sir. Firstly, sir, just wanted your assessment of given the deposit rate cuts, how do we plan to sort of control the repayment rate in FY26, right, because banks have already started reducing the deposit rates be it bulk or SA . So I am sure there will be an increase in c ompetition in the housing space. So how do you plan to tackle that?

Suresh Iyer: So actually we are discussing that we will be passing on some benefit of the borrowing cost advance benefit that we get in to our customers , about 10 bps right now and probabl y another 15 -odd bps in Q2 is what might be able to pass on, which obviously will be lower than what banks are doing. So particularly in our 50 lakh plus segment where the competition is definitely there directly with the PSU banks and the large private se ctor banks , there definitely there could be some pressure and we will have to look at some retention or something for the customers . So that depending on the strength of the cases, credit score, the interest rate, we will be looking at something on a case -to-case basis for those customers. But for the below 50 lakh probably it may not be as much b ecause there the main competition at least up to the 35 lakh, mainly from the other HFCs and smaller banks. So it is beyond that which is a small percentage for us , we will definitely have to look at some retention

policy over and abo ve what it is there. So depending on the CIBIL score, depending on the repayment track, we will be reviewing our policy.
Gaurav Jani: Sir, just want to reconcile some numbers and just wanted your comments on growth, right. So assuming a 20% disbursement growth on a 15% repayment rate, that translates to about a 12% AUM growth. So how do you plan to actually increase that number going ahead ?
Suresh Iyer: See, current year , yes, we a re looking at a 20 %-odd growth. Our run down generally is around 1 ,300 and something crore s per quarter. So approximately Rs.5,600 crore s is the run down that we are looking at for next financial year. So to have a 15% growth, we should be somewhere in the range of about Rs.10,500 or something crores of disbursement we should have to be able to arrive at a healthy growth. So obviously we will be trying for that and that is what we have said that 20% disbursement growth resulting in a 13 % to 15% AUM growth i s what we will be looking at.

Gaurav Jani: And then lastly, if you could just quantify the investment income for the FY25? Last year it was about Rs.125, 126 crore s.
Suresh Iyer: I think we will come back to you on that.
Gaurav Jani: Sure. That is it from my side. Thank you.
Moderator: Thank you . Ladies and gentlemen, that was the last question. I would now like to hand the conference over to Mr. Suresh Iyer for closing comments.
Suresh Iyer: Yes. Thank you very much. I once again thank all of you for taking your time out and I hope all the queries have been answered and if there are any more queries feel free to always get in touch. I guess we have answered, I will just come back on the investmen t income , probably I wi

ll revert back to
Mr. Gaurav, right. Thank you once again to all of you for joining in the earnings call for Can Fin Homes.
Moderator: Thank you. On behalf of Can Fin Homes Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Jul 2025

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CFHRO SE CS LODR 216/2025
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Dear Sir /Madam ,

Sub: Transcript of Q1 FY2 6 Earnings Conference Call
Ref:
1. Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.
2. Our letter no. CFHRO SE CS LODR 209/2025 dated July 21, 2025

In continuation to above referred letter, please find attached the Transcript of Q 1 FY26 Earnings Conference Call held on July 21 , 2025 .

The aforesaid Transcript is also available on the website of the Company www.canfinhomes.com

This is for your kind information and record.

Thanking you,

Yours faithfully,
For Can Fin Homes limited

Nilesh Jain
DGM & Company Secretary

Encl: as above

"Can Fin Homes L imited
Earnings Update Call"

MANAGEMENT : MR. SURESH IYER – MANAGING DIRECTOR AND CEO
CAN FIN HOMES LIMITED
MR. VIKRAM SAHA – DEPUTY MANAGING DIRECTOR
CAN FIN HOMES LIMITED
MR. PRAKASH –PRESIDENT
CAN FIN HOMES LIMITED
MR. ABHISHEK MISHRA – CHIEF FINANCIAL OFFICER
CAN FIN HOMES LIMITED

MODERATOR : MR. NIDHESH JAIN – INVESTEC CAPITAL SERVICES

Moderator: Ladies and gentlemen, good day and welcome to Earnings Update of Can Fin Homes Limited, hosted by Investec India. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchstone phone. Please note that thi s conference is being recorded.

I now hand the conference over to Mr Nidhesh Jain from Investec India. Thank you, and over to you, sir.

Nidhesh Jain : Hi, thank you, Avirath. Good afternoon, everyone. Welcome to the Q1 FY '26 Earnings Conference Call of Ca n Fin Homes Limited to discuss the financial performance of Ca n Fin Homes and to address your queries, we have with us Mr Suresh Iyer, MD and CEO; Mr Vikram Saha, Deputy MD; Mr Prakash, President ; and Mr Abhishek Mishra, CFO of Can Fin Homes Limited.

I would now like to hand over the call to Mr Suresh Iyer for his opening comments. Over to you, sir.

Suresh Iyer : Thank you and welcome to everyone for today's earnings call for the first -quarter results of Can Fin Homes. As just informed, we just want to first of all introduce that we have our new CFO, Mr Abhishek Mishra, who has joined and he is also present i n this call today. He has just joined on 30th of June. And as you would recollect that in the month of December, we had put up the notice regarding the resignation of our previous CFO.

And thereafter he, you know, his last day was on 19th of March. So now we have the new CFO, Mr. Abhishek Mishra joining. Now to the certain points about the business. For the first time first of all we discuss few positive points or a few positive things about this quarter. First is that in terms of the disbursement, this is the first time in Can Fin history that we have in the first - quarter crossed the figure of INR 2,000 crore s disbursement. So it's a 9% growth in terms of disbursement.

To break it down further into the zone -wise performance, we have the zones of North , West and Tamil Nadu, which continue to carry -on the momentum from where they left off last year and they are continuing to be in the positive. No rth zone is upwards of 40% positive in Q1 compared to-Q1 last year, 35% plus is for Tamil Nadu and West zone cont inues to at 15%. Additionally, we have the East zone, which was flat last year, which has also this quarter got into the positive mode and is doing at about more than 40% growth in terms of the disbursement.

In terms of the two other major zones and state key areas where we have business that is Karnataka and Telangana, Telangana for us has not shown any major turnaround or anything in terms of business and continues to have a negative growth. Karnataka, on the other side is almost flattish. We are still d oing about INR200 crores of disbursement, mainly because of the e-khata issues pertaining to the panchayat areas and development authority areas continue.

However, on the positive side, the state government had announced that they would be taking some decisions and would be trying to resolve this issue in July. And just a few days back, there

was such an announcement that the state will be allowing the b-khata properties to be converted to a-khata. So that is one development.
The second development is that yesterday itself, just yesterday for that matter, the state government has released a full -page advertisement wherein they have indicated that customers or can get the e-khata for their properties from the Seva Kendras by paying INR45 and they've also come out with a self -help app or a tool which people can download, which will help them on online registration of e-khata that can b e done.
So the state government has trying to p

romote and trying to streamline the issues. So hopefully,
in this quarter, we should definitely see a positive. In terms of the business in Karnataka, we have had good inquiries, but we are not able to log -in because we are facing issues of e-khata .
Incidentally, in terms of recovery also, we have had almost close to INR1.5 crores plus of properties where we have done the SARFAESI sale-in Karnataka, but we are not able to execute this sales certificate only because of the e-khata issue. So it's no, that also is there. Otherwise additional INR1.5 crore s of collections would have come.
Second, in terms of the second positive in terms of the collection is that the total delinquency that is SMA -0 plus SMA -1 plus SMA -2 and NPA put together for the two p ositives here. One is that for the first time that in the Q1 results, the delinquency, which normally always goes up, has actually come down from the March number.
In fact, last year in Q1, there was increase in the total delinquency by about INR360 crore s from March '24 number, whereas in this quarter compared to March '25 number, the total delinquency has come down by INR280 crores. And the second positive in terms of the collections is that this is the lowest delinquency percentage in the last five quar ters that the company has registered.
So these are in terms of this.
However, while the total delinquency has come down, there is increase in the total NPA, which is actually a sequential thing because I mean every year in the first -quarter, there is a sp ike in the total NPA. Last year in Q1 last year, there was an increase by about INR39 crores, the year before that by about INR32 crores. In this year, it is about INR45 crores.
However, in fact, additional point this quarter is that we have, as part of o ur analysis of recovery, we have identified 96 specific accounts which are very, very sticky and totaling to about INR13.90 crores, which we have allowed to flow to NPA so that we can recover during the remaining nine months through our actions.
So this i s in terms of our disbursement and collections aspects. For coming back to the disbursement portion, we have last two years opened 29 branches. This Year, we are planning to open 15 branches for which all the 15 branches, the efforts have already been init iated so that in the first -half that is by September 30 itself, we can open all these 15 branches.
The other point in terms of disbursement or the mass existing is the sales, which we had started last year with about 39 odd people. During the year, that is effective 1st of July, we have added

or increased the strength of the sales team and taken it to 100 people by adding another 63 people.
So therefore, that is the major thing.
We saw the additional branches which will be added dur ing the coming quarters as well as the increase in the sales staff is what we expect to help in pushing business in the coming quarters.
Already in this quarter compared to last year where the sales team was contributing to about 4% of the total business -- incremental business, in this quarter, the percentage has increased to 5%.
So the same team of, 37 -39 people has been able to contribute a little higher in terms of the business. Now to other areas of, the key aspect, of course, is the cost of borrowing because we've had a three back -to-back -to-back reductions in the repo rate. So we have already had a reduction in the repo rate which is visible in our cost of borrowing.
However, the actual going -forward rate of cost of borrowing is further lower because what has been experienced is what we have experienced for part of the quarter. Going -forward, therefore, the incremental cost of borrowing which was around 7.55 is closer to 7.3. Therefore, we have already announced a further 15 basis -points cut in our ra te for existing and new housing customers. So we ha

d already passed on 10 bps in the month of May.
Additionally, from July, we have passed on additional 15 basis -points to our existing and new housing customers. So totally taking it up to about 25 basis -points of rate cut for our customers.
Additionally, going -forward, we still have about INR2,500 to INR3,000 crore worth of bank term loans where we expect further reduction because we are yet to receive that 50 basis -points cut of the repo rate of June in t hose INR2,500 plus crore of bank borrowings.
Plus NHB also has indicated to us that the regulator will also be reviewing its PLR because it

has not done so -far in the last six to eight months. So we are expe cting a rate cut coming from NHB also. So going -forward also, there will be some impact. Of course, as and when we experience post that we will be passing on our rate cut to our customers.

In terms of the asset side, we have about -- because one key aspect is, if you would recall it, we had in January 2024 moved from an annual reset to a quarterly reset. So all new customers who are onboarded from 1st of January 2024 are on quarterly reset and we also offer the option to customers to shift from annual to quarterly reset.

As of 31st of March, we had about 72% of the customers who are still on annual reset in -- by the end of 30th June, we have about 67%, so only 5% of the customers, including the new customers have actually moved from annual to quarterly.

So as on 30th of June, we still have about 67% or two -thirds of our portfolio, which still continues to be at annual reset. So we are sending customers information about this shift. So as and when they come, they will be able to do it. However, those who remain on annual reset will continue to get the benefit as and when their reset dates are approaching. So there could be some this 15 and 10 bps also that we have passed on.

There could be some lag in the way it is passed on to our customers. Now coming to the cost -to-income ratio, the other two major aspects during the financial performance is the cost -to-

income ratio. There are basically two reasons why compared to this, the cost -to-income ratio is slightly elevated.

One is because we opted to for a sal ary revision for our staff to align with the market salary packages. So that is one thing which we came at a very fag end -of-the quarter, but we have given the impact from 1st of April. That is one of the reasons. And because of this one -time change, there is an impact of a bout INR4.5 crores in the actuarial calculation also that has come here. Going -forward, since no further increase is obviously there, this actuarial valuation will slightly even out may not be as much in the coming quarters. So therefore the -- this cost -to-income ratio on that aspect will get even ed out . So as compared to the first -quarter results, there is also a 16.5% increase in the staff count because of which some of the increase is there.

However, if you compare the cost -- salary cost compared to our March numbers or the Q 4 the Q4 numbers of last year, the increase is not as much. It is mainly because of the salary hike that is there. The second aspect on cost where the increase is witnessed is the rent and taxes, mainly because of that 25 branches we opened last year and the six zonal offices because last year you would recollect, we had added an extra layer to improve the monitoring and the oversight of the branches, which was the zonal offices with adequate staffing.

So the six zonal offices were also opened after June of last year, which the entire impact has witnessed. And we have also expanded the office space in our corporate office. So mainly the reasons for rent and tax increase is because of this. Going -forward in terms of credit cost, the guidance of 15 basis -points will continue.

We have had a credit cost or the ECL calculation for

this quarter. But the way we are looking at
the reduction in our overall delinquency going -forward, we are -- we feel that there would be a further reduction expected in the overall delinque ncy even in the second -quarter. Therefore, credit cost impact will not be as much.

Going -forward, our guidance for credit cost ratio continues at 15 basis -points. Last year, excluding the management over lay, it was 13 basis -points only. So we continue to the guide -- to give a guidance of 15 basis -points, whereas actually it could be lower than that. Disbursement wise in Q2 with Karnataka showing some improvement and other zones also doing there.

We expe ct that the -- internally we are pushing for INR2,600 crores plus disbursement in Q2. However, as a guidance, we would say it would be around INR2,500 crore s plus in terms of Q2 disbursement. NIM and spread, the guidance continues at 3.5% for N IM and 2.5% for spread. And ROA, ROE also of 2.2% and 17%.

And so overall, in terms of the overall disbursement, we are quite confident about the INR10,500 crore s disbursement figure for FY '26 that we have been guiding. And we feel in the second -quarter onwards, the disbursement will further pick -up. So in short, that's the summary of all the aspects. I hope I've covered everything. I now throw it open for any que ries. Thank you.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Param Vora from Trinetra Asset Managers . Please go ahead.

Param Vora: Good afternoon, sir. One thing I wanted to ask was what is the progress on the planned means you described the progress on the planned 15 new branch openings. So what are the geographical focus on this expansion and what is the target number of branches by financial year '28?
Suresh Iyer: Okay. Yes , for this current year, we are looking at additional 15 branches. We have 234 branches as of 31st March and we are looking at 15 branches, majorly in the West and North geographies and that will take our strength to 49 by end of FY '26. And for FY '28, we have a number of 300 branches that we have been targeting.
Param Vora: Okay, sir. And one more thing what I wanted to ask was, are you planning to enter any entirely new state or union ter ritory or will the expansion focus will be on the geographies which you already have presence in?
Suresh Iyer: See, we are -- sorry, we are already present in 21 states. So by and large, we have at least a small presence or a larger presence depending on the state. We are already there. So we are not planning to open in a ny new geography or any new state, but existing states, we will definitely be expanding only there.
Param Vora: Okay, sir. Understood. Thank you.
Suresh Iyer: Thank you.
Moderator: Thank you. The next question is from the line of Siddhant from Goodwill Capital. Please go ahead.
Siddhant: Yes. I wanted to know about the competition we are facing from PSU Banks? Does it -- is that -- has it intensified or is it at similar levels? And are our customers asking for EBLR ?
Suresh Iyer: Just basic ally from PSU Banks, we are having -- obviously, they have reduced the rates and passed on the entire 1% repo rate cut to all the customers. However, most of the PSU Banks, if you see are in the higher -ticket sized segment, at least the active ones like SBI and Bank of Boroda and all.
So we are not facing so much in case of our segment, which is mainly below 25 lakhs. Our average ticket size is 24 lakhs for housing and 14 lakhs for non -housing. So we are not so -far facing. And anyway what is happening is t he rate cut also has put a lot of pressure on the margin s. So the aggression which is otherwise there is not coming more -- in fact, it is -- the inquiries are coming more from the customers, not from the banks actually pushing it on -the-grou

nd. So that is there. Second, as regards the customers asking for EBLR, well, first of all, there is no requirement of EBLR.
So customers are asking for a rate cut. So they are not much aware about EBLR or this other. They are generally looking at repo rate and saying yo u also pass some benefit to us. And as mentioned, we have passed on 25 bps to our customer. Just to give you an idea, today, I believe there is only LIC, Housing Finance and us who have actually passed on some rate benefit to our existing and new customers.

And LIC also, if I'm -- if I'm if my knowledge goes right, it's about 25 basis -points, the same as us, whereas other players in the housing finance segment or NBFCs have not reduced it for existing customers nor the private sector banks for exi sting customers.
Siddhant: Okay. When do you think we'll be able to pass -on?
Suresh Iyer: So as I said, we have already passed on 25 basis -points to our customers. 25, we've already done 10 basis -points effective May and additional 15 points effective July . But as I explained in my initial message that this will pass -on to the customers as per their quarterly or annual reset plan and also as per on the month -on which they have taken the disbursement.
Siddhant: Okay. And what would be our average CIBIL score for ou r customers just to get an idea?
Suresh Iyer: So today, actually about 80% plus of our customers are hiring a CIBIL score of 700 plus and about 9% of our customers are having us are new to credit.
Siddhant: Okay, that's great. Which quarter are we g oing to have our tech update hit? Is it in Q2 as planned, Q3?
Suresh Iyer: Sorry, sorry, I didn't get your which quarter…
Siddhant: The tech upgrade?
Suresh Iyer: Yes. So see the tech upgrade is planned in two phases. The first one will be in September -- in August and September, where we'll be moving the borrowings and ALM and that plan because that is something which is not currentl y linked to our normal LOS LMS.
So we'll be moving our ALM borrowings and that plan treasury module in the month of August and September. But the core, which is the LOS, LMS, the DMS and the deposits will move -in the month of November, which is in the Q3.
Siddhant: Okay. The last question is our dividend policy, is it going to be around tech upgrade this year.
Suresh Iyer: I think last year, our average dividend payout was around 18% or something. So I guess 20% is something we would be in the range of about, 18% 20% is what we would be maintaining.

Siddhant: Okay, perfect.
Moderator: Thank you. The next question is from the line of Shweta Daptardar from Elara Capital. Please go ahead.
Shweta Daptardar: Sir, couple of questions. Sir, for Telangana, in particular, we had mentioned that positive Qs are emerging and now we are seeing no ma jor turnaround. So what has changed between Q4 and Q1? That's question number -one.
Second is, so are DSA dependence reduction strategy have not yet met up a reasonable success, right? So how is the sort of way forward there? And lastly, so while you did m ention that sizable amount of transmission on the yields front have already happened and maybe around 15 bps or

10 to 15 bps is around the corner. So any scope of further improvement of margins, say, beyond 3.5%? So y es, those are the three questions?
Sure sh Iyer: Sure. See, in Telangana, as I was saying, this quarter we have not seen much of a change. However, the overall reduction in delinquency that we had seen has been witnessed across the board in all the six zones. It is not that some zone. So there is one thing where the pressure of the -- so delinquency is one positive.
And second thing is that in Telangana , we have also made some changes in the teams and also in terms of the micro focus and micro analysis also we have don

e. So I think we shou ld now start seeing something going -forward in terms of disbursement. We have already started witnessing and that thing in terms of our delinquencies.
As regards the main reason why Telangana was not doing well was the Hydra project. And off - late, the demo litions, as I had mentioned in the last quarter also, somewhere in the Q4 somewhere, the government came out with announcement that they will not make any further demolition.
So at least I believe now for the last six months or something, there have been n o demolitions under this Hydra. And so that's why slowly the confidence is also building up in the developer segment and in the people also. Therefore, this is one thing which is slowly now kind of changing things. Because once demolitions happen or all th ose things, in fact, it also affects the price. Now that there is no risk of demolition and all, slowly the prices also are kind of stabilizing and therefore, you know the customer confidence is also improving. So basically that is what has changed in Telangana . Second, as regards the DSA dependence, it has marginally further come down. We were at 85% in -- if I were to say in Q4 of FY '23, okay. From there, it has consistently reduced to 82% last year to 80%. In this quarter, it has reduced to 79%.
And as I mentioned earlier, two things. One, this additional sales stuff that we are doing, that is something which is going to bring in more direct business and will slowly help in reducing the DSA focus. And second impact, which I miss to mention is that we hav e had last year 80 APF proposals. And this year also we've added additional APF proposals.
So now initially it was more of enrolling the APF proposals or just getting ourselves enrolled as an approved lender. But now with regular contact and everything, w e have started getting good inquiries from the APF projects also directly from the builders or from the sales teams of the project sites. So basically these are the two reasons why this would slowly emerge.
But as long as the DSAs are there, it is not that we want to reduce the amount of dependence or we want to reduce the DSA number or you want to stop doing DSA business, but it is just that our direct business as it increases, the percentage of DSA business will slowly come down. And the last part as rega rds margins, I guess we are already at 3.64, which is above our guidance that we have been consistently giving up 3.5.
So we have maintained that we will be about 3.5 and in this quarter also from 3.57, it has increased to 3.64. So I guess that will -- what will continue that we will continue to keep it about

3.5%. Now 4% and all, I'm not sure it is possible anytime now. I think it is -- we also have to be cognizant that we have to offer attractive rates to get a better quality customer. So that is one thing. So that's about it.
Moderator: The next question is from the line of Shubhranshu Mishra from PhillipCapital.
Shubhranshu Mishra: Sir, I 'll just talk on four questions. So given the fact that we are facing the issues in growth, are we thinking of having any co -lending arrangements with other HFCs or banks , first? Second is, I see a housing CRE segmentation around 11% of our AUM. So is that the construction finance or is it the APF sales?

And related to this, are we -- do we have any plans to have a const ruction finance vertical , LRD vertical to prop up the growth? And given the fact that we are optimistic about the second quarter and second half in general, what is the number of home loan contracts we would onboard on a monthly basis? What are we budgeting for?

And most of the HFCs have a separate subsidiary for cost measures to onboard the sales staff, like I'm sure you'd be aware of it, fo r example, HDFC sales was there. So do we have plans t o have a similar subsidiary?

Suresh Iyer: Shubhranshu , I

'll just respond one -by-one. See, as regards co -lending and everything, we have not -- definitely not with the banks because today we don't have a ny pressure of -- so we will actually have to be the majority of the primary lender. So the 80% has to come to us if it is there. So obviously, we cannot have a co -lending arrangements with banks because they would want to be the major partner. Here we wil l have to, if at all, do it with the smaller players where we can get 80% of the portfolio o ut of the pool. And the origination happens at the other end.

As of now, we don't have any policy for DA or for portfolio buying or co -lending. So we will - - we ar e actually open to it, but we will take it as we -- once you know this -- post this IT implementation or something, we will take it because right now one after the other we are handing other issues. So we will be taking it up probably after that.

As for C F, currently, we don't have a CF position and we don't intend to also start direct lending to developers. We will be more purely into the retail segment only as of the moment. Now the next question is about the number of contracts, we are doing approximate ly about 4,000 to 4,200 contracts a month, which is approximately around 48,000 to 50,000 in a year is what we are doing.

In fact, this number has been a little kind of very steady for the last few years and the growth whatever has come has mainly come fr om the ticket size increase because we were about 20 lakhs and moved to 22 lakhs and now at around 24 lak hs, 25 lakhs. So basically the number of contracts per month have remained the same, which is something we know with direct sourcing will be expect ed to increase.

Third, as we got sales staff, there are two points. One, definitely not a subsidiary. We already have a lot of reportings at the top as part of the conglomerate and Canara Bank group entity, but

we don't intend to have any other subsidiary und er us. That is one. But as regards the sales staff, I think you also mentioned there is a cost angle to the sales.

So you are right in one sense, but there is one option where most players are going for a DSP route or DME route whatever , where the fixed cost is just about INR15,000 to INR18,000 and the remaining is entirely on a variable pace.

But that we explored rather than we said it is still okay from the cost point to take people on - road rather than take it on this kind of a model because when people are taken on this INR15,000, INR18,000 thing, the attrition rate is very, very high. In fact, the minimum rate that we understand prevailing in the market for these kind of arrangements is about 60% to 65%. That is the minimum attrition rate.

There are players who are even experiencing 100% attrition in this kind of a model. So we c hose to have a model where we will have them full on the role and they will be coming with whatever lowest -- even if they come at the lowest entry level, it will be around INR35,000, INR38,000 fixed salary. That's the kind of structure we are opting for. So I hope I've answered your queries.

Shubhranshu Mishra: Just one part, Suresh , this housing CRE versus what APF sales , what is this number?

Suresh Iyer: Sorry, I didn't understand. Can you come again?

Shubhranshu Mishra: So on Slide number 19, we've got housing CRE. These are the APF sales, is n't it?

Suresh Iyer : No, no, no, CRE, that is different. See , if it is a third house of a person -- person buying a third housing and they are already having two residential units , then the third will not enjoy t he same kind of a risk weightage as the first two. So those will be classified as a CRE, the third and subsequently.

Same way like in Karnataka, there is a particular trend that people may put a house with two floors and they give the first and second flo or on rent and there are three kitchens. So those al

so
technically are qualified as CRE , because there is also a part element of income generation from these assets.

So this is basically CRE housing only, it is dwelling unit only, but they classify for a d ifferent risk category, risk weightage. So that's the CRE. The housing, as I mentioned, we don't have a developer finance . And whatever we get from the APS projects, they are normal housing. And if it is a third house of a person, it will be classified as a CRE.

Shubhranshu Mishra: Okay. So what is the risk -weight on this?
Suresh Iyer: The risk weightage is higher . I'll share the exact risk weightage for CRE separately. I 'm immediately not …
Moderator: The next question is from the line of Anusha Raheja from Dalal & Broacha .

Anusha Raheja: From the spr ead side, sorry, sir, I'm being repetitive, you said that till the time it gets affected to the customers who are on an annual reset and that share is clos er to around 72% all. So can we expect in the near -term margins of the Stage to increase ?
Suresh Iyer: Currently it is 67%, 72% was in March. So I said only 5% have moved. But Yes, actually, what we have seen a slight improvement in margin is mainly becaus e of the delay or the lag effect of the PLR benefit is going to the customers because after we experienced -- say when we experienced 10 basis points, we took out after the February rate cut, when we experienced it by 31st of March, we had in the April ALC O, we witnessed the 10 basis points, which we passed on effective May.
Obviously, now we have already experienced it in our liability side and then when it goes to the customers, it will pass in maybe next month or two months later or six months later or e ight months depending on the things. So that is where this increase in spread has likely happened. So going forward also this 15 basis points plus any subsequent rate cut that we offer will also go with a slight lag effect. So maybe it can be possible that a little bit of increase in spread might be there going -forward also. But I'll not be able to quantify it, but I guess it is possible. Yes, you're right.
Anusha Raheja: And secondly, what is the incremental cost of borrowing currently? And assume that if there is any further reduction expected over the next six months' time , so will that also be passed on to the customers?
Suresh Iyer: See, incremental cost, of course, different, different products have a different. So it depends on which segment we would want to go to. Like for example, we are getting bank borrowings at around 7.25, anywhere between 7 to 7.25. NCD rates are also at the same rate. C Ps are below 6 for us actually.
In fact, today only we've raised at around 5.92, that is a 90 -day CP. NHB , as I said, going forward, where the reduction is expected is that, one, we have certain term loans where that 50 basis point reduction which happened in June is yet to be passed on. So that amount is around INR2,500 crores to INR3,000 crores of between tha t. That term loans will experience a reduction in the coming couple of weeks.
Another thing is NHB, which is about 15% to 17% of our entire borrowing pool, there no reduction has happened and the regulator has not announced any reduction in the PLR. So as and when that is announced, we will also start getting that benefit. So there is some further reduction possible in our borrowing cost.
As I mentioned today, the mix is such that today, we are right now taking mainly from the banks and also a little bit ou t there. But NCDs will mostly take after August because we have also extinguished our approval limit that our shareholders have given for the last year about INR4,000 crores. So when we get the new limit, we'll again go for NCDs, which again could be a lit tle lower than banks also possibly.

Anusha Rah

eja: And what would be the quantum of benefit that we might get in terms of -- on the term loans and NHB , you said that there can be rate benefits. So both put together is -- can you quantify on this?
Suresh Iy er: See, our total NHB borrowing is already given in our presentation. So on that, we don't know how much is a rate cut that NHB will announce and what are the terms, whether that will be immediate, whether that will be on a quarterly basis or whether they will immediately impact it because already it's been more than 6 months that the rate cuts have started, but they have not done anything.
So I will not be able to quantify as of the moment . It all depends on how much NHB passes on and on what terms it pas ses on to us. But I would say if at all it comes today 50% of the NHB or I think about 45%, 40%, 45% of the NHB borrowings are on fixed -rate because these are under the special AHF line of funding where the rate is fixed.
So even if at all we get, it will be again on the balance about INR3,500 crores kind of thing that we will get. Currently, our NHB refinance is INR5,800 crores, about 40% of this, as I said, is

fixed at the AHF. So the remaining 60%, which is around INR3,000 crore s INR3,200 crores or something is where we will get the rate benefit when NHB passes.
Anusha Raheja: So my thought process, I mean, your thought process here is that we will continue to have a 3.5% margins. So irrespective, if we get higher benefit, that will be passed on to t he customers. Is that the thought process?
Suresh Iyer: Yes. I mean, we have been very transparent in that sense that whenever we experience a benefit, we do pass -on to our customers. And of course, when it increase also, we are passing on to it. So that i s the answer.
Anusha Raheja: And sir and on the IT transformation, what is the status currently? Where are we?
Suresh Iyer: In the IT transformation project, as I mentioned, there are two phases in which we are going to be implementing. So on both the thin gs, we have our governance structure where we have a daily stand -up meeting, we have a weekly and fortnightly meetings and all and once in 45 days meeting for update to our IT Strategy Committee.
As of now, the project schedules are going as per the timelines which were given or drawn up at the beginning. So we are very much on course for a August end implementation of our ALM and treasury modules and borrowing module and November first week for our LOS, LMS, DMS and everything
Anusha Raheja: And if I 'm not mistaken, the quantum is around INR35 odd crore s subjective projected for year?
Moderator : We have the management line reconnected. Ms. Anusha, please go ahead with you question.
Suresh Iyer: We had a small issue here. Yes, I guess I was just mentio ning that, Shubhranshu to your last question, the CRE risk weightage is 100%. Hello.
Moderator : Anusha , please go -ahead with your question.

Anusha Raheja: Yes. Yes, just one last question from my end. Sir, can we expect the assets growth to pick -up the pace or we can push the pedal there more once IP transformation is done . I hope I was audible.
Moderator : Yes, sir, please go ahead.
Suresh Iyer: Yes. Yes, AUM growth I think you were asking for. So yes, going -forward, definitely with the increase in our g rowth, disbursement growth, the AUM growth should also pick -up. Normally it comes with a lag. So this year if we are doing about INR10,500 crore s, at the current rate, we should be able to add about INR5,000 crore s to the AUM, which should be around 12% to 13% approximately growth in the AUM. And with the same kind of growth in the coming year in terms of disbursement, the next year growth should actually increase our move -up to around 15%.
Anusha Raheja: Okay. Thanks.
Moderator : Thank you. The next questio n is from the line of Pavan Kumar from Ratna

Traya Capital. Please go-ahead.
Pavan Kumar: So one thing I wanted to check was non -employee expenses, there has been almost like a INR10 crore s decrease. So I just wanted to understand what is it and is that sus tainable? And secondly, to what are the kind of growth drivers we are looking at going forward? What will change for us to actually achieve this particular growth, because , yes.
Suresh Iyer: So as I mentioned, I think other than the salary cost, the major area where the cost has gone up is mainly the rent and taxes because last year, whatever we added the 25 branches , as well as the 6 zonal offices and extra that space that we have taken or increase in our head office, all that has come post -June. So in the first -quarter, all these expenses were not there. So that is actually quite a large component.
The second component is about a INR1 crore s additional in this same provision we made -for our CSR expenses because with the increase, last year, we had a CSR target our budget of INR16.12 crores. This year it is INR19 crores plus. So therefore, about INR75 lakhs is the extra CSR portioning that has happened in this quarter. So these are the two major expense on the expense side.
As regards growth drivers, o ne, of course, is the branch expansion that we are doing. The last, in fact, 29 branches that we have opened net in the last 2 years. In fact, they have also started contributing. Last year the total additional business that these 29 branches brought were about INR101 crores, mainly from the 14 branches that we opened in FY '25 because the -- sorry, FY '24, because FY '25 branches were mostly opened in the last quarter, therefore could not actually have not contributed much last year.
So this year again the entire all these 29 branches will be there, plus this year we are front -ending the branch expansion. And then by 30th September itself, we plan to open all the additional 15 branches operational. So branch expansion is one area which we'll bring. The seco nd growth

driver, of course, is the sales team. Last year, we got about 39 odd people to -- in a sales team and they were able to contribute about by in Q4 about 4% of the incremental business.
This quarter the same team has done about 5% of the incrementa l business and effective 1st of July, we have increased the strength from 37, two people left. So 37 plus we have added 63 people. So as of now, we have 63 plus 37, that is 100 and we plan to add a few more in the coming weeks. So these are the two major d rivers for growth.
Of course, there will be a little bit of increase in the ticket size. And actually Karnataka and Telangana both are zones where actually our ticket sizes are little higher than our overall company average. And these two markets are prese ntly also slightly weak for us. So as and when they pick -up also the ticket size over there will also pick -up. So basically, it is the branch expansion and our sales team.
Pavan Kumar: Can you also just give me an idea of what do you expect the cost -to-income be this year and next year?
Suresh Iyer: See, this year it will -- we expect, as I mentioned, there is an actual impact, which has come entirely in the Q1. In the next 3 years -- quarters, the actual impact may be a little more subdued. Therefore, by e nd-of-the year, I guess our cost -income ratio should stabilize around 18%.
Pavan Kumar: Okay.
Suresh Iyer: Next year with the IT cost coming in, I think it will be around closer to 19% because earlier we had expected it to be 17% and 18%, but with the sala ry hike, which is almost impacted by 1%, we revised our targets to 18% for current year and 19% for next year.
Pavan Kumar: Okay. Okay. Thank you.
Moderator : Thank you. The next question is from the line of Siraj Khan from Ascendant Capital. Please go - ahead.
Siraj Khan: Thank you very much. A couple of cla

rifications before I ask my question . The FY '28 target for branches was 300 branches. Was that right?
Sure sh Iyer: Yes, that is correct, 300 by FY '28.
Siraj Khan: Okay. And the 80 that you mentioned to responding to the previous question, for HL, it is INR24 lakhs and NHL it is INR 14 lakhs. Was that correct?
Suresh Iyer: Yes, average ticket size is 24 for HL and 14 for non -HL.
Siraj Khan: Yes. Thank you. So now comi ng to the questions. Firstly, I'm just seeing that there is a trend of increasing share in the more than INR30 lakhs ticket size in our AUM and that is coming at the cost of the INR20 lakhs and lower taking a back seat. So the question here is, are we seei ng a higher demand or a better demand in the upper bracket and -or more competition in the lower bracket and therefore it not being that attractive. How is that dynamic in this ticket size brackets?

Suresh Iyer: See, actually in the less than INR20 lakh or larger, less than INR15 lakh, which was mainly a large chunk for us earlier. There definitely the supply issues are there and I've been saying that affordable housing is slightly going down. And now in fact, it is also reflected in all the numbers. So that is definitely there.
But yes, this 20 lakh to INR30 lakh segment is something which this quarter we have gone down is something which we have to worry for us. We will work on it this quarter. Definitely, we will be working on that because that is definite ly not the intention. Our average, our core constituency is definitely INR20 lakh or INR15 lakhs to INR50 lakhs. So definitely this INR20 lakh to INR30 lakh segment which has gone slightly been affected that we will correct going -forward.
Siraj Khan: Understood, because I think that is where you would get the better yields. So that's coming from that.
Suresh Iyer: Yes. But coming to your question, it is not because of any demand issue or something. I think we have this APF and all those focus has sligh tly shifted the focus. I think we would like to also focus on this 20 to 30, we will definitely see the correction in the coming quarters.
Siraj Khan: Understood. And what is the average LTV of the portfolio as a whole , just as a statistic ?
Suresh Iyer: Average rating ?
Siraj Khan: LTV, LTV, loan to value .
Suresh Iyer: LTV , ours is roughly if you look at the -- we give up to 80% of the cost, but if you -- we also have this thing of taking our valuation at the time of the loan. And obviously, the realizable v alue and market values are higher. So if you look at the realizable value, it would be -- I would be somewhere closer to 60%.
Siraj Khan: Understood, understood. Now coming to the login growth, so our approvals have been kind of

4.6% growth Y -o-Y to 2060 a nd the disbursement -- the disbursement ratio, the approvals to the disbursement ratio is 98%, so it's at one of the highest levels. Wanted to know with respect to the logins, what is the login number and how is that improving? Are we seeing better tractio n in the login?

Suresh Iyer: See, firstly, one thing I would like to share that in the logins, we have a 30 -day validity for the sanctions. So automatically, the sanctions which are done get, you know, if they are not disbursed in the 30 days period, then the sanctions lapse. That is one thing. And second thing is particularly now in the recent a couple of quarters, because of this Karnataka issue, o ur login slightly in Karnataka.

We have not been logging in because unless we get the e-khata because otherwise it is unnecessarily taking the processing fee from the customer, but we have not been logging it. So these are the two issues, I would say. But otherwise, generally because our 80% business comes from a DSA.

I would say the actual percent age that you have calculated will not be a correct rep

resentation
because many cases which the DSAs bring, if they are not doable, they are not logged -in also because the DSAs already know that what kind of cases are doable. Therefore, we don't get all the inquiries that are coming are actually not logged -in also.

So that is one small -- this thing, which once the IT thing comes in and we come up with a CRM module, we will be changing that. So that will, I think give a better and more clearer picture. I would assume that in the industry, the login to sanction and sanction to disbursement, the funnel, that should be at least a 20% fallout in the login to sanction, which is not reflective in our numbers because of this DSA focus.

Siraj Khan: I understand. Sir, I was actually looking at the NHB data, so I was just wanted a statistic with respect to the IHL book, what is our individual housing loan outstanding as in 30th June if that could be shared?

Suresh Iyer: Individual housing loan?

Siraj Khan: Yes, individu al housing loan book because the NHB publishes the data points . I was just wanting to know what is our specific number?

Suresh Iyer: I'll give you the breakup, our pure housing loan -- and we'll be able to give you the breakup separately, but if you look a t it excluding CRE, today it is 74% is our housing.

Siraj Khan: Okay. So would -- so of the total book, what would be the approximate percentage, the ballpark number of individual housing loans? A ballpark would also suffice ?

Suresh Iyer: No, I see in our -- okay, I'll give you the breakup of housing, non -housing everything separately, but today our -- first of all, we don't have any corporate book. So everything is retail. Non - housing, I will give you the separate numbers. I'll just give me …

Siraj Khan: No worries . Thank you. And just finally on the book rundown, so we've been under 4% for the last 5 quarters and annualized i t comes around to 15% -odd. What would be BT out of this, like what would be the annualized BT out that we are targeting and the overal l annualized a rundown rate for the year?

Suresh Iyer: Sure. See, annually, if you look at it, the 15% that you're talking about, 15% to 15.5% , out of that less than 4% is the BT out because we have about 3.75% is the amortization, then we have a huge amou nt of part payments coming in which is almost around 8% or thereabouts, where people only make part payment, but the case is still live. So which is basically just to reduce their liability or reduce their EMI, they just look at it. So our actual BT out or loan closures is only about 4% a little out -of-the total.

Siraj Khan: Okay. Thank you. I'll join back -in the queue.

Moderator : Thank you. The next question is from the line of Shreepal Doshi from Equirus. Please go -ahead.

Shreepal Doshi: Hi, sir, thank you for giving me the opportunity. Sir, my first question was on what percentage of our borrowings -- bank borrowing is linked to T-bills and repo.

Suresh Iyer: Sorry, can you come again? What is th e…

Shreepal Doshi: What percentage of our b ank borrowing is linked to T -bills and repo?

Suresh Iyer: Approximately 20%, so 80% is linked to repo and 20% linked to T -bills.

Shreepal Doshi: Okay. So, we do not have anything like -- we do not have MCLR linked. So entire bank borrowing is shifted towar ds T-bills and repo, is it?

Suresh Iyer: Yes.

Shreepal Doshi: Okay. And sir, you were highlighting about NCD borrowing. So, what was our incremental borrowing rate during the quarter for NCDs?
Suresh Iyer: During the quarter, just a second, I'll give you. NCDs actually we raised one NCD around 7.24%, that was the rate at which we raised for the NCDs .
Shreepal Doshi: Sorry, 7 point s?
Suresh Iyer: 7.24% was what we raised the NCDs.
Shreepal Doshi: Okay. Got i t. And last quarter, it would be higher, right, like …
Suresh Iyer: Sorry, in last quarter, I'm talkin

g about last quarter, as I said that after that we have exhausted our limit of INR4,000 crores for NCD borrowings from the listings . So, we have not done f or the last 1.5 months or something.
Shreepal Doshi: Okay. Got it. And sir…
Suresh Iyer: NCD market after the AGM.
Shreepal Doshi: So now we will be ready in August is what you highlighted, right? ?
Suresh Iyer: Yes, correct.
Shreepal Doshi: Okay. Sir, just wanted to understand this -- I mean the PMAY and CLSS is 2.0 . How is the momentum there for us and how are you seeing that benefiting the industry at large ?
Suresh Iyer: See this interest subsidy scheme 2.0 or PMAY 2.0 it is definitely nowhere close to the kind of euphoria that we saw in PMA Y 1. In fact, to be very clear, so -far only 70 -- of course, we've received many inquiries for the PMAY 2.0, but the number of cities that are eligible under PMAY 2.0 is substant ially reduced compared to PM AY 1 .
Second thing is the requirement in terms of the customer credentials like the Aadhaar of all the family members and all those details are such that there is a huge amount of data entry and data capture that is required and basically it is so that the government can based on all that data do an elimination so that customers don't take benefit under multiple schemes of the government.

So, because of that, there is a huge amount of elimination which is happening where customer s apply for PMAY, but because they are already in a say not qualifying in the -- one of the 1,100 towns or under the selected pin codes or because some family member, a brother or a father has already taken a benefit under some other scheme of the governme nt.
Therefore, the eliminations are very -high. And as of today, only 70 applications in our case have been -- have become eligible after all these clearances for PM AY 2.0. Okay. And out of that 70 cases, as of today, only 7 cases we have actually got the claim subsidy from the government.
Shreepal Doshi: This is since September last year, right, September 2025 when it got implemented b asically?
Suresh Iyer: Yes, actually they implemented it from September, but by the time the portal was ready and everything, it was almost November. But anyway, the point is from September till today, only 70 applications have come.
So that is in a month of -- in about 10 mont hs from 1st September to today, only about 70 applications have cleared and are eligible. Now out of this also customers, some of them could drop out and may not avail the loan, but and only 7 cases we have got the subsidy.
Shreepal Doshi: Okay. And the ti cket size here, I mean, of course, it would be the maximum that is been -- the ticket size of these customers would be what?
Suresh Iyer: I will have to check -up for the 7 customers. I am not …
Shreepal Doshi: Okay. Got it, sir. Sir, just the last part was on something that you highlighted that for us, the number of contracts have not seen significant rise in the last few years and the growth has been driven by ticket size broadly. And you also alluded that at system -level growth in affordable housing is see ing some slowdown.
So just wanted to get some more sense on the slowdown in the affordable housing. So, is it very geography centric or is it any ticket size -centric or customer profile -centric or at broad level, you are seeing these trends?
Suresh Iyer: No, it's more of a broad level kind of a thing because incentivization, which was -- the incentives which are there for developers to bring in the supply under this affordable segment is not there.
So, like this particular PMAY thing, which was a very major boost for the affordable segment earlier, now is not so very attractive because the customers cannot claim the entire subsidy upfront.
The subsidiary will -- and secondly, as I said, the number of cities have been reduced, the elim

ination crit eria is also there. So, in fact, the actual trickle will be whatever inquiries are there, it becomes quite a bit of a trickle subsequently by the time it is converted. So therefore, the incentive for the developers to come in and construct low -cost housing is not there.
And obviously, compared to premium housing or mid -segment housing, affordable housing is

slower -moving products. So, unless the incentives are there, this segment will not see the supply

coming in. And that is one of the major reasons I stro ngly believe that the affordable housing is slowing down across -the-board.

Shreepal Doshi: Got it, sir.

Suresh Iyer: And of course, I would say earlier, if you look at PMAY, the round of PM AY, the maximum the states which we are doing where obviously ther e were select 5 or 7 states w ere doing more under PMAY. So there the slowdown would be more pronounced because they were also more active and the supply and the quantum was also much higher in those states.

Shreepal Doshi: So, these states were broadly, I think Gujarat, or if you can jus t name like the Gujarat, Karnataka belt like?

Suresh Iyer: Correct. The same Gujarat, Maharashtra, Tamil Nadu, Karnataka, MP. MP was also quite strong in this thing, PMAY. So, these are the states where , if the slowdown is -- will definitely be there in affordable.

Shreepal Doshi: Got it , sir. Got it. This is very helpful, sir.

Moderator: The ne xt question is from the line of Vishal from Bandhan Asset Management. Please go ahead.

Vishal : Hi. Thank you for the opportunity. Sir, a couple of questions. Would i t be fair to assume that the 25 bps rate cut that is currently that you've implemented, but is practically avail ed by less than one-third of the borrowers?

Suresh Iyer: Yes. Approximately one -third of the borrowers would have availed it. You are right, because at least that 10 basis points of May would have happened in May, June and July, almost mid July. So at least some rate benefit for all the quarterly customers would definitely have been translated. For the annual customers also, some of them who have probably fallen -- whose rate reset clause has fallen in the month of May, June or July, they also would have experienced it. But by and large, you can say that, yes, one -third of the customers have got this benefit. The remaining two - thirds are yet to experience d.

Vishal : Fair enough. And on the liability side, could you give us a perspective on the -- what is the kind of decline in cost of funds that you would see, say, by September quarter or by December quarter, what would be the -- if you could say in terms of bps or whichever metric you find feasible ?

Suresh Iyer: See, at least as of the moment, I can definitely say that a 50 basis point cut in approximately around INR3,000 crore s of book , liability book is definitely on the ca rds because that is the one portion of the bank portfolio where we have not experienced the rate cut. Other than that, in terms of the entire CP portfolio which was there in the last quarter or in the -- of last financial year or in the last quarter or Q1 of this year.

That anyway is getting repriced as it is and the entire impact has alr eady come into the CP portfolio, NCDs are fixed, so that is not a question. And probably our NCD overall, we had a cost has not changed much. In fact, it has only increase d because one of a very low -cost INR750

crore s of low -cost NCD which has matured in the Q1. So that is not actually majorly impacting in NCD cost.

And going forward also with the kind of rates that we are seeing, I think it has kind of stabilized , unless there is a further rate cut. So, 7.24 % is what we will probably get today also, 7.2%, 7.24 is what we might get today if you go to the mark et. So that is what is the

rate. So NCDs, I don't expect any further rate cut.

As I explained earlier, NHB is defini tely likely, but I cannot quantify if at all it comes, it will come on approximately INR3,000 crores to INR3, 200 crores of portfolio of NHB, which is under fixed floating -rate. So there some reduction is possible, but that depends on how much NHB reduces.

But -- so as of the moment, the only thing I can say with confidence is that approximately INR300 crore s of bank borrowings, a 50 basis point cut is definitely pending and should come in a couple of quarters, a couple of weeks.

Vishal : But sir, I mean, looking at 53% of your borrowing is from banks and 80% of that is linked to repo. So, the quantum of decline that we should see should be much higher, right? I don't know if I'm missing something ?

Suresh Iyer: So actually today, if you see the cost of borrowing, which is there in Q1 is 7.42%. But that is because some of the rates we got the benefit in April, some we got in May and some we got in June. So effectively the 7.42 % is what we have experienced in the b ook. However, going -

forward, if you look at my liability profile, my current rate -- coupon rate or the -- it would be around 7.3 %.

So going -forward, my cost will be 10.09 %, it wil l see a reduction. But again, it will not go a point below 2.6 spread. That's the point. I mean, I hope I've explained the difference between what is experienced in the book and what is my coupon rate .

Vishal : Fair enough, sir. So maybe I understand that there is a difference between stock and flow and your focus on the spread. But my question was more from the cost of fund like -- I mean, looking at the way rate cuts have happened and all and your exposure on the liability side, it seemed like the 7.4% inst ead of 7.3 % we thought could be slightly lower than that as well. But -- so 7.3 % we should get by December or by ?

Suresh Iyer: 7.3% is what we are already having in the books right now. Of course , incrementally, the cost of borrowing will be as I said, NCD s are at 7.24 %, bank borrowings are all coming at 7.25 % and below. NHB, if at all it comes, it will be in fact sub 7% because last -time when we got it, it was at around 6.5 % or something or the average rate 6.5 % or something was the total blended cost of t he NHB borrowing.

CPs, of course, are coming at sub 6%. So effectively my incremental borrowing cost is definitely below 7.3 % plus the fact that on my 7.3 % is considering that my INR3,000 crore s of bank borrowing is still at a higher rate and 50 basis points is yet to be translated. So, I guess once that INR3,000 crore s portfolio also gets repriced by 50 basis points, my cost of borrowing would be

around 7.25 % or 7.26 %, which will be in -line with what the incremental bank borrowing or incremental NCD I might be raising.

Vishal : Okay. Sir, my last question is on the growth plan. I mean,

Moderator: Sorry to interrupt Mr . Vishal . May we request you return to the question queue for a follow -up question as there are several participants waiting for the turn.

Vishal : Thank you.

Moderator: The next question is from the line of Kushan Parikh from Morgan Stanley. Please go ahead.

Kushan Parikh: Thank you for taking my questions. I have two questions. One is on the opex side. If you could just help us understand t he differentiation between the recurring and the non -recurring part of the employee cost. So out -of-the INR42 crores, how much should we expect to recur in the next quarter, given the several changes that we have had in terms of team size, etc ?

And al so the second question is around the asset quality. So, we maintain our 15 basis point credit cost. If you could just elaborate on that as in, where do you see the GNPA ending up at exit F '26 and what is the provision coverage that we would like to mainta in? And also, on the sti

cky accounts that we allowed to slip to NPA, what is the current provisioning against those accounts?

Suresh Iyer: Sure.

Kushan Parikh: Those are my questions.

Suresh Iyer: Yes, sure. In terms of the opex cost, this INR42 crores that you have mentioned, as I said, there is about INR4.5 crores approximately or INR4.5 crore s to INR5 crores, which is mainly on account of the actuarial cost, which is almost one -time you can say. Going forward, that may not be there.

Around INR 36 crore s, INR37 crore s is the cost, which is the continuous cost which will be there on the existing -- because approximately INR12.2 crore s or something is the annual salary expense that is coming out for us. So, in a quarter that will be around INR36 crores, 37 crores. So that is the one which will continue in the remaining three quarters as well, barring, of course, the additional which will be for whatever additional staff we will be taking. But by and large, it will be around INR37 crore s is the actu al fixed cost, which will now continue in the remaining three quarters as well.

Second is as regards 15 basis points credit cost guidance that we have given. So last year when we had about a total of about INR75 -odd crores of total provisioning that we did for our NPAs and everything, that was approximately w orking out around 13 basis points. In this quarter, as you have already seen, we have a INR280 crores reduction in our gross delinquency in absolute value also, INR280 crores.

And going -forward also the some of the steps that we have taken and some of the things that the way that we are experiencing even in this month, we expect that to further come down a little

bit. That is in terms of the overall delinquency and particularly in t erms of the NPA, which is around INR378 crores.
We expect it to close somewhere around INR0.80 crores by the end -of-the year, because assuming around INR42,000 crores, INR43,000 crores or INR43,000 crores of book that will be there, in which case INR0.80 c rores will work -out around INR340 odd crores of NPA, which is another INR38 crores reduction that we are seeing in the remaining three quarters.
This particular INR13.9 crores of sticky accounts that we classified as which we allowed to flow, obviously, as per the ECL model, they are -- the working is there, we have to follow the ECL model. So based on that, the provisioning is coming. And overall, as you know, for Stage 3, our provisioning is roughly around 47%, 48% is what is our normal provisioning perce ntage.
Kushan Parikh: Got it. So we should not expect any additional provisions coming in for these specific sticky accounts going forward?
Suresh Iyer: No. So as per ECL model, whatever will be the calculation, because it works on a scientific five - year t rend of the analysis and all. So if the NPAs are coming down, obviously, there will be some, reduction in the provisioning. Like we had last year in Q4, where about a INR10 crores of reversal was there.
So if actually we are able to bring it down to INR33 0 crores, INR340 crores kind of an NPA by the end of the year, there will be a quite a bit of the provisioning that will get released in Q3, Q4.
Kushan Parikh: Understood. This is clear. All right.
Moderator: The next question is from the line of Damodaran Kutty from Acuitas Capital.
Damodaran Kutty: Yes. Hello. Thank you for the opportunity. Just one question from my side. On disbursements, can you break out the impact of Karnataka and Telangana in this quarter in terms of absolutely the decline i n percentage and the contribution to the overall disbursement?
Suresh Iyer: Sure. See, in terms of disbursements, Karnataka for us is about INR600 approximate crores of disbursements, we should be around 30% growth incrementally. And 55 – Telangana is much less. In fact, the negative over there has been quite higher, c

loser to 30% like last year and the Telangana has been that much.
Whereas Karnataka has been almost close to INR600 crores is a disbursement in this thing. So about 30% business is from this, whereas Telangana contribute just about, I don't know, one - third of it, just about INR200 crores plus -- INR225 crores or something is the disbursement there.
Damodaran Kutty: Sure. And in terms of the percentage decline for these two states.

Suresh Iyer: As I said, 29% is a decline for the Telangana and Karnataka in this percentage terms is around 12%.
Damodaran Kutty: Sure. Thanks. That's all from my side.
Moderator: The next question is from the line of Abhijit Tibrewal from Motilal Oswal.
Abhijit Tibre wal: Yes. Thank you, sir, for taking my question. Sir, just two clarifications. First thing is, as you said that 67% of the customers are still on an annual reset. Suffice to say, right, that in the next maybe nine months or so, I mean, on a rolling basis, all the customers will get benefited to the extent that we have taken the PLR rate cuts.
Suresh Iyer: Correct, that is correct. There will be a flow. As I mentioned, about 5%, we were 72% there on annual. As on 31st March, now it is around 67%. So there i s a 5% reduction. But, yes, more - and-more customers will now -- in fact, I was expecting a higher flow from annual to quarterly, because the repo rate cut has been quite substantial at 1%. So I was expecting it to be higher, but only 5% have converted. But , yes, going -forward, this entire portfolio will also shift -- should shift.
Abhijit Tibrewal: Got it. And sir, the other thing I was just trying to understand, just referring to Slide 25 of your presentations, where -- presentation where you did the rundo wn ratios every quarter, right? So while I understand we are in a very different rate cut cycle, we are declining rate cut cycle now. But typically, if you look at that slide, if every Q1, there used to be a dip in the rundown rate compared to Q4. We've s een that consistently for the last three years. This year, it has marginally inched up. So basically, all I'm trying to understand is, is there a rate queue for balance transfers here, because earlier in the call you had shared that out -of-the total rundown of 15%, 15.5%, just about 4% is weekly out.
So what I was just trying to understand i s that, sir, 100 basis points repo rate cut has already happened. Most of the PSU banks, right, at least from the bank book has passed on 100 basis points and are also doing similar or a slightly lower cut in the newer disbursements that they are doing.
And despite that, I mean, across the industry, I'm talking about the HFC industry, A, like you

had mentioned earlier, except we and LIC, none of the other HFCs have taken that kind of a PLR cut as yet. And despite that, the balance transfers are not inching up. So how should we read these two things is what I was trying to understand?

Suresh Iyer: See, I would not say that, the balance transfers have not inched up, probably they have and we also do -- if I look at the number of customer requests that are comi ng for rate reduction, the customers, the branch feedback that I'm taking is regularly, there is a slight increase or a definite increase in the number of customers who are asking for a rate cut.

And so there could be -- have been definitely a slight segme nt where they would have already moved more than the normal, but it would be more to the PSU banks. But coming back to the PSU banks, as I mentioned, the margins -- their margins are also now getting squeezed. So the

pressure would be more from the custome rs wanting to shift away rather than the bank spend to pull the customers away.

So the pressure is more from the -- like a customer who definitely doesn't want to continue here. So he will g

o to a bank and make an application rather than a bank now aggress ively coming and doing campaigns to poach customers from PSUs. I mean from NBFCs and HFCs. So that is what it is.

But the -- I mean, I guess, this is one of the reason why we have not, because we have at least been able to pass -on 25 bps. And in fact, we h ave seen that many customers are also understand that, we are the only ones who are at least passed on. So that transparency has helped to some extent in doing it. Maybe if we were to have aggressive BT in strategy, we might probably have been able to pull from other NBFCs and HFCs also, but we don't have any major such strategy.

Abhijit Tibrewal: Got it. And sir, lastly, just trying to understand, you guided for a INR10,500 crores in disbursements, 12%, 13% kind of growth, but that would mean, like you sai d, right, INR2,500 crores, INR2,600 crores of disbursements in this quarter. So just trying to understand from almost INR2,000 crores in this quarter, I mean, how do we see this run rate improving to INR2,500 crores in the second quarter?

I mean, I acknowl edge you spoke about adding another 67%, thereabout direct sales staff. You spoke about APF. So are those things and branch expansions, I think, I recall you said, will be front -ended until December. So are those things you're seeing will help you get to t hat INR2,500 crores disbursements in the second quarter or are there other things beyond what I just mentioned?

Suresh Iyer: No. Just one other thing I would mention is that, April month particularly is one month where we always see a huge drop, okay. So r oughly like around INR800 crores, if we are doing in actually in the month of April, we had less than INR500 crores of disbursement. It's only in May and June that we have picked -up and we have done it, which is a normal thing which happens every year in t he month of April, there is a huge drop.

So effectively, if you look at what we have done in the month of June also, it is almost around INR800 crores. It is INR800 crores. So, therefore, that INR800 crores into INR3 crores would have a INR2,400 crores, is something which is built -in. We just have to avoid that, that April is one thing which always is there where the drop happens. So that is why INR2,500 crores plus is what we are targeting for this particular quarter.

Abhijit Tibrewal: Got it. And sir, jus t one last clarification. During your opening remarks…

Moderator: Abhijit, may we request that you return to the question queue for a follow -up question.

Abhijit Tibrewal: Yes. Sure.

Moderator: The next question is from the line of Siraj Khan from Ascendant Capital.

Siraj Khan: Thank you for the follow -up. Two quick ones. One with respect to the loan asset bifurcation with respect to fixed and floating. How much of the total portfolio is fixed rated? And what are the kind of products, like, are we d oing also HL at fixed -rate or is it primarily the PL and other non-natural products?

Suresh Iyer: Currently only 1.3% of our portfolio is fixed, which could be mostly our top loans and stuff like that. Other than that, practically nothing is fixed. We have a -- we have the breakup where, as I said, 67% is approximately annual reset and other 32% is -- 31 point something percent is quarterly reset. And the remaining 1.3% is the one which is not under floating.

Siraj Khan: Understood. And within the AUM share , with respect to the purpose, the slide that is shared on Slide number 19, the mortgage lap and top -up has gone up by 2%. So like are we trying to

increase that? And what is the general rate of interest that we get in the -- in this product?
Suresh Iyer: See, actually, we have a strategy where we had in the vision -- five-year strategy paper said that by FY '28, we want to increase the non -housing, which was at that point in time around 11%, take it up to 20

%. So 80%, 7%, 80% -- sorry, 89% was at that poin t in time in FY '23 was housing, including CRE and 79% was core housing, 10% was CRE and the remaining 11% only was non -housing.
So by FY '28, we have taken, I think, that we would be open to taking it up to 20%, that 11% to increase to 20%. So that's why a conscious this thing to slightly increase our top -up and lap.
Siraj Khan: Understood. What would the general interest rate loan in the lap and top -up, sir?
Suresh Iyer: Yes. You asked that. I missed that. So we have about 1 percentage point higher than we charge in case of our LAP . Our LAP card rate start from about 10.75%, 10.7%.
Siraj Khan: 10.7%. Understood. Understood. And just a final one on the branch expansion. In West, I believe you said the branch expansion will be focused more on the West and t he North regions. Any specific state are we targeting, because you have a lot of other affordable players and also your other normal HFC agent and NBFC is also present in those regions.
So any specific states and what are we going to try with any differen tiated product strategy or any color on with respect to how are we looking to expand in these specific regions and the name of the state, if it is possible?
Suresh Iyer: No. We don't have any specific state, it will be spread across all the states. In fact, in North, we are there in Punjab, we are there in Haryana, Delhi and UP. So we will be opening a couple of branches, one, one, two, two branches in all these states. It is not there any specific. Same also for the West, if you see, we have Gujarat, M aharashtra, MP and Rajasthan.
So all the states will be opening branches, maybe one or two in every state. So that's how it is. There is no specific focus on anything. As for the product strategy, no, we don't have any exclusive new branch. We are going to focus on any new thing, but the same product line will be there.

But yes, North and West generally have a slightly tendency to have a -- and Tamil Nadu for that matter, have a slight tendency to have a higher SENP category. So that would probably be one of the things, would -- which would emerge, but otherwise no specific products that we are going to launch or any special offering we are going to give.
Siraj Khan: Understood. Thank you very much and congratulations on a good set of numbers.
Moderator: Thank you. The next question is from the line of Rakesh Kumar from Valentis Advisors.
Rakesh Kumar: Yes. Hi. Sir, just one small question. So of the resources, 17% is from NHB and you said the rate has not been revised there. So that is firstly quite surprisi ng that RBI is using so much of effort in terms of liquidity to reduce the short -term rates. But still, the thing is, I just wanted to understand that as a -- as for the te rms of business, do we have any obligation that if the NHB is reducing the rate, we also have to pass on it in the same proportion as soon as possible?
Suresh Iyer: Not in that sense, but there are certain lines of refinance where there is a cap on the spread that we can maintain, something like 4.5% spread above what rate they have lent. So if it is within that spread, then we don't need to pass on or it is our policy to how much we pass on or things like that. But otherwise there is no such back -to-back kind of arrangement or a compulsion or anything.
Having said that, in fact, NHB has n ot reduced, we have actually gone ahead and reduced 25 basis points for our customers. So even the customers whose loans are -- have been financed by NHB refinance or back -to-back refinance has been taken away from NHB for those loans, those customers have already got a rate reduction, whereas the borrowing for those specific loans from NHB has not come down.
Rakesh Kumar: Got it. Thank you, sir.
Moderator: Thank you. A s there are no further questions, I would now like t

o hand the conference over to the man agement for closing comments.
Suresh Iyer: Yes. Thank you to everyone and to Investec for organizing this earnings call and to all the participants for very detailed questions and taking interest. Thank you very much. And in case there are any follow -up qu estions, you can always contact the Investor Relations that is either to Abhishek Mishra, who is the CFO, or to any of the other members who are present here, the DMD, the President or myself. Thank you so much.
Moderator: Thank you. On behalf of Investec India, that concludes this conference. Thank you for joining us and you may now disconnect your lines.
Suresh Iyer: Thank you.

Call: Oct 2025

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Dear Sir /Madam ,

Sub: Transcript of Q 2 FY26 Earnings Conference Call
Ref:
1. Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.
2. Our letter no. CFHRO SE CS LODR 287/2025 dated October 20, 2025

In continuation to above referred letter, please find enclosed the Transcript of Q 2 FY26 Earnings Conference Call held on October 20, 2025 .

The aforesaid Transcript is also available on the website of the Company www.canfinhomes.com

This is for your kind information and record.

Thanking you,

Yours faithfully,
For Can Fin Homes limited

Nilesh Jain
Company Secretary

Encl: as above

"Can Fin Homes L imited
Quarter 2 FY '26 Earnings Conference Call"

October 20, 202 5

MANAGEMENT : MR. SURESH IYER – MANAGING DIRECTOR AND CEO
– CAN FIN HOMES LIMITED

MR. ABHISHEK MISHRA – CHIEF FINANCIAL OFFICER
– CAN FIN HOMES LIMITED

MODERATOR : MR. NIDHESH JAIN – INVESTEC CAPITAL SERVICES

Nidhesh Jain: Good morning, everyone. Welcome to the Quarter 2 FY '26 Earnings Conference Call of Can Fin Homes Limited, hosted by Investec Capital. We will start with the management commentary, followed by a Q&A session. To discuss the financial performance of Can Fin Homes and to address your queries, we have with us, Mr. Suresh Iyer, MD and CEO; and Mr. Abhishek Mishra, Chief Financial Officer of the company.

I would now like to hand over the call to Mr. Suresh Iyer for his opening comments. Over to you, sir.

Suresh Iyer: Thank you, Nidesh. A very good morning to all of you, and a very happy Diwali to all of you. So thank you for joining our earnings call. We will just take you through the brief highlights of the perform ance. In terms of the disbursement for Q2, the company had given a guidance of INR2,500 cro res, and we have achieved that.

And in terms of disbursement for the first time , in the second quarter, we have crossed the number of INR2,500 crores in terms of disbursement. In fact, in Q1 also, it was the first time that for any of the Q1 in the year, we had crossed the number of INR2,000 crores. And in Q2, again, we have achieved INR2,500 crores, which is a positive number in terms of the trend that we also have a good pipeline in hand.

The second, in terms of disbursement, we have also had a good performance in Karnataka as well as Telangana, the company has had problems in the past. Karnataka, in fact, in the month of September, we have touched a number of INR270 crores, whereas last year in Q2, we had touched INR78 crores, and we were roughly doing about INR275 crores on an average. So we are a lmost back to that number.

And Karnataka state has recently made a couple of anno uncements. One is that B-Khata properties can also be converted to A-Khata . And second thing is, even for other properties, E-Khata will be possible within 15 days' time. So article has also come. So we are positive that Karnataka should conti nue this kind of a trajectory. And with that, we should definitely be positive by the end of the third quarter itself in Karnataka for YTD business.

In terms of Telangana, where the negative was much higher, it was almost 30%. We have been able to bring d own the negative growth in Telangana from 30% to 27%. Month -on-month in Telangana like in Karnataka, we've had a positive growth month each 1 being better than the previous. But Telangana will take a little longer time. So probably in Q4 is when we will mo ve into the green.

In terms of AUM, we've had a slightly higher prepayments because of which our AUM growth has been a little lower. In fact, it has slightly dropped below 9%. However, this INR200 crore s additional prepayment that was witnessed is not entirely because of tak eover also. Detailed analysis shows that it's mainly -- while, INR120 crore s prepayment and loan closures have increased which may not necessarily be because of takeovers, but closures have increased by INR120 crores .

But the remaining INR80 crore s is because of customers paying more than the regular EMIs and reducing their liabilities, but the loans are still live in our books. So that gives an indication that

probably the cash, in the hands of the people has improved. So we see that it might help us in terms of the collections as well if the general cash on the system or the availability of cash with the customers has increased. And that prepayment of this INR120 crore s loan closures is

predominantly or mainly 40% of that is mainly i n 1 particular state of Telangana, where we have witnessed a surprisingly higher prepayments.
In terms of delinquency, as we had indicated or as we had guided that we would like to bring the number below INR3,900 crores. So we have achieved that as well. And our overall delinquency has co

me to 3,850 approximately. So that's almost INR130 cro res reduction in absolute value in delinquency.
And this delinquency has been almost across the board because SM A 0 has also reduced. SM A2 has also reduced compared to last quarter and NPA also, there is a marginal reduction. As a result of this, our cred it costs have been very, very low. In fact, only for the growth we've had to provide for the provisioning of INR3 crores. Otherwise, in terms of the delinquent accounts, there is almost 0 kind of provisioning that we've had to make in this quarter.
Going forward, in Q3 also, we expect that our delinquencies might slightly come down. The reduction in our SMA 0 means that we will be able to devote more time for higher buckets as well. And we expect, as we had indicated last year, we have seen the result due to ruin our SMA -2 reduction. In SMA 1 and 2, we also expect that in Q3, we might slightly be able to bring it down.
So we are targeting around 3,750 kind of -- so almost another INR100 crore s reduction in SMA in Q3. So which means that in Q3 also, our exp ectation for our credit cost is going to be quite low. Not to mention that our NPAs will obviously come down March , which will see a lot of reduction in Q4 . So that may again help in Q4, but at least in Q3, our expectation is that we should be able to bring down our delinquency by another INR100 crores in absolute value.
The quarter highlight, of course, has been our improvement in NIM. The spread has also improved from 2.62 % as at the end of Q1 to 2.79% as at the end of Q2, and our NIM ha s also crossed 4%. Mainly, this has been driven by the fact that we have achieved the entire 100 basis points benefit in our repo rate cut and across all our bank borrowings. As at the end of the last quarter, that is Q1 earnings call, we had indicated tha t there is at least 1 large term loan where we are yet to receive the benefit, which we received in July and August. So that has also helped us.
Going forward, we have received NH B sanction, a refinance action of INR1,500 crores. And the indicative rate t hat we have been informed is approximately 6.8% for that on a blended rate, including the affordable housing and the regular refinance. So that means we will get some rate advantage because of this refinance borrowing als o in Q3.
And not to mention that effective July, NHB has also announced their PLR rate cut of 30 basis points. All our variable rates, which is approximately around INR3,000 crores of NHB refinance in the regular category is on variable or floating rates. So over the next 2 quarters, this 30 basis points will also be experienced in our books.

However, in the current quarter, we had almost 8% of loans moving from annual reset to quarterly reset. And as of the end of the second quarter, we have 59% of our loans still continuing in annu al reset, which means this 59% in the next couple of quarters should also move to quarterly reset and there would be a slight rate benefit, which will pass on to such customers.
So I guess this NHB refinance rate benefit as well as this PLR rate cut of NH B might probably be offset by this movement from annual reset to quarterly reset. But we at least feel that we can safely move to a guidance of 2.75% for spread and 3.75 for NIM going forward.
And a little higher, we have kept it slightly conservative bec ause in terms of NIM because we feel that even if required, we may -- it will give us a little buffer to offer an attractive rate in Q4 to push the business. So keeping that in mind, I think we would still like to keep it at 3.75 for NIM and 2.75 for sprea d.
Going forward, 1 major announcement during our achievement or event during the quarter has been our IT transformation front. Our IT transformation, which is scheduled to go live in Q3, it was supposed to be in two parts. The first part, wh

ich is the implementation of some of the modules like our SD -WAN, our mailing solutions, Active Directory. Also in terms of our ALM borrowing and treasury modules, that was scheduled to go live on 30th of September.
And we are ve ry pleased to share that this has happened as per the schedule. And all these modules that is SD -WAN implementation across all our branches, meaning solutions across all our users, our active directory and treasury borrowing and ALM module has been impleme nted on 30th of September.
We are now working towards a second phase, which is a major phase, which is our LOS, LMS,

HRMS and our deposits module along with the accounts package, which is scheduled to happen in the Q3. So we are -- as of now, we are worki ng towards that, and things are under control, and we'll come back to you as and when it is implemented.
For the third quarter, in terms of guidance, as indicated, our spread in NIMs, we would like to restate it at around 2.75 and 3.75. Delinquency since our total delinquencies have been coming down and Q3 also, we expect it to be down. So our credit cost, I guess, would be a little less in Q3 similar to Q2. So that should help in overall, our credit cost for the year also are likely to be lower than our g uidance of 15 bps.
Disbursement as we have an IT transformation schedule for this quarter, we would like to take that into account that while everything has been under control as of now in terms of the IT transformation. But this quarter we will also be r equired to give training across in branches to our staff we will also be required to go live. So that will affect a couple of days.
So while with the INR2,500 crores disbursement in Q2, one would have expected it to move up to INR2,800 crores or ther eabouts in Q3, but we would like to push for INR2,500, which will be more realistic because we have to take cognizance of the fact that there's an IT transformation.

So for Q3, we will push for INR2,500 crores. However, our sales team impact has been posi tive. It has been doing well. And this quarter also, they have contributed to almost 7% of the incremental business. And our productivity of the sales staff has also been quite healthy. So therefore, while Q3, we are looking at a slightly moderated disburs ement target.
But in Q4, we will push it up so that we hold our guidance in terms of 12% to 13% AUM growth and 10,500 overall for the year disbursement. So that's in short our brief of the highlights or highlights of the Q2 performance.
Once again, wishi ng all of you a very happy Diwali, and I'll leave it for question and answers. Thank you.
Nidhesh Jain: As of the first question is from Sucrit . Please unmute yourself to ask your question.
Sucrit: My question is since Can Fin Homes has outlined its focus on expanding affordable housing finance, what are the biggest execution challenges you foresee in scaling this segment, especially in terms of credit quality, regional penetration and regulatory alignment. How is the organization preparing to overcome thes e while maintaining growth momentum in its customer trust? Thank you.
Suresh Iyer: Sure. See, actually, the challenges are, I would say, for this affordable housing business or housing business per se. So I think it is ground presence of feet on street, wh ich is a critical aspect. And so far, Can Fin has not had a sales team or a feet -on-street channel, and it's been more reliant on the DSA channel.
So while the DS A channel has been very good for us, but our growth from our own sourcing has been a challeng e, which now we are implementing. We are correcting that situation. And we have been increasing our sales team as well. So that is one thing.
In terms of the overall housing industry as per se, if you were to look at it, I think geographical expansion or presence is definitely one factor which pushes

a growth, 3% to 4% growth comes
from increase in our branch network, which we have also been doing this year .
In fact, in H1 itself, we have opened 14 branches. And last year, in Q4, practically, we opened another 15. So in the last 6 to 8, 9 months, we have actually opened 29 branches which will also help us in giving this growth. So presence on the ground, both in terms of branch network as well as in terms of feet on street is one challenge, which has to be there.
Otherwise, in terms of our potential, I think there is a good potential, in fact, even in Tier 2 towns and all that is a good amount of potential. And I don't see that as a major challenge for us. But I think these are the only things that I believe.
In the pure affordable segment, if you look at it, the below 15 lakh segment, then there would be -- it is a slightly different ball game. Supply there becomes a major component and supply, we have observed is something which is purely determined by the kind of government incentives, which come.

So, whenever the government had introduced a very strong CLSS and it was doing well, the affordable segment and below INR20 lakh or below INR15 lakh segment was doing very well. And in 2022, when the CLSS was withdrawn, post that, this growth in the affordabl e below INR15 lakh segment has been coming down.

So I think that is -- if you look at the below INR15 lakhs. And for above INR15 lakh and the regular segment or the average 2 BHK kind of a segment. And this thing there, it is purely the geographical prese nce and feet -on-street.
Sucrit: And my final and last question is around margins. Now with the rising cost of fund and competitive pressure in the retail lending, how are you planning to protect the margins, especially in terms of liability mix , branch pro ductivity and operating cost control, what kind of financial planning has been put in place to sustain the profitability without compromising growth? Thank you.
Suresh Iyer: See, in case of liability side, we have had a good franchisee for both bank borrow ings, NHB refinance and debentures. In case of bank borrowings, we took a conscious call about two years back that we will move all our MCLR linked loans to Repo linked loans because even when the repo rate cuts are announced, the MCLR do not come down into the same kind of a thing. In fact, they don't actually come down because banks also have to protect their spread. So we consciously moved and that has helped us in our liability or cost of borrowing management.
The second of course thing is that we ha ve, for our NCD also, we have got a second rating also dual rating for the additional INR10,000 crores, which was approved by our shareholders. And that also has been AAA rating we have received during this quarter. So now we have a double rating. So we wi ll be in a position to go for a slightly longer tenure or five year end of debentures also. But of course, that will be slightly higher, but we will take a conscious call it keeping our ALM also in mind.
The second thing is in terms of our NHB refinance. T here, in fact, we since we are dealing with this affordable segment, we are able to take the full advantage of the affordable housing fund refinance that is available. So in this INR1,500 crores that we have received a sanction, 40% has to be classified under the -- has to be qualifying under the affordable housing fund. So that's about INR600 crores, which we are very confident we should be able to do because that's a segment we are mainly dealing. So that is one advantage we will have. So going forward , I believe we should not have a problem in at least the cost of borrowing.
Today, the bank term loans that we are raising, the highest cost is around 7.10%, the incremental sanctions that we are receiving, that is for a long -term rate of interest. If it i s for a short term or WC

DL kind of a limit that is being sanctioned, it is even lower than 7%, below 7%. So in fact, our highest cost borrowing from banks is around 7.10%. That is one.
In terms of -- as I mentioned earlier, our blended cost per incremental refinance should be around 6.8. So that leaves NCDs. So we have a slight flexibility to look at that. In terms of guidance, as I had earlier mentioned, our current NIM is around 4.02 as at end of Q2, but we would guide for

3.75 because that gives us a lit tle buffer to slightly offer some good rate in Q4 to push business. So that's what it is.
Sucrit: I think that is a good guidance from your part. I wish the entire team happy Diwali and best of luck for the next Q3.
Nidhesh Jain: Thank you. The next questi on is from Shreepal Doshi. Shreepal, please unmute yourself and ask your question.
Shreepal Doshi: Thank you for giving me the opportunity. My question was pertaining to lending rates. So far, we had taken as on July, I think, 25 basis point rate cut. Anyt hing further that we are planning to do on the asset side, let's say, with respect to passing on the rate benefit? And so overall -- so the implication of the same on the margins in Q3 and Q4? And also, you highlighted that 59% of the -- 59% of our loan bo ok is still at annual reset, so which will also shift to quarterly reset. So just some color -- a little bit more detail on that front as well.
Suresh Iyer: Sure. Sure. See, actually, in the last quarter guidance -- earnings call, we had mentioned that we may probably look at a rate cut of another 10 basis points in the month of September. So we passed on 10 basis points to our existing and new customers in May, another 15 basis points in July. So we were looking at something. But as you -- as you know, that the bond rate slightly went up by about 7 to 8 basis points because of the geopolitical situation.
So, we felt that we'll hold on to the rates. And I think since no other NBFC or HFC other than as an LIC has done the rate reduction for existin g customers, I think the market is also fine with that. So I guess we will probably look at that. However, yes, as I mentioned, there will be some movement because this quarter, we have seen now 8% of our customers move from annual reset to quarterly reset . So if this trend continues, another about 8% to 10% will again move in Q3. So in which case, there will be some impact, which will be offset, as I said, by our NHB borrowing, which we would like to do. And so I guess, that will take care. But in Q4, we might look at some kind of a rate cut depending on our prepayments and our disbursements to see if we can push growth. Because we would like to definitely ensure that it's there. And Q4 generally

also sees some kind of offers from all the players, in terms of maybe some year -end offer or processing fee waivers and things like that. So we will react depending on what -- how the market behaves.

Shreepal Doshi: Got it. That is helpful. And sir, the second question was on, let's say, the momentum in Karnataka and Telangana for us, particularly, wherein you give also in higher prepayments. So are we back to INR300 crores disbursement per month in Karnataka. And also in Telangana, how do you see things shaping up incrementally with respect to getting back to INR14 0 crores, INR150 crores disbursement per month? Or we will try to compensate the loss here by growing in some other northern states? Just some thought process on this front?

Suresh Iyer: Sure. See, in case of Karnataka, INR300 crores now is definitely poss ible kind of a monthly disbursement. We would -- that is what we will be aiming for, if not now, at least by Q4 because this month, and that is in the month of September, we have touched INR270 crores for Karnataka

disbursement alone. And last year in

Q2, we had done an average of about INR275 crores, and we had touched INR278 crores. So therefore, we are almost back to that kind of a number now. And with the two announcements that I just shared, we feel that the registrations will also happen faster. And i n this quarter, with this kind of a INR270 crores to INR 280 crores kind of a disbursement also, we will easily be able to not only move back to the green, but we should be able to do a 3% to 4% YTD growth in Karnataka by the end of third quarter itself.

Because last year in Q3 was badly hit because of our -- we were almost doing INR150 crores, INR160 crores on the average disbursement in Karnataka because of the e -khata. So if you are able to do INR280 crores average disbursement per month in Karnataka, it will be a big support for us, and we should be able to do that.

Karnataka definitely is looking positive. Again, the announcements have come and let's see how soon the government is able to implement it, and we should be able to do that. Telangana also, in fact, in this month in September, we were able to cross INR100 crores . But Telangana, I would still feel that INR140 is not a number we would want to touch. We would -be really happy with INR120 crores, INR125 crores. Because tha t is a state where our delinquencies are also, as I mentioned, slightly moved up. So we would like to focus on that as well.

And Telangana, right now, the hydra impact, while it is still -- at least it is not there in terms of the fear of the customers, bu t at least in the growth, we need to still see the construction activity improving or picking up to the old levels. Because at the end of the day, it is only what is constructed can be financed and things like that. So for us, it also depends on how the st ate pushes in terms of the construction activity. So Telangana, we will be positive by Q4, but at least we may not touch INR140 crores. I think we'll be happy with about INR125 crore s average disbursement per month in Q4.

As far as the other zones are conc erned, we have a good growth coming across all our other zones. Our North and East Zone continue to be doing around 30% kind of a growth it is there. And Tamil Nadu and West Zones are also now doing 25% growth. In fact, West Zone this quarter has had a goo d growth and that has helped in pushing it up also in the 25% bracket kind of thing. The last quarter, we had a -- it was around 18% to 20% was the growth in West Zone, which now has picked up to around 25%.

Shreepal Doshi: All right. This is very helpful. Sir, just one last question. On the liability side, are we looking at any foreign borrowing platform or avenue to -- on the liability side or we are very well, let's say, equipped with the domestic platform that we have.

Suresh Iyer : See, if you a re talking about ECB s, we are as of the moment not looking at ECB s. However, I think there is a good scope and we have been talking to a couple of foreign banks who are interested in green funding. So, obviously for that, we need to identify portfolio and be able to show them the actual funding that we are doing for green housing and all, which we have actually started, because we need to also have some sizable amount of data to show in terms of our green lending.

So, that we have been, for th e last one year, capturing in our books in terms of what is in our valuation reports and all as to what are the green funding actions that our customers are doing in terms of rooftop solar or rainwater harvesting or LED lighting and all those kind of thing s we are capturing. So, we will be talking to them and see how if we can explore some kind of green funding for -- from foreign banks. That is something which we will probably look at, but not in

terms of ECB, at least not at the moment.
Shreepal Doshi: Got it. Got it. That is very helpful, sir. And Happy Diwali to the en

tire family.
Suresh Iyer : A very happy Diwali to you.
Nidhesh Jain: The next question is from Suraj Das . Suraj, I am unmuting you. Please unmute yourself to ask a question.
Suraj Das : Hello . Hi. Hi. Thanks for the opportunity and wish you a happy Diwali, sir. I think few questions have already been answered, but just again, I mean, coming back to this Karnataka. Sir, if you can give the absolute amount Karnataka disbursement this quarter ver sus last quarter or Y -o-Y?
Suresh Iyer : See, Karnataka, this quarter, I'll give you the number. I think, as I said, we have done -- every month, we have done more than INR250 crores. So I think the average would be somewhere around INR260 crores for this q uarter in Karnataka. And in Septe mber, we touched INR270 crores.
So month -on-month, I'll probably be able to -- I'll give you separately on a month -on-month, but I guess it will be around INR260 crores, because we started with INR250 crores in July and th en moved off. So, yes, we -- I think it would be around INR260 crores is what would be the figure.
Suraj Das: Sure, sir. Understood. Sir, in terms of BT, outer BT, have you seen any change in the trend there?
Suresh Iye r: See, not as much in other states, but Telangana, as I mentioned, we have got INR120 crores. So, see, BT, we have been capturing the data of prepayment, whether it is a part prepayment or full prepayment. In many cases, customers have also given the numb er that they are prepaying out of their own funds. But still, wherever there is a loan closure, we at least from, on this side, have considered it as a prepayment or a BT out.
So, totally our loan closures have increased by INR120 crores in this quarter. W hile our total prepayments have increased by INR200 crores, the loan closures where the account is no more with us is only about INR120 crores. The remaining INR80 crores is where the customers have made some excess payments, but the account is still with us.
So, this INR120 crores is spread out, but mainly out of that INR120 crores, almost 40% is in one single state of Telangana. And we believe that we had taken a tough stand with some of our DSAs in Telangana, and we have deactivated a lot of them post th e fraud we experienced in '23, '24. And that is the effect where the DSAs are moving out the book to some other players. Because now some other players have also become active in Telangana, which was not the case last year because of the Hydra issue.

So, I guess, now they are having the option to move it to other lenders. And I believe that is what has happened mainly in our case, whereas in Telangana, we have had the BT out much higher. Other states also we have seen some BT out, but it is only about INR8 crores, INR10 crores, INR14 crores, something like that. So, it is not a major thing in any particular state except in the case of Telangana
And INR80 crores, as I said, the increase is mainly where the loan accounts are still with us. Now, this is a sligh tly, I would like to read it as, the cash or the surplus in the hands of the customers is now on the higher side, because we have also seen an increase in our deposit portfolio in spite of fast cutting rates on 1st of July. So, in spite of us dropping our deposit rates, we -- our deposit also by a small number has also picked up.
So, that shows that, the cash in the hands of the customers probably is increasing or the surplus funds or cash flow is improving. So, I think that is, can be looked at both ways. That should help us in our corrections also, but to some extent that would have an impact on our delinquency. This quarter we are looking at little more slicing and dicing of our portfolio to see how we can retain the book, whether we can move some of our customers from who are making a prepayment to rather move to a deposit and save their capital and things like that. So, we a

re looking at all those measures. We will be putting some more effort in retaining the book. But yes, it has slightly increased acro ss the Board, but mainly in the state of Telangana.
Suraj Das: Sure, sir. Thanks for the elaborate answer. And sir, on the margin, I think, next couple of quarters you will give guidance on margin, but how do you see FY '27 margin? How much further, let us say, rate cut you want to pass on the asset side and probably on the liability side, how much benefit you might see? So, how do you see FY '27 margins going ahead?
Suresh Iyer : See, frankly speaking, the kind of this geopolitical things that are happening , there has been a little bit of volatility. So, we have actually not passed on the thing. But if -- keeping in mind that, inflation has been so low and the repo rate cuts do come, then in that case, yes, we will pass on to our customers at that point in t ime.
And so, another 10 basis points or something, we can definitely look at if the next rate cut

happens. But as of now the -- what we see is that in Q4, liquidity pressure will also result in slightly the borrowing cost going up. So, you do not want to act in haste and do some guessing which will affect our spread in Q4.
Suraj Das: Sure. But you -- can you see margins moving north of 375 -basis -point going into FY ‘27?
Suresh Iyer : I believe we have already received the entire benefit of the repo rate cut in all our bank borrowing. So, going forward, further reduction in our cost of borrowing, barring for our NHB borrowing is not much, there is not much scope left. So -- and a yield, obviously, we will have to see that we are competitive in the market. So, I do not think there is a possibility much to further increase our NIM s and spreads.
Suraj Das: Sure. And sir, last question on the opex side. Obviously, I think, we have been investing in the franchise a lot for the next level of growth. And if I look at opex as a percentage of AUM or

assets for the last couple of years, it is slightly inching up only. How do you see opex to AUM or opex to asset whatever metrics you will look at going ahead, given that further, you were trying to increase the outsourci ng via mar keting, digital and all of that?
Suresh Iyer: Sure. See, in case of opex, we have invested in 2 things, one, of course, in our own sales team, the second is in terms of our IT, okay? The IT is going to result in an additional cost, net cost incre ase of about INR40 crores from next year onwards. So next year, at least our cost -to-income ratio, we expect should be around 19.5% or 19% to 19.5% is what it will be next year because current year, whatever spending we are doing is getting capitalized bec ause it is still in the implementation phase. So that is 1 thing.
In terms of our sales team, of course, we are investing in our sales team. We are investing in a brand expansion as well. But I think that is not something which is going to be a major impac t. And having said that, from next year, at least once our IT is implemented, we should see some good reduction in our productivity, and we may be able to release some staff.
So the staff -- increase in staff strength because of this may probably we may b e able to move within our teams to sales rather than having to recruit from the market because we'll see some improvement in our efficiency and productivity because of the IT implementation.
Nidhesh Jain: The next question is from Prithviraj Pati l. Prithvi raj, please unmute yourself.
Prithviraj Patil: So I have a question on the DA or the co -lending arrangements that we have. So we were going to incorporate a policy in Q3, that is what I had heard from the previous con -call. So if there's any update on that , that's the first question.
Suresh Iyer: No. In fact, that's a good point. In fact, we had indicated, but we have not done in this quarter,

we have not been able to get the policy done. I think we will push it for the Q3 only. We have not been able to do that. But as of now, we are seeing a good growth for organic growth itself coming. So we have not been -- we've not gone for that inorganic growth as of the moment. But yes, there is a good opportunity, and we will be looking at that in Q3 or Q4 maybe.
Prithviraj Patil: Yes. So the next question was on the employee count. So if you can just give us a number for Q1 and Q2 and what is the growth in the employee ? And also the salary rebasing that happens, what is the cycle that we follow? Is it in Q2 or in Q1?
Suresh Iyer: See, the salary increase is just like in other PSUs and all, our salary hikes happened once in -- used to happen once in 5 years, which we have now changed it to once in 3 years. So we had it in the beginning of FY '26. So we -- in the first quarter itself , we implemented it. And the idea is that every year -- whenever it happens, that is once in 3 years, it will happen in the first quarter of the year.
So we've already had that impact in the first quarter. And in Q2, it's just been the same as Q1 in terms of the salary expenses and all, there's not much of a change. So that is already incorporated into our this thing . In terms of our total team strength, we have about 1,31 7 people.
Prithviraj Patil: [inaudible 0:35:46].

Suresh Iyer: 1,317, sorry 1,317, whi ch was 1,134 in September '24 and which was 1,184 in March ' 25.
Prithviraj Patil: Yes. Got it. And the last question is, if you can just elaborate on the roadmap that you've shared with us , the roadmap 2028 if there's any points, any AUM target that you h ave as such ?
Suresh Iyer: Yes, sure. So we have given a slide in our presentation where we have done the 4 pillars where we would like to work on and where we are moving in terms of each of these 4 pillars, that is the geographical concentration ; South ver sus rest of India, product mix segment and sourcing.
So now the 1 point that you mentioned is about the AUM growth.

So this year, we are looking at 12% to 13% AUM growth. But next year onwards, we would definitely like to work at 15%, at least kind of AUM growth. That's the kind of growth that we are looking at in terms of , for the -- so FY '27 and FY '28, it should be 15% AUM growth.
Nidhesh Jain: The next question is from Kushan Parikh . Kushan , please unmute yourself and ask your question.
Kushan Parikh : Just again on the margins. So we spoke about certain PLR cuts, etcetera, that we got on the NHP side, which is the only bit of borrowing cost reduction that you expect now going forward, which should be a few basis points at best .
We were at about 2.9% spread in Q2 when we are guiding for 2.75. Should we expect that over the next 2 quarters as we push for growth in Q4, we should be at that 2.75 and that should largely be driven by lower yields ? Is that the thought process?
And from a longer -term per spective, we also said that F Y '27, we may pass on another 10 basis points. So should we expect that next year on 265 -- spread of 265 is more sustainable over the long term? If could help us understand.
Suresh Iyer: So if you actually look at it, our spread at the end of Q2 is 2.79, but our stand-alone Q2 spread is around 2.93. So that being the case, same way in terms of our margin , for the quarter margin is 4.02, whereas for Q1 plus Q2 put together, it is 3.83. So basically, what -- there is a li ttle bit of a buffer in terms of this thing because if the same kind of borrowing continues in Q3 as in Q2, where we are able to raise that 7.17 as against the entire 6 -month borrowing cost of 7.29. Then in that case, yes, there is a little buffer there al so available.
But as I mentioned that this 2.75 and 3.75 that we have guided is more as keeping a little buffer in case we have to offer something

, then we will want to react and we would want to offer it so that we can also achieve some bit of a growth. So that's basically the kind of thing. Whereas, having said that, today, in Q2 also, we have seen a good amount of organic growth opportunity, and we would like to, therefore, see that if it continues . I think we may -- it's more of a buffer that we would like to hold on to.
And second, as regards to your 10 basis points cut, what I mentioned was that if the repo rate cuts come through, then we would be able to pass on something to our customers. So which means that, again, like we have followed the policy in this year, we will first experience it on the liability side where our entire bank borrowings are linked to repo rate. So when the repo rate

cut is announced, we will first experience it in terms of our bank borrowings, which is almost 55%, 57% of our liability side.
And then therefore, it will allow us to offer a 10% customer -- pass on to our customers, which therefore may not impact our spread in that sense. So if it is 2.75 and 3.75 at the end of Q4, then Q1 will not start at 2.65 because we will first experience then pass on.
Kushan Parikh: Understood. So the way to think about this is 275 is the base, given the benefits that you are seeing in Q2, it could be higher also for full year ?
Suresh Iyer: It could be in the sense that, yes, there is a l ittle -- if the rates hold, then as I said that our banks, we are borrowing at 7. 10%, t hat is the highest long -term borrowing. Short -term borrowings are even below 7%. Our NHB borrowing in this quarter will be at a blended rate of 6.8%. So therefore, our i ncremental borrowing also will be at a rate below our current cost of borrowing rate, which means, yes, there is a little bit of buffer, which we can use to look at something.
Nidhesh Jain: The next question is from Abhijit Tibrewal. Abhijit please unmute yourself and ask your question.
Abhijit Tibrewal: Just two things I'm trying to understand. First things first, I mean, are in the call, you spoke about 10,000.
Suresh Iyer: Sorry, we can't hear you.
Abhijit Tibrewal: Yes, is it better now?
Suresh Iyer: Yes, yes, please continue. Yes.
Abhijit Tibrewal: So sir, I was asking earlier in the call, you shar ed that you are guiding for INR 10,500 crores of disbursements in FY '26, right? Is that understanding right? And 12% to 13%.
Suresh Iyer: That is correct.
Abhijit Tibrewal: We are still guiding for INR 2,500 crores given the IT transformation. I mean what numbers are we thinking for FY -- 4Q FY '26. That has to b e substantially higher than INR 3,000 crores, right?
Suresh Iyer: That is correct. See, actually, the confidence comes from the third one, our branch expansion, unlike in the previous 2 years, we've already brought it front -ended it right now. 14 branches out of the 15 that we had planned have already opened and operational with the staff and the offices and everything red. So that should also help us in getting in H2 on business.
The second thing is our sales team, which we also increased the staff strength from kind of we want to now about 100, which is effectively about 94 or something. Th at is also sta rting to deliver

as against INR101 crore s, which the sales team was able to source in this quarter, they have delivered about INR185 crores.
And that also considering that the productivity levels also, which dropped because we added people i n the month of June have again come back to the level in the month of September, which

means that within 3 months, we've been able to improve the productivity levels of the new stock as well. So that is what is giving us the confidence tha t we should be ab le to do it.
And as I said, I mean because of an IT implementation, we would -- we are looking

at around
INR2,500. But I mean, ideally speaking , we should have done about INR 2,800 now and about INR3,000 or INR 2,300 includes Q4. But we may have to push a l ittle more in Q4. That will be helped by the fact that we will have a little bit of efficiency in terms of our IT, which has been there. And therefore, we are quite positive. We should be able to push in Q4.
Abhijit Tibrewal: And then, sir, main last quest ion I had was on margins in space. We have already had a lot of discussions in this call on stringent margins. But 2 sub -questions here. One is, I mean, like you rightly shared sir, except for maybe can in LIC and maybe about charge housing. No 1 else have really taken rate cuts among HFCs.
So suffice to say that, a, there is not too much of international competition, which is there among HFCs at least, right? And the other thing is, I mean, there is no, I mean, real pressure from RBI either to pass on rat e cuts. That is one. And the other thing is, I mean, like to acknowledge except for NHB, where we will see some benefit in the coming quarters.
So I wanted to understand customers who are on annual resets until now -- and please correct me if I'm wrong, b ut my understanding was customers are on annual resets, right? They are on a rolling basis, not that everyone gets reset at the same time, depending on when they had taken that loan, they will have a reset, right?
So what proportion of customers, right, h ave already seen some resets you said, right, a little less than 60 % are on annual resets now. But even those annual recent customers would have seen their rates being reset is what I'm trying to ask. So if you could help us understand, out of the total b ook, right, what proportion of customers have already seen some resets, and to that extent, right, whenever the full set of customers see at le ast 1 cycle of research, right?
Suffice to say that going forward, I mean, like you said, I mean, in addition to some of the buffer that you are keeping for yourself to push growth in 4Q. From here, the margins compress, right, for the next few quarters, margins and spreads compare for the next few quarters because of these customers who will also see these sets who are currently on annual basis.
Suresh Iyer: Sure. So firstly, what you have mentioned about this rate cut, whether there is a rational pricing.
So there is -- you're right, there is not majorly nobody is rushing to kind of pass on the rates or anybody is rushing to give the kind of offer that used to be seen earlier because everybody is now conscious about the profitability, and there is a lot of pressur e to also maintain and do this.
So that way, in fact, as responsible corporate, we have been 1 of the very, very few to actually pass on to our customers, which I'm sure we will get the benefit. Our customers will also appreciate.
As regard to the second, yes, there is a not a kind of a pressure from RBI, but there is a general feeling that peop le should do it. So all the PSU Banks have done it, LIC has done it. So I have -

- we have done it and LIC Housing has done it. But in case when it comes to NBFCs and HFCs who are not directly coming under the RBI or anything like that.
That, in fact, yes, definitely, the RBA is not kind of putting so much pressure for any rate cut.
And as I had mentioned, I think I've been mentioning again and again that the RBI has taken a view that since the prepayment penalty has been removed and customers can move from 1 end to another lende r without any cost implication.
Therefore, our customers will take a conscious call and will move were. And to that extent, RBI has also brought in the key PAT statement, which has to be sent every quarter. The updated quarterly statement and everything has to be done.
So basically, the transparency and is being increased, and everybody is following t

hat guideline
and because of which now the customers are more aware and they are in a position to take a decision and they are free to move without any prepayment penalty. So I guess RBI should be

at least the objective, if not contrary met is at least met in the sense that customers have the flexibility now. So that is not so much of a problem.
The third as regards, you know, the ann ual reset, this quarter we had, you know, as at the beginning of the year, we had 72% customers who were at annual reset. In the first quarter, it moved down to 67%, which means that only about 5% customers moved from annual to quarterly and whoever moved from annual to quarterly got the entire benefit of the lower rate. Same way, in this quarter from 67, it has come down to 59. So, about 8% customers have moved into it. Now, the remaining 59% who are there, they also, as you rightly said, move in a month - on-month basis. So, it is not that the entire set will move in one single month. So, if the disbursement was done in the month of April, then the next April, their reset will happen. Those who have taken in the month of August, it will happen in the next A ugust and so on.
So, right now, from July as we speak, you know, already, you know, one quarter or one fourth of the customers have already seen the reduction in their rate, even in the annual reset category. And therefore, going forward, whatever the 59% or the three -fourths of the customers are left, they will also do on a, you know, divided basis. So, it is not that the entire process is going to come in one particular month.
Plus, this, whatever pass -on we have to do to our customers will be offset by the reduction in our NHB PLR and in our lower cost borrowing that we will do in this quarter. Because our maximum rate at which we are borrowing from banks is 7.10 and NHB refinance will come at 6.8, which is lower than the 7.29 cost of borrowing that we have reported for end of Q2.
Abhijit Tibrewal: But -- so, basically, the takeaway is , I mean, like we said earlier, and I'm just reiterating that, spends and margins can largely be maintained at these levels, given that your incremental cost of borrowings will also be lower than your cost of borrowings .
Suresh Iyer: So unless -- correct. So unless we go for a rate cut to our customers, which is presently not called for or which is not actually be in demand by the customers. Or else if you know some sudden spike or some situation happens where the borrowing costs go up. Other than that, today , we

don't see -- I mean, as of the moment, it appears to be a very comfortable sale that we will be able to hold on to this trend.
Abhijit Tibrewal: Got it, sir. That is all from my side. And thank you so much for patiently answering my questions, and I w ish you and your team a very happy Diwali.
Suresh Iyer: Thank you. Thank you, Abhijit, and wish you also a happy Diwali.
Abhijit Tibrewal: Thank you so much.
Nidhesh Jain: Thank you. The next question is from Shreyansh Gattani . Please unmute yourself to as k your question. Shreyansh , you can unmute yourself to ask your question.
Shreyansh Gattani : Hello?
Suresh Iyer: Yes, Shreyansh , we can hear you.
Shreyansh Gattani : Hi. I just had a couple of questions. So , the first 1 was on the strategic road map. So , I see that one of the biggest changes that we'll be seeing is going from the salaried professional mix going lower to self -employed. So , how do you see this in terms of the credit quality that we have current ly versus what you would foresee in the future?
Like it seems like you should be seeing some kind of deterioration from now, but I could be wrong. If you could just give some color on that, overall, even the geographic mix and the housing to non-housing ratio going lower, so if you could give some color on how do you see credit quality.
Suresh

Iyer: See, actually, two things here in terms of our SENP . One, this reduction in our NPA that we have seen in this quarter has entirely been in our SEN P book. That is, in fact, our target book, our gross NPA and our target portfolio is around 0.68%, whereas in case of our NPA in our SENP is higher than 1%. That's why our blended , it is 0.94 .
But in this quarter, whatever that INR378 crores has come down to INR37 3 crores, the reduction has been in the S ENP category, NPA in absolute value. So, that is one thing which indicates that as I -- which actually , you know, all supports the fact that general cash flow in the market seems to be slightly improving because, one, the SENP repayment has started coming . The pre - payment or the excess payment made by the customers is also slightly increased , plus our deposit base has gone up. So that is slightly an indication of that. That is point number one.
And second poi nt is that we have an internal credit scoring methodology. So , basically, it is not that we only look at the category. And though we are charging 0.5% higher, but we do have our CIBIL score and all other parameters that we look at. Today, if I have to give you the figure, our -- in terms of our CI BIL score category, we have almost 86% of our customers who are having a CIBIL score of more than 700.
This is both in case of salaried and self -employed. This is the kind of trend. So , kind of reflects

that the quality of the customers that we are onboarding is also fairly good. So , I would believe

that it should not reflect so much in terms of delinquency. Although traditionally, it has always been that S ENP NPAs have been a little hig her than sala ried segment NPAs.

Shreyansh Gattani : Got it. Right. Yes, that's where my question was coming from because typically, we see higher delinquencies there. All right. Okay. The second question is actually around the short -term IT transformation t hat you had. So , I'm trying to understand what kind of retraining is needed that we would see a reduction because most of our sales comes from DSAs. So , like do they need to be retrained or I'm trying to understand the reduction in the guidance for this qu arter, if you could give some details on that.

Suresh Iyer: Sure. Okay. See, actually, the current IT package that we are having has been in place from 2011. So that clearly shows that for the last 12 to 14 years, the team has been only working on one single software, okay? And therefore, a lot of changes are expected in terms of not only the UI/UX, but also in terms of the process flow, you know, the methodology of doing any of the transactions that our staff have been doing.

So, that is something which wi ll require a little bit of getting used to. That is one thing. And that will also mean we'll have to give all the staff clear training in terms of the entire new UI/UX, the new flow of transactions and everything.

Secondly, we are also adding a lot of addi tional features into this, obviously, because it's the latest up -to-date kind of a market software that we have on board -- we are onboarding. So , obviously, that will mean that a lot of new learning will also be there for the staff. So, this is just getting the -- getting used to the kind of thing. Otherwise, basics of the business don't change. And so that is where the training will be required where our teams will have to go through all those things. And there could be some feeding problems like in terms of some wrong way of doing things , this system is stuck , we have to be guided of , help desk will have to step in and tell them how to now get through this particular activity and all.

So, basically, those things where we will have to do it. Obviously, whe n the training happens at least, I mean, the implementation happens at least there will be a 1 or 2 days where there will be a roll

over from the old package to the new package. So , there will be a system downtime also. Obviously, we will try to align it with kind of a Saturday, Sunday k ind of a thing where it's a holiday, and we will try to do it in that sense. But still, you know, that kind of a buffer is something we will have to factor in those things. The IT transfor mations while fingers crossed, you would like to have it everything going fine, but you never know you will have to slightly take an extra knee.

Shreyansh Gattani: Got it. That's very helpful. And my last question is on the geographic mix. So, just trying to understand, what is driving us just in the North, not the East -West and are we indicating like that we don't want to grow, it's just a diversification that we're doing or is this that we are almost saturated from what we can do in the Southern markets b ecause, I mean, there's a lot of room anyway. So, since we know that kind of market for a long period of time, what's the purpose of just North and not the other regions if it's just diversification?

Suresh Iyer: No, it's not only that we are opening only North and in the West. Actually, we have open branches in Tamil Nadu also. We have open branches in Andhra Pradesh also. So, it's not that we are not opening in the South, but considering that if you look at the breakup, we have the number of branches in t he South is much higher compared that four states are having almost 70% of the branches or 65% of the branches.

Whereas entire large states, including Maharashtra, including Delhi, including Gujarat, MP, Rajasthan and all and UP, which is now doing very we ll, in spite of all those large states also, the number of branches was a little less. So, we are having more number of branches opening in the North and West, but not that we are not expanding in the Southern geography.

Only Telangana and Karnataka we ha ve consciously not gone for an expansion because today the growth itself is a little bit of a issue because of the E-khata issue and because of the hydra issue. So, obviously, it doesn't make sense to now open more branches here , but as now the growth is p icking up, in fact, we are looking at some more branches in Karnataka and Telangana also now. So, going forward, we will be looking at some more branches in these two states.

Shreyansh Gattani: Got it. That's very helpful. Thank you so much and wishing you a very happy Diwali.

Suresh Iyer: Thank you. Wish you also a very happy Diwali.

Nidhesh Jain: Thank you. The last question for the day is from Kamal. Kamal, I have enabled your mic. Please unmute yourself and ask your question.
Kamal: Hi, thank you sir for the opportunity. While most of my questions have been answered, just a couple of questions. Firstly, what is our incremental lending rate to the customers a nd going forward, what i s the strategy while we give loans to our customers? We make them be at quarterly reset or is it annual reset o r do they have some options of opting where do we want to reset our rate of interest?
Suresh Iyer: Sure. See, in case of the incremental lending rate, I suppose yo u finished your question.
Kamal: Yes, sir.
Suresh Iyer: So, incremental lending rate, our lowest rate for the best customer in the h ousing category starts from 8.7%. We were earlier doing at 8.95% was the lowest rate. Now, 25 basis point that you passed down in two branches. Now, our lowest rate i s 8.7% . And our rating is that for obviously for when it comes from housing to non -housing, there is a slight extra rate of interest is slightly higher.
If it is again from a salary to a self -employed, there is a slight higher rate we are doing it. And third, again, if it is a product difference, which is LAP or top -up, then again there is a slight higher. So, depending on the combination of this, we do it. So, 8.7 is the low

est and I guess the
highest would be around 11.5.
Also, we do have a rate card of 12.5, but looking to the profile of the customers, I think all of them fall below 11.5. We do not have the c ustomers below 700 or 650 CIBIL score. So, that is

the, in terms of the lending rate, t hat is where the blended cost, if you see comes to around 10.08 is the blended lending rate on the incremental side, because we have about 60% of the customers under salaried, 40% under self -employed.
So, that is the mix on the self -employed. The half a p ercent higher is also there. As regards reset, in fact, from January 2024 we have changed the policy. All new customers are compulsorily on quarterly reset only. We are not giving the option over there for a quarterly or annual reset.
It is only a quarter ly reset. But existing customers, as on 31st of December 2023 those customers for moving into quarterly reset will have to go for some slight documentation and they will have to opt for it, which we keep sending reminders every quarter, every month to thes e customers, SMSs and WhatsApp.
And whenever they come to our office or whenever the reset is due, we again contact them to give them an option to reset to quarterly reset. So, that is where we have seen that 72 coming to 67, coming to 59 quarter -on-quart er. That is the position, b ut new customers are all on quarterly reset. Existing customers will move slowly over a period of time.
Kamal: Okay. Thank you so much. If I could squeeze in one more. What was the B T-out rate for the current quarter a nd this quarter, our trade cost was very low. Apologies, I joined a bit late. So, if you could just give some color on the provisions and how do we expect it to pan out for the rest of the year?
Suresh Iyer: Okay. So, right now, if I look at the balance tr ansfer, which is takeover of loans, balance transfer or even where customers have said that we want to close the loan out of our own funds. W e have considered this as a balance transfer because the customer may be saying this, but actually it may be a take over. So, considering all that totally out of the INR1661 crores, about INR390 crores is where it is because of this reason.
Otherwise, in terms of customers making part repayment, but continuing the loan with us, obviously that cannot be a takeover. And the remaining thing is where the customer has sold their property and bought another property, that also obviously i s a genuine transaction, not a BT-out. So, excluding all those things, the takeover, balance transfer and everything is approximately around INR390 crores, which was around INR275 crores in the previous quarter. So, here about INR120 crores has gone up. Mainly about INR45 odd crores mainly increases in Telangana state, which I ment ioned earlier. So, this is the -- so while 1661 is the total amortization plus part repayment plus loan closure, the actual loan closure is about INR390 crores out of the INR1661. That is one. And the second point, I am sorry, I missed or I did not, you mentioned one more point.
Kamal : Yes, the provision this quarter was…
Suresh Iyer: Yes. S o, in terms of provisioning, as I said, we have had a reduction in our total delinquency across the boards in terms of SMA 0 has also come down in Q2 over Q1, SMA 2 has also come down in Q2 over Q1 and NP A has also reduced by ar ound INR6 odd crores in Q2 over Q1. So, as a res ult of this, the incremental ECL provision for the delinquent portfolio has not been much.

Only that INR3 crore s that has happened is mainly because our book has already grown from by around INR850 crores , INR900 crores in the quarter. So, obviously, we have to have some provisioning for the growth part of it. So, that is what it is. So, if our delinquency further c omes down across

the boards in Q3 over Q2, which is what we are looking at, then in that case in Q3 also the provisioning may not be a high number. It could be for growth that we will have to make a provision.

Kamal: Okay. Thank you so much for the answer.

Nidhesh Jain: Thank you all the participants. This concludes our Q&A session. I would now like to hand over the call to Mr. Suresh Iyer for his c losing comments. Thank you.

Suresh Iyer: Yes. Thank you, Nidhesh a nd thank you to everyone for joining the ea rnings call of Can Fin Homes for Q2 results. As explained, it has been a very interactive and we have our CFO also here, Abhishek or myself we are there. So, any further queries also you can get back to us. And otherwise, it has been a very interactive thing and I hope you have been able to answer all your queries. Once again, I wish all of you and your families a very happy Diwali. Thank you.

Nidhes h Jain: Thank you.

Call: Jan 2026

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NSE Scrip Code: CANFINHOME BSE Limited
Corporate Relationship Department
25th Floor, P J Towers
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BSE Scrip Code: 511196
Dear Sir /Madam ,
Sub: Transcript of Q 3 FY26 Earnings Conference Call
Ref: 1. Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements)
Regulations, 2015.
2.Our letter no. CFHRO SE CS LODR 13/202 6 dated January 19, 2026 on
Outcome of Earnings Call

In continuation to above referred letter, please find enclosed the Transcript of Q3 FY26
Earnings Conference Call held on January 19, 2026.
The aforesai d Transcrip t is also availabl e on the websit e of the Company
www.canfinhomes.com
This is for your kind informatio n and record.
Thankin g you,
Yours faithfully,
For Can Fin Homes limited
Nilesh Jain
Compan y Secretary
Encl: as above

"Can Fin Homes Limited
Q3 FY '26 Earnings Conference Call"
January 20, 2026

MANAGEMENT : MR. SURESH IYER – MANAGING DIRECTOR AND CHIEF
EXECUTIVE OFFICER – CAN FIN HOMES LIMITED
MR. VIKRAM SAHA – DEPUTY MANAGING DIRECTOR –
CAN FIN HOMES LIMITED
MR. PRAKASH SHANBHOGUE – PRESIDENT – CAN FIN
HOMES LIMITED
MR. UTHAYA KUMAR A – PRESIDENT – CAN FIN
HOMES LIMITED
MR. ABHISHEK MISHRA – CHIEF FINANCIAL OFFICER

Swapna : All right. Good afternoon, everybody. Welcome to this call. I'm Swapna from Investec. Handing over to give a brief introduction about the call and the management to my colleague, Nidhesh Jain, who is the analyst BFSI. Thank you, everyone.

Nidhesh Jain: Thank you, Swapna. Good afternoon, everyone. Welcome to the Quarter 3 FY '26 Earnings Conference Call of Can Fin Homes Limited hosted by Investec Capital. We will start the call with management commentary, followed by a Q&A session. To discuss the financial performance of Can Fin Homes and to address your queries, we have with us Mr. Suresh Iyer, MD and CEO; Mr. Vikram Saha, Deputy MD; Mr. Prakash Shanbhogue , President; Mr Uthaya Kumar A, President and Mr. Abhishek Mishra, CFO of Can Fin Homes Limited.

I would now like to hand over the call to Mr. Suresh Iyer for his opening comments. Over to you, sir.

Suresh Iyer: Yes. Good afternoon, and thank you, Swapna and Nidhesh for the introduction. Welcome all of you to this earnings call for Q3 results of Can Fin Homes Limited. And first of all, a very happy New Year to all of you.

So just to give a brief about the performance of the Company, the disbursements for -- I'll start with the disbursements. So the disbursements for the third quarter have been INR2,700 plus crores, which is the highest ever for any quarter in the history of the Company. Therefore, in this particular year in the first quarter also, the INR2,000 plus figure was the highest for the first quarter in any of the years.

Same way for Q2, we crossed INR2,500 crores, which again was a record for any of the quarters. And in the third quarter also in a similar manner, we have been able to have a disbursement of INR2,727 crores. So that is a 45% increase over corresponding quarter of last year.

Basically, it's a base effect because in the last year in the third quarter, we had an impact of the e-Khata, which was announced around 27th, 28th of September '24. Therefore, the Q3, there was a major dip. So to a large extent, it is also a base effect. However, compared to the Q2 also, we have had a sequential growth of about 7% in disbursements.

As a result of this, the AUM growth has inched up from 8.4% to 9.5% plus. So effectively, about 10% kind of AUM growth is there for the year. And however, AUM growth has been slightly impacted because of the higher pre-payments. In the Q2 also, we had witnessed a slightly higher prepayments of INR1,661 crore s as against INR1,459 crores in Q1.

In Q3 also, this trend has slightly continued, and the prepayments and loan closures have been at a slightly elevated level at INR1,691 crores. Therefore, this has slightly impacted about INR400 -odd crores in the second and third quarter, we have lost because of prepayments, which has impacted our AUM growth.

In terms of the delinquency, for the fourth quarter in a row, we have had an improvement in our delinquency numbers, where in absolute value, the SMA numbers have come down. So last

quarter, when we had reported our Q2 earnings numbers, our total delinquency was INR3,860 -odd crores. We had said we would like to bring it down to below INR3,750 crores, which also has happened. We've had more than that. In fact, it is -- our delinquency numbers have come below that, mainly in the SMA -0, but we've also started seeing some benefits coming in our -- because of our lower SMA -0 numbers, we have also been able to focus more on SMA -1 and 2. And there also, the numbers have started coming down.

And though the delinquency has come down and NP

A has been almost the same as Q2, but our provision has been about INR10 crores for this quarter, mainly because of the increase in our book size. So otherwise, there is no other concern.

The highlight here that I want to mention about the recovery is that the last couple of quarters, we have been talking about a little bit of stress in the Telangana portfolio, where because of our actions on the DSAs, all some past issues and also because of the hydra and all, the delinquencies have been affected.

But in Q3, we have seen an improvement in our delinquency in Telangana as well. And there also, for the first time, almost after about 6 to 7 quarters, we have seen that the delinquencies have started coming down. So that's a positive number. That's a positive thing that across our geographies in all our zones, we are seeing some improvement in our delinquency numbers.
In fact, going back to the disbursement number, in fact, our Karnataka disbursements last quarter was negative 10% YTD, which this quarter, we have done a run rate of about INR250 crores per month in Karnataka, which has -- so now we are back to kind of a INR250 crores plus kind of a number. So for the third quarter, we have done INR740 crores disbursements, INR740 -plus crores has happened from Karnataka because of which now YTD, Karnataka has also moved into the positive zone. It is 3% positive YTD.
As far as the other zone, which was in negative, which is Telangana, there also, in fact, across the third quarter in all the 3 months, we've had a positive number of INR100 crores plus. So Telangana compared to Q3 of last year, there has been almost 30% plus growth in Q3 this year because of which we have been able to considerably bring down the negative figure of Telangana. And at this rate, we are quite positive by end of the year, even Telangana will end in a positive zone in terms of YTD disbursements.
Third, as regards to the spread, we have had a further advantage, which we had in the last earnings call indicated regarding a particular large value loan where the rate benefit of 50 bps was yet to be passed on. We have received that.
As a result of which we decided to pass on a 10 bps benefit to our existing and new housing loan customers from 1st of December. But subsequently, 5th of December, again, there was another repo rate cut. So we further analyzed. And from 1st of January, we have decided to pass on a further 15 basis points rate benefit to our existing and new housing loan customers.
So with this January impact, our total rate benefit that we have passed on to our customers would be 50 basis points, 10 basis points in May 15 -- another 15 in July, then 10 from 1st of December and 15 from 1st of January. So totally, against the 100 basis points rate -repo rate cut that the

RBI has announced, the transmission in our books has been about 50 basis points and entirely, we are passing on to our customers.
However, there is a benefit that still continues to accrue to us because we still have about 54% of our loans, which are on annual reset. So while we have announced the rate benefit, the actual pass on will happen to those customers as and when the reset dates come. So as indicated last quarter, where our annual reset was 59%, this time, it has come down to 54%.
But we have made some aggressive actions and given time for them of 60 days to submit the documents and are aggressively following up. So hopefully, by end of this quarter, Q4, we might end with somewhere around 80% - 85% of our loans should move to quarterly reset.
So this will help us in case of a rate r

eversal if the rates -- interest rate starts moving up, then we
will -- the transmission on the asset side will also match with the transmission on the -- increase on the liability side. So that's the plan. We plan to aggressively move it to our quarterly reset.
But as I mentioned, because of this slight lag that we have still experienced a slight increase in our NIMs and spreads. So for the quarter, the NIMs have moved to 4.14% from 4.02% last quarter. Obviously, it is a timing difference because while we got the rate benefit in mid of -- end of October, but we decided to give that 10 basis points from 1st of December. So that was a slight benefit that we got.
But going forward, now that with the additional 15 basis points, we expect that the rates would -- the spreads will kind of stabilize around this number of about 3.75% to 3.80% in terms of NIM and spread around 2.75% to 2.80%. That would be where it will stabilize because on the liability side, while we have passed on 15 basis on the asset side, on the liability side, we still have to receive some benefit on the NHB portfolio. And we still have an additional INR1,000 crores of NHB refinance, which we are holding. So this is in terms of the spread and the NIMs.
Going forward, in terms of disbursement, we anticipate or we are hopeful that we should be able to do about INR3,200 crores to INR3,300 crores of disbursements in Q4 in line with our Q2 numbers, 45% in Q1 and 55% in Q2. So that should take us to our guidance number of INR10,500 crore s disbursement for the entire year, which we are positive we should be able to maintain -- we will be able to do.
In terms of our delinquency, we further expect a little improvement in our SMA -1, SMA -2 numbers. And obviously, Q4, usually, there is a reduction in our NPA also. Last year, it was a little less. But normally, in Q4, we do see some good amount of reduction in our NPA.
So therefore, in credit cost-wise, we don't expect any further NPA provision in Q4. There is a very likely reversal which might happen because of the reduction in NPA, but definitely no increase in NPA because we don't see that kind of a stress in any of the geographies or in any of

the segments. So that's as regard this.
The last point is as regards our IT transformation, that is also a major impact. You would have seen from the presentation that during this Q3, we have also added some more elements, which

we have completed and implemented, and which have gone live, mainly the HRMS, the DMS and the Aadhar Data Vault.
Deposit, which is almost on the verge of completion, the testing is almost -- UAT testing is almost done. It is expected at month -- end of this month, it will also go live. So that leaves only the LOS, LMS, where the deadline was January, and 19th of January was what has been given by our partner, but there are some delays in the deadline.
So I expect that it might end up around February end or something. In which case, we are inclined to actually push it into Q1 of next year. So Q4, there will be no impact of the IT transformation, which is why we feel that INR3,200 crores, INR3,300 crore s is a very much achievable number in terms of disbursement.
So in a nutshell, I think in the -- for the quarter, in terms of disbursement, in terms of delinquency and also spread and this thing, it has been a very satisfying, I would say, quarter. Going forward also, we are positive that we should be able to achieve the guided number of INR10,500 crore s for disbursement. And Q4, we may expect or we can expect some more improvement in our delinquency. So with the spreads and N

IM has been maintained, I think Q4 also would be a positive quarter for us.
So that's in a nutshell, the brief of the performance. We can open to the -- to all of you for questions. Thank you.
Swapna: Thank you very much, sir. I would request all the participants to just take a minute before everybody kind of raises their hand. Just a reminder. This call is being recorded. And if any of you have any questions, do raise your virtual hand and I will unmute you. In the interest of time, I will request everybody to keep your questions limited to one or two questions and we'll come back to you in the queue. And also another request is please state your name and the organization that you're working for. Thank you very much.
Nidhesh, would you like to go ahead with any questions on your side?
Nidhesh Jain: Sure. Sure. So Swapna, we can start with the Q&A. I think I'm seeing questions there. So Shreepal, you can go ahead with your question. She will unmute you. Please introduce yourself and ask your question.
Shreepal: Hi, sir. Shreepal Doshi this side from Equirus. So my question was pertaining to the lending rate. So we've taken another 15 basis point in Jan. So cumulatively, we are at 50 basis points. So are we seeing other peers also in the landscape following a similar trajectory on the lending rate side? Or are we early in this because we are seeing some prepayment -related issues?
Suresh Iyer: Sure. Thanks, Shreepal. See, basically, we have passed on because we have experienced that kind of a benefit. I'm not sure how much of a benefit the others have passed -- have experienced on their liability side. As you know, we have moved all our bank borrowings to repo-linked borrowing. So therefore, in our case, all the loans, we have experienced a benefit or a pass on of the 125 basis points, except for that one which is linked to T-Bill.

So there also, effectively, we have seen. So in our case, of course, there is a bit of a prepayment pressure. But more than that, it is just that even after passing on 50 basis points, I think our spread, which was around 2.55 at the beginning of the year has already moved to 2.89 for the 9 months ended December. So in spite of passing on, we have actually had some benefit in the rates, mainly the timing impact, but it's also because we already have experienced it. So we have passed on to our customers.
Shreepal: Right. Sir, so I mean -- I think in Q3 also, you had highlighted that we might play this pricing strategy -related tweak because -- so that we can gain momentum in the market in terms of, let's say, growth being better than what we saw in the earlier quarters. So is it in the same direction that we are sort of moving in, right?
Suresh Iyer: Yes. So in Q2, in the earnings call, we had said that there is one large INR2,500 crores, INR3,000 crore s of term loan where we are yet to receive that 50 bps rate benefit. And once it comes, there is definitely a scope to pass on 10 basis points to the customers. So that happened at the end of October or thereabout. So basically, we were in a position to take it in the November ALCO and pass it on from 1st of December. So that's what we did.

And this time, we've not had that problem. We had the benefit of the 25 basis points coming through quickly. So from 1st of January, we have done that. Of course, there is a bit of a pressure, which is quite evident in the loan closures and BT out and everything. So obviously, this would help. Obviously, as stated last quarter, we would still want to at least maintain our spread, and we will not compromise on the spread and NIMs beyond

-- below this. So that's the strategy at least.
Shreepal: Right. Sir, the second question was on the NHB funding side. So that, of course, had been falling because I think the rates there were not so lucrative. So incrementally, are you seeing -- what is the kind of rate that you are seeing being offered by the NHB borrowing ?
Suresh Iyer: You're talking about NHB borrowing. So NHB, our blended rate that we are getting at which we are getting the refinance is 6.3. It is very comfortable. But why we did not pick up the entire INR1,500 crores is because we -- first of all, of course, there was -- we don't maintain any treasury book where we can keep the surplus funds. So whatever funds we are raising, we are utilizing it for either prepayment of borrowings or lending for loans.
In this case, the other thing was that first of all, we required less amount of funds. Second thing is that we had other committed lines of disbursement from banks. We still hold close to INR4,000 crores of undisbursed, unutilized bank sanction limits. So that is still there. But other thing is that in Q4, normally, the rates are at an elevated level.
So basically, other thing, our thought process was that if we can take INR1,000 crore s and keep it for Q4, then it will help us in meeting our entire requirement, and we will not be compelled to go to the market and raise at a higher cost. So as a pricing strategy also, we decided to keep or postpone or take that INR1,000 crore s in Q4. And this quarter, we'll definitely be awaiting the full INR1,000 crore s of the sanction. So that should also help us.
Shreepal: Got it. Thank you so much for answering my questions. I'll come in the queue.

Nidhesh Jain: The next question is from Sonal. Sonal, please unmute yourself. Please introduce yourself and ask your question.
Sonal Minhas : Sir, this is Sonal Minhas from Prescient Capital . Thanks for taking my questions. I hope I'm audible. I was just trying to extrapolate the numbers for the year-end, and it looks like I think the year-end book growth would be close to 10, 11-ish thereabouts as we close the year. I understand, I think you've given a guidance around 15% a little while back.
Looking for the next year, basically, given that the software stack will be done by Q4 and the tech platform would be ready, so would be the other systems. Are we equipped to actually see a higher growth or closer to your longer -term average growth for FY 27-28? That's my first question.
Suresh Iyer: Yes, sure. See, you are right . It may not be 10%. It will definitely be higher than that. As I mentioned earlier, we are looking at around INR3,200 crore s to INR3,300 crore s of disbursement in this quarter. Frankly speaking, we had in the beginning of the year, our -- if you see our data in the previous year, our normal prepayments every quarter, closures and everything put together, amortization and everything was around INR1,380 crores -- INR1,350 crores to INR1,380 crores every quarter. So we had actually planned keeping in mind INR1,400 crores to INR1,450 crores in quarter -wise, we had planned it.
But the last 2 quarters, our prepayments have been higher. So about INR400 crore s worth of AUM growth has been impacted. Had this been at the rate at which we had anticipated, we would probably have been around INR41,100 crores to INR41,200 crores kind of a range in terms of our AUM by the end of this quarter.
But yes, about INR400 crores has been impacted because of the higher prepay ments. And in Q4 also, with INR3,200 crore s disbursements, assuming the same level of INR1,700 crores, we expect

about INR1,500 crores is the net addition to the book. So we should end somewhere around INR42,000 crores plus kind of a thing for our -- so that will be around 11% to -- between 11% and 12% is what we anticipate in terms of our AUM growth, which is, yes, lower.
We had indicated that 12% to 13% or somewhere in that range, between 12% and 13% is where we will end up for this year. Next year onwards, we had projected for 15%, not this year. So we will be probably aroun d anywhere up to -- because INR400 crores we have lost, that is about 1 percentage point in terms of -- because we were INR38,200 crore s at the beginning of the year. So INR400 crores is 1% we have lost because of the higher prepayments in terms of our AUM growth. So that is correct. But next year, we are looking at about INR13, 500 crores. And considering INR1,700 crores every quarter as the prepayments or thereabouts, so INR13,500 crores and INR7,000 crore s prepayment amortization BT outs should give us around INR6,500

crores of addition to the book. That is what is the plan for next financial year, which should be around close to 15%, assuming we end at INR42,000 crore s this year.
Sonal Minhas: Got it, sir. Sir, a follow -up question just to understand the nuance of how the BT out and the prepayment works. And this is a theoretical scenario, just trying to understand that if we would have reduced the rates, let's say, maybe by passed on more rate cuts to the customers, would the

BT outs been lower? And whom have we lost these customers to? Are these banks, are these peers who are more aggressive? Just trying to unders tand the on-the-ground dynamics?
Suresh Iyer: Sure. I think it's a very valid point. Unfortunately, what has happened in our case is we have about 54% still of loans which are on an annual reset basis. While the rates it helps us in terms of getting lag, it helps us in terms of improving our NIMs and spreads. What has happened is the, annual reset customers are the ones where the prepayments have been very high.
So the quarterly reset customers have been very -- although they constitute about 46% of the book, but the prepayments, if you look at it, less than 20 % of the prepayments are happening in the quarterly reset book. So basically, it is our failure to communicate to the customers or to convert them or the delay in converting them into -- from annual reset to quarterly reset, which has hurt us, I believe.
Because if it was -- because at least when our customers do appreciate that we have passed on 50 basis points and we have regularly -this is the fourth rate cut that we are passing on to the -- to our customers. But what has happened is the annual customers don't get the entire benefit. They have to wait for that 1-year period.
And we have, I believe, not pushed it. We should have done it much faster. So that is, I believe, the main reason why the prepayments are happening. But having said that, prepayments are mainly for 2. One, obviously, is the rate point, which we could have handled this way. But the second point, of course, is that there are also customers who go for takeover plus top-up.
And many times, we are not in a position to offer them the same level of top-ups that they are able to get from the market. So those kind of cases, we have to let go. But those are conscious calls. But yes, on the rate side, if we had communicated better, probably we would have been able to save some of the portfolio from moving out.
Sonal Minhas: Got it. Thanks for explaining.
Suresh Iyer: Thank you.
Nidhesh Jain: The next question is from Shreyans. So, please unmu

te yourself, introduce yourself and ask your question.
Shreyans Gathani: This is Shreyans Gathani from SG Securities. So I had a couple of questions. So one was basically looking at a long-term trend in terms of the borrower mix, we've seen a structural increase in the self-employed non -professional category. So where do we -- I don't know if this is a function of us moving out of South India or as Northern India, there's just more of that population? Or are we looking to increase that and where do we see this stabilizing as a mix of our book?
Suresh Iyer: It's not a function of the geography change in geography. In fact, if you see one of the slides, we have mentioned the 4 pillars of our Vision 2028 document, where we have said one of the things is we would like to increase our SENP book. We were almost at 73% was salaried and 27% was self-employed.

So by FY '28, we have indicated that we would like to -- we are okay to take it up to 65%-35%. So that is the thing where we have now from a 73%-27%, we have moved to 69%-31%. And by FY '28, we are okay to move it to 65%-35%. And -- so it's more of a conscious call.
As far as geography is concerned, actually, if you look at it, our salaried percentage is highest in the North. Among all the 6 zones that we have, our North zone has the highest percentage of salaried segment. So it is not that the non-South geographies have a higher self-employed segment.
But yes, within geographies also, there are pockets where self-employed is more like if you look at -- say, if you look at Rajasthan or maybe if you look at parts of Tamil Nadu, mainly the Tirup pur side and all…
Management: Yes, there are -- so it has nothing to do with the geography. But consciously, we have taken a call to slightly increase our self-employed so that we can have a slight improvement in our spread, so which is visible also because while the rates have been coming down, we have been

passing on the rates.
If you see our yield has been somewhat kind of maintained at 10.10% was, I think, there. We have 10.14% or thereabout. It's just come down to 10.07%. So basically, we have -- this strategy has helped us also maintain a little bit of our yield, and it's a conscious call.
Shreyans Gathani: Got it. So as we see this book seasoning, will we -- what kind of NPA ratios do we expect in terms of now versus current for this particular year?
Suresh Iyer: See, we have got the last couple of years or whatever, if you see our salaried segment, GNPA has been in the range of about 0.5% to 0.6%, whereas self-employed category, our -- this thing has been range bound around 1.6% to -- 1.5% to 1.7%. This is the range -bound figures. Even in the last 8 quarters, the numbers have kind of remained in this particular range only.
So yes, to that extent, there will be a slight increase in our delinquency numbers, if you look at it. But we are confident that we will -- we still have quite a bit of delinquent pool in the existing pool where we can collect and reduce those numbers.
So in the medium term, I don't see the numbers. And you know , we -- for the last so many years that we have been there, Can Fin has not seen a GNPA more than 1%. So we are confident that, that will not be reached. We are confident of keeping it below 1%.
Shreyans Gathani: Got it. Sir, last question was on the annual reset portfolio. So assuming that all of that resets to quarterly, what kind of NIM impact do we expect? And what steps are we taking to curtail -- like reduce this prepayment increase that we are having?
Suresh Iyer: Sure. See, actually we have factored the future conversion

from annual to quarterly when we passed on that 15 basis points to our customers. So basically, first of all, there was this December 25 bps repo rate cut, which we have experienced on 40% of our book. So that, of course, is something which we are going to get, which is -- takes care of this -- some of this 15 bps that we have passed on.

The second thing is that, as I had mentioned a little while back, that in our NHB portfolio, which is all at annual reset, we still have some portfolio which is going to see that benefit. And NHB book, approximately 60 to 75 bps is the reduction in the PLR, which they have impacted. So some of that NHB pool, we are likely to experience that also going forward in the next few months and all.
So therefore, we have factored those things into it. And currently, we are at 3.89% as the 9 months NIM and 2.83% as the spread for the 9 months. We expect that we should be -- even after all this 15 basis points and factoring in the benefit that we are going to get, it will not go below 2.75 and the NIMs will not go below 3.75.
Shreyans Gathani : Got it. But this is after everything converts to quarterly?
Suresh Iyer: Yes, yes, yes.
Shreyans Gathani : Okay, okay. Perfect. That’s it. Thank you from my end. That is all from my end. Thank you.
Nidhesh Jain: The next question is from Raghav Garg . Introduce yourself and ask your question. Please restrict to two questions per participant. Raghav, you can unmute yourself.
Management: Raghav, we are not able to hear you. I think you muted yourself .
Raghav Garg: Can you hear me now?
Nidhesh Jain: Yes.
Raghav Garg: Okay . Hi. I'm Raghav from Ambit Capital. I have a few questions. See, one, I wanted to know what is your plan on branch expansion for the next 2 years, which is '27 and '28? And if you can add some geographical color to it, like which states or regions will you expand more? That's my first question. Should I ask all my questions? Or should I wait?
Suresh Iyer: Either way, either way. You can go ahead.
Raghav Garg: My second question is, can you highlight what is the number of marketing executives that you currently have across all of your branches? Because I think last time when you had indicated this number, it was about 100. That's in July 2025. So has it increased from there?
And last question is on your IT implementation . See, I understand that you may end up taking it in next 3 to 6 months. But I just wanted to understand at a very broad level, whenever you do decide to take it, what is the number of days of operations that will be impacted before operations fully normalize? Those are my three questions.
Suresh Iyer: Sure. Yes. Thanks, Raghav. See, in terms of the branch expansion, we -- our vision document s did, we need to -- we plan to have about 300 branches by FY '28. We are currently at 249. So next 2 years, we plan to open 25 branches in each year . We already have identified some 20-odd locations, which we are very keen to open. So we will be opening about 25 branches in the next year.

If you see the branch expansion, so far, most of it has been in the North and the West zones. We have not opened any of the -- any branches in Karnataka and Telangana. Obviously, we've had some slowdown there, which was for various reasons. So basically, we'll continue to look at the other geographies only.
Maybe we may open a couple of branches now that Karnataka has come back to its old 250-plus kind of a number. We may look at one -- a few branches in Karnataka. But by and large, it will be North, West, Tamil Nadu and East wher

e particularly Andhra Pradesh, we are quite positive about. So these are the geographies where we'll be looking at branches.
In terms of marketing executive, we had 90 as at the end of the last quarter. Currently, also the numbers are the same . One or two -- given one or two here and there attrition and new joinings and all those things. So that is the status. The number was about 37 at the beginning of the year in Q1. We increased it to around 90 slowly to -- up to 90 in the second quarter. And in this quarter, we have continued to keep the number as the same at 90.
Last quarter, if you see, our 90 people in the team, in the first quarter, we had about INR101 crores of business sourced through the team , with 37 people. In the second quarter, this number increased to around 185. And in this quarter, we have done more than INR250 crore s business has come.
So almost on an average, these 90 people have done close to around INR80 lakh, INR90 lakh plus kind of sourcing per month per staff. That's the kind of sourcing that has happened. We have not added anything. But going forward, yes, we plan to at least increase some in the next financial year. And again -- so by FY '28, end of FY March '28, we at least expect to have about 250-odd people in the sales team.
The third question on the IT implementation. See, we -- as I had mentioned earlier, we may look at probably taking it to Q1 for the LOS, LMS part of it. Deposits will happen now. But that is more because if it comes closer to the March dates, then probably we may decide to either do a small pilot in this year and most of it next year or entirely in the next year. But -- so the impact in this year may not be there.
But what we expect is that the way all our other modules have gone and also in the sense and the way we have seen the customization aspect to it, I think it will be about 3 to 4 days of downtime. Beyond that, I think it will be some 1 or 2 weeks for the teams to get accustomed to it because basically, since customization is less, it's mostly the UI UX, which is going to change and some process flows will change. So getting used to it will be some effort.
Other than that, I think it should not take too long also for the branches and the staff to get accustomed to the new system. So probably if you have to put it into numbers, I would say in the quarter in which we impact probably about INR300 crores -- INR250 crores to INR300 crores of business impact would be there. I would put it in that number, that way.
Raghav Garg: That's helpful. Just one clarification. You said 200 marketing executives by when, March '27, is it?

Suresh Iyer: More than 150 by March '28. So probably this year, we are at 90. We may increase it to about 150-odd next year, and another jump in the FY '28.
Raghav Garg: Thanks. That's very helpful. Thank you.
Nidhesh Jain: The next question is from Nipun . Nipun, please unmute yourself, introduce yourself and ask your question.
Nipun Kinkar : Hi, sir. This is Nipun Kinkar from CD Research . So basically, my question is, why do you think we are underperforming as compared to the NBFC system growth of home loans?
Suresh Iyer: So why we are underperforming? See, in terms of AUM, yes, we are a little lower than the industry level of about 13% to 14%, mainly because it's -- growth this year, if you look at it, current year, disbursements have grown at 19%, which I think is comparable. But -- and by the end of the year with around INR3,200 crore s, INR3,300 crore s, we should end up around 22%, 23% disbursement growth compared to last year.
So in terms of disbursement, I don't think tha

t is a major issue. But as I mentioned earlier, our AUM growth is slightly lagging, one, because it always -- it of course, comes with a lag, and it will take -- maybe the next year can be a little better. And two, we have lost about INR400 crores because of higher prepayments this year. But for that, our growth would have been around 11% plus in the end of this quarter. So I think these are the two things I would say we are lagging

behind.
Nipun Kinkar : Okay , okay. And my second question was regarding the IT implementation that we are doing and we are currently under -- like within the phase . So what do you think would be the competitive advantage that we might have post implementation of this infrastructure?
Suresh Iyer: See, in terms of our existing IT infrastructure or IT thing is quite dated. Our current IT platform is something which was implemented in the Company way back in 2011. So obviously, there are a lot of -- in terms of the elements which are not present.
The current IT that we are implementing is a wholesome thing, which is into -- one is application side, second is the security features and third is the infrastructure side. So obviously, in terms of the infrastructure and security, it is going to be very helpful to the Company in terms of the present scenario of cybersecurity and cyber threats and all those things. So that's definitely something which we have taken into consideration.
Infrastructure, the way we have enhanced the capacity and everything, we should be able to -- definitely, system will be able to match up to the higher growth levels and everything that we are planning in the next few years.
As for the applications, earlier, we had, as I said, a dated application, plus at the same time, it was only an LOS, LMS. So now the new application that we are going include document management, a lot of other deposit module also, much enhanced F&A package and also has things like Aadhar Data Vault and a lot of integrations and third -party solutions also integrated.

So that way, a lot of benefits will come in the sense that a lot of activities which are presentl y manually being done will also get automated, plus the API features and everything will enable us to also quickly attach third -party vendor solutions as and when we require it and go-to-market time will be much lower .
Plus over a period of the last -- from 2011 to 2025, a lot of things have become a little cumbersome, the processes and all. This new system will also have a lot of simpler processes. So definitely, the time of the branches will also reduce considerably.
We expect at least 20% productivity improvement in -- although we've not actually -- there's no way to calculate how 20% and all those things. But at least we expect a sizable amount of reduction in a turnaround time for the -- for other key transactions and activities.
Nipun Kinkar : Got it. Mostly, I believe -- all the stuff that you just talked about, mostly it will improve in our operational side of things rather than the growth side?
Suresh Iyer: Operational and security also. I think security also is something which is not usually distinguishable . But in terms of security, we have taken care of a lot of things in terms of the SIEM, the SOC, NOC, even in terms of the SD-WAN solutions. So these are obviously things which will help in the security aspect also.
Nipun Kinkar : Okay. Got it. Thank you.
Nidhesh Jain: The next question is from Yuval. Yuval unmute yourself, introduce yourself and ask your question.
Yuval Aiya: Hi, sir. This is Yuval Aiya from Nuvama. My first question was in this quarter, borrow

ings from
banks have gone up from 60% to 62% from 57 % in the previous quarter. So could you just share the incremental cost of borrowings in Q3?
Suresh Iyer: See, banks -- all our bank term loans are now at rates below 7%. I think 6.92 or something is our long-term borrowing cost, which is there. Of course, one or two are there where we have -- they have not yet to pass on small benefits. But other than that, 6.92 is the incremental cost of borrowing, you can say on the higher side from banks in the Q3. Short -term borrowings obviously are even at lower at 6.4, 6.45. That's the rate at which we are borrowing from banks. So I would say probably around 6.8 or something could be the blended cost of the bank borrowings for us.
Yuval Aiya: Right, sir. Got it. So could you just provide any breakup as to at the moment of the total funding mix, what is the share of floating rate borrowings and fixed rate borrowings? And I understand that NHBs, they have an annual reset. So the other components of the borrowing mix, what is the average time in which you can see the re-pricing when it comes to floating rate borrowings?
Suresh Iyer: See, in case of our bank borrowing , which you said is 62%, our 80% of that is linked to external benchmark rate, which is repo rate. So there we will immediately seek the transmission of the -
- whenever there is a reduction or an increase for that matter. The transmission will be immediate.

The remaining 20% of the bank borrowings is linked to T-Bills. There also, there will be an immediate transmission you can say, maybe not to the exact amount. So 125 basis points will not translate into 125 basis points, but somewhat near there will be the impact on the remaining 20% also.
Then we have the NHB refinance where 50% of the NHB refinance, which is linked to the affordable housing fund, that is fixed rate. So there will not be any change in that. The remaining 50% of the approximately of the NHB refinance is at floating rates, but at annual reset, so there the transmission will be in a staggered manner.
NCDs are fixed rate. Deposits are fixed rate. So -- and CPs, of course, are too short. So whenever they re-price, they will be as good as floating rate only. So considering the 62% bank borrowing and another 6% to 7% of NCDs, I think about 65% to 70% of our borrowings are there where we will get -- within 1 month transmission on the liability side will happen.
Yuval Aiya: Understood, sir. So even after your quarterly reset, I think so...
Nidhesh Jain: Yuva l, I request you to please…
Yuval Aiya: Yes, sure. Thank you.
Nidhesh Jain: Next question is from Mohit. Mohit please unmute yourself, introduce yourself and ask your question.
Mohit: Hi, thanks for the opportunity. This is Mohit from HDFC AMC. Sir, just wanted to get your guidance on -- for FY 27 - 28 on key parameters like spreads, cost-to-income and credit cost?
Suresh Iyer: For FY '27, you said, right?
Mohit: Yes, '27 and '28?
Suresh Iyer: Yes. For FY '27, next financial year, we -- if you look at it, our spread and NIM, as I mentioned earlier, they would be 2.75% and 3.75 % is what we would be guiding for. In terms of our credit cost, we have guided for 15 basis points. Of course, this year it has been lower than that. And next year also, at least as of the moment, we don't see any stress in any of the pools or any of the geographies. So we don't expect it to be any different.
But we will say it will be 15 basis points you can consider for the credit cost guidance. In terms of opex , there will be an increase because FY '27 onwards we will have the impact of our IT transformation.

So about 1 percentage point is the likely impact on the opex . So around 19.5% would be the cost-to-income ratio. And AUM growth, we are projecting for about 15%, considering a disbursement of about INR13,500 crores. This would be the rough tentative plan that we'll be working on.
Mohit: Okay, sir. Thanks a lot.

Nidhesh Jain: The next question is from Amit Thawani . Amit unmute yourself, introduce yourself and ask your question. Please restrict to one question as we have lot of participants waiting in the queue. Amit you can ask your question.
Amit Thawani: Yes. Am I audible?
Suresh Iyer: Yes, Amit. Please go ahead.
Amit Thawani: I'm just going to quickly go through the questions. My first question is that we have done a fantastic job on delinquencies. How much would you attribute that, because we are so South focused, how much would you attribute that gold price going up and the economy doing well? Second question is, what is the profile of our non-salaried borrowers? Third question is you mentioned that we could have handled our prepayments slightly better through communication with our borrower. What are we doing to improve that? Thank you.
Suresh Iyer: I didn't get your first question, sorry. If you can repeat that first part of it, please?
Amit Thawani: Our delinquencies has done rather well over the last -- it's done rather well over 1 year. How much do you attribute that to old or some certain macros that you could attribute that to?
Suresh Iyer: Okay. See, in terms of delinquencies, I think I would attribute it more to our profile of customers, where we are focusing more on the salaried segment. And 70% of our customer base today, 69% is salaried. And many of our -- previously, it used to be 73% as on FY '23. So I think the salaried segment is where I also mentioned that in the salaried segment, our delinquency or NPA, GNPA level is in the range of 0.5% to 0.6%, around give and take 0.6%, give or take 5 basis points. So that is, I think, would be more rather than the gold prices or anything that would be there. I would attribute it more to the profile. As regards to the non-salaried segment, see, we are -- the self-employed and non-professional category that we are talking about, we are not having any product for assessed income or surrogate income or where documented income proof is not available.
So basically the SENP category also is such where we have documented proof where IT returns are being filed. So we have that regular income coming in, in that aspect and it's a documented

income. So obviously, there could be some -- the actual income could be higher also, but we have the documented income. So that is the profile of SENP category that we have.
And prepayments, as you said, yes, what we are doing is in this quarter, we are aggressively pushing to see that. In fact, last quarter also I had said that we have done it. So we have changed our policy. We have got the approvals from the Board and everything. So this quarter now, we are communicating.
And with 60 days' notice, we are asking the customers to move to the quarterly reset. Otherwise, it was contacting the customers, taking their link letters and getting a fresh documentation done and all those things. It was a much lengthy process. And therefore, it was happening only when the customers used to approach us.

But now, in fact, we are writing to them, given them a 60 days' time to come forward and get it done. Otherwise, we'll be moving them so that they get the benefit and we'll be passing on the benefit to them based on this.
So this is what we are looking at so that we can communicate to our customers about the 50 basis points. Otherwise, in the absence of the -- I mean, because they don't know that they have actually got 50 basis points reduction, they think that CanFin has not reduced their rates and they are coming forward for a prepayment. I hope I've answered.
Amit Thawani: Thank you so much.
Nidhesh Jain: The next question is from Prithviraj Patel. Please unmute yourself and restrict to one question. Thank you.
Prithviraj Patel: Yes. Hi, thanks for the opportunity. I am Prithviraj Patel from Investec. I just had one question. The share of reliance on DSAs has marginally increased Q-o-Q. And given your FY '28 roadmap, there's also a digital channel that you're referring to there. So if you could just guide us on how you plan to diversify the sourcing mix?
Suresh Iyer: Sure. Yes. In fact, in this quarter, there's been a little increase in our -- slightly by 78% something to 79% something our DSA sourcing, in spite of the fact that our sales team has also done better.
But -- so one thing we would be doing is increasing the number of sales people on the ground, which I mentioned from 90, we would like to increase it to 115 this year and thereafter to 250 next year. That would be one thing.
And second is once the IT transformation is complete, then we will be able to go in for entire digital onboarding of customers, digital sourcing. So that is something which -- that piece, which is yet to unfold for us. We have not yet done that. So that is something which will happen once we go for IT transformation project is implem ented, the LOS, LMS part of it.
So that we will once start by -- so what we plan to do is onboard various lead aggregators from the market and also do a lot of digital onboarding through links and all those things so that the customers' experience is purely digital.
Nidhesh Jain: Thank you. The next question is from Jay Thakkar . Jay unmute yourself, introduce yourself and ask your question. Please restrict to one question.
Jay Thakkar : Sure. Hi, sir. Thank you for taking my questions. I am Jay from Eastlane Capital. I have a question on your disbursement target of INR13,500 crores in FY '27. How should one think about growth in Southern states versus the others? Specifically, how do you -- what do you assume your growth in, say, Karnataka and Telangana? Should we reach a 10%, 12% growth in those states as well?
Suresh Iyer: See, in this current year also, if you see, barring Telangana and Karnataka, we've had a 30% growth in almost 25%-plus growth in all the other geographies, that is North, West, East, including AP and South. That is mainly Tamil Nadu and Kerala. In Karnataka, in fact, we had indicated that we will have a gradual negative will come down.

And by end of the year, we will be having a 10% positive. And we are on course for it because by end of the third quarter, we are already moved into the positive zone. And YTD, we are at 3% positive in Karnataka. And with the rate at which we have done in this thing with a little Q4 push that will come, we do expect that Karnataka will also be back to the 10% number by end of the year.
Only Telangana has been a little slower than expected. But again, in Q3, we've had a 30% growth compared to Q3 of last year. So that gives us this thing that at least may not be at 10% in this year, but at least we'll be ending up in the green in Telangana as well by end of the year. So that's

the plan we have.
And if the same trend continues, the base has already been impacted. So next y

ear, even if we
continue from there onwards, next year even Telangana should have a 10% to 15% growth in disbursements. So next year, we expect that -- even in this year, in fact, everybody will be in green, but Telangana would probably be just about flat and Karnataka would be 10 %, whereas others would be 25% plus. Next year, we expect Karnataka also to contribute at a much higher level.
Jay Thakkar : Sure, sir. Thank you.
Nidhesh Jain: The next question is from Rohitash introduce yourself, ask your question and introduce yourself. Rohitash can you hear.
Rohitash : My question has already been answered.
Nidhesh Jain: Thank you. The next question is from Chinmay. Chinmay unmute yourself, introduce yourself and ask your question.
Chinmay: This is Chinmay from Prescient Capital . Hope I'm audible.
Suresh Iyer: Yes. Please go ahead.
Chinmay: Sir, I just wanted to double -click on your -- the answer that you gave for sourcing strategy. So bringing down the DSA mix to 60% sort of has been like a long-term guidance, but we have faced challenges with respect to that in the past. So if you could like elaborate as to what you'd be doing differently over the next 2, 3 years compared to what have been our attempts in the last 1 and 2 years?
And secondly, if you could give the breakdown of the growth between the North and South region. So this 9% blended number, what does it look like in the Northern and the Southern geographies? And over the next 2 years, the 14%, 15% number that you are seeing on a blended level, how that would look like in the North and South? So two questions ?
Suresh Iyer: Yes. So actually, when we are saying we want to bring it down to 60% the DSA contribution, we are not actually saying that the DSAs will -- numbers will go down. Basically, what we're saying that the other avenues will have to start contributing more. And we've already seen that

we were at 86% in FY '23, which came down -- has come down to 79% because equivalent amount of 7% contribution has come from the sales team.
Obviously, now with more people are getting added to the sales team, this number would again go up. Therefore, even if the sourcing from the DSA channel keeps increasing, the percentage will start coming down. And another thing, as I mentioned, is that we have yet to see any benefit coming from the digital channel because that has not happened. We have not implemented it. Only after the IT transformation is over, we'll be able to offer a digital process for our customers. And right from login to sanction, we will be able to give it over there. So that is the -- as regards the -- how we are going to do it. In terms of the growth, I think we've had -- I'll just come back to you on the growth as to how much has been the growth zone wise, I'll probably come back to you on that. I just don't have it immediately.
Nidhesh Jain: Our next question is from Rajiv. Rajiv unmute yourself, introduce yourself. And restrict to one question.
Suresh Iyer: Just a second. I mean, if you are looking at the -- how the 10% works out -- sorry, Nidhesh, I'll just cover this thing. So AP and East has grown about 11% in terms of AUM growth. Karnataka as at 8%, although the disbursement growth is just 3%. North and West, both at 15% and Tamil Nadu also at a little above 15%. And only Telangana is almost flat, almost, in fact, a little negative actually in terms of AUM growth. That's how it works out to around 10% AUM growth.
Rajiv: Yes. Can I comment, Nidhesh?
Suresh Iyer: Yes, carry on Nidhesh…
Management : Yes, Rajiv, go ahead.
Rajiv: This is Rajiv from Yes

Securities. Firstly, congratulations on a very strong performance. Sir,
firstly, I want to check on 2 things. Have you also revised your rewriting rates for BT applications? And second, did you say in your initial comments that only INR250 crores , INR300 crores will be the business impact from the new LOS, LMS implementation?
And now the question is -- okay, can I just -- I'll just ask this question and then maybe you can answer all. And sir, how sure are we of maintaining the spread at 2.75%, 2.8% level, which is also near about the current level only because there's a PLR cut impact yet to come through. Plus you are upfronting asset repricing by moving loan assets from annual to quarter -- quarterly. And then when you look at the bond market, CP rate sensitivity rates have only tightened.
And then you've already kind of leveraged on the bank loan mix, you have taken it up to 62%,

63%. So in this whole dynamics of liabilities and asset repricing and then the new pricing of borrowings and new pricing of loans, how do you think that you can maintain the spread of 2.75% to 2.8%?

Suresh Iyer: I'll answer this part first. See, if you actually look at our incremental Q3 NIM, it is 4.14%. It is for the 9 months that it is at 3.89%. And for the third quarter alone, if you see -- look at the

NIMs, it is 4.14%. Same also for spread. Only Q3, if you look at the spread, it is 2.93%, whereas for the entire 9 months, if you look at it, it is 2.84%. So basically, there is already an incremental difference, which is already there in the system.

As I mentioned a little while back, that it is because of the timing. We got the benefit, the rate happened earlier. In October end, we got that 50 basis points benefit in the large loan. But we -- instead of doing it from 1st of November, in our November ALCO, we decided doing it from 1st of December. So that's where the difference is there. So we already have a little bit of advantage, which actually we are passing on.

So therefore, that -- so even if from that 4.14%, it comes down a little bit, it will still be below the 9 months average. It will still be there. Same also for spread. Plus as I mentioned that we have that 6.3% NHB borrowing, which we are expecting in this quarter, plus some benefit of 60 to 70 bps, which is coming from the NHB reset, which is on an annual basis. So those things we have factored into all those things.

And therefore, we feel for the entire year also, we should be somewhere close to 2.75% plus spread and 3.75% plus NIM. So that is the first part of it. I hope that answers your query. Second, as regards whether we have changed anything for BT, no, we don't have a separate rate for BT in customers or a separate thing. In fact, we don't have much of a BT in strategy. And within our existing customers, we don't have that discriminatory policy where for existing customers, if somebody comes and negotiates, we give them a lower rate.

So whatever is the rate as per the RBI guidelines for a similar customer, similar segment, similar product, we need to offer the same rate. So we don't offer that discriminatory rate where if somebody threatens to prepay, we offer a lower rate. We cannot do that, and we don't do that. So that's the part of it. And as regards to the INR250 crores, yes, what I meant was that in a normal month, our disbursements would be around INR1,000 crores, if we do in the Q4, it will be INR1,000 crores, INR1,100 crores.

If you look at maybe Q1 of next year, it will be around INR900 crores per month is the disbursement. So what I meant is that in the 4 days of downtime, plus if you look

at another 2 weeks max about where customer -- our staff will have to get accustomed to the system, UI/UX and all those things, that will impact that particular month's disbursement by around INR250 crores to INR300 crores.

After which, again, we should be -- the teams will get used to the new system and should be able to continue from -- in terms of the disbursement because there is not much of a change in terms of the requirement. The customization levels are almost 85% to 90% is standard available components.

The customization is just about 10% to 15%, most of which is also the integration part of it for whatever we have to integrate with CIBIL, with CERSAI, with Aadhar, with PAN, I mean, all those kind of things. So basically, the customization is much less. Therefore, the -- what I meant was that in that particular month where we implement, we could impact -- our disbursements could be lower by INR250 crores to INR300 crores.

Swapna: Mr. Iyer, do we have time for some more questions. We have about 3, 4 more.

Suresh Iyer: Sure, no problem. No problem.

Swapna: All right. So I'll hand over the mic to Sangeeta Purushottam .

Sangeeta Purushottam: So congratulations on a very good quarter. Sir, I just wanted to get some clarification on some of the numbers. So if we look at the guidance that you've given for next year, we're looking at NIMs guidance of about 3.75%, which is slightly lower than what we have achieved in the first 9 months, right, about 3.89%. On the credit cost side, we're saying it will kind of normalize. So it will be slightly higher than what we have actually seen this year.

And also our cost to income is going to be a little higher because of the implementation of the IT program. So does that mean that overall, if you're looking at about 15% growth in the AUM, when it comes down to PBT or PAT, our PAT growth is likely to be in the single -digits then

based on these numbers?
Suresh Iyer: See, actually, it would not come down to single -digit numbers if the growth -- AUM growth is around 15%. What we are saying is we have already seen at around 3.75% NIM and 2.75% spread is something with that, if you look at your two-point analysis, whatever you see, our credit cost at 15 basis points and 19.5% also, if you look at it, I think it will still be higher than that, and it will be -- it should be in double -digits.
Sangeeta Purushottam: So -- but it will be -- it should be lower than your disbursement growth, right, because we are looking at slightly high... ?
Suresh Iyer: It will be lower than our disbursement growth because our AUM will not grow at around 25%-30%. So if you're looking at INR13 ,500 crores disbursement growth, I mean, disbursement in the next financial year, that should end to around -- somewhere around 15% in terms of our AUM because we have about INR1,600 crores plus, INR1,650 crores plus kind of a prepayment. So next year, assuming that it comes to around INR7,000 crores as prepayment, the addition to the book will be around INR6,500 crores, which will be on a INR42,000 crores AUM -- opening AUM will be around 15%. So AUM will grow not at 30% or whatever, it will grow at a lower rate of 15%.
Sangeeta Purushottam: Right. So if we're looking at -- and our NIM is calculated on our average AUM, right? So there aren't other sources of income that we're building in. So I'm just doing a very simple back of the envelope calculation that if our AUM -- average AUM growth, say, 15 %, and I'm applying some of these numbers, which is slightly lower NIM, slightly higher credit costs, slightly higher cost

to income, I end up getting numbers which are kind of single digit. So where am I going wrong?
Suresh Iyer: Okay. I'll put it this way. See, this year also, we had guided for a 15 bps credit cost. But I mean, as of now, it is about 10 bps, and likely to come down because we have -- normally Q4 is a good quarter where we expect some NPA reduction and some reversal in our provisioning also. So in

fact, the credit cost at 15% this year also, we had guided for about 2.5% to start with as our spread and 3.5 % as our NIM, but we were able to manage a little better.
So obviously, these are all more of a guidance, and we would obviously will try to achieve a little better. We may not be able to achieve on all the aspects like this year, we have slightly because of the prepayment has not been -- may not be able to achieve our 12 % to 13% AUM growth. But -- so by and large, we will try to see that we achieve those numbers. So it's more of a guidance, it's not an exact number anyway. So we will -- obviously, our attempt, our endeavor would be to do a little better.
Sangeeta Purushottam: Okay. Thank you.
Suresh Iyer: Thank you.
Swapna : I will request Mr. Jay to ask the question , but before you do sir I would request you to restrict your question to one question in the interest of time. Thank you.
Jay Thakka r: Thank you sir for taking the call up. I just have a question on housing versus non-housing. Our non-housing book is growing pretty healthy at 25%, 28% and -- but it is still 14% of the overall AUM. And we have guided this to be, say, 20% by FY'28. So structurally, how should one think about your NIMs or, say, spread in housing versus non-housing? Obviously, non-housing should -- one would imagine that would be a better yield. And then also in terms of asset quality, should we see like structurally a slightly higher NPAs when your non-housing mix goes to 20%?
Suresh Iyer: Okay. So yes, the spreads are definitely higher in terms of NHL, and that's obviously one of the main things that we have factored into that it will help us slightly improve our spread and NIMs , that's what is happening also. But we have put a cap on the amount of -- or the percentage of non-housing that we will be -- we are able to -- we are ready to accept.
So 65-35 -- I'm sorry, in terms of this 80-20 is what we are for the HL, and I'm talking about HL including the CRE portion. So we are looking at around 84% going down to around 80%. So about 4% change, which will happen, will slightly, yes, impact on terms of our NPA because as I mentioned earlier, our NPA and this thing is maybe a little higher than this.
But overall, as I had indicated, we will definitely not be looking at something anywhere more than 1%. Even right now, as we speak, we are at 0.92%. Going forward in this Q4, we might further bring down our gross NPA a little further down. So in which case, there's quite a bit of a scope available for the -- so by and large, I don't see much of a change in the NPA, at least in the near future, we don't expect.
Jay Thakk ar: Sure sir. Thank you.
Swapna : Thanks. We have one question from Siddhant . Go ahead Siddhant. You can ask your question.
Siddhant: Yes hi. Am I audible ?
Management: Yes, you are.

Siddhant: Just one question to a previous follow -up is we have the room to grow above 15% AUM simply by our ROE and our capital adequacy, which is at a very -- probably at an all-time low or a decade low, I think. So what are these levers? And when can we expect you to push on it?
Suresh Iyer: Push on the -- sorry.
Siddhant:

Above the 15% growth levels because we have enough capital adequacy available. So is it possible, firstly?
Suresh Iyer: See, possibility is one thing. But I mean, if the industry today is growing at 13% to 14%, in fact, that is what it is. And in fact, affordable housing levels are, in fact, coming down. So I think running for growth in this thing, it's not something we would want to kind of do great numbers where the industry itself is growing at around 13%.
Ideally, we would want to grow at about 2 percentage points above the industry level. So today, if it is at 13%, we would be happy with about 15%. I think that would be a very conservative approach. But at the same time, very this thing to maintain the quality of the book also.
Obviously, if tomorrow, the growth rates in the industry itself pick up and there are some incentives offered and it picks up, then we would also obviously want to do better than that or 2 percentage above whatever is then rate.
Siddhant: Ok that is wonderful to hear, perfect . Thank you.
Swapna : Yes Thanks. There's one last question from Mr. Chinmay. I am going to unmute you and then we can move to the next conclusion sir. So Chinmay your last question please .
Chinmay: Thank you for the follow up sir. My question is if you could just give a high-level understanding of the branch opening strategy. So do you look for -- do you open branch contiguous to the existing branches? Or do you actively look for locations with fewer number of prime lenders? Really, how does this process look like? If you could just give a high-level understanding.
Suresh Iyer: See, it's not that we want to only go where the competition is not there. It's not like that. Of course, even within the competition, we are fine with that. So that's not the point. We -- firstly, we look at whether there is a proper market. And there is a good amount of demand for the -- in the medium to long-term range because we don't want to have a one-off situation where suddenly for a year or so, the growth is there and then it just.
So we look at Tier 1 towns mainly or outskirts of metro towns where we can have a sustainable business for the medium to long-term kind of a range , that is what we look at. Then what we look at is the credit quality because some pockets, there is a general tendency of higher delinquency. So we would want to avoid those kind of -- not entirely that we avoid, but what I'm saying is we would like to plan -- we plan accordingly or take that into one of the -- that is one of the factors that we consider.
And as regards the location, practically, we are there in most of the locations. Like today, we are 249 branches spread across 21 states, so almost we are there. So whichever place we look at

would not beyond another 30 -40 or maybe 70 kilometers from an existing branch. So indirectly, it is a kind of -- you can see a contiguous strategy -- growt h strategy only.
A few pockets maybe we may have. But by and large, all the locations that we have identified currently are those which are kind of near 60, 70 kilometers from an existing branch only. So that's basically the thing. No new geographies that we are looking at. We are only looking at the existing geographies, but going deeper in those geographies.
Chinmay: Got is sir. Thank you.
Swapna: Thank you everybody . Before we conclude , I would ask Mr. Iyer to give his concluding remarks.
Suresh Iyer: Sure. Thank you. Thank you, everyone, for joining this earnings call, and I hope we've been able to answer all your queries. And in case there are any add-on queries, you can obviously any time get in t

ouch with us. And many thanks to Investec also for organizing this. And we'll be putting up -- as you all know, we do put up all our -- the transcripts of all our meetings on our website. So any such meeting, you can always also refer to the transcripts which we'll be putting up in a day or 2 on our website as well. Thank you. Thank you, everyone, for joining.
Swapna: Thank you, everyone. And with this, you can all leave the event. Thank you very much.
Suresh Iyer: Thank you.

Call: May 2026

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CFHRO SE CS LODR 75/2026
May 04, 2026
ONLINE SUBMISSION
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NSE Scrip Code: CANFINHOME BSE Limited
Corporate Relationship Department
25th Floor, P J Towers
Dalal Street, Fort,
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BSE Scrip Code: 511196
Dear Sir/Madam,
Sub: Transcript of Q4 FY26 Earnings Conference Call
Ref: 1. Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.
2.Our letter no. CFHRO SE CS LODR 71/2026 dated April 27 , 2026 on Earnings Conference Call in relation to the Q4 FY 2026 audited standalone financial results
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In continuation to above referred letter, please find enclosed the Transcript of Q 4 FY26 Earnings Conference Call held on April 27, 2026.
The aforesaid Transcript is also available on the website of the Company at www.canfinhomes.com
This is for your kind information and record.
Thanking you,
Yours faithfully,
For Can Fin Homes limited
Nilesh Jain
Company Secretary
Encl: as above

"Can Fin Homes Limited
Q4 FY '26 Earnings Conference Call"
April 27, 2026

MANAGEMENT : MR. SURESH IYER – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER – CAN FIN HOMES LIMITED
MR. SHAILESH KUMAR SINGH – CAN FIN HOMES LIMITED
MR. PRAKASH SHANBHOGUE – PRESIDENT – CAN FIN HOMES LIMITED
MR. UTHAYA KUMAR A – PRESIDENT AND CHIEF RISK OFFICER – CAN FIN HOMES LIMITED
MR. ABHISHEK MISHRA – CHIEF FINANCIAL OFFICER – CAN FIN HOMES LIMITED

Moderator : Hi, everyone. Good day, and welcome to Can Fin Homes Earnings Conference call hosted by Investec. I'll hand it over to Nidhesh Jain, our Lead Analyst , NBFC and Insurance with Investec India. Over to you, Nidhesh.

Nidhesh Jain: Thank you, Ramya. Good aftern oon, everyone. Welcome to the Quarter 4 FY '26 Earnings Conference Call of Can Fin Homes Limited hosted by Investec Capital. As a reminder, all participants will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes . For Q &A, please raise your virtual hand and we will unmute you from our side.

We will start with the management commentary, followed by a Q&A session to discuss the financial performance of Can Fin Homes to address your queries, we have with us Mr. Suresh Iyer, MD and CEO; Mr. Shailesh Kumar Singh. Mr. Prakash Shanb hogue , President; Mr. Uthaya Kumar A, President and CRO; Mr. Abhishek Mishra, CFO of Can Fin Homes Limited. Please note that this call will be recorded. I would now like to hand over the call to Mr. Suresh Iyer for his opening comments. Over to you, sir.

Suresh Iyer: Thank you, Nidhesh, and good afternoon to everyone, and welcome to this earnings call for FY '26 Results of Can Fin Homes Limited. I'll just take you thr ough the brief highlights of the performance for the year ended March 31, 2026. And then we can have the question answer session. So I'll start with disbursements.

So first of all, in terms of disbursement performance as against the guidance of INR10,500 crores of disbursement that we had given for the entire year, the company has ended with a disbursement marginally in excess of that figure of INR10,531 crores, and this has been supported by consistent quarterly performance where in each of the 4 quarters , compared to the respective quarter performance, it has been a -- new peak has been achieved in each of the 4 quarters with Q4 ending at an all -time high of INR3,245 crore s.

In terms of the 2 areas which is Karnataka and Telangana where the company was h aving some issues in the beginning of the year. Both the zones started with some negative. But over a period with the situation improving in terms of the e -khata performance for Karnataka, the state has consistently improved the performance and by the end of the year, we have ended with a 7% disbursement growth in Karnataka.

And now, in fact, also the position is such that barring the rural areas forming part of gram panchayat s where th e e-khata is getting delayed to some extent. But otherwise, in most of the urban centres , it's coming quite okay. So therefore, this performance is likely to continue. And in this year, we are targeting a 15% growth in disbursement in Karnataka. In terms of the quarterly performance as against us Q2 .

In Q4, we could achieve about INR290 crore s average disbursement per month in Karnataka. So therefore, it is a little positive. And in terms of Telangana, we started with a Q1 negative of 33% and that consistently has been coming down, particularly in Q3 and Q4, we've had a very, very steady run rate of more than INR100 crores disbursement. So therefore, we could reduce the gap.

But unlike the expectations that we had originally given or that we might also end up with a positive in Telangana, we have almost ended flat against INR1,198 crores disbursement last year, we ended up with INR1,147. So it's a marginal thing. But in terms of the current year, we are looking at a positive from day 1 because we've already reached a consistency in terms of performance, and Telangana now is do ing about INR100 crores plus per month.

We have reached that level. Now in terms of the AUM growth, we had originally targeted about 11% to 12% growth. However, what we had started off with was that

we would be having approximately about INR6,000 crore s rundown, excluding the part repayments, fu ll prepayments and everything. And that was based on the fact that last year, we had about 1,500 -- we had about INR5,400, INR5,300 -odd crores of rundown in the entire year.

So we had assumed that there will be a INR6,000 crore s rundown. But Q2, Q3 and Q4 , we had a slightly elevated rundown situation. And therefore, we ended up with about INR600-odd crores extra over and above the INR6,000 that we have targeted. So that has actually shaved off some

of our AUM growth expectations. So we've ended up with aro und 10.44%.
For the current year, we are targeting that if this is a present position, then we may have a rundown of about INR7,000 crore s for the entire year. So based on that, with a INR13,000 crore s disbursement target that we have kept for the year, w e should be having a net addition of about INR6,000 crores to the book in FY '27, which would re sult in about a 14% AUM growth.
In terms of the prepayment intensity for the year, in Q4, actually, we have not had much of a BT pressure compared to Q3 or rather I would say it was very static because as against a rundown totally of -- we had of a -- about INR370 crores, INR380 crores i n terms of the BT out in Q3, as against that, it has been about INR400 crores in Q4 considering that Q4 normally is a very hectic and a very high pressure kind of a quarter.
Still, the increase in BT out has been very marginal. And so therefore, it gives us confidence that the shift that we have made from annual reset to quarterly reset will help us. And now with almost 85% of the book having shifted to quarterly reset, the entire 50 basis points has been passed on to our customers. So that should help us in managing our BT outs. Other than that, in terms of INR1,691 crore s was the total rundown, including, in Q3, including the part repayments, including amortization, BT outs and normal closures.
As against that, it has been INR1,730 which is very much in line. So Q4 pressure also, we have been able to -- somehow it has been handled well. Next, we come to the delinquency performance for the fifth quarter in a row, we've had a reduction in our absolute delinquency numbers. And that has helped in ensuring th at the credit costs remain low.
Overall, in Q4, we have seen a reduction in our overall NPA numbers also. So that also has brought down our GNPA number 2 below the last year number of 0.87%. So we ended with 0.85% in terms of our NPA numbers. Going forward also, we see that there is -- even in the month of April as well as in the month of March, in spite of the geopolitical situation. We have not seen a -- any major stress in terms of delinquencies. And therefore, in terms of our going forward guidance for delinquency, we expect that our c redit costs will remain benign.

And while it has been about 10 basis points for the current year as a whole. However, on a conservative basis, we would still like to continue with the guidance of 15 basis points, although we don't see any stress and it could well be below that by the end of FY '27. As regards spread, as I mentioned earlier, we had a higher percentage of portfolio which was under annual reset, almost 70% plus of our portfolio was at an annual reset, and that it was 71.14% at the end of last year.
And that has changed drastically because this year, we also sent across communication and sought consent from our customers. So in Q4, we've had a major reduction from 48% to below 15%. So now almost 85% plus of our customers are at a quarterly reset, and the entire benefit of the quarterly reset, that 50 basis points, has been passed on at the time of the revision to all of them.
So now as -- on the entire portfolio, after giving the impact of this quarterly reset half -- 50 basis points to all our converted customers,

as well as after considering the 15 basis points that we
reduced in January, also, the entire book yield will come down to 9.8% and that also excluding the -- any reversal in NPA income and all. But 9 .8%. So that means that we will be able to retain the spread of 2.8%, starting from day 1 in the -- this current financial year also.
So this was one major concern, which every time was coming up that what if the portfolio converts from annual to reset, you will have to -- the spreads will come down but that we have taken into consideration. And therefore, this 1 additional slide has been presented in this presentation, where we showed that as of first April, after giving the entire impact of conversion to quarterly as well as after giving the benefit of that 15 basis points to customers, eligible customers is the yield will be, opening yield will be 9.8%, and the spread of 2.8% plus will be maintained.
However, again on a conservative basis, we therefore continue the guidance of 2.75% spread and 3.75% on the NIM for the FY '27. So that is, in a nutshell, the entire details of the performance. As regards with profitability, this year, we have had in Q4 2 onetime specific events. One was the impact of DTA, where in earlier in the -- we were providing for the DTA on the NPA whereas in case of standard assets, the DTA was not being provided. So that has been provided from this quarter onwards.
That's a onetime impact -- additional impact of INR46 cro res. The normal would have anyway -- there would have been some impact because of the DTA on the NPA. But this additional for the standard assets that has been provided is additional INR46 crores and there was also the closure of our income tax refund stat us, where INR13.5 crores income tax refund even was received and the matte r was closed by the department.

So that also we have taken into account. So excluding these 2 onetime events also if you look at it, our profit for the entire year would be as again st INR1,085 crores, it would be INR1,027 crores, which is also a 20% growth over the last year profit of INR857 crores. So these are the 2 onetime events, which we have taken into consideration. So I guess with that that's not in a nutshell.

Going forward , we would have a little impact in the current financial year of about INR40 crores, which we have been talking about on our cost because of our IT implementation. In fact, INR6 crores of that cost in the Q4 has also been -- has already been booked in this year also. So while we were saying it should start from Q1 of FY '27, but INR6 crores has come in this year also, which has been already booked and so additional slightly, the cost -to-income ratio next year will be a little elevated, which we have been al ready sharing.
And so overall, next year, we hope to be able to maintain our ROA of 2.4%. And therefore, ROE might slightly be impacted because of the cost, but still it will -- we hope to have an ROE of 18% plus. So that's, in a nutshell, the highlights of the performance. Thank you once again for joining for this earnings call, and I request now to open it up for the -- open the floor for questions, please. Thank you.
Nidhesh Jain: Thank you, sir. We will now start the Q&A session. I will request the par ticipant to introduce him or herself stating your name and the organization name. The first ques tion is from Sid dhant. Siddhant please I just unmuting you , please introduce yourself.
Siddhant : So my first question was, how helpful have the IT programs been? And has there been any qualitative -- could you share any qualitative insight on how it's helping us right now?
Suresh Iyer: Sure. See, in terms of the IT, which we have already implemented, we have presented the share -- the slides. So we have already implemented on the infrastructure side , and also on the security aspect. So both have

been completely done. And of course, that is helping us in terms of the speed in terms of the connectivity and all those issues, that has come down considerably wherever there were these MPLS lines that has happened, considerable re duction has been witnessed.
In terms of security, of course, it is just -- it is just the confidence I can talk about. I can't obviou sly say that. But we have our MTTR and MT dTA that is time to identify a problem and this we have been very well within our limits and it has been giving us a lot of confidence that any kind of attack on the system, we have been able to immediately catch an d we've be en able to handle it also well.
So that is well within our prescribed or whatever the guidelines -- benchmarks we have set for ourselves. As regards to applications, we have already gone ahead with our deposit applications. So that should reduce a lot of our time or that be going forward will be there. Other than that, in terms of our entire HRMS package has gone online. So now there's a lot of saving in that also, whatever manual calculations and impact that were there, that is there.
But addit ionally, what I can say is that the -- some of the upgrades that we have done, we've been able to bring in, some AI components also have already come in. Like, for example, in terms of our digital signatures and everything have been implemented, our entire DMS has been implemented. So search and everything for records has improved. Our -- in terms of our meaning solutions that has also been completely moved to Office 365, and we also have the benefit of the copilot and all.

In terms of legal, we have imple mented a new solution for title search and this legal clearance report and all, that has also brought in a lot of efficiencies. But of course, the main component, which is the LOS and LMS, which is yet to be implemented in Q1 of this year. That will also, once implemented, we've given a lot of advantages. And we will be able to -- so therefore, a higher amount of benefit will start coming in at that point in time.
Siddhant : Understood. That's great to know. The second question is just after -- I think on Ap ril 1, we shifted to quarterly resets for most of the largest chunk of customers, right? So after that, would you assume that the BT out rate or the rundown rate has peaked now? Are you...
Suresh Iyer: I would probably assume so because as I mentioned, if I look at the data today, our BT outs in Q4 have marginally increased and that is also probably a function of the increased portfolio. Otherwise, in terms of the percentage, it is almost static, which normally in Q4, see witness is a spike because of incre ased competition and everything, but it has almost INR380 crores has been

just INR400 crores for us.
So that has not -- INR373 crores, INR380 crores. That's a very marginal increase only. I would have therefore assumed that, that would be there because we went across sort the consent from the customers. And we pass on the entire benefits. So now the customers have got the benefit. They have already -- we have demonstrated that they will not be negatively impacted. So I guess this should be probably the peak. We have also considered only INR7,000 crores for FY '27 as against INR6,600 crores approximately for FY '26.
Siddhant : Understood. That' s great. Just a follow -up to this is now if there is a rate hike cycle, what lag will we have in our spreads?
Suresh Iyer: See, actually, today, almost 85% plus is on quarterly reset. And in terms of our liability side, about 62%, which is the bank -related loans is on a link to repo rate. So if there is a repo rate increase on the liability side, about 62% of the book will witnessed, the liability book will witness an increase immediately or in the coming months. Whereas on the asset side, since 85% is quar terly, that will be about maxi

mum, maximum 1/3 I mean 1 quarter delay might be there.
Nidhesh Jain: The next question is from Nipu n Khemka. Nipu n, please unmute yourself. I am unmuting you here.
Nipun Khemka : Sir, how satisfied are you with just under 5% g rowth in our housing loan book this fiscal?
Suresh Iyer: See, actually, it was a conscious effort to have a increase in our non -housing -- and to some extent, it was also because we had to focus more on LAP, particularly in Karnataka, where in Q1, Q2 and almost Q3 also to some extent, we had an impact of our e -khata issues where for fresh sanctions, there were issues in getting the registration or the sales deeds and all. So there was a compulsory requirement also where in one of the most important markets for us, we had to focus more on LAP .
That is why if you see our LAP also has gone up to almost 2 percentag e points in this financial year. But having said that, going forward, I think we will be focusing -- we have almost reached

the limit that we had set for ourselves in terms of our housing, non -housing. So I guess we should probably -- we will see a higher increase in this current financial year.
Nidhesh Jain: Next question is from Pavan Kumar.
Pavan Kumar: I had a couple of questions. The first one was on the disbursement target and the loan growth target. So if I do the math correctly, then excluding Q1, Q 2, Q3, Q4, you need to have around INR3,400 crores kind of a disbursement that you need to do, right, on the run rate. So given that you have -- your branch growth has been only to the order of around 7% -- 6% to 7% annualized in the last couple of years. Could you throw some light on how do you plan to achieve this higher sales of disbursements?
And a related question is that in terms of AUM growth in the previous couple of quarters for FY '27, you were indicating 15%, but I think in your opening commenta ry, you indicated a 14% AUM growth. So is it a tacet recognition that the BT out and the prepayments are actually much higher than you predicted and that's here to stay ? Yes, that's my first question.
Suresh Iyer: Yes. Yes. So first, I'll handle the disbur sement aspect of it. See, actually, the year '23, '24 and '24, '25 also, if you -- from then onwards, we've been consistently opening branches. We opened 54 branches. The first and the second year, we had almost most of the branches being opened in Q4 o r mostly in the month of March.
So we couldn't get the benefit of the branch expansion, whereas last year, we entirely opened all the branches, the branches, 15 branches in the first half itself. So we were able to get the advantage. And what has happened is in terms of the disbursement growth we have had 2 factors which have impacted or supported us in our growth.
One is that the sales team that we had opened -- Okay, sorry, I'll counter the branches. So as against the last year where in FY '25, the new bra nches which are opened in '23, '24 and '24, '25 contributed only about INR128 crores, the last year because of our change in strategy and also because we could get the full year benefit of the '24, '25 branches also.
Last year, the new branches have contr ibuted INR863 crores. So the new branch strategy that we have done has really helped in the last financial year. And going forward also, this year, we are looking at 28 branches to be opened, which again, we would be opening in the first half of the year. So that also should bring in plus this 54 branches that we've opened, we'll also have some more efficiency improvements because not all of them have reached their breakeven points.
So there also will -- we are expecting. So this new branch expansion that is there is going to be 1 key factor pushing or helping us in our growth. The second thing is the sales scheme that we had last year in FY '25, we had only about 30, 35 people in the sales team, a

nd they contributed
about INR183 crores in the full year. Last year, post June, that is from first July, we increased the team's strength and the whole of this FY '26, the team of about 80 to 90 people has contributed around INR868 crores, so both these parameters, that is a sales team as well as the branch expansion is what we are looking at for bringing the growth and sales team this year, we are looking at increasing it from ab out 80, 90 to about 150 people.

So this means another 60 -odd pe ople, we are planning to add to the sales team. And as I mentioned, 28 branches are also planned to be opened in the first half of this year. So majorly, it is these 2 aspects, which has helped. The third, of course, aspect is, as I mentioned earlier, that Karnataka, which had a first half slightly negative, whatever, because of the e -khata is now almost kind of getting resolved.
So we are looking at a much higher positive coming in from both Karnataka as well as Telangana, which had some impact in disburs ements during the current year. So basically, these are the 3 parameters why I feel where it gives us the confidence. The second, as you rightly pointed out, yes, we have to acknowledge that we have had a slightly higher prepayments.
And so therefore, we have slightly marginally looked at it. But as I said, we have taken the step for conversion. And if, therefore, we are able to slightly manage our prepayments, this could go up. But in a nutshell, I would say the calculation is that INR13,000 crores disbur sement is what we are planning.
And we have projected for INR7,000 crores prepayments, BT outs and closures. If that is reduced, obviously, the portfolio can even be 15%. But knowing the current situation, at least we have factored in INR7,000 crores beca use unlike last year, where we had projected less, but it slightly was elevated, we don't want to give a higher figure and then fall short of it.
Pavan Kumar: Understood. My second question was again on the road map -- geographical road map that you have p resented this time. I noticed that the proportion of the Southern states is marginally increasing in FY '28 compared to the FY '26 levels. Again, is that -- does it again imply that Karnataka and Telangana are expected to continue to drive a higher rate of growth and hence, the South proportion is marginally increasing?
Suresh Iyer: No. 2 things. One, of course, we had these issues in Telangana and Karnataka, which now are getting resolved. So obviously, their contribution this INR290 crores or INR250 crore s, which was the run rate will go up in Karnataka. Same way if you look at it, at run rate in Telangana will also go up, therefore, the contribution from these 2 states, which was actually slightly subdued, will start to show.
And the second thing is that now that the situation in both these states is coming under has kind of stabilized. In the last 3 years, we have not opened a single branch in either Karnataka or in Telangana, which now slowly, we will look at a couple of branches here and there. SO that is basically the thing I think we are targeting 3 branches in Karnataka and about 2 branches in Telangana this year out of the 28.
So those also we have factored in. So maybe it will be a marginal increase. Not to mention that we are looking at a slowdow n in any of the other markets. Our other markets continue to be -- to perform strong. In fact, our North Zone, West Zone and East including, which is mainly Andhra Pradesh have almost done a 40% plus kind of growth in this year in terms of disbursement. An d Tamil Nadu, which has been already -- was a well, high -performing even the 2 years back, continues to grow at around close to 30% so it's just that these 2 states will also start now inching up in terms of the disbursement, Therefore, we have -- that is what it is planned.

Pavan Kumar: Understood. And my last question was on the DSA proportion. See, in FY '26, your DSA proportion of sourcing is somewhat similar to the previous year, a few decimal points here in there, right? However, in your P&L, when I s aw the fees and commission expense, that's -- in FY '26 things should have come down drastically compared to FY '25 levels. So could you throw some light on that?
Suresh Iyer: No, actually, it is only an impact of the amortization, and it has impacted both in the income as well as on the expense side. So on the expense side, because of the amortization, it is reduced. So also on the income side, because it is there. So it has nothing to do with that, that the absolute outflow of the D SA expenses have not go ne down.
It is just the amortization impact, which is there in this year, for which I think there is a note also which we have put in our Q1 because we changed that and in Q1 and in Q1 also, we have put

that note and in Q4 also, we have put that note. But it is impacting both sides. So on a net -net impact in terms of our entire P&L, there's only a INR5 crores difference net of growth. But otherwise, as it's an amortization impact, not otherwise.

Nidhesh Jain: The next question is from Shubhranshu Mishra.

Shubhranshu Mishra: So if you can take me through the budgeting per state for the disbursements, how much are we expecting in these large states that we have, which is Karnataka, Telangana, Tamil Nadu and Andhra. And also, if you can ta lk about North and West as well in terms of what we have budgeted for in the in FY '27? Second is how do we look at the opex growth, especially the employee and the nonemployee if you can split it into 2 parts ?

And the third is about the credit costs, we have some amount of management overlays. So if you can speak about that. And fourth is more macro, if you can speak about, we're seeing a lot of disturbances because of West Asia crisis, any kind of delinquencies you are seeing in our LAP book or anything we want to provide for just to increase our management overlay? Or any kind of policy support that we are seeing in CLSS to additionally a demand and supply of an affor dable housing, it will be great?

Suresh Iyer: Sure, sure Yes. So I'll first start the di sbursement targeting. I will be able to immediately share with you roughly the run rate that we are doing in each of the zones or the states. Growth next year, we are almost targeting an almost similar 25% growth across all the zones because that is what i t is. So you can have the numbers. The exact breakup, I think I don't have right now.

But roughly, if you look at the current run rate that we are doing, we are doing about INR275 crores, you can say, in per month in Karnataka. North Zone and West zone, b oth are doing about INR150 crores to INR160 crores each West zone includes Rajast han, Maharashtra, Gujarat and MP, No rth Zone covers Pu njab, Haryana, Delhi NCR, UP and Himachal and Uttarakhand. These 2 are doing about INR150 crores, INR160 crores per month . Tamil Nadu does about INR180 crores to INR200 crores per month.

That is the contribution. And Telangana now is almost doing INR110 crores to INR120 crores they are doing per month. And East Zone, which is mainly Andhra Pradesh and other states of Chhatt isgarh , Odisha, Bihar and West Bengal is doing about is doing about close to INR100

crores a month. So that's the current run rate. And next year, we are projecting almost uniform 25% kind of a growth, marginal would be from where we are -- expansion is a little higher. It would be going up to some extent that way. But this is the present breakup that we are having. In terms of our opex , I think I'll just give you this work -- in terms of the credit cost, in fact, management overlay, I don't think we'll be able to -

- we w ill be adding any more management overlay in terms of -- in the sense of a management overlay per se.

But yes, we have slightly -- you have seen that our PCR has slightly gone up from 49% to 56% this year. That is a little more conservative in terms of ou r valuations and all those things we have taken. But otherwise, in terms of management overlay per se, we don't expect to -- we don't -- we will not be adding anything over that. But credit cost per se, as I mentioned, we are having a 10 basis points cost -- credit cost in this financial year, which includes higher PCR that has been there.

Otherwise, next year, we don't expect any major increase. So while we are projecting for 15 basis points, I am quite confident it will be well below that only. As regard s to our CLSS and under the PMAY, under PMAY 2.0, they are, in fact, now some traction is slightly happening. In fact, NHB is also making attempts to tie up with state governments to come up with some construction and providing support.

So there are some states, particularly last quarter, there was a meeting with the UP and then now with Odisha. So there are some -- each state by state the NHB is also trying to tie up and provide that support so that there is more supply coming into the CLSS or the PMAY fu nding and all. So we are hoping that slightly that impact will stay, but it's not a very major kind of a number that we have. In fact, it's been almost 1 year and 1.5 year or I'm sorry, it's almost been -- I think -- sorry, 6 months that we have done Septe mber to now.

In 6 months, it's just been about INR1 lakh crores that -- sorry, Sorry, I'm sorry, only 1 lakh numbers that have been happened in terms of the PMAY numbers across all the HFCs, all the NBFCs who are claiming and over is registered with prima ry lending institutions HUDCO and NHB. So it's not a very great number that we have. But yes, some tractio n or some improvement is there.

And hopefully, the states, other than the couple of states who are doing it can also start seeping in. It might go up a little bit. But we are not very, very, very positive or gung -ho that the numbers will jump up in a very drastic manner in terms of our PMAY contribution. As regards to geopolitical impact and all those things, currently, there is no impact. We are not w itnessing

anything in our either match bounce rates or in our delinquency or any customers talking about
it so far. So it's really just 3 months, but even in April, we have not witnessed that kind of a
pressure. So that's the situation.
Shubhranshu Mishra: One last question, if I can squeeze in. In terms of prepayments, if we get 100 applications, how
many applications are to foreclose or do a part payment versus how many are actually going out
to a competition and what is this percentage which really goes out to the competition as a

percentage of if there are 100 applications for prepayment and who are these competitors
basically?
Suresh Iyer: Okay. I'll give you my Q4 numbers, so that should give you some idea. So out of INR1,730
crores, which is the BT ou t prepayment, part prepayment amortization and everything, INR400
crores is what is the BT out okay? That is INR400 crores. There are customers who have closed
their loans, which either because they have sold the property or they have made other closures
because it's some other thing, but purely from their own funds, that is something around INR350
crores -- INR360 crores, okay?
And then there are about INR970 crores odd which includes part prepayment and amortization.
That is the principal component of the EMI and part prepayments. So these are the -- this is a
breakup. INR400 crores is BT out, INR360 crores is where customers have closed their loans
from t heir own funds or they have sold the property and then taken another loan or moved to
other property and stuff like that

or properties, which have got closed because of a separa te
reactions.
And third, INR970 crores approximately is part prepayment and am ortization. So that's the kind
of number you can say. So I would say out of INR1,800 crores , INR400 crores. So that's not --
that's about 25% of the loans probably are. So 1 in 4 is where it is coming for a BT out.
The key players who are doing the BT ou t is LIC Housing and Bajaj. These are the 2 major ones.
Of course, regions, specially, there are some local banks and stuff also doing it. But majority is
-- majority of the branches will have LIC as the first competitor and the second would be Bajaj.
Nidh esh Jain: And the next question is from Andrey Purushottam.
Andrey Purushottam: First of all, congratulations for a very sound set of results. And I also wanted to appreciate I've
been a shareholder for a long period of time. There has been a remarkable de gree of consistency
in the professionalism and the transparency with which you communicate with us. So we really
appreciate it, okay . Now my question -- my question was a follow -up from what previous people
had asked?
You had indicated that in terms of a LAP percentage, the increasing 2% is -- now you're quite
happy with the risk profitability equilibrium, so to speak, right? I'm also assuming that you might
be doing the same thing with your target groups. It means there are some which are more
profitable, but a little riskier.
And that, in a sense, cup you already drank from. So if that is true, are there any significant
levers for you to improve your profitability in the next 12 months or so, given the fact that there
is an understandable increase in you r IT expense to the extent of INR40 crores of whatever you
have mentioned, how do you look at improving profitability? And how should we look at it?
Should we talk -- think in terms of your ability to improve profitability? Or should we assume
that your pr ofitability would be roughly at levels that you currently have?
Suresh Iyer: Okay. So first of all, thank you for appreciating our efforts and our performance. So in terms of
our portfolio mix and our yield and everything. Currently, after having passed on the entire

benefit today, our entire portfolio yield is around 9.8%. Actually, it's 9.84% or maybe there's a
-- there are some portfolio, which we have not considered for the NPAs and all those things. So
that's where we h ave given a conservative 9.80%.
Our incremental yield is also 9.80% -plus because that's the breakup post our change in our mix
from housing to a little bit of non -housing LAP increases and all those things and also increased
slightly from our self -employed segment, which has happened fro m our salary, which has come
down from about 89% has come do wn to close to around 84%, 83%.
So that impact, what we have seen, that is -- ensured that our incremental it is also around 9.8% -
plus, so therefore, in terms of our current yield and everything, we should be able to maintain
even if we don't change our mix. But having said that, as our road map 2028 shows there is a
scope for slightly increasing our non -housing as well as our SE NP category. So which would

slightly give us a little slig htly higher or a little improved yield if we work on that a little more.
So that is one thing. The second thing is in terms of our cost; we have given that our present borrowing cost is up 6.99% to start with as on first of April. However, on the liabilit y side, there is some small book which is of NHB, where we are yet to get benefit of the rate cut because as and when that particular tranche of NHB comes for a rate revision or the annual -- which is an annual reset, at that time, they've given the PLR im pact to us.
So there is still some component of NHB portfolio, which is not very large, but some portion is there where we are yet to receive th

at. So probably our cost will -- might slightly come down,
plus the fact that Q1, we have already got sanctions on hand, which -- where the highest cost from banks is at 7%. So we are already getting something which will be lower than 7% is what we will be raising the funds from banks in the com ing quarters.
And currently, the CP rates also compared to Q4 have com e down. So if there's opportunity, we may raise some, little bit because already our CP rates -- proportion has almost come down to below 3 .4%, which used to be at a point in time, 6%, 8% on so on. So therefore, we have some scope on the liability s ide to slightly reduce further.
And on the asset side to slightly improve if we continue with a little increase SENP and a little more higher percentage of nonhousing portfolio. So these are the 2 things in terms of the mix.
So I guess that's what it is. In term s of the costs, as I mentioned, yes, there is a little extra cost that will come. But the other area that we have seen is last year, we have -- you would have noticed that our bad debt recovery has also increased slightly. So there is some scope, probably we will be able to do some recovery and keep the credit cost also lower. Although we have projected to 15 basis points, it will be definitely below that. So that should help.
Andrey Purushottam: I'm just wondering whether you have 2 additional maybe small levers of profitability. One is the revenue kick from the increased positivity of Telangana and Karnataka. And the second is the decreased cost of sourcing to increased digitization. So should this -- would these be significant contributors to some extent? Or do you think they are marginally contributing?
Suresh Iyer: No, that will be -- they will definitely contribute. In fact, as I had mentioned earlier, the LOS, LMS, once it is introduced, we will be able to bring in a lot of efficiency in terms of our d elivery.

And we are also increasing the percentage of our business coming through our direct sourc ing through our own sales team.
So that will obviously help us in a little -- in managing our or reducing our DSA costs. So those are -- but this will not be adding too much, maybe a few basis points, definitely, yes, but maybe that would be what it is. The true impact of our IT transformation, probably we will be able to gauge and come back in FY '28 more than in FY '27.
Nidhesh Jain: Next question is on Pava n Kumar.
Pavan Kumar: So I just wanted to understand the cost structure, especially in terms of 2 things. One is the employee cost, which has gone up significantly this particular year. What is our expectations going forward? Secondly, on Suresh did mentio n that INR40 crores incremental expenses will come in, next year. Is it on -- so for the year, it is INR40 crores extra on IT infrastructure, is it? I just wanted to clarify. Can you just clarify, is it INR40 crores for the entire year?
Suresh Iyer: In INR40 crores is for the entire year because currently, the entire IT project was -- has a total outlay of INR300 crores, of which INR100 crores was capex , INR200 crores was opex spread over 5 years. So the depreciation will kick in mainly from this financial year, that is FY '27. So the depreciation component of the capex and the opex , which will be there, the total cost in FY, in 1 financial year will be about INR60 crores, whereas currently, we are pa ying about INR20 crores total cost for our IT in a financial year.
So the net impact will be INR40 crores for the full year okay? And in terms of our the full year opex , it's about INR311 crores, of which INR177 crores is for the employee cost and the oth er cost is about INR134 crores. So the employee cost will probably go up by about 10%, 12% because we are also adding staff and there will be some encryption. And the other cost, which is INR134 crores , will probably go up t

o about INR175 crores to INR180 crores.
Pavan Kumar: Okay. And the IT, this INR40 crores incremental, does it also include the amortization of INR100 crores capex that we have done or...?
Suresh Iyer: No, that is included. So as I said, the INR100 crores is our capex . So the depreciation will also start. So I said that's what the depreciation of the capex plus the opex will be about INR60 crores and net INR40 crores.
Pavan Kumar: And this INR60crores capex has already been done, or it will be done in the -- it will be completed in the next 6 months. How does that work?

Management: It is part of Capital learning progress we will summarize once the [inaudible 0:44:41]
Suresh Iyer: So almost the entire component has already been taken into the..
Moderator: The next question is from Abhijit Tibrewal.
Abhijit Tibrewal: In the fourth quarter, we have seen a full momentum terms of disbursements for our -- but for the fourth quarter, we are seeing...

Suresh Iyer: Voice is very muffled Abhijit. We are not able to hear you.
Abhijit Tibrewal: Just give me 1 minute. Sir, is it better now?
Suresh Iyer: Yes, this is better, much better. Please go ahead.
Abhijit Tibrewal: Sir what I wanted to understand is, this fourth quarter, we have seen very good momentum with disbu rsements, for us as well as a few other players who might report and once who've already reported. But fourth quarter after maybe a lull in the first half, third quarter, we saw things picking up. And in fourth quarter, things really picked up when it come s to housing. So you think this was just seasonality led?
Or are there, I mean, real structural triggers at play, which is -- are leading to a good demand. Because, sir, when we hear analysts who are tracking real estate, experts we are tracking real estate, they're all talking about the strong upcycle that we saw in real estate and housing kind of seems to be tapering off now. I don't know whether this is just applicable to higher ticket size loans on the same comment can be applied equally to affordable housing as well, so that was the first question that I had that what is the outlook on demand.
Sir one thing is we guide for a certain disbursement, certain sanction number, right? But underlying that is the demand also very strong, which will help us do that? Or do you think that the demand is weakening and if we have to get to maybe the INR13,000 crores disbursement number that you spoke about earlier, that will require market share gains?
That is the first question I had. The second question I had, sir , was around margins. Like you mentioned, almost 85% of our customers are now on quarterly reset effective April 1. So -- and then I remember you also spoke about a small tranche from NHB, which is expected to get to the price sometime later this year. So a combination of both these things on one side, you have customers getting repriced because they are now on quarterly reset.
At the same time, there are, I would say, small little pockets on the liability side, which can also get repriced. So combined tog ether, what would be the outlook on spreads and margins? And lastly, sir, I just wanted to understand, given that you have a good presence in Bangalore, which is the IT hub, do we have customers who have got impacted by layoffs in the IT sector, or are those predominantly customers who are catered to by the bank ? So those 3 questions.
Suresh Iyer: So first thing about the disbursement, yes, to some extent, that is a seasonality because normally across the year, we have seen that it is a 45%, 55% breakup, H1 , H2. So roughly H1 is a little lower than H2 definitely. And as in Q3 and Q4, once the festive season starts, the demand picks up and the business also picks up. So that is mainly the seasonality part of it.
And having said that, we don't see any major impact in our dem

and side because across our
branches, we are seeing a good amount of inquiries coming in still. Even normally post March, there is a slowdown in people generally. But that is also -- we are seeing that there is a good amount of demand ther e. Good inquiries are coming in, and we are not seeing that much of an issue in terms of -- at leas t the segment that we cater to.

Probably, yes, there is a definite slowdown in the affordable segment. And that is also reflected in the numbers because if you look at affordable, if you look at mid segment and you look at prime, yes, affordable definitely has is now in the mid -single -digit numbers, that growth that we are talking about. So definitely affordable is impacted in terms of demand. But in the segm ent that we are catering to, I think we at least are not seeing any major change or a slowdown or anything in that in terms of the demand.
As regards to the margins, see, what has happened is this entire 45% or 48% of the loans that we had, which were at annual resets, we sent across communication to them, and we got in touch with them. And because the remaining 15% are those customers to either have opted not to shift to quarterly reset or who have right now not taken a call. The shift now further from he re, to the quarterly reset probably will be a little slow because these are cust omers who opted for this thing.
The only thing would be in case of rate going up, yes, this 15% will have an impact, where there

will be a lag effect in terms of the assets ge tting repriced. But on the liability side, I said currently, assuming that this 15% does not move to quarterly reset and remains same, we have taken into consideration the entire impact of the reset as well as the 15 basis points that we passed on in Janua ry.

Therefore, no further reduction is expected on the asset side in terms of the yield. As I said, our incremental yield is also a little higher than 9.8%. Therefore, even that is not going likely to eat into our overall yield for the -- on the book. Therefor e, whatever we are expecting a reduction in our NHB refinance rates or whatever we are able to get in terms of our better pricing from a bank term loans or repricing or being able t o raise the CP at a lower rate.

That will help us actually reducing our co sts further, which should actually help us in improving our spread, so the only flip side will be if the rates start going up, then this 15% is where we will slightly get impacted, okay? So that's as regards margin. So we are quite confident that the 2.8%, which is there is kind of is there. We don't have a problem in that. And -- but we do conser vatively talk about 2.75% okay?

As regards IT impact, our IT impact has been very, very less, in fact I don't think our -- in fact, our delinquency ratio in Karna taka is the lowest among all our 6 zones. And we have not seen that impact. In fact, our absolute value of NPA in Karnataka in March '26 is lower than our absolute value of NPA in Karnataka in March '25.

So I think that should give you the confidence that we have not had the impact of the IT job losses and everything in this. So I guess that's what. Anyway, our IT salaried segment coming from IT segment is only about 6% of our book. It's not very high.

Abhijit Tibrewal: And then, sir, just one follow -up wh ere you mentioned, right, that margins can be maintained at, marginal spreads for that matter, where you said spreads can be maintained at 2.8% in you conservatively guided for 2.75%. So sir, then when we look at the entire business model, the only risk th at is left then is basically a rate upcycle, where the rates start going up. And this 15%

who have still not opt for the quarterly reset, they are the ones you think are the only r isk including ?

Suresh Iyer: I guess in term for

the spread component, yes, and therefore -- I mean, we don't see any major change in that because our current incremental spread also will not eat into our overall spread.

Abhijit Tibrewal: And sir, lastly, cost of borrowings, while you spoke about NHB, but when we a re speaking to other NBFCs, other HFCs, all of them were acknowledging and while we don't borrow too much from the debt markets. But debt market borrowings had gone up significantly, especially in the month of March, and they have subsequently pulled off a little bit in the month of April ?

Do you think that the cost of borrowing bottoming up has now come to an end and from here, cost of borrowing figure remains stable or inch up or do you think there is some more leg, some room left except this NHB volume that you spoke about, that costs could further come down, remain sideways or inch up from here?

Suresh Iyer: See, today, if you would see our presentation from 55%, which was our bank borrowing, it has gone up to 62%. So basically, we have relied more on bank borrowings where we have got rates at below 7% and below 7% and raised that funding rather than depend or go to the debt market. okay? That is the 1 point. Second thing is in Q4, some of them, I'm sure the rates are very much there for everybody to se e.

The debt market rates, even CPs actually had gone up considerably post the shift the geopolitical situation and all those things. But we had, if you recollect, we had indicated that we were sitting on a INR1,000 crores of unutilized NHB sanction in -- at the end of Q3. And that was also because we had total INR1,500 crores. We had planned wherein we could drop INR1,000 crores in the Q4 where normally, the rates because of a tighter liquidity are on the higher side.

So we had planned our liability side accordingly. And therefore, we were obviously benefited, which is there. Going forward, other than this NHB, I mean the only thing would be that we have about -- today, our NCDs are at the highest cost of funds for us, which is on a blended outstanding por tfolio in NCDs is around 7.67%, 7.66%.

So there, in fact, if we are able to, as and when the maturity happens, we'll be able to replace them with a lower cost NCD because today, the rates are at a lower than the 7.67%. So that is one thing.

Plus, as I mentioned, CPs. CPs in Q4 had gone up, 90 days CP had gone up to almost 7% and a little above 7.35% also. Whereas now today, you are -- we raised in the month of April, we raised CP fresh CP at 6. 45%. So -- these are some of the sense, the timing differenc es where we have to be careful and see if we can draw at the right time, we will use those opportunities.

Nidhesh Jain: There is a follow -up question from Andrey Purushottam.

Andrey Purushottam: Just you mentioned that your prepayments, you're largely losi ng out to LIC Housing and to Bajaj

Finance, right?

Suresh Iyer: Correct.
Andrey Purushottam: Now LIC Housing, I can understand that they will be basically luring customers by virtue of price. I was a little surprised to hear that about Bajaj Finance. I tho ught their plan would be mostly convenience, ease and quickness of this thing. But since the person has already been sanctioned the loan by you, that cannot be an advantage for Bajaj Finance. So can you just throw some light on that, [inaudible 0:57:00], behaviour ? And why do you think they are behaving the fact that they want ?
Suresh Iyer: Absolutely right. LIC because they offer a lower rate. In fact, they were also offering 7.15% at a point in time for new business, and that is one thing. But in case of Bajaj, what happens is it's normally a takeover plus top up. And many times, we are not able to match the kind of top up that they are able to offer.
So that is some area where we lose sometimes to Bajaj. That is one aggressive they -- I mean, I wouldn't want to ge

t into that. But yes, sometimes we are not able to match the top up. So it's usually a BT plus top -up where they are able to offer the same rate on a takeover probably. But on the top they are able to give a much higher amount.
Andrey Purushottam : So any thinking on how to counteract that? Or you think that we just live with that?
Suresh Iyer: No, I guess we are a little more conservative in our LTV values when it comes to takeover out of top of loans and all those things. So I guess, it has helpe d us in the past, and we would like to maintain that conservative approach. So sometimes, yes, it hurts, but I think the conservatism has helped.
Nidhesh Jain: As there are no further questions from the participants, I now hand over the conference over to Mr. Suresh Iyer and the team for his closing comment.
Suresh Iyer: Sure. Thank you, Nidhesh and thank you to once again to all of you for joining this earnings call of Can Fin Homes for Q4 FY '26. And I hope we have been able to answer all the queries. In fact, 1 of the queries, we couldn't answer them, but it subsequently came up, and I guess w e've been able to answer that also, so on the cost breakup. So if there are any further queries, of course, you can please feel free to get in touch with us. And once again, thank you very much.
Nidhesh Jain: On behalf of Can Fin Homes Limited, we conclude this conference. Thank you for joining us, and you may disconnect your lines now. Thank you.

Call: Jul 2026

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CFHRO SE CS LODR 129/2026
July 24, 2026
ONLINE SUBMISSION
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BSE Limited
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Dear Sir/Madam,

Sub: Transcript of Q1 FY27 Earnings Conference Call
Ref:
1. Regulation 30 of the SEBI (Listing Ob ligations and Disclo sure Requirements)
Regulations, 2015.
2. Our letter no. CFHRO SE CS LODR 116/2026 dated July 14, 2026
3. Our letter no. CFHRO SE CS LODR 127/2026 dated July 18, 2026

In continuation to above referr ed letter, please find attached the Transcript of Q1 FY27
Earnings Conference Call held on July 20, 2026. The aforesaid Transcript is also avai lable on the website of the Company www.canfinhomes.com

This is for your kind information and record.

Thanking you,
Yours faithfully,
For Can Fin Homes limited

Nilesh Jain
Company Secretary Encl: as above

“Can Fin Homes Limited
Q1 FY '27 Earnings Conference Call”
July 20, 2026

MANAGEMENT : MR. SURESH IYER – MANAGING DIRECTOR AND CHIEF
EXECUTIVE OFFICER – CAN FIN HOMES LIMITED

MR. SHAILESH KUMAR SINGH – DEPUTY MANAGING
DIRECTOR – CAN FIN HOMES LIMITED
MR. PRAKASH SHANBHOGUE – PRESIDENT – CAN
FIN HOMES LIMITED
MR. UTHAYA KUMAR A– PRESIDENT AND CHIEF RISK
OFFICER – CAN FIN HOMES LIMITED
MR. ABHISHEK MISHRA – CHIEF FINANCIAL OFFICER
– CAN FIN HOMES LIMITED

MODERATOR : MR. NIDHESH JAIN – INVESTEC CAPITAL SERVICES
MS. SWAPNA – INVESTEC CAPITAL SERVICES

Swapna : Hi sir, is it good to go, can we start? We have about 95 odd people on the call.
Management: I mean I am fine, we can start, I think it is, yeah, it is 3 o'clock already, we can start.
Swapna : Sure, sure, thank you. Thank you very much. So ladies and gentlemen, good day, and welcome to the Can Fin Homes Q1 FY '27 Conference Call hosted by Investec Capital. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need any assistance during the conference call, please signal to me, S wapna, by raising your virtual ha nd. Please note, this call is being recorded.
I now hand over the conference to my colleague, Nidhesh Jain from Investec. Thank you, and over to you, Nidhesh.
Nidhesh Jain: Thank you, Swapna. Good afternoon, everyone. Welcome to the Quarter 1 FY 2027 Earnings Conference Call of Can Fin Homes Limited hosted by Investec Capital. We will start with management commentary, followed by a Q&A session. To discuss the financial performance of Can Fin Homes and to address your queries, we have with us Mr. Suresh Iyer, MD and CEO; Mr. Shailesh Kumar Singh, Deputy MD; Mr. Prakash Shanbhogue , President; Mr. Uthaya Kumar A, President and CRO; and Mr. Abhishek Mishra, CFO of Can Fin Homes Limited.
Please note that this call is being recorded.
I would now like to hand over the call to Mr. Suresh Iyer for his opening comments. Over to you, sir.
Suresh Iyer: Yes. Good afternoon, everyone. Thank you, Nidhesh, and welcome to this earnings call for Q1 FY '27 performance of Can Fin. I'll just start by giving a brief of the p erformance as few highlights. Obviously, all these things are covered in the Investor Presentation. However, I'll just give you some brief and some commentary on these aspects also, and then we can open it up for questions and answers.
First of all, I'll start with disbursements. In terms of disbursements, we had given a guidance or a projection that in Q1, we'll be doing INR 2,500 crores; Q2, INR 3,000 crores and INR3,500 crores and INR4,000 crores in the third and fourth quarters and so on.
So against INR 2,500 crores, which was what was planned and what was projected, we have achieved INR2,609 crores. So we have been able to do more than what we had originally projected. And this has been possible because of a positive growth across all our geographies.
That is we have 6 zones and all the 6 zones, including Karnataka and Telangana, we've had a positive growth. And Karnataka, actually, with the 18% growth over Q1 of last year is actually the lowest in terms of the growth -- zone -wise growth.
So we've had a growth across all the geographies. Plus, we've also had a positive contribution coming from the sales team as well as from the new branches that were opened post March 2023, which has helped us in achieving this disbursement. And that is a positive thing, which is one of the drivers for this growth.

In terms of breakup of this growth, if you see, we've had a salaried and self- employed, both have grown compared to last year corresponding period. So salaried in absolute terms has grown at 21%. The overall growth for the quarter has been 29%. That is against INR2,015 crores. The current quarter, we have done INR 2,609 crores. So there is a 29% growth. But within that, the salaried segment has grown at 21% and the SENP has grown as 44%.
Similarly, if you break up between the housing and the non-housing, the housing in Q1 FY '27 has grown at 28% compared to the Q1 of housing figure of last year. And whereas the non-housing that is NHL has grown at 32% and combined, there is a 29% growth. So basically, across all the four 2x2 metrics, if we see, there has been a growth across all the four things.

The n

ext, if you look at what is the challenge, however, has been that the prepayments or the rundown has been a little fair compared to even Q4 of last year. So we had this challenge and one of the expectation or one of our planning was that post this conversion from annual to quarterly reset, you may probably see a reduction in our BT outs. However, this has not happened. In fact, as against INR1,730 crores rundown in Q4 of last year this thing, we are having a rundown of INR 1,857 crores. So basically, there is almost INR 127 crore s increase in the rundown.

However, if you break up the same run down, there's a -- what comes out is BT out, which was INR400 crore s in Q4 of last year has increased to INR 408 crores. So there is not a -- there is no major increase or higher BT outs, which has resulted in this rundown. It is just marginal INR 8 crore s increase compared to Q4 of last year.

Same way if you look at loan closures other than BT out, that is cases where customers have closed their loans from their own funds or because they are selling the property or where we have initiated the sale under SARFAESI, that amount last year -- last Q4 was INR 360 crores. As again st that, it has increased to INR 377 crores. So both these things have not actually increased in a major manner.

However, what has actually increased resulting in the higher rundown, is that part payments from the customers have increased. So basically, when the reset happened from annual to quarterly. Most of the customers were under a change in tenure option. So the EMI was constant and the tenure was changing. So in all these cases, when the reset changed from annual to quarterly and the rate of interest was passed on 0.5 percentage, the tenure has actually crashed and the EMI has remained the same because of which higher amount of proportion has gone towards the principal.

So as against INR976 crores in Q4 of last year, which was part prepayment amortiz ation, the number has gone up to INR 1,072 crores. So basically, this is the main reason why the rundown has been higher, and we will have to now work on this particular aspect.

Now coming to the AUM growth. So last year, we had an overall AUM growth of 10.4%. And this year, in Q1, it has inched up to 10.8% or 11% as we have reported, but 10.8% in real. This has obviously been because of INR755-odd crores, which has been added to the book from the

disbursements net of the rundown. And if you actually see, t he disbursement was projected at INR2,500 crores.

And for the full year, we had projected that against INR 13,000 crore s disbursement for the full year, INR7,000 crores would be the rundown, which means approximately INR 1,750 crores every quarter, against which this quarter, the rundown has been INR 1,857, so almost INR100 crores more than what we had anticipated. But actually, this has also been offset by that disbursement which has been higher by INR 109 crores against INR2,500 crores, we have done INR2,609 crore.

So basically, whatever was the expected increase in our AUM, which we had projected in the -- for the full year, the Q1, whatever we had projected actually has -- the numbers, net -net have been the same, just that on the -- disbursement also has been higher as I said, has been offset by an equivalent amount of higher rundowns as well. So we are still in line with the -- what we had projected at 14% AUM growth, just that we will have to now consistently do a little more disbursements every quarter t o see that we offset whatever is the higher prepayment or rundown that is there. So that we will be planning.

As of now, we are projecting for INR 3,000 crores only, but we will be pushing for seeing that we cover up for the higher rundown. So the projecti on for the entire year, we continue to have as 14% AUM growth is what we will be targeting.

And next, we talk about the spr

ead and the NIM. So we had in the end of last quarter, of last year -- I mean, Q4 of last year, we had indicated that there was a hi gh amount of portfolio, which has moved from annual reset to quarterly reset and have benefited from the reduction in rate of interest plus there was a January 2026 rate cut at also of 15 basis points. So net of that, our yield would come down to 9.81%, which, in fact, we have been able to sustain throughout the quarter. And for the full quarter, also, yield is 9.81%. So this is something which was already envisaged and was already highlighted in the previous quarter earnings call.

As against that, we had indicated that our cost of borrowing would be 6.99%, which in fact has ended at 6.98%. So basically, on the cost of borrowing side, we have further been able to bring down from what we were as on 1st April. And this is mainly because we also had some high-cost NCDs which have been repaid. And we also were able to time our CP fund raise at a very

appropriate time.
So, this has helped in ensuring that our cost remains low. We do have a couple of term loans
which we have or rather one term loan which we h ave raised at 7.25% during the quarter, but
none of the older borrowings have had any rate revision because there is no revision. And all our term loans are either linked to T -bill or are linked to repo. There is nothing which is linked
to MCLR, so we've not seen any increase in that.
So, our spread is 2.83% as against 2.81% as we had indicated in the beginning of the year. And
consequently, our NIM is 3.81%, which also is we had given a guidance for 3.75%. Going
forward, you know, we have a good amount , of sanctions on hand from banks and of course

NCDs and CPs are also there, but I think the banks are the currently the cheapest option we are
having, of course other than the short -term CPs.
And we've also got an application with NHB, so at least as of now even considering that NHB
we don't consider in Q2, we don't raise any NCD, based on the bank borrowings also, you know, there will be a very, very marginal increase only in cost of borrowing and there also because of
the incremental loans, not on the exis ting loans. So, keeping that in mind, we are confident we
should be able to maintain the spread and the NIM because on the yield side also we have a
couple of opportunities available by because of a change in mix, product mix and segment mix.
So, we are confident that the NIM will be maintained at 3.81% plus and we should not have a
problem in that. As regards delinquency and NPA, the stage 2 and stage 3 delinquency has
actually come down compared to March 26 in absolute value. So, while there is a little increase
about close to INR17 crore s, INR18 crore s in NPA, it is more than compensated in the reduction
in our SMA 2 and SMA 1.
And consequently, our, you know, provision of credit cost is marginal, it is much less than what it was in last year. And we a re confident, in fact, the trends also indicate that our -- the last six
quarters continuously our NACH bounce ratios have been coming down and even right now we
don't see any increase in the in the number of delinquent accounts. So, basically, we are conf ident
that, you know, we should be able to maintain our credit cost guidance of 10 basis points.
So, that's in a nutshell the, you know, high brief highlights of the performance. If there are any
queries, we can now I open it up for queries. Thank you.
Nidhesh Jain: Thank you, sir. So, we open up session for question-and- answer session. Participants, please
raise your virtual hand, I will unmute you. Please introduce yourself and ask your question. So, first question is from Shreepal Doshi . Shreepal , I have unmuted you, please ask your question.
Shreepal Doshi : Hi, sir. Thank you for giving me the opportunity. My first question, sir, was on the macros,
which have

been tough and still remain uncertain, while our asset quality indicators have
remained resilient. But how do you see that playing out in the next three -six months now, given
and have we taken any underwriting norms or process changes in the last two- three months?
And also, in terms of customer profile, any filtrations or any, you know, do's and don'ts that we
have, tweaked there? Any particular trend in terms of salaried, self -employed segment in terms
of rejection rates and aspects on the same? So, how do you see the same, let's say, the asset quality trend shaping up in the next three -six months overall and keeping in mind the points that
I've highlighted?
Suresh Iyer: Sure. So, thank you, Shree pal. First is, you know, in terms of macros, I think as I indicated across
geographies , we are at least not seeing any slowdown in the demand. And we are not seeing any
major issues either in the project launches also. In fact, in this quarter, that is Q1, we've added
another 60 APF projects also. So, the projects are also there, you know, w e are also in creasing
business from 271 approved projects, we now have 331 approved projects as at the end of the
quarter.

So, we don't see any major thing on the demand side. On the interest rate side, of course, and
liquidity side, liquidity also as I m entioned, we are having a good response, banks are, you know,
almost all our partner banks have come forward and have shown a willingness to sanction, in
fact, we've got a couple of, you know, large sanctions also. So, you know, we don't see any problem in the liquidity either.
In terms of the rate of interest, yes, you know, the rates have slightly gone up. As against 6.95%
which at which we were raising in last year from the banks, we are now, you know, the spread
they have increased and while they can't increase on the existing loans, it's only for the new loans
where the banks have been quoting anywhere between 7.25% to 7.5%. So, that is the only that

is one change.
So now on -- so what we have done is in terms of -- to offset this increase in the incr emental borrowing cost, we have also tweaked some of our internal guidelines also. So, like now whatever special rates that we are offering, which we are offering for more than INR20 lakhs, we have increased it to more than INR25 lakhs.
So that is one thi ng, which was slightly, in the INR20 lakh to INR25 lakh bucket, we will slightly get a little better yield. We've also -- in terms of customers re -rating basically every year, we have to do a customer appraisal once again and classify the customer's risk profile. So there also, we have relooked at it.
One is, we have added additional parameters so that we are doing a little more -- EWS signals have been added. A little more monitoring in terms of OTMS reports and all those things have been added. So that w e are -- if anything is there, we get an early warning and we are able to take corrective action. And as I said, INR20 lakh to INR25 lakh we have increased. And now we have also, in terms of CIBIL score, as against about 75% to odd percentage.
Today, we a re 82% of our loans are now having a CIBIL score of more than 700. So, I think it's more of customer selection also, which is slightly improved, that is coming for the customers at this point of view. So consequently, there will be some indirect increase i n the rejection ratios.
But as we know 80% of our customers are coming through the DSA channel.
So, the log- in and everything happens only when it is basically cleared or fitting into our norm.
So, we don't have a very great data, we can share about how -- whether the reduction rates have gone up. But basically, these are the things that we have done in terms of this.
And as I mentioned, for the last 6 quarters, we have been monitoring. We have our NACH bounce rates have actually come down. And we have

also, during the last couple of quarters, run
some exercises to see that older cases where NACH was no t there, we have tried to convert those cases also into NACH. So , these are basically some more of hygiene improvement that we have tried to do. This is what we have done.
Shreepal Doshi : Got it, sir. My second question was on the IT side. So, in the quart er, we were supposed to do a complete implementation on the LOS, LMS and report generation. And I think we've completed the pilot already. So , when do we see complete implementation? And if it is in Q 2 or in Q 3,

would -- do you see any impact on the busine ss or on the disbursement targets that we have highlighted?
Suresh Iyer: Sure. See, we have done a pilot of 5 branches. And of course, there have been some teething problems, but nothing which has impacted our business. All these -- actually, we implemented all of them on 8th of July. Today, it is just 12 days. But all the 5 branches have put through all transactions, including sanctions, disbursements, customer creation, NACH processing,
collection of -- EMI collection through BBPS non-NACH transactions, l oan closures, all these transactions have been put through.
And we -- I mean, while there have been some small, small issues which have come up and have been immediately attended to, but I mean, we have not had any kind of a problem, touch wood, where we have had to kind of -- where we feel that it will impact our business. So, we plan to,
in fact, implement it across our remaining 245 branches in this current quarter only.
The only thing is we don't have a weekly upgradation or a weekly implementation process possible. It has to be only at the month end because only then we can take the data and compare it and be able to go ahead. So we have done it based on the 30th June data on 8th of July. Same way, we'll be doing it on -- based on the 31st July data i n August and August data in September.
And so definitely before the next quarter's earnings call, we will be done with all the 250 branches. And going by the experience of the 5 branches, I think we don't envisage any problems or any issues in the business because these branches also are likely to end the month of July with almost the same or better business than June. So we don't -- because already they are all logging files, the ir disbursements are happening, all integrations with all other applications, including internal as well as external APIs, all of them have been functioning quite well. So we don't envisage any problems.
Shreepal Doshi : Got it sir. Thank you so much for answering my questions. I will come in the queue for more questions. Good luck for the next quarter.
Nidhesh Jain: The next question is from Sonal Minhas. Sonal I am unmuting you. Please unmute yourself at your and ask your question. Sonal you can unmute yourself from your end and ask a question.
Since there is no response from Sonal, we'll move to Rajiv Mehta. Rajiv unmute yourself and ask your question.
Rajiv Mehta: Yeah am I audible?
Nidhesh Jain: Yes.
Suresh Iyer : Yes Rajiv please go ahead.

Rajiv Mehta: Thanks Suresh and thank you for giving me the opportunity. Sir, just a fe w questions from my side. In terms of the IT implementation, what was the experience in coming back to normal business volume for the 5 branches that we implemented in June? Are we already back to normal business volume or productivity in those branches so that we get to understand that when you

implement it in the residual number of branches, what will be the business impact and for what length of time?

Suresh Iyer : This IT implementation, I just mentioned, it is based on the June data we've implemented in July. We are almost 12 days since we implemented. We are already, kind of, I would say, on track in terms of the b

usiness for the month. All the branches , we have been talking to them.

There are small, small issues but nothing major, which is a showstopper. All the processes, as I mentioned, disbursement, sanction, closures, repayment, NACH, everything has been processed, and they are very much on track to -- I think in this month itself, they will probably be on track for the business.

Already, disbursements have also started in all the 5 branches. So there is no problem in terms of that. So going by that experience, I think we are confident we'll not have major issues. The only thing is we had 5 branches. We could give individual attention to 5, when we do the next 50 or 100 in the next month, we may not -- it will take a little longer to do the handholding.

But beyond that, we don't see any problem because the system per haps -- system -wise in terms of the product that has been delivered and the processing that is happening, there is no issue s.

And in fact, even the people, they have been 3 to 4 days is all that they are taking to get the hang of the system.

Rajiv Mehta: Sir, are we targeting a certain number of business in this quarter since it's going to be a very testing quarter from our bandwidth point of view. If we did a certain run rate, say, in June, would we be able to maintain that run rate in July, August, summer despite this implementation? And can you share the number?

Suresh Iyer : No, I think we are confident that 3,000 we don't want to change. We are -- I think we will be able to meet that number. However, we do plan to come back somewhere in Se ptember and maybe either we will issue a press release or we will maybe come back and have a conference like this.

But we can update -- we'll give a proper update on how the remaining two tranches of implementation have happened in August and September al so, but we are confident the way 5 branches have been able to, quickly within 10 days, come back to normal and do all the processes. I think in other branches also, we should be able to do it in the same month. And --

so 3,000 crores that we are targeting for Q2 stays, that number stays.

Rajiv Mehta: One last thing on pricing. When I look at the shift in the ticket size mix, to more than 30 lakh loans, the proportion is going up in disbursement and 50 lakh to 100 lakh category, ticket -size of loans have als o gone up in AUM. So if they're contributing higher to our growth with every passing quarter, what is the pricing here versus the overall pricing that we get in the quarter?

Suresh Iyer : So actually, there's a multiple combination, it's I would say, a 2x2 or 3x3 or whatever kind of metrics with some additional.

Rajiv Mehta: Blended number is okay. Yeah.

Suresh Iyer : So as I said, blended cost is 9.81. And last year also, we had 9.82 is there. And so by and large, overal l blended cost is coming to 9.8 . For a salaried customer, who is having a CIBIL score of more than 725 and who is probably looking for a loan of 25 lakh plus because we have moved it from 20 to 25. I think the best rate would be around 8.4%, but then it goes up to around 11% also depending on the customer profile.

If an individual customer rating is S2 or S2 plus or S3, then obviously, the rate will be higher.

Same way, if the customer is vis -a-vis a salaried, is a self -employed then it will be a little higher.

Against the housing, if it is a little -- so the highest rate would be for a non-salaried, non-housing customer who is having an S3 rating. That would be probably the highest rating. So anywhere between 8.4 to around 12.5 would be the range, when blended comes to 9.8 .

Rajiv Mehta: Okay. Thank you and best of luck.

Suresh Iyer : Thank you. Rajiv.

Nidhesh Jain: The next question is from Shubhranshu Mishra. Shubhranshu I am unmuting you. Also, please unmute yourself and ask your question.

Shubhranshu Mishra :

Yeah. Thanks Nidhesh. Hi Suresh thanks for giving me this opportunity. Two or three questions. The first one is, a couple of NBFCs who have reported before you have spoken about some amount of disruptions in the IT sector hiring, especially at the entry level, mid management level. Given the fact that we have a larger exposure to Bangalore and the outskirts of Bangalore. Are we seeing any kind of changes in the offtake, especially in the IT sector, for home loans? If so, have we changed any policies around it?
Second is, can we spell out the number of home loans and the number of LAP loans that -- non-home loans that we have done in this particular quarter? And what's the expected run rate for the quarterly run rate for the rest of the year? And the third question is around any kind of surprises that we might expect in opex, going forward in '27? Thanks.
Suresh Iyer : Sure. See, in terms of the IT sector impact on the loans and everything, we have not seen any major thing. Maybe Karnataka, as we said, it still is also growing at 18%, and Telangana has grown at a little higher than that only. Of cours e, to some extent, it is also because of base effect.
But having said that, it is still growing compared to last yea r, and it is also contributing.
We are not seeing any major change because of this IT. In fact, we -- there are job losses. That's a fact. B ut there are also people who are in the mid this thing and all, who are able to re -equip them in new thing, they are also able to get different jobs in different these things. So there are -- it's not that there are more jobs and people are absolutely havi ng to sit at home.
So far, there has been no impact. Having said that, if you look at our Karnataka delinquency, our NPA as on 31st March '26 was lower than in absolute value as compared to 31st March '25. And in June also, it's a very, very marginal one or two, three cases, but nothing, nothing major, which is there, which also is anyway a first quarter sequential impact. So we have not seen any major impact of that.

Second, in terms of number of loans, I don't -- wouldn't be able to give you the number of loan accounts, but I can definitely share, the amount. A s in -- out of 2,015 crores which we have done in Q1 FY 26, 1,291 was HL, 724 w as NHL. As against that, Q1 FY27, we have done 2,609 crores, of which 1,650 crores is HL and 958 crores is NHL. So basically, in HL, we have had a 28% growth Q1 to Q1. And in NHL, we have had a 32% growth. This is in terms of the amount I can say. Number of accounts , I don't have right now.
Shubhranshu Mishra : The third question was around opex. And if I can just squee ze in one question, which is around the APFs. So, the total number of APFs you have spelt out is around 331, per project, what is the maximum number of apartments that we can do? And when does this become a major contributor, when I say major upwards of at least 15% in our disbursement number?
Suresh Iyer: I think, see, in terms of opex, I don't think, there is any major surprise other than what we have been saying that INR 40 crores are yet to happen. As I said, since we have just implemented in Q1 -- in Ju ly of this year, we still have some of the things where sign-off is -- we have to still capitalize, some of the things we'll capitalize in this in July also. So that will come into by way of depreciation and all those things.
By large, I think quite a few of the items, which are there where the AMCs have also kicked in, some of the cases where payments and all have been made, which are -- so those things have already started. I think even this quarter, there is a little bit impact.
In fact, if you recollect , Q4 last year also, about INR5 crores to INR 6 crores of expenses have already kicked in terms of the project because some of the project items for which we had taken in the last quarter of last ye

ar, 1 year -- first year AMC was also started. So basically , in terms of opex, I don't think major -- any major new things are going to come. Salary cost or rent and taxes and all those, everything else other than IT cost is also well under control. There is no major surprise there. Everything is in line with last year's thing only.
In terms of APF actually, we are looking at as such about up to 100, 150 units per project also, we can consider for APFs. So, we do have some good marquee projects also, which have been approved by us of some very CAT A builders also. Although most of the projects are of CAT B builders, but we do have some good marquee projects of CAT A builders also.
As of now, in fact, the contribution is more and they are also testing us. We are also going through whole things. So learning is happeni ng. So, it's a very small number. I think 15% will be a while away. But at least we have started getting a good regular trickle from these projects, which is a positive thing.
Shubhranshu Mishra : Sorry, these 100 numbers is what percentage of their total a partment throughput?
Suresh Iyer : No, no. This is a total number of apartments in the project. What we are expecting is to start with maybe 1, 2. Because we will see all the projects that we have tied up with mostly are already having 2 or 3 tie-ups, Okay? And no builder goes with a single tie -up. And since we are not doing developer finance, obviously, the first right of refusal goes to the lender who has also given the project finance.

Shubhranshu Mishra : No, what I'm trying to get at, Sures h, is from a risk management perspective, what is the maximum number of apartments we can do per project?
Suresh Iyer : That actually, we have a dual thing. We have a 10%, and there is a number wise also , that if it is project with 20 units, then you can go up to 5 or 6 or something. So, we have a metrics for that also. So, we don't go by that from the risk point of view, we will never go with more than 10% in a single project. That was the point. I misunderstood your question, sorry.
Shubhranshu Mishra : Suresh, I am done. I will come back in the queue. Thanks.
Nidhesh Jain: Then the next question is from Abhijit Tibrewal. Abhijeet, unmute yourself and ask your question.
Abhijit Tibrewal : Sir, just two things. One is, I mean, given the fact that we are going for a higher ticket size now, where we are seeing that large part of the growth coming from higher ticket sizes. I think, I also heard you on the call that given that the incremental cost of borrowings are moving up, we are also trying to do some twe aks on the asset side. Basically, where you said that maybe the yields that we used to charge to up to INR 20 lakhs is the same yield, we will charge to INR 25 lakhs now. I hope that understanding was correct.
Suresh Iyer : Correct. That is correct.
Abhijit T ibrewal : Don't you think that as we keep moving up, sir, we are facing higher composition? Basically, what I'm trying to understand is, sir, until now, the competition always used to be with banks or PSU banks. Now a lot of these large HFCs also talk about doing -- I don't want to call it affordable, but small ticket housing the INR25 lakhs, INR 30 lakhs, INR 35 lakhs, where we are building our sweet spot. A re we not seeing higher competition from banks there? I come from these largest HFCs there? My bad.
Suresh Iyer : See, actually, in fact, it is not the banks who are the prime players who take away our portfolio. Our main BT happens with LIC and Bajaj only. It's always been the private sector and the players who are doing it in the NBFCs or larger HFC spa ce. The banks, of course, are there, but so far, we are not still -- not in ticket size segment. We are directly in competing them.
If I ask 50 branches, probably 30 branches would say, LIC is the main competitor, maybe another

10, 12, will say, Bajaj is m y main competitor , and maybe a few of them will say PNB in one or two pockets, smaller geographies. Rarely, you will have the number one competition or the number one entity as a bank.
We don't have that. But so far, at least these other players, they have not majorly been able to make a dent in this thing. As I also mentioned, our prepayment or loan BT outs, has been almost stable in Q1 compared to Q4 of last year. Q4 last year, we had INR 400 crores of BT out. This time, it is INR408 crores.
Abhijit Tibrew al: Got it. And sir, then you remember you touched upon this when someone asked you, if you're seeing any higher bounce rates, higher delinquencies from salaried customers in the IT sector, given that we have a very good presence in Bangalore and Southern India, Telangana. So, sir,

just trying to understand, have you had a chance to look at what proportion of our salaried customers are employed in the IT sector? That is one part of the question.
And the other part is that, if these are our customers, what t icket sizes, what is there, annual income like? Because what I'm trying to understand is what kind of IT customers will typically end up going to banks and what kind of IT salaried customers will come to us.
Suresh Iyer : Sure. See, our IT sector exposure i s only about 6% in terms of the number of customers who are associated with the IT sector and have taken a loan from us, okay? And we have done so, a study, at least the top companies which are in IT, are definitely not -- the customers from those companie s are not, like if you say, whether an Infosys customer, whether a Wipro customer, whether a Cognizant customer or somebody is taking a loan from us, it's almost not there.
We have small, small IT -related entities with whom we are there. Obviously, yes, th ere are -- those entities will be the first ones facing the challenge whenever competition comes or whenever any new change happens. S till so far, we have not seen any major impact of this. At least our check bounce ratio, as I mentioned, for the last 6 quarters have actually -- our NACH bounce ratios have been coming down. So, we have not seen any major impact because of this, yet.
Abhijit Tibrewal : Got it. And sir, then just the last year, in the clarification to what you said earlier. What you're saying is that this year, you're still targeting that INR 13,000 crores in disbursements. Just that -- given that what you explained the EMIs remain the same, the tenure comes down, so the principal amortization is faster. So, to that end, this year, you're expect ing the rundown in the book to be higher but still targeting that 14% growth that you spoke about?

Suresh Iyer : If required, we may have to push the business, I think we should be able to do that. And already in Q1, we've overshot our -- whatever we had targeted for. Q2 also, we are targeting INR 3,000 crores. And I think, the way our IT transformation has gone; we ma y be able to push a little earlier than what we had anticipated.
I think , we will be able to do that, a INR 6,000 crore s accretion to the book by the end of the year. If that means we'll have to push a little more in terms of disbursement, INR 13,000 crores will become INR 13,200 crores, INR13,400 crores or whatever. We will try to push for that.
Abhijit Tibrewal: Got it, sir. That that answers my question and I wish you and the team the very best.
Suresh Iyer: Thank you, thank you Abhijit.
Nidhesh Jain: The next question is from Kunal Dhokas. So please unmute yourself and ask your question.
Kunal: Hello, sir. Am I audible?
Nidhesh Jain: Yes, yes.
Kunal: Okay, am I clear?
Nidhesh Jain: Yes, go ahead.

Kunal: Okay. So, just two questions from my side, both long-term. First is, is it correct that since 2001, Can Fin Ho

mes has written off just about INR20 crore s in total loans? Is that information, correct?
Suresh Iyer: Sorry, Rs. 20,000?
Kunal: INR 20 crores.
Suresh Iyer: INR 20 crores.
Kunal: Since the year 2001.
Suresh Iyer: I mean, written off, you're talking about. Yes, that is correct. That is correct.
Kunal: How, sir? I mean, we have companies who write off thousands of crore in a year. Can you please talk about the culture or the processes of Can Fin that make it so unique?
Suresh Iyer: So I'll tell you. So, one thing is in terms of technical write -offs, so there are two things over here, I'll just clarify. This is we are talking about credit frauds or credit write -offs that we are talking about. So, of course, this doesn't include that INR40 crores of Ambala which we are talking about, that is a non-credit issue.
In terms of the credit thing which affect the thing, there are two things. One, there are frauds. So, there are issues where some frauds might happen and those frauds are -- we are still continuing those frauds with a 100% provision and they continue to reflect as NPAs in our books of accounts.
So, our INR 380 or INR 375 crores of NPA that we are showing, this could include some accounts which we have been flagged as fraud, we may be providing 100% provision for it, but we don't -- we would not have written off those accounts. There is a 100% provision, there is a fraud, it continues to show as an NPA, it is there in our books of account and we attempts to recover from that either through SARFAESI wherever properties are available or through other legal processes is continuing. So that is one part of it.
The second is in terms of actual write -off where this happens where we know that there is no property. Some fraud wherein nothing is possible, that is a case where we would have written off. Or alternatively, second would be where we have sold the property, there is a difference amount, like for example, there is a INR22 lakh outstanding, we have sold for INR21 lakh through SARFAESI sales and we don't envisage a possibility of recovering the remaining INR1 lakh, we would have written off that INR1 lakh also.
When we add up those write -offs also, that is up to INR20 crores only from the last 20-25 years. That is correct. But there are additionally some frauds which are shown as frauds, reported to the regulatory authorities, we have taken police action, they continue to s how as NPA, they continue to show with 100% provisioning. If we actually remove those kind of frauds and would have either written off, then probably we would have had another INR60 odd crores which

pertain to the frauds, which pertain into all other thing s, maybe about INR50 crores -INR60 crores could have additionally been would have written off.
Had it been some other entity where there is a fraud. There's a write -off policy, then in that case if we would have had a similar policy, then another INR50 crores -INR60 crores would have probably been also written off, in which case our NPA which is 375 would have come down to INR310, INR320 crores only.

Kunal: That's still an a very exceptional number, especially if it is cumulative given how much total loans have disbursed over the 20- 25 years and written off just INR100 crores cumulatively. And
that was my question, even with reliance on DSA sourcing, how have we been able to maintain such a pristine credit underwriting practice and policy over such an extende d period of time?
We all know that financial institutions are subject to very great external pressures, human pressures and organizational pressures, pressures to grow where they make mistakes, but Can
Fin has been able to maintain that discipline over the last two, two and a half decades.
Suresh Iyer: I guess yes, customer selection and with tight policies, conservative policies is yes, it has
impacted o

ur growth. Sometimes we've not grown in line with what market expect, but yeah, we've been a -- it has been a very safe lending, conservative policies, conservative lending has
been followed.
Kunal: Fantastic, sir. The second question on the cost to income ratio. With the technology
transformation and the movement towards more in-house sourcing, how do you see that playing out over the next few years?
Suresh Iyer: Current year we do envisage that it will be hovering around 19.5% cost -to-income ratio. And
some of it as we said has already started kicking in this quarter itself. That's why from the 18%
odd num bers we have now moved to the 19% plus cost -to-income ratio.
For the year, we expect it will be around 19.5%. And since, our project is already implemented
and we've already worked out the cost, now going forward this, you know, the AMCs and this
deprecia tion part and all will kind of remain stable, but as the book grows, this percentage will
again start to come down a little bit. So, I guess, we would in another three years down the line, we would again would want to bring it to 18% or thereabouts.
Kunal: That would be the long- term average.
Suresh Iyer: Yes, correct, that's right.
Kunal: Okay. Thank you very much and have a great day.
Nidhesh Jain: The next question is from Sonal. Sonal, unmute yourself and ask your question.
Sonal: Hi, sir, this is Sonal. I hope I'm audible.
Suresh Iyer: Yes, Sonal. Please go ahead.

Sonal: Yes. Sorry for the IT trouble earlier, there was some issue regarding some admin issues. So, I
have two questions, sir. I'm looking at your book run down numbers and they have been elevated
for the last four quarters. Sorry if I was out of the call because of these IT issues.
I want to understand like how do you understand these numbers, how do you decipher these
numbers and what is the near- term to longer -term targets of these numbers? Should this be lower
than 4.00% over the course of next one or two years or this is the new normal? That's the first
one.
Suresh Iyer: Sure. See, first of all, you know, as I had given in the opening remarks itself, the breakup of our
run down, we have about INR408 crores is coming from BT out, INR377 crores is from where
the customers are making their own closures from their own funds, either because they're selling
the property or because we are pushing them to sell the property or where generall y small
amounts and they are just making a payment and closing their loan to reduce their liability.
The major challenge or the major portion from where our run down is happening is actually
amortization and more importantly, part prepayment where custome rs are making more
payments every month, and but the loans are still with us. So, it's just the conservative approach
from the customers' side where they just get some extra funds and they are parking with us.
So, this is something which, you know, from t he customers' point of view, obviously it is good
because they are able to cut down their tenures and repay earlier, less interest burden for them. So, from that point of view it is good, but at the same time it is hurting us. We'll have to see how
it is there. What we look at is, you know, this particular quarter it has been -- this has been the
number, but going forward I think we will want to work on whether we can convert some of
these customers into deposit customers for us or else if we can look at some other kind of a thing
where they can be retained without having to prepay and move out.
So, those we will we looking at it, because some of the prepayments probably we may be able
to offer them a solution and see. We are right now analyzing and talking to credit information
bureaus to see if we can get an alert even at the time when they make an enquiry as well, so that
we can contact them and try to retain them. So, those efforts

are going on. But another thing which is there is today if you look at it , before the interest rate started going down, our best rate
was 8.95% whereas the banks and bigger player, larger players were offering best rate as 8.40%.
So, the differential was or delta was 55 basis points. Today with repo rate cut, the banks have
moved from 8.4% to 7.25% or 7.15% and some of the larger players also have followed suit, but

we have come down from 8.95% to 8.4%. So basically, now the difference is 7.15% to 8.4% or 7.25% to 8.4%. So this difference, which was 55 basis points has now incr eased to more than 1 percentage point, which is difficult to convince a customer, 50 to 60 basis points, we can convince the customer, customers also don't mind because the impact on their EMI is not very large. But over a period of time, a 1% impact is quite large if it is a INR25 lakh, INR20 lakh, INR30 lakh, kind of ticket size loan.

Therefore, it is one issue. If this rate differential can come down either because if repo rate starts going up or something of that sort, then this might come down a little bit, then we may not have

so much of a pressure. But having said that, I think the bigger challenge for us is the part repayment and not BT out, because BT out is just about INR408 crores out of INR1,857 crores.

Sonal: Got it, sir. Sir, my second question is with regard to looking at your numbers and you talked about LIC being a competition. I see LIC not growing, you talking about Bajaj Housing Finance being the other competition. So just to understand, like one player is growing at 25%, 30%, which is Baj aj Housing a nd what is it that you see the trade -offs they are making as a competition vis-à-vis you, because of which they are able to demonstrate aggressive growth.

So we have 3 players, one is 25%, you at 11%, 12%, and there is LIC, which is not doing a t all. So from a comp- set perspective, if you can just subjectively tell us , what's happening and who's doing what trade -offs? Basically, that will just help us set the context for us.

Suresh Iyer: Bajaj definitely has had a technology advantage, they have been the first movers, and they have adopted technology and that is able to give them a better edge in terms of TAT and all those things, we are catching up and we have all just implemented our -- transform -- our project has been implemented.

We also will now be starting on these journeys -- and customer journeys and digital road maps and all. That is something which we will be able to catch up and we will have to obviously push for constantly 20%-plus kind of a disbursement growth over previous years for us to slowly, the AUMs to start picking up and catching up.

Second thing is, having said that, while technology is also one part, LIC also has an issue of large prepayments, much higher prepayments because they are directly in competition with -- on pure home loans with the banks -- most of the bigger banks because the ticket sizes are also higher than ours.

I guess that they have a pressure of one is constantly growing, having to grow, at the same time also retain whereas, had it been a LAP book or ha d it been a LRD or had it been a developer finance and all, maybe that pressure would have been less for them.

I guess -- but I guess only they will be in a position to exactly tell you what are the challenges they are facing. I mean, sitting here, I can -- I guess these are what I see.

Sonal: Sir, all else being equal with the IT background and I think more agil ity with regard to the software platform. Would that mean that you would have more higher capability of assessing risk at higher yields apart from, obviously, aggression in disbursement? D oes that also mean that you're able to launch more products, a littl e higher yield products, which are not too bad in terms of customer profile, quality of custome

r, but they are in the 11%, 12%, 13% kind of yield spectrum. Can we see that happening in the near term?

Suresh Iyer: Actually, Today, our system, what we are now implementing definitely gives us the chance or gives us the opportunity to launch these kind of products faster with proper controls and all those things in place, workflows and decision engines and all those things in place.

When and how we'll start, I think we'll have to -- as of now, in fact, our IT transformation was a bigger -- was our first priority. We will look at all these products going forward. I mean, as of now, I can't comment on that because we – our Board has not -- we've not actually delib erated and taken a call at our Board.

Sonal: Got it . Thank you. I will fall back in the queue. Thank you.

Suresh Iyer: Nidhesh, you are on mute.

Nidhesh Jain: Our next question is from Prachi. Prachi, unmute yourself and ask your question.

Prachi: Hello sir. I wanted to ask that last quarter, the company has indicated an aspiration to deliver around 2.4% ROA and around 18% of ROE. So given that the relatively softer performance in Q1 and some higher opex also we are expecting a little bit. A re we still confident of achieving these return ratios in FY '27?

Suresh Iyer: I guess, this quarter, we have done 2.39% as the ROA and 18% plus in terms of ROE, at least for the quarter. And yes, you are right, in terms of our opex, we -- it has slightly inched up. But because it has inched up a little bit compared to last year, is the reason why, in fact, our ROA has dropped from around 2.53% last year to 2.39%.

But going forward, I think we -- the costs, wh atever impact we had envisaged, it started already reflecting. Therefore, this number is something which we will be able to do, manage. So one is we may have to -- we will have to obviously ensure that our NIMs and spreads and NIM are maintained, which as of now definitely looks possible.

In terms of credit cost, also the other variable, which is there, where we will have to look at it. As of now, we don't see a problem in the credit cost either. In fact, being the first quarter also, if you look at it, las t year, in Q1, we saw a INR45 crores increase in NPA. The year before that, again, in Q1, we looked at -- we had a INR41 crores increase in NPA.

So this INR30 crores, INR40 crores increase in NPA has been there for -- as a cyclical thing every year. But t his year, we have been able to, in fact, restrict it to just about INR17 crores, INR18 crores. So basically, what I'm trying to say is that in terms of credit costs, we are in a much better position today.

And so the 10 bps that we have been talking about, definitely doesn't look to be a challenge this year. So I guess, as of the moment, there is no reason to believe or nothing to reflect that we may not be able to achieve it.

Prachi: And so one more question was around the SENP segment increase, which we a re looking at. I wanted to understand the portfolio, how we compare it with salaried segment in terms of the yields, spreads, the credit cost and the returns? So going to be -- they are going to be margin accretive right over the medium term.

Suresh Iyer: Correct. Actually, see, when we are talking about SENP, we -- our SENP also is not the assessed income or surrogate income kind of segment. The SENP category or the customers whom we

serve actually are ones who have documented income. So they also are havi ng 2 to 3 years of IT returns.

And we are verifying the IT returns from the portal. And based on that, we are assessing based on our norms. So even the SENP segment compared to the rest of the affordable housing finance companies would be a better segment for us in terms of credit. If I have to look at the credit cost and all, and the yields, self-employed would

be at least 0.5 percentage higher in terms of the ROI as compared to a housing customer.

If it's everything else being the same, if it was just a matter of salaried versus self -employed, the differential would be 0.5 percentage point. And if you look at it as to the risk weightage -- sorry, the risk, the GNPA in the salaried segment today is roughly around 0.6% to 0.63%. Whereas in case of SENP, our current NPA ratio is around 1.45%, 1.5%. So roughly, factored for our credit cost also, I think 0.5% is accretive only.

Prachi: Okay. One more on the CBS platform, the branch expansion, all we have invested and the incremental operating expenses, which are going up. So when do we expect the productivity benefits? It starts to reflect in my cost/income ratio?

Suresh Iyer: See, today itself, the 5 branches that we have initiated. Those 5 branches also the speed and everything is much faster. And I think in terms of the stability, I think it will take about 6 months for the branches to stabilize, to get fully used to it and all those kind of things. But having said that, I think this year itself, we should start seeing some benefits in terms of staffing itself. Not to mention the speed and better quality, more faster TAT and all those things.

That part, I think even in terms of manpower, I think this year also itself, we should be beginning to see some benefits whereby we may not be taking -- adding sta ff for the sales team. We might be able to or we in fact, intend to take all the sales -- additional sales people from within the existing team sizes only.

Prachi: Okay. Okay. And lastly, just one point on the tax rate, what do we see the tax rate for FY '27 overall, in total, I should expect?

Abhishek Mishra: Is it the same that you mentioned ?

Prachi: 21%.

Abhishek Mishra: Yes, 21% because of some DTA benefits, and this will be stable rate. There are no major surprises coming in the next quarters.

Nidhesh Jain: Thank you, everyone. That concludes today's session. I will hand over the call to Mr. Suresh Iyer for his closing comments.

Suresh Iyer Thank you, Nidhesh. Thank you once again to everyone for taking your time out to jo in this earnings call of Q1 results for Can Fin. And I hope we've been able to answer all your queries. And of course, if there are anything more you can always feel free to write to us, we have our listening.

We are also, in fact, meeting the -- and whene ver we are having any meeting with any investor or anything, we are uploading our -- the transcripts of all our meetings also on our website. So I think that also is something which you can refer to for any updates and all.
Second thing is, as we mentioned , that now that we have undertaken this IT transformation thing, and we expect to complete it in this quarter, somewhere around September -- mid-September or first week of September, we might put up some update also on that, on how it is progressing and how many branches have gone live. How is the disbursement performance and all, in light of this, because it is a very important thing.
But having said that, we don't envisage any issues as of the moment, looking at the 5 branches, but we will still be puttin g up an update somewhere around September. So that's it. So once again, thank you. Thank you very much for joining this call.
Nidhesh Jain: Thank you. Thank you, everyone.
Suresh Iyer: Thank you. Thank you, Nidhesh.